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The promise of the second company could be seen as credible if it had lower costs or greater financial backing than the first company. In such circumstances, the first company may be forced to give up its policy first. If they have similar costs and financial strength, then the threat is not credible.

Consider a train company which charges different prices for first and standard class, for traveling on different days in the week or different times in the day etc. Are these examples of price discrimination?

Price discrimination occurs when the same product or service (with the same marginal cost) is sold at different prices to different customers. Thus, strictly speaking, charging a different price for first and standard class, for travel on different times of day, or on different days of the week, or at different times of the year are not the purest examples of price discrimination, since (a) the service is different and (b) the marginal cost is not the same. On the other hand, charging a different price for children, students, old people, people traveling on single rather than return tickets etc. are examples of price discrimination since they allow travel on the same seat on the same train to different classes of people.

Are these various forms of price discrimination in the traveler's interest?

If the lower-price fares are making travel possible for people who could otherwise not afford it, then clearly they are benefiting. For the people paying the higher-priced fares, then there are advantages and disadvantages. Clearly, they will not like paying more than they would in the absence of price discrimination, but given that at peak times some lines are operating to full capacity, the higher price may be necessary to prevent queuing or grossly overcrowded trains (though note, as explained in the answer to the last question, charging higher prices at peak times to everyone is strictly speaking not a form of price discrimination).

If, over time, consumers are encouraged to switch their use of dial-up internet connections to off-peak periods, what will happen to peak and off-peak prices?

The difference between the prices will narrow.

To what extent is peak-load pricing (i.e. charging the highest price for a product/service when the loan of demand for it is highest; e.g. charging a high rate for dial-up internet connection in the day rather than after midnight) in the interests of consumers?

It may help to keep the average price down, if it spreads the use of fixed factors (like bandwidth or telephone lines) more evenly. It may also help to ease congestion (e.g. on trains) at peak times for those who have no alternative but to use the service at that time. Peak users may prefer a higher priced journey to a more congested journey or having to queue, and possibly running the risk of not getting the service (e.g. not getting on the train or bus because it is full).

Is total consumption likely to be higher or lower with a system of peak and off-peak prices as opposed to a uniform price at all times?

Higher, since some people would only be prepared to buy the product at off-peak prices.

Which type of price discrimination do cinemas pursue when they charge different prices for adults and children? First, second or third degree? Would it be possible for the cinema to pursue either of the other two types?

It is third-degree price discrimination. It groups cinema goers into two types: adults and children.

It could not practice first-degree discrimination: it would not be possible to negotiate a separate ticket price with each customer! It could possibly practice a form of second-degree price discrimination, however, if it gave tokens to people each time they purchased a ticket and then sold tickets at reduced prices to people with tokens.

If all cinema seats could be sold to adults in the evenings at the end of the week, but only a few on Mondays and Tuesdays, what price discrimination policy would you recommend to the cinema in order for it to maximize its weekly revenue?

Offer reduced-price tickets to children in the evenings as well as in the afternoon for the first part of the week, but not for the end of the week.

Would the cinema make more profit if it could charge adults a different price in the afternoon and the evenings?

Possibly. The danger for the cinema, however, is that adults who would have gone to the cinema anyway may now choose to go in the afternoon, thereby losing the cinema revenue. Ideally the cinema would like to discriminate in such a way as to encourage people to go in the afternoon at a reduced price who would

not have gone at all (whether in the afternoon or the evening), like old people for e.g., if they had to pay the higher price.

Why is the Prisoners' Dilemma game discussed in the lecture a dominant strategy 'game'?

Because, whatever assumption is made about the other's behavior, each prisoner is likely to confess.

How would each prisoner's strategy change if there were five prisoners (who committed the joint crime) and not two, and if all five all of them had been caught?

The more people there were involved in the crime, the greater would be the likelihood of one of them confessing and therefore the greater the temptation for any individual prisoner to confess.

Can you think of any other non-economic examples of the prisoners' dilemma?

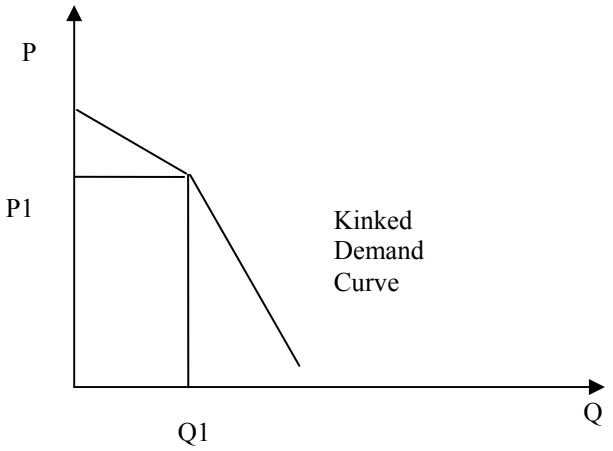
Children in a class agreeing not to do homework, but parents keeping them apart after school so that they can persuade their children to do their homework, telling them, 'The other children will also be doing theirs and you will not want to show up by doing badly compared with them.' What should the children do? Do their homework in the fear that everybody else would do the homework (the equivalent of "confessing" in the fear of the other prisoners confessing) or not do the homework hoping that the others won't do it as well (the equivalent of "not confessing" in the hope that the others won't do it either).

Lesson 23

MARKET STRUCTURES (CONTINUED) & WELFARE ECONOMICS

PRICE STABILITY IN NON-COLLUSIVE OLIGOPOLIES: KINKED DEMAND CURVE

A kinked demand curve explains the "stickiness" of the prices in oligopolistic markets. The theory of kinked demand curve rests on the two assumptions that if one firm raises prices, no one else will raise their prices and so the firm will face declining revenues (elastic demand). However if one firm lowered its price, everyone else would lower their prices as well and everyone's revenues, including the first firm's revenues would fall (inelastic demand).



A demand curve with two distinct segments which have different elasticities that joins to form a corner or kink. The primary use of the kinked-demand curve is to explain price rigidity in oligopoly. The two segments are:

(1) A relatively more elastic segment for price increases

(2) A relatively less elastic segment for price decreases

The relative elasticities of these two segments are based on the interdependent decision-making of oligopolistic firms.

Non Price Competition:

Non price competition means competition amongst the firms based on factors other than price, e.g. advertising expenditures.

Oligopoly & public interests:

In oligopoly, firms are able to earn super normal profits. This is also the feature of monopoly. But this is not the feature of perfect competition & monopolistic competition. Firms can use their profits in cost minimization techniques.

WELFARE ECONOMICS

It is a branch of economics dealing with normative issues (i.e., what should be). Welfare economics is a branch of economics that uses microeconomic techniques to simultaneously determine allocative efficiency within an economy and the income distribution associated with it. It analyzes social welfare in terms of economic activities of the individuals that comprise the theoretical society considered.

THE MARGINAL PRIVATE COST OF ADVERTISING

The marginal private cost of advertising is the cost of every additional TV commercial or newspaper advertisement that a firm has to bear. However, this does not include the nuisance cost that such advertisements sometimes cause to viewers of television or readers of newspapers. If firms incorporated these costs into their calculations, they would do less advertising. Concerns such as these fall into the realm of welfare economics.

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MARGINAL SOCIAL COST

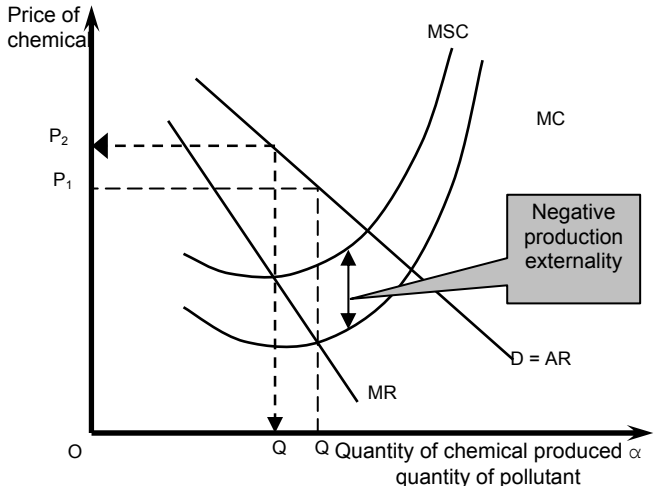
Social cost (benefit) means the cost (benefit) -- may not be in monetary terms – that is borne by (accrues to) society on the whole. The private cost (benefit) of any individual entity (firm or consumer) is subsumed in the social cost (benefit) to society, but obviously not vice versa.

The marginal social cost = marginal private costs that the firm incurs + any other costs that is borne by the society because of the production of additional good

THE CONCEPT OF EXTERNALITY

Formally, an externality exists when the production or consumption of a good directly affects businesses or consumers not involved in buying and selling it and when those spillover effects are not fully reflected in market prices.

A positive (negative) externality arises from the beneficial (harmful) spillover effect of production or consumption for society. If the externality is a result of private production decisions, it is called a production externality. If it is caused by private consumption decisions, it is called a consumption externality.



OPTIMAL LEVEL OF PRODUCTION

A socially optimal level of production of a good means the level of production at which the externality is fully internalized, i.e. the equilibrium price and quantity are determined at the intersection of the marginal "social" benefit curves and marginal "social" cost curves, and NOT the intersection of marginal private benefit (demand) curves and marginal private cost (supply) curves.

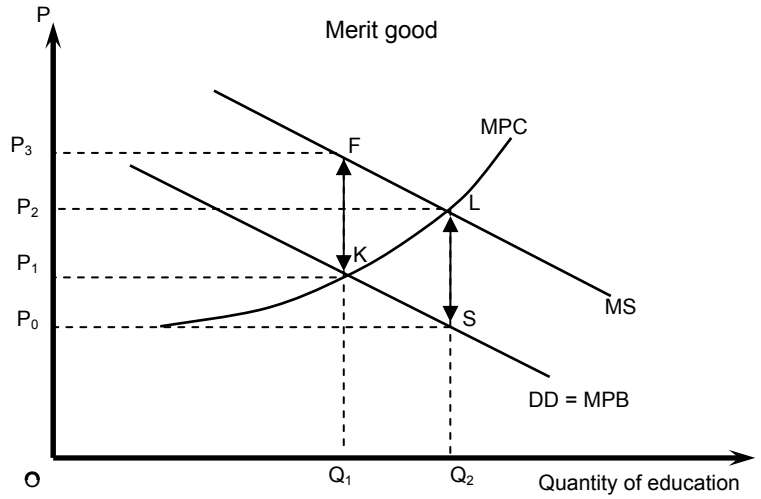
A **tax (subsidy)** raises (reduces) prices by shifting the supply curve vertically upwards (downwards).

Market failure is an imperfection in the price system that prevents an efficient allocation of resources.

MERIT GOOD

Merit good is a good which Govt like people to consume more. A merit good in economics is a commodity which is judged that an individual or society should have on the basis of a norm other than respecting consumer preferences. Examples include food stamps, health care, and subsidized housing. If Govt found positive consumption externality then there would be the case of subsidy. For example, Govt wants to encourage people for more education and it thinks that marginal social benefit of education is higher than the marginal private benefit so it gives scholarships and subsidies to the students and education sector.

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PUBLIC GOOD

A public good is one whose benefits are indivisibly spread among the entire community, whether or not particular individuals desire to consume the good or not.

There are two characteristics which give rise to public goods: non-rival ness (one person's use or consumption of the good does not reduce the ability of another to use it; e.g. air) and non-excludability (it is not possible to exclude anyone from the consumption of the good; e.g. national defense).

In economics, a public good is a good that is non-rival and non-excludable. This means that consumption of the good by one individual does not reduce the amount of the good available for consumption by others; and no one can be effectively excluded from using that good. Common examples of public goods include: defense and law enforcement (including the system of property rights), public fireworks, lighthouses, clean air and other environmental goods, and information goods, such as software development, authorship, and invention.

Lesson 24

WELFARE ECONOMICS (CONTINUED)

THE MARKET FOR FACTORS OF PRODUCTION

The circular flow of income and expenditure shows the flow of goods and factors between households and firms. Firms are the demanders of the factors and households are the suppliers of the factors.

The Demand for Factor of Production:

The demand for factors of production (like labor) is a derived demand, because it is "derived" from the goods market. For e.g., the demand of labor increases when the demand for a labor-intensive good rises, and as firms try to produce more of that good by employing more labor.

Leisure:

Leisure is the time not used for working, or earning wages. It is usually the time that a laborer uses for relaxation and all activities other than work or necessary sleep.

The Marginal Disutility of Work (MDU_W):

As the supply of hours of labor increases, wage rate should also be increased. The relationship between hours provided by labor and wage rate is positive. And the curve for labor supply curve is positively sloped. But this curve can also be negatively sloped due to the marginal disutility of working hours. The marginal disutility of work (MDU_W) means the negative impact on the working of laborer for one additional unit of time. The MDU_W curve defines the supply curve for labor.

The Opportunity Cost:

The opportunity cost of working is leisure (and vice versa) that the worker could have enjoyed during that time had he not been working.

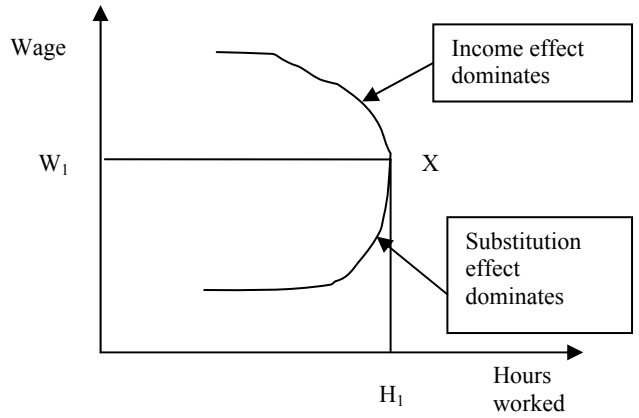
Supply and Demand Curve for Labor:

The labour supply curve may bend backwards above a certain wage rate as the income effect of higher wages dominates the substitution effect of higher wages.

The wage rate is the marginal cost of labour to the firm and is directly proportional to the hours worked.

The demand curve for labour can be derived from the intersection of the wage rate lines (horizontal parallel lines) and the marginal revenue product of labour (a downward sloping concave function) given by $MRP_L = MPP_L \times MR_i$, where subscript "L" stands for labour and subscript "i" stands for the good which the laborer helps produce.

Back ward bending labor supply curve



The Value of Marginal Product of Labor (VMP_L):

The value of marginal productivity of labor can be represented by the following formula:

The value of marginal product of labour (VMP_L) = $MPP_L \times P_i$

It is equal to MRP_L when P = MC (as in perfect competition), but otherwise $VMP_L > MRP_L$.

One important difference between labour and land, capital is that the latter two can be purchased but labour can only be rented.

A **rent** is a periodic payment as a reward for hiring the factor of production for that period, where the purchase price of capital is the "value" of owning that capital for its entire life.

The Net Present Value (NPV) and Discounting:

Decisions about purchasing capital or land are often made on the basis of the net present value (NPV) associated with the decision. The NPV of an asset is the discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost.
Discounting is the process of converting a stream of future incomes and expenses into a present value. The discount rate is the rate at which the future incomes are discounted.

EXAMPLE:

- **Rate of discount = 10%**
- **The formula for discounting is as follows:**

$$PV = \sum \frac{Xi}{(1+r)^i}$$

Where PV is present value
Xi is earnings from the investment in the year i
r is the rate of discount
Σ is the sum over i, of the discounted earnings.
Present value of machine that generates Rs. 1,000 for four years and then sold as scrap for Rs. 1,000 at the end of year 4?
Year 1+ Year 2 + Year 3 + Year 4
$= 1000/ (1.1)^1 + 1000/ (1.1)^2 + 1000/ (1.1)^3 + 2000/ (1.1)^4$
= 909+ 826+ 751 + 1366
= Rs. 3852
If machine costs less than this then Buy, otherwise don't Buy.
Net present value = PV – Purchase cost

THE ECONOMICS OF INFORMATION PRODUCTS
The economics of information products or (internet products) involves studying how economic principles apply to the production, distribution and consumption of these products. Information economics or the economics of information is a branch of microeconomic theory that studies how information affects an economy and economic decisions.
The internet has reduced the **marginal cost of distributing information** to zero, as once a product is launched on the web, any number of potential customers can access/view it without any additional cost to the producer of the information.
Since the average cost of information product is falling over the entire range of output the market structure most consistent with such a product is (natural) monopoly.
Buying and selling information is not the same as buying and selling most other goods. First of all, information is non-rivalrous, which means that consuming information doesn't mean that someone else cannot also consume it. Obviously this does not apply to normal goods, like food, in which one's consumption precludes another's.
A related characteristic that alters information markets is that information has almost zero marginal cost. This means that once the first copy exists, it cost nothing or almost nothing to make a second copy. This makes it easy to sell over and over. However, it makes classic marginal cost pricing completely infeasible.

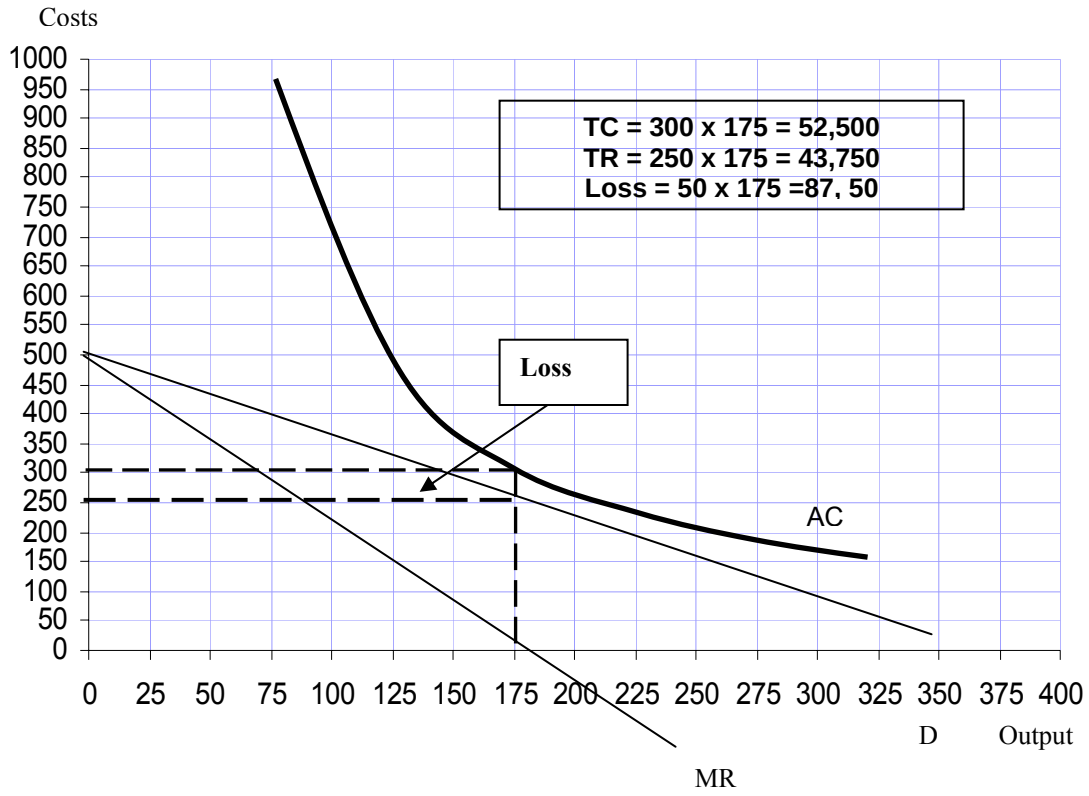
Experience goods are goods that people must get a flavor of before they can consider buying them. In economics, an experience good is a product or service where product characteristics such as quality or price are difficult to observe in advance, but these characteristics can be ascertained upon consumption.

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A typical information product

Online economics course			
Q	**TC**	**MC**	**AC**
50	50,000		1000
100	50,000	0	500
150	50,000	0	330
200	50,000	0	250
250	50,000	0	200
300	50,000	0	166

A typical information product
Profit or loss



EXERCISES

WELFARE ECONOMICS AND EXTERNALITIES

If monopoly power existed in an industry, would production be above or below the socially efficient level (assuming no externalities)? Which would be greater, MSB or P?

A firm with monopoly power produces where MR = MC. But this is below the socially efficient level of output which obtains where P = MC.

Assuming no externalities, and perfect competition show that social efficiency is achieved in the factor markets, where: $MSB_f = MRP_f = P_f = MDU_f = MSC_f$ (where MRP is the marginal product of a factor, MDU is the marginal disutility of supplying it and f is any factor).

The MRP_f is the marginal benefit to the employer from employing a factor. Profits will be maximised where $MRP = P_f$. The MDU_f is the marginal cost to the factor supplier from supplying a factor. The factor supplier's 'surplus' will be maximised where $P_f = MDU_f$. Under perfect competition, since $MRP_f = P_f$ for each producer, and $P_f = MDU_f$ for each factor supplier, then, since the market price for the factor (P_f) is the same for all firms and factor suppliers, then $MRP_f = MDU_f$ for all firms and factor suppliers. In the absence of externalities in the factor market, $MSB_f = MRP_f$, and $MDU_f = MSC_f$. Thus: $MSB_f = MRP_f = P_f = MDU_f = MSC_f$, i.e. $MSB_f = MSC_f$

Note: The concepts in this question will not be tested in the exam.

Trace through the effects in both factor and goods markets of the following:

a) An increase in the productivity of a particular type of labour.

b) An increase in the supply of a particular factor.

The following charts illustrate the effects:

(a)*1. Labour demand*

MRPl↑ (i.e. *MSBl*↑) → *MRPl* > *W* → employment of labour↑ → *W*↑

2. Labour supply

W↑ → *W* > *MDUl* (i.e. *W* > *MSCl*) → supply of labour↑ → *MDUl*↑ (movement up along *MDUl* and hence *MSCl* curve) .

These adjustments would continue until *MSBl* = *MSCl*.

3. Producer supply

MRPl↑ → *MC*↓ → *P* > *MC* (i.e. *P* > *MSC*) → production↑ → *P*↓

4. Consumer demand

P↓ → *MU* > *P* → consumption↑ → *MU*↓ (movement down along *MU* and hence *MSB* curve)

These adjustments would continue until *MSB* = *MSC* (in goods markets).

(b)*1. Factor supply*

Sf↑ (i.e. *MSCf*↓) → *Sf* > *Df* → *Pf*↓

2. Factor demand

Pf↓ → *MRPf* > *Pf* → employment of factor↑ (movement down along *MRPf* and hence *MSBf* curve)

These adjustments would continue until *MSBf* = *MSCf*.

3. Producer supply

Pf↓ → *MC*↓ → *P* > *MC* (i.e. *P* > *MSC*) → production↑ → *P*↓

4. Consumer demand

P↓ → *MU* > *P* → consumption↑ → *MU*↓ (movement down along *MU* and hence *MSB* curve)

These adjustments would continue until *MSB* = *MSC* (in goods markets).

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Note: The concepts in this question will not be tested in the exam.

If MU_X/MU_Y were greater than P_X/P_Y, how would consumers behave? What would bring consumption back to equilibrium where $MU_X/MU_Y = P_X/P_Y$?

Consumers would buy relatively more of X and relatively less of Y. But as they did this, MU_X/MU_Y would fall (because of diminishing marginal utility) until $MU_X/MU_Y = P_X/P_Y$.

Note: The concepts in this question will not be tested in the exam.

If MC_X/MC_Y were greater than P_X/P_Y how would firms behave? What would bring production back into equilibrium where $MC_X/MC_Y = P_X/P_Y$?

Firms would produce relatively more of good Y and relatively less of good X. But as they did this, MC_X/MC_Y would fall (because of the law of diminishing returns and hence increasing marginal costs as production increases) until $MC_X/MC_Y = P_X/P_Y$.

What are marginal external costs?

The different between marginal social cost and marginal private costs is marginal external cost. In other words, it is the marginal cost of the externality to society.

Is it likely that the MSB curve will be parallel to the MU curve? Explain your reasoning.

No. It is likely that the marginal external costs of consumption will increase as more is consumed, and thus the curves will get further apart (making the MSB curve steeper than the MU = MB curve). For example, the marginal pollution costs of cars gets progressively greater as more and more cars come onto the roads and the environment becomes less and less able to absorb the additional quantities of pollutants.

Give other examples of each of the four types of externality.

a) External costs of production (MSC > MC): The pollution of rivers and streams by slurry and nitrate run-off from farms; road congestion near a factory.
b) External benefits of production (MSC < MC): Beneficial spin-offs from the development of new products (for example, the various space programmes in the USA, the USSR and Europe have contributed to advances in medicine, materials technology, etc.); where the opening of a new environmentally friendly factory results in less output from factories that pollute.
c) External costs of consumption (MSB < MB): The effect of CFC aerosols on the ozone layer; the unpleasant sight of kites stuck in trees and wires.
d) External benefits of consumption (MSB > MB): People decorating the outside of their houses or making their gardens look attractive benefits neighbours and passers-by; car owners getting their cars properly serviced so as to reduce the smoke emitted and the pollution associated with it.

Some roads could be regarded as a public good, but some could be provided by the market. Which types of road could be provided by the market? Why? Would it be a good idea?

Roads where there are relatively few access points and where therefore it would be practical to charge tolls. Charges could be regarded as a useful means of restricting use of the roads in question, or, by charging more at peak times, of encouraging people to travel at off-peak times. Such as system, however, could be regarded as unfair by those using the toll roads, and might merely divert congestion onto the non-toll roads.

Which of the following have the property of non-rivalry: (a) a can of drink; (b) public transport; (c) a commercial radio broadcast; (d) the sight of flowers in a public park?

(a) No. (b) No (passengers take up seats). (c) Yes. (d) Yes (unless I get in your way!).

Give some other examples of public goods. Does the provider of these goods (the government or local authority) charge for their use? If so is the method of charging based on the amount of the good that people use? Is it a good method of charging? Could you suggest a better method?

Two examples are: national defence; urban roads. In both cases the user is not directly charged. The funding comes from taxation. In the case of roads, part of the funding comes from road users generally (in the form of taxes on petrol and road fund licenses) and part from general or local taxation. Only in the case of petrol tax is the charging related to the amount that people use the public good. It encourages people to use the roads less, and thus takes into account the marginal cost (i.e. repairs and maintenance) of

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road provision. In this sense, however, roads are not a pure public good because using them does create a small amount of wear and tear on them (although a significant portion of road maintenance costs are due simply to deterioration through time).

If the marginal cost of provision is zero (as is the case with a pure public good) then charging people according to how much they use it will not cause an efficient allocation of resources: with a zero marginal cost, the price should be zero. Charging people according to how much they use it, however, could be regarded as fair according to the benefit principle – but not according to the principle of vertical equity.

Name some goods or services provided by the government or local authorities that are not public goods.

Education, health, libraries, parks. Only limited people can use these facilities.

If health care is provided free, the demand is likely to be high. How is this high demand dealt with? Is this a good way of dealing with it?

It is dealt with by a system of queuing. Emergency cases are usually dealt with immediately, or at least very quickly, but non-emergency cases may have to wait weeks, months or even years for treatment.

Many people would argue that for reasons of equity, and the special nature of health, it is better to solve the problem of waiting lists by diverting more resources into health care, rather than by using a system of charging people. Except where there are initially idle resources or inefficiencies, this approach will result in a lower provision of other publicly provided goods or services, or higher taxes.

How would you attempt to value time that you yourself save (a) getting to work; (b) going on holiday; (c) going out in the evening?

The approach is to ask what the opportunity cost to you of that time is. What else could you have done with the time and what, as a result, would you have been prepared to pay to save time? Thus in the case of (b), if you have a long holiday and the travel is seen as an enjoyable part of it, then there may be no time cost to you, or it may even be seen as a benefit; whereas if you only have a week off work and want to get to the sun as quickly as possible, then you will want to minimize travel time and thus may be prepared to pay quite a lot more to fly rather than go over land.

Imagine that a public project yields a return of 13 per cent (after taking into account all social costs and benefits), whereas a 15 per cent private return could typically be earned in the private sector. How would you justify diverting resources from the private sector to this project?

If it could be argued that this particular project yielded longer-term benefits, and that the market rate of discount is too high in the sense that it gives undue weight to present benefits and costs over future benefits and costs than is socially desirable, then there would be some justification. The justification for a lower social rate of discount is that the market only reflects the wishes of the current generation, whereas governments ought to take a longer-term perspective.

An alternative justification may be in terms of the distribution of costs and benefits. If the project was an effective means of targeting help to the poor (say a new hospital in an area where there is a lot of poverty) then the government may want to apply a lower rate of discount.

Assume that a project has an initial construction cost of Rs10 000, takes a year to come into operation and then has a life of 3 years. Assume that it yields Rs5000 per year in each of these 3 years. Is the NPV positive at (a) a 10 per cent discount rate; (b) a 15 per cent discount rate?

(a) NPV = –Rs.10 000 + Rs.5000/1.1 + Rs.5000/1.21 + Rs.5000/1.331
= –Rs.10 000 + Rs.4545 + Rs.4132 + Rs.3757
= +Rs.2434
The NPV is therefore positive at a 10 per cent discount rate.

(b) NPV = –Rs.10 000 + Rs.5000/1.15 + Rs.5000/1.3225 + Rs.5000/1.5209
= –Rs.10 000 + Rs.4348 + Rs.3781 + Rs.3288
= +Rs.1417
The NPV is therefore still positive at a 15 per cent discount rate.

Why is this type of cost–benefit analysis (CBA) simpler to conduct that ones assessing the desirability of a new road or airport?

There are specific scenarios, with very precise assumptions. The main purpose was not to demonstrate the positive NPV (which depends on the assumptions about the value of the environmental benefits of reducing emissions), but to compare the relative advantages of the alternative scenarios.

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With a CBA of a new road or airport, there have to be assumptions, not only about the environmental impact, but about the value of time saved or additional time incurred by travellers, about the value of lives saved or lost and about the costs to local people disturbed by the road or airport. Thus the measurement of externalities is likely to be more problematic than in the case of lowering the sulphur content of road fuel.

How do merit goods differ from public goods?

They could be provided by the market (albeit with too little consumed). The problem of non-excludability does not apply.

Note: The concepts in this question will not be tested in the exam.

Summarize the economic policies of the major political parties. (If it is near an election you could refer to their manifestos.) How far can an economist go in assessing these policies?

You will need to look at the current policies.

Economists in their role as economists cannot challenge fundamental normative issues – such as whether it is desirable to have a much more substantial redistribution of income from the rich to the poor. They can, however, examine whether the factual claims of the parties are correct, and whether the policies they advocate will bring the effects they claim.

Note: The concepts in this question will not be tested in the exam.

Give some examples of how correcting problems in one part of the economy will create problems elsewhere.

Two examples are:

- A local authority reduces street parking in the centre of a town in order to reduce congestion on the streets, but succeeds in encouraging commuters and shoppers to park outside the town centre in residential areas, thus reducing the quality of life for those living in those areas.
- The government taxes the consumption of electricity in order to encourage people to become more fuel efficient and thus to reduce power station emissions. Some people respond by switching to burning coal, with the result that emissions from this source increase.

THE MARKET FOR FACTORS OF PRODUCTION

Why might the labour supply curve be backward bending?

Because after a point the income effect of the higher wage dominates the substitution effect. Note that when we talk of substitution, it is substitution between work and leisure. The labourer must decide how to utilize his time, i.e. how much hours to spend working and how much to spend relaxing. If the wage rate (which also represents the worker's income) becomes very high, given that leisure is a normal good, the demand for relaxation increases. This is the income effect and it is positive for leisure and negative for hours worked. However, as the wage rate increases, the opportunity cost of relaxing increases and prompts the worker to work more. This is the substitution effect and is negative for leisure and positive for hours worked. The labour supply curve becomes backward bending when the income effect of higher wages dominates the substitution effect.

What is the distinction between MRP_L and VMP_L? When is this distinction important?

Labour's marginal revenue product (MRP_L) = MR * MPP_L

Labour's value of marginal product (VMP_L) = P * MPP_L

The two terms mean the same when the product market is perfectly competitive, because then: MR = MC = P. However, when the product market is not perfectly competitive, for e.g., if it is a monopoly, then P > MR at the profit maximizing output, and therefore $VMP_L > MRP_L$. The important implication of this is that a monopolist would pay labourers less than the "value of the output that their labour helps produce", i.e. the VMP_L. To that effect this can be viewed as exploitation of labour.

Do any of the following contradict marginal productivity theory?

a) Nationally negotiated wage rates;

b) Discrimination;

Even if marginal productivity theory were not relevant in these cases, the theory would still be accurate in the sense that if firms wanted to maximise profits then they should employ workers to the point where $MC_L = MRP_L$.

But do any of the above two cases necessarily contradict marginal productivity theory?

a) No, not necessarily. Firms may find it convenient (in terms of the costs of negotiating and the avoidance of disputes) to pay nationally agreed wage rates. They then could employ workers up to the point where their MRP was equal to this wage rate (which, given that the firm was a 'wage taker' would be equal to the MC_L).

b) Yes. Discrimination would lead to firms employing those workers against whom they were discriminating below the level where their MRP was equal to their MC_L.

Which of the following are stocks and which are flows?

a) Unemployment.

b) Redundancies (job lay-offs).

c) Profits.

d) A firm's stock market valuation (share price).

e) The value of property after a period of inflation.

Stocks: (a), (d) and (e). They are measurements at a point in time.

Flows: (b) and (c). They are measurements over a period of time. (Note that (e) would only be a flow if it were measuring the rise in the value of property over a period of time.)

What is the present value of a machine that lasts three years, earns Rs.100m in year 1, Rs.200m in year 2 and Rs.200m in year 3, and then has a scrap value of Rs.100m? Assume that the rate of discount is 5 per cent. If the machine costs Rs.500m, is the investment worthwhile? Would it be worthwhile if the rate of discount were 10 per cent?

Using the formula given in the lectures:

$$PV = Rs.100/1.05 + Rs.200/(1.05)^2 + Rs.300/(1.05)^3$$
$$= Rs.95.24 + Rs.181.41 + Rs.259.15$$
$$= Rs.535.80$$

Thus the investment is profitable at a discount rate of 5 per cent given that the machine costs Rs.500.

If the rate of discount is 10 per cent, then the present value this time is given by:

$$PV = Rs.100/1.1 + Rs.200/(1.1)^2 + Rs.300/(1.1)^3$$
$$= Rs.90.91 + Rs.165.29 + Rs.225.40$$
$$= Rs.481.59$$

With a 10 per cent discount rate, therefore, the investment would not be profitable.

What market price would a piece of land sell for if it earned Rs.10,000 rent per year, and if the rate of interest were 5 per cent?

According to the formula, market price of land = [annual rental value (in Rs.) / interest rate (in % p.a.)]
Rs.10,000/0.05 = Rs.200,000.

What does this tell us about the relationship between the price of an asset (like land) and the rate of interest?

The higher the rate of interest, the lower the market price of the asset. The asset would have to be cheaper (i.e. yield a higher rate of return) to persuade the purchaser to sacrifice the alternative of earning the market rate of interest.

INFORMATION ECONOMICS

There are many dimensions to information economics. The first of these was touched upon in the lectures on background on demand under "demand under uncertainty." We touched concepts like moral hazard and adverse selection. Below we touch upon some of the remaining aspects that were not covered there. PART A contains questions related to the economics of information products on the web that were covered in the lecture, while PART B contains other "general" information economics issues.

PART A:

What has the internet done to the cost of distributing information?

It has virtually brought down this cost to zero. Distributors can place information on their websites and consumers can access it or download it from there without any additional cost to the distributor. There are however still the initial costs of preparing the information in a format that can be placed on the web, and

also the costs of maintaining the website and marketing the website to interested consumers of that information. However, in terms of the marginal cost of distributing information to one more consumer, that cost has now been brought down to virtually zero by the internet.

What are experience goods?

These are goods whose value can be ascertained by the consumer only after experiencing or consuming it. For example if a university wanted to deliver an online course in say, finance, it might allow potential students to take part of the course free and then if they are satisfied they could proceed with a charge for the remaining or whole of the course. The same principle applies to buying software on the web. You are often given a free trial version before you asked to commit to buy the software.

How is it possible for companies like MSN or yahoo to provide free e-mail or chatting facilities or "web space" to internet users the world over?

Everything has a cost. Providing free web space or e-mail account to millions of users also must have a cost. Now if the users are not paying this cost, someone else should. This someone else is the ever-growing pool of businesses (travel companies, financial advisors, supermarkets, fashion outlets – you name it) who wish to advertise their products to millions of potential customers worldwide. Yahoo and MSN, because they have such a large captive clientele can serve as the ideal vehicle media for their advertisements. Thus you will see that whenever you log on to the yahoo page there is some advert that appears without you asking. This is to ensure that "all" users do actually see the advert, so that "some of them" buy the product being advertised.

PART B

(YOU WILL NOT BE TESTED ON THIS IN THE EXAM)

Assume that you wanted the following information. In which cases could you (i) buy perfect information, (ii) buy imperfect information, (iii) be able to obtain information without paying for it, (iv) not be able to obtain information?

a) **Which washing machine is the most reliable?**
b) **Which of two jobs that is vacant is the most satisfying?**
c) **Which builder will repair my roof most cheaply?**
d) **Which builder will make the best job of repairing my roof?**
e) **Which builder is best value for money?**
f) **How big a mortgage would it be wise for me to take out?**
g) **What course of higher education should I follow?**
h) **What brand of washing powder washes whiter?**

In which cases are there non-monetary costs to you of finding out the information? How can you know whether the information you acquire is accurate or not?

(a) (i) or (ii);
(b) (iii) (by asking people currently doing the job) or (iv);
(c) (iii) (by obtaining estimates);
(d) (iii) (albeit imperfect, by inspecting other work that the different builders have done) or (iv);
(e) As (d);
(f) (iii);
(g) (iii);
(h) (i) or (ii) (as in (a)) or (iii) by experimenting.

All could involve the non-monetary costs of the time involved in finding out.

If the information is purely factual (as in (c) above), and you can trust the source of your information, there is no problem. If you cannot trust the source, or if the information is subjective (such as other people's experiences in (b) above), then you will only have imperfect information of the costs and/or benefits until you actually experience them.

Make a list of pieces of information a firm might want to know, and consider whether it could buy the information and how reliable that information might be.

- Some examples include:

The position and elasticity of the demand curve: Market research can provide some information, but it is very unreliable, especially in an oligopolistic environment, where the actions of rival are unpredictable.

- Next year's wages bill:

The information cannot be purchased, but it could use its own past experiences to predict (albeit imperfectly) the outcome of wage negotiations.

- The costs of alternative inputs:

This information is probably available free from suppliers.

- Ways of saving taxes:

Employing accountants can help the firm save money here.

What type of information can be a public good? (Clue: do not confuse a public good with something merely provided by the government, which could also be provided by the private sector.)

An example of information that is nearer to being a public good, is information that is simple enough not to require being presented as a set of tables or as a report. It can be told from one person to another: as such it would be difficult to enforce copyright. An example would be the current rate of inflation or the size of the balance of trade deficit or surplus.

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Lesson 25

INTRODUCTION TO MACROECONOMICS

MACROECONOMICS

As a subject, macroeconomics only began to be taught in colleges and universities in the 1940s after the influence of a very influential British economist, John Maynard Keynes who believed the macro economy (with its associated variables) deserved to be understood and analyzed in its own right, and not just as an aggregation of the various micro-markets, as was believed earlier.

Macroeconomics is a branch of economics that deals with the performance, structure, and behavior of a national economy as a whole. The variables of interest change from the price, demand or supply of a particular product to the economy-wide price level, aggregate demand and aggregate supply.

AGGREGATE DEMAND (AD)

Aggregate demand (AD) is the total planned or desired spending (expenditure) in the economy during a given period. AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

AGGREGATE SUPPLY (AS)

Aggregate supply (AS) is the total value of goods and services that all the firms in the economy would and can willingly produce in a given time period. Aggregate supply is a function of available inputs, technology and the price level. It slopes upward in P-Output space but the exact slope depends whether the economy is operating at below full employment (flat) or full employment (steep).

CLASSICAL ECONOMICS

Classical economics is widely regarded as the first modern school of economic thought. Its major developers include Adam Smith, David Ricardo, Thomas Malthus and John Stuart Mill. Sometimes the definition of classical economics is expanded to include William Petty, Johann Heinrich von Thünen, and Karl Marx. Classical economists were the earliest brand of economists the world knew. They were essentially micro-economists who believed the macro economy was an uninteresting aggregation of individual (or micro) markets, and any problem at the macro level was necessarily a symptom of some micro level problem.

OPTIMAL ROLE OF GOVERNMENT UNDER CLASSICAL ECONOMICS

The optimal role for the government under classical economics was one of laissez-faire. They believed that if the prices of goods, services and factors were allowed to be determined by the free operation of the forces of demand and supply (i.e. the price mechanism) the best possible outcome for resource allocation would obtain. In other words the economy would be at the full employment level, and it would not be possible to improve that situation through government intervention.

Before 1930, there was no concept of macroeconomics. There were number of events happened during 1920-30s that necessitated the need of macroeconomics. Until the 1930s, most economic analysis did not separate out individual behavior from aggregate behavior. With the Great Depression of the 1930s and the development of the concept of national income and product statistics, the field of macroeconomics began to expand.

THE CONCEPT OF INVISIBLE HAND

Invisible hand was a concept introduced by Adam Smith in 1776 to describe the paradox of laissez-faire market economy. The invisible hand doctrine holds that, with each participant pursuing his or her own private interest, a market system nevertheless works to the benefits of all as though a benevolent invisible hand were directing the whole process. According to Adam smith, invisible hand of the market operates therefore the market mechanism is the best model if the economy wants to operate at a high level of efficiency. Since the classical economists believed on perfectly competitive markets, so according to them shortages & surpluses are temporary phenomena when markets decide about the price, market would automatically clear these shortages & surpluses through price mechanism. According to say's law, "supply creates its own demand". When there is surplus labor in the economy that situation could

not persist so long because the excess supply of labor push the prices of labor go down, wage rate goes down, firms will demand more labor due to lower wage rates, so in this way, supply of labor creates its own demand of labor.

Invisible hand is the term used by Adam Smith to describe the natural force that guides free market capitalism through competition for scarce resources. According to Adam Smith, in a free market each participant will try to maximize self-interest, and the interaction of market participants, leading to exchange of goods and services, enables each participant to be better of than when simply producing for him/her. He further said that in a free market, no regulation of any type would be needed to ensure that the mutually beneficial exchange of goods and services took place, since this "invisible hand" would guide market participants to trade in the most mutually beneficial manner.

FULL EMPLOYMENT

The Classical economists assumed that if the economy was left to itself, then it would tend to full employment equilibrium. This would happen if the labour market worked properly.

Full employment is a state of the economy in which the productive resources of the economy are fully employed. Output may be expanded from this full employment level by asking laborers to work overtime or renting capital from outside. An alternative (historical) definition of full employment was: that level of employment at which no (or minimal) involuntary unemployment exists.

An important law the Classical subscribed to, which assumed particular importance in the context of the Great Depression, was Say's law: "supply creates its own demand." The implication of this was that involuntary unemployment (people being unemployed against their wishes) was a temporary phenomenon as the excess supply of labour would cause wages to fall thereby prompting firms to demand more labour. If there was persistent unemployment, it was voluntary, i.e. workers themselves preferred to remain unemployed.

THE CLASSICAL VIEWS ABOUT GREAT DEPRESSION

The Classical' reading of the three problems of the Great Depression, i.e. low investment, high unemployment and low output, was as follows:

- **a.** Investment was low because the interest rate was too high in the loanable funds market. Policy recommendation: savings be increased to lower the interest rate and boost investment
- **b.** Unemployment was high because of obstructions to the free market mechanism in the labour market which were preventing wages from falling to the market clearing level. Policy recommendation: these obstructions: benefit payments to unemployed, taxes on income and trade unions be eliminated.

FAILURE OF THE CLASSICAL MODEL

After 1930, the classical model failed. Solution of classical economist was not found reasonable to solve the world crises prevailed at that time. The Great Depression was the longest and severest recession the world has ever seen. It struck North America and Europe in the late 1920s after the Wall Street crash of 1929 (and following the earlier hyperinflation in Germany, and the formation of the Soviet Union) and lasted till the mid 1930s. It was characterized by persistent high unemployment, low investment by firms and falling prices of goods, services and factors. Hyperinflation is inflation at extremely high rates (say 1000, 1 million, or even 1 billion percent a year).

At that time, unemployment rate went upto 25% in 1933 in USA and Western Europe. The classical model failed because they did not give satisfactory solution to all these problem. They kept on insisting on old doctrine. They focused on the removal of impediments of free market economy.

KEYNES AND THE ORIGINS OF MODERN MACRO ECONOMICS

Keynesian economics also called Keynesianism or Keynesian Theory is an economic theory based on the ideas of the 20th-century British economist John Maynard Keynes. Keynesian economics promotes a mixed economy, in which both the state and the private sector are considered to play an important role. He argued that government policies could be used to promote demand at a macro level, to fight high unemployment and deflation of the sort seen during the 1930s. Keynes gave the reasons of great depression and also suggested the policy advice on how Govt can rectify the situation.

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THE KEYNESIANS' VIEWS ABOUT GREAT DEPRESSION

Keynes' view on the causes of the Great Depression and what needed to be done was very different. He believed that there were overarching problems of low demand and static pessimistic expectations that needed to be addressed rather than disequilibria in the loanable funds, labour and goods markets. In particular, he maintained that:

a. Low investment was because of firms' bearish expectations about their ability to sell the products they produced. Firms needed to see that the potential buyers of their goods had the money and the willingness to buy goods before they could be convinced to undertake more production thereof. Therefore, higher savings, which would lead to low consumption expenditure on goods and services would not increase but decrease investment by reinforcing firms' bearish expectations about their ability to sell their products. Policy recommendation: households should be convinced to increase consumption and reduce saving.

b. Unemployment was high and rising because the labour market equilibrium was moving further and further away from the full employment level. This was not because wages were being prevented from falling to the market clearing level, but because the market clearing level fell further with each wage decrease. This happened because a reduction in wages also lowered consumers' earning and spending power reinforcing firms' pessimistic view of their ability to sell their products. Policy recommendation: higher money payments to consumers should be given out (possibly by the state) in order to increase their ability to buy the goods being produced by firms.

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Lesson 26

INTRODUCTION TO MACROECONOMICS (CONTINUED)

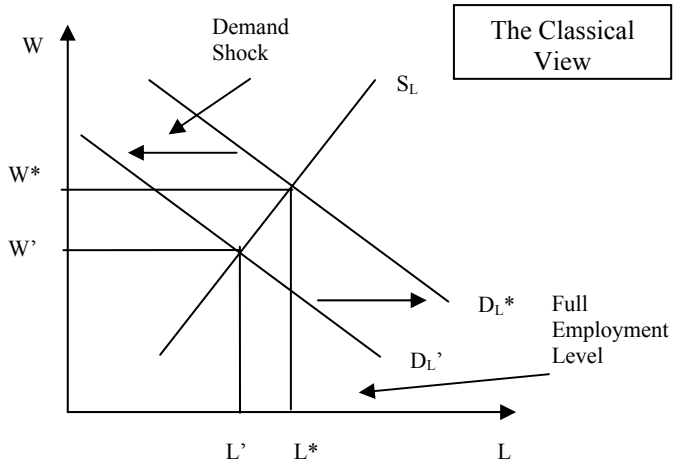
DIFFERENCES BETWEEN CLASSICAL AND KEYNESIAN ECONOMICS

We can see the major differences between classical and Keynesian economics in three ways:

1. Labor market
2. Market for loanable funds
3. Aggregate demand and supply

1- (A) LABOR MARKET: THE CLASSICAL VIEW

If there is excess supply of labor in the labor market, then market mechanism will cause the price of labor (wages) to fall and labor demand is increased by the firms and clears the market.

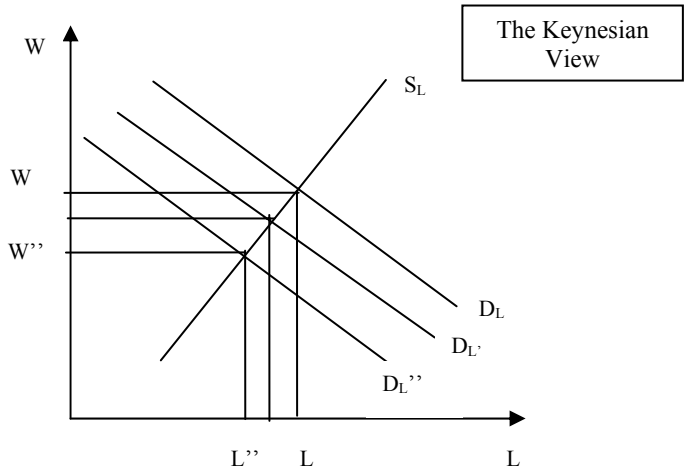


A negative demand shock decreases the labor demand and shifts the labor demand curve downward. If market mechanism works freely then wages would fall to W' and demand for labor will rise and shifts back again to D_L*, and equilibrium is reestablished again at full employment level. But classical economists face the problem that wages do not fall in accordance with the labor demand. The reason why the wage rate do not fall much is that wages are sticky downwards. Wages get stuck to a level and do not fall below certain level.

(B) LABOR MARKET: THE KEYNESIAN VIEW

Keynes said once there is an excess supply of labor in the labor market and there is the pressure of wage rate to fall then firms look at the pressure of wage rate falling in a negative way. They think people are becoming poorer due to lower wages and they will not buy our products. So firms have no incentives to invest in the production of new goods.

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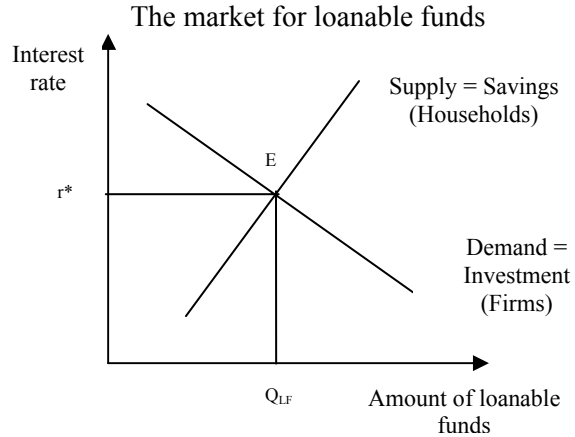


If demand for labor falls to $D_{L'}$, then this would require wage rate to fall but once the wages fall then what would be the impact of this on the firms? Wages of consumers are used as the consumer spending. So when firms saw that people are becoming poorer they will have less incentive to produce more goods. So, investment falls and demand for labor also falls and further shifts downward to D_L''. Wages would also decrease further. This will continue and increase unemployment. This is how Keynes explains the reasons of high unemployment in the period of great depression.

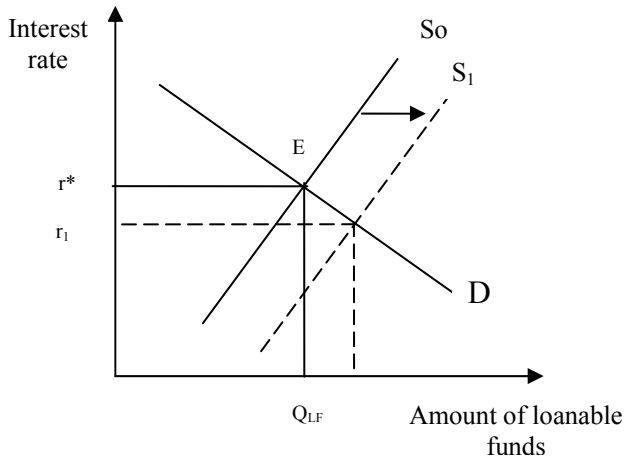
In summary, Keynes believed that an economy could settle at equilibrium below the full employment level, he advocated demand-side policies to lift the economy out of that equilibrium towards full employment. He suggested the government spend itself and encourage consumption spending. This would cause demand and prices of goods to rise, generating firms' interest in producing more. This would in turn require hiring to go up, which would cause labour incomes to go up which would lead to further higher demand for goods and hence a reinforcement of the virtuous circle. Only such a circle could, according to Keynes, change agents' pessimistic view of the future and take the economy out of Depression.

2- (A) MARKET FOR LOANABLE FUNDS: THE CLASSICAL VIEW

This is the market of money. Depositors provide the supply of loanable funds and business/firms borrow the money generating the demand for loanable funds.

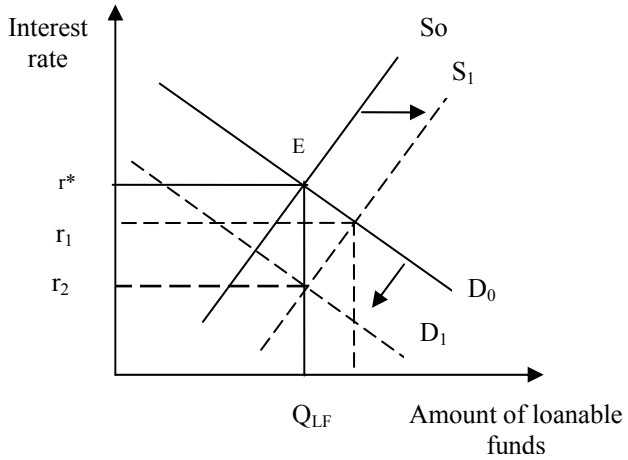


According to classicals, firms were not investing during great depression because of higher interest rate. Interest rate is the cost of borrowing the funds for the firms. When firms borrow funds, it has to pay the interest rate, that's why firm's investment was declined. According to them, if we lowered the interest rate then we can encourage the firms for investment. So individuals should save more, provide more and more money to the banks so that the supply of funds increase and interest rate fall.



(B) MARKET FOR LOANABLE FUNDS: THE KEYNESIAN VIEW

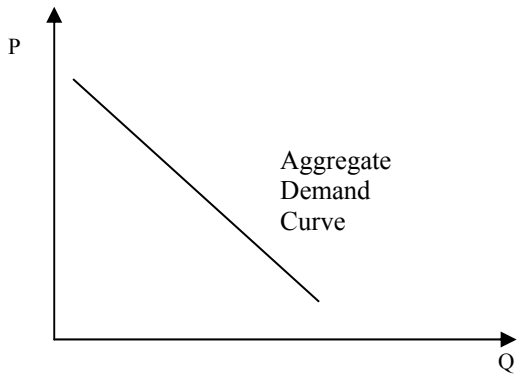
Keynes said if you increase the supply of loanable funds the savings increase and consumption of consumers falls. This means that firms demand for new investment will fall and its curve shifts downward. Because they see that they would not be able sell their goods. So the new market clearing interest rate would be r2. Thus increased savings would cause investment demand to fall.



AGGREGATE DEMAND

Aggregate demand (AD) is the total planned or desired spending (expenditure) in the economy during a given period. AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

AD curve slopes downward for both Keynes and classicals.



WHY AD CURVE SLOPES DOWNWARD

AD curve slopes downward due to the following three effects.

1. The interest rate effect of a price level increase on AD is negative as it causes a fall in investment demand. Higher prices cause the nominal interest rate to rise discouraging firm investment.
2. The wealth effect of a price level increase on AD is negative and works through the reduction in the purchasing power of consumers' income and wealth (real asset values). These cause a reduction in consumption demand.
3. The international purchasing power (or competitiveness) effect of a price level increase on AD is also negative as it reduces the net foreign demand for domestic goods and services. As the price level of a certain country increases the demand for its exports falls because they become expensive (less competitive) in international markets.

FACTORS THAT SHIFTS AGGREGATE DEMAND

AD shifts to the right when any component of AD increases autonomously; e.g., if

a) Consumers become more willing to spend at every price level;
b) There are autonomous increases in investment due to better business prospects;
c) The government spends more, or reduces taxes;
d) Net exports rise at all prices (due to say an increase in the quality of domestic goods relative to foreign goods).

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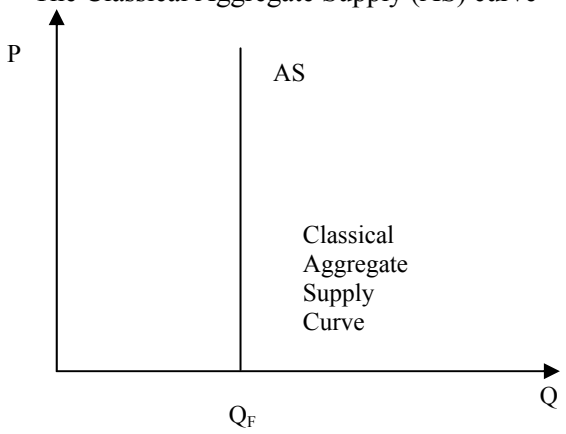
Lesson 27

INTRODUCTION TO MACROECONOMICS (CONTINUED)

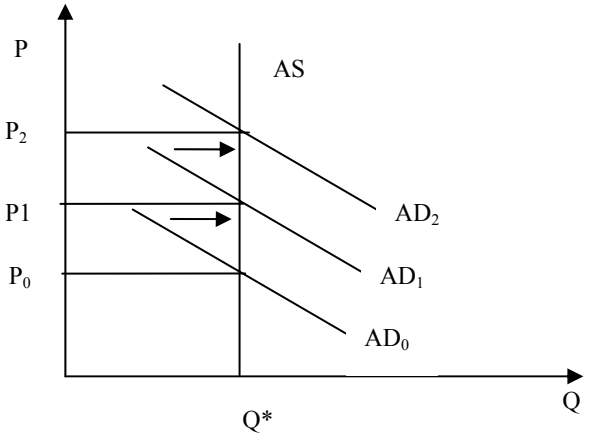
3- (A) AGGREGATE DEMAND AND SUPPLY: THE CLASSICAL VIEW

The AS curve was vertical therefore lack or excess of demand could not explain the low level of activity in the aggregate market for goods and services. Policy recommendation: focus on ways to move the AS curve to the right (i.e. supply side measures). According to classicals, economy is always at full employment level. Economy would automatically find the new equilibrium in the long run; they did not talk about short run.

The Classical Aggregate Supply (AS) curve



Shifts in AD curve would have no effect on ASC or on output level in the classical world. Any shift in AD curve will cause only change in the price level but output will not change. Output can change only if the AS curve would shift. AS curve can be shifted due to the availability of new resources, technology and wage rate.

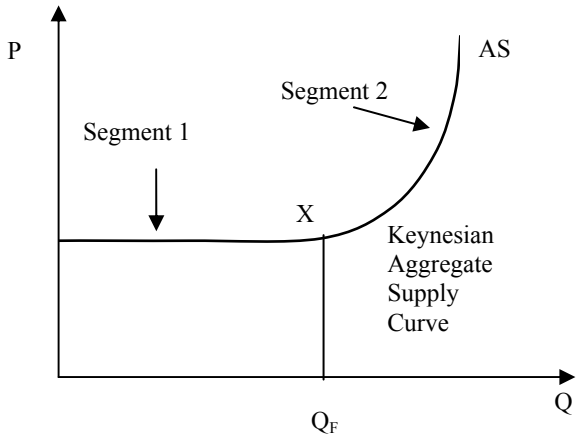


(B) AGGREGATE DEMAND AND SUPPLY: THE KEYNESIAN VIEW

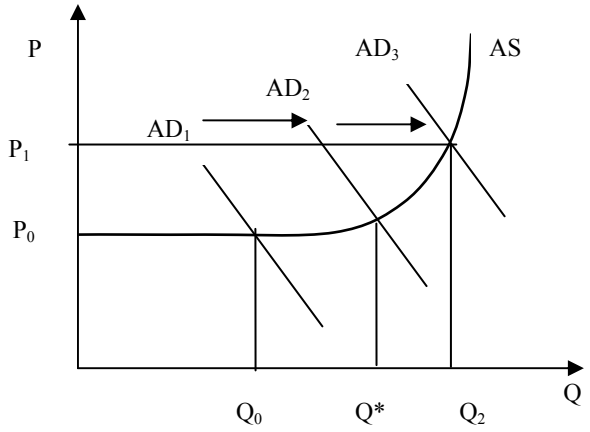
The AS curve was horizontal at the less than full employment level (i.e. when there was excess capacity or slack in the economy), and upward sloping after that, so that an injection of aggregate demand in times of recession could materially increase output, employment and national income. Keynes said that output can be increased after increasing the price. In short run, it is possible for the people to do overtime, so in short run AS curve is positively sloped and in the long run it becomes vertical.

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The Keynesian Aggregate Supply (AS) curve



Shifts in AD curve would have the impact on the output level. Output will increase as the AD curve shifts rightward. Keynes said that prices are fixed in the short run.



KEYNES DEMAND MANAGEMENT POLICIES

Keynes exerted a phenomenal influence on economic thinking and policy-making in the 20th century and to date. In the 1950s and 60s, Keynesian demand management policies were practiced by many governments when demand went "off" due to cyclical fluctuations of the economy. In recessions, the government increased spending and encouraged the private sector to do the same. In booms the opposite was done to cool the economy down.

The major problem with Keynesian demand management policies was that they viewed unemployment and inflation to be the opposite sides of the same coin. Thus, if unemployment was high, prices must be low and vice versa. Keynes' policies could not be applied in a situation where both prices and unemployment were rising (stagflation) – this situation arose in the 1970s with the two oil price shocks (which were essentially supply side shocks), and led to the decline of Keynesian economics.

Keynes' suggestions were taken on board by government but in a rather different context than he might have anticipated, i.e. in the context of war. The Second World War broke out in 1939 and the higher defense expenditures by European governments to finance the War gave the necessary boost to aggregate demand. But while the economy emerged from its low-demand recession, it now faced supply-side destruction due to war.

Keynes was not a socialist, just someone who believed the market could not be left alone. He was the brain child of institutions such as the IMF, WB and GATT.

DIFFERENT SCHOOLS OF THOUGHTS

The Monetarist School:

The Monetarist School, led by Milton Friedman separated the explanation for inflation and unemployment. He noted that inflation was always and everywhere a monetary phenomenon and the key to keeping inflation low was to keep monetary growth aligned with expected real output growth.

The Real Business Cycles (RBC) School:

The Real Business Cycles (RBC) School also gained currency in the 1970s. The exponents of the business cycles view noted that output fluctuated mainly due to technology shocks faced by the economy, and that no Keynesian type policy could, or should attempt to, neutralize their effects.

The Rational Expectations School:

The same period, 1970s, saw the rise of the rational expectations school (as opposed to Keynes' static expectations hypothesis) led by such people as Robert Lucas, Robert Barro and Thomas Sargent who conceptualized agents as making use of all the information available to them, and not just past information, while making decisions. Under these and other conditions they showed that predictable macroeconomic policies (like Keynesian demand management policies) had no effect on real output or unemployment.

Neo Classical Economics:

Coupled with the insights of the monetarist and business cycle schools, this view of the world reinforced the pre-Keynesian beliefs in the power of the free market and stressed the micro-foundations of macroeconomics. For this reason, it is called new or Neo Classical Economics.

The Neo Keynesian School:

Since the 1980s, the new or Neo Keynesian School has emerged, led by economists such as Joseph Stiglitz. The new Keynesians have highlighted market failures at the micro level that may arise due to information asymmetries and coordination failures (moral hazard and adverse selection problems). As such they have shown avenues for meaningful government intervention.

This is broadly where modern macroeconomics currently stands.

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EXERCISES

Which of the following are macroeconomic issues, which are microeconomic ones and which could be either depending on the context?

a) Inflation.
b) Low wages in certain service industries.
c) The rate of exchange between the pound and the euro.
d) Why the price of cabbages fluctuates more than that of cars.
e) The rate of economic growth this year compared with last year.
f) The decline of traditional manufacturing industries.

a) Macro. It refers to a general rise in prices across the whole economy.
b) Micro. It refers to specific industries
c) Either. In a world context, it is a micro issue, since it refers to the price of one currency in terms of one other. In a national context it is more of a macro issue, since it refers to the euro exchange rate at which all UK goods are traded internationally. (This is certainly a less clear–cut division that in (a) and (b) above.)
d) Micro. It refers to specific products.
e) Macro. It refers to the general growth in output of the economy as a whole.
f) Micro (macro in certain contexts). It is micro because it refers to specific industries. It could, however, also help to explain the macroeconomic phenomena of high unemployment or balance of payments problems.

This question is about the merits and demerits of an economic system (like socialism) which mainly focuses on ways of achieving equality of incomes and wealth across citizens. Would it ever be desirable to have total equality in an economy?

The objective of total equality may be regarded as desirable in itself by many people. There are two problems with this objective, however.

The first is in defining equality. If there were total equality of incomes then households with dependants would have a lower income per head than households where everyone was working. In other words, equality of incomes would not mean equality in terms of standards of living. If on the other hand, equality were to be defined in terms of standards of living, then should the different needs of different people be taken into account and should people with special health or other needs have a higher income? Also, if equality were to be defined in terms of standards of living, many people would regard it as unfair that people should receive different incomes (according to the nature of their household) for doing the same amount of work.

The second major problem concerns incentives. If all jobs were to be paid the same (or people were to be paid according to the composition of their household), irrespective of people's efforts or skills, then what would be the incentive to train or to work harder?

Is it possible to disagree with the positions that the different countries have been assigned in the spectrum diagram in Lecture 25 based on one's general knowledge about these countries' economic systems?

Yes. Given that there is no clearly defined scale by which government intervention is measured, the precise position of the countries along the spectrum is open to question.

Which macroeconomic problem(s) has/have generally been less severe since in the early 1990s than in the 1980s?

Inflation and, since the mid-1990's, unemployment. We must remember that unemployment was a major problem in the 1920s and 1930s (during the Great Depression) and inflation was a major problem in the 1970s and early 1980s.

This question is about wages, about whose rigidity and flexibility Classical economists and Keynes argued for long. Why are real wages likely to be more flexible downwards than money (or nominal) wages?

Money (or nominal) wages are unlikely to fall. The reason is that price inflation is virtually always positive. Thus if money wages were to fall, there would have to be a bigger fall in real wages. For example if inflation were 10 per cent and firms wanted to cut money wages by 5 per cent, this would mean cutting real wages by 15 per cent: something they would find hard to get away with. Real wages, on the

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other hand frequently do fall. Because wage agreements are usually made in money terms, it only needs inflation to go ahead of money wage increases, and real wages will fall.

Another reason why money wages are less flexible downwards has to do with money illusion. People will resist a cut in money wages, seeing this as a clear cut in their living standard. If, however, a money wage increase is given a bit below the rate of inflation (i.e. a real wage cut), many workers will perceive this as an increase and will be more inclined to accept it. And indeed, because pay increases normally occur annually, any money rise (even if below the annual rate of inflation) will be a temporary real rise for a few months, until inflation overtakes it.

Would it be possible for a short-run AS curve to be horizontal at all levels of output?

No. Given that some factors are fixed in supply in the short run, there will inevitably be a limit to output. As that limit is approached, the AS curve will slope upwards until it becomes vertical at that limit.

If firms believe the aggregate supply curve to be relatively elastic, what effect will this belief have on the outcome of an increase in aggregate demand?

Firms will respond to the increase in aggregate demand by increasing their output and investment. There are two main reasons. The first is that they will expect output elsewhere to increase and that they will therefore be able to obtain supplies. The second is that, if they believe that the rise in aggregate demand is not going to cause inflation to increase significantly, they will not expect the government to start deflating the economy and thus dampening demand again. They will therefore expect their increased sales to continue.

What might be the negative effects of higher government expenditure (the suggested policy prescription of Keynes) on the private sector?

Increased government expenditure (financed from borrowing from banks) has two possible negative effects on the private sector: financial crowding out and resource crowding out. In the former, higher government borrowing from banks leaves fewer loanable funds with banks to lend to the private sector. In any case, the interest rate rises due to a higher demand for loanable funds. This has a negative impact on private sector investment. As for resource crowding out, government projects could divert key workers and other resources that are in short supply away from the private sector. Since labour and other resources are not homogeneous and not perfectly mobile, resource crowding out can occur even when the economy has some slack in it, i.e. is operating at less than full employment.

What, in Keynes's view, would be the impact of a higher money supply on output, given that there "is" slack in the economy?

A rise in money supply results in an increase in aggregate demand: as people hold more money and their consumption demand increases. Interest rates also fall causing investment demand to rise. All this will lead to a rise in output with little increase in the level of prices. Thus the nominal increase in money supply translates fully into a real increase, delivering a strong output response in the process.

What would be the Classical economists' criticism of this argument?

That the increases in money supply would simply lead to higher prices in the private sector, and that the government projects (public works etc.) would lead to "full" crowding out - financial and resource. Given that the cause of the problem, to Classical economists, was market rigidities, the solution was to free-up markets: to encourage workers to accept lower wages, and producers to charge lower prices.

In the extreme Keynesian model, is there any point in supply-side policies?

Yes. Successful supply-side policies, by increasing potential output, will shift the upward sloping and vertical portions of the AS curve to the right. As a result, expansionary demand management policies could now increase output to a higher level than before.

In the new (or neo) Classical model, should supply side policies be used as a weapon against inflation?

It is important o understand that new classical economics is strongly inspired by monetarist thinking. Monetarists separated the explanation for inflation and unemployment. According to them, the way to reduce unemployment was to invoke supply side measures which serve to reduce the natural rate of unemployment, whereas demand side policies (which for monetarists means monetary policy) policies should be used to tackle inflation. Therefore the answer to the above question is "no".

If we assume that if prices and wages are flexible and agents form expectations rationally, then is the task of the macroeconomic policymaker trivial?

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The answer is no. This question is about neo-Keynesianism. As you know, the debate between Classicals and Keynes was related to the functioning of markets and the flexibility of prices and wages therein. Keynes said wages were rigid, Classicals said they shouldn't be. Then there was the debate between Keynesian economists and neo-Classical economists over how agents formed expectations about the future. Keynes believed in static expectations whereas neo-Classical economists believed in rational expectations. Now if we assume that prices and wages are perfectly flexible and expectations are rationally formed, then we are essentially subscribing to the laissez faire, pre-Keynesian Classical view of things., in which there was very little role for government intervention. However, this is where neo-Keynesians come in. The new Keynesians have highlighted market failures at the micro level that may arise due to information asymmetries and coordination failures (moral hazard and adverse selection problems). As such they have shown avenues for meaningful government intervention.

How might expansionary aggregate demand policy positively affect aggregate supply?

If the expansion in demand comes about due to higher investment, and if the same leads to technological change (this usually happens in the very long run), then the long-run AS curve might also shift to the right. In this case, the expansionary impact on output and income effect will be magnified.

Does the shape of the long-run AS curve depend on how the 'long' run is defined?

Yes. If the long run is defined so as to include the possibility of technological change resulting from investment, then the long-run aggregate supply curve can be deemed relatively elastic (flat).

Assume that there is a fall in aggregate demand (for goods). Trace through the short-run and long-run effect on employment.

Prices fall. This causes the real wage to rise. At this real wage rate there is a deficiency of demand for labour. In the short run there will be an increase in unemployment. In the long run the deficiency of demand will drive down the money wage rate until the real wage rate has returned to its earlier level.

If AS and AD in an economy intersect at a point a, and after a rightward shift in AD and a leftward shift in AS, the new equilibrium obtains at a g which is vertically above point a, does this necessarily imply that the long-run AS curve is vertical?

It would only be so if the upward shifts in the (short-run) AS curves had been entirely due to the increased aggregate demand feeding through into higher prices. If, however, AS had shifted upwards partly as a result of cost-push pressures independent of aggregate demand, then point g could still be vertically above point a (i.e. if the long-run AS curve were upward sloping and had shifted upwards). With an upward-sloping long-run AS curve, if there had been no such cost-push pressures, g would be to the north east of a. Alternatively, if cost-push pressures had been great enough, point g could be to the northwest of point a.

Is it possible for the AS curve shift to the right over time? If it did how would this influence the effects of the rises in aggregate demand?

Potential GDP, Yp, and AS, will shift to the right over time as potential growth takes place (new resources discovered and new technologies invented). Also the rise in aggregate demand and in output may lead to increased investment and hence a bigger capital stock: this too will shift Yp and AS to the right. The rightward shift of Yp and AS will allow the rise in aggregate demand to lead to a bigger increase in actual output (Y) and a smaller increase in the price level.

Assume that there are two shocks. The first causes aggregate supply to shift to the left. The second, occurring several months later, has the opposite effect on aggregate supply. Show that if both these effects persist over a period of time, but gradually fade away, the economy will experience a recession which will bottom out and be followed in smooth succession by a recovery.

A fall (leftward shift) in aggregate supply in the new classical model will reduce output and hence cause a recession. If the shock pushing the AS curve to the left persists for a period of time, then the recession will deepen as aggregate supply falls, but less and less quickly as the effect fades away. If the second shock has a rightward pushing effect on the AS curve, then, as the first effect fades away, the second effect will become relatively stronger. Output will begin to rise again and gather pace as the first effect disappears. Whether output will continue to fall initially after the appearance of the second effect depends on the relative size of the two effects at that particular stage.

If you are living in a Keynesian world and there is slack in the economy and room for expansionary macroeconomic policies, would you introduce these policies in a slow and steady manner or haphazardly and suddenly?

Demand management would have be carried out in a steady and predictable way since Keynes assigned a lot of importance to certainty and stability and the confidence they give to firms undertaking investment.

If constant criticism of governments in the media makes people highly cynical and skeptical about the government's ability to manage the economy, what effect will this have on the performance of the economy?

The economy will become less manageable! It may become less stable and as a result investment and growth may be lower and inflation higher. The worse people believe the long-term economic prospects are for the country, the more pessimistic they are likely to become, and thus the worse is likely to be the actual performance of the economy.

This question is about the Monetarist challenge to Keynesian economics. Since this is a difficult question to answer, I would advise you to revisit it at the end of the course and during the discussion on inflation, and the monetary sector.

How would a monetarist answer the Keynesian criticisms given below?

1. 'The time lag with monetary policy could be very long.' Monetarists do not claim that monetary policy can be used to fine tune the economy. It is simply important to maintain a stable growth in the money supply in line with long-term growth in output.
2. 'Monetary and fiscal policy can work together.' Monetarists would argue that it is the monetary effects of fiscal policy that cause aggregate demand to change. Pure fiscal policy will be ineffective, leading merely to crowding out.
3. 'The velocity of money is not stable, thus making the predictions of the quantity theory of money – i.e. that monetary growth must necessarily lead to inflation – is unreliable.' Monetarists would accept that the velocity of money circulation fluctuates in the short term, but they will argue that there is still a strong correlation between monetary growth and inflation over the longer term.
4. 'Changes in aggregate demand cause changes in money supply and not vice versa.' Monetarists would argue that if governments respond to a rise in aggregate demand by allowing money supply to increase, then that is their choice to expand money supply. If they had chosen not to and had pursued a policy of higher interest rates, then money supply would have thereby been controlled and aggregate demand would soon have fallen back again.

Suppose that, as part of the national curriculum, everyone in the country had to study economics up to the age of 16. Suppose also that the reporting of economic news by the media became more thorough (and interesting!). What effects would these developments have on the government's ability to manage the economy? How would your answer differ if you were a Keynesian from if you were a new classicist?

People's predictions would become more accurate (at least that's what teachers of economics would probably hope!). Thus the government would be less able to fool people. In the new classical world there would be less shifting of the short-run AS curve or the short-run Phillips curve. The government would find it even more useless to try to reduce unemployment by demand-side policy. On the other hand a tight monetary policy would be more likely to reduce inflation very rapidly.

In the Keynesian world, correctly executed demand management policy would be seen to be so. This would create a climate of confidence which would help to encourage stable growth and investment. On the other hand, poorly executed government policy would again be seen to be so. This could cause a crisis of confidence, a fall in investment and a rise in unemployment and/or inflation.

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Lesson 28

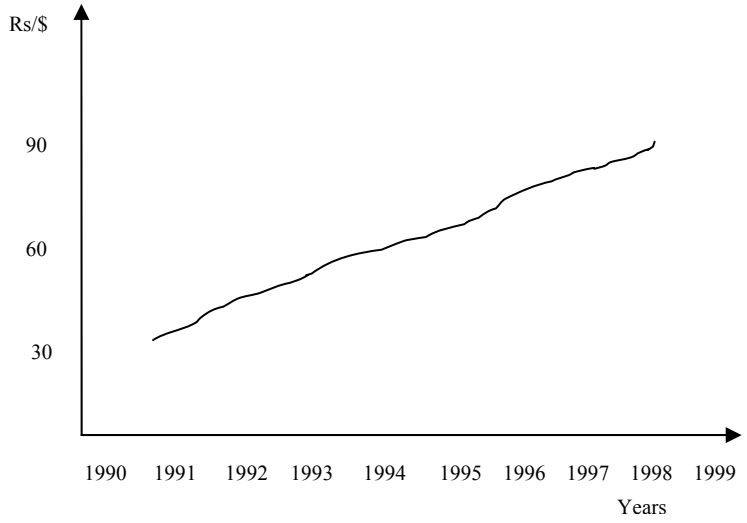
MACROECONOMIC DATA & NATIONAL INCOME ACCOUNTING

THE USE OF MACROECONOMIC DATA

As said: "there are lies, damned lies and statistics." Likewise, macroeconomic statistics are also susceptible of both manipulation and misinterpretation. In order to ensure that you understand what a particular number or data representation really means, the following need to be considered:

- **i.** Data might be used selectively. Certain information might be excluded: e.g. inflation as a whole might have increased but food inflation might have fallen.
- **ii.** In graphs, the vertical and horizontal scales used might be such in a way so as to paint a very dramatic (or totally benign) picture of things.
- **iii.** Values used might be absolute, not proportionate. People might be paying higher taxes, but as a proportion of income, the same may have fallen, as incomes might have risen even higher.
- **iv.** Questions of distribution might be ignored. For e.g., while the economy might have become richer overall, the ownership of the higher wealth might be highly skewed so that the richer have become richer and poor poorer.
- **v.** Data might be nominal or real. Nominal data is recorded in money terms, unadjusted for inflation. Real data is nominal data adjusted for changes in prices. Most macroeconomic data is presented and analyzed in real terms so as to permit meaningful intertemporal and cross-country comparisons.
- **vi.** Certain time periods might be excluded: e.g. economic growth might be 4.5% over the 1990-95 timeframe, but only 3.5% over the 1988-97 horizons.
- **vii.** Data might be aggregate, ignoring per capita considerations: e.g. a country's national income goes up but per capital income goes down due to a bigger population.
- **viii.** Vii also applies in the context of growth rates. So if national income is growing at 5% p.a. but the population at 6% p.a., per capital income would be falling at the rate of 1% p.a.

Graphical presentation of data (use of scale) Exchange rate



5 people in the economy	Income in (000)s				
	A	B	C	D	E
Old government	100	110	120	130	140
New government	60	70	75	300	450

Mean (old government) = $\frac{610}{5}$ = 122 Median (old government) = 120

Mean (new government) = $\frac{955}{5}$ = 191 Median (new government) = 75

Nominal data is the data which is expressed in monetary terms while real data is the data after adjusting nominal data for inflation.

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1%	-5%	1%	3%	4%	5%	2%	1%

Between 1982 & 1985, average growth rate = 3.5%
Between 1979 & 1986, average growth rate = 1.5%

NATIONAL INCOME ACCOUNTING

Gross Domestic Product (GDP):

Gross domestic product (GDP) is the value of the total final output produced inside a country, during a given year. GDP, like all measures of national income, is a flow (as opposed to stock) figure accruing over the period of one year. Gross Domestic Product is the total market value of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year. This is the government's official measure of how much output our economy produces.

Concept of Flow and Stock:

A flow figure refers to a certain period of time. A stock figure implies a particular point in time and therefore changes instantaneously. Flows accumulate into stocks. Changes in stocks equal flows. In accounting terminology, stocks are balance sheet items, while flows are income statement items.

The change in stocks measures changes in the value of unsold inventories in a given time period. When aggregate demand is high and running ahead of current production, the value of stocks held by businesses tends to fall. This is known as de-stocking. Conversely when demand falls, business might be left with an unplanned increase in unsold output leading to a rise in stocks. Changes in stocks are normally a good leading indicator of where the economy is likely to head in the next six months.

Stock: A variable or measurement that is defined for an instant in time (as opposed to a period of time). A stock can only be measured at a specific point in time. For example, money is the stock of production that exists right now. Other important stock measures are population, employment, capital, and business inventories.

Flow: A variable or measurement that is defined for a period of time (as opposed to an instant in time). A flow can only be measured over a period. For example, GDP is the flow of production during a given year. Income is another flow measures important to the study of economics.

METHODS OF MEASURING GDP

There are three equivalent ways of measuring GDP:

i. **The product or value added method** which sums the value added by all the productive entities in the economy;
ii. **The expenditure method** which sums up the value of all the "final goods" transactions taking place in the economy;
iii. **The factor income method** which sums up all the incomes earned by all the factors of production in the economy (rent for land, wages for labour, interest for capital, and equity returns for entrepreneurship).

The three methods are equivalent. One way to see why this must be so is because in an ex-post sense, aggregate supply (i) = aggregate demand (ii) = national income (iii).

Value added is the difference between the value of goods produced and the cost of materials and supplies used in producing them. Value added consists of the wages, interest and profit components added to the output by a firm. Value added is the difference between inputs and outputs e-g if a firm spends Rs.500 making a good (inputs) and sells its product (output) for Rs.750, then value added is Rs.250.

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OR

Value added is the increase in the value of a good at each stage of the production process. The value that's being increased is specifically the ability of a good to satisfy wants and needs either directly as consumption good or indirectly as a capital good. A good that provides greater satisfaction has greater value. In essence, the whole purpose of production is to transform raw materials and natural resources that have relatively little value into goods and services that have greater value.

Final and Intermediate Goods:

Final goods are meant for direct use by the end consumer rather than for further processing. Intermediate goods are those that are intended for further processing. So an iron rod, if purchased by a household as a weapon against infiltrating thieves would categorize as a final good, but if purchased by a firm for use in the making of an automobile would categorize as an intermediate good.

GDP might be calculated at market prices (includes sales tax paid by consumer as part of the final price) or at factor cost (excludes sales tax). If there is no sales tax, the two measures collapse to the same thing.

Final good: A good (or service) that is available for purchase by the ultimate or intended user with no plans for further physical transformation or as an input in the production of other goods that will be resold. Gross domestic product seeks to measure the market value of final goods. Final goods are purchased through product markets by the four basic macroeconomic sectors (household, business, government, and foreign) as consumption expenditures, investment expenditures, government purchases, and exports. Final goods, which are closely related to the term current production, should be contrasted with intermediate goods--goods (and services) that will be further processed before reaching their ultimate user.

Intermediate good: A good (or service) that is used as an input or component in the production of another good. Intermediate goods are combined into the production of finished products, or what are termed final goods. Intermediate goods will be further processed before sold as final goods. Because gross domestic product seeks to measure the market value of final goods, and because the value of intermediate goods are included in the value of final goods, market transactions that capture the value of intermediate goods are not included separately in gross domestic product. To do so would create the problem of double counting.

Difference between total value and value added:

Firm A: Produces steel from raw iron and sells it for Rs 100,000 to firm B.

Firm B: Buys steel worth Rs 100,000 then processes it to produce a car body worth Rs 200,000.

Firm C: Buys the car body, adds the other parts etc. and sells complete car for Rs 450,000.

Value added or GDP:

Value of transactions: 100,000 + 200,000 + 450,000 = 750,000

GDP = Sum of the value added by each of the firms:

= 100,000 + (200,000 – 100,000) + (450,000 – 200,000)

= 100,000 + 100,000 + 250,000 = 450,000→ GDP.

Also total expenditure of consumer on car = 450,000

Example:

Good **Col 1**	**Seller** **Col 2**	**Buyer** **Col 3**	**Trans Value** **Col 4**
Steel	**Steel producer**	**Machine producer**	**100,000**
Steel	Steel producer	Car producer	300,000
Machine	Machine producer	Car producer	200,000
Tyres	Tyre producer	Car producer	50,000
Cars	Car producer	Consumer	500,000
Total value of transaction	-	-	1,150,000

MACROECONOMIC DATA & NATIONAL INCOME ACCOUNTING (CONTINUED)

GDP at factor and market prices:
Factor price is the price at which firm sells its final output to the consumers. While market price include factor price plus the indirect taxes imposed by the government. GDP at market price is higher than the GDP at factor price.

GDP at factor cost = GDP at market price – Indirect taxes

Net Domestic Product (NDP):
Net domestic product (NDP) is obtained by subtracting depreciation from GDP. Depreciation is the reduction in the value of a capital good due to the wear and tear caused during production. The total market value of all final goods and services produced within the political boundaries of an economy during a given period of time, usually a year, after adjusting for the depreciation of capital.

NDP = GDP – Depreciation allowance

Depreciation:
Wearing out, breaking down and technological obsolescence of physical capital that results by using in process of production of goods and services. To paraphrase an old saying, "You can't make a car without breaking a few socket wrenches." In other words, when capital is used over and over again to produce goods and services, it wears down from such use.

Gross National Product (GNP):
Gross national product (GNP) is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country. Thus the income earned by Pakistani citizens working in the US would be included in Pakistan's GNP but excluded from Pakistan's GDP. Conversely, the income earned by a US citizen (individual or corporate) in Pakistan would be included in Pakistan's GDP but excluded from Pakistan's GNP. Generally, GNP = GDP + net factor income from abroad. The abbreviation for gross national product, which is the total market value of all goods and services produced by the citizens of an economy during a given time period, usually one year. Gross national product often was once the federal government's official measure of how much output our economy produces.

GNP = GDP + Net factor incomes from abroad

Net National Product (NNP):
Mathematically, national income is net national product (NNP). It is GNP adjusted for depreciation. In words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers. The total market value of all final goods and services produced by citizens of an economy during a given period of time, usually a year, after adjusting for the depreciation of capital. Net national product, abbreviated NNP, has the same relation to net domestic product (NDP) as gross national product (GNP) has to gross domestic product (GDP). Net national product also has the same relation to gross national product that net domestic product has to gross domestic product. Like NDP, NNP is a measure of the net production in the economy.

NNP = GNP – Depreciation allowance

National income (NI):
NNP is often referred to as national income. The total income earned by the citizens of the national economy as a result of their ownership of resources used in the production of final goods and services during a given period of time, usually one year. This is the government's official measure of how much income is generated by the economy.

National Income and Gross Domestic Product:
National income (NI) is the total income earned by the citizens of the national economy resulting from their ownership of resources used in the production of final goods and services during a given period of time, usually one year. Gross domestic product (GDP) is the total market value of all final goods and services produced within the political boundaries of an economy during a given period of time, usually a year. Although national income is generated by the production of gross domestic product, the value of production does not entirely result in earned income. In other words, national income can be derived from gross domestic product after a few adjustments.

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Real GDP: The total market value, measured in constant prices, of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year. The key is that real gross domestic product is measured in constant prices, the prices for a specific base year. Real gross domestic product, also termed constant gross domestic product, adjusts gross domestic product for inflation. You might want to compare real gross domestic product with the related term nominal GDP.

Nominal GDP: The total market value, measured in current prices, of all goods and services produced within the political boundaries of an economy during a given period of time, usually one year. The key is that nominal gross domestic product is measured in current, or actual prices; the prices buyers actually pay for goods and services purchased. Nominal gross domestic product is also termed current gross domestic product.

Real flow includes services of land labor and capital going from households to firms, and products of firms as physical goods of services flowing to households. Real GDP therefore excludes the effect of prices and focuses entirely on the volume (or quantity) of goods and services produced.

Money (or nominal) flow includes the payments firms make to households for factor services and also it includes the household spending money to buy goods from firms. Nominal GDP would therefore include the effect of changes in the price level, as it is a measure of the money value of goods and services produced.

PRICE DEFLATOR

The process of converting nominal GDP into real GDP is known as deflation. A price index calculated as the ratio nominal gross domestic product to real gross domestic product. Also commonly referred to as the implicit price deflator, the GDP price deflator is used as an indicator of the economy's average price level.

GDP Deflator = Nominal GDP / Real GDP

It is the price deflator (see price\ratio expression in brackets below) which enables us to move from nominal to real GDP. It provides a measure of the change in prices from the base (or benchmark) year to year 'a', given values for some aggregate price index for the two years:

$$\text{Real GDP}_{\text{year a}} = \text{Nominal GDP}_{\text{year a}} \times (\text{Price Index}_{\text{base year}} / \text{Price Index}_{\text{year a}})$$

Using a similar formula and the same base year, Real GDP year b can be calculated and then be compared with Real GDP year a to get an idea of real GDP growth over the 'a' to 'b' period.

Example:

- Nominal GDP was \$150 billion in 1985
  & \$300 billion in 1994
- ASSUME that prices have risen by 50% over the period.
- Real GDP in 1994 measured in 1985 prices:
  = \$300 billion x 100/150 = \$200billion

Hypothetical economy

	Year 1	**Year 2**
Apples produced	100	150
Chicken produced	100	140
Cost per apple Rs	2	4
Cost per chicken Rs	4	6

- Nominal GDP in year1 = (100 x 2) + (100 x 4) = 600
- Nominal GDP in year2 = (150 x 4) + (140 x 6) = 1440
- Growth rate in nominal GDP = $\frac{1440 - 600}{600}$ = 140%
- Year2 price index at year 1 prices = $\frac{150 \times 2 + 140 \times 4}{290}$ = 2.966
- Year2 price index at year 2 prices = $\frac{150 \times 4 + 140 \times 6}{290}$ = 4.966 → Current year price index

GDP Deflator:

2.966X = 4.966 x100

X = 167.4%

This is the price level in percentage terms prevailing in the current year (Year2) relative to the price level of Year1.

Real GDP = $\frac{1440 \times 100}{167.4} = 860$

Growth rate = $\frac{860 - 600}{600} = 43\%$

Per Capita GDP:

Per capita GDP is simply the total GDP of the economy divided by the no. of people in the economy. The GDP of China might be bigger than the GDP of Switzerland but in average per capita terms, Switzerland's income might be several times that of China's; the figure given in the lectures was 160.

THE PURCHASING PARITY (PPP)

The purchasing power parity (PPP) measure of GDP recognizes the fact that a given amount of income in one country might not be able to purchase the same quantity of goods and services in another country. So, for e.g., if China' per capita income is 1/160th of Switzerland's per capital income, it might be that goods and services in China are much cheaper and therefore China's per capita income does not need to grow 160 times in order to deliver the same standard of living as in Switzerland. The PPP GDP per capita is therefore a more sensible measure to use for comparison across countries at different levels of development. This is indeed the reason why many international development organizations prefer this over simple GDP per capital.

Per Capita Income, Personal Income and Disposable Income:

Per capita income is obtained by dividing the national income by the total number of population. It is the average annual income per head for all the inhabitants of the country; it is used to represent the standard of living of the people.

Personal income of an individual is the total amount of income s/he receives form deploying all the different factors of production s/he owns. Aggregate personal income is just the above definition aggregated for the whole of the economy. The total income received by the members of the domestic household sector, which may or may not be earned from productive activities during a given period of time, usually one year. The primary use of personal income is to measure the income actually paid out to the household sector. After adjusting for income taxes, personal income forms the basis for consumption expenditures on gross domestic product.

Disposable income is obtained by subtracting the amount of direct taxes from the personal income of the person. Aggregate holds as above as well. The total income used by the household sector for either consumption or saving during a given period of time, usually one year. This is the income left over after income taxes and social security taxes are removed and government transfer payments, like welfare, social security benefits, or unemployment compensation are added.

DRAWBACK OF GDP BASED MEASURES

There are many caveats with a GDP based measure of national income.

- **i.** GDP by definition excludes productive activities in the informal economy. Thus, activities such as a person painting a wall in his own house, or a woman cooking food in her house, would be excluded by a GDP-based measure. In countries where a large part of economic activity goes unreported and undocumented (like in lower income countries), the GDP might seriously understate the level of national income and production.
- **ii.** GDP cannot include the black or illegal economy. So, for example, if a banned good is produced illegally and exported outside the country, and foreign money is received in exchange for it, then that "export revenue" will not be included as part of the GDP. Lower income countries often confront a large black economy which cannot be documented. Living standards in such countries are therefore often higher than what a per capital income measure based on GDP would suggest.

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iii. A GDP-based measure of welfare or living standards also needs to be corrected for externalities. For e.g., if a country's GDP is growing at a very fast rate but this is at the cost of rising environmental pollution (which might cause serious future health hazards) or non-renewable natural resource depletion, then a simple GDP measure of income will overstate the performance of the economy and ignore the serious long-term risks it faces.

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Lesson 30

MACROECONOMIC EQUILIBRIUM; THE DETERMINATION OF EQUILIBRIUM INCOME

THE KEY VARIABLES OF THE MACROECONOMIC MODEL

The circular flow of money in the economy helps illustrate the Classical and Keynesian notions of macroeconomic equilibrium. The circular flow depicts incomes flowing from firms to households in return for factor services supplied by households to firms, and subsequently these household incomes being expended on goods and services supplied by firms to households.

The key variables for a macroeconomic model are:

Y = Income
C = Consumption
S = Savings
I = Investment
T = Taxes
G = Government Expenditures
M = Imports
X = Exports

CIRCULAR FLOW

Circular flow refers to the continuous movement of production, income, and resources between producers and consumers. This flow moves through product markets as the gross domestic product of our economy and is then the revenue received by the business sector in payment for this production. This stream of revenue then flows through resource markets as payments by businesses for the resources employed in production. The payments received by resource owners, however, is nothing more than the income of the household sector. The resource owners of the household sector use this income to purchase goods and services through the product markets, coming full circle to where we began.

THE CONCEPT OF LEAKAGES AND INJECTIONS

A leakage or withdrawal is any use of the income received by households that does not return as revenue to domestic firms. Savings, taxes and imports are examples of leakages as this money does not fall as expenditure on goods and firms produced by domestic firms.

Injections are payments to firms not originating from households: government spending, firms' investment and exports are all examples of injections into the circular flow.

Injection:

A non-consumption expenditure on gross domestic product, including investment expenditures, government purchases, and exports. Injections are combined with leakages in the injection-leakage model used to identify equilibrium aggregate output in Keynesian economics. The notion of injection is best viewed through the circular flow, in which investment expenditures, government purchases, and exports are "injected" into the main flow between output, factor payments, national income, and consumption.

Leakage/Withdrawals:

Leakage is known as non-consumption uses of income, including saving, taxes, and imports. Leakages are combined with injections in the injection-leakage model used to identify equilibrium aggregate output in Keynesian economics. The notion of leakage is best viewed through the circular flow, in which saving, taxes, and imports are "leaked" out of the main flow between output, factor payments, national income, and consumption.

Injection-leakage model:

A model used in Keynesian economics based on the equality of non-consumption expenditures (or injections) and non-consumption uses of income (leakages). On one side of the equality is saving, taxes, and imports -- the non-consumption leakages. On the other side of the equality is investment, government purchases, and exports -- the non-consumption injections. The injection-leakage model provides an alternative to the Keynesian cross for identifying equilibrium aggregate output.

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MACROECONOMIC EQUILIBRIUM: CLASSICAL VIEW

Macroeconomic equilibrium in a Classical sense refers to joint equilibrium in all the underlying sectors or markets of the economy. So S must equal I (loan able funds market; key players are banks and financial markets), G must equal T (fiscal sector; key player is government) and X = M (external sector, key players are importers and exporters). Any disequilibrium at the macro level was attributable to disequilibrium in one or more of these individual markets.

MACROECONOMIC EQUILIBRIUM: KEYNESIAN VIEW

Macroeconomic equilibrium in a Keynesian sense obtains when total injections equal total leakages (or total withdrawals), or aggregate supply equals aggregate demand. These are two equivalent notions of Keynesian equilibrium and can be expressed respectively as:

$$\mathbf{S + T + M \equiv I + G + X \text{ and}}$$

$$\mathbf{AS = Y = AD \equiv C + I + G + (X\text{-}M);}$$

where AS is aggregate supply, Y is national income, AD is aggregate demand, C is consumption, I is investment, G is government spending, X is exports, M is imports, S is saving and T is taxes.

Withdrawal = Injection

By definition → $\underline{S + T + M} = \underline{I + G + X}$

(Adding C to both sides)

$$C + S + T + M = C + I + G + X \quad \text{(Now taking M on other side)}$$

$$C + S + T = C + I + G + X - M$$

$$M = Cf + If + Gf$$

$Cd = C - Cf$ $\qquad Id = I - If$ $\qquad Gd = G - Gf$

R.H.S = (C – Cf) + (I – If) + (G – Gf) + X

= Cd + Id + Gd + X => Total expenditure on domestic goods

Cd + Id + Gd + X = C + I + G + X – M

Total expenditure on domestic goods = AD

For Equilibrium

AD = AS

C + S + T = C + I + G + X – M

In L.H.S

- C + S + T = Y (total income = Y)
- Therefore another way of viewing Keynesian equilibrium is:

Y = AD = AS

Income = Expenditure = Output

Keynes' major insight was that equilibrium in the individual markets was not a necessary condition for equilibrium at the macro level. Indeed it was possible for all the individual markets or sectors to be in disequilibrium but aggregate demand and supply to be equal, and therefore the overall economy to be in equilibrium. As such, he argued that in the face of macroeconomic equilibrium (situations like unemployment, high inflation etc.) policy needed to focus on aggregate demand and aggregate supply rather than individual markets.

To refresh your memories, aggregate demand is the total planned or desired spending in the economy during a given period. It is determined by the money supply, aggregate price level, consumption, domestic investment, government spending and taxes, net exports (i.e. exports minus imports). Aggregate supply is the total value of goods and services that firms would willingly produce in a given time period. Aggregate supply is a function of available inputs, technology and the price level.

Disposable income (Y_d) is that part of the total national income (Y) that is available to households for consumption or saving. So $Y_d = Y - T$.

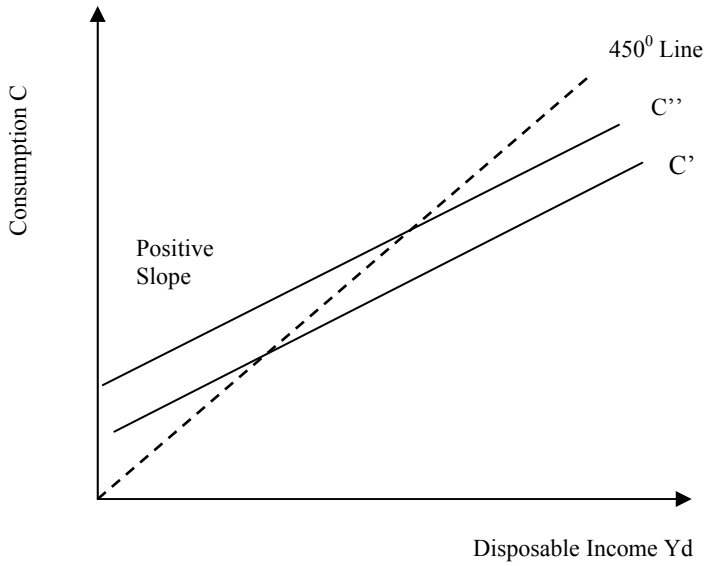
CONSUMPTION AND CONSUMPTION FUNCTION

Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time. Consumption is the most stable and important component of aggregate demand, accounting for about two-thirds to three-fourths of GDP in most countries.

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The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form $\mathbf{C = a + bY_d = a + b(Y-T)}$, where "a" is the minimum level of consumption that must take place even if Y_d is zero, and b is the marginal propensity to consume.
When drawn in expenditure-income space, the consumption function plots as a straight line with positive intercept, and a positive (but less than 1) slope. The slope is merely the MPC. The intercept is positive because some consumption must happen even at a zero level of income (people will borrow and spend on food for e.g.), and the slope is less than 1 because not all the income is consumed (part of it is saved).

Disposable Income (Yd)	Consumption (C`)	Saving (S = Yd – C`)
500	500	0
550	540	10
600	580	20
650	620	30
700	660	40
750	700	50
800	740	60



Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS):
Marginal propensity to consume (MPC) is the extra amount that people consume when they receive an extra dollar of disposable income. MPC's numerical value is usually between 0.5 and 1, but can vary considerably across different countries, population age groups, and stages of a person's life.
Marginal propensity to save (MPS) is the fraction of the additional dollar of disposable income that is saved. Thus, MPC = 1 – MPS. Average propensity to consume (APC) is the ratio of total consumption to total disposable income. Average propensity to save (APS) is the ratio of total saving to total disposable income. As before, APC = 1 – APS.

THE SAVING FUNCTION
The saving function yields the amount of saving that households of a nation will undertake at each level of income. A usual formula is $S = c + d(Y_d)$. d is MPS, positive, and usually less than 0.5.
The relationship between saving and the interest rate is also important. The relationship is positive, is plotted in i-S space, and implies that household saving increases as the interest rate goes up, i.e. the

incentive to keep one's money in the bank and earn interest thereon increases as the return on that money increases.

CALCULATION OF APC, APS & MPC, MPS

- **Average propensity to consume:**
  APC = C / Yd
- **Average propensity to save:**
  APS = S / Yd
  Or
  APS = 1 – APC
- **When** **Yd** = $500 billion **APC** = 1 **APS** = 0
- **When** **Yd** > $500 billion **APC** < 1 **APS** > 0
- **Marginal propensity to consume:**
  MPC = ΔC / ΔYd
- **Marginal propensity to save:**
  MPS = ΔS / ΔYd
  Or
  MPS = 1 – MPC

APC = C/Yd	APS	Yd	C	MPC(ΔC/ΔYd)
500/500=1.0	0	500	500	
540/500=0.98	0.02	550	540	40/50=0.8
580/600=0.97	0.03	600	580	40/50=0.8
620/650=0.95	0.05	650	620	40/50=0.8
660/700=0.94	0.06	700	660	40/50=0.8
700/750=0.93	0.07	750	700	40/50=0.8
740/800=0.92	0.08	800	740	40/50=0.8

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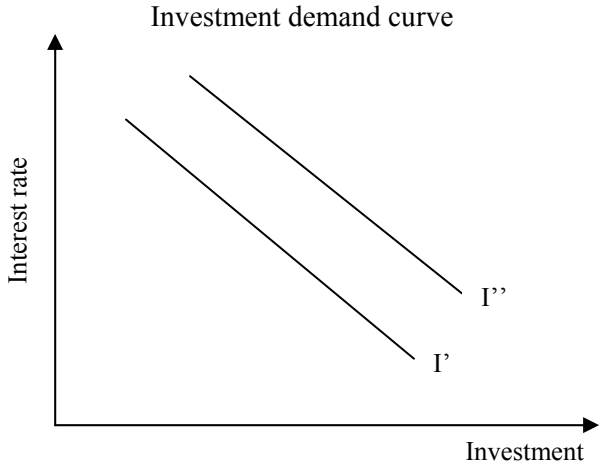
Lesson 31

MACROECONOMIC EQUILIBRIUM; THE DETERMINATION OF EQUILIBRIUM INCOME (CONTINUED)

INVESTMENT AND INVESTMENT DEMAND CURVE

Investment (I) or gross capital formation is any economic activity (usually undertaken by firms) that forgoes consumption today with an eye to increase output in future. Investment is by far the most volatile component of aggregate demand.

The investment demand curve shows the relationship between the level of investment and the cost of borrowing for the firm (i.e. the interest rate), plotted in i-I space. The cost of borrowing is important because most investments are financed using borrowed resources (e.g. loans from banks). The relationship between the interest rate on such borrowing and investment demand is obviously negative, i.e. as the interest rate goes up, investment demand decreases.



TYPES OF INVESTMENT

Investment can be of various types: residential and non-residential construction, purchases of producer durables (i.e., capital equipment, machinery etc.) and buildup of business inventories. While all these different types are affected t some extent by the interest rate, there are other important determinants as well.

- **i.** Residential construction depends upon the number of willing house-buying households, their wealth and indebtedness levels, their ability to obtain a house-building loan from financial institutions and the cost of housing units.
- **ii.** Non-residential construction depends upon the willingness and ability of firms to buy commercial property, the vacancy rate of existing units, the needs of business units for additional commercial space, and firms' ability to meet increased rental costs which are directly linked to their current and expected costs and sales.
- **iii.** The demand for producers' durable purchases depends on utilization of existing productive capacity, the availability of advanced (more efficient) technology, current and expected sales and existing and future competition.
- **iv.** Changes in business inventories depend on current and expected sales, current and expected inventory prices, and certainty of inventory deliveries.

IMPORTS, EXPORTS AND TRADE BALANCE

- Imports are goods and services that are produced in another country and consumed in the home country. Thus a refrigerator produced in Korea brought into Pakistan to be sold here locally would characterize as an import.
- Exports are goods and services that are produced in the home country and consumed in another country. Thus a communications satellite produced in Pakistan but sold to neighboring Iran would categories as a Pakistani export.

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- A country's imports are related to its level of income, exchange rate, domestic prices relative to prices in foreign countries, import tariffs (taxes and customs duties levied on imported goods), and quantitative restrictions (quotas) on imported goods. Imports are influenced by the same variables except that they are affected by foreign, not home, country income levels.
- Trade balance is the excess of exports over imports. A negative trade balance is called a trade deficit. Because the determinants of a country's exports and imports change with time, it is reasonable to expect a country's trade balance to change over time.
- Fiscal Policy is a government program with respect to i) expenditure (G): the purchase of goods and services and spending in the form of subsidies, unemployment benefits etc. and ii) tax revenue (T): the amount and type of taxes.
- T-G is referred to as the fiscal balance. If G>T, there is a fiscal or budget deficit; if G<T, there is a fiscal or budget surplus. If G=T, there is a balanced budget.

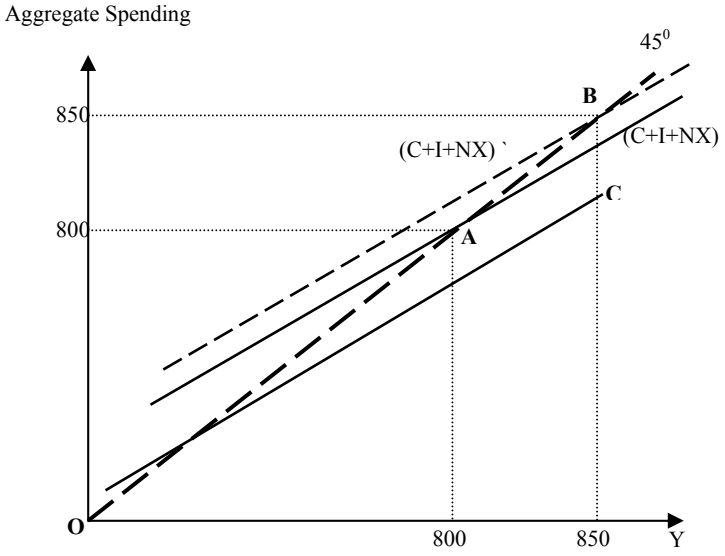
DETERMINATION OF NATIONAL INCOME

The 45^0 Line approach to equilibrium:

The 45^0 line drawn in Y-X space has the feature that at any point on the line, the horizontal and the vertical distances are the same. Thus, if the units used to measure X and Y are the same (i.e. same scales), the values of the two variables at any point along the line are equal.

The 45^0 line drawn in expenditure-income (or AD-Y) space captures macroeconomic equilibrium in the economy (recall, macroeconomic equilibrium obtains when AS = AD = Y). At all points along this line, expenditure and income are equal.

Superimposing the aggregate demand (AD) line or expenditure function on the 45^0 line diagram helps get the level at which a particular economy's equilibrium is struck; i.e. the point at which the AD line intersects the 45^0 line.



The AD or expenditure function is given by **AD = C + I + G + (X-M)**. We saw earlier that the C function was upward sloping with positive intercept but slope between 0 and 1 (i.e. less steep than the 45^0 line). Adding I, G and X-M functions to the C function simply involves moving the C line vertically upwards (parallel shift). So C+I will be higher than C by the amount of I; C+I+G will be higher than C+I by the amount of G; and C+I+G + (X-M) will be higher or lower than C+I+G depending on whether the country is running a trade surplus or deficit, respectively.

Starting from a certain equilibrium level, any increase in G, I and (X-M) will cause a multiplied increase in income. Thus depending on the slope of the AD line, it is possible for a $10mn increase in G (shown by an upward vertical shift of the AD line) to lead to a $50mn increase in equilibrium income and expenditure.

In the above example, if the economy had started from the full-employment equilibrium, then the $10mn increase in G would lead to an inflationary gap. An inflationary gap refers to a situation where there is pressure on prices to rise. The size of the inflationary gap is $10mn, i.e. the amount by which the C+I+G+NX line must shift down to bring equilibrium income back to the full employment level. Likewise, a deflationary gap could result if, starting from the full employment level, there was a reduction in G.

In Billions of $					
Output (Y) Col 1	**Consumer spending (C) Col 2**	**Investment spending (I) Col 3**	**Net Exports (NX) Col 4**	**Aggregate spending (C+I+NX) Col 5**	**Surplus / Shortage (C+I+NX – Y) Col 6**
650	570	100	10	680	30
700	610	100	10	720	20
750	650	100	10	760	10
800	690	100	10	800	0
850	730	100	10	840	-10
900	770	100	10	880	-20
950	810	100	10	920	-30

ALGEBRAIC DETERMINATION OF EQUILIBRIUM

Algebraic determination of equilibrium can be done by inserting the plugging the consumption function in place of C in the equation

$$\mathbf{AD = C + I + G + (X-M)}$$

In the absence of taxes, a consumption function simply collapses to C = a + bY

In equilibrium,

$$\mathbf{Y = AD}$$

Therefore,

$$\mathbf{Y^* = a + bY^* + G + I + (X-M)}$$

This leads to:

$$\mathbf{Y^* = [1/(1-b)] \,.\, [“a” + I + G + X-M]}$$

a is the autonomous part of consumption, i.e. the level of consumption that is independent of income.

Equilibrium analysis can also be done using the injections-leakages approach, i.e. by identifying the point where the upward sloping leakage function (S+M+T) intersects the horizontal injections line (I+G+X).

Example:

Consumption function

C = A + b Y

Where

A = Level of consumption

b = MPC = $\Delta Y / \Delta C$

Y = Income

Consumption function can be formed by:

650 – 610 = C – 610

750 – 700 = Y – 700

C = 0.8Y + 50

Y = C + I + NX

Putting C = 0.8Y + 50

Y = 0.8Y + 50 + 100 + 10

0.2Y = 160

$Y = \frac{160}{0.2}$

= 800

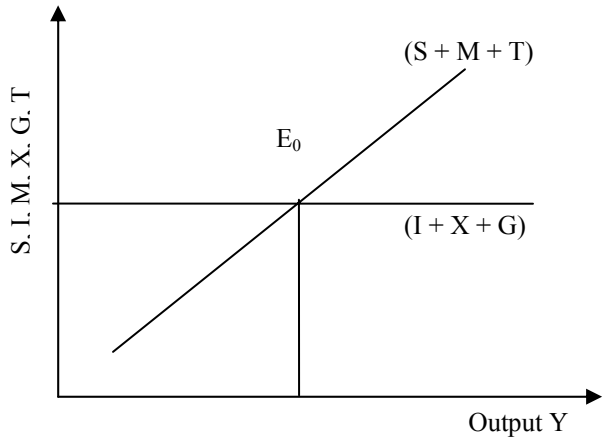
THE WITHDRAWALS - INJECTIONS APPROACH TO EQUILIBRIUM

W = J

S + T + M = I + G + X

Output (Y) Col 1	**Saving (S) Col 2**	**Gross Imports (M) Col 3**	**Gross investment (I) Col 4**	**Gross exports (X) Col 5**
650	80	80	100	90
700	90	80	100	90
750	100	80	100	90
800	110	80	100	90
850	120	80	100	90
900	130	80	100	90
950	140	80	100	90

G Col 6	**T Col 7**	**Withdrawals Leakages (S+M) + T Col 8**	**Injections (I+X) + G Col 9**	**Difference (Leakages - Injections) Col 10**
10	10	170	200	-30
10	10	180	200	-20
10	10	190	200	-10
10	10	200	200	0
10	10	210	200	10
10	10	220	200	20
10	10	230	200	30



How responsive this equilibrium level of income or output to changes in AD or Aggregate expenditures: The Keynesian Multiplier:

Reverting to the 45^0 line approach, the term **[1/(1-b)]** is called the Keynesian multiplier ("k") and is the factor by which equilibrium output, income or expenditure increase in response to an increase in AD (caused by an increase in "a", G, I or X-M). The higher is b, the bigger is the multiplier.

Mathematical representation of Keynes multiplier is as follows:

$$Y = C + I + G + NX$$

As $C = a + bY$

Then,

$$Y = a + bY + I + G + NX$$
$$Y - bY = a + I + G + NX$$
$$Y = \frac{a + I + G + NX}{1 - b} = \frac{1}{1 - b}(a + I + G + NX)$$
$$\mathbf{k = \frac{1}{1 - b}}$$

If any item in the numerator goes up by 10, Y will go up by 10 / 1 – b

If b = 0.8 $\Delta G = 10$

$$k = \frac{1}{1 - 0.8}$$

$\Delta Y = \Delta G \times b = 50$

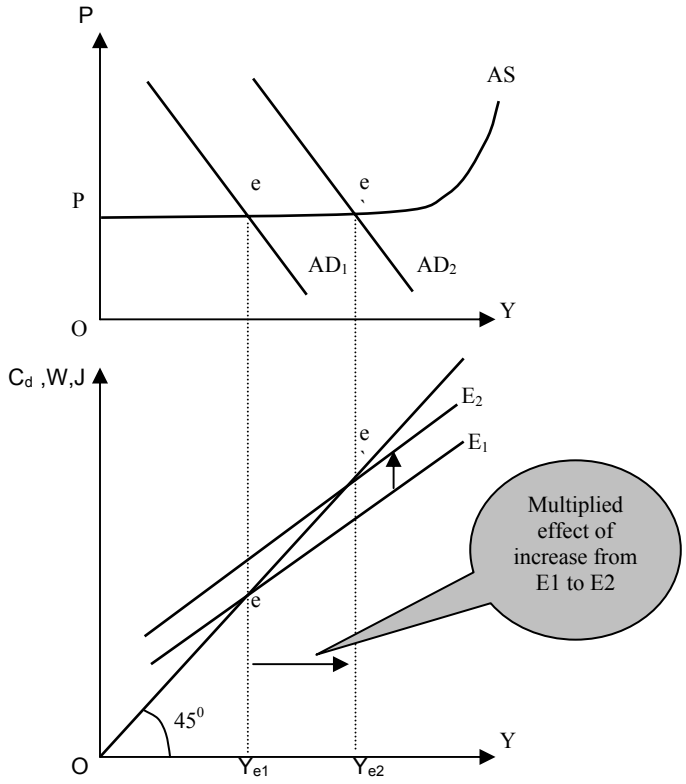
- The higher the value of b, the bigger will be the size of the multiplier,
- The smaller the value of b, the lower will be the size of the multiplier.

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Lesson 32

MACROECONOMIC EQUILIBRIUM; THE DETERMINATION OF EQUILIBRIUM INCOME (CONTINUED)

KEYNESIAN AD & AS APPROACH TO EQUILIBRIUM WITH THE 450 LINE APPROACH



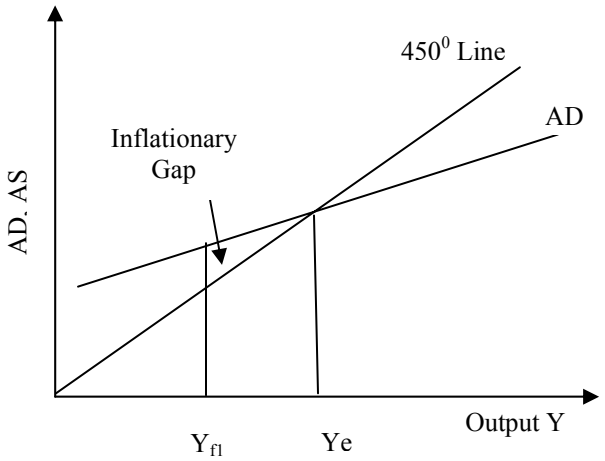
As the aggregate expenditures increases, AD also increases and output will also increase. Change in expenditures is less but change in income is higher due to the multiplier effect. This is the case of horizontal portion of AS where prices are constant.

KEYNES'S INTUITION ABOUT THE MULTIPLIER WAS AS FOLLOWS

An increase in AD caused by an injection into the circular flow, e.g. higher government spending on wages paid to government employees, would lead to higher money wages held by government servants. Higher wages would translate into higher consumption expenditure on goods and services in the economy, leading to higher money incomes of sellers of goods and services. When firms see consumers more prosperous, they are incentivised to produce more, thus their demand for labour goes up. This triggers a second rise of income increases in the hands of workers (who are also consumers) leading to a further multiplied effect on consumption, production and hiring. And so on. The multiplier effect would not be infinite as there are leakages (saving, taxes, and imports) from the circular flow of incomes each time the workers receive wages from firms. The lower the leakages and the higher the marginal propensity to consume, the higher will be the multiplier effect.

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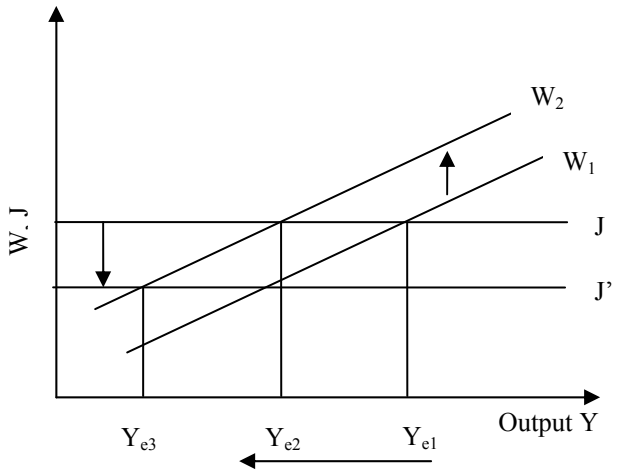
Inflationary Gap



KEYNES PARADOX OF THRIFT

The reverse multiplier effect can be illustrated in the context of Keynes's paradox of thrift, which highlights the negative impact of higher saving in an economy in recession. As noted earlier, Classical economists thought the solution to the problem of low investment during the Great Depression was high real interest rates caused by low savings. If the latter could be increased, the real interest rate would fall and investment would pick up. However, Keynes said that such thrift (or conservative saving behavior) would accentuate the recession. As people save more, they will spend less. Firms will therefore produce less, and labour hiring will, as a result, fall, leading to a decline in incomes. This decline would also happen in a multiplied fashion, causing a huge decline in national income. The paradox lies in the fact that that saving, while usually considered good for any one individual, can actually be harmful to the overall economy if everyone started saving.

Figure: How higher savings lead to lower national income



THE ACCELERATOR

The accelerator is a related concept which formalizes the investment response to output or income changes in an economy. The key observation here is that when an economy begins to recover from a slump, investment can rise very rapidly and, in percentage terms, the rise in investment may be several times the rise in income. Since investment is an injection into the circular flow of income, these changes in investment will cause multiplied changes in income and thus heighten a boom or deepen a recession. The formula for the accelerator is $\alpha = I/(\Delta Y)$, or $(\Delta K)/(\Delta Y)$, noting that $I = \Delta K$, where I is investment and K is capital (the stock of plants, buildings or machinery in the economy).

The reason why investment increases by much more than a change in income is as follows:
Suppose firms anticipate national income (and hence the demand for their products) to rise by 10% p.a. over the next 5 years. In response, firms will therefore normally look to undertake an investment (such as buying a machine) which will enable them to meet this new demand for the entire 5 year period. It is usually neither feasible nor possible to buy a machine that has a one year life! Thus, it is easy to see why a given annual change in output (10%) might prompt firms with a five year horizon to make an investment of over 50%.
Reverting back to the formula, the size of the accelerator, α, depends on the marginal capital to output ratio: $(\Delta K)/(\Delta Y)$. This is the cost of extra capital required to produce a Re.1 increase in national output. So if Rs.2 billion worth of capital is required to produce Rs.1 billion worth of output, then $(\Delta K)/(\Delta Y)$ is 2. It is easy to see that, other things being equal the marginal capital-output ratio and the accelerator are essentially the same. α is likely to be greater than 1.

INTERACTION OF ACCELERATOR AND MULTIPLIER
It is obvious that the interaction of the accelerator and multiplier can set off a chain reaction in the economy which can life output and income manifold. For example, if there is a rise in government expenditure, this will lead to a multiplied rise in national income. But this rise in national income will set off an accelerator effect: firms will respond to the rise in incomes (and the resulting rise in consumer demand) by investing more. But this rise in investment will constitute a further rise in injections and thus will lead to a second multiple rises in income. And so on…
The reason why such an interaction cannot raise output infinitely is because of two reasons i) the economy runs into the full-employment constraint, i.e. there is a fixed number of workers in the economy, and ii) output must grow at an increasing rate (something which is difficult to sustain for very long) in order for investment to continue rising. This is because the accelerator links investment to changes in output, not the level of output. So for e.g., if output rises in year 1 by Rs.3bn, in year 2 by Rs.2bn, and in year 3 by Rs.1bn, then with $\alpha = 2$, investment will be Rs.6bn, Rs.4bn, and Rs.2bn in years 1, 2 and 3 respectively. As can be seen, investment falls even though output is rising, leading to a reverse multiplier accelerator chain reaction to be set off effect will be reversed. The key point to remember, again, is that investment is related to "changes in income" not the "level of income", and therefore "changes in income" have to increase in order for investment to increase. A mere increase in level is not important.

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EXERCISES

If we were trying to get a 'true' measure of national production, which of the following activities would you include: (a) washing-up; (b) planting flowers in the garden; (c) playing an educational game with children in the family; (d) playing any game with children in the family; (e) cooking your own supper; (f) cooking the supper for the whole family; (g) reading a novel for pleasure; (h) reading a textbook as part of studying? Is there a measurement problem if you get pleasure from the do-it-yourself activity itself as well as from its outcome?

The difficulty stems from separating production from consumption. In the paid-employment sector of the economy, the distinction is clear. With production, money flows from firms to households (as wages, etc.), and with consumption, money flows from households to firms. Many activities in the home, however, have both a production and consumption element. Although they all lead to a benefit when complete (e.g. washing-up leads to clean dishes), several, if not all, could give pleasure while they are actually being performed. If so, should two (or even three) of benefits be recorded?

Playing an educational game with children can give pleasure to the children, future benefits to the children from the educational element, and pleasure to the parents. Then there is the cost element. Should this be deducted? It is not deducted for marketed output. In other words, the final value of goods and services sold is what is included, not the value minus the cost of producing them: costs such as the disutility (effort, boredom, etc.) experienced by workers.

Ideally, a true measure of national welfare, as opposed to national production, should be only a net measure (i.e. benefits from consumption, minus costs of production). If this principle was used to measure welfare in the household, then all pleasurable activities should be included with a positive sign (including things such as reading a novel for pleasure) and anything causing displeasure should be recorded with a negative sign. Most of the above activities would have elements of both benefits and costs. However, when marketed national production is recorded, costs are ignored, and so for comparative purposes, household production should be recorded on the same basis, and only the benefits recorded.

All the above items bring pleasure, either directly (such as reading a novel) or indirectly (such as doing the washing-up), and in this sense they should all be included, but whether activities that give direct pleasure should count as production or merely as consumption, is a question of definition.

Review this question after the balance of payments lectures. If the Malaysian ringgit is undervalued by 47 per cent in PPP terms against the US dollar, and the Swiss franc overvalued by 53 per cent, what implications does this have for the interpretation of Malaysian, Swiss and US GDP statistics?

The GDP figures understate the purchasing value of Malaysian national income by 47 per cent relative to US national income, and overstate the purchasing value of Swiss national income by 53 per cent relative to US national income. In other words, at the exchange rates in question, Malaysian national income seems 47 per cent lower relative US national income than it really is in purchasing terms, and Swiss national income seems 53 per cent higher relative to US national income than it really is in purchasing terms.

If there are no sales taxes, no net factor income from abroad and no depreciation, will the GDP at market prices and national income measures collapse to the same thing?

Yes.

- **i.** National income is NNP at factor cost = GNP at factor cost - depreciation. Since depreciation = 0, NNP at factor cost = GNP at factor cost.
- **ii.** GNP at factor cost = GDP at factor cost + net factor income from abroad. Since net factor income from abroad = 0, GNP at factor cost = GDP at factor cost
- **iii.** GDP at factor cost = GDP at market price – sales taxes. Since sales taxes = 0, GDP at factor cost = GDP at market price
- **iv.** Therefore NNP at factor cost = GDP at market price.

If nominal GDP has increased by 10% over last year but real GDP has fallen by 2%, by what percentage must have prices risen?

12%. Real GDP growth rate = GDP growth rate – the rate of inflation. -2% = 10% +? = -12%.

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Is population growth good or bad for a country's economic welfare?

It depends. If the energies of the growing population (and labour force) can be usefully and efficiently employed towards productive activity, then the growth impact of the larger population may dominate the negative impact of the large denominator in the per capital income formula. However, if more and more people produce less and less (law of diminishing returns) and the quality of human capital created is generally poor, then it might well be that a large population leads to a decline in per capita income and hence average living standards.

It also depends on the starting level of the population. In many African countries, centuries of slavery and migration to other countries, and decades of disease and wars, have led to the working populations in these countries to fall below the minimum threshold required for them to "take off" in an economic sense. By contrast, many South Asian and East Asian countries are quite heavily populated and could use a little cooling down of population growth rates.

How should one treat macroeconomic statistics?

With extreme caution, as such data is likely to be used and abused by different interest groups to support their respective stories. It is usually not the data which is misleading or not consistent with the truth but the manner in which it is presented which makes a certain interpretation of that data more likely. Objective analysis of data consists in stripping it off its particular dressings and looking at all the possible stories it can tell.

By what would we need to divide GDP in order to get a measure of labour productivity per hour?

The total number of hours worked in the year throughout the country.

Is the size of the underground or black economy likely to increase or decrease as the level of unemployment rises?

It could rise or fall depending on which of two effects is the larger. On the one hand, if a certain proportion of unemployed people claim unemployment benefit and work in the underground economy, then, with a higher official level of unemployed, the size of the underground economy is likely to be bigger. On the other hand, if the economy is in recession, it is likely that the size of the underground economy will shrink along with the rest of the economy.

Name some external benefits that are not included in GDP statistics?

Three examples are: the pleasure people get from seeing other people's attractive houses and gardens, aesthetically pleasing architecture, improved health from a better diet.

Are worries about the consequences of economic growth a 'luxury' that only rich countries can afford?

This is a very cynical way of looking at the issue. The point is that the marginal benefit of increased output in a poor country is likely to be much higher than in a rich country (given the diminishing marginal utility of income). Thus if a cost–benefit study were done of specific growth policies, the benefits would probably enter with a higher value per unit in a poor country than in a rich country. This does not mean that the cost should be ignored. It is just that people may be prepared to make bigger sacrifices for increased output in poor countries than in rich countries.

We must be careful with these arguments, however. They could be used to 'justify' policies that are highly damaging to the environment by governments which have little long-term interest in the welfare of the people, or by firms which are unconcerned about the environmental consequences of their activities. The point is that costs should still be taken into account: it is just that the benefits should possibly be given a higher weighting.

If a retailer buys a product from a wholesaler for £80 and sells it to a consumer for £100, then the £20 of value that has been added will go partly in wages, partly in rent and partly in profits. Thus £20 of income has been generated at the retail stage. But the good actually contributes a total of £100 to GDP. Where then is the remaining £80 worth of income recorded?

At the wholesale stage and earlier, each stage adds value – value that is partly in wages, partly in rent, etc. When the values added at all the stages are summed, this gives the final value of the good.

An index called the index of sustainable economic welfare (ISEW) has been developed by certain economists to measure sustainable development in different countries. The index takes account of factors like depletion of natural resources which reduces the likelihood of growth being sustained. Make out a case against using ISEW. How would an advocate of the use of ISEW reply to your points?

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There are three major criticisms of ISEW. The first concerns its use as a substitute for GDP. GDP is not meant to be a true measure of living standards, both now and sustainable into the future. Instead it is primarily a measure of output that involves exchange, an important measure when attempting to understand the relationship between aggregate demand (as expressed through exchange relationships) and aggregate supply. The second criticism concerns the selection of items that should be included. Any list could be criticized for including too many or too few items. For example, it could be argued that various forms of public expenditure should be included (other than on health and education, which are already included). On the other hand, various forms of 'services of household labour' are not clearly production. They could be seen as a form of consumption. For example, does time spent gardening constitutes work or pleasure? We would not include watching television or sitting relaxing as production, so should be include gardening or any other hobbies as production which generates pleasure when consumed or merely as pure consumption? Similarly, do relationships between people constitute the 'provision of services' or is it rather mere joint consumption? The third and perhaps the most serious criticism concerns measurement. How, for example, should the depletion of non-renewable resources or long-term environmental damage be measured? Such measurement entails various value judgments about the relationship between present and future costs. In fact, the value placed on all non-marketed items is likely to be highly controversial (more so than marketed items, where corrections for market distortions could relatively easily be made).

An advocate of ISEW would reply that ISEW, as its name says, is meant to be a measure of sustainable economic welfare, and not a measure of marketed output and is thus doing something different from the conventional use of GDP. If GDP is used, not for its original purpose, but as a measure of welfare, then ISEW is superior. As far as the selection of items and their measurement is concerned, there will be inevitably be disagreement, because people have different values. But here the advocate of ISEW would reply with the last two sentences of the box.

What are the conditions for macroeconomic equilibrium in the economy.

i. Injections (governemnt spending, exports, investment) into the circular flow of incomes must equal the withdrawals (saving, taxes, imports) from the circular flow; or

ii. Aggregate demand must equal aggregate income must equal aggregate supply.

The two approaches are equivalent. Note, however, that the equilibrium of an economy, at least in a Keynesian world, does not imply the full-employment equilibrium. It is possible for inflationary and deflationary gaps to exist.

What are the major macroeconomic variables involved in the determination of national income?

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply. We focus on the first seven in this part of the course, but will enrich our analysis with the remaining four later in the context of the IS-LM approach to equilibrium determination and international finance considerations.

What does the 45 degree line in expenditure-income space represent?

It represents all the points at which the economy is in equilibrium, i.e. the expenditure on domestic goods and services is equal to the supply of domestic goods and services is equal to the incomes distributed to factors used in the production of those goods and services

Are the following net injections, net withdrawals or neither? If there is uncertainty, explain your assumptions.

i. Firms spend money on research.
ii. The government increases personal tax allowances.
iii. The general public deposits more money in banks.
iv. Pakistani investors earn higher dividends on overseas investments.
v. The government purchases US military aircraft.
vi. People draw on their savings to finance holiday trips abroad.
vii. People draw on their savings to finance holidays within Pakistan.
viii. The government runs a budget deficit (spends more than it receives in tax revenues) and finances it by borrowing from the general public.
ix. The government runs a budget deficit and finances it by printing more money.

i. Increase in injections (investment).
ii. Decrease in withdrawals (taxes).
iii. Increase in withdrawals (saving).

iv. Fall in withdrawals (a reduction in net outflow abroad from the household sector).
v. Neither. The inner flow is unaffected. If, however, this were financed from higher taxes, it would result in an increase in withdrawals.
vi. Neither. The inner flow is unaffected. The consumption of domestically produced goods and services remains the same.
vii. Decrease in withdrawals (saving).
viii. Neither. An increase in government expenditure (or decrease in taxes, or both) is offset by an increase in saving (i.e. people buying government securities).
ix. Net injections. An increase in government expenditure (or decrease in taxes, or both) is not offset by changes elsewhere. Extra money is printed to finance the net injection.

It is possible that as people get richer they will spend a smaller and smaller fraction of each rise in income (and save a larger fraction). Why might this be so? What effect will it have on the shape of the consumption function?

It is likely that the rich will feel that they can afford to save a larger proportion of their income than the poor. The consumption function will slope upwards, but get less and less steep. This means mpc will fall as incomes rise.

What effect will the following have on the mpc:

a) a rise in the rate of income tax;
b) people anticipate that the rate of inflation is about to rise;
c) the government redistributes income from the rich to the poor?

a) The mpc will fall. Note that here we are relating consumption to gross income. For any given gross income, a rise in taxes will cause a fall in disposable income and hence a fall in consumption.
b) The mpc will rise as people spend a larger fraction of any rise in income, for if they wait to consume, their incomes will be worth less in the enxt period in urchasing power terms.
c) The mpc will increase, because the poor have a higher mpc than the rich.

What would be the impact of changing the determinant variables given in the first column (below) on consumption and saving. Must saving always fall if consumption falls?

Determinant	**Consumption**	**Saving**
Income (rise)	rise	rise
Assets held (increase in)	rise	fall
Taxation (fall)	rise	rise
Cost of credit (lower interest rates)	rise	fall
Expectations (that prices will rise)	rise	fall
Redistribution of income (becomes more equal)	rise	fall
Tastes and attitudes (people want to consume more)	rise	fall
The average age of durables (increases)	rise	fall

Thus there are two determinants of consumption (namely income and taxation, which will not cause saving to rise if consumption is caused to fall.

Why, if the growth in output slows down (but is still positive), is investment likely to fall (i.e. be negative)?

Because firms will require a smaller increase in capital. They will thus buy fewer extra machines and other equipment: i.e. investment will fall. The underlying concept is that of Keynes's investment accelerator which relates induced investment to changes in output rather than the level of output.

Give some other examples of changes in one injection or withdrawal that can affect others.

- A rise in government expenditure on infrastructure projects may encourage firms to invest, or, on the other hand, may replace private investment.
- A rise in taxation will reduce savings and imports as well as consumption of domestic goods and services.

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- A depreciation of the exchange rate will lead to increased exports (an injection) and decreased imports (a withdrawal). This could encourage increased investment in the domestic economy.
- Higher savings will mean less total consumption, including less expenditure on imports.

Keeping Keynes's paradox of thrift arguments in mind, is an increase in saving ever desirable?

Yes.

- If there is a problem of excess demand, an increase in savings will reduce inflationary pressures.
- If investment increases over time, an increase in savings will allow these increases to be financed without problems of rising interest rates or inflation, problems which would have the effect of curtailing the investment.

The present level of a country's exports is £12 billion; investment is £2 billion; government expenditure is £4 billion; total consumer spending (including on imports) is £36 billion; imports are £12 billion and expenditure taxes are £2 billion. The economy is currently in equilibrium. It is estimated that an income of £50 billion is necessary to generate full employment. The marginal propensity to save is 0.25.

a) Is there an inflationary or deflationary gap in this situation?
b) What is the size of the gap? (Don't confuse this with the difference between Y_e and Y_f.)
c) What would be an appropriate government policy to close this gap?

Injections (J) = £12bn + £2bn + £4bn = £18bn
Domestic consumption (C_d) = £36bn – £12bn – £2bn = £22bn
$\therefore$ Expenditure on domestic goods, E $= C_d + J$ = £18 + £22 = £40bn
Multiplier = 1/mps = 1/0.25
= 4

a) Deflationary gap. If the economy is in equilibrium, then Y = E. Thus Y_e = £40bn. But full employment is achieved at an income of £50bn. There is thus a deflationary gap.
b) £2.5bn. This is the amount that must be injected (given a multiplier of 4) in order to increase national income by £10bn from the current £40bn to the full-employment level of £50bn.
c) Increase government expenditure by £2.5bn.

Why does investment in construction and producer goods industries tend to fluctuate more than investment in retailing and the service industries?

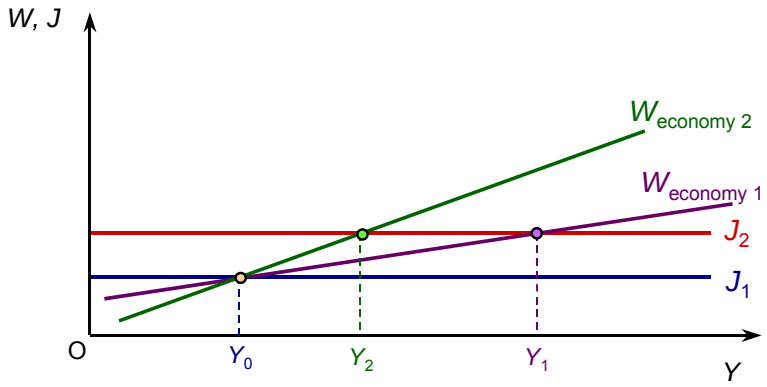
Because demand for the output of these industries (which are 'investment' goods industries) fluctuates much more as a result of the accelerator effect.

Give some examples of single shocks and continuing changes on the demand side. Does the existence of multiplier and accelerator effects make the distinction between single shocks and continuing effects more difficult to make on the demand side than on the supply side?

Examples of single shocks include government expenditure on a specific project, a surge in consumer spending in anticipation of a rise in taxes and a temporary movement in the exchange rate (a depreciation causing a rise in aggregate demand through increased exports and decreased imports, and an appreciation causing a fall in aggregate demand). Examples of continuing changes include a sustained increase in consumer or business confidence, which builds over time, and changes in interest rates that then remain for a period of time. The multiplier and accelerator will amplify single shocks on the demand side and the process will last for several months. Aggregate demand will not go on and on rising, however, unless there are continuing changes on the demand side, which then continue to be amplified by the multiplier and accelerator. Thus the effects are somewhat less clear cut than with changes on the supply side, but it is still possible to distinguish between single shocks on the demand side and continuing changes (even if the single shocks do cause multiplier and accelerator effects).

Draw an injections and withdrawals diagram, with a fairly shallow W curve. Mark the equilibrium level of national income. Now draw a second steeper W curve passing through the same point. This second W curve would correspond to the case where the mps is higher.

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Economies with different marginal rates of taxation

Assuming now that there has been an increase in injections, draw a second J line above the first. Mark the new equilibrium level of national income with each of the two W curves. You can see that national income rises less with the steeper W curve. The higher mps has a dampening effect on the multiplier. A higher tax rate has the same dampening effect as well by reducing the size of the multiplier (by increasing the size of the term in the denominator). Multiplier with taxes = 1/[1-{mpc(1-t)}];as t increases, (1-t) falls,, therefore 1-{.} rises, causing the multiplier to fall.

What effects will government investment expenditure have on public-sector debt (a) in the short run; (b) in the long run?

a) Increase. Unless financed by extra taxation, an increase in government expenditure (for whatever purpose) will lead to an increase in public-sector debt.

b) Possibly decrease. If the investment leads to extra output and income, then the extra tax revenue from the extra incomes and expenditure could more than offset the cost of the investment, thereby leading to a fall in public-sector debt.

If cuts in interest rates are not successful in causing significant increases in investment, how can they lead to economic recovery? What, in these circumstances, determines the magnitude of the recovery?

They can lead to recovery if they cause consumers to borrow more. The increased spending causes a multiplied rise in national income. The magnitude of the recovery depends on (a) the amount of extra consumer spending; (b) the size of the multiplier; (c) whether there is any subsequent increase in investment (through the accelerator effect).

How do people's expectations influence the outcome?

People's expectations will reinforce whatever it is they expect (self-fulfilling expectations). If firms expect a rise in government expenditure to lead to a) higher interest rates, b) a reduction in private-sector investment and hence c) no expansion of the economy, they will reduce their investment plans, thus bringing about the effect (i.e. economic stagnation) that they had anticipated.

If the government increases spending by Rs.10bn and finances it totally from taxes, will there be any expansionary impact on output?

Yes. The increase in spending is an injection of Rs.10 bn. The withdrawal, however, is less than Rs.10bn, as saving (a withdrawal from the system falls). Why does saving fall? Because higher taxes reduce disposable income and therefore given a fixed mps out of disposable income, saving will fall. The concept is called balanced budget multiplier, i.e. the fact that tax-financed spending (which has no effect on the fiscal balance) can still be expected to have a multiplied (albeit much smaller) effect on equilibrium output and income.

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Lesson 33

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS

To study any major issue or problem in macroeconomics, it is important to address at least three **questions** about it:

i. Why is it important (i.e. what are its costs);
ii. What are its causes or the possible diagnoses of the problem; and
iii. What is the policy prescription associated with each different diagnosis.

We will look at **four major problems** here:

i. Unemployment
ii. Inflation
iii. Balance of payments problem
iv. The lack of growth

Because this is a course in introductory economics, some of these problems will have to be introduced in the context of the economic history of HICs.

We'll begin with unemployment, which, as you know, peaked during the Great Depression leading to the great rift between Keynes and the Classicists, and the subsequent birth of modern macroeconomics. We shall then move to inflation which became a major problem in the 1970s in the context of the two oils price shocks. We'll then turn to balance of payments disequilibria which have especially afflicted the LICs since the early 1980s. Finally we'll look at the challenges involved in achieving sustainable and sustained economic growth.

One thing you should remember at all times is that macroeconomic problems tend to be related to each other, and it is difficult (and often misleading) to analyze them in isolation. It would be important, therefore, to see how these four problems might be interrelated.

UNEMPLOYMENT

The History of Unemployment:

The history of unemployment, which is relevant to macroeconomics, started way back in the Great Depression (1929-33), when unemployment rates reached levels of 25% in the US and western Europe. During the Second World War, the problem subsided due to higher government defense spending and war-related recruitment. Post-war, unemployment rates continued to fall as rebuilding efforts gathered pace all over the world, esp. in war-ravaged Europe and East Asia. Many colonies gained independence during this time as well (late 1940s till early 1960s) and undertook massive infrastructure and industrial initiatives which absorbed a large part of the workforce. The problem did not raise its head again until the 1970s, when two oil price shocks (1973, 1979), and the associated episodes of cost-push inflation and balance of payments deficits in many countries led to a global recession that was compounded in the early 1980s by rising interest rates (induced by tight US monetary policy). The world recovered from recession in the mid-1980s, and following a brief recession (that lasted till the early 1990s), saw the rise of the new economy (i.e., the age of information technology) and a rapid growth in jobs related thereto. By the turn of the millennium, however, the new economy bubble had burst, causing decline in growth rates in many HICs. This decline was compounded by the events of September the 11th in the New York and the subsequent "war on terror" started by the U.S. and its allies. It is worth noting that Japan, the world's 2nd largest economy, has remained in recession virtually all through the 1990s. Interestingly, there has been a general rise in the rate of unemployment in many LICs (except East Asia) over the last 2-3 decades – a rise that has not been strictly correlated with global boom-recession cycles. The unemployment problem in these LICs was seen to assume a more permanent nature due to their high population growth rates – rates that far outstripped the rate of new job-creation in these economies. Also there was a loss of jobs in many of these countries due to adoption of capital-intensive as opposed to labour-intensive technologies in industrial production.

DEFINITION OF UNEMPLOYMENT

While unemployment can be defined in terms of absolute numbers, in most cases, it is the rate of unemployment which is quoted and which enables cross-country comparisons. The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and

unemployed people. A rate of 3-4% is usually considered low, 10-15% considered high, and over 20% considered extremely high. It is worth mentioning that unemployment figures, because they are such a sensitive political issue, are often under-stated by government and over-stated by opposition groups. In most LICs, "official" unemployment rates are seriously misleading, and you can find the government quoting a figure of 5% for unemployment, when the actual rate is around 20-25%, if not higher.

Unemployment is the state in which a person is without work, available to work, and is currently seeking work.

Types of Unemployment:

There are several types of unemployment. **Frictional unemployment** occurs when a worker moves from one job to another. While he searches for a job he is experiencing frictional unemployment. **Structural unemployment** is caused by a mismatch between the location of jobs and the location of job-seekers. "Location" may be geographical, or in terms of skills. The mismatch comes because unemployed are unwilling or unable to change geography or skills. **Cyclical unemployment**, also known as demand deficient unemployment, occurs when there is not enough aggregate demand for the labor. This is caused by a business cycle recession. **Technological unemployment** is caused by the replacement of workers by machines or other advanced technology. **Classical or real-wage unemployment** occurs when real wages for a job are set above the market-clearing level. This is often as a result of government intervention, as with the minimum wage, or unions.

COSTS OF UNEMPLOYMENT

If unemployment is voluntary, i.e. people do not work because they feel they are better off being unemployed, the costs are borne essentially by society, not the individual per se. The costs are:

- **a.** Output and hence national income is lower than potential.
- **b.** Government loses tax revenues because of a.
- **c.** Firms lose revenues as they could have employed more workers and produce and sell more.
- **d.** Other workers lose additional wages that they might have otherwise been able to earn with higher national output.
- **e.** There is a general tendency for crime and violence to rise in society as unemployment levels increase.

If unemployment is involuntary, then all the above broader social costs are borne, but private individual costs for the unemployed individual must also now be added. These would include loss of personal income, mental stress due to loss in self-esteem, worsening of relationship with family or friends.

The Concept of Labor Force (LF):

A fundamental concept in relation to the above definition of unemployment is that of the labour force (LF). The labour force is essentially the denominator in the formula for unemployment rate. The labour force includes all people eligible and able to work, so excludes children, elderly people, parent(s) busy raising children, the handicapped and terminally ill etc.

Note, however that there is a difference between a person who is able to work and a person who is also willing to accept a particular job. So, for instance, a chartered accountant who is looking for a job may be offered the job of a bus driver, but he will not accept that job because it is not worthy of his qualifications, and/or offers a wage below his reservation wage. Thus, in order to be employed you need to fulfill two conditions: you have to be a member of the labour force (LF) and you have to be willing to accept a particular job ("AJ"). This distinction will be developed further shortly.

DEFINITIONAL PROBLEMS WITH UNEMPLOYMENT RATE

Keeping the AJ and LF distinction aside for a while, there can be some other definitional problems with the unemployment rate that need to be addressed. In particular, we might wish to see why the unemployment rate may be reported as:

- **a.** Lower than it actually is (i.e. the severity of the problem of there being very few jobs compared to workers are under-stated). There are two common reasons: underemployment and disguised unemployment. Underemployment refers to the situation when a person is reported as employed but is actually only doing a part-time job. Disguised unemployment is a situation where a person gets a salary but does not really have a job to do, as is often the case for excess workers in government departments.

b. Higher than it actually is (i.e. the severity of the problem of there being very few jobs compared to workers is over-stated). The possible reasons here could be:

i. The existence of child labour, i.e. children taking the jobs that would otherwise have been available to adults.

ii. Incompatibility between skills and jobs, i.e. there might be a demand for workers possessing a certain skill, but the people who are seeking jobs do not have that skill and therefore remain unemployed.

iii. People doing more that one job. If a doctor works in a hospital in the morning and runs his/her clinic at home in the evening, s/he is actually doing two jobs. Were s/he to concentrate on his/her home practice only, the hospital job would become available to some other doctor.

iv. Unemployment benefit given by the state to the unemployed. This is usually the case for the welfare states (most HICs) where people can live off rather well on unemployment benefit and therefore choose to not work. In LICs, where the state does not quite pay unemployment benefits, the analogy would be beggary. Some people would rather beg on the streets than work honorably and earn their living.

An important concept related to unemployment is that of its **duration**. The duration of any particular unemployment spell depends on when the benefits of accepting a certain job exceed the costs of continuing to searching for a better job (see also the section on search or frictional unemployment below). In an aggregate sense, however, the duration of an unemployment episode in a country depends on the rate at which people enter the pool of the unemployed (i.e. become unemployed) and the rate at which they exit the pool of the unemployed (i.e. find an acceptable job).

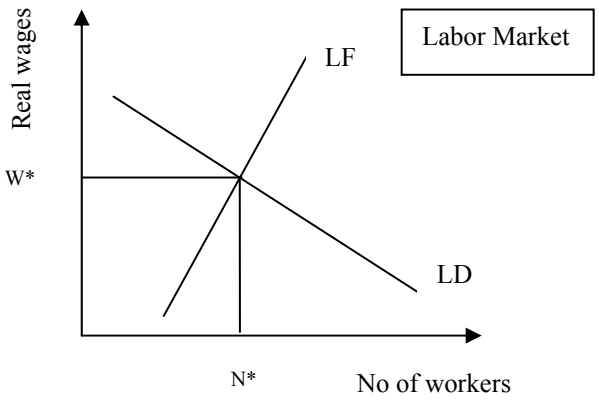
People entering the unemployed pool include those made redundant, sacked, resigning or temporarily laid off. They could also include those formerly outside the labour force, for e.g.: college leavers, women returning to the labour force after raising children.

People leaving the unemployed pool include those taking new jobs, returning to old jobs (if they had been temporarily suspended or laid off) They could also include people who have become disheartened and give up looking for a job, those who have reached retirement age, or who temporarily withdraw from the labour force (e.g. to raise a family), those who emigrate or die.

THEORIES ABOUT THE CAUSES OF UNEMPLOYMENT: THREE VIEWS ABOUT UNEMPLOYMNET

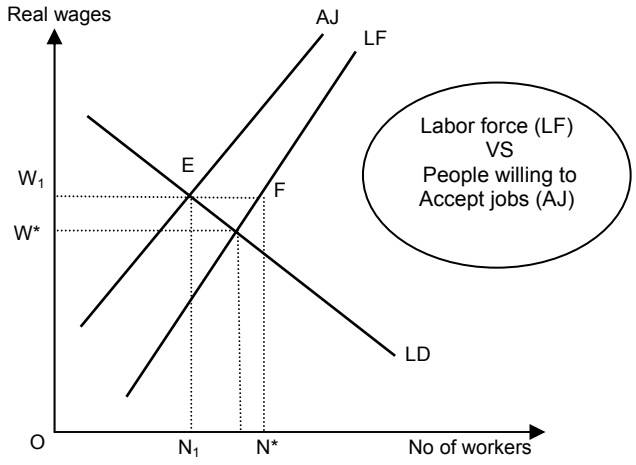
There are essentially three schools of thought regarding the causes of unemployment: **the Classical, Keynesian and Monetarist schools.** However, before we delve into the specific arguments presented thereby, we must develop an understanding of how labour market equilibrium is generally struck in an economy.

1- MONETARIST'S VIEW



There is first the supply side of labour. As mentioned earlier, however, a distinction needs to be made between LF and AJ. LF stands for the size of the labour force, and is drawn as an upward sloping fairly inelastic line in wage – no. of workers space. It is drawn as fairly inelastic because the size of labour

force would be expected to be fairly unresponsive to the wage rate. A badly handicapped or terminally ill person will not suddenly decide to join the labour force just because wages went up. Some people (like parents looking after kids) however might still be inclined to become members of the labour force if wages go up; the reason why the LF curve is not perfectly inelastic (i.e. vertical).



The AJ curve represents those members of the labour force which are willing to accept suitable jobs. The AJ curve is flatter than the LF curve because job seekers would be more willing to accept jobs in response to a rise in wages compared to people who are not even members of the labour force. The AJ curve is to the left of the LF curve because there will always be some people in LF who cannot accept jobs (like the terminally ill). However, given a flatter AJ and a steeper LF, it is clear why the horizontal gap between AJ and LF would narrow at higher wage rates.

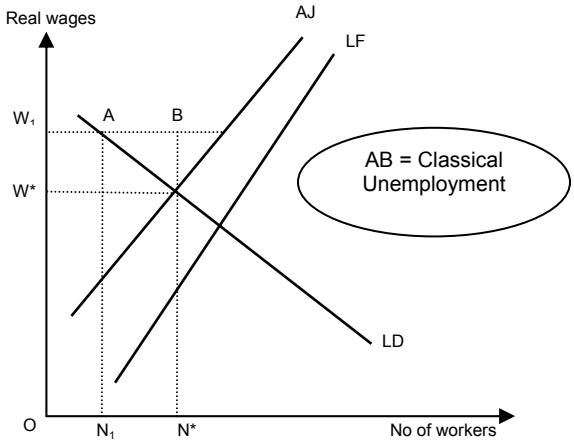
The demand for labour is generated by firms, government-owned or private, which need to hire workers to produce goods and services. The lower the wage rate, the more will firms be willing to hire workers. Therefore, the demand curve for labour, LD, is downward sloping in wage – no. of workers space.

The intersection of LD and AJ determines labour market equilibrium, i.e. the no. of potential workers who will be employed (N_1), and the wage rate that they will earn (w*). The intersection of LD and LF delivers N* is the maximum possible no. of workers that can be employed at a particular wage rate. The horizontal distance between N* and N_1 is referred to as the natural level of unemployment. When the horizontal axis measure the employment rate, the same measures the natural rate of unemployment. To keep things simple, we will not differentiate between the two terms and will use them interchangeably.

2- CLASSICAL VIEWS

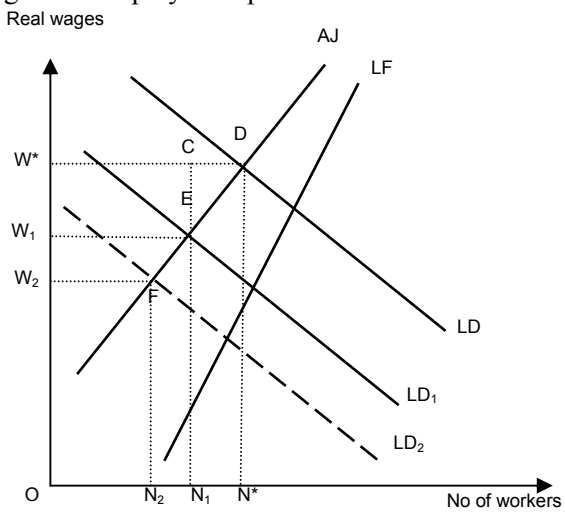
The Classicists viewed unemployment as an essentially voluntary phenomenon caused by wages that were higher than the free market level. If wages were allowed to fall to the market-clearing level, firms' demand for labour would increase, removing the initial unemployment. Their main policy prescription was therefore to remove any factors (labour unions, minimum wage legislation, and unemployment benefit) that prevented wages from falling to market-clearing levels. The theoretical problems with this view of unemployment aside, there were serious difficulties that could be expected in implementing the above policy prescription. Unions were politically strong bodies and could not simply be wished away; removing the minimum wage threshold would hurt the poorest workers, whose wages would now fall below the threshold. Similarly, removing unemployment benefit was likely to be seen as an attack on the safety net for the poorest sections of society.

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3- KEYNESIAN VIEWS

Keynes located the origins of unemployment in deficient aggregate demand. According to him, if aggregate demand could be boosted by pumping government expenditure, this would cause the demand for labor to increase as part of a multiplier effect. The increased demand would absorb the excess supply of laborers, thus alleviating the unemployment problem.



THE MONETARISTS' VIEWS ABOUT UNEMPLOYMENT

The Monetarists viewed unemployment essentially in its natural rate context, and thus as a problem that could not be cured through wage decreases or demand injections. According to them, the economy usually operated around the full employment level, and thus the only type of employment to worry about the natural rate kind. Attention, therefore, needed to focus on the horizontal distance between the AJ and LF curves at the market-clearing wage rate, w*. If this distance could be reduced, by shifting the AJ curve to the right (i.e. closer to the LF curve), the unemployment rate could be reduced.

According to monetarists, the reason why people on the labour force might not be willing to accept jobs, was located in **frictional (search), structural and seasonal reasons.**

Frictional unemployment was defined as unemployment caused by delays in matching job-seekers to jobs. Delays were seen as being essentially caused by a lack of information, and thus job centers newspapers etc. with better information on jobs etc. could help.

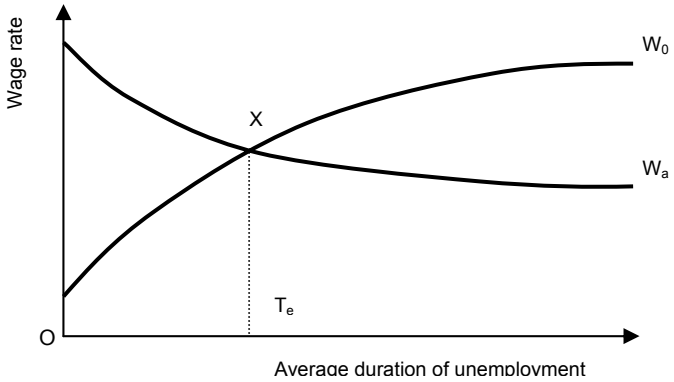
Structural unemployment was associated with changes in the structure of an economy: changes in demand patterns (tastes, fashion etc.), changes in methods of productions (capital vs. labour intensive production techniques being adopted, the replacement of some jobs with computer-based solutions). Also, if industrial or business activity were reduced in a particular region of the economy due to environmental or law and order reasons, or if a geographical area suffers a natural calamity, the

resulting unemployment would also be categorized as structural unemployment. Both market-friendly and interventionist policies have been suggested to address this type of unemployment. Among the market-friendly policies are encouraging people to i) retrain themselves (for e.g., facilitate training of mine workers for computer jobs), ii) get on their bikes and look for jobs. Interventionist policies included directed government action to match jobs with skills. Thus the government could give financial grants for training a certain group of people for a certain type of job etc.

Seasonal unemployment relates to certain types of workers going out of job due to seasonal factors. Thus crop producers in cold countries would have little to do when the fields are covered with snow from December till March. The policies that could address this problem would be to facilitate labour migration in winter months, or to develop alternative tasks for the winter (holding winter games in the region and developing it as a tourist spot for e.g.!)

Monetarists also suggested **supply side measures** which generally reduced the incentive to work. One example is lowering income tax rates and thus increasing the incentive for people to work the extra hour and earn the extra dollar.

Understanding Frictional UE, Structural UE
Seasonal UE



Lesson 34

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

HYSTERESIS

Hysteresis refers to the permanent effects of a temporary change. In the context of unemployment, for example, a temporary fall in demand in the economy which leads to lower economic activity and hence lay-offs by firms may have more permanent effects given the search behavior of workers (laid off workers become disheartened as time goes by and if they fail the first few job interviews; they become lazy, their skills rust, they become used to unemployment benefit and are therefore less likely to find jobs) and the recruitment behavior of firms (by the time firms need to re-hire, their own motivation and speed of recruitment has slowed; they're not putting up enough job adverts and hence the likelihood of instant recruitment decreases). The result could well be longer spells of unemployment. Generally, it has also been seen that the likelihood of a person leaving the unemployment state falls as the duration of his/her unemployment spell lengthens.

INFLATION AND DEFLATION

Inflation is a situation in which there is a continuous rise in the general price level. **Deflation** is the opposite of inflation and occurs when the general level of prices falls. The rate of inflation is the percentage annual increase in average price level.

Pure inflation is a special case of inflation in which the prices of all the goods and services in the economy are rising at the same rate. So if an economy produces three goods: apples, shirts and cars, and they cost Rs. 5, Rs. 100 and Rs. 400,000 respectively in 1992, while the prices in 1993 are Rs. 6, Rs. 120 and Rs. 480,000, and the prices in 1994 are Rs. 9, Rs. 180 and Rs. 720,000, respectively, then we can say that there was pure inflation of 20% in 1993 (over 1992) and pure inflation of 50% in 1994 (over 1993).

MEASUREMENT OF INFLATION

More generally, inflation (in % p.a.) is measured as

$$[(P_t - P_{t-1})/P_{t-1}]*100$$

Where P_t refers to the average price level prevailing in year t, and P_{t-1} is the average price level prevailing in period t-1. The term average price level usually refers to the value of an index, like consumer price index or producer price index etc., which weights the prices of goods according to their share in the total nominal GDP.

Dates	Price level	Inflation (%)
30th June 2000	100	------
30th June 2001	105	5%
30th June 2002	107	1.9%
30th June 2003	120	12.1%

Ideal Inflation Rate for an Economy:

It is difficult to say what the ideal inflation rate for an economy is. But it is not usually zero. A small positive inflation rate of about 3% is considered healthy for mature HICs while 7% is quite acceptable for fast growing emerging economies. Inflation rates above 10% are generally considered undesirable.

Some countries, esp. in Latin America, have recorded inflation rates in 100s and 1000s of percentage p.a. – these episodes were known as hyper inflation episodes. The first country to suffer hyperinflation, and perhaps in its severest form, was Germany in the 1920s. The country was burdened with very high debt – linked to obligations taken on as a result of being defeated by the allies in the 1st World War. The German government could not find the resources to pay off the debt or the interest thereon and resorted to printing money. This, however, plunged the local economy into hyperinflation.

The Choice of price Index:

There are important statistical challenges to resolve in the definition of inflation. The choice of price index often affects what one can say about inflation. Thus it might be that overall inflation is high, but food inflation is low. Similarly, there can be a price index for students, the health sector, housing and

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each has a different meaning attached to it. When talking about inflation, it should be clear which index is being referred to. The most commonly used index when referring to overall inflation in the economy is the retail or consumer price index (CPI).

The CPI and PPI:

CPI measures the cost of a fixed basket of consumer goods in which the weight assigned to each commodity is the share of expenditures on that commodity by consumers. The producer price index (PPI) is the price index of goods and raw materials sold at the wholesale level to producers: examples of goods in the wholesale basket are steel, wheat, cotton etc.

However, all these indices are measures of price inflation. A slightly different but related concept is that of wage inflation, which measures the rate of increase of average wages in the economy. Since real wages are nominal wages adjusted for prices, it is straightforward to see that if wage inflation is greater than price inflation, real wages are rising, and vice versa. Countries where price inflation is very high often keep track of wage inflation rates to ensure that the real wage (which measures the purchasing power of workers) remains constant. The practice of linking wages to prices is called "index-linking" and is the norm in many Latin American countries.

COSTS OF INFLATION

- **a.** Inflation redistributes income away from those on fixed incomes (or who do not have the bargaining power to renegotiate wages) towards owners of land, property or assets whose prices are generally quite sensitive to the general price level. Traders also raise prices faster when they see a rise in the inflation rate. But the salary class is often constrained from doing so. In many African and South Asian countries, the problem has been quite acute. Wage earners, esp. in the government sector, had lost (by the 1990s) up to 90% of the purchasing power of their incomes from the 1960s. The reason, a gradual but persistent decline in real wages what could not be reversed. This has led to corruption and inefficiency in many countries.
- **b.** High inflation increases uncertainty for firms, thus impacting investment rather negatively. The point to note here is that inflation is most volatile at high levels (thus the fluctuation of the inflation rate around 25% will be much higher than its fluctuation around 2%). Thus high inflation translates into uncertainty about prices, which means inability to accurately forecast firm revenues and expenditures, which means lower investment ex-ante.
- **c.** Balance of payments problems are also often a result of high domestic inflation. Rising prices in a country, if not offset by equally offsetting depreciation of the exchange rate, can lead to the domestic currency becoming overvalued and therefore to a decline in exports and a rise in imports – in other words to a deterioration of the current account.
- **d.** Resource wastage is high when inflation is high. Extra resources (time and money) are dedicated, both by individuals and firms, merely to hedge against the purchasing power erosion effects of inflation. Restaurants have to change their menus frequently; price lists have to be issued more frequently.

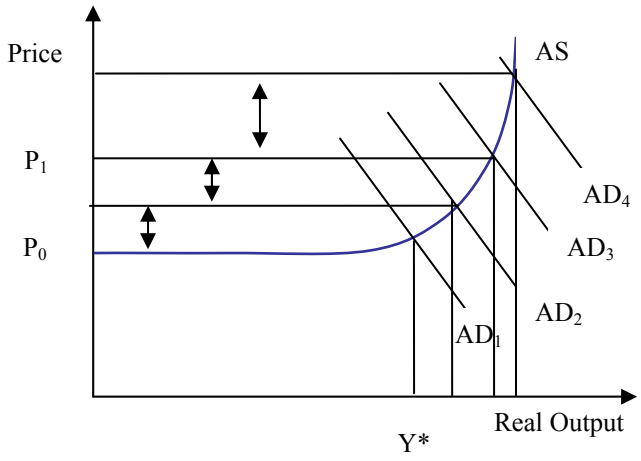
THEORIES ABOUT THE CAUSES OF INFLATION: THREE VIEWS ABOUT INFLATION

There are three views here: The Traditional Keynesian Views, The cost push inflation, the monetarist views of quantity theory of money.

1- TRADITIONAL KEYNESIAN VIEW

Keynes sees inflation and unemployment as opposite sides of the same coin, so is merely a result of excessive aggregate demand (demand-pull inflation). Assuming that increases in aggregate demand in a Keynesian world do have some output and employment impact, one can think of plotting the relationship between inflation and unemployment as trade-off: a downward sloping curve in inflation-unemployment space. This curve is called the Phillips curve names after the economist who first quantitatively documented this trade-off in the context of the UK economy in the 1950s and 60s. The Phillips curve tradeoff can be summarized as follows: Lower unemployment can be achieved only at the cost of higher inflation. The policy prescription flowing from this particular diagnosis of inflation was simple: reduce aggregate demand by contractionary fiscal and/or monetary policies.

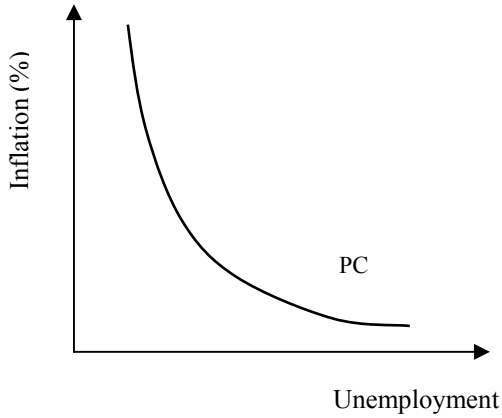
Demand Pull Inflation



Keynes looked inflation and unemployment as the opposite side of the same coin. If inflation increases, unemployment decreases and vice versa.

Philips Curve

W.A.Philips gave the idea of Keynes a formalized shape and draws the Philips curve stating inverse relationship between unemployment and inflation rate.



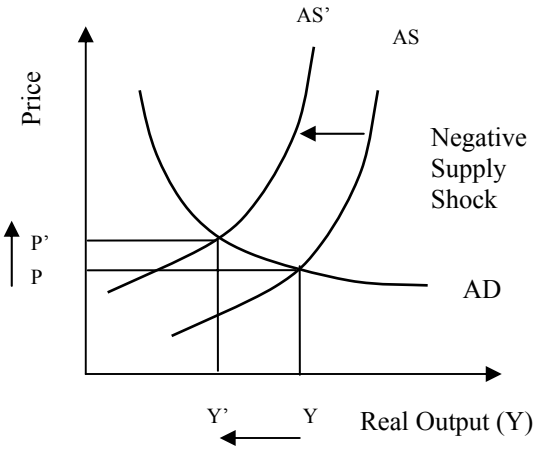
Philips's views were consistent with the Keynesian views. The cost of reducing inflation is unemployment and the cost of reducing unemployment is inflation.

2- COST-PUSH INFLATION

This view came to fore in the 1970s when the world was confronted with a situation of rising prices but high unemployment (stagflation), something that demand-pull theories could not explain. It was observed that the two oil price shocks in the 1970s, which were essentially supply side shocks (because they increased the cost of production), were capable of producing such a situation. In AD-AS space, such a supply shock would be shown by shifting the AS curve to the left (and up) causing prices to rise and output (and employment) to fall. In the context of the Phillips curve, the supply shock would be shown by shifting the Phillips curve out to the right, reflecting a structural shift in the inflation-unemployment trade-off. The name given to the resulting higher inflation (at any level of unemployment) was cost-push inflation. The policy prescription appropriate for dealing with it, included supply-side measures such as developing alternative energy sources, fuel efficient technologies, production cost reduction methods, and reducing tax distortions (that reduce the incentive to produce), increasing competition (in search of productivity gains), removing price floors etc. Keynesian demand management policies were obviously not seen as relevant in this context. It is important to note that sometimes what appears as cost-push inflation is actually driven by higher demand. For e.g., let's say demand for property increases in an economy; this causes housing prices to rise, causing rents to rise,

and causing workers to demand higher wages. Higher wages causes firms' production costs to increase prompting them to raise goods prices which in turn cause retail prices to rise. At every point of the whole chain, it is the costs that are rising (rental costs, production costs, purchase costs of retailers), but the cause of these rising costs is higher demand for property. This situation is often branded cost-push illusion.

Cost Push Inflation



Summing up in the words of Hazrat Ali (AS), "high inflation together with a deteriorating law and order position are hallmarks of the worst possible government."

Lesson 35

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

3- THE MONETARISTS VIEW

In economics, the **quantity theory of money** is a theory emphasizing the positive relationship of overall prices or the nominal value of expenditures to the quantity of money.

Monetarists located the causes of inflation in the Quantity Theory of Money (QTM), which provided an explanation for inflation totally independent from that for unemployment. QTM states: MV = PQ, where M is the real money supply, V is the velocity of money (the no. of times money is circulated in the economy in a year), P is the price level and Q is the real output. Assuming a constant V and a stable (natural rate) output Q*, changes in P could be explained totally by changes in M. A stable M would imply a stable P. Thus the Monetarist key to solving the inflation problem was a stable money supply set to grow at the rate of growth of natural rate output (Q*). For Monetarists, the concern was not the government's expansionary fiscal policy per se, but the manner in which the fiscal deficit was financed. If the government financed its deficit by borrowing from the central bank (i.e. printing money, and thus expanding money supply), this would be tantamount to inflationary finance of the budget. If, however the government financed the deficit by borrowing from banks or the retail savers, then there would be little inflationary consequences.

Monetarism and Philips curve:

It is also instructive to see how Monetarist's viewed the Phillips curve, and the inflation-unemployment tradeoff. Monetarists believed that the economy generally gravitated around a full-employment or natural rate level, and any positive output or employment impact of inflationary demand policies would have be limited. The duration and extent of this limited impact would depend on how much money illusion private agents suffered from.

Money illusion is when agents base their decisions on their expectations about inflation (set in period t-1), so that when government driven actual inflation (increase in prices and wages) in period t exceeds expected inflation, agents view the increase as real rather than nominal, and therefore erroneously spend more than they should.

Adaptive expectations: In setting expectations for period t+1, however, they learn from the previous period, raising their inflationary expectations based on the outcome in period t. Only an inflation rate higher than this new expected rate can convince them to spend more. The net effect of learn and error process is that inflation rises very steeply in response to continued demand-injections by government until the effect on spending and employment is virtually zero – a vertical Phillips curve. This is how Monetarists characterized the long-term tradeoff between output and inflation, i.e. that there was no trade-off and that expansionary demand policies (i.e. expansionary monetary policy) translated fully into higher inflation with no impact on employment whatsoever.

THE BALANCE OF PAYMENTS (BOP)

BOP is an accounting record of a country's transactions with the rest of the world. To illustrate the related concepts in a non-complicated way, we shall assume a two-country world (Pakistan and the US), and view things from the Pakistani side.

The balance of payments (or BOP) measures the payments that flow between any individual country and all other countries. It is used to summarize all international economic transactions for that country during a specific time period, usually a year. The BOP is determined by the country's exports and imports of goods, services, and financial capital, as well as financial transfers. It reflects all payments and liabilities to foreigners (debits) and all payments and obligations received from foreigners (credits). Balance of payments is one of the major indicators of a country's status in international trade, with net capital outflow.

Before we can fully grasp the BOPs, it is important to develop an understanding of the market for foreign exchange. Foreign exchange, in the Pakistani context, simply means US dollars (note that foreign exchange from the US's point of view would be Pak rupees).

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THE MARKET FOR FOREIGN EXCHANGE

The market for foreign exchange (or dollars) in Pakistan works like the market for any other commodity (like apples, oranges etc.). We have an upward sloping supply curve and a downward sloping demand curve. We operate in the same price-quantity framework, noting, however, that quantity in this context means the quantity of dollars and price in this case means price per dollar, i.e. the rupee price of a dollar. However, the latter is simply the Rupee/US$ exchange rate, and hence we can label the vertical axis accordingly.

The foreign exchange (**currency** or **forex** or **FX**) market exists wherever one currency is traded for another. It is by far the largest financial market in the world, and includes trading between large banks, central banks, currency speculators, multinational corporations, governments, and other financial markets and institutions.

Exchange rate:

In finance, the exchange rate (also known as the foreign-exchange rate, forex rate or FX rate) between two currencies specifies how much one currency is worth in terms of the other. For example an exchange rate of 123 Japanese yen (JPY, ¥) to the United States dollar (USD, $) means that JPY 123 is worth the same as USD 1.

HISTORY OF EXCHANGE RATE IN PAKISTAN

During the past five decades, Pakistan's foreign exchange regime has been moving towards a deregulated and market-oriented direction:

Before the 1970s, Pakistan linked its currency, rupee, to the Pound Sterling. With the economic influence of the USA getting more apparent, in 1971, Pakistan linked rupee to the U.S. Dollar. Pakistan fell into a budget deficit in 1982, when the strengthening U.S. Dollar made remittances abroad through official channels slumped. The plunging black market rate suggested that the rupee pegged to the U.S. Dollar largely deviated from the underlying economic realities. In this view, Pakistan put the rupee on a controlled floating basis, with the currency linked to a trade-weighted currency basket. In 1998, to alleviate the financial crisis in Pakistan, the authorities adopted a multiple exchange rate system, which comprised of an official rate (pegged to U.S. dollar), a Floating Interbank Rate (FIBR), and a composite rate (combines the official and FIBR rates). Export proceeds, home remittances, invisible flows, and "non-essential" imports can be traded at the FIBR rate. With the economy recovering from the crisis in 1999, the three exchange rates were unified and pegged to the U.S. within a certain band. This band was removed in 2000.

Now, Pakistan is maintaining a floating rate. Under this exchange rate system, each bank quotes its own rate depending on its short and long positions. Strong competition, however, means the exchange rates vary little among the banks. Under the prevailing Exchange Control Act, the State Bank of Pakistan on application may authorize any person or institution to deal in the foreign exchange market. By virtue of this vested authority, the SBP may determine the extent to which a Bank would be authorized to deal in various currencies.

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Lesson 36

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

DEVALUATION

This is the act of reducing the price (exchange rate) of one nation's currency in terms of other currencies. This is usually done by a government to lower the price of the country's exports and raise the price of foreign imports, which ultimately results in greater domestic production. A government devalues its currency by actively selling it and buying foreign currencies through the foreign exchange market.

REVALUATION

This is the act of increasing the price (exchange rate) of one nation's currency in terms of other currencies. This is done by the government if it wants to raise the price of the country's exports and lower the price of foreign imports. This is an appropriate action if the country is running an undesired trade surplus with other countries. The procedure for revaluation is for the government to buy the nation's currency and/or sell foreign currencies through the foreign exchange market.

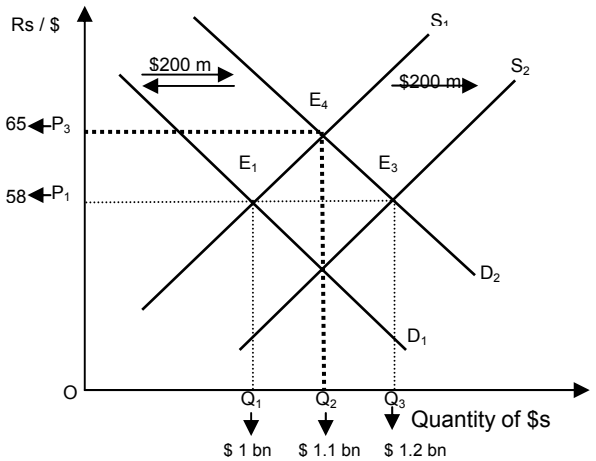
APPRECIATION

This is a more or less permanent increase in value or price. "More or less permanent" doesn't include temporary, short-term jumps in price that are common in many markets. Appreciation is only those price increases that reflect greater consumer satisfaction and thus value. While all sorts of stuff can appreciate in value, some of the more common ones are real estate, works of art, corporate stock, and money. In particular, the appreciation of a nation's money is seen by an increase in the exchange rate caused by a growing, expanding, and healthy economy.

DEPRECIATION

This is a more or less permanent decrease in value or price. "More or less permanent" doesn't include temporary, short-term drops in price that are common in many markets. It's only those price declines that reflect a reduction in consumer satisfaction. While all sorts of stuff can depreciate in value, some of the more common ones are capital, real estate, corporate stock, and money. The depreciation of capital results from the rigors of production and affects our economy's ability to produce stuff. A sizable portion of our annual investment is thus needed to replace depreciated capital. The depreciation of a nation's money is seen as an increase in the exchange rate.

The market for foreign exchange

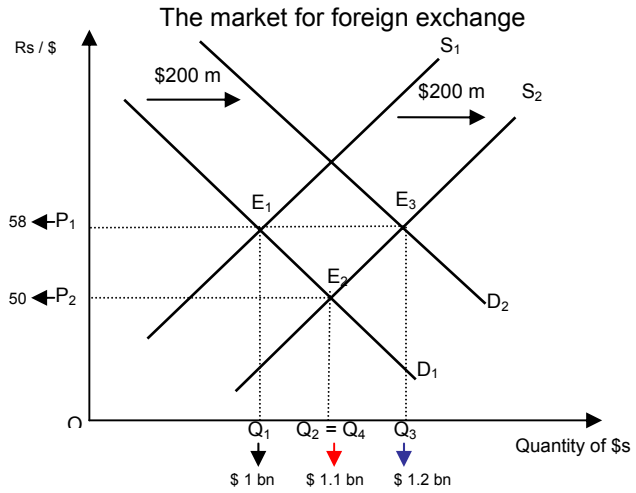


THE FORCES OF DEMAND AND SUPPLY IN FOREIGN EXCHANGE MARKET

Now, consider what the forces of demand and supply are in this market. First consider what could cause the supply curve for dollars to shift to the right, i.e. what would cause the supply of dollars in the market to increase given a certain exchange rate. Well, any transaction which has the effect of bringing dollars into the country would have this effect. Examples of such transactions are net inflows of US investment into Pakistan, Pakistani exports to the US, remittances from Pakistanis working in the US. Now what are examples of transactions that cause the demand for dollars to increase? Pakistani imports of US

goods, Pakistani travelers traveling to the US, Pakistani students paying for study in US universities, profits repatriated to US by US firms operating in Pakistan. All these will cause the demand for dollars in the market to increase.

Any transaction which causes the supply curve of dollars to shift to the right is recorded with a positive sign on the BOPs (as it corresponds to an inflow of dollars), while any transaction which causes the demand curve to shift to the right is recorded with a negative sign on the BOPs.



EQUILIBRIUM IN THE MARKET OF FOREIGN EXCHANGE

Equilibrium in the market for foreign exchange occurs at the point of intersection of the supply and demand curves. In BOP terminology, this is when all the +vs and the –ves balance; i.e. the BOPs is zero (external balance).

Given an initial equilibrium, it is useful to study note how market equilibrium responds to a shift in, say, the supply curve. A distinction has to be made between the cases when the exchange rate is fixed by the government and when it is left to float freely.

When the exchange rate is fixed, the government has to make up for any excess or shortfall in the market. Thus, if the **supply curve shifts to the right** (say due to a rise in exports), and there is an excess supply of dollars, the government must step in and purchase those excess dollars from the foreign exchange market, pumping the equivalent local currency in the process. This purchase is an example of foreign exchange market intervention by government (often implemented by the central bank on behalf of the government).

Similarly, if there is a **rightward shift in the demand curve** (due to, say, a rise in imports), and there is a situation of excess demand for dollars at the given exchange rate, the government must step in and supply those dollars from its coffers in exchange for local currency. The government's foreign exchange reserves fall and the local currency (rupee) supply contracts as a result of this kind of intervention.

To let the exchange rate float freely is to allow the price mechanism to bring about automatic equilibrium in the foreign exchange market. Thus in this case, if there is an excess supply of dollars, the price of the dollar falls (i.e. less rupees are required to purchase one dollar). In other words, the rupee appreciates vis-à-vis the dollar. Conversely if there is an excess demand for dollars in the market, then this pushes the exchange rate up (i.e. more rupees will now be needed to buy one dollar). In other words, the rupee depreciates. Note that an increase (decrease) in the price of the dollar is equivalent to a(n) depreciation (appreciation) of the rupee, not vice versa.

PARTS OF BOP

The BOPs can be divided into three parts:

i. Current account,
ii. Capital account and
iii. Changes to reserves.

(1) THE CURRENT ACCOUNT

The current account balance is essentially the trade balance (exports minus imports), but with net factor receipts from abroad added.

If the exchange rate is fixed, then changes in reserves must mirror the combined balance on the current and capital accounts in order to bring the overall BOPs to zero. If the exchange rate is floating, then changes to reserves can remain zero, as the adjustment burden is borne by the exchange rate which appreciates (depreciates) in response to a joint surplus (deficit) on the current and capital accounts.

External Transactions:

External transactions which have no long-term (or future) flow implications for the current account are recorded on the current account. Thus exports, imports, and factor payments (foreign workers' outward remittances, interest on foreign debt, and dividends on profits of foreign firms) and factor receipts (overseas Pakistanis' inwards worker remittances, interest earned on foreign assets held, dividends earned by Pakistani firms abroad) are all recorded on the current account.

Compare these transactions with the taking on of a new long-term foreign debt – recorded with a plus sign under the capital account. Here, the initial inflow of dollars does not make the transaction complete in an inter-temporal sense. The money that has come in will have to be repaid, both principal and interest over the future. Similarly, foreign investment comes into the country. The initial dollars coming in will imply a future stream of current account outflows in terms of dividend remittance abroad.

In the long-term, the current account and capital account should usually mirror each other. So if the current account is in deficit, you would expect the country to be borrowing or attracting foreign investment on the capital account to bring the overall BOPs to zero. Similarly, if the current account is in surplus, you would expect the country to be lending to the rest of the world or investing outside the country.

Current account balance (+ or -)

(i) Goods or visible balance (+ or -)

(+) Exports
(-) Imports

(ii) Services or invisible balance (+ or -)

(+) Exports
(-) Imports

(iii) Income and transfers (+ or -)

(+) Factor income from abroad, e.g. worker remittances, dividends, interest
(-) Factor payments, e.g., MNC profits, interest on debt

(2) THE CAPITAL ACCOUNT

The capital account generally provides a direct picture of the net asset position of a country vis-à-vis the rest of the world. If the capital account stays in surplus year after year, this indicates the country's increasing indebtedness to the rest of the world. If however, the capital account stays in deficit year after year, this means the country's indebtedness to the rest of the world is falling.

At the introductory level, BOP problems normally refer to a deficit on the current account, since the capital account is assumed to be passive. Thus external disequilibrium is usually associated with a situation where the trade balance (exports – imports) is in deficit.

This raises two questions:

a. **Is a current account deficit necessarily bad?** The answer is no. Recalling the condition for macroeconomic equilibrium S+T+M = I+G+X, and rearranging, we can get {M-X} = [I-S] + (G-T). The {} term is the current account or trade balance, the [] term gives the private sector resource deficit (i.e. the excess of the private sector's investment over savings) and the () term is the government fiscal deficit. It is clear that if M>X because G>T (i.e. government is spending in excess of its resources), then the current account deficit might be unsustainable (i.e. bad), especially if the government's spending is essentially of a current nature. However, a trade deficit which finances private investment that would otherwise not have been possible, is likely to be desirable, esp. if the private sector is investing in industries that will have future export potential (because this means the country will have the foreign exchange reserves in the future to pay off the debt that is being incurred today to finance the current account deficit).

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b. How can a current account, which is in deficit, be restored to balance? Firstly it must be recognized that perennial current account deficits of the sort implied in the question only obtain under fixed exchange rates (because under floating exchange rates, the disequilibrium would self-correct through exchange rate depreciation). One quick fix solution to sort out current account deficits under fixed exchange rate regimes is to have an economic deflation. The theory here is as follows: when a country's national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen. The reverse is also true: lower income must reduce import spending and therefore improve the current account spending. However, economic contraction is a rather painful way of restoring current account equilibrium. A less painful one suggested by economists is devaluation, the name given to exchange rate depreciation but in the context of fixed exchange rates. (The corresponding term for exchange rate appreciation is revaluation.) A devaluation attempts to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness. Competitiveness is simply defined as the real exchange rate (RER), where RER = (P_f/P_d)*NER; NER is the nominal exchange rate (in Rs/$), P_f is the price level prevailing in the foreign country (US), and P_d is the price level prevailing in the home country (Pakistan). The formula simply says that, given a fixed NER, if inflation is higher in Pakistan (relative to the US), Pakistani exports will become less attractive (or competitive) in the international market. As a result, our exports will fall, and current account will go into deficit. To rectify the situation, the NER can be devalued so as to make our goods cheaper and bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription. Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)

(+) Incoming FDI, FPI or other private capital
(-) Outgoing FDI, FPI or other private capital
(+) Borrowing, aid inflows
(-) Payments of debt principal, aid outflows

(3) CHANGES TO OFFICIAL FOREIGN EXCHANGE RESERVES (+ OR -)

(+) Sales of foreign exchange by government, i.e. drawdown of reserves
(-) Purchase of foreign exchange by government, i.e. build-up of reserves

Balance of payments (1+2+3 =0, or net errors and omissions)

Lesson 37

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

DETERMINANTS OF CAPITAL ACCOUNT

Although the focus of discussion above has been the current account, it is useful to briefly look at the determinants of the capital account, and the factors which increase the ability of a country to attract capital account inflows:

a. The attractiveness of the macroeconomic environment, the law and order situation etc. is an important determinant of foreign investment inflows into the country. The better the situation, the more inflows can be expected by way of direct investment by foreign firms.

b. The more favorable are international conditions to borrowing (foreign lenders' attitude towards, and perception of, the borrowing country; foreign interest rates), the more easily can a country raise foreign debt.

c. If foreign interest rates are lower than domestic interest rates (the latter adjusted downwards for any expected exchanger ate depreciation), then foreign portfolio investors will want to invest in the domestic country's stocks, bonds and other interest bearing assets. The underlying relationship being referred to here is that of interest parity which says: $i_d - \Delta E_e$ should approximately equal i_f if private portfolio flows are to balance. Here i_d stands for domestic interest rate, ΔE_e is the expected depreciation adjustment, and i_f is the foreign interest rate.

If it is not already clear, the costs of running a high BOPs or current account deficit (high is usually defined as over 5% of GNP) for a long time can be fairly severe. The country is on risk of losing precious foreign exchange reserves if the exchange rate is fixed[1]. In this case, a monetary contraction, and hence AD contraction, follows the loss in reserves with obvious social costs. Alternatively, if the country completely runs out of reserves, a BOPs crisis can occur which can be very costly both in terms of the image of the country internationally as well as its ability to borrow and attract investment from abroad.

COMPETITIVENESS OF A PAKISTANI GOOD RELATIVE TO A US GOOD: REAL EXCHANGE RATE

The nominal exchange rate (NER) is the price in domestic currency of one unit of a foreign currency.
On the other hand, real exchange rate is defined as:

$$C = RER = \frac{PF}{PD} \times NER$$

Where NER is Rs / $

- PF goes up → for a given exchange rate our competitiveness goes up as Pakistani goods become relatively cheaper.
- NER depreciates → For given PD and PF Pakistani goods become cheaper for foreign buyers

Increase in D=domestic prices

- If $\frac{PF}{PD}$ falls

→ RER falls, competitiveness falls.
→ Current account deficit deteriorates.
→ NER must adjust.
i.e. it must rise, in order to restore competitiveness.

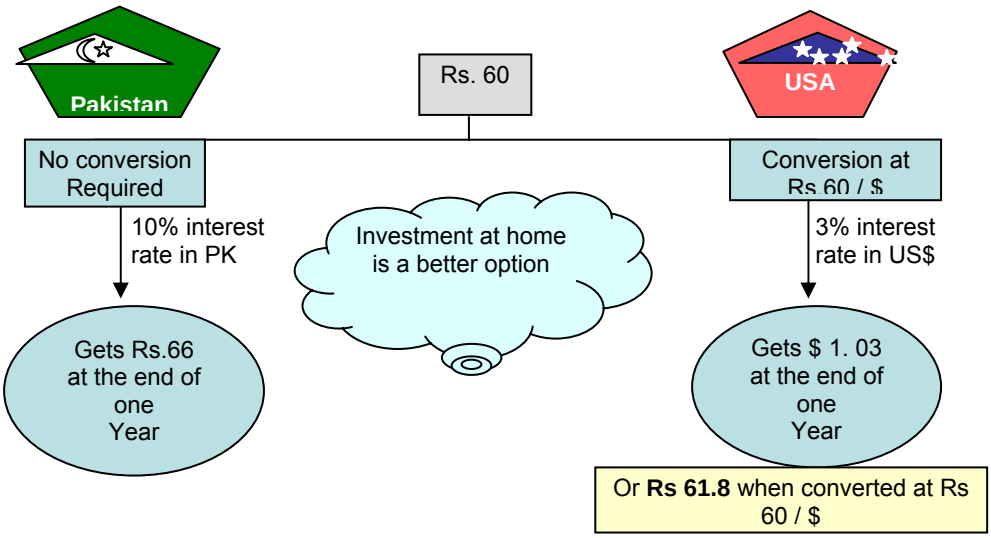
The **RER** is only a theoretical ideal. In practice, there are many foreign currencies and price level values to take into consideration. Correspondingly, the model calculations become increasingly more complex. Furthermore, the model is based on purchasing power parity (PPP), which implies a constant RER. The empirical determination of a constant RER value could never be realized, due to limitations on data collection. PPP would imply that the RER is the rate at which an organization can trade goods and services of one economy (e.g. country) for those of another. For example, if the price of good increases 10% in the UK, and the Japanese currency simultaneously appreciates 10% against the UK currency,

[1] Note that serious BOPs problems or crises are unlikely under floating exchange rates.

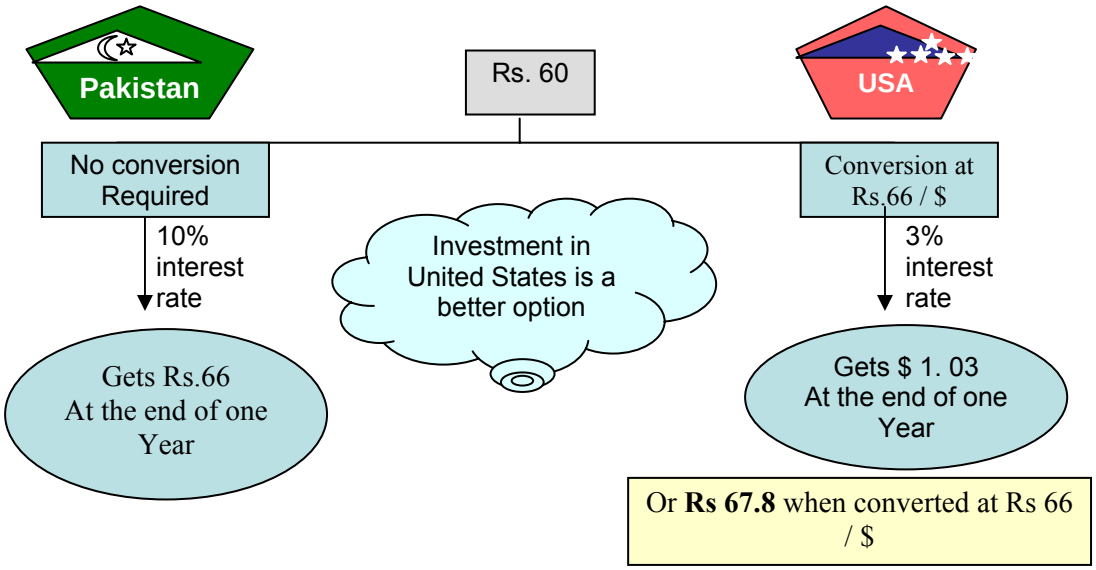
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then the price of the good remains constant for someone in Japan. The people in the UK, however, would still have to deal with the 10% increase in domestic prices. It is also worth mentioning that government-enacted tariffs can affect the actual rate of exchange, helping to reduce price pressures. PPP appears to hold only in the long term (3–5 years) when prices eventually correct towards parity.

Comparison of investment of $60, at home & in United States



Pakistani rupee depreciates



INTEREST PARITY CONDITION

This condition holds if there are no incentives to move the capital from one country to another country. The interest rate parity is the basic identity that relates interest rates and exchange rates. The identity is theoretical, and usually follows from assumptions imposed in economics models. There is evidence that supports as well as rejects interest rate parity.

Interest rate parity is an arbitrage condition, which says that the returns from borrowing in one currency, exchanging that currency for another currency and investing in interest-bearing instruments of the second currency, while simultaneously purchasing futures contracts to convert the currency back at the

end of the investment period should be equal to the returns from purchasing and holding similar interest-bearing instruments of the first currency. If the returns are different, investors could theoretically arbitrage and make risk-free returns.

iD ≈ iF + ΔEe

Domestic interest rate = Foreign interest rate + Expected depreciation

13% = 3% + 10%

IF iD > iF + ΔEe Invest in Pakistan

IF iD < iF + ΔEe Invest in USA

CURRENT ACCOUNT DEFICIT

Current account is very much important in order to maintain the long term sustainability of the balance of payment.

Recall the equilibrium condition of the economy is where withdrawals equal the injections.

$$\mathbf{W = J}$$

$$S + T + M = I + G + X$$

$$M - X = I - S + G - T$$

Current account deficit = Private sector resource deficit + Government budget deficit

Japan and Korean economy remained in high current account deficit due to high private sector resource deficit. This deficit arises when firms want to invest more and debts that are taken to finance the current account deficit go for the investment of the firms. Government spending and household consumption was not being financed. African and Latin American economies were also remained in high current account deficit. But this deficit was due to the higher consumption expenditures by the households and consumers. This caused worsen the debt problems of these countries.

HOW TO REDUCE CURRENT ACCOUNT DEFICIT?

Devaluation can help in this regard. Devaluation causes an increase in exports and decrease in imports leading to reduction in current account deficit. But this policy is also not successful empirically due to several reasons in many countries.

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Lesson 38

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

THE CONCEPT OF ECONOMIC GROWTH AND GROWTH RATE

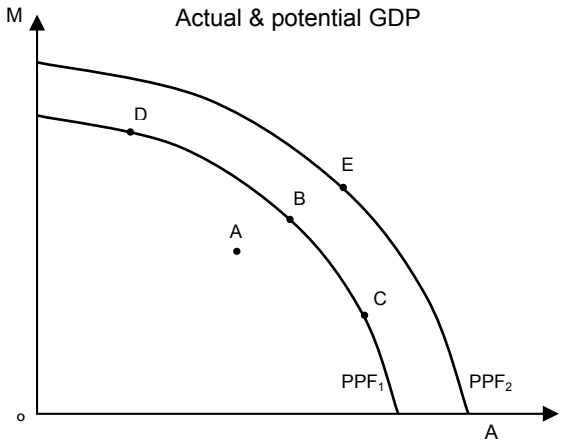
Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.). Two, we can talk about potential vs. actual output. Potential output is the aggregate capacity output of a nation; the maximum quantity of goods and services that can be produced with available resources and a given state of technology.[2] In our discussion here, we will abstract from such complexities and take output to simply mean real GDP.

The growth rate of a country's real GDP can be negative, positive or zero. A growth rate of between 2-3% is considered normal for mature developed countries; for LICs, 5-7% is considered healthy and 7%+ excellent.

ACTUAL & POTENTIAL GDP

The GDP gap or the output gap is the difference between actual GDP and potential GDP or potential output. The calculation for the output gap is Y-Y* where Y is actual output and Y* is potential output or the natural level of output. If this calculation yields a positive number it is called an expansionary gap and indicates an economy in expansion; if the calculation yields a negative number it is called a recessionary gap and indicates an economy in recession.

The percentage GDP gap is the actual GDP minus the potential GDP divided by the potential GDP. (*Actual GDP − potential GDP*) / *Potential GDP*.

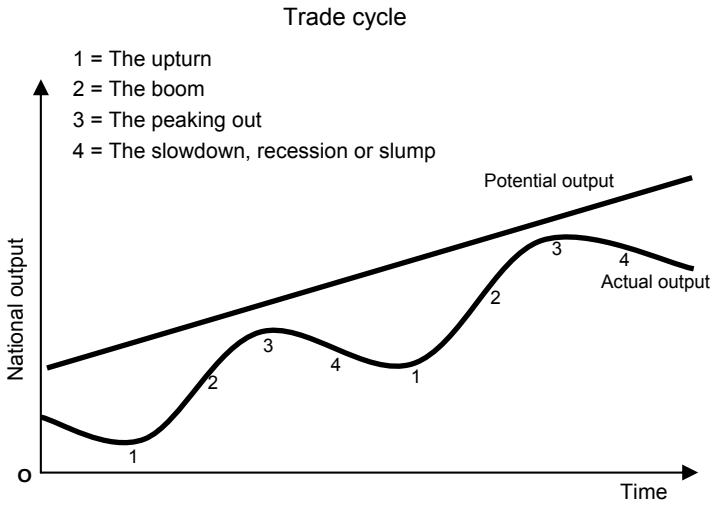


TRADITIONAL THINKING ABOUT GROWTH

Traditional thinking on growth was that it can be driven either by an increase in factor resources (land, natural resources, labour, capital), i.e. an increase in potential GDP, or by more efficient use of the factors, i.e. a move from inside the PPF to the PPF. The policy implication attached to this line of thinking was simple. Countries must either accumulate factors of production (esp. capital), or develop more cost-efficient technologies and methods of production to utilize those resources better. In any event, factors of production were at the heart of growth theory.

[2] Thus, when the production possibilities frontier of a country shifts out, that represents an increase in potential GDP. Actual GDP can be less than or equal to potential GDP, and is usually less. The difference between potential and actual GDP is sometimes referred to as the *output gap*.

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REAL VS NOMINAL GDP

Nominal GDP measures the value of output during a given year using the prices prevailing during that year. Over time, the general level of prices rises due to inflation, leading to an increase in nominal GDP even if the volume of goods and services produced is unchanged.

Real GDP measures the value of output in two or more different years by valuing the goods and services adjusted for inflation. For example, if both the "nominal GDP" and price level doubled between 1995 and 2005, the "real GDP" would remain the same. For year over year GDP growth, "real GDP" is usually used as it gives a more accurate view of the economy.

Relation between Real GDP and Nominal GDP

Nominal GDP is calculated using current prices whereas real GDP uses constant prices. The difference between the nominal GDP and real GDP is due to the inflation rate in market. The relationship between inflation, real GDP and nominal GDP is explained by Fisher Equation.

Real GDP = Nominal GDP – Inflation

AGGREGATE GDP VS PER CAPITA REAL GDP

Economy's total income **or the** sum total of all incomes in an economy in a given period, usually a year is known as the aggregate GDP or aggregate income level.

When studying growth, it is always instructive to analyze changes in per capita real GDP along with changes in real GDP. Per capita real GDP growth adjusts GDP growth downwards by the population growth rate and gives a more accurate indication of improvements in living standards in a country. For mature HICs, Real GDP growth rate = per capita real GDP growth rate, since the population size in these countries is quite stable.

It is also important to note that even a small per capital real GDP growth rate (say around 2% p.a.), if sustained for a very long very of time (say 100 years) can deliver huge improvements in living standards. The U.S. and Japan in the 19th and 20th centuries and East Asian tiger economies in the last four decades are a neat example of this.

Why Growth is an Important Macroeconomic Issue:

It is obvious why growth is an important macroeconomic issue. Every government aspires to deliver a higher growth rate for the country. High growth rates means higher national income which means better living standards on average, which in democracies, means happier electorates and therefore increased chances of re-election for another term in office. However, while all countries might wish to achieve high growth rates, in practice, only a handful have been able to convert the wish into reality.

HOW PER CAPITA GROWTH RATES RELATED TO THE AGGREGATE GROWTH RATE IN AN ECONOMY? DEFINING GDP GROWTH RATE

$y = Y / L$

Where,

- Y = Total GDP
- L = Population

- y = Per capita GDP

Taking log of both sides

- ln y = ln Y – ln L

Taking derivative *w.r.t.* time

- $\frac{1}{y}(dy/dt) = \frac{(dY/dt)}{Y} - \frac{(dL/dt)}{L}$

$$\mathbf{gy = gY - gL}$$

Growth rate of per capita income = Growth rate of total output - Growth rate of population

Real Gross Domestic Production figures

Countries	Ratio of 1999 / 1870	Annual growth
Japan	100	3.7
US	66	3.4
Australia	43	3.1
Sweden	33	2.8
France	15	2.2
UK	10	1.9

RGDP per capita figures

Countries	Ratio of 1999 / 1870	Annual growth
Japan	27	2.7
US	10	1.8
Australia	4	1.2
Sweden	14	2.2
France	10	1.9
UK	5	1.3

Pakistan's growth rate statistics since independence

Era	Aggregate Real GDP
60s	6.7
70s	4.8
80s	6.4
90s	4.7

Per Capita RGDP	Population
4	2.7
1.7	3.1
3.3	3.1
2	2.7

Reference: Zaidi.A, Issues in Pakistan's Economy

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LINK BETWEEN GROWTH AND THE VARIOUS FACTORS OF PRODUCTION

Capital:

Any increase in capital should cause an increase in growth rate of output. **Capital deepening** is a term used in economics to describe an economy where capital per worker is increasing. It is an increase in the capital intensity. Capital deepening is often measured by the capital stock per labour hour. Overall, the economy will expand, and productivity per worker will increase. However, economic expansion will not continue indefinitely through capital deepening alone. This is partly due to diminishing returns and wear & tear. **Capital widening** is a term used to describe the situation where capital stock is increasing at the same rate as the labour force, thus capital per worker remains constant. The economy will expand in terms of aggregate output, but productivity per worker will remain constant.

Labor:

Human capital also matters for economic growth. Quantity as well as the quality of labor should also be considered. This is also an engine of growth.

Land:

Pakistan is an agrarian country in which land matters much. Japan and Korea has been grown rapidly because they have used their scarce land very efficiently.

Raw materials:

If stock of raw materials increases economy will produce more output which will increases growth rate of output.

Technical knowledge:

If there are technical advancements then production will increase, growth rate of output will also increase. The factors of technological advancements are learning by doing, invention, innovation etc.

Lesson 39

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS (CONTINUED)

EXOGENOUS GROWTH THEORY

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model is a term used to sum up the contributions of various authors to a model of long-run economic growth within the framework of neoclassical economics. The most important contribution was probably the work done by Robert Solow; Solow received the 1987 Nobel Prize in Economics for his work on the model. The key assumption of the neoclassical growth model is that capital is subject to diminishing returns. Given a fixed stock of labor, the impact on output of the last unit of capital accumulated will always be less than the one before. Assuming for simplicity no technological progress or labor force growth, diminishing returns implies that at some point the amount of new capital produced is only just enough to make up for the amount of existing capital lost due to depreciation. At this point, because of the assumptions of no technological progress or labor force growth, the economy ceases to grow.

MATHEMATICAL FORM OF THE MODEL

Cobb Douglas production function (constant returns to scale)

Before we move to neo-classical and endogenous growth theories, let us gain a better understanding of the link between growth and the various factors of production. We begin by recalling the familiar Cobb-Douglas constant returns to scale production function:

$\mathbf{Y = K^{\alpha}L^{1-\alpha}}$ for a hypothetical economy. Here Y denotes output, K denotes capital (machines, buildings etc.), L denotes labour, and α is a parameter that lies between 0 and 1. Dividing both sides by L and substituting Y/L = y (per capita output), and K/L = k (per capita capital),

We have the per capita production function $\mathbf{y = k^{\alpha}}$

$Y = A K^{\alpha} L^{1-\alpha}$ $(0< \alpha <1)$

A = Level of technical knowledge (fixed)

K = Stock of capital

L = Size of the labor force

Y = Aggregate real output

Diminishing returns to factors: Differentiate Y w.r.to K

$dY / dK = A \alpha K^{\alpha-1} L^{1-\alpha}$

R.H.S is falling in K as $(\alpha - 1) < 0$

Differentiate Y w.r.to L

$dY / dL = AK^{\alpha} (1 - \alpha)L^{-\alpha}$

R.H.S is falling in L as $(-\alpha) < 0$

To get per capita functions, divide Y by L

- $\frac{Y}{L} = \frac{AK^{\alpha} \times L^{1-\alpha}}{L}$

Let, $L = L^{\alpha} \times L^{1-\alpha}$

- $\frac{Y}{L} = \frac{AK^{\alpha}}{L^{\alpha}} \times \frac{L^{1-\alpha}}{L^{1-\alpha}}$
- $y = A k^{\alpha}$

Where,

y = Per capita output

k = Capital per person (K/L)

Total capital accumulation = sY

As $Y = Ak^{\alpha}$

So,

Total Capital accumulation = sAk^{α}

Capital widening = nk

(Maintaining K/L ratio)

Let $k\blacksquare = dk / dt$

$k\blacksquare = sAk\alpha - nk$

As k increases k falls

$k\blacksquare = o$ when $sAk\alpha = nk$

This is the point of Steady State level of capital. Or Constant per capita capital

Solving the equation of $k\blacksquare$

$$\mathbf{k\blacksquare = \left[\frac{sA}{n}\right]^{1/(1-\alpha)}}$$

When $k\blacksquare = 0$ It means $\frac{d(K/L)}{dt} = 0$

i.e. K & L are growing at the same rate

Now $gk = n$

$gk = \frac{(dK/dt)}{K}$ & $n = \frac{(dL/dt)}{L} = g_L$

Rate of growth for Y:

$Y = A K^{\alpha} L^{1-\alpha}$

Take log of both sides

$\ln Y = \ln A + \ln K^{\alpha} + \ln L^{1-\alpha}$

Take derivatives of this w.r.to time

We get,

$$\frac{dY/dt}{L} = 0 + \alpha gK + (1-\alpha)gL$$

- $gY = \alpha n + (1-\alpha)n = \alpha n + n - \alpha n = n$

Therefore Y is growing at n ***(exogenously given).***

Thus the growth rate of output is determined by the growth rate of population which is exogenously given and Govt can not do anything about it.

INFERENCES FROM THIS THEORY

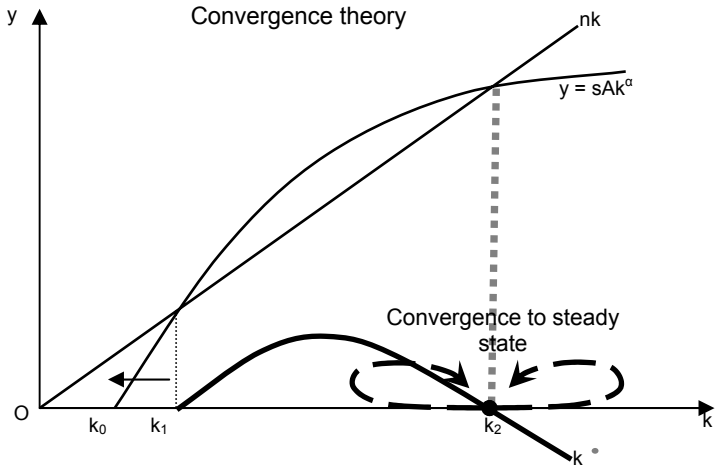
We can draw following inferences from this theory:

- Saving has no effect on the steady state growth rate.
- Determinants of growth are beyond the control of the policy makers.
- Convergence theory: Countries with higher level of 'k' would converge to the level of output of those countries which has lower level of 'k'.

Based on the principle of diminishing returns to capital, the main theses of the neo-classical exogenous growth theory were:

- The steady-state growth rate of real GDP depends on n and t, the exogenous rates of growth of population and technology. By exogenous, we mean determined outside the model. Thus, there were no policy insights for how governments could affect the steady state growth rates of countries. In particular, the model suggested that higher savings could only have a level effect on income, not a long-term growth effect as had been earlier thought. The reason was that savings-enabled investment and capital accumulation eventually banged into diminishing returns.
- If one country started with lower income and capital than another country, then the poorer country would grow faster in order to catch up with the richer country. Eventually, both would grow at the same rate.

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This convergence theory states that if we are to the right of k_2, k▪ is negative. So k▪ will decrease and move towards k_2. On the other hand, If we are to the left of k_2, k▪ is positive. So k▪ will increase and move towards k_2.

CRITICISM / MAJOR WEAKNESSES OF EXOGENOUS GROWTH MODEL

Empirical evidence offers mixed support for the model. Limitations of the model include its failure to take account of entrepreneurship (which may be catalyst behind economic growth) and strength of institutions (which facilitate economic growth). In addition, it does not explain how or why technological progress occurs. This failing has led to the development of endogenous growth theory, which endogenizes technological progress and/or knowledge accumulation.

Exogenous growth theory suffered from three major weaknesses:

- **i.** It could not explain why the gap between the poor and rich countries had widened (anti-catch up),
- **ii.** It could not explain why some countries in East Asia had apparently grown consistently on the back of higher saving rates, and
- **iii.** It modeled technology as exogenous, and beyond the influence of policy.

The first weakness was answerable within the neo-classical framework: the key insight was that convergence would only be witnessed among countries with similar capital and income levels to start with; countries with very low capital to start with might actually never grow out of their poverty and could see their capital stock falling over time.

The second weakness was addressed by endogenous growth theory (endogenous because the steady state growth rate was determined inside the model, not determined by factors exogenous to it) which set up the model in a way that the steady state growth rate now depended directly on the saving rate and level of technology. A permanent increase in the saving rate, therefore, meant a permanent increase in the growth rate.

The third weakness was also addressed by endogenous growth theory, which by using different industry structures and technology functions specifications could link technological progress to conscious R&D effort by firms and government. Non-diminishing returns to technical progress would then generate endogenous growth.

ENDOGENOUS GROWTH THEORY

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a response to criticism of the neo-classical growth model.

In neoclassical growth models, the long-run rate of growth is exogenously determined by assuming a savings rate (the Solow model) or a rate of technical progress. This does not explain the origin of growth, which makes the neo-classical model appear very unrealistic. Endogenous growth theorists see this as an over-simplification.

Endogenous growth theory tries to overcome this shortcoming by building macroeconomic models out of microeconomic foundations. Households are assumed to maximize utility subject to budget constraints while firms maximize profits. Crucial importance is usually given to the production of new

technologies and human capital. The engine for growth can be as simple as a constant return to scale production function (the AK model) or more complicated set ups with spillover effects, increasing numbers of goods, increasing qualities, etc.

Endogenous growth theory demonstrates that policy measures can have an impact on the long-run growth rate of an economy. In contrast, with the Solow model only a change in the savings rate could generate growth. Subsidies on research and development or education increase the growth rate in some endogenous growth theory models by increasing the incentive to innovate.

MATHEMATICAL FORM OF THE MODEL

y = Ak

There is no α because of non diminishing returns to factors.

- Total capital accumulation: sy = sAk
- Capital widening = nk
- k▪ or capital deepening = sAk – nk or (sA – n)k
- (k▪ / k) = sA – n

Since, y = Ak

Take log of both sides

lny = lnA + lnk

- $\frac{y▪}{y} = \frac{k▪}{k}$
- y = Y / L
- gy = gY – gL
- gY = gy + gL

- $gy = \frac{y▪}{y} = sA – n$

Putting in gY = gy + gL

- gY = sA – n + n

- gY = sA

Thus growth arte of output depends on the saving rate and technological progress.

Labor and Capital:

Now for a given L and no depreciation, an increase in K should translate into an increase in k and through it an increase in y. This is an example of capital deepening induced growth. However, when there is depreciation (say at a rate d% p.a.) of the capital stock and the labour supply is growing at n% p.a., capital must grow at least by (d+n)% p.a. in order keep K/L, or k, constant. This is called capital widening, i.e. more capital being created but spread over a larger population so as to deliver the same K/L. The per capita output impact of capital widening is zero, because k remains the same.

Now taking capital as fixed, let's analyze the ways in which labour can serve as the engine of growth. It is obvious that an increase in the no. of labour hours worked would expand output. However, historically, the working week has been shortened from 6 to 5 days so it would be incorrect to cite this as the major source of world economic growth over the last century. What else could therefore have driven the rapid expansion of production in the 20th century? It might be the case that there are now more people on the labour force, due to perhaps a larger proportion of women doing marketable jobs (which is historically accurate). Then it might be that the quality of human capital has gone up. The same workers, because they are better educated and have better skills, can produce more output using the same amount of capital. Japan and Germany are prime examples of this – i.e. of countries which achieved very high growth rates despite having very low levels of physical capital left after World War II. It was the quality of these countries' human capital which made the difference.

Land:

Let's now concentrate on land. The earliest thinking on this was all doom and gloom. Malthus (1798), for instance, noted that the supply of land, esp. agricultural land, was fixed, whereas world population was rising fast. Given diminishing returns (in terms of marginal food product) to labour, the implication

was obvious: world hunger. While the starvation hypothesis did come true for come countries, it did not happen for the whole world. Why? Predominantly because of unanticipated productivity improvements in agricultural production, technological breakthroughs, like tractors, fertilizers, etc. increased yields per acre by many 100s of percents permitting a food output that far exceeded world food requirements even with a larger population. Today, land does not feature centrally in growth theory, as many countries (e.g. European countries, Japan, Singapore, Hong Kong, etc.) were seen to achieve very high growth rates while geographically much larger South Asian, Latin American and African countries lagged behind.

Land is one type of natural resource that goes into production. The other type is raw materials like mineral wealth or timber. The important point about these resources is that some of them they are not renewable (like oil, coal, gas and other minerals), while others are: timer, fish etc. It is important to take these concerns into consideration when talking about the ability of a particular type of natural resource to act as the engine of growth.

The above is not true for technical progress, however, which neither depletes nor requires renewing. An essential and important ingredient in the production process, the technical knowledge/stock of a country is additive and cumulative and depends on the pace of invention, innovation and learning by doing that is happening in the economy. In order to protect the incentive to invent and innovate, governments introduce patent and copyright laws which grant the inventor monopoly production rights for a certain period. Also governments directly or indirectly fund research and development activities which are the engine for invention and innovation.

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Lesson 40

THE FOUR BIG MACROECONOMIC ISSUES AND THEIR INTER-RELATIONSHIPS: BILATERAL RELATIONSHIP AMONG THE "BIG FOUR" & FISCAL POLICY

BIG FOUR IN CASE OF SHORT RUN

In the short-term (up to about two years), the big four objectives of faster growth, lower unemployment, lower inflation and the avoidance of balance of payments deficits are all related.[3] They all depend on aggregate demand, and all vary with the course of the trade (or business) cycle.

In the expansionary phase of the trade cycle (i.e. just following a recession), AD grows rapidly, the gap between actual and potential output narrows and unemployment (of the demand-deficient sort) falls. However, rising demand puts pressure on prices (inflation), sucks in imports and lowers competitiveness, moving the balance of payments towards a deficit. Thus two of the problems get better, two worsen. The opposite happens in the contractionary phase of the cycle (i.e. just following a boom).

BIG FOUR IN CASE OF LONG RUN

In the long-run, and in a LIC context, however, the inter-relationships between the four variables can get quite complex. We therefore take a more detailed look at the two way relationships between pairs of issues.

a. **Inflation-unemployment:** This has already been covered extensively under the Philips curve discussion (both under unemployment and inflation). Whether there is actually a trade-off depends very much on which theory you subscribe to: monetarist or Keynesian.

b. **Growth-inflation:** Economic growth is likely to put pressure on prices if there is no slack in the economy and more production requires workers to work overtime, machines to be used 24 hours a day etc. Depends also on whether growth is demand led or supply led. If it is the former (as in the example above), then it is the AD curve which is shifting right, given an upward sloping supply curve. If it is the latter, then we are in the realm of AS shifts (due to technology improvements etc.) and given a downward sloping demand curve, prices will fall. The reverse relationship between inflation and growth is almost always negative. An exogenous rise in prices (as caused by the oil price shocks of the 1970s) is equivalent to a leftward shift in the AS curve, which causes equilibrium output to fall. Also, high inflation deters investment through the uncertainty effect. Low investment reduces both the productive capacity of the economy (AS shifts left), and decreases the investment component of aggregate demand (AD shifts left). The combined effect on output is likely to be extremely negative.

c. **Growth-unemployment:** Episodes of high economic growth will usually be characterized by low unemployment, but this is not necessarily true. If growth reflects a switch in production away from agricultural commodities and light manufactures (labour-intensive) to capital intensive goods or to capital-intensive ways of producing agricultural commodities or light manufactures, then unemployment can actually rise, as labour is substituted by capital (machines). By the same logic, it might be that growth is moderate or zero, but a switch towards labour-intensive production causes unemployment to fall considerably. The reverse relationship is obvious. Labour is a resource and when unemployed implies the economy producing much below its potential. Thus high growth is unlikely to be seen in the presence of high unemployment. Also unemployment can affect growth through the former's effects on social stability, crime, law and order. High unemployment is often associated with riots, strikes and other disruptions (esp. if there are no so social safety nets like unemployment benefit) and these seldom help the cause of productive activity or growth, at least in the short-term.

d. **Growth-BOPs:** This depends on whether growth is of the import-substituting industrialization (ISI) sort or export-oriented variety. ISI: If the country (e.g. India from 1947- to the 1980s) imports a lot of capital and machinery in order to set up industries that can produce consumer goods for the home market that were earlier imported form abroad, then this country can

[3] We speak, of course, in the context of mature HICs, although an extension of this to LICs would not be entirely misplaced.

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experience growth but a high current account deficit initially (because the country produces not for the world market but for the home market, so exports are low while imports of capital are high). Export-led: If a country's growth is mainly attributable to its capture of a larger share of world markets through exports, then that country is more likely to generate current account surpluses as it grows. East Asian countries are prime examples. See also the relationship between higher imports and growth/employment (below) .The reverse relationship is more complicated. On the one hand, we see that a country with a fixed exchange rate will experience a loss in reserves, a monetary contraction and thus a reduction in aggregate demand (and hence growth) when faced with a BOPs deficit. On the other hand, if the current account deficit (or capital account surplus) reflects an underlying private sector resource gap and is financing productive private sector domestic investment, then the long-term growth implications might be positive (due to higher domestic private investment). In a related vein, if the private sector is importing a lot, but the imports are knowledge-intensive and/or have a high technology/skill-content that can further the learning and development of importing country producers then the long-term growth implications might be even more positive.

e. **BOPs-unemployment:** The impact of BOPs deficits on unemployment (though growth) is described above. Another channel could be as follows: If the BOPs deficit largely reflects domestic consumers switching from local goods to imports, then a BOP- could reduce domestic activity, growth and hence employment. The reverse relationship would run as follows: High unemployment means low incomes in the hands of consumers. Low incomes would imply low spending. The cut in spending would also fall partly on imports, and therefore the BOPs would improve.

f. **BOPs-inflation:** Under a fixed exchange rate regime, a BOPs deficit reduces domestic money supply which, as per the quantity theory of money, should reduce prices. With floating exchange rates, a BOPs deficit will cause local currency depreciation, which would make imports more expensive. Since imported goods are also included in the basket of goods used in the consumer price index, inflation would be seen to increase following the depreciation. The reverse relationship works through competitiveness and real exchange rates. Higher domestic inflation (relative to the rest of the world, or our trading partners, to be precise) will lower export competitiveness, causing the current account to worsen. Since higher inflation also reduces the real interest rate (note: real interest rate = nominal interest rate – inflation) or real return on domestic financial assets, the foreign demand for such assets falls, causing the capital account to go into deficit as well. The combine effect on the BOPs can thus be quite negative.

THE SALTER-SWAN DIAGRAM

A framework which allows the relationships between the above macroeconomic problems to be analyzed and appropriate policy prescriptions to be derived is the Salter-Swan diagram. The diagram uses (real) exchange rate–absorption space, where the exchange rate is defined as Rs. per $, and absorption is a term for aggregate demand-injection variables (like government spending, money supply).

The Internal Balance and External Balance:

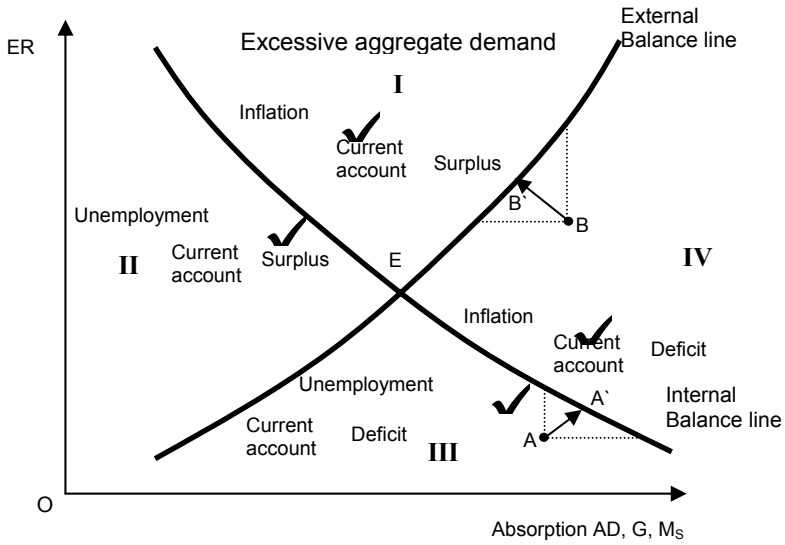
The internal balance (IB) line (combination of points where AD = AS in the economy) slopes downward, explained as follows: Given fixed AS, he more appreciated the exchange rate (the lower it is on the vertical axis), the lower the imports, the lower the AD, and therefore the higher the required level of demand-injection (rightward movement on the horizontal axis) in order to bring AD back up to the level of AS. Thus IB slopes downward. At any point to the right of IB the exchange rate is more depreciated than is consistent with internal balance, and therefore the economy is likely to be experiencing higher AD than AS, and thus inflation. At any point to the left of IB, the economy faces unemployment.

The external balance (EB) line (combination of points where exports = imports), slopes upward, explained as follows: As absorption increases, AD and imports increase, thus requiring a more depreciated exchange rate to bring the current account back to balance (through higher exports and lower imports). Thus EB slopes upward. At any point to the right of EB, the exchange rate is more appreciated than is required for external balance (also called overvalued exchange rate), and therefore

the economy must be facing a current account deficit. To the left of the EB, there is a current account surplus.

The intersection of IB and EB:

The intersection of IB and EB delivers the joint internal and external equilibrium for the economy. The economy may in reality not be at this point but be on only one of the IB or EB lines. In this case it will gradually move to equilibrium along the line it is on. The economy can also be in any of the four quadrants: north (inflation, CA+), west (unemployment, CA+), east (inflation, CA-), south (unemployment, CA-). LICs often find themselves in the east quadrant where there is both inflation and unemployment. A combination of devaluation and lower absorption (tight monetary and fiscal policies) can often do the trick.



FISCAL POLICY

The Govt's income and expenditures policy is known as fiscal policy. It is the use of the federal government's powers of spending and taxation to stabilize the business cycle. If the economy is mired in a recession, then the appropriate fiscal policy is to increase spending or reduce taxes--termed expansionary policy. During periods of high inflation, the opposite actions are needed--contractionary policy. The consequences of fiscal policy are typically observed in terms of the federal deficit.

Government purchases:

Expenditures on final goods and services (that is, gross domestic product) undertaken by the government sector. Government purchases are used to operate the government (administrative salaries, etc.) and to provide public goods (national defense, highways, etc.). Government purchases do not include other government spending for transfer payments. These are expenditures on final goods by all three levels of government: federal, state, and local governments. Government purchases are financed by a mix of taxes and borrowing.

Taxes:

Any sort of forced or coerced payments to government. The primary reason government collects tax is to get the revenue needed to finance public goods and pay administrative expenses. However, the more astute leaders of the first estate have recognized over the years that taxes have other effects, including--(1) redirecting resources from one good to another and (2) altering the total amount of production in the economy. As such, taxes have been used to correct market failures, equalize the income distribution, achieve efficiency, stabilize business cycles, and promote economic growth.

Fiscal policy is the government's program with respect to the amount and composition of (i) expenditure: the purchase of goods and services, and spending in the form of subsidies, interest payments on debt, unemployment benefit, pension and other payments, (ii) revenues, i.e. taxes and non-tax fees (such as license fees etc.) and (iii) public debt: borrowing to cover the excess of expenditure over revenues. Borrowing can be done from three sources: domestic banks and the general public, the central bank (e.g. State Bank of Pakistan), and foreign creditors.

Budget Deficit, Budget Surplus and Balanced Budget:

If i>ii: the government is said to be running a fiscal or budget deficit and so the government must borrow (or raise debt) to cover the deficit; if i<ii: the government is said to be running a fiscal or budget surplus and so the government can pay-off or reduce its debt; if i=ii: the government is said to be running a balanced budget and the government's net debt may remain constant.
Fiscal deficits and debt are often reported as a ratio of GDP. Although, there is no theoretical benchmark for what constitutes a sustainable fiscal deficit or public debt ratio, the Maastricht criteria (for countries in the European Union) is an important practical guide. It stipulates that fiscal deficit to GDP should be less than 3% while public debt to GDP should be less than 60%.

THE CONCEPT OF TAXATION

Taxes are general purpose, compulsory contributions by the people to the public treasury (or national exchequer) to meet the expenditure needs of the government. Without taxes, the government would not be able to deliver services like law and order, public administration, national defense, free or subsidized health and education etc.
Since taxes interfere with the market mechanism, they are considered distortionary, and as such there is a long-standing debate over the desirability of taxes. In a way, the stance over taxation defines the economic "right" and "left" in HICs. The market-friendly rights (like the Republicans in the U.S. or the Conservatives in the U.K.) believe in reducing the size of the government and its spending so that most of the services in the economy are provided by the private sector. As such they can argue for lowering taxes (since government spending is also less) which according to them distort private sector incentives (remember the Monetarist argument for removing income taxes in the context of unemployment). By contrast, the interventionist left (like the Democrats in the U.S. or the Labour in the U.K.) consider that a big and active government essential for the delivery of better public services and therefore are often against cutting taxes and transferring the responsibility of providing these services to the private sector.

THE DEBATE OVER TAXATION

There are two dimensions to the debate over taxation: **equity and efficiency.**

The Concept of Equity:

Equity represents that principle of taxation which emphasizes fairness or just sacrifice, i.e. everyone should pay tax according to his/her ability. So if a person earns higher income, s/he should be subjected to a higher tax rate. Thus, for e.g., a person earning Rs. 2,000 a month should sacrifice 10% of his/her income as taxes (i.e. Rs.200), whereas a person earning Rs. 200,000 should sacrifice 60% of his/her income as taxes (i.e. Rs. 120,000). In the absence of such progressive taxation, the rich person would have also paid a 10% income tax rate (i.e. Rs. 20,000). Progressive taxation, in which the tax rate increases as income increases, is an application of the vertical equity principle which espouses the Robinhood approach of taking money from the rich and distributing it to the poor. While controversial, the vertical equity principle in taxation is applied in one way or another in most countries across the world.

Horizontal Equity:

A less controversial principle relates to horizontal equity which says: identically well-off people should be taxed identically, i.e. no discrimination due to race, gender, caste, religion etc. There are many examples, however, of violation of this principle and often one comes across an individual belonging to a certain community or grouping enjoying certain economic privileges not enjoyed by a similarly endowed individual of another community or grouping.
We now turn to the efficiency dimension, which concerns the distortionary effects of taxation, esp. the possible negative effects on private sector behavior and incentives. The more distortionary a tax, the higher the efficiency concerns surrounding it.

The Concept of Efficiency:

To illustrate the concept of efficiency, it is useful to develop an understanding of what is meant by a Pareto-efficient allocation of economic resources. This is a situation in which it is impossible to move to another allocation which would make some people better off and nobody worse off. In the context of the production possibilities frontier, therefore, points on the frontier are all Pareto-efficient, as it is not possible to move to another point (i.e. produce more of one good) without incurring some opportunity cost (i.e. sacrificing the production of some other good).

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Economists argue that a free-market perfect competitively economy where P=MC automatically delivers the optimal allocation in the economy (Pareto-efficiency), so any government intervention (like tax) that interferes with that allocation generates efficiency losses. The efficiency (or welfare) loss of a tax can be illustrated by a simple demand supply diagram. It can be seen that the loss in consumer and producer surplus is greater than the revenue gain to government.

Does the above argument mean a tax can never be justified on efficiency grounds?

No. There are two cases in which imposing a tax may actually be better than not imposing it.

i. When there are market failures and a tax is imposed to bring the marginal social cost equal to marginal social benefit.
ii. When there are existing distortions in the economy and taxes are imposed to spread the distortion over many commodities rather than placing the burden on just one commodity. Another way to say it is: it is better to impose a small tax on a number of commodities to raise a certain amount of government revenue, rather than impose one large tax on one or two commodities only.

TYPES OF TAXES

Direct tax

A tax on income, including wages, rent, interest, profit, and (usually) transfer payments is known as direct tax or income tax. **Personal income tax:** A tax on individual income. This is the primary source of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago. **Corporate income tax:** A tax on the accounting profits of corporations. This tax is only levied on corporations, and excludes businesses that are proprietorships or partnerships. This tax is often criticized (usually by members of the second estate because corporate dividends are taxed twice -- once as corporate profits, then a second time as income with the personal income tax.

Indirect tax

Sales tax: A tax on retail sales. This is major source of revenue for many state and local governments. Because poorer people tend to spend a larger share of their income on stuff covered by sales taxes, it tends to be a regressive tax. To reduce this regressiveness, some state and local governments excluded items like food and medicine. **Excise tax:** A tax on a specific good. This should be compared with a general sales tax, which is a tax on all (or nearly all) goods sold. The most common excise taxes are on alcohol, tobacco, and gasoline. Excise taxes are used either to discourage consumption of socially undesirable stuff (like alcohol and tobacco) or to raise some easy revenue because the government knows buyers will keep buying regardless of the tax (like alcohol and tobacco). **Value-added tax:** A tax on the extra value added during each stage in the production of a good. Most of the stuff our economy produces goes through several "stages," usually with different businesses. In each stage, resources do their thing to the good to make it a little more valuable. For example, an ice cream store can take 50 cents worth of ice cream, fudge, and whipped topping and turn it into a hot fudge sundae that's valued at $1.50. The efforts of the ice cream resources thus add $1 in value. A value-added tax is based on this extra value.

Regressive tax

Regressive tax is a tax in which people with more income pay a smaller percentage in taxes. For example, you earn $10,000 a year and your boss gets $20,000. You pay $2,000 in taxes (20 percent) while your boss also pays $2,000 in taxes (10 percent). Examples of regressive taxes abound including sales tax, excise tax, and Social Security tax.

Proportional tax

Proportional tax is a tax in which people pay the same percentage of income in taxes regardless of their incomes. For example, you earn $10,000 a year and your boss gets $20,000. You pay $1,000 in taxes (10 percent) and your boss pays $2,000 in taxes (10 percent). While a proportional tax would seem to make a lot of sense, very few taxes are designed to be proportional and even fewer come out that way in practice.

Progressive tax

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Progressive tax is a tax in which people with more income pay a larger percentage in taxes. For example, you earn $10,000 a year and your boss gets $20,000. You pay $1,000 in taxes (10 percent) and your boss pays $4,000 in taxes (20 percent). Our income tax system is designed to be progressive, but assorted loopholes and deductions keep it from being as progressive in practice as it is on paper.

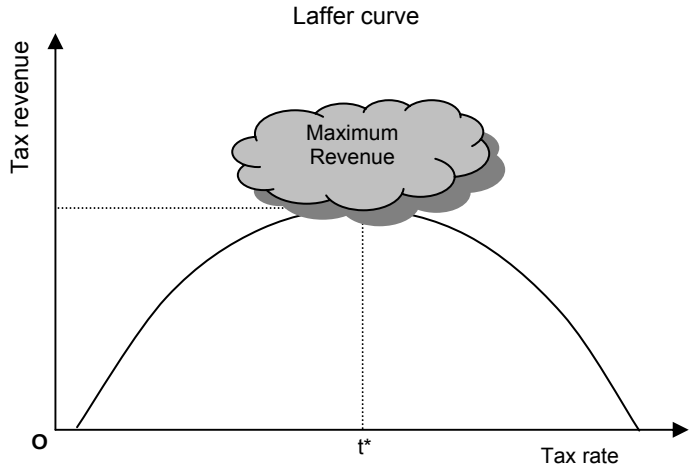
For LICs, income tax collection is very low and indirect taxes often account for more than $2/3^{rd}$ of total revenue as citizens often under-report their incomes in these countries, there is no voluntary tax payment culture, and income tax collection agencies are weak and/or corrupt. By contrast, for HICs, income taxes are much more important, accounting for over $2/3^{rd}$ of total tax revenue.

Disposable income is obtained by subtracting income tax from total income. At the national level, disposable income Y_d is calculated as Y-T, or Y-tY, where t is the net income tax rate.

One important question before governments is determining the optimal tax rate, t, for the average citizen. If t is too low, not enough taxes might be collected to enable the government to run and provide proper services. If t becomes too high, the incentive for citizens to work will be reduced, meaning national income will go down and tax collection will fall. Also at very high levels of t, the incentive to cheat and evade taxes increases and the government, therefore, might face serious enforcement problems.

HOW MUCH TO TAX? LAFFER CURVE

The graphical inverted-U relation between tax rates and total tax collections by government is known as Laffer curve. This curve is developed by economist Arthur Laffer; the Laffer curve formed a key theoretical foundation for supply-side economics of President Reagan during the 1980s. It is based on the notion that government collects zero revenue if the tax rate is 0% and if the tax rate is 100%. At a 100% tax rate no one has the incentive to work, produce, and earn income, so there is no income to tax. As such, the optimum tax rate, in which government revenue is maximized, lies somewhere between 0% and 100%. This generates a curve shaped like an inverted U, rising from zero to a peak, and then falling back to zero. If the economy is operating to the right of the peak, then government revenue can be increased by decreasing the tax rate.



EXPENDITURES AND THE EFFECTS OF FISCAL POLICY

Having concluded the discussion on tax policy and taxation, let us now focus on expenditures and the effects of fiscal policy in aggregate.

Expenditures may be categorized as recurrent and development. The former includes interest payments on debt, salaries and administrative expenses of all government ministries and departments, and other exigent recurrent charges on the exchequer. The latter mainly social sector capital expenditures, esp. those which are expected to yield long-term development benefits. Examples are building a school or hospital, laying down a new railway system, building a motorway etc.

Governments often promise to undertake heavy development and social sector (i.e. health, education etc.) expenditures, but due to scarcity of revenues and borrowing possibilities, can only manage small development expenditures. A large part of the budget in most countries is committed to recurrent charges.

Repayment of debt is reported below the line with other borrowing and debt aggregates, as it is neither strictly recurrent nor development spending.
Revenues – (recurrent + development expenditures) + interest payments on debt] gives the primary surplus, i.e. the amount available to service the burden of public debt.

EFFECT OF TAXATION ON EQUILIBRIUM OUTPUT AND THE BALANCED BUDGET MULTIPLIER

$$k = \frac{1}{1 - MPC}$$

C = a + bYd

Yd = Y – tY = Y(1 – t)

t = net tax rate

Put Yd in C

C = a + b {Y (1 – t)}

C = a + {b (1 – t)} Y

b = MPC

MPC*= b (1 – t)

$$k^* = \frac{1}{1 - MPC`} = \frac{1}{1 - MPC\,(1 - t)}$$

- If MPC = 0.8 & t = 0.2
- MPC` = MPC (1 – t) = 0.8 (1 – 0.2)
- = 0.64

k is multiplier

Therefore $k = \frac{1}{1 - 0.64}$

= 2.77

Taxes act as a drag on the multiplier effect of government spending, since they represent a leakage from the circular flow of incomes. The tax-adjusted multiplier k* is smaller than the basic Keynesian multiplier, k, introduced earlier. k* is given by {1/[1-(MPC)(1-t)]}, where t is net income tax rate, and T = tY. The higher tax rate, the greater the leakage and the smaller the fiscal policy multiplier.
It is interesting to consider the special case of balance budget multiplier. The concept here is that if the government spends Rs.10 bn and finances it by increasing taxes by Rs. 10 bn, the multiplier will not be zero, as one might initially expect. This is because, the higher tax causes disposable income to fall, which in turn causes saving and imports (the other two types of leakages) to fall. Thus the net leakage from the system is less than Rs. 10 and there is a positive multiplier effect, albeit small.

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EXERCISES

Assume that the government wishes to reduce unemployment in the economy. Assume that every year from year 1 onwards the government is prepared to expand aggregate demand by whatever it takes to do this. If this expansion of demand gives 7 per cent inflation p.a., fill in the table (below) for the first six years. Do you think that after a couple of years people might begin to base their expectations differently?

Year	Actual inflation	=		+	Expected Inflation
1	7%	=	7%	+	0%
2	14%	=	7%	+	7%
3	21%	=	7%	+	14%
4	28%	=	7%	+	21%
5	35%	=	7%	+	28%
6	42%	=	7%	+	35%

After a couple of years, people will realise that inflation is continuing to rise. They will therefore expect this year's inflation to be higher than last year's, not the same.

Will targeting the exchange rate help to reduce inflation? Does it depend on the rate of inflation in the countries to whose currencies the pound is fixed?

It will help to reduce inflation, if the rate of inflation is lower abroad than at home. The main pressure will be on the export and import substitute sectors, which will have to reduce their rate of cost increases in order to remain competitive.

If inflation is higher abroad, then targeting the exchange rate will not reduce domestic inflation: instead, it will probably increase it. The balance of payments surpluses that will arise from the initial lower inflation will have the effect of increasing money supply and hence fuelling inflation.

What is the best way to reduce unemployment when it is above the natural rate level; when it is at the natural rate leve?

The government can use Keynesian type demand-management policies (raise government spending above taxes, adopt expansionary monetary policy) to try to reduce unemployment when the latter is above the natural rate level. However, when the economy is at the natural rate level, the government should focus on supply-side policies to reduce the natural rate level. Demand-increasing policies at this stage are more likely to feed into prices.

What will determine the speed at which inflation accelerates?

The amount by which unemployment is kept below the natural level (a process which is determined by the level of excess demand). The more that unemployment is kept below the natural level, the more will inflation accelerate.

Which electoral system would most favour a government being re-elected: the US fixed term system with presidents being elected every four years, or the UK system where the government can choose to hold an election any time within five years of the last one?

The UK system. This gives a government more flexibility to ensure that the economy is at the politically best point of the business cycle at the time of the election.

If V is constant, will (a) a £10 million rise in M give a £10 million rise in MV; (b) a 10 per cent rise in M give a 10 per cent rise in MV ?

a. No (unless V = 1)
b. Yes

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If both V and Q are constant, will (a) a £10 million rise in M lead to a £10 million rise in P; (b) a 10 per cent rise in M lead to a 10 per cent rise in P?

a. No (unless V = Q: which it never would)
b. Yes

Can the government choose both the exchange rate and the money supply if it is prepared to use the reserves to support the exchange rate?

Probably, but only for a short time. If the government reduces interest rates to avoid a recession, but at the same time is unwilling to let the exchange rate depreciate, then it can indeed use its reserves to support the currency. If speculators believe that the government can succeed in supporting the exchange rate, then the government may well succeed. The government will be helped in this, if it is supported by other central banks. Thus it was easier for the UK to support a disequilibrium exchange rate when it was a member of the exchange rate mechanism of the European Monetary System than it was before joining, because there was joint support from the member countries to support currencies that were being pushed to the floor of their agreed exchange rate band.

If, however, the government attempts to keep the exchange rate above its equilibrium level over the long term, without correcting the underlying balance of payments problem, then it is likely that the country could be forced to devalue: speculation will become too great. Thus, even within the exchange rate mechanism (ERM), a country could be forced to devalue, despite support from other countries. This was precisely what happened to the UK and Italy in September 1992. Speculation against the pound and the lira became so great that their exchange rates could not longer be maintained. The two countries left the ERM and their exchange rates depreciated.

If importers and exporters believe that the exchange rate has 'bottomed out', what will they do?

Importers and exporters will stop speculating that the currency will fall. Importers will thus cease 'stocking up', and will cut back on imports, waiting for the exchange rate to rise. Exporters will start selling more, to take advantage of the low exchange rate. The combined effect, therefore, could be a substantial boost to aggregate demand.

What adverse internal effects may follow from (a) a depreciation of the exchange rate; (b) an appreciation of the exchange rate?

a. It may fuel inflation by increasing the price of imported goods and reducing the need for export industries to restrain cost increases.
b. It may damage export industries and domestic import-competing industries, which would now find it more difficult remain competitive.

Describe the open market operations necessary to sterilise the monetary effects of a balance of payments surplus. Would this in turn have any effect on the current or financial accounts of the balance of payments?

The balance of payments surplus would lead to an increase in the money supply. To sterilise this the authorities would have to sell securities on the open market. The resulting higher interest rates would tend to lead to a continuing surplus on the financial and current accounts and hence a continuing need to sterilise the resulting increase in the money supply.

Under what circumstances would (a) contractionary and (b) expansionary policies cause no conflict between internal and external objectives?

a. When there was an inflationary gap and a balance of payments deficit.
b. When there was a deflationary gap and a balance of payments surplus.

Making first new classical, and then Keynesian assumptions, trace through the effects (under a fixed exchange rate) of (a) an increase in domestic saving; (b) a rise in the demand for exports.

New classical:

a. A rise in saving will mean a lower level of aggregate demand. This will cause wage rates and prices to fall, and thus cause imports to fall and exports to rise. There will be a current account surplus. At the same time, the increased saving plus a lower transactions demand for money will put downward pressure on interest rates. There will be an outflow of finance and a capital account deficit. Given a high international mobility of finance, the capital account deficit is likely to exceed the current account surplus. This will lead to a contraction in the money supply and hence

ease the downward pressure on interest rates (or even allow them to rise again), thus reducing the size of the financial account deficit, or at least allowing a growing current account surplus to 'catch up' the capital account deficit. Overall balance has been restored.

b. A rise in the demand for exports will cause the current account to move into surplus. At the same time, the resulting rise in aggregate demand will increase the transactions demand for money and put upward pressure on interest rates, causing an inflow of finance and hence a capital surplus too. Money supply will thus rise. But this will then put downward pressure on interest rates, thereby boosting aggregate demand and hence the demand for imports, and also stemming the inflow of finance. The net effect will be an erosion of the current and capital account surpluses until overall balance has been restored. The current account will come back into balance because of flexible prices and wage rates: prices and wage rates will go on rising until the current account surplus has been eliminated.

Keynesian:

a. A rise in savings will cause a multiplied fall in national income and a reduction in the rate of inflation. This will cause a fall in imports and a rise in exports and hence a surplus on the current account. This will lead to a rise in the money supply as the Bank of England sells pounds, but this will be more than offset by an endogenous fall in money supply caused by the reduction in aggregate demand. This will allow the current account surplus to persist. The reduction in money supply will prevent downward pressure on interest rates. There will therefore be no capital account deficit to match the current account surplus. Overall external imbalance will persist.

b. A rise in the demand for exports will cause the current account to move into surplus. The rise in exports (being an injection) will also cause a multiplied rise in national income. This will increase the demand for imports and will thus reduce the current account surplus somewhat (but not completely, given that the rise in exports is partly matched by a rise in other withdrawals too). The effect on the capital account will be relatively small. The current account surplus will reduce the money supply but the rise in aggregate demand will cause an endogenous rise in the money supply. The net effect on interest rates, and hence the capital account, will depend on which of these two effects is the greater.

Suppose that under a managed floating system the government is worried about high inflation and wants to keep the exchange rate up in order to prevent import prices rising. To tackle the problem of inflation it raises interest rates. What will happen to the current and financial accounts of the balance of payments?

The high interest rates will cause a surplus on the capital account. The higher exchange rate will cause a deficit on the current account.

Imagine that there is an inflationary gap, but a balance of payments equilibrium. Describe what will happen if the government raises interest rates in order to close the inflationary gap. Assume first that there is a fixed exchange rate and then that there is a floating exchange rate.

Fixed exchange rate: The higher interest rates will reduce aggregate demand and thus help to close the inflationary gap. The higher interest rates, however, will lead to an increase in the demand for and a decrease in the supply of sterling: the financial account will move into surplus, and external balance will be destroyed. The reduction in inflation will also have the effect of increasing exports and reducing imports, thereby also improving the current account. (As we shall see in section 24.2 and Box 24.2, the effect does not end here. The balance of payments surplus will increase the money supply, which will push interest rates back down again, thus preventing internal balance from being achieved.)

Floating exchange rates: As under a fixed exchange rate, the higher interest rates will reduce aggregate demand and thus help to close the inflationary gap. The higher interest rates will lead to an increase in the demand for and a decrease in the supply of sterling: the financial account will move into surplus, and external balance will be destroyed. The exchange rate will thus appreciate, thereby restoring external balance. The effect of the appreciation will be also to reduce the demand for exports (an injection) and increase the demand for imports (a withdrawal). This will help to reinforce the effect of higher interest rates in dampening aggregate demand and restoring internal equilibrium.

From the above it can be seen that monetary policy has a bigger effect on the domestic economy under floating than under fixed exchange rates.

To what extent do Keynesians and new classicists agree about the role of fixed exchange rates?

They are both critical. They both argue that monetary policy is relatively ineffective under fixed exchange rates, and that overall imbalance on the balance of payments may persist.

What will be the effect of an expansionary fiscal policy on interest rates and national income if there is a perfectly elastic supply of international finance (i.e. perfect capital mobility)? See Lecture 44.

There will be no effect on interest rates. Instead, the money supply will expand fully (from an inflow of finance) to match the rise in aggregate demand, thus giving the full effect on national income with no crowding out.

Are exports likely to continue growing faster than GDP indefinitely? What will determine the outcome?

Yes, so long as a growing proportion of countries' GDP comes from exports. If international trade barriers continue to be eroded, if consumers continue to have a growing demand for imports of goods and services (e.g. foreign holidays) and if firms continue to expand the proportion of their purchases of capital, raw materials, components and semi-finished products that they obtain from abroad, so the exports are likely to continue growing faster than GDP. The growth may well level off over the years, however, as comparative advantage becomes more fully exploited and as services (such as entertainment) account for a larger and larger proportion of GDP.

Why could the world as a whole not experience a problem of a current account balance of payments deficit?

Because every import to one country is an export from another, and every outflow of investment income or transfer of money from one country is an inflow to another. Thus when all the current account deficits and current account surpluses of all the countries of the world are added up, they must all cancel each other out.

What effect will there be on the four objectives of an initial excess of withdrawals over injections?

If withdrawals exceed injections, national income will fall. Other things being equal, this will have the following effects on the four objectives:

- Growth will be negative.
- Unemployment will rise.
- Inflation will fall.
- The current account of the balance of payments will tend to 'improve'. The deficit will be reduced, or eliminated, or be transformed into a surplus. If it was already in surplus, the surplus will increase.

What effects, according to monetarists, would successful supply-side policies have on the Phillips curve?

If the supply-side policies reduced the natural level of unemployment by improving the working of the labour market (e.g. by improving information on jobs), then the (vertical) Phillips curve would shift to the left. If, however, the supply-side policies merely affected output, the Phillips curve would be unaffected.

Two economists disagree over the best way of tackling the problem of unemployment. For what types of reasons might they disagree? Are these reasons positive or normative?

They may disagree over what has caused unemployment. This could be either a disagreement over facts or a disagreement over the way in which these factors operate on unemployment (i.e. a disagreement over the correct model of unemployment). Alternatively they may disagree over the effects on unemployment of particular policies. In each of these cases the disagreement is a positive one.

On the other hand they may disagree over the degree of priority that should be given to tackling unemployment, given that it might be at the expense of some other economic goal (like reducing inflation). In such cases the disagreements are (at least in part) normative.

Make a list of the various inflows to and outflows from employment from and to outside the workforce.

Inflows to employment:

- School/college leavers.
- Immigrants.
- Returners to the labour force: e.g. parents after raising children.

Outflows from employment:

- People who retire.
- People who are made redundant, who are sacked or who resign, and choose not to look for a new job.
- People who temporarily leave their jobs: e.g. to raise a family, or to attend further or higher education
- People who emigrate.
- People who die.

Why have the costs to the government of unemployment benefits not been included as a cost to the economy?

Because unemployment benefit is merely a transfer of money: from the taxpayer to the unemployed. The monetary cost to the taxpayer is exactly offset by the benefit to the unemployed.

If the higher consumer expenditure and higher wages subsequently led to higher prices, what would happen to: (a) real wages; (b) unemployment (assuming no further response from unions)?

a) Real wages would fall back again.
b) The lower real wages would cause consumer demand to fall (assuming that profit earners spend a lower proportion their profits than do wage earners of their wages) and thus shift AD curve back to the left again. But unemployment would fall, because firms could afford to employ more workers at the now lower real wage.

How can a growth in labour supply can cause disequilibrium unemployment.

The AS curve will shift to the right. If wages are inflexible downwards, this will cause an excess supply of labour at the given wage rate.

In what areas of the economy are jobs growing most rapidly in developed countries (and in many fast-growing developing countries as well)? Is this due to a lack of technological innovation in these areas?

In the service sector. It is partly due to a lack of displacement of labour by machines, but also due to a rapid rate of growth in demand. (Note that in some parts of the service sector, there has been a displacement of labour as a result of the information technology revolution.)

Do you personally gain or lose from inflation? Why?

You will have to answer this for yourself! Whether you gain or lose will depend on (a) whether your income tends to go ahead of, or fall behind inflation; (b) whether you are a net borrower or saver, and whether the rate of interest is above or below the rate of inflation (if it is below, then the real rate of interest is negative and thus borrowers will gain and savers will lose); (c) just how inconvenient you find it to update your information on prices so that you can decide whether items are good value for money. If you are in receipt of a student grant, you are probably a loser, given that grants have not risen to compensate for inflation.

Make a list of those who are most likely to gain and those who are most likely to lose from inflation.

Gainers: powerful companies; members of powerful unions; property owners (if property is rising in value more rapidly than prices generally).

Losers: those on incomes fixed in money terms (e.g. savers living on interest on their capital: the real value of their capital will be being eroded by inflation); workers with no bargaining power; people on state benefits, where these benefits do not rise in line with prices; students.

If consumer demand rises and firms respond by raising prices, is this necessarily an example of demand-pull inflation? Could there be such a thing as demand-pull illusion? (Clue: why might consumer demand have risen?)

If the rise in consumer demand were the result of higher wages resulting from trade union or other wage-push pressure, then the rise in demand will be a symptom of these cost-push pressures. To refer to the

outcome as 'demand-pull inflation' would be wrong. It would be a case of demand-pull illusion. In practice, most inflationary episodes have both demand-pull and cost-push elements.

How is the policy of targeting inflation likely to affect the expected rate of inflation?

It is likely to make it approximately equal to the target rate, assuming that people believe that the authorities (e.g. the Bank of England in the UK) will be successful in keeping inflation at approximately its target level. The more successful the authorities are in keeping to the target, the more will people's expectations help to guarantee that this success will continue. If, however, people believe that the authorities will not be able to keep inflation down to the target rate, then the expected rate will be above the target rate, making it more difficult for the authorities to meet the target.

Why is the US current balance approximately a 'mirror image' of the Japanese current balance?

Because the USA and Japan have a high proportion of their trade with each other. Many US imports are Japanese exports and many Japanese imports are US exports. Thus a Japanese trade surplus is quite likely to correspond to a US trade deficit. Similarly, many of the income flows into and out of each country are from the other. Thus Japanese investments in the US lead to income flowing from the US (a debit on the US current account) to Japan (a credit on the Japanese current account). Clearly, however, the current accounts are only an approximate mirror image of each other, given each country's trade with other countries.

Where would interest payments on short-term foreign deposits in UK banks be entered on the balance of payments account?

As a debit on the investment income part of the current account. Payments of interest, profits and dividends are all elements in this part of the balance of payments account.

How did the British pound 'fare' compared with the US dollar, the Italian lira and the Japanese yen from 1980 to 2001? What conclusions can be drawn about the relative movements of these three currencies?

Taking the period as a whole, the pound depreciated against the US dollar and substantially against the Japanese yen, but appreciated against the Italian lira. There were, however, fluctuations around this trend. There was, for example, an appreciation against the dollar between 1993 and 1998 and against the yen between 1995 and 1998.

The movements mean that over the period as a whole there was a decrease in demand for the pound relative to the dollar and yen, but an increase in demand for the pound relative to the lira. This in turn would suggest, other things being equal, that the rate of inflation was higher in the UK than in Japan and the USA but lower than in Italy.

Assume that an American firm wants to import cars from the UK. Describe how foreign exchange dealers will respond.

The firm will want to purchase pounds with dollars. It will thus ask banks' foreign exchange departments for a $/£ quote. The dealers will thus be put in competition with each other, trying to offer the lowest $ price for pounds in order to obtain the business. But they must be careful not to offer so low a $ price that they will be unable to buy the necessary pounds at an even lower $ price from UK importers wanting dollars.

Go through each of the above reasons for shifts in the demand for and supply of rupees and consider what would cause an appreciation of the rupee.

- A rise in Pakistan's interest rates relative to those abroad.
- A lower rate of inflation in Pakistan than abroad.
- A fall in Pakistan's incomes relative to those abroad.
- Better investment prospects in Pakistan than abroad.
- Speculators believe that the rate of exchange will appreciate.
- Pakistani goods become more competitive (in terms of quality, etc.) than imported goods.

If the Malaysian ringgit is undervalued by 47 per cent in PPP terms against the US dollar, and the Swiss franc overvalued by 53 per cent, what implications does this have for the interpretation of Malaysian, Swiss and US GDP statistics?

The GDP figures understate the purchasing value of Malaysian national income by 47 per cent relative to US national income, and overstate the purchasing value of Swiss national income by 53 per cent relative to

US national income. In other words, at the exchange rates in question, Malaysian national income seems 47 per cent lower relative US national income than it really is in purchasing terms, and Swiss national income seems 53 per cent higher relative to US national income than it really is in purchasing terms.

Can growth go on for ever, given that certain resources are finite in supply?

Yes, provided that technical progress continues to allow output be produced with declining amounts of resources.

For what reasons might the productivity of land increase over time?

Because of the increase in quantity and quality of complementary factors. Thus a hectare of land yields more agricultural output today than 100 years ago because of the increased mechanisation of agriculture and the increased amount of chemicals used.

What would be the rate of economic growth if 20 per cent of national income were saved and invested and the marginal efficiency of capital were $^2/_5$?

Given the formula: $g = i \times MEC$, the rate of economic growth will be:

$$20\% \times {}^2/_5$$
$$= 8\%$$

If there were a gradual increase in the saving rate over time, would this lead to sustained economic growth?

Yes, but the rate of economic growth would gradually slow down, given that the Y curve gets less and less steep. If, however, the extra saving were invested in research and development, with the result that the Y curve shifted upwards, this would allow a higher output to result from the extra saving and hence a faster rate of economic growth as saving increased over time.

If this is true, why do people not increase their rate of saving?

Because people generally have a preference for spending their money sooner rather than later. Saving entails sacrificing present consumption for future consumption, and the cost of waiting has to be offset against any increased consumption (from earning interest) in the future.

If there were a higher participation rate and GDP per capita rose, would output per worker also have risen?

Not necessarily. GDP per capita will still rise if a greater proportion of the population work and there is the same output per worker.

If people worked longer hours and, as a result, GDP per capita rose, how would you assess whether the country was 'better off'?

The country would be better off if the benefits from the extra consumption exceeded the costs of working more. Calculating such costs and benefits is fraught with difficulties, however. For example, just because people do work longer hours, it cannot be assumed that for them the benefits outweigh the costs: the may have little choice over the number of hours worked, and even if they did, they may not realise the full costs to them (in terms of lost leisure opportunities, diminished family and social interactions and possibly poorer health). Also, some of the costs and benefits are external to the people working the longer hours (e.g. costs and benefits to other family members), and thus may well not be fully taken into account.

Identify some policies that a government could pursue to stimulate productivity growth through each of the above means.

- Giving firms grants and/or tax relief for investment; reducing delays in hearing planning applications.
- Putting more public money into education, training, R & D and infrastructure; better auditing to ensure that such money is used efficiently.
- Reducing barriers to trade and outlawing various anti-competitive practices.

If tax increases are 'phased in' as the economy recovers from recession, how will this affect the magnitude and timing of the recovery?

It would have a similar effect to automatic fiscal stabilisers. It would reduce the rate of growth of aggregate demand and thus dampen and slow down the recovery. The hope of the government was that this would make the recovery more sustainable and would create confidence in the financial community

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that the budget deficit would be significantly reduced over the longer term. As the budget deficit fell, so the hope was that this would allow interest rates to fall. The danger, of course, was that the tax increases might totally halt the fragile recovery.

At lot depended on confidence. The more that investors believed that the policy would help to make the recovery more sustainable, the more they would invest and, therefore, the more sustained the recovery would be. On the other hand, if investors believed that the tax increases would kill off the recovery, the less they would invest, and therefore the more likely the recovery would peter out.

If tax cuts are largely saved, should an expansionary fiscal policy be confined to increases in government spending?

Ricardian equivalence states that when a governemnt cuts taxes (and finances the resulting fiscal deficit from borrowing), taxpayers will not spend the higher disposable incomes they are left with as a result of the lower taxes, because they will expect government to raise taxes in the future in order to pay the higher interest cost of debt incurred today. Under these conditions, increases in government spending, provided they are direct expenditure on output-generating activities, will be more effective than tax cuts in stimulating the economy.

Could you drive the car at a steady speed if you knew that all the hills were the same length and height and if there were a constant 30-second delay on the pedals?

Yes. You would simply push on the accelerator (or brake) 30 seconds before you wanted the effect to occur. You would do this so that the car would end up braking as you went down hill and accelerating as you went up hill.

The lesson for fiscal policy is that if forecasting is correct, if you know the precise effects of any fiscal measures, and if there are no random shocks, then fiscal policy can stabilise the economy.

How can a government finance its fiscal deficit?

By borrowing locally (i.e. issuing bonds), foreign financing (including non-relpayable grants) or printing money (i.e. borrowing from the central bank). The first of these methods is least inflationary while the last one is most inflationary.

Are all taxes distortionary?

A naïve but not incorrect answer is “Yes”. Indeed all taxes are distortionary, “but”, given existing distortions, imposing some taxes can actually reduce the distortion in the economy. This is the theory of the second best.

Why is the “without tax” multiplier smaller than the “with tax” multiplier?

Because taxes are a leakage from the circular flow, and the multiplier measures the impact of an injection onto the circulr flow. The more avenues for leakages, the less will be this impact.

How is a sales tax different from a graduated income tax?

The sales tax is a direct and progresisve tax. It’s direct because it is a deduction from the net income of an individual. It is progressive because the graduated levy ensures the burden of tax reduces for poorer people (this is consistent with the equity principle that the tax burden should be commnsurate with “ability to pay”). A sales tax is an indirect tax because it indirectly taxes people’s incomes. What it taxes directly is people’s consumption expenditure. Naturally, the sales tax is regressive; a poor person pays the same percentage of the retail price as tax as a rich person.

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FISCAL POLICY, MONEY & BANKING

FINANCING OF DEFICIT

Since the size of the balanced budget multiplier is small, it is not always possible to get the required demand expansion by raising expenditures and taxes symmetrically. Thus, the case of deficit spending and financing must be considered. Here the government spends more than its revenues, and raises debt to finance the excess of expenditures over revenues. The three borrowing options were mentioned earlier:

i. Borrow from domestic banking system or general public through a sale of treasury bills and bonds. Bills are short-term debt instruments (< 1 year) and bonds are long-term bond instruments (> 2 years).[4] The major disadvantage of this type of borrowing is that it can lead to crowding out of private sector activity. How? Consider the market for loan able funds. An increased demand for funds by the government will cause interest rates in the economy to rise (making loans more expensive for everybody, including the private sector) as well squeeze the quantity of credit available for lending to the private sector.

ii. Borrow from the central bank by ordering the latter to print money and lend it to the government (free or at an interest cost) for onward spending. All governments would love to do this, except that this type of "apparently free" financing is highly inflationary. You can easily imagine why. An increased supply of money given a fixed supply of gods will naturally cause prices of those limited goods to rise.

iii. Borrow from foreign sources either through bonds floated on international capital markets or bilateral, multilateral or commercial loans. The advantage of this type of borrowing is that it does not lead to crowding out and is not immediately inflationary, especially if some of the loan helps finance import expenditure. If all the borrowed money is spent locally given a fixed exchange rate, the monetary effects of foreign borrowing might become very similar to those of borrowing from the central bank.

SHOULD THE FISCAL POLICY BE ACTIVE OR PASSIVE?

In view of the above complications, there is a long-standing debate on whether fiscal policy should be active or passive. Note that in a Keynesian context; even a passive fiscal stance will produce an automatic stabilizer effect on aggregate demand. How? If AD falls, Y falls; tax collection falls, the net income tax rate falls, which is equivalent to a passive fiscal policy expansion. Also, when AD and Y fall, unemployment rises; which means more people become eligible for unemployment benefit, which in turn causes government expenditure to rise, which is again equivalent to a passive fiscal policy expansion. It is easy to derive the reverse situation: in which AD rises and fiscal policy becomes passively contractionary.

In addition to the above, there is an argument that active fiscal policy cannot be changed without a time lag. The government passes its budget on an annual basis, and thus a mid-year change in AD which warrants a fiscal policy response must wait till the start of the next fiscal year. Unfortunately, the demand conditions might have changed by that time!

1. Other arguments against active fiscal policy-led demand-management include the effects of a fiscal expansion on interest rates and subsequently the exchange rate. As mentioned in the discussion on BOPs, a rising domestic interest rate will cause the exchange rate to appreciate in real terms (due to the interest parity condition). This, however, will cause competitiveness to decline will drive down exports and lead to BOPs problems.
2. Finally, expansionary fiscal policies can raise the national debt (as you know, national debt is simply an accumulation of past fiscal deficits) which would have to be paid off by future generations, possibly through a painful increase in their tax contributions.

[4] Bills and bonds can be thought of as certificates that the government gives to its lenders in exchange for cash. The terms on the certificate stipulate when the government will repay the cash and what interest rate it will pay till maturity. Thus if the government sells you a 10% 10-year WAPDA bond worth Rs. 1000 today, it means you will give the government Rs. 1000 today and receive the Rs. 1000 from government after a period of 10 years. In the meantime, however, the government will pay you interest at 10% (or Rs. 100 per year).

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THE CONCEPT OF MONEY

Money or paper currency serves at least three functions: it is a medium of exchange, a store of value and a unit of account. Before paper money (and we are talking of not so long ago!), people used coins which had intrinsic value (gold, silver, bronze). Before that (and now we are talking of very long ago!) there was barter trade, where goods and services were exchanged for goods and services and there was no monetary medium of exchange, per se.

Money Supply and Its Various Definitions:

There is a process by which money is created – the money supply process, and there are ideas about why people hold money – money demand theories. We'll tackle these in order and then develop an understanding of money market equilibrium.

Before getting a handle of the money supply process, we must understand the various definitions of money supply (denoted by Ms). At this introductory stage, we'll introduce only three definitions:

a. **M0:** also called base money, high powered money or the monetary base. M0 is the value of all the currency notes and coins that are in circulation in the economy. Note that any currency or coins lying with the central bank (which in Pakistan's context, would be the State Bank of Pakistan) does not count as M0, as it is not in circulation.
b. **M1:** is M0 + all current (or checking) deposits held with commercial banks. Checking deposits are accounts from which the holders can withdraw money at any time.
c. **M2:** is M1 + all time deposits. Time deposits are accounts from which holders can withdraw money only after giving the banks some notice (usually a few months). When talking about money supply, this is the measure we often refer to. The relationship between M2 and M0 is the key to unraveling the money supply process. If you are wondering how money supply can be greater than M0, consider one simple answer (in QTM vein). A 100 rupee note counts as Rs. 100 only for M0; but if that note goes round the economy and changes hands 5 times in a year, then the value of that 100 rupee note is Rs. 500 in an M2 context. From the definition of M2 and M0, however, it is clear that there is something commercial banks do which causes the value of that 100 rupee note to rise from Rs. 100 to Rs. 500.

WHAT DO COMMERCIAL BANKS DO?

They take deposits (i.e. borrow money) and make loans (i.e. lend money). The interest rate they pay on deposits is lower than the interest rate they charge on their loans. The difference covers their overhead costs and profits.

If banks on-lend all the money they receive as deposits, they would not be able to give any money back to depositors who come to withdraw money from their accounts. On the other hand, if banks on-lent nothing and kept all the money they receive as deposits in a locked safe, then there is no profit they will make. There is thus a trade-off between liquidity (having cash at hand) and profitability. Banks often resolve this trade-off by maintaining cash reserves which are a small ratio of total deposits. Thus if deposits are Rs. 100, banks might decide to keep Rs. 10 of that money in the form of a liquidity reserve (to meet the needs of depositors who might come to withdraw money on any particular day) and lend the remaining Rs. 90 as loans to businesses. In this case the reserve ratio is 10% (i.e. 10/100). Sometimes this reserve ratio is imposed as a central bank requirement that commercial banks must fulfill.

THE MONEY CREATION PROCESS

We can now study the money supply or creation process. Imagine the government wishes to buy pencils worth Rs. 10 for its officials. The supplier firm is called S and has a deposit account with Bank A. In order to buy the pencil, the government asks the central bank to print a 10 rupee note and give it to the government.[5] This action causes M0 to expand by Rs. 10. Now the government pays this amount to S

[5] Note that we use the terms government and central bank to mean two distinct entities. By government, we mean the Ministry of Finance, or the Treasury. The central bank, although a part of the broader definition of government, is a separate entity in an accounting and administrative sense. As such, in this discussion of the monetary sector, we consider the central bank as an entity separate from, and lying outside, the government.

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(in exchange for the pencils) who in turn deposits the money into his account in Bank A. What does A do? Assuming it operates a safety cushion or reserve ratio (RR) of 10%, with initial deposits of Rs. 100 million. Its balance sheet will be as follows:

Balance sheet of bank A (Initial condition)	
Assets	**Liabilities**
Loans = 90	Deposits = 100
Reserves = 10	
Total assets = 100	Total liabilities = 100

After that person deposits Rs. 10 in bank A, the new balance sheet of bank A will appear as:

Balance sheet of bank A (After the deposit of Rs. 10)	
Assets	**Liabilities**
Loans = 90	Deposits = 100+10 = 110
Reserves = 10+10= 20	
Total assets = 110	Total liabilities = 110

Bank wants to maintain its RR at 10%.
RR = Reserves / Deposits = 20/110 = 18.20% this is higher than the 10%. So bank issue loans of this extra amount. The new balance sheet of bank A will appear as:

Balance sheet of bank A (After issue of new loans)	
Assets	**Liabilities**
Loans = 90+9 = 99	Deposits = 110
Reserves = 20-9 = 11	
Total assets = 110	Total liabilities = 110

The firm who receive this loan will deposits its amount in bank B. Bank B will do the same actions as that of bank A. Lets the initial balance sheet of bank B be as follows:

Balance sheet of bank B (Initial condition)	
Assets	**Liabilities**
Loans = 90	Deposits = 100
Reserves = 10	
Total assets = 100	Total liabilities = 100

After the firm deposits extra Rs. 9 in bank B, the balance sheet of bank B will appear as:

Balance sheet of bank B (After deposits of Rs. 9)	
Assets	**Liabilities**
Loans = 90	Deposits = 100+9 = 109
Reserves = 10+9 = 19	
Total assets = 109	Total liabilities = 109

RR= 19/109 = 17.4%. This is higher than the 10% so bank B will issue loans of this extra amount and its balance sheet will appear as:

Balance sheet of bank B (After issue of new loans)	
Assets	**Liabilities**
Loans = 90+8.1 = 98.1	Deposits = 109
Reserves = 10.9	
Total assets = 109	Total liabilities = 109

Thus, Bank A will add Rs. 1 to its liquidity reserve and lend Rs. 9 to firm T. Firm T, takes the Rs. 9 and deposits it in another Bank B. B acts in a similar way: it adds 90 paisa (10% of Rs. 9) to its existing liquidity reserve and lends the remaining Rs. 8.1 to firm Z. The process goes on; the amount lent falling each time by a factor of 10%.

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If the money creation process is set up as an infinite series (starting from the central bank printing the ten rupee note), we will have

- Increase in Bank A's Balance sheet
- 10 x (0.9)0 = 10
- Increase in Bank B's Balance sheet
- 10 x (0.9)1 = 9
- Increase in Bank C's Balance sheet
- 10 x (0.9)2 = 8.1
- Increase in Bank D's Balance sheet
- 10 x (0.9)3 = 7.3

10 + 10× (90%) + 10× (90%) × (90%) + 10× (90%) × (90%) × (90%) + …….
This is an infinite converging series with a first term of 10 and a convergence factor of 0.9 (or 90%).
= 10 (10 + 0.91 + 0.92 + 0.93 + …..)
Now $S = \frac{a}{1 - r}$
The sum to infinity of this series is
10/ (1-0.9) = 100.
Thus, an initial M0 expansion of Rs. 10 has a total money supply (or M2) impact of Rs. 100, thanks to the intermediation of commercial banks. There is a money multiplier (MM) at play of magnitude 10.
M0 × MM = M2

THE MONEY MULTIPLIER

If you look carefully, the money multiplier is nothing but the inverse of the reserve ratio. Thus, we can write MM = 1/rr, where rr is reserve ratio. Generally, in stock terms we can write, M2 = MM*M0 = (1/rr)*M0; and in flow terms we can write, ΔM2 = (1/rr)*ΔM0. The higher the reserve ratio, the higher will be the leakages and thus the lower will be the money multiplier. In the extreme, when rr = 100%, MM is 1, and M2 = M0.

BALANCE SHEET OF A CENTRAL BANK

To complete our understanding of the money supply process let us now zoom in on the central bank's balance sheet. To keep things simple, we'll consider the balance sheet of the State Bank of Pakistan, SBP, abstracting from the more complicated ones held by the U.S. Federal Reserve Bank, the European Central Bank or the Bank of England. The choice of SBP is, however, for illustration purposes only and does not reflect on SBP's actual financials.

Balance sheet of a central bank	
Assets	**Liabilities**
Loans to Govt	Notes, coins & currency in circulation
Forex reserves	Govt & commercial bank deposits
Loans to private sector	Liquidity paper issued

Lesson 42

MONEY, CENTRAL BANKING AND MONETARY POLICY

BALANCE SHEET OF STATE BANK OF PAKISTAN (SBP)

Any balance sheet has two sides: assets and liabilities, and the totals of the two must balance.

Balance sheet of SBP	
Assets	**Liabilities**
1- Forex reserves	**4-** Notes, coins & currency in circulation: M0
2- Loans/Credit to Govt	**5-** Govt & commercial bank deposits
3- Loans/Credit to private sector	**6-** Liquidity paper issued

On the assets side of SBP's balance sheet, we have (1) the country's foreign exchange reserves (foreign currencies, gold and silver reserves; either held domestically or invested abroad); (2) credit to government: this would include any SBP lending to government, including in the form of any outstanding (i.e. yet to mature) treasury bonds and bills lying with the SBP; and (3) credit to banks: this would include any advances (another name for loans) extended by SBP to commercial banks. On the liabilities side, we have (4) notes and coins in circulation (i.e. M0). Note that for a currency-issuer (SBP in our case), the currency is a liability, not an asset; (5) government or banks' deposits: these would include any positive account[6] balances held by commercial banks and/or the government; (6) outstanding liquidity paper issued: this would include any bills issued by the central bank for the purpose of mopping up liquidity from the financial system.

Given the accounting requirement of **(1)+(2)+(3) = (4)+(5)+(6)**, we can easily how any increase on the LHS must be reflected by an increase on the RHS. However, only an increase in (4) will cause the money supply (M2) to expand.

Let's simulate **the effect of an increase in** (1), caused by SBP's purchase of dollars from the foreign exchange market. As we discussed before, when the government buys foreign exchange, it must inject an equivalent amount of local currency liquidity into the economy. This means an increase in (4). Thus, the size of balance sheet grows symmetrically on both sides. Note, however, that SBP could technically issue liquidity paper (6) to help sweep up the liquidity it injected when purchasing dollars from the market. If this is done, then the rise in (6) will be mirrored by a fall in (4) and therefore the monetary implications of the foreign exchange market intervention would stand neutralized. This process, by which the increase in (4) is substituted by an increase in (6), is called sterilization, and is one of the policies resorted to by countries facing large foreign exchange inflows while maintaining a fixed exchange rate.

This point in the discussion offers a natural launch pad for defining the instruments of monetary policy available to a central bank. Earlier we talked about monetary policy but never quite got round to defining the instruments thereof. Having developed an idea of the central bank balance sheet, this is now straightforward to do.

MONETARY POLICY

Monetary policy is the process by which the government, central bank, or monetary authority manages the supply of money, or trading in foreign exchange markets. Monetary policy is generally referred to as either being an expansionary policy, or a contractionary policy, where an expansionary policy increases the total supply of money in the economy, and a contractionary policy decreases the total money supply. Expansionary policy is traditionally used to combat unemployment in a recession by lowering interest rates, while contractionary policy has the goal of raising interest rates to combat inflation (or cool an otherwise overheated economy). Monetary policy should be contrasted with fiscal policy, which refers to government borrowing, spending and taxation.

[6] All licensed commercial banks and the government maintains accounts at the central bank which can be credited (replenished) or debited (depleted) depending on the transaction. If a commercial bank withdraws cash from its account with the central bank and lends that cash to some firm operating in the economy, then this transaction would be a debit one, i.e., it will cause deposits to fall. You can predict the effect on M0. Yes, it will rise by the same amount.

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TOOLS / INSTRUMENTS OF MONETARY POLICY

Monetary policy can be defined as the central bank's Programme, often changing on a daily basis, regarding the direct or indirect control (through interest rates) of monetary conditions in the economy with a view to managing aggregate demand and inflation. There are four major instruments of monetary policy:

I. **Reserve ratio and SLRs:** the central bank can impose and alter a mandatory reserve ratio for commercial banks, and through that, affect the money multiplier. By extension, the central bank can force commercial banks to comply with additional statutory liquidity requirements (SLRs) that work similarly to a the reserve ratio. SLRs require commercial banks to invest in a certain quantity of T-bills and T-bonds. Since a large stock of these is often held by the central bank as assets (credit to government), the central bank can use SLRs to increase or run-down its holding of this stock, and thus cause M0 to increase or decrease directly.

II. **Discount rate:** As mentioned earlier, the central bank sometimes extends credit to commercial banks on their request to meet their exigent liquidity needs.[7] Such borrowing is called borrowing from the discount window and the rate the central bank lends at the discount window is called the discount rate. If the central bank increases this rate, banks would be inclined not to borrow from the central bank and instead keep a large reserve ratio as a cushion against a possible liquidity crunch. A higher discount rate thus causes banks' voluntary reserve ratio to increase and the size of the money multiplier to reduce.

III. **Open market operations (OMOs):** Central banks conduct OMOs on a frequent basis. An OMO typically involves the central bank buying or selling government securities (T-bills and bonds) to commercial banks. As mentioned in i) above, the central bank can build or run-down its stock of government securities and affect M0. In contrast to i, however, it is not implemented as a mandatory requirement, rather the central bank conducts an OMO in auction style in which all banks are free to bid. The price of the securities (and therefore the yield or interest rate they offer) is determined by the degree of interest in the auction. If for instance, the central bank wants to buy securities and there are very few willing sellers, then the sellers will demand a higher price for the securities. This will push the yield (or return) on the securities down. By contrast, if there were a large number of willing sellers, they would compete ferociously with each other to sell their stock to the central bank. In this case, the securities' prices are likely to be bid down, to the advantage of the central bank. In both cases, however, the money supply will expand, as the central bank injects new currency into the economy in exchange for the securities. In the reverse case, when the central bank sells securities in the market, the money supply contracts.

IV. **Foreign exchange market interventions:** As discussed earlier in the context of balance of payments, a purchase or sale of foreign exchange by the central bank has an ipso facto effect on the money supply – because the central bank has to pay local currency in order to buy the foreign currency. In balance sheet language, it can be seen that a central bank purchase of foreign exchange, will cause the bank's foreign exchange reserves (item 1 on the balance sheet) to increase. Unless sterilized (by issuing central bank liquidity paper or OMOs) such an increase will cause an increase in M0, which through a multiplier effect causes M2 (or money supply) to increase.

FUNCTIONS OF CENTRAL BANK

Let us conclude our discussion here with a word about the functions of the central bank. Monetary policy is just one of the functions of the central bank. There are at least three more functions central banks serves:

a. As lender of last resort, it must bail (or help) out commercial banks facing temporary liquidity shortfalls;

[7] The central bank is obliged to provide such credit in its capacity as *lender of last resort*. Any bank in trouble (i.e. in need of cash) can go to the central bank discount window and borrow. As such the central bank provides an extra cushion to the banking system, whose stability is essential for a smooth payments system in the economy.

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b. As supervisor of the financial system, it must ensure its good health by monitoring commercial banks' lending (risk-taking), capital adequacy, and liquidity positions. The central bank is also a monitor of the management and governance of financial institutions and of any other threats to the stability of the financial system;
c. As the biggest intervener in the foreign exchange market (and/or setter of the exchange rate), it is responsible for exchange rate policy and the balance of payments, per se.

Whether the central bank fulfils these functions independently and autonomously or under instruction by the government (Minster of Finance) depends very much on whether the central bank is de facto autonomous or not. In most HICs, central banks enjoy a fair degree of autonomy (and this is cited as one reason for the stability of their monetary and financial sectors) but in LICs, governments often intervene heavily in the functions of the central bank preventing it from achieving its mandated objectives of financial sector health, monetary and BOP stability, and low inflation.

WHY PEOPLE HOLD MONEY?

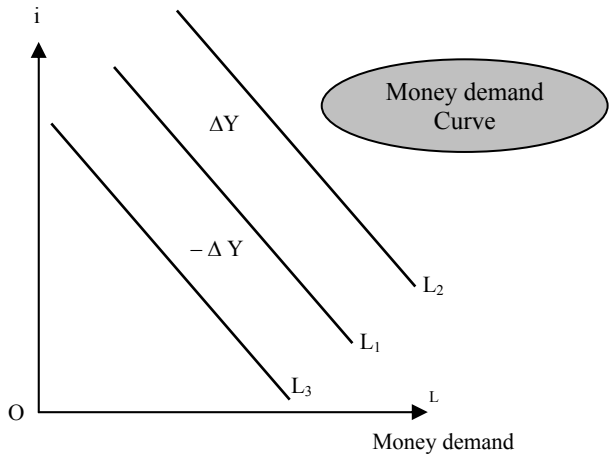
We can now move on to money demand (denoted by Md or L), and the question of why people hold money? Economists have identified three broad motives:

a. **The transactions motive:** People need to make day-to-day transactions (buy food, clothes etc.) and therefore need to hold cash in their hands. Of course, the increasing spread of plastic money (credit cards) has considerably reduced the transactions incentive for holding money. Assuming no plastic money, an individual's transactions demand for money is likely to increase with his/her income, as s/he is more likely to make more transactions if he feels richer.
b. **Precautionary motive:** In addition to money held for making transactions, people sometimes hold money for precautionary purposes as well: i.e. to meet any urgent or unexpected expenditure needs, or to "snatch a bargain" that might be taken by someone else. Again, precautionary demand for money is likely to increase with income
c. **Assets motive (also called speculative or investments motive):** In addition to a and b, people might wish to keep some cash to switch between various investments. So consider a person who owns some land, holds some bonds, and has some stock market investments. Let's say he spots a good investment opportunity on the stock market but doesn't have instant buyers for the land or bonds he holds. In this situation some spare cash in hand would have helped him acquire the equity asset. The assets demand for money is likely to increase with income (for reasons similar to those for a and b) and decrease with interest rates (because the interest rate is the opportunity cost of holding cash in your hands).

DEMAND FOR MONEY

Generally, then, money demand Md increases with income levels and falls with interest rates. Note that we refer to real income (which measures purchasing power) and real interest rates (which measure real return on invested money), and not their nominal counterparts. Thus the demand for money we refer to is the demand for real money. Contrast this with what have been talking about earlier: nominal money supply – i.e. what the central bank controls through its various instruments. Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

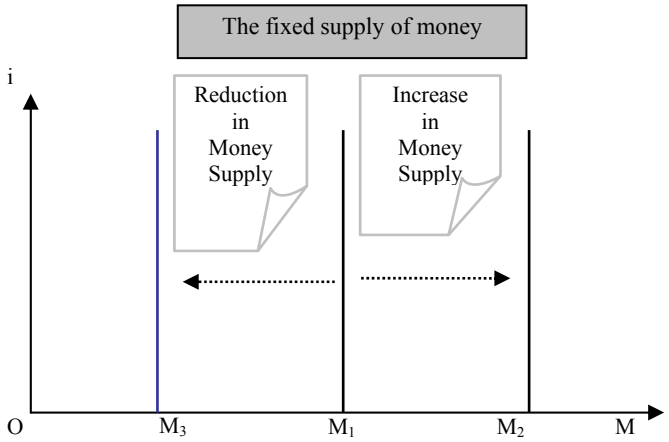
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i
Money demand Curve
ΔY
– Δ Y
L2
L1
L3
O
L
Money demand

Lesson 43

MONEY & GOODS MARKET EQUILIBRIUM: IS-LM FRAME WORK

MONEY SUPPLY



So far we have talked about macroeconomic equilibrium either in the context of the goods market (AS-AD), the labour market, or the loan able funds market. We now enrich our notion of equilibrium with the money market and see what the conditions are for an economy to strike joint equilibrium in the goods and money markets. The framework within which this is done is called the IS-LM framework. The exact meaning of the letters is perhaps not so important as their meaning. IS actually refers to a curve drawn in i-Y space capturing all the points at which the goods market is in equilibrium. LM is similarly, a curve also drawn in i-Y space, but capturing all the points at which the money market is in equilibrium. We look at how these curves are derived, in reverse order, i.e. staring with the LM curve.

MONEY MARKET EQUILIBRIUM

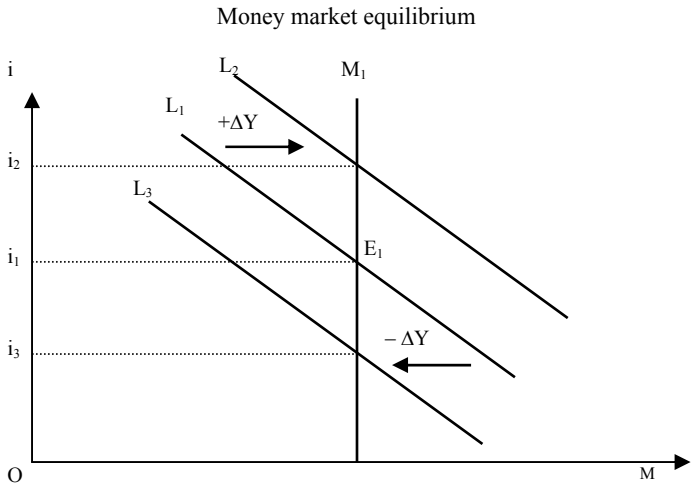
We start from where we left our discussion of the monetary sector. We noted that money demand increased with income and decreased with interest rates. Now plotting the money demand function (we'll call it L) in i-M space (where M denotes real money), we get a downward sloping line. The slope of L depends on the sensitivity of money demand to changes in the interest rate, or the interest elasticity of money demand ($i\epsilon_L$).

An increase in real income (Y) causes a rightward shift in the L curve while a fall in income causes a leftward shift. The amount by which L shifts in response to a given change in income depends on the sensitivity of money demand to income changes, or the income elasticity of money demand ($Y\epsilon_L$).

By introducing money supply at this stage, we can develop a notion of **money market equilibrium**. As mentioned earlier, the nominal money supply is controlled (directly or indirectly) by the central bank. Given a certain level of prices (P), and sticking with I-M space, real money supply (i.e Ms/P) will plot as a vertical line intersecting the M axis at a finite point determined by Ms (determined by the central bank) and the price level. Given constant prices, an increase in Ms will cause Ms/P to shift to the right, and a decrease in Ms will cause Ms/P to shift to the left. Similarly, given a constant Ms, an increase in P will shift Ms/P to the left, while a decrease will have the opposite effect.

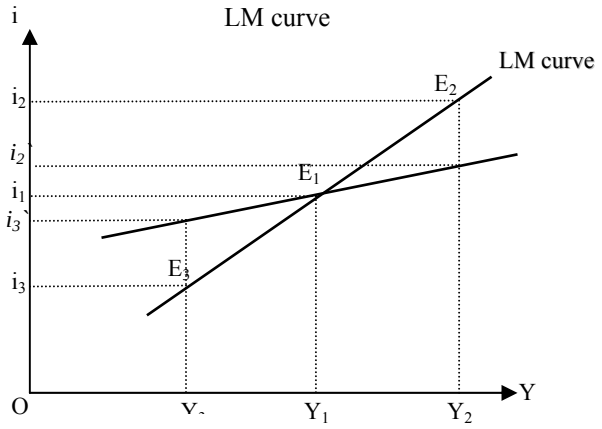
The intersection point of the L and Ms/P lines delivers money market. To see how this equilibrium responds to changes in income (Y), we can see that with a fixed Ms/P, increases in income will cause L to shift to the right, causing the equilibrium interest rate to rise. It is obvious that if we were plotting the equilibrium relationship in the money market in i-Y space, we would get an upward sloping line, since a rise in income causes a rise in interest rates. Again, the slope of this line would depend on the two elasticize mentioned above. If $Y\epsilon_L$ is small then even a large change in Y will cause only a small change in money demand. Now if $i\epsilon_L$ is large, only a small change in i will be required to bring money demand back to equilibrium levels (i.e. equal to the fixed Ms/P). In this case, the LM curve will be relatively flat (large changes in Y associated with small changes in i). LM will be steeper the bigger is $Y\epsilon_L$ and the smaller is $i\epsilon_L$.

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THE LM CURVE

LM curve sows the combinations of real output and real interest rate at which money market is in equilibrium.



SHIFTS IN THE LM CURVE

It is also useful to think about factors that will cause shifts in the LM curve. Ms/P is one such factor. How? Simulate the effect of an increase in Ms/P in i-M space. The vertical Ms/P curve shifts to the right causing the equilibrium interest rate to fall. Thus for an unchanged income level (since we have not assumed anything about income changes causing shifts in the L curve), the interest rate falls. The way this translates in i-Y space is simple. Every point on the LM curve will shift vertically downwards. Why vertically downwards, because income has not changed. Thus, it is clear: an increase in real money supply (Ms/P) will cause LM to shift down (or the right), while an decrease in Ms/P will cause in LM to shift up (or to the left).

GOODS MARKET EQUILIBRIUM: THE IS CURVE

This is much simpler. We start with the loan able funds or (saving-investment) market (with i on the vertical axis and S & I on the horizontal axis) where the investment schedule plots as a downward sloping curve. Now consider what happens to investment demand (I) when there is a fall in i (due, say to a rightward shift in the saving function). I will increase, as it is now cheaper for firms to borrow money and invest. How would a higher I affect income Y in the context of the 45 degree line diagram introduced earlier in the course. Clearly, the AD curve would shift upwards by +ΔI (the increase in I induced by a fall in i). This would cause a multiplied rise in income, raising the latter by k*ΔI, where k is the Keynesian multiplier.

Clearly then, a fall in interest rates is associated with a rise in equilibrium national income Thus the IS curve, which captures goods market equilibrium is downward sloping in i-Y space. The lower the interest rate, the higher the income; the higher is interest rate, the lower the income.

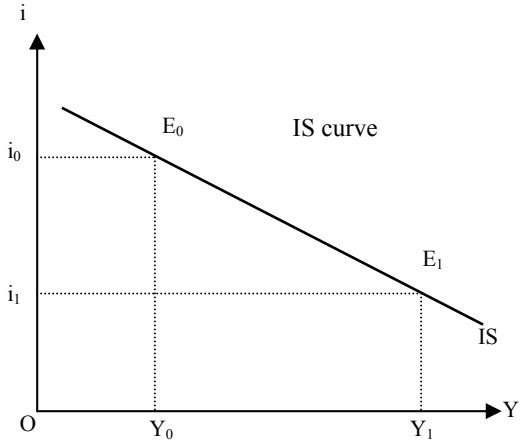
Goods market is in equilibrium when

AD & Y (AS) are equal

- AD = C + I + G + NX
- Income Y = C + S + T

When the two are equal

- AD = Y or
- C + I + G + X – M = C + S + T
- (G – T) + (X – M) + I = S
- Assuming G = T & X = M
- *I = S for equilibrium*



THE SLOPE OF THE IS CURVE

The slope of the IS curve, as you may have already guessed, depends on two factors:

a. The sensitivity of investment demand to the interest rate (i.e. how flat the investment curve is in i-S space) or the interest elasticity of investment ($i\epsilon_I$). The higher the $i\epsilon_I$, the greater the increase in I for any given $-\Delta i$.
b. The Keynesian multiplier (k): the higher is k, the greater the increase in Y given a certain increase in I.

Combining the two then, we can say, the higher is k and the higher is $i\epsilon_I$, the flatter will be the IS curve. Intuitively it makes sense as well. A flat IS curve relates a small decrease in i with a large increase in Y. Now with a high $i\epsilon_I$, a small $-\Delta i$ will cause a large $+\Delta I$, which, given a large k, will cause a very high $+\Delta Y$. Conversely, the IS curve is steep when $i\epsilon_I$ and k are small.

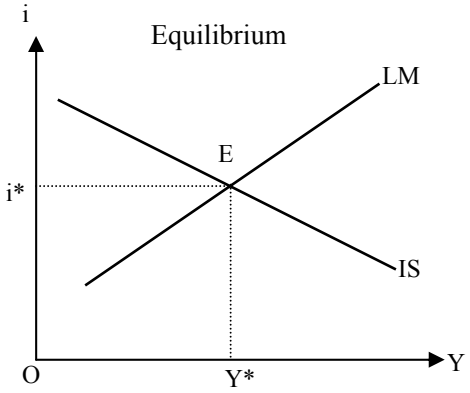
SHIFTS IN THE IS CURVE

Shifts in the IS curve are also easy to understand. Any injection into the circular flow: e.g. autonomous changes in C, G or X-M, which are not caused by an interest rate change, but which do cause an increase in AD and Y, will cause the IS curve to shift to the right. Similarly, IS shifts the left when there is a decrease in these injections.

JOINT EQUILIBRIUM IN GOODS AND MONEY MARKET: THE IS-LM FRAMEWORK

An upward sloping LM curve and a downward sloping IS curve is bound to provide an intersection point which represents joint equilibrium in the money and goods markets. Since the advent of the IS-LM framework in the 1940s, as an extension of Keynesian ideas, macroeconomists have been interested in studying how this joint equilibrium can be affected and brought in line with the full-employment equilibrium (remember the two may not necessarily be the same in a Keynesian world). In particular, their interest has lay in what the government can do, by way of fiscal and monetary policies to guide the economy towards such equilibrium.

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Expansionary monetary policy:

As mentioned earlier, a real money expansion [i.e. $+\Delta(Ms/P)$] can be produced by either a reduction in P or an increase in Ms (the nominal money supply). Let's assume for the time being that P is fixed and the central bank increase Ms. Ms/P rises. This will cause the LM curve to shift to the right with the effect that interest rates fall and equilibrium income or output will rise. Should the economy operating below the full-employment level, such a policy can clearly help. The reverse process would apply if the central bank reduced money supply in a bid to relieve inflationary of excess demand pressures.

Expansionary fiscal policy:

Similarly, an increase in government spending (G), will cause a rightward shift in the IS curve causing both equilibrium interest rate and income to rise. There is an important intuition as well behind why interest rates would rise in this case (apart from the fact that it is graphically the case). The intuition is related the crowding out effect of government spending.

a. **Crowding out of investment demand:** When the government spends and finances that spending through borrowing from banks or the general public (i.e. does not resort to money-supply expanding means of financing the fiscal deficit), the demand for loan able funds is driven up, causing interest rates to rise and private sector ability to borrow funds to fall. This acts as a drag on AD and Y which consequently do not rise as much as they would have in the absence of crowding out.
b. **Crowding out of net exports demand:** Given that higher government spending causes interest rates to rise one can also see why net exports demand would suffer from such high interest rates as well. As we discussed earlier, higher interest rates would cause the exchange rate to appreciate (interest-parity condition), which in turn would cause competitiveness to fall – thus the negative effect on net exports. As such, high interest rates induced by higher government spending can crowd out both net exports and investment, thus preventing AD and Y to rise as much as they would have had interest rates remained the same.

This takes us to the natural question: what if the government financed higher spending by either asking the central bank to print more money for it, or by borrowing from abroad? This is just another way of stating the question: "what if a government fiscal expansion and a monetary expansion were implemented simultaneously, i.e. the IS and LM curves both shifted to the right?" It is clear that in this case, the negative effects of higher interest rates can be eliminated. Thus, if the economy is in deep recession, the policy prescription should naturally be to simultaneously effectuate both fiscal and monetary expansions.

FISCAL – MONETARY POLICY INTERACTION

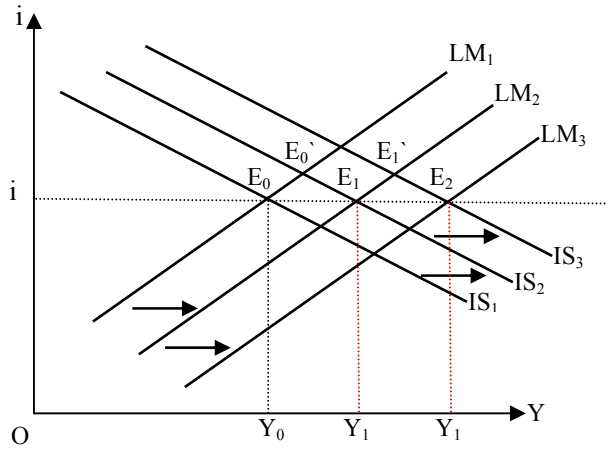
However, if the economy is not in recession and does not, per se, have excess capacity or slack, the above prescribed simultaneous fiscal and monetary expansions cannot succeed in increasing income or output. Why? The reason is prices, which we have so far assumed as constant. However, in reality prices respond readily to demand pressures and as the economy approaches the full employment level, expansionary monetary and fiscal policies will increasingly put pressure on prices to rise (recall the AD-AD diagram).

Now assuming we are in such a situation, i.e. the economy is at its full-employment equilibrium level and the government implements a joint fiscal- monetary expansion, we can trace the effect of rising

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prices on equilibrium. An increase in P will cause real money supply (Ms/P) to fall, which means the LM curve will shift back. In the goods market, on the other hand, rising prices cause aggregate demand to fall due to wealth, interest-rate, and the international purchasing power effects, we studied earlier. Thus, the effects of expansionary fiscal policy will be reversed as well. The net result is that there is no positive impact on equilibrium income; in fact there might even be a negative impact if inflation becomes very high and starts hurting long-run business confidence and hence investment.

Interaction of the monetary & fiscal policy



A final point about the comparison between the effectiveness of fiscal policy vs. monetary policy is: Which is better and when?

Drawing the IS-LM curves, it is easy to see that when the LM curve is relatively flat, any given fiscal expansion will cause a large effect on income and a relatively small effect on i. Thus, fiscal policy is more effective (desirable) in this setting. On the other hand, when the IS curve is relatively flat, any given monetary expansion will produce a larger impact on income. Monetary policy is more effective in this situation.

EXERCISES

Assume that the government cuts its expenditure and thereby runs a public-sector surplus.

a) What will this do initially to equilibrium national income?
b) What will it do to the demand for money and initially to interest rates?
c) Under what circumstances will it lead to (i) a decrease in money supply; (ii) no change in money supply?
d) What effect will (i) and (ii) have on the rate of interest compared with its original level?

a) Injections will fall. The J line would shift downwards, causing a multiplied fall in national income.
b) This will cause a reduced transactions demand for money. The L curve will shift to the left, causing a fall in interest rates.
c) If the reduced expenditure causes a reduction in government borrowing from the banking sector in such a way as to cause a reduction in banks' liquidity, there will be a multiple contraction of credit. If, however, the government simply reduces the total number of outstanding bonds, then money supply will be little affected.
d) If money supply is reduced, then interest rates will fall less than in (b) above.

Would it matter if it was easy to forge a £10 note but cost £15 to do so?

No. It would not be 'profitable' for forgers to produce such notes.

Why may money prices give a poor indication of the value of goods and services?

- Money prices may be distorted by monopoly power.
- They ignore externalities.
- Simply adding up the money incomes of individuals in order to get a measure of their total incomes ignores questions of the distribution of income.
- The value of money is eroded over time by inflation. Thus nominal prices would have to be converted to real prices in order to compare the values of goods at different points in time.

What effects do debit cards and cash machines (ATMs) have on (a) banks' prudent liquidity ratios; (b) the size of the bank multiplier?

Debit cards: (a) Reduce it (there is less need for cash); (b) Increase it (the liquidity ratio is smaller).
Cash machines: (a) Increase it (there is a greater need for cash); (b) Reduce it (the cash ratio is larger).

If the government borrows but does not spend the proceeds, what effect will this have on the money supply if it borrows from (a) the banking sector; (b) the non-bank private sector?

a) Little or no effect, if it simply replaces one liquid asset by another; but reduce it, if it involves reducing the liquidity of the banking sector (e.g. by the sale of bonds).
b) Reduce it. The liquidity of the banking sector will be reduced (when people pay for the securities with cash withdrawn from the banks, or cheques drawn on the banks).

Under what circumstances are cheques more efficient than cash and vice versa? Would you get the same answer from everyone involved in transactions: individuals, firms and banks?

Cheques are more efficient than cash for large transactions, or when there is a danger of theft of the cash. Cheques are less efficient than cash for small transactions: these have a low value relative to the cost of processing a cheque; also cash transactions are quicker than transactions by cheque.
The above points apply generally, but sometimes, what may be in the interests of one party to a transaction may not be in the interests of the other(s). For example, a shop may prefer to receive cash on occasions where it is more convenient for a customer to write out a cheque (because that saves a visit to the bank or cash machine).

Buying something like a car is at the other end of the spectrum from holding cash. A car is highly illiquid, but yields a high return to the owner. In what form is this 'return'?

The utility per period of time from using it.

Would the demand for securities be low if their price was high, but was expected to go on rising?

No. The demand would be high. People would want to hold the securities, so that they could benefit from the anticipated capital gain.

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Which way is the L (money demand) curve likely to shift in the following cases?

a) The balance of trade moves into deficit.
b) People anticipate that foreign interest rates are likely to rise relative to domestic ones.
c) The domestic rate of inflation falls below that of other major trading countries.
d) People believe that the rupee is about to depreciate.

a) To the left. A deficit on the balance of trade will cause the exchange rate to depreciate. People, anticipating this, will want to hold smaller rupee balances.
b) To the left. People will want to switch to holding the other currencies where interest rates are expected to rise.
c) To the right. People will expect an appreciation of the rupee as the lower inflation causes the balance of payments to move into surplus. They will therefore want to hold larger rupee balances.
d) To the left.

Trace through the effects on the foreign exchange market of a fall in the money supply.

- The shortage of money balances will lead to a reduction in the purchase of foreign assets and hence a reduction in the supply of the domestic currency on the foreign exchange market.
- The fall in money supply can be represented by a leftward shift in the M_s curve. This will cause a rise in the rate of interest.
- The higher rate of interest will lead to a reduction in the supply of the domestic currency on the foreign exchange market as people prefer to keep their deposits within the country and earn the higher rate of interest. This effect will reinforce the first effect.
- The higher rate of interest will also increase the demand for the domestic currency on the foreign exchange market as people abroad deposit more in this country to take advantage of the higher interest rate.
- The increased demand for and reduced supply of the domestic currency will cause the exchange rate to appreciate. This effect will be reinforced by speculation.

What effect would a substantial increase in the sale of government bonds and Treasury bills have on interest rates?

It would drive them up. In order to sell the extra bills, the government would have to accept a lower discount price (a higher rate of discount). In order to sell the extra bonds, governments would have to offer them at a higher rate of interest, or at a lower price for a given interest payment (which amounts to a rise in the interest rate). These higher rates of interest on government securities would have a knock-on effect on other rates of interest.

If banks choose to operate a 20 per cent liquidity ratio and receive extra cash deposits of Rs.10 million:

a) How much credit will ultimately be created?
b) By how much will total deposits have expanded?
c) What is the size of the bank multiplier?

a) Rs. 40m
b) Rs. 50m
c) 5 (= 1/0.2)

If banks operated a rigid 5 per cent cash ratio and the government reduced the supply of cash by Rs.1 million, how much must credit contract? What is the money multiplier?

Assuming that this resulted in Rs.1 million less cash being held in the banking system (i.e. that the proportion of cash in circulation did not fall), then credit must contract by Rs.19 million, giving an overall reduction in money supply of Rs.20 million (of which the Rs.1 million cash is 5 per cent). The money multiplier is therefore 20 (i.e. 1/5%).

Explain how open-market operations could be used to increase the money supply.

The central bank could buy back bonds from the banking system before they reached maturity. The banks' balances in the central bank would be credited, allowing the banks to create more credit.

Why would it be difficult for a central bank to predict the precise effect on money supply of open-market operations?

a) Banks may vary their liquidity ratio.

b) It is difficult to predict how much the holding of Treasury bills by the banks will vary, and how much the banks will take this into account when deciding how much credit to grant.

Assume that the central bank of UK (called the Bank of England) wants to reduce interest rates. Trace through the process during the day by which it achieves this.

The BoE's Monetary Policy Committee will announce a reduction in the rate of interest. BoE will then conduct open market operations to back this up. This will entail making more liquidity available to banks through gilt repos. Assuming that the reduction in the rate of interest was announced the previous day, then early in the morning the BoE will forecast the day's shortage of liquidity in the banking system (at the new lower interest rate) and will offer assistance to banks through repos and rediscounting in order to meet the shortfall. By making additional assistance available at further points during the day, the Bank can adjust liquidity as necessary to maintain the rate of interest at the new level.

In what ways is the US Fed's operation of monetary policy (a) similar to and (b) different from the Bank of England's?

a) The Fed, like the Bank of England, uses open market operations to influence the money supply and thereby to make the announced discount rate the equilibrium rate. If the discount rate is raised (just as when the Monetary Policy Committee of the bank of England raises the rate of interest) then open market sales of bands and Treasury bills are used to back this up.

b) Unlike the Bank of England, however, the Fed also from time to time alters the minimum reserve ratio as a means of influencing bank lending.

If the Bank of England issues £1 million of extra bonds and buys back £1 million of Treasury bills, will there automatically be a reduction in credit by a set multiple of £1 million?

No. It depends on the proportion of the £1 million of bills that were held by the banks (since only by reducing these will there be a reduction in banks' liquidity). It also depends on banks' willingness to vary their liquidity ratio. Finally, it depends on banks' use of repo and rediscounting facilities available through the Bank of England (if these are used by the banks as a means of maintaining short-run liquidity, there is less pressure on them to reduce credit).

Trace through the effects of a squeeze on the monetary base from an initial reduction in cash, to banks' liquidity being restored by the rediscounting of bills. Will this restoration of liquidity by the Bank of England totally nullify the initial effect of reducing the supply of cash? (Clue: what is likely to happen to the rate of interest?)

Banks, short of cash, will, in the last resort, acquire money from the Bank of England through gilt repos or the rediscounting of bills. But the Bank of England will only do this at a penal rate, thereby driving up interest rates (to its announced level, assuming that it has raised the rate of interest) and thereby reducing the demand for money, and hence the quantity of credit supplied.

If the central bank wanted to achieve a lower rate of inflation and also a higher exchange rate, could it under these circumstances rely simply on the one instrument of interest rates?

A higher interest rate would help both to reduce inflation and push up the exchange rate. The problem is that the desired magnitude of these effects may require a different sized increase in interest rates. If this were the case, then again relying on one instrument alone would not be sufficient.

Why does an unstable demand for money make it difficult to control the supply of money?

Because the supply of money depends in part on the demand for money.

Assuming that real national output, Q, rises each year as a result of increases in productivity, can money supply rise without causing inflation? Would this destroy the validity of the quantity theory?

Yes. If V does not change, then for every one per cent that output (Q) rises, so M can also rise by one per cent without causing the price level (P) to rise.

This does not destroy the validity of the quantity theory. Although the theory states that changes in money supply will not cause changes in output, it still allows for changes in output occurring independently of changes in money supply, in which case there can be an accommodating rise in the money supply without it being inflationary.

Could production and consumption take place without money? If you think they could, give examples.

Yes. People could produce things for their own consumption. For example, people could grow vegetables in their garden or allotment; they could do their own painting and decorating. Alternatively people could engage in barter: they could produce things and then swap them for goods that other people had produced.

If we would all like more money, why does the government not print a lot more? Could it not thereby solve the problem of scarcity 'at a stroke'?

The problem of scarcity is one of a lack of production. Simply printing more money without producing more goods and services will merely lead to inflation. To the extent that firms cannot meet the extra demand (i.e. the extra consumer expenditure) by extra production, they will respond by putting up their prices. Without extra production, consumers will end up unable to buy any more than previously.

What do you know about the leads and lags associated of monetary and fiscal policy?

Lead time, or the minimum time the government needs before invoking the policy. This is obviously negligible for monetary policy, as the central bank can instantly take action to affect money supply (either through direct or indirect means). Lead times for fiscal policy invocation, however, can be quite substantial. Consider an economy where aggregate demand falls in September, and the next budget is not due till June the following year. Here fiscal policy requires a lead time of about 9 months! (a long enough time period for demand conditions to have changed or evern reversed).

Lag time, or the time period taken for a policy change to have an impact, is quite small for fiscal policy. Thus an increase in taxes will usually have an immediate demand-dampening effect, as consumers feel the pinch on their disposable income. By contrast, a change in the money supply takes a long time to have a demand impact. This is because the credit/investment channel for monetary policy transmission takes about two years to act. For e.g., if money is tightened today and interest rates rise, firms' response will be reflected in lower investment outlays in about two years' time. The projects already underway or likely to come online inside two years cannot usually be reversed and hence current investment spending will remain unaffected.

What would be the effect on interest rates of a contractionary monetary policy combined with a contractionary fiscal policy (lower spending, lower borrowing from the central bank)..

Both IS and LM would shift to the left. The impact on equilibrium income is obvious (it will fall), but nothing immediately can be said about interest rates, as the two policy changes have opposite effects on the interest rate. However, it should be ntoed that since the fiscal policy contraction is also causing the monetary base (and henc emoney supply) to contract – "credit to government" and "M0" both fall on the central bank balance sheet due to the government reducing its borrowing therefrom. There will be thus be an additional monetary contraction, which makes a rise in interest rates more likely.

On an IS-LM diagram, trace through the effects of (a) a fall in investment and (b) a fall in the money supply. On what does the size of the fall in national income depend?

a) The IS curve will shift to the left. There will be a resulting fall in the rate of interest and a fall in national income. The fall in national income will be greater, (i) the flatter the LM curve – i.e. the less the rate of interest has to fall to bring equilibrium in the money market; (ii) the steeper the IS curve – i.e. the less will any fall in the rate of interest help to boost investment again (after its initial fall).
b) The LM curve will shift to the left. There will be a resulting rise in the rate of interest and fall in national income. The fall in national income will be greater,(i) the flatter the IS curve – i.e. the more investment is reduced by the rise in interest rates; (ii) the steeper the LM curve – i.e. the more interest rates will have to rise (and hence the more investment and national income will fall) in order to restore equilibrium in the money market..

Explain what could cause a downward shift in the LM curve and how this would affect the AD curve.

The LM curve would shift downwards if either of the following occurred: (a) an increase in the supply of money; (b) a fall in the demand for money, other than as a result of a rise in interest rates (this could occur, for example, if people relied more on credit and less on cash).

The effect of the downward shift in the LM curve is a fall in the real rate of interest and a rise in national income. The rise in national income causes an increase in aggregate demand at any given price

level: i.e. the AD curve shifts to the right. (Whether the price level will rise and hence nominal interest rates, will depend on the shape of the AS curve.)

Why do 'ever more rapid financial flows across the world that are unpredictable and uncertain' make Keynesian discretionary fiscal (and monetary policy) less suitable?

Because the interest-rate and exchange-rate effects of fiscal policy changes will cause crowding out. Also, the unpredictability of international financial flows makes the effects of fiscal (and monetary policy) changes less predictable.

Show what will happen if there is (a) a rise in business confidence and a resulting increase in investment; (b) a rise in the demand for money balances (say for precautionary purposes).

a) The IS curve will shift to the right. The effect is the same as with an expansionary fiscal policy.
b) A rise in the demand for money will shift the LM curve to the left. The effect will be the same as with a contractionary monetary policy.

Compare the relative effectiveness of fiscal and monetary policies as means of expanding aggregate demand under a system of floating exchange rates.

Monetary policy would be relatively effective. An expansion of the money supply will reduce interest rates. This will increase aggregate demand directly; lead to a depreciation in the exchange rate, which will increase exports and reduce imports, thereby further stimulating aggregate demand; cause initial exchange rate overshooting, reinforcing the boost to demand from increased exports and reduced imports.

Fiscal policy will be relatively ineffective. A cut in taxes and/or an increase in government expenditure will increase the transactions demand for money and thus increase interest rates. The exchange rate will appreciate. This will have the effect of dampening the rise in aggregate demand.

Under what circumstances would an expansionary fiscal policy have no effect at all on national income?

(i) The greater the degree of capital mobility, the bigger will be the balance of payments surplus resulting from the expansionary fiscal policy (and the higher interest rates it produces), and the more the exchange rate will appreciate, and hence the more aggregate demand will be reduced again through exports. (ii) The greater the price elasticity of demand for imports and exports, the more the appreciation will reduce aggregate demand again. The bigger these two effects, the more likely it is that fiscal policy will have no effect on national income under floating exchange rates.

How would a monetarist answer the Keynesian criticisms given below?

1. 'The time lag with monetary policy could be very long.' Monetarists do not claim that monetary policy can be used to fine tune the economy. It is simply important to maintain a stable growth in the money supply in line with long-term growth in output.
2. 'Monetary and fiscal policy can work together.' onetarists would argue that it is the monetary effects of fiscal policy that cause aggregate demand to change. Pure fiscal policy will be ineffective, leading merely to crowding out.
3. 'The velocity of money is not stable, thus making the predictions of the quantity theory of money – i.e. that monetary growth must necessarily lead to inflation – is unreliable.' Monetarists would accept that the velocity of money circulation fluctuates in the short term, but they will argue that there is still a strong correlation between monetary growth and inflation over the longer term.

'Changes in aggregate demand cause changes in money supply and not vice versa.' Monetarists would argue that if governments respond to a rise in aggregate demand by allowing money supply to increase, then that is their choice to expand money supply. If they had chosen not to and had pursued a policy of higher interest rates, then money supply would have thereby been controlled and aggregate demand would soon have fallen back again.

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Lesson 44

INTERNATIONAL TRADE AND FINANCE

INTERNATIONAL TRADE

By international trade, we mean the exchange of goods and services between different countries. For any individual country, trade is important for several reasons: the trade balance drives the BOPs and deeply influences foreign exchange reserves and the exchange rate; trade helps determine the overall production and consumption possibilities in the economy (both in the static and dynamic contexts, as we shall see below); net exports are an important component of aggregate demand, and hence income and employment; and so on.

Interesting Facts about the World Trade:

Four interesting facts about world trade help place it in perspective:

i. The value of world trade has increased 20 fold over the 1930-2000 period
ii. On average, the contribution of a country's exports to its GDP has doubled from about 30% to 50% over the same period
iii. Over the last 50 years, the share of world exports has changed from 50%-50% between manufactured goods and primary products to 75%-25% in favor of manufactures.
iv. 50% of world trade happens between HICs, 14% happens between LICs and the rest involves both HICs and LICs.

Why do countries trade?

Countries involve in trade because there are mutual gains from trade. But then, what are these gains, and how are these realized? Comparative advantage theory provides the first answers to such questions. The theory says that countries will gain by specializing in and then exporting the good they have a comparative advantage (or lower opportunity cost advantage) in.

THE CONCEPT OF COMPARATIVE ADVANTAGE

To illustrate the concept of comparative advantage, we take the example of two equi-sized equi-endowment countries, US and UK. US produces 40 and 60 units of cotton and food p.a. respectively (using all available resources), while the UK produces 30 and 20 units of cotton and food p.a. respectively (using all available resources). Clearly, the US has an absolute advantage in the production of both cotton and food. By absolute advantage it is meant that the US is more efficient at producing both food and cotton than the UK. However, upon computing the opportunity costs of producing cotton and food in either country, is revealed that the opportunity cost of producing one unit of cotton in the US is 1.5 units of food, whereas the opportunity cost of producing one unit of food in the US is 0.67 units of cotton. By comparison, the opportunity cost of producing one unit of cotton in the UK is 0.67 units of food, whereas the opportunity cost of producing one unit of food in the UK is 1.5 units of cotton. Thus, the US has a lower opportunity cost (comparative advantage) in the production of food while the UK has a lower opportunity cost (comparative advantage) in the production of cotton. By specializing in the goods they have comparative advantage in and then trading between them, both two countries can enhance their consumption possibilities beyond those implied by autarky (i.e., a situation of no trade where the PPF and CPF are the same).

THE SOURCE OF COMPARATIVE ADVANTAGE

The source of comparative advantage can be productivity differentials (Ricardo) or differences in factor endowments (Hechshcer-Ohlin). In the latter case, given two countries (one abundant in labour and one abundant in capital), and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

A natural policy prescription emanating from the above argument was that LICs which are often abundant in labour should produce primary products while rich countries alone should produce capital-intensive goods.

CRITICISM AGAINST HECHSHCER-OHLIN TYPE TRADE THEORIES

The major criticism leveled against Hechshcer-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at

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producing, then this situation will always prevail. Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Naturally, the policy advice of such dynamic comparative advantage theorists was very different from 6 above. These people argued that countries build comparative advantage in capital-intensive goods by protecting their domestic industries against cheap manufactured imports from abroad. The protection is operationalised through tariffs (tax on imports) or outright quota restrictions. The output from the local infant industries (protected in this way) then be used to substitute imports of manufactures. Many LICs (e.g. Mexico, India) religiously followed this policy prescription in the mid-20th century, but with mixed results.

While it is true that many countries pursued, fully or partly, the policy prescription suggested by dynamic comparative advantage theories, only a handful of them were genuinely successful in changing their comparative advantage: Korea developed comparative advantage in the auto industry, Taiwan in microchips, Malaysia in shipbuilding and consumer electronics, Brazil in light aircraft. Of these, most countries (like the East Asian tigers) had a marked export orientation in their industrialization and trade policies. This is what set them apart from the failures, which had a more import-substituting approach to industrialization. These issues are taken up again in lecture handout 45.

WELFARE EFFECTS OF TARIFF

It is important to understand what the welfare effects of a tariff are. While a tariff may seem desirable because it generates revenue, and may help protect domestic producers, it can often leave domestic consumers quite worse off. This is because domestic producers only have to compete with the higher (tariff-inclusive) price of imported goods, not with the actual price those goods are being produced at. Thus domestic consumers in a way are forced to consume goods produced by less efficient domestic producers.

OPTIONAL: It is instructive to place trade theories in the context of the actual history of the international trading system. In particular, it is useful to see:

i. How trade liberalization efforts have proceeded under the GATT/WTO[8] framework?
ii. If the recent rise in regionalism a threat to multilateral trade liberalization and the WTO system?

INTERNATIONAL FINANCE

International finance is concerned with, among other thing, the mobility of financial capital across countries, and the problems and opportunities this mobility presents individual countries with. It would not be too inaccurate (in present day context) to say that while international trade deals with the current account, international finance deals with the capital account of the BOPs. That said, issues like the choice of exchange rate regime and of modern-day balance of payments crises also fall firmly within the purview of international finance.

Types of Transaction on the Capital Account:

It is useful to recall the major types of transactions recorded on the capital account: foreign direct investment, foreign portfolio investment, debt flows and aid flows. FDI and FPI are examples of essentially private capital flows. Debt flows could be official (involving multilateral agencies or other country governments) or private (commercial). Aid flows are almost always official.

Growth in Private Capital Flows:

There has been a phenomenal growth in private capital flows since the 1990s. To give an example, the value of capital flow transactions has risen to about 100 times the value of trade transactions. This was not always so, as until a long time after the start of the 20th century, trade flows remained either equal to or greater than private capital flows!

The rapid rise in private capital flows highlights the speed of integration of financial markets across the world. Innovations in communications technology and financial market engineering today permit cross-country transactions worth billions of dollars to be executed in real-time. At the same time, capital account liberalization in many countries, rich and poor, has played an important role in boosting these flows.

[8] GATT stands for the General Agreement on Tariffs and Trade; WTO stands for World Trade Organization.

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INTERNATIONAL CAPITAL MOBILITY

The case for international capital mobility was most clearly articulated by MacDougal in 1960. He presented a framework involving two countries, one abundant in financial capital and one scarce in financial capital. As has been discussed earlier, the abundance of money within an economy leads to low interest rates, whereas its scarcity causes interest rates to be high. Thus, the capital-rich country has low interest rates, while the capital-scarce country has high interest rates. As a result, there is over-investment in the former, and under-investment in the latter.

If both countries could jointly liberalize their capital accounts, some of the capital would fly from the capital-rich countries to the capital-scarce countries to take advantage of the higher interest rates prevailing there. This would equalize the supply of capital in both countries causing their interest rates to equalize. Thus, desirably, interest rates in the formerly capital-rich country rise (causing over-investment to disappear), while interest rates in the formerly capital-scarce country fall (causing under-investment to disappear). Another way to state this is that capital would flow to (or be allocated to) its most productive uses.

BENEFITS OF INTERNATIONAL CAPITAL MOBILITY

People have suggested other benefits of international capital mobility:

i. **Consumption smoothing:** the ability to borrow from the international capital market allows a country to sustain a higher level of expenditures in times of recession or current account difficulties, than would be possible if the economy were not integrated into the international financial market.

ii. **Risk diversification:** given international investors' ability to invest in other the assets (bonds, stocks, property etc.) of countries other than their home countries permits them to diversify their investment risks. Similar benefits may also accrue to issuers of debt (or borrowers of capital) who now enjoy a more diversified creditor pool. This enables them to bargain down their borrowing rates as well as cushions them in the face of any one of the funding sources drying up.

iii. **Fiscal policy becomes more effective:** Given fixed exchange rates, expansionary fiscal policy would not have any crowding out effects if the capital account is open. This is because as soon as interest rates begin to rise due to higher government borrowing (to finance the higher spending), capital flows in through the capital account, which given a fixed exchange rate, expands the foreign exchange reserves and hence the money supply. This is tantamount to the LM curve to shifting to the right. As such, given excess capacity in the economy, income and output rises by much more than would have been possible without an open capital account. By similar logic, the effects of a fiscal contraction on income become more pronounced given a fixed exchange rate and open capital account.

DISADVANTAGES OF INTERNATIONAL CAPITAL MOBILITY

As with everything else in economics, there is another side to the story as well; i.e. there are disadvantages of free capital mobility as well, and it is important to understand them in order to form an informed view on the issue.

i. **Monetary policy becomes ineffective:** Given fixed exchange rates, imagine what would happen if the central bank tried to increase money supply. LM would shift down putting downward pressure on the interest rates. However, as soon as domestic interest rate falls below the world interest rate, the capital account starts experiencing a deficit (outflows). This outflow is mirrored by a fall in foreign exchange reserves which causes a money supply contraction. Thus the effects of the initial expansion are totally undone. The inability of a country to retain monetary policy autonomy, at the same time as a fixed exchange rate and an open capital account is called the unholy trinity principle. The unholy trinity principle simply says that the three things above cannot coexist; one must be sacrificed. It can be monetary autonomy or capital account openness or fixed exchange rates.

ii. **Capital flows are pro-cyclical and therefore exacerbate boom-bust cycles:** One of the criticisms of global capital is that it moves in sync with countries' business cycles, thus

magnifying economic fluctuations (rather than smoothing them out); e.g.: more foreign money would flow to a country when it is experiencing a capital inflow boom (i.e. exactly the time when it does not need more money, per se) often leading to credit booms, property bubbles, inflationary pressures, loss of competitiveness and BOPs problems. Conversely, when conditions are tight, and countries are need foreign capital, the latter is not available, as all foreign investors "want out."

iii. **Global capital is highly volatile, making countries targets of speculation:** Some types of capital flows are more volatile than others. For example, foreign direct investment, official concessional aid etc. is more stable than foreign portfolio investment, and commercial bank lending, which are immediately reversible. The recent rise in capital flows reflects an asymmetric increase in this highly reversible and short-term type (also called hot money). Capital follows short term rates of return (1-6 month interest rates for e.g.) in the world, and as soon as this rate falls in one country, it exits that country and enters another with a higher rate, with no regard for the effects on the economy left behind (stock market crash, recession, financial crisis). Also, due to this inherent volatility, the timing and volume of these flows is often determined by financial speculators, increasing the likelihood that any BOPs difficulties and financial or currency crises will be attributable more to a reversal in such investors' preferences and attitudes than to a weakening of the affected country's macroeconomic and financial sector fundamentals (healthy financial system, low inflation, stable real exchange rate, absence of unholy trinity etc.). There is agreement that the recent spate of financial crises in Latin America, East Asia and Russia was at least partly due to such speculation activity (and subsequent herding behavior of investors[9]).

SUGGESTIONS TO CURE THE PROBLEMS OF GLOBAL CAPITAL MOBILITY

Given these problems with global capital mobility, there are three major cures suggested. The first focuses on recipient countries and the importance of these countries to further strengthen their financial and macroeconomic fundamentals. The second focuses on reforming the international financial architecture in a way that speculators and irresponsible herding behavior can be discouraged (through a threat of penalty). Also this approach argues for the setting up of an international lender of last resort which could lend to countries in dire need of foreign exchange, so that full-blown crises can be avoided. The third approach stresses the use of tax-like controls on capital movements, structured so as to penalize round-trippers more heavily.[10] This approach recognizes that the main culprit in modern day financial crises is often foreign investors, and therefore host countries themselves should find ways to control (and tame) them. Supporters of this policy route also point out the difficulties, or lack of international willingness to, reforming the international financial architecture.

OPTIONAL: For a detailed discussion on crises, and also on how exchange rate policy can help avert them.

[9] Herding is a term used to describe how investors enter and exit countries, i.e. all at once. Thus, if foreign investors have invested money in a country and some of them (and these are usually the ones with greater speculative tendencies) think the economy is going down and it's time to take their money out, and they act on their expectations, the other investors will all follow their lead. This is because the other investors would not want to take the chance of staying behind and suffer through either a devaluation of the currency of a BOPs crisis. However, by acting together, they often lead to greater losses for both themselves and the host country. Importantly, herds are often defined in regional terms, i.e. if investors take their money out of one economy in a region, foreign investors in the other regional economies will join the herd as well, plummeting the whole region into crisis. In the very recent crises of the late 1990s, such crisis contagion was also seen between regions, i.e. an *exit Asia* strategy being followed by an *exit all emerging markets* strategy (irrespective of whether those markets are in Asia or in Latin America or in Central or South Asia).

[10] Chile, for e.g., imposed an unremunerated reserve requirement on all foreign capital coming in. The requirement essentially was that 10% of any individual investment inflow would have to be deposited with the Chilean central bank for a fixed period of one year. For long-term investors, the implied tax of such a requirement would be small, but for round-trippers who wish to bring money in and out of Chile several times within a year, the tax would be huge.

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Lesson 45

PROBLEMS OF LOWER INCOME COUNTRIES (LICs)

There are huge income and wealth disparities in the world we live in. Roughly one-fourth of the world's population accounts for on three-fourths of the world's resources and consumption. The per capita income in the world's poorest countries is $330 per year whereas in the richer countries, is $24,000 a year – about 70 times higher!

More worryingly, contrary to expectations and wishes, these disparities have not gone away since the 1950s – the time when many of the world's poorest countries (colonies) got independence. In some cases (e.g. Africa), disparities appear to have actually increased, widening the living standards gap between the first and third worlds. Many people in the Third World live in extreme poverty beyond the wildest imagination of the people living in HICs.

THEORIES ABOUT THE PROBLEMS OF LICs

In order to explain this huge problem of poverty and of the asymmetric ownership of wealth and income in the world, economists have come up with many theories.

1- Poverty trap theories:

Poverty trap theories explained the relative poverty of the Third World in the context of the twin gaps: foreign exchange gap (exports being less than required imports) and an underlying savings gap (domestic savings being less than required investment).[11] As a result, the LICs' economies were caught in the vicious cycle of low saving, low scale of investment, low productivity gains (due to the absence of scale economies), low per capita growth (remember productivity and technological progress were the engines of PCI growth), low savings …….

2- The Prebisch-Singer Hypothesis (PSH):

A rival theory was the Prebisch-Singer Hypothesis (PSH), which located the reasons for this persistent poverty in the structure of trade between the rich and poor countries. The PSH maintained that that LICs were stuck in the production of primary products (as prescribed by static comparative advantage theories like Hechshcer-Ohlin prescribed) which were subject to both volatility and declining prices relative to manufactures and capital goods.[12]

Some economists pointed out the **lack of human, social and public capital in LICs** as the single most important factor distinguishing them from, say, post-WW2 Germany and Japan, countries which were able to rebuild themselves from total destruction to great economic prosperity on the back of a strong and skilled workforce (human capital), well-developed institutions like trust, meritocracy and accountability (social capital), and elaborate communications, energy and housing infrastructures (public capital).

Others drew attention to the **very fast rising populations in LICs,** and the particular social and economic pressures created thereby. Coupled also with disease and severe ethnic and regional conflicts, some saw the situation in LICs as virtually ungovernable.

Lack of precious natural resources (like oil, gold, gas, iron, copper etc.) was also cited by some as the reason for LICs' continued poverty, and examples were given of South Africa and the OPEC countries, many of whom were able to raise living standards solely on the back of natural resource exports. Strong counter-argument exist against this theory, for e.g., the LICs which registered the highest rates of industrialization and GDP growth during the last four decades, namely: Korea, Taiwan, Hong Kong, Singapore, did not possess any significant natural resources. The same is true for Japan in the 20th century and the European countries in the 18th and 19th centuries.

[11] Recall from the discussion under BOPs that M-X = I-S + G-T, and thus, for a given G-T, I-S and M-X go hand in hand.

[12] Refer also to the micro lectures on elasticity where the BOPs problems of LICs are explained in the context of income price and substitution elasticity's.

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DEVELOPMENT STRATEGIES

Keeping the reasons for persistent poverty in LICs aside, there are three broad development strategies that have been adopted to address the situation.

1- DEVELOPMENT THROUGH TRADE

Up till the 1970s, it was thought that LICs needed to develop their import competing industries (import-substituting industrialization), reduce their dependence on consumer goods imports by switching to domestically produced goods, and hence gradually attain self-sufficiency and foreign exchange adequacy. Inspired by dynamic comparative advantage theories and the massive Soviet industrialization drive launched under Stalin, this model was passionately followed by many South Asian, African and Latin American countries. The results were not very positive, unfortunately. For one, the nationalization policies that often accompanied the pursuit of the ISI model led to a crowding out of private entrepreneurship (and with it, the spirit of competition), and the birth of highly inefficient public enterprises, which later became a breeding ground for corruption, nepotism and labour dumping (excess hiring). Second, the huge savings expected on imports never quite materialized. Given the large current account deficits delivered by weak exports and stubbornly high imports, therefore, many of these countries went into BOPs crises after the 1970s.

The East Asian Model:

A rival trade model which proved very successful was the East Asian one. These countries (Korea, Indonesia, Taiwan, Hong Kong, Singapore, Malaysia and to a lesser extent Thailand, Indonesia and The Philippines) were industrialized not to produce for the local markets (i.e. to substitute their imports) but to produce for the international market (competing with foreign producers). As a result they had a focus, from the very start, on productive efficiency and did not rely on high tariff protection for very long and therefore attained a sustainable ascent on the comparative advantage ladder (from primary products to high tech goods). These are the countries which have been the fastest growing (or miracle) economies of the last quarter of the 20th century.

The success of the East Asian model, notwithstanding, there is **major criticisms** that are leveled against richer countries with respect to their double standards on trade. The criticism is that, while supporting free trade internationally and whenever it suits their interests, many of these countries impose quotas, tariffs, subsidies and indirect restrictions (environmental and labour standards etc.) to prevent poor countries from selling their primary products and light manufactures to the rich country markets. One example is the agricultural sector, where the wealthy west gives lavish subsidies to its farmers, enabling the latter to out-compete LIC farmers who are not receiving any subsidies form their governments. One argument, therefore, is to require rich countries to open their markets to exports from poor countries.

2- DEVELOPMENT THROUGH RESOURCE TRANSFER

The main idea here was that (as mentioned earlier) poor countries suffered from savings and foreign exchange gaps that could not be filled domestically, and needed to be funded by some sort of international resource transfer from the rich countries (former colonial powers called "donors") to the poor countries (those which got independence in the mid-20th century). Supporters of the model were basically those who felt that the colonizing west needed to take responsibility for the exploitation of the colonized Third World. The best way to do it was to give aid: both grants (which never had to be repaid) and concessional loans (which had to be repaid on very soft terms) to poor countries to help them in their initial years and to facilitate their entry into the group of prosperous nations.[13] For this reason, the UN charter of 1948 prescribed an annual 0.7% (of GNP) contribution by all rich countries to poor countries.

However, aid has not generally been successful in lifting former colonies out of poverty. Living standards in many of the aid-receiving countries have actually fallen, indicating a clear failure of aid. There are many reasons why this could have happened, but the most important ones are perhaps the misuse of aid proceeds by recipient country governments through misallocation, embezzlement and

[13] An early example of the success of aid was post-World War II Germany, which received a lot of financial assistance from the U.S. (Marshall Plan) and managed to become an economic giant inside 2 decades after the end of the war. It was hoped that by giving aid to other poor countries, the same result would obtain.

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corruption; the negative role of donors in forcing recipient countries to use aid proceeds for importing the goods and services from only the donor country; the politicizing nature of aid and its associated conditional ties[14]; aid fatigue on the part of donors (i.e. tiredness resulting from having to give aid year after year without any concrete benefits), the inadequacy of aid (the aid given has never quite been enough, and only about 0.35% of rich country GNP has been allocated as development aid); the crowding out of domestic savings (that is, as aid comes into the country the incentive for local citizens to save reduces, thereby compounding the low saving rate problem of poor countries).

Official aid is not the only type of resource transfer. There are private capital flows (portfolio investments and bank lending) that can also fill resource gaps in LICs. However, the experience with these has not been successful either. The debt crisis of the 1980s in Latin America, Africa and Asia, and the recent spate of financial crises in Mexico, East Asia, Russia, Brazil and Argentina have all testify to the dangers of modern day private capital flows. Such flows are highly reversible and often pro-cyclical accentuating boom-bust cycles in recipient countries.

Due to the failure of the above alternative types of resource flows, attention has, of late, shifted to foreign direct investment (FDI). This type of resource transfer has been deemed more successful than others due to its ability to relieve three constraints simultaneously: the foreign exchange and savings constraints (mentioned earlier), the skills constraint (the fact that LICs do not have the skills – managerial or technical – for industrial upgrading and export market tapping). FDI had been unwelcome in many LICs in the 1950s and 60s as it was seen as a continuation of colonialism. Foreign money coming into one's country was one thing, foreign firms coming, operating and taking control quite another! Indeed there was the perceived risk that foreign firms would take over the strategic sectors of society – financial services, communications and power. Over time, LICs' aversion to FDI has decreased considerably. Many now recognize the benefits of irreversible FDI and its skill-transfer related advantages for countries lacking in stability and human capital, respectively. Indeed, countries which have relied on FDI more than debt and portfolio investments to integrate into the global economy (China, Chile and many of the East Asian tigers), have been the most successful development examples of the last 25 years.

OPTIONAL: For a detailed review of the alternative forms of resource transfer and their relative merits.

3- DEVELOPMENT THROUGH STABILISATION AND REFORM

The reasoning here was that trade and resource transfer could not, by themselves, lift LICs out of poverty. Unless LICs' macroeconomic imbalances (high inflation, current account deficits etc.) were removed (stabilization), and the structural impediments to their growth relieved (structural reform), trade and resource transfer could not translate into long-term improvement in living standards. This became particularly obvious after the 1980s debt crisis that swept across Latin America, Africa and Asia. It is at this point in time that the two international financial institutions (IFIs) – the International Monetary Fund (IMF) and the World Bank (WB) – became involved in macroeconomic stabilization and structural reform, respectively. Importantly, the countries in which the IFIs got involved, did not have much bargaining power vis-à-vis the IFIs, because the latter had bailed out these countries (by offering them soft multilateral loans) out after their debt defaults. As a result, the IFIs were able to determine the pace and direction of macroeconomic policy reform in these countries. For a summary of the origins of the IMF and the World Bank and their structure and ownership, please see IFIs.ppt.

IMF'S STABILIZATION POLICIES

Most of the IMF'S stabilization policies (and indeed WB's reform ones) were derived from neo-classical economics, known since 1990 as the "Washington Consensus". IMF's main stated objective was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and external balance (sustainable BOP and external debt position). The approach was "stabilization" through "demand" management, the three tools of the latter being:

[14] These conditional ties are often perceived as an infringement of the freedom of the recipient country, making the pursuit of *donor-prescribed* policies politically unviable.

- **Tight monetary policy:** "demand reducing"; expected to work via higher interest rates which reduced private sector consumption and investment demand, suppressed inflation and boosted domestic savings. High interest rates also caused higher capital inflows (lower capital flight) and helped restore external balance via the capital account.
- **Tight fiscal policy:** also "demand reducing"; worked via higher revenues (increased taxation and broader tax base) and reduced expenditure on subsidies, public sector corporations etc. There was also reduced demand (including, for imports) and government's borrowing requirement (boosted the creditworthiness of the government as a borrower making borrowing cheaper).
- **Devaluation:** produced "demand switching" from imports to home produced tradable goods. Worked via increased competitiveness, export diversification, reduced need for export subsidies (as exporters became competitive), and increased investor confidence in the local currency (preventing dollarisation by people fearing an impending devaluation).

LICs' experience with IMF policies has generally not been successful: The above policies have drawn heavy & wide-ranging criticism. Critics have drawn attention towards

- **Short-term policy conflicts:** demand management policies compromise internal balance – esp. Income & employment; lower government expenditure means less output, jobs. Higher interest rates can lead to corporate bankruptcies, bad debts and financial sector crises.
- **Devaluation** can raise prices of imports, including necessities, raw materials and investment goods. Also, devaluation translates into inflation when there is real wage resistance; i.e. when a devaluation-induced rise in import prices feeds fully into the domestic price level through wages.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector, as widening the tax net proves difficult and most of the burden falls on a few taxpayers; cutting government expenditure can cause reduced public investment in infrastructure, education and health; higher interest rates can discourage private investment.
- **Stabilization hurts the poor:** expenditure cuts almost always fall partly on the social sectors most relevant to the poor (health, education, food/fertilizer subsidies etc.). This can lead to political instability, jeopardize economic stabilization and delay or reverse "reform". Esp. difficult for democratic governments to push the harsh stabilization measures through.

It is now recognized that these policy conflicts need to be integrated into the Programme in advance through the institution of proper safety nets for the poor, and assurances that all "IMF-induced" aid (or debt relief) is channeled strictly to poverty reduction programmes.

WORLD BANK'S STRUCTURAL REFORM POLICIES

The World Bank's structural reform policies have usually involved the following:

- Liberalization of prices, removal of subsidies
- Deregulation involving dismantling of licensing systems and red-tape
- Privatization of state-owned enterprises (SOEs). SOEs were usually considered inefficient due to political interference, and a lack of competition, cost awareness and fear of bankruptcy
- Trade liberalization, including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof
- FDI liberalization, to create a transparent, predictable environment for foreign investors to operate in
- Financial liberalization, involving ending of financial repression policies (artificially low interest rates, credit rationing, restrictions on banking competition) and government involvement in investment allocation
- Capital account liberalization, i.e. removing controls on capital flows
- Governance and administrative reforms: reducing waste in, and improving reliability/quality of, pubic services; strengthening tax administration; fiscal decentralization; elimination of corruption; enhancing predictability of legal and regulatory framework; reducing over-employment in public sector

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While most of the policies prescribed by the World Bank appeared desirable, some of them came with conditional ties that were perceived as politically sensitive, "patronizing", and involving dismantling of strong entrenched interest (like domestic industrialists). Predictably, therefore, non-compliance was a major feature of such programmes.

Even in cases where the domestic government intended to implement the prescribed reforms, compliance problems occurred due to poor sequencing and/or bad timing. Example 1: relaxing capital controls given a poorly regulated domestic financial system exposed countries to increased risk of financial crisis. Examples 2: Trade liberalization (reducing tariffs) or financial liberalization (raising interest rates) before achieving fiscal consolidation (i.e. rationalization of government expenditures and widening of tax base), caused borrowing costs to balloon and fiscal deficits to widen (Zambia, Zimbabwe, Pakistan).

Insistence on rapid liberalization of all sectors has over-stretched many LICs' institutional capacities.

SO WHAT ARE THE PROPOSED SOLUTIONS?

- Some Left-leaning critics totally reject the globalization doctrine and want the free-market model dumped in favor of a more interventionist set-up. Japan and East Asia are presented as examples of countries which witnessed tremendous growth despite having serious market-unfriendly "distortions" in their economies. The argument these critics present is that, in a second-best world, certain distortions may be desirable.
- Many NGOs, and LICs themselves, argue for the reform of the global trading system to open up rich country markets and address commodity price instability.
- Right-leaning groups (including the US Treasury and the Republican Party) which wish to see the withdrawal of the IMF from development finance in favor of the World Bank; they would like to see the IMF focusing only on crisis-prevention and providing short-term liquidity to countries facing BOPs problems. Many NGOs agree that IMF's development finance policies have failed but are unclear on whether or not the IMF should totally withdraw. They fear that in the absence of alternatives (like grants etc.), overall aid to LICs may fall.
- The IMF and World Bank themselves want to improve the quality of conditional ties while reducing their quantity, encourage government participation in policy design and the setting of these conditional ties so as to encourage ownership of the Fund and Bank programmes.
- NGOs and rich country government, of late, have stressed the need to integrate poverty reduction objectives and sustainable development into IMF/World Bank programmes: Poverty Reduction Strategy Papers have been written in this context to ensure sustainable development with a human face.
- Rich country governments also emphasize the importance of good governance in public policy, better management of public resources, greater transparency, active public scrutiny, and generally increased government accountability in fiscal management.

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EXERCISES

Why does the USA as a whole not specialise as much as General Motors or Texaco (individual US companies)? Why does the UK not specialise as much as ICI? Is the answer to these questions similar to the answer to the questions, 'Why does the USA not specialise as much as Luxembourg?', and 'Why does ICI or Unilever not specialise as much as the local butcher?'

There are two elements to the answer. One concerns costs, one concerns demand and revenue.
In terms of costs, as a firm or country specialises and increases production, so the opportunity costs of production are likely to fall at first, due to economies of scale, and then rise as resources become increasingly scarce. The butcher's shop may not have reached the point of rising long-run opportunity costs. Also it is too small to push up the price of inputs as it increases its production. It is a price taker. ICI and Texaco, however, probably will have reached the point of rising opportunity costs. Countries certainly would have if they specialised in only one product. Thus the larger the organisation or country, the more diversified they are likely to be.
Turning to the demand side: the butcher's shop supplies a relatively small market and faces a relatively elastic demand. It is therefore likely to find that complete specialisation in just one type of product is unlikely to lead to market saturation and a highly depressed price. Large companies, however, may find that complete specialisation in one product restricts their ability to expand. The market simply is not big enough. Countries would certainly find this. The USA could hardly just produce one product! The world market would be no where near big enough for it. The general point is that overspecialisation would push the price of the product down and reduce profits.

If Parvez took two minutes to milk the sheep and Tauqeer took six, how could it ever be more efficient for Tauqeer to do it?

Because Tauqeer might take more than three times longer than Parvez to do other jobs, and thus Tauqeer would have a comparative advantage in milking the sheep.

Country L can produce 6 units of wheat or 2 units cloth using X amount of resources in a year; Country D can produce 8 units of wheat or 20 units of cloth using X amount of resources in a year. What are the opportunity cost ratios and which country has comparative advantage in what?

The opportunity cost of wheat in terms of cloth is 2/6 in L and 20/8 in D (i.e. 7.5 times higher in D).
The opportunity cost of cloth in terms of wheat is 6/2 in L and 8/20 in the D (i.e. 7.5 times higher in L).
Thus L has a comparative advantage in wheat production while D has comparative advantage in cloth production.

Under what circumstances would a gain in revenues by exporting firms not lead to an increase in wage rates?

When there is such surplus labour (e.g. through high unemployment or the firms being legally required to pay minimum wages) that an increase in demand for labour will not bid up the wage rate. At least, however, unemployment will probably fall, unless new workers flood in from the countryside to take advantage of new jobs created in the towns.
Two countries produce televisions and exchange with each other. If 4 units of one country's TV exports exchange for 3 TV sets imported from the other country, the terms of trade are:

3/4

If the terms of trade are 3, how many units of the imported good could I buy for the money earned by the sale of 1 unit of the exported good? What is the exchange ratio?

If $P_x/P_m = 3/1$, then 3 units of imports can be purchased with the money earned by the sale of 1 unit of the exports. The exchange ratio is 1x:3m.

Why will exporters probably welcome a 'deterioration' in the terms of trade?

Because a fall in the price of exports relative to imports would probably be the result of a depreciation in the exchange rate. This would mean that exporters could now reduce the foreign exchange price of their exports and hence sell more, without reducing their price in domestic currency. They would therefore end up earning more.

Is it possible to gain from trade if competition is not perfect?

Yes. Production would not initially take place at the Pareto optimum position (i.e. "on" the PPF), but it is quite likely that trade would lead to a consumption on a higher indifference curve, and that therefore there would be some gain: a Pareto improvement.

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Is it possible to gain from trade if it is already producing on the PPF?

Yes. When trade happens, there are both production and consumption gains by expanding the production and consumption possibilities frontiers respectively. Thus even if production is already Pareto efficient, trade will open up possibilities for higher consumption at the lower world prices; this might require a slight movement along the PPF as well however.

Would it be possible for a country with a comparative disadvantage in a given product at pre-trade levels of output to obtain a comparative advantage in it by specialising in its production and exporting it?

Yes, if the country has potential economies of scale in producing that good (which it had not yet exploited). Specialisation could then reduce the opportunity costs of that good below that of the same good in other countries. (This assumes that the other country does not have potential economies of scale in that good or does not exploit them if it does.)

Should the world community welcome the use of tariffs and other forms of protection by the rich countries against imports of goods from lower income countries that have little regard for the environment?

There is no simple answer to this question. In terms of social efficiency, trade should take place as long as the marginal social benefit was greater than the marginal social cost (where environmental benefits and costs are included in marginal social benefits and costs). The problem with this approach is in identifying and measuring such benefits and costs. Then there is the problem of whether a social efficiency approach towards sustainability is the appropriate one. Then there is the issue of the response by lower income countries to the protection. Will they respond by introducing cleaner technology? This may prove difficult to predict.

How would you set about judging whether an industry had a genuine case for infant/senile industry protection?

Whether it can be demonstrated that, with appropriate investment, costs can be reduced sufficiently to make the industry internationally competitive.

Does the consumer in the importing country gain or lose from "dumping"?

Dumping happens when an exporter sells its products in another country (the importing country) at an extremely low price (sometimes below cost). The purpose of dumping is often to capture a monopoly position in the importing coountry market and drive other competitors (including local) out.

In the short run the consumer in the importing country may gain from the cheaper prices of the dumped product. In the long run the consumer could lose if domestic producers were driven out of business, which then gave the foreign producer a monopoly. At that point, it is likely that prices would go up above the pre-dumping levels.

In what ways may free trade have harmful cultural effects on developing countries?

The products and the lifestyles which they foster could be seen as alien to the values of society. For example, many developing countries have complained about the 'cocacolonisation' of their economies, whereby traditional values are being overcome by Western materialist values.

Go through each of these four arguments and provide a reply to the criticisms of them.

- 'Imports should be reduced since they lower the standard of living. The money goes abroad rather than into the domestic economy.' Imports are not always matched by exports. If imports exceed exports, then the resulting trade deficit has to be matched by a surplus elsewhere on the balance of payments account, which might bring problems (e.g. short-term financial inflows leading to exchange-rate volatility). A rise in imports, being a withdrawal from the circular flow of income, will tend to reduce income unless matched by a corresponding rise in exports. Sometimes imports may influence consumer tastes, and this may be seen as undesirable. For example, imports of soft drinks into poorer developing countries has been criticised for distorting tastes.
- 'Protection reduces unemployment.' The greater competition from free trade will provide a permanently less certain market for domestic producers and possibly a permanently higher rate of structural unemployment, given the greater rate of entry and exit of firms from markets.

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- 'Dumping is always a bad thing, and thus a country should restrict subsidised imports.' The gain to consumers may be short-lived, and if more efficient domestic firms have been driven from the market, there will be a long-term net welfare loss to the country.

What would be the 'first-best' solution to the problem of an infant industry not being able to compete with imports?

If the problem is a lack of domestic infrastructure, then the first-best policy is for the government to provide the infrastructure. If the problem is a lack of finance for the firms to expand (due to imperfections in the capital market), then the first-best solution is for the government to remove imperfections in the capital market, or to lend money directly to the firm. In other words, the first-best solution is to get to the heart of the problem: to tackle imperfections at source.

Airbus, a consortium based in four European countries, has received massive support (protection) from European country governments, in order to enable it to compete with Boeing (a US company), which until the rise of Airbus had dominated the world market for aircraft. To what extent are (a) air travellers; (b) citizens of the four European countries likely to gain or lose from this protection?

a) To the extent that the resulting competition reduces the costs of aircraft and hence air fares, the traveller will gain.
b) Whether citizens of the EU as a whole gain depends on whether the costs of the support (including external costs), as are recouped in the benefits of lower fares to travellers, profits to Airbus Industries and external benefits (such as spillover research benefits to other industries). Of course, the costs and benefits will not be equally distributed to EU citizens and thus there will be redistributive effects of the policy, effects which may be considered to be desirable or undesirable.

Can the US action of early 2002 to protect its steel industry be justified on economic grounds?

In terms of economic efficiency, then probably not, unless the protection was temporary while the industry was given the opportunity to invest to allow it to realise a potential comparative advantage (assuming that an imperfect capital market failed to lend it the requisite funds). But given that the industry almost certainly does not have a potential comparative advantage, there would be no efficiency gains: rather, there would be net loss in efficiency.

The main argument, then, would have to be in terms of distributive justice: that giving the industry protection helps save US jobs and the livelihoods of people working in the industry. From a US perspective, there is some justification here. In world terms, however, the gain to US jobs could well be at the expense of jobs elsewhere, causing a net loss, as production was diverted from lower-cost producers in other countries to higher-cost producers in the USA.

What alternative economic strategy might the US government have adopted to improve the competitiveness of steel producers?

Encouraging investment in new efficient plants by giving tax breaks or grants. Again, unless these plants had a comparative advantage, this would still be regarded as unfair protection. Even if they did have a potential comparative advantage, any such support would have to be purely temporary to be justified on efficiency grounds.

Outline the advantages and drawbacks of adopting a free-trade strategy for lower income countries. How might the Doha Development Agenda go some way to reducing these drawbacks?

There are two main advantages:

a. The developing countries can gain from specialisation in goods in which they have a comparative advantage. Other things being equal, this increases national income in these countries.
b. It can encourage inward investment into these countries.

The disadvantages are as follows::

a. Developed countries may continue to protect their industries. This makes free trade a risky strategy for developing countries, which might find the market for key exports suddenly cut off.
b. Freely allowing imports into developing countries may mean that developed countries dump surplus products on them (especially agricultural surpluses), with damaging consequences for producers within the developing countries.
c. It may encourage developing countries to use low-cost, dirty technology, with adverse environmental consequences.

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d. Multinational investment in developing countries, encouraged by an open trade policy, may lead to culturally damaging influences (the culture of McDonald's and Coca-Cola) and political control over the developing countries.

To the extent that the Doha Development Agenda focuses on sustainable development, fair access for developing countries to the markets of rich countries and maintaining justifiable protection by the developing countries for specific sectors, then some of these drawbacks will be reduced. How much they will be reduced, however, depends on the terms of any agreement and how rigorously they are enforced.

What would be the economic effects of (a) different rates of VAT, (b) different rates of personal income tax and (c) different rates of company taxation between member states of a regional union (or single market like EU) if in all other respects there were no barriers to trade or factor movements?

a) Consumers would buy items in those countries that charged the lower rates of VAT. This would push up the prices in these countries and thus have the effect of equalising the tax-inclusive prices between member countries. This effect will be greater with expensive items (such as a car), where it would be worthwhile for the consumer to incur the costs of travelling to another country to purchase it.
b) Workers would move to countries with lower income taxes, thus depressing gross wage rates there and equalising after-tax wages. This effect would be greater, the greater is the mobility of labour between member countries.
c) Capital would move to countries with lower rates of company tax, thus depressing the rate of profit in the low tax countries and equalising the after-tax rate of profit. This effect will be greater, the greater is the mobility of capital between member countries.

Would the adoption of improved working conditions in poor countries necessarily lead to higher labour costs per unit of output?

No. They could lead to an increase in labour productivity which more than offset the cost of the improved working conditions.

When the UK joined the exchange rate mechanism ERM in 1990, it was hoped that this would make speculation pointless. As it turned out, speculation forced the UK to leave the ERM in 1992. Can you reconcile this with the argument that fixed rates discourage speculation?

As long as speculators believe that the fixed rate can be maintained, there is no point in speculation. Thus when the UK first joined, there was little speculation. But later, when there was a clear tension between the German desire to keep interest rates high and the UK desire to reduce interest rates in order to help lift the economy out of recession, speculators began to believe that rates might have to be realigned. The more they became convinced of this, the more the speculative pressures mounted.

If speculators on average gain from their speculation, who loses?

People buying or selling internationally traded goods who are not themselves speculating. For example, if speculation drives the exchange rate below what it would otherwise have been, then purchasers of imports will be paying a higher price than they otherwise would.

Why would the adjustable peg system have been less suitable in the world of the mid-1970s than it was back in the 1950s?

Because the world economy was in much more of a state of turmoil than in the previous two decades. The amount of adjustment required was therefore much greater. Under an adjustable peg system, pegged exchange rates would much more rapidly have become disequilibrium rates. This would have necessitated more severe stop–go policies and/or more frequent devaluations/revaluations, with the disruption that such adjustments entail. What is more, with much of the increased oil revenues of OPEC being placed on short-term deposit in Western banks, the size of short-term financial flows had increased substantially and this worsened the problem of currency instability.

Why do high international financial mobility and an absence of exchange controls severely limit a country's ability to choose its interest rate?

Because if its interest rate were lower than international rates, there would be a massive outflow of finance if international finance were highly mobile and there were an absence of exchange controls. The resulting fall in the money supply would push the interest rate up to the international level. Similarly if its interest

rate were higher than international rates, the resulting massive inflow of finance would increase the money supply and drive its interest rate down to the international level. These effects are stronger if the country is attempting to peg its exchange rate.

Would any of these problems be lessened by the world returning to an adjustable peg system? If so, what sort of adjustable peg system would you recommend?

No. All these problems would have existed with an adjustable peg. Predicting the appropriate rate at which the currency should be pegged would have been a problem. Speculative financial movements would still have been a problem as long as speculators believed that there was a possibility of devaluation or revaluation. There would still have been a conflict with internal policy given that interest rates would have been used to maintain a pegged rate. There could still have been competitive pressures to raise interest rates. Just how bad these problems would have been would have depended on (a) the determination of countries to defend the pegged rate, and (b) the amount of support given by the IMF, or central banks collectively, to maintain pegged rates.

A return to an adjustable peg system is best when the required adjustments are easily made, without building up large deficits or surpluses, and most importantly, when countries pursue consistent policies: when their economies are harmonised.

What will be the effect on the UK economy if the European Central Bank cuts interest rates?(The European Central Bank is the central bank for the Euro zone; this currently excludes Britain)

There will an outflow of funds from the euro-zone and the euro will probably depreciate. Funds will flow to the UK and sterling will probably appreciate. UK exports will become less competitive and there will probably be a rise in imports. UK aggregate demand will fall. This will put downward pressure on inflation. (To some extent the downward pressure on aggregate demand in the UK will be offset by a rise in aggregate demand in the euro-zone and hence a boost to the UK economy via the international trade multiplier.)

The net result of a forecast of lower inflation in the UK and a worsening balance of trade may encourage the Monetary Policy Committee to lower the rate of interest. If this happened, it could neutralise the balance of payments effect of the ECB's interest rate cut. In fact, if rates of interest in the UK fell by the same amount as in the euro-zone, the UK's balance of trade would probably improve, as sterling depreciates against the dollar, the yen and other currencies other than the euro.

Why did 'contagion' spread to countries outside south-east Asia after the latter region experience currency crises in 1997-98?

Having witnessed the power of speculative flows to undermine relatively strong countries of south-east Asia, speculators turned their attention to other economies perceived as having weaknesses. The speculation against these economies then considerably worsened their position, causing their currencies and stock markets to fall dramatically. The speculation was worsened by the perceived inability (or unwillingness) of institutions such as the IMF to provide rapid support for these economies.

What policy measures could the south-east Asian countries have adopted before the crisis to prevent it occurring?

Tighter controls over their banking and financial systems, with better regulation and monitoring by the authorities and higher minimum reserve requirements; greater exchange rate flexibility; more rigorous attempts to reduce government debt over a long period of time (so as to avoid the shock of sudden deflation); controls over the financing of corporate debt (so as to reduce the levels of corporate debt held overseas).

George Soros, multi-millionaire currency speculator, has referred to global capital markets as being like a wrecking ball rather than a pendulum, suggesting that such markets are becoming so volatile that they are damaging to all concerned, including speculators. What might lead Soros to such an observation?

Because financial movements are so vast that they are largely beyond the control of governments or international agencies. Once the sentiment of currency traders and speculators is affected in a particular direction (e.g. losing confidence in a particular economy, such as Argentina in late 2001/early 2002) currency movements can become large and very damaging. Such short-term movements may bear little relation to long-term fundamentals.

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Why may inflows of short-term deposits create a problem?

Because they may be very rapidly withdrawn again and thus can contribute to instability of the exchange rate. To prevent sudden outflows of deposits (arising, say, from a fear by depositors that the exchange rate is about to fall) governments may be forced to raise interest rates: something they may otherwise prefer not to do.

The Human Development Index is a measure of well-being that is based on three equally weighted indexes: per capita GDP, educational attainment and life expectancy. Dr Mahboob-ul-Haque (who also served as Pakistan's Foreign Minister in the 1980s) was the main force behind this idea. For what reasons are HDI and per-capita GDP rankings likely to diverge?

When the other two elements of HDI – educational attainment and like expectancy – diverge from per capita income in the rank order. One of the main reasons for this divergence is inequality. Thus a country with a high GDP per capita, but which is very unequally distributed, may have a large proportion of the population which is poor, with relatively little access to education and with a relatively low life expectancy. This is the reason why countries like Qatar and Saudi Arabia despite being very high on the per cpaital GDP ranking, appear quite low on the HDI ranking list.

If a disastrous harvest of rice were confined to a particular country, would (a) the world price and (b) its own domestic price of rice fluctuate significantly? What would happen to the country's export earnings and the earnings of individual farmers?

a) The world price would not rise significantly as a result of its poor harvest. In the extreme case of a small country facing a perfectly elastic demand for its rice exports, the world price would be unaffected by its bad harvest.

b) If rice were a significant proportion of its total exports, the fall in rice production, and hence sales, would cause the current account to deteriorate and the exchange rate to depreciate (assuming a flexible exchange rate). This would increase the domestic currency price of its rice exports.

The country's foreign exchange earnings would fall. Individual farmers' earnings would also fall, unless, the rise in price from the exchange rate depreciation were sufficient to offset the fall in output and sales (which is unlikely, unless rice exports constitute a major portion of total exports).

Why is an overvalued exchange rate likely to encourage the use of capital-intensive technology?

Because it reduces the price of imported capital equipment (assuming that such equipment has low or zero tariffs imposed on it).

Would the use of import controls (tairffs or quotas) help or hinder a policy of export-orientated industrialisation?

In the early stages of industrialisation they may help a country build up its infant industries – industries that later could become export orientated. If protection is maintained for too long, or is too distorting, however, such industries could well remain inefficient and find it difficult to compete internationally.

Will the adoption of labour-intensive techniques necessarily lead to a more equal distribution of income?

Not if the amount of investment varies significantly from one sector of the economy to another. If it did, then those working in sectors with new efficient labour-intensive technology would gain, while the poor, the dispossessed, and those working in old inefficient industries would not. Income distribution could become less equal.

Consider the arguments from the perspective of an advanced country for and against protecting its industries from imports of manufactures from lower-income countries.

Consumers will lose from such protection, because they will be denied access to lower-income countries' products at such low prices. Workers and employers in the industries threatened by cheaper imports from lower-income countries will gain from the protection. Nevertheless there will be a net welfare loss to the country. A better solution to the problem of those in the industries threatened by the imports might for the government to help in the redeployment of labour.

What is the difference between mechanical efficiency and economic efficiency?

Mechanical efficiency is where there is a low energy loss from a machine. For example, if a machine has an 80 per cent mechanical efficiency, this means for every 100 units of energy used to power the machine,

it produces 80 units of energy output. In the context of the internal efficiency of a firm, economic efficiency involves producing a given output with the least costly combination of factors.

Why may governments of lower income countries be less strict than developed countries in controlling pollution?

Reasons include:

a. Given the much lower average levels of income, there is a higher level of marginal utility from increased output relative to the marginal pollution costs.
b. There is often less political pressure on governments to reduce pollution.
c. Possible greater ignorance of the full extent of the harmful effects of the pollution.

What difficulties is a government likely to encounter in encouraging the use of labour-intensive technology?

Difficulties include:

a. Bias of firms towards using capital-intensive technologies which they see as 'modern'.
b. Lack of efficient labour-intensive techniques available (due to a lack of research and development).
c. Multinationals' preference for using techniques with which they are familiar. Such techniques, having been developed in advanced countries, are likely to be capital intensive.
d. Labour-intensive technology may require a higher level of skills from the operatives.

What would be the effect on the levels of migration and urban unemployment of the creation of jobs in the towns?

Urban employment would rise with the additional jobs. But if each job created in the towns encourages more than one person to migrate from the countryside, the level of urban unemployment will also increase.

Is there any potential conflict between the goals of maximising economic growth and maximising either (a) the level of employment or (b) the rate of growth of employment?

a) Maximising growth may involve using more capital-intensive techniques, because they create a greater surplus for reinvestment. But the adoption of more capital-intensive techniques will reduce the level of employment.
b) There is less likely to be a conflict here. If capital-intensive techniques lead to a faster growth in output, they will tend to lead to a faster growth in employment, albeit from a lower level. (This conclusion will not follow, however, if there is a continuous switching to more capital-intensive techniques as profits are reinvested.)

What is the relationship between unemployment and (a) poverty; (b) inequality?

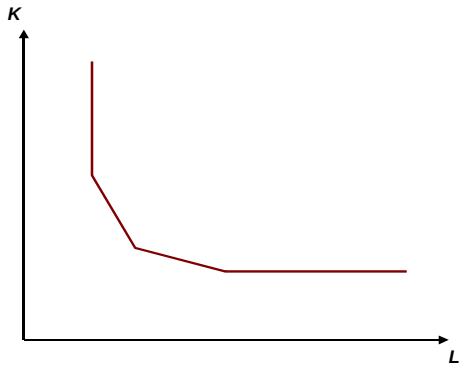
a) The greater the unemployment, the greater will tend to be the level of poverty, given that in most lower-income countries there is little or no state financial support for the unemployed.
b) The greater the unemployment, the greater will tend to be the level of inequality. Society will become increasingly polarised into those with and those without jobs.

If there were three techniques available, what would the isoquant look like? Would it make any difference to the conclusions of this model?

The isoquant would have four straight-line sections. One vertical; then two downward-sloping sections, the higher one steeper than the other; then a horizontal section. This is illustrated in the diagram opposite. Each of the three 'corners' of the isoquant would be at the capital/labour ratio of one of the three techniques.

An isoquant like this would make no difference to the conclusions of the model. A capital-intensity bias could still lead to a more capital-intensive technique being chosen from the three available, than that warranted by questions of cost alone.

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If more jobs were created in the towns, how, in the rural–urban migration model, would this affect (a) the level of urban unemployment; (b) the rate of urban unemployment?

If more jobs were created in the towns, L_m would rise. This would cause W_u^e to rise.

a) If W_u^e rises, more people will migrate and thus the level of urban unemployment will rise.

b) If the urban wage (W_u), the rural wage (W_r) and the cost of migration (α) are unaltered, then migration will take place until $W_u.L_m/L_u$ has returned to its original level, with L_m/L_u the same as before. Thus although the level of unemployment has risen, the rate of unemployment has stayed the same.

What common ground is there between structuralist and monetarist explanations of inflation and lack of growth in lower-income countries?

Structuralist economists generally accept that high inflation is accompanied by high rates of growth in the money supply, even though they see monetary growth as a symptom of the problem rather than its basic cause.

Both structuralists and monetarists accept the importance of supply-side policies to relieve bottlenecks, increase growth and reduce unemployment. Monetarists, however, generally see the means of achieving this to be a liberating of market forces, whereas structuralists generally advocate interventionist policies.

One solution proposed to help solve Argentina's weak financial position is that it should abandon the peso as its unit of currency and replace it with the US dollar (i.e. "dollarise"). What advantages and drawbacks might such a solution have for the Argentine economy both in the short and the long term?

The advantages are that there would be much greater currency stability and a more stable macroeconomic environment, with inflation more under control. In the short-term this would help to restore confidence in the economy and encourage people to save. In the longer term it would encourage inward investment and trade. The disadvantage is that interest rates would be determined in the USA, and they might not be suitable for the Argentine economy at any given time: in other words, Argentina would lose control over monetary policy. The arguments here are similar to those concerning whether the UK should adopt the euro. The main difference is that the UK would have considerable input into eurozone macroeconomic policy, whereas Argentina would have no input into US macroeconomic policy.

What are the relative advantages and disadvantages to a lower-income country of rescheduling its debts compared with simply defaulting on them (either temporarily or permanently)?

Default is a high-risk strategy. The benefits are an immediate wiping out of debt. The potential costs are great, however. Its assets in foreign institutions may be confiscated, as too may its ships and merchandise in transit. Once having defaulted, it will be virtually impossible to raise future loans to rebuild the economy. The threat of default, however, especially if made by several debtor countries acting together, could force creditor institutions to offer lower interest rates or more generous rescheduling programmes, or even to write off a certain portion of the debt.

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If reductions in lower-income countries' debt are in the environmental interests of the whole world, then why have developed countries not gone much further in reducing or cancelling the debts owed to them?

Because it would not be in the private interests of the banks concerned. Even in the case of official government loans, individual developed countries may be reluctant to cancel debts on their own, feeling that it is not their specific responsibility.

Would it be possible to devise a scheme of debt repayments that would both be acceptable to debtor and creditor countries and not damage the environment?

A longer period to pay would reduce the pressure on lower-income countries to exploit their environment. Also direct financial help to lower-income countries to protect the environment would be in the global interest and could also help to reduce lower-income countries' debt burden.

Would the objections of lower-income countries to debt-equity swaps be largely overcome if foreign ownership was restricted to less than 50 per cent in any company? If such restrictions were imposed, would this be likely to affect the 'price' at which debt were swapped for equity?

To some extent, yes. Lower-income countries would be able to retain the controlling interest in their companies within their borders. There would still be foreign influence in the running of the companies, however, but this may not be wholly unwelcome with the expertise that advanced countries can bring.

Restricting ownership to less than 50 per cent would reduce the benefits to the developed-country banks or companies. They would therefore be unwilling to pay such a high price for equity than if they had been able to acquire a controlling share.

Imagine that you are an ambassador of a lower-income country at an international conference. What would you try to persuade the rich countries to do in order to help you and other poor countries overcome the debt problem? How would you set about persuading them that it was in their own interests to help you?

You could try to persuade them to reschedule your debts and to grant new loans on more concessionary terms. This would be in their interests if it enabled you to give a firmer guarantee that the loans would be repaid.

You might also try to encourage them to sign trade deals with you or companies in your country, in order to improve your balance of payments. This would again be in their interests in that it would enable you more easily to service any loans they had made to you.

You might also try to persuade them to reduce interest rates, both to make it easier for your country to service its debts, and to give a boost to world demand and hence to the demand for your exports. You could try to show them that a growing world economy was in everyone's interests.

To what extent can international negotiations over economic policy be seen as a game of strategy? Are there any parallels between the behaviour of countries and the behaviour of oligopolists?

There is a collective gain to countries from agreement over harmonisation and the greater international macroeconomic stability that would result. Each individual country, nevertheless, would have to agree to take decisions which might be directly against its short-term national interests. Each country may therefore be tempted to break the agreement.

Clearly there is a parallel with oligopoly. Collusion is in the collective interests of oligopolists, but each will be tempted to cheat.

The greater the number of countries/oligopolists in an agreement, and the more divergent their individual economic circumstances, the greater the likelihood of one country/oligopoly breaking the agreement, and the less the commitment, therefore, of countries/oligopolists in general to the agreement.

----------THE END----------

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Question # 1 of 15 (Start time: 01:24:42 PM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.

Cannot decide without more information.
We know that the demand for a product is elastic if:
Select correct option:
When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

The demand for chicken is downward-sloping. Suddenly the price of chicken rises from
Rs. 130 per kg to Rs. 140 per kg. This will cause:
Select correct option:
The demand curve of chicken to shift to the right.
The demand curve of chicken to shift to the left.
Quantity demanded of chicken to increase.
Quantity demanded of chicken to decrease

A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options

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the income elasticity of demand is 1/2, the good is:
Select correct option:
A luxury.
A normal good (but not a luxury).
An inferior good.
A Giffen good.

It is expected that the sign of cross price elasticity of demand between two
complementary goods would be:
Select correct option:
Positive.
Negative.
Zero.
Ambiguous.

A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

we observe that the production possibilities curve becomes steeper as we move down
along the curve, then:
Select correct option:

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Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.

The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When government sets the price of a good and that price is above the equilibrium price,
the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Our economy is characterized by:
Select correct option:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

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Moving from left to right, the typical production possibilities curve:
Select correct option:
Is horizontal
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

When the price elasticity of demand for a good is greater than 1, we say that the demand
is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.

Microeconomics is the branch of economics that deals with which of the following
topics?
Select correct option:
The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors

law of diminishing marginal utility states:
Select correct option:

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The supply curve slopes upward.

Your utility grows at a slower and slower rate as you consume more and more units of a

good.

The elasticity of demand is infinite.

None of the given options

Question # 1 of 15 (Start time: 09:41:00 PM) Total Marks: 1

Which of the following is true about the market mechanism?

Select correct option:

It is not a very efficient means of communicating consumer demand to the producers of

goods and services.

It works through central planning by government.

It eliminates market failures created by government.

It works because prices serve as a means of communication between consumers and

producers.

Question # 2 of 15 (Start time: 09:42:19 PM) Total Marks: 1

Goods X and Y are complements while goods X and Z are substitutes. If the supply of

good X increases:

Select correct option:

The demand for both Y and Z will increase

The demand for Y will increase while the demand for Z will decrease

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The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

Question # 3 of 15 (Start time: 09:43:27 PM) Total Marks: 1
The percentage change in quantity demanded of a given good, with respect to the
percentage change in the price of "another" good is called:
Select correct option:
Price elasticity of demand.
Income elasticity of demand.
Cross price elasticity of demand.
Supply price elasticity.

Question # 5 of 15 (Start time: 09:45:17 PM) Total Marks: 1
Marginal utility is best described as:
Select correct option:
The additional satisfaction gained by consumption of the last good.
The per unit satisfaction of the good consumed.
The total satisfaction gained from the total consumption of the good.
The change in satisfaction from consuming one additional unit of the good.

Question # 6 of 15 (Start time: 09:46:17 PM) Total Marks: 1

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The principle economic difference between a competitive and a non-competitive market
is:
Select correct option:
The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market

Question # 7 of 15 (Start time: 09:47:45 PM) Total Marks: 1
Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.

Question # 8 of 15 (Start time: 09:48:27 PM) Total Marks: 1
The concave shape of the production possibilities curve for two goods X and Y
illustrates:
Select correct option:
Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.

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Question # 9 of 15 (Start time: 09:49:03 PM) Total Marks: 1

While drawing a given market demand curve,---------- is not considered constant.

Select correct option:

Income.

The price of the good in question.

The prices of related goods.

Preferences.

Question # 10 of 15 (Start time: 09:50:32 PM) Total Marks: 1

A Demand Curve is price inelastic when:

Select correct option:

Changes in demand are proportionately smaller than those in price.

Changes in demand are proportionately greater than those in price.

Changes in demand are equal than those in price.

None of the given options

Question # 11 of 15 (Start time: 09:50:58 PM) Total Marks: 1

A new technology which reduces costs for firms:

Select correct option:

Shifts the supply curve to the right.

Shifts the supply curve to the left.

Reduces the equilibrium quantity.

Raises the equilibrium price.

Question # 12 of 15 (Start time: 09:52:11 PM) Total Marks: 1

The law of increasing opportunity costs states that:

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Select correct option:

The more one is willing to pay for resources, the larger will be the possible level of production.

Increasing the production of a particular good will cause the price of the good to rise.

In order to produce additional units of a particular good, it is necessary for society tosacrifice increasingly larger amounts of alternative goods.

Only by keeping production constant can rising prices be avoided.

Question # 13 of 15 (Start time: 09:53:32 PM) Total Marks: 1

A rational person does not act unless:

Select correct option:

The action is ethical.

The action produces marginal costs that exceeds marginal benefits.

The action produces marginal benefits that exceeds marginal costs.

The action makes money for the person.

Question # 14 of 15 (Start time: 09:54:58 PM) Total Marks: 1

The effect of a change in income on the quantity of the good consumed is called the:

Select correct option:

Income effect.

Budget effect.

Substitution effect.

Real income effect

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Question # 15 of 15 (Start time: 09:55:32 PM) Total Marks: 1
The opportunity cost of an action:
Select correct option:
Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

Question # 1 of 15 (Start time: 09:56:31 PM) Total Marks: 1
Price elasticities are measured in percentage terms because:
Select correct option:
It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way

Question # 2 of 15 (Start time: 09:57:54 PM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:
No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.

Question # 3 of 15 (Start time: 09:59:18 PM) Total Marks: 1

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Demand is said to be ---------- when the elasticity of demand is less than 1.
Select correct option:
Increasing
Decreasing
Elastic
Inelastic

Question # 4 of 15 (Start time: 10:00:07 PM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

Question # 6 of 15 (Start time: 10:01:37 PM) Total Marks: 1
If the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.

Question # 7 of 15 (Start time: 10:02:27 PM) Total Marks: 1

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Suppose we find that the cross-price elasticity of demand for two products is a negative
number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements

Question # 8 of 15 (Start time: 10:03:33 PM) Total Marks: 1
An individual with a constant marginal utility of income will be:
Select correct option:
Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision

Question # 10 of 15 (Start time: 10:04:59 PM) Total Marks: 1
The numerical measurement of a consumer's preference is called:
Select correct option:
Satisfaction.
Use.
Pleasure.
Utility.

Question # 11 of 15 (Start time: 10:05:40 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

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All income is completely evenly distributed.

Price is relatively unimportant as a means of allocating resources.

Goods and services produced reflect consumer sovereignty.

There is no incentive for people to work hard.

Question # 12 of 15 (Start time: 10:06:31 PM) Total Marks: 1

The concept of a risk premium applies to a person that is:

Select correct option:

Risk averse

Risk neutral

Risk loving

All of the given options

Question # 13 of 15 (Start time: 10:07:37 PM) Total Marks: 1

According to the law of diminishing marginal utility, as the consumption of particular
good increases:

Select correct option:

Total utility increases.

Marginal utility increases.

Total utility decreases.

Marginal utility decreases

Question # 14 of 15 (Start time: 10:08:23 PM) Total Marks: 1

The extra value that consumers receive above what they pay for that good is called:

Select correct option:

Producer surplus.

Utility.

Marginal utility.

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Consumer surplus.

Question # 15 of 15 (Start time: 10:09:13 PM) Total Marks: 1
The study of economics basically focuses on:
Select correct option:
For whom resources are allocated to increase efficiency.
How society spends the income of individuals.
How scarce resources are allocated to fulfill society's goals.
What scarce resources are used to produce goods and services.

Question # 1 of 15 (Start time: 10:10:44 PM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:
Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way

Question # 4 of 15 (Start time: 10:14:28 PM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means
the goods are:
Select correct option:
Independent.
Complements.
Substitutes.
Inferior.

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Question # 5 of 15 (Start time: 10:15:42 PM) Total Marks: 1
A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.

Question # 6 of 15 (Start time: 10:16:28 PM) Total Marks: 1
Which of the following will happen if there is an increase in the long term economic
growth?
Select correct option:
The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

Question # 8 of 15 (Start time: 10:19:24 PM) Total Marks: 1
Which of the following is a characteristic of a mixed economy?
Select correct option:
In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned
economy to allocate goods and services.

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People are free to make their decisions and government controls the Defence.

All of the given options are true.

Question # 9 of 15 (Start time: 10:20:19 PM) Total Marks: 1
The cross elasticity of demand of complements goods is:
Select correct option:

Less than 0.

Equal to 0.
Greater than 0.
Between 0 and 1

Question # 10 of 15 (Start time: 10:21:07 PM) Total Marks: 1
If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:
One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.

The two products are substitutes.

Question # 12 of 15 (Start time: 10:23:43 PM) Total Marks: 1
The correlation between an asset's real rate of return and its risk (as measured by its
standard deviation) is usually:
Select correct option:

Positive.

Strictly linear.
Flat.

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Negative.

Question # 13 of 15 (Start time: 10:24:49 PM) Total Marks: 1
When government sets the price of a good and that price is above the equilibrium price,
the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Question # 14 of 15 (Start time: 10:26:09 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and
industries are studying:
Select correct option:
Microeconomics
Macroeconomics
Positive economics
Normative economics

Question # 15 of 15 (Start time: 10:27:14 PM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.

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Refers to the idea that total utility is negative

A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options

The income elasticity of demand is 1/2, the good is:
Select correct option:
A luxury.
A normal good (but not a luxury).
An inferior good.
A Giffen good.

It is expected that the sign of cross price elasticity of demand between two complementary goods would be:
Select correct option:
Positive.
Negative.
Zero.
Ambiguous.

A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

We observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:

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Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.

The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Our economy is characterized by:
Select correct option:
Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

Moving from left to right, the typical production possibilities curve:
Select correct option:
Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

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When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.

Microeconomics is the branch of economics that deals with which of the following
topics?
Select correct option:
The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors

Law of diminishing marginal utility states:
Select correct option:
The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the given options.

Which of the following is true about the market mechanism?
Select correct option:
It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase

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The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

The percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good is called:
Select correct option:
Price elasticity of demand.
Income elasticity of demand.
Cross price elasticity of demand.
Supply price elasticity.

Marginal utility is best described as:
Select correct option:
The additional satisfaction gained by consumption of the last good.
The per unit satisfaction of the good consumed.
The total satisfaction gained from the total consumption of the good.
The change in satisfaction from consuming one additional unit of the good.

The principle economic difference between a competitive and a non-competitive market is:
Select correct option:
The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market

Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as
consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.

The concave shape of the production possibilities curve for two goods X and Y
illustrates:

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Select correct option:
Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.

While drawing a given market demand curve,---------- is not considered constant.
Select correct option:
Income.
The price of the good in question.
The prices of related goods.
Preferences.

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A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options

A new technology which reduces costs for firms:
Select correct option:
Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.

The law of increasing opportunity costs states that:
Select correct option:
The more one is willing to pay for resources, the larger will be the possible level of production.
Increasing the production of a particular good will cause the price of the good to rise.
In order to produce additional units of a particular good, it is necessary for society to sacrifice increasingly larger amounts of alternative goods.
Only by keeping production constant can rising prices be avoided.

A rational person does not act unless:
Select correct option:
The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.

The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:
Income effect.
Budget effect.
Substitution effect.
Real income effect

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The opportunity cost of an action:
Select correct option:
Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

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Price elasticities are measured in percentage terms because:
Select correct option:
It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way

Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:
No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.

Demand is said to be ---------- when the elasticity of demand is less than 1.
Select correct option:
Increasing
Decreasing
Elastic
Inelastic

A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

If the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.

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Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements

An individual with a constant marginal utility of income will be:
Select correct option:
Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision

The numerical measurement of a consumer's preference is called:
Select correct option:
Satisfaction.
Use.
Pleasure.
Utility.

Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:
All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

The concept of a risk premium applies to a person that is:
Select correct option:
Risk averse
Risk neutral
Risk loving
All of the given options

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According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option:
Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases

The extra value that consumers receive above what they pay for that good is called:
Select correct option:
Producer surplus.
Utility.
Marginal utility.
Consumer surplus.

The study of economics basically focuses on:
Select correct option:
For whom resources are allocated to increase efficiency.
How society spends the income of individuals.
How scarce resources are allocated to fulfill society's goals.
What scarce resources are used to produce goods and services.

Production possibilities analysis assumes that:
Select correct option:
Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way

Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:
Select correct option:
Independent.
Complements.
Substitutes.
Inferior.

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A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.

Which of the following will happen if there is an increase in the long term economic growth?
Select correct option:
The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

Which of the following is a characteristic of a mixed economy?
Select correct option:
In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned
economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true.
The cross elasticity of demand of complements goods is:
Select correct option:
Less than 0.
Equal to 0.
Greater than 0.
Between 0 and 1

If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:
One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.

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The two products are substitutes.

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:
Select correct option:
Positive.
Strictly linear.
Flat.
Negative.

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:
Microeconomics
Macroeconomics
Positive economics
Normative economics

The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative
A partial explanation for the inverse relationship between price and quantity demanded is that a:
Select correct option:
Lower price shifts the supply curve to the left.
Higher price shifts the demand curve to the left.

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Lower price shifts the demand curve to the right.
Higher price reduces the real incomes of buyers.

We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.

A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information

More output could be produced with available resources if:
Select correct option:
Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve

Which of the following is true about the point on a nation's production-possibilities
curve?
Select correct option:
It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

If a decrease in price increases total revenue:
Select correct option:
Demand is elastic.

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Demand is inelastic.
Supply is elastic.
Supply is inelastic.

The law of diminishing marginal utility indicates that the demand curve is:
Select correct option:
Vertical.
U shaped.
Upward sloping.
Downward sloping.

Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:
Select correct option:
Demand is inelastic.
The elasticity of demand is 2.
Total revenue will decrease.
Demand is unit elastic.
If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:
Select correct option:
Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall.

An individual whose attitude towards risk is known as:
Select correct option:
Risk averse.
Risk loving.
Risk neutral.
None of the given is necessarily correct.

A rational person does not act unless:
Select correct option:
The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.

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The action makes money for the person.

A demand schedule is best described as:
Select correct option:
A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.

There is a price ceiling, there will be:
Select correct option:
Shortages.
Surpluses.
Equilibrium.
None of the given options

The quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium

Price floor results in:
Select correct option:
Equilibrium.
Excess demand.
Excess supply.
All of the given options

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When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:
Select correct option:
Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

Which of the following defines the opportunity cost?
Select correct option:
It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

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A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:
Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Schedule

When government sets the price of a good and that price is below the equilibrium price, the result will be:
Select correct option: olzz
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good

At the equilibrium price:
Select correct option:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:
Select correct option:
More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

The production possibilities curve:
Select correct option:
Shows all combinations of goods that society most desires.
Indicates that any combination of goods lying outside the curve is attainable.
Shows the maximum level of output that an economy can produce with all the available resources.

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Shows only those combinations of two goods that reflect "full production".

The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:
Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.

If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:
Substitution effect.
Real income effect.
Income effect.
Budget effect.

If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:
Select correct option:
Rs.25.
Rs.50.
Rs.75.
Rs.100.

Suppose the price of railway ticket decreases, what will happen in the market for airline travel?
Select correct option:
The demand curve for airline travel shifts left.
The demand curve for airline travel shifts right.
The supply curve of airline travel shifts left.
The supply curve of airline travel shifts right.

What is the reason of leftward shift in the demand curve for product A?
Select correct option:
A decrease in income if A is an inferior good.
An increase in income if A is a normal good.

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An increase in the price of a product that is a close substitute for A.
An increase in the price of a product that is complementary to A

If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
14%.
8%.
16%.
20%.

In pure capitalism, freedom of enterprise means that:
Select correct option:
Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

In a free-market economy, the allocation of resources is determined by:
Select correct option:
Votes taken by consumers.
A central planning authority.
Consumer preferences.
The level of profits of firms.

Question # 15 of 15 (Start time: 05:00:52 PM) Total Marks: 1
The shape of production possibilities curve is:
Select correct option:
Concave.
Convex.
Linear.
Positive.

uestion # 14 of 15 (Start time: 05:00:16 PM) Total Marks: 1
At any given point on an indifference curve, the the slope is equal to:
Select correct option:
Unity.
The marginal rate of substitution.

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The consumer's marginal utility.

None of the given options.

Question # 13 of 15 (Start time: 04:58:48 PM) Total Marks: 1

Which of the following is true about the total cost curve?

Select correct option:

It relates output with total cost.

It is usually upward sloping.

Gets steeper as output rises, due to diminishing marginal product of an input.

All of the given options are true.

Question # 12 of 15 (Start time: 04:57:22 PM) Total Marks: 1

Which of the following is a correct statement about the substitution effect?

Select correct option:

The substitution effect is always negative.

The substitution effect is positive for an inferior good.

The substitution effect measures how demand changes when income changes.

The substitution effect is positive for a Giffen good.

Question # 11 of 15 (Start time: 04:56:39 PM) Total Marks: 1

The numerical measurement of a consumer's preference is called:

Select correct option:

Satisfaction.

Use.

Pleasure.

Utility.

Question # 10 of 15 (Start time: 04:55:36 PM) Total Marks: 1

Which of the following might be considered to be a characteristic of a planned economy?

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Select correct option:

All income is completely evenly distributed.

Price is relatively unimportant as a means of allocating resources.

Goods and services produced reflect consumer sovereignty.

There is no incentive for people to work hard.

Question # 9 of 15 (Start time: 04:54:59 PM) Total Marks: 1

If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:

Select correct option:

14%.

8%.

16%.

20%.

Question # 8 of 15 (Start time: 04:54:24 PM) Total Marks: 1

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

Select correct option:

More bread will be produced to meet the increased demand.

There will be a shortage of bread.

The demand for bread will decrease because suppliers will reduce their supply.

A surplus of bread will emerge.

Question # 7 of 15 (Start time: 04:53:26 PM) Total Marks: 1

A nation's production possibilities curve is "bowed out" from the origin because:

Select correct option:

Resources are not perfectly shiftable between productions of the two goods.

Capital goods and consumer goods utilize the same production technology.

Resources are scarce relative to human wants.

Opportunity costs are decreasing

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Question # 6 of 15 (Start time: 04:52:40 PM) Total Marks: 1
If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:
Select correct option:
Rs.25.
Rs.50.
Rs.75.
Rs.100.

Question # 5 of 15 (Start time: 04:52:14 PM) Total Marks: 1
Which of the following statements describes the presence of diminishing returns.
Select correct option:
The marginal product of a factor is positive and rising.
The marginal product of a factor is positive but falling.
The marginal product of a factor is falling and negative.
The marginal product of a factor is constant.

Question # 4 of 15 (Start time: 04:51:05 PM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative.

Question # 3 of 15 (Start time: 04:50:31 PM) Total Marks: 1
At the equilibrium price:
Select correct option:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

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Question # 2 of 15 (Start time: 04:49:02 PM) Total Marks: 1
A negatively sloped isoquant implies:
Select correct option:
- Products with negative marginal utilities.
- Products with positive marginal utilities.
- Inputs with negative marginal products.
- Inputs with positive marginal products.

uestion # 1 of 15 (Start time: 04:47:35 PM) Total Marks: 1
If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:
Select correct option:
- The price the firm paid divided by twelve.
- Zero.
- The rent the firm could earn if it rented the building to another firm.
- The monthly mortgage payment the firm would have had to pay.

A monopolistically competitive firm in short run equilibrium:

- ► Will make negative profit (lose money).
- ► Will make zero profit (break-even).
- ► Will make positive profit.
- ► Any of the given are possible.

estion # 15 of 15 (Start time: 03:37:25 PM) Total Marks: 1
A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:
- Supply Scedule.
- Demand Scedule.
- Quantity supplied Scedule.
- Quantity demanded Scedule.

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uestion # 13 of 15 (Start time: 03:35:48 PM) Total Marks: 1
At any given point on an indifference curve, the the slope is equal to:
Select correct option:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

Question # 14 of 15 (Start time: 03:36:32 PM) Total Marks: 1
In which market structure do firms exist in very large numbers, each firm produces an identical product and there is freedom of entry and exit?
Select correct option:

Monopoly
Oligopoly
Perfect competition
Monopolistic competition

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

uestion # 11 of 15 (Start time: 03:34:48 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:

Microeconomics
Macroeconomics
Positive economics
Normative economics

A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right.

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Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price

estion # 8 of 15 (Start time: 03:31:27 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

estion # 9 of 15 (Start time: 03:32:37 PM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:

No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.

Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

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Question # 8 of 15 (Start time: 03:44:38 PM) Total Marks: 1
Diminishing marginal returns implies:
Select correct option:

Decreasing marginal costs.
Increasing marginal costs.

Decreasing average variable costs.
Decreasing average fixed costs.

Question # 11 of 15 (Start time: 03:48:19 PM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
Select correct option:

200.
5Q.
5.
5 + (200/Q).

A market is said to be in equilibrium when:
Select correct option:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

Question # 14 of 15 (Start time: 03:50:25 PM) Total Marks: 1
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.

If a firm operates in a perfectly competitive market, then it will most likely:
Select correct option:

Advertise its product on television.

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Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

Question # 3 of 15 (Start time: 03:55:00 PM) Total Marks: 1
Which of the following is TRUE about the production function?
Select correct option:

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true.

An indifference curve is:
Select correct option:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

15- Which of the following best describes an inferior good?
Select correct option:

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
A good for which income and quantity demanded are directly related.
A good for which income and quantity demanded are inversely related.

If the cost of computer components falls, then
Select correct option:

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The demand curve for computers shifts to the right.
The demand curve for computers shifts to the left.
The supply curve for computers shifts to the right.
The supply curve for computers shifts to the left.

Question # 11 of 15 (Start time: 04:02:18 PM) Total Marks: 1
The law of diminishing returns assumes:
Select correct option:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

If two goods were perfect complements, their indifference curves would be:
Select correct option:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

If the demand curve for a good is downward sloping, then the good:
Select correct option:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.

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Question # 3 of 15 (Start time: 04:10:14 PM) Total Marks: 1
Which of the following is considered to be a variable cost in the long run?
Select correct option:
- Expenditures for wages.
- Expenditures for research and development.
- Expenditures for raw materials.
- All of the given Costs.

Question # 4 of 15 (Start time: 04:11:44 PM) Total Marks: 1
If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:
Select correct option:
- Increase output.
- Operate at a loss.
- Shut down.
- Decrease output.

Question # 5 of 15 (Start time: 04:13:00 PM) Total Marks: 1
If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:
- Substitution effect.
- Real income effect.
- Income effect.
- Budget effect.

Question # 15 of 15 (Start time: 04:19:34 PM) Total Marks: 1
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
- 14%.
- 8%.
- 16%.
- 20%.

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A firm maximizes profit by operating at the level of output where:
Select correct option:

Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

Demand is elastic when the elasticity of demand is:
Select correct option:

Greater than 0.
Greater than 1.
Less than 1.
Less than 0.

Marginal Cost is defined as:
Select correct option:

The derivative of Variable Cost with respect to quantity produced.
The derivative of Average Cost with respect to quantity produced.
The derivative of Total Cost with respect to quantity produced.
The derivative of Average Variable Cost with respect to quantity produced.

difference curves that are convex to the origin reflect:
Select correct option:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.

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A constant marginal rate of substitution.

A marginal rate of substitution that first decreases then increases.

n economics, the “long run” is a time period in which:

Select correct option:

All inputs are variable.

All inputs are paid for.

All outputs are determined.

All loans are repaid.

Graphically, marginal revenue is defined as:

Select correct option:

The slope of a line from the origin to a point on the total revenue curve.

The slope of a line from the origin to the end of the total revenue curve.

The slope of the total revenue curve at a given point.

The vertical intercept of a line tangent to the total revenue curve at a given point.

Question # 1 of 15 (Start time: 10:26:26 AM) Total Marks: 1

If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:

Select correct option:

Price must rise.

Price must fall.

Quantity must rise.

Quantity must fall.

Question # 2 of 15 (Start time: 10:27:21 AM) Total Marks: 1

Which of the following will happen if there is an increase in the long term economic growth?

Select correct option:

The production possibilities curve will shift outward.

The production possibilities curve will shift inward.

There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.

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There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

Question # 3 of 15 (Start time: 10:28:00 AM) Total Marks: 1

The price elasticity of demand measures the responsiveness of quantity demanded to:

Select correct option:

Quantity demanded.

Quantity supplied.

Price.

Output.

Question # 4 of 15 (Start time: 10:28:24 AM) Total Marks: 1

According the law of diminishing returns:

Select correct option:

The marginal product falls as more units of a variable factor are added to a fixed factor.

Marginal utility falls as more units of a product are consumed.

The total product falls as more units of a variable factor are added to a fixed factor.

The marginal product increases as more units of a variable factor are added to a fixed factor.

Question # 5 of 15 (Start time: 10:29:19 AM) Total Marks: 1

What is the reason of leftward shift in the demand curve for product A?

Select correct option:

A decrease in income if A is an inferior good.

An increase in income if A is a normal good.

An increase in the price of a product that is a close substitute for A.

An increase in the price of a product that is complementary to A.

Question # 6 of 15 (Start time: 10:30:27 AM) Total Marks: 1

At the equilibrium price:

Select correct option:

There will be a shortage.

There will be neither a shortage nor a surplus.

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There will be a surplus.
There are forces that cause the price to change.

Question # 7 of 15 (Start time: 10:31:08 AM) Total Marks: 1
Which best expresses the law of demand?
Select correct option:
A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

Question # 8 of 15 (Start time: 10:31:50 AM) Total Marks: 1
The production possibilities curve:
Select correct option:
Shows all combinations of goods that society most desires.
Indicates that any combination of goods lying outside the curve is attainable.
Shows the maximum level of output that an economy can produce with all the available resources.
Shows only those combinations of two goods that reflect "full production".

Question # 9 of 15 (Start time: 10:32:48 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

Question # 10 of 15 (Start time: 10:33:29 AM) Total Marks: 1
If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:
Select correct option:
More bread will be produced to meet the increased demand.
There will be a shortage of bread.

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The demand for bread will decrease because suppliers will reduce their supply.

A surplus of bread will emerge.

Question # 11 of 15 (Start time: 10:34:01 AM) Total Marks: 1

Which of the following is TRUE about the production function?

Select correct option:

It relates inputs with output.

It generates a curve that is upward sloping.

It shows diminishing marginal product of an input, since it gets flatter as output rises.

All of the given options are true.

uestion # 12 of 15 (Start time: 10:34:30 AM) Total Marks: 1

The total utility curve for a risk neutral person will be:

Select correct option:

Straight line.

Convex.

Concave.

None of the given options.

Question # 13 of 15 (Start time: 10:35:08 AM) Total Marks: 1

Graphically, marginal revenue is defined as:

Select correct option:

The slope of a line from the origin to a point on the total revenue curve.

The slope of a line from the origin to the end of the total revenue curve.

The slope of the total revenue curve at a given point.

The vertical intercept of a line tangent to the total revenue curve at a given point.

Question # 14 of 15 (Start time: 10:36:07 AM) Total Marks: 1

In a perfectly competitive market:

Select correct option:

Firms can freely enter and exit.

Firms sell a differentiated product.

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Transaction costs are high.
All of the given options.

Question # 15 of 15 (Start time: 10:36:39 AM) Total Marks: 1
Our economy is characterized by:
Select correct option:
Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

Question # 1 of 15 (Start time: 10:37:37 AM) Total Marks: 1
When drawing demand and supply curves, economists are assuming that the primary influence on production and purchasing decisions is:
Select correct option:
Price.
Cost of production.
The overall state of the economy.
Consumer incomes.

Question # 3 of 15 (Start time: 10:39:05 AM) Total Marks: 1
If marginal product is above the average product:
Select correct option:
The total product will fall
The average product will rise
Average variable costs will fall
Total revenue will fall

Question # 4 of 15 (Start time: 10:40:14 AM) Total Marks: 1
A rational person does not act unless:
Select correct option:
The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.

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Question # 5 of 15 (Start time: 10:41:04 AM) Total Marks: 1

The shape of production possibilities curve is:

Select correct option:

Concave.

Convex.

Linear.

Positive.

Question # 6 of 15 (Start time: 10:41:56 AM) Total Marks: 1

A firm maximizes profit by operating at the level of output where:

Select correct option:

Average revenue equals average cost.

Average revenue equals average variable cost.

Total costs are minimized.

Marginal revenue equals marginal cost.

Question # 7 of 15 (Start time: 10:42:36 AM) Total Marks: 1

Which of the following shows the condition for consumer's equilibrium?

Select correct option:

It can be expressed as marginal utility per dollar spent on each good being equalized across all goods.

It can be expressed as the ratio of (marginal utility per unit of the good)/(price per unit of the good) being equalized across all goods.

It can be expressed as the ratio of marginal utilities being equated to the ratio of prices for all possible pairs of goods.

All of the given options.

Question # 9 of 15 (Start time: 10:44:41 AM) Total Marks: 1

The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?

Select correct option:

200.

5Q.

5.

5 + (200/Q).

Question # 10 of 15 (Start time: 10:45:12 AM) Total Marks: 1

Production possibilities analysis assumes that:

Select correct option:

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Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

Question # 11 of 15 (Start time: 10:45:48 AM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative.

Question # 12 of 15 (Start time: 10:47:03 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

Question # 13 of 15 (Start time: 10:47:41 AM) Total Marks: 1
If firms in a competitive industry are experiencing losses in the short run, then:
Select correct option:
The firms will try to raise prices.
Some firms will choose to shut down.
The industry will cease to exist.
New firms will enter the industry.

Question # 14 of 15 (Start time: 10:49:05 AM) Total Marks: 1
Which of the following is true about the market mechanism?
Select correct option:

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It is not a very efficient means of communicating consumer demand to the producers of goods and services.

It works through central planning by government.

It eliminates market failures created by government.

It works because prices serve as a means of communication between consumers and producers.

Question # 15 of 15 (Start time: 10:49:40 AM) Total Marks: 1

If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:

Select correct option:

Price must rise.

Price must fall.

Quantity must rise.

Quantity must fall.

law of diminishing marginal utility indicates that the demand curve is:

Select correct option:

Vertical.

U shaped.

Upward sloping.

Downward sloping.

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

Select correct option:

Positive.

Strictly linear.

Flat.

Negative.

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is the rate at which a firm can substitute capital for labour and hold output constant.
Select correct option:

Diminishing marginal returns.
Marginal rate of substitution.
Marginal rate of factor substitution.
Marginal rate of production.

Production possibilities analysis assumes that:
Select correct option:

Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

If we observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:

Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.

Which best expresses the law of demand?
Select correct option:

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A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

15- Which of the following best describes an inferior good?
Select correct option:

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
A good for which income and quantity demanded are directly related.
A good for which income and quantity demanded are inversely related.

of the following statements describes increasing returns to scale:
Select correct option:

Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3.
None of the given options.

If a decrease in price increases total revenue:
Select correct option:
Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic.

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded

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According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases.

Question # 7 of 15 (Start time: 11:23:26 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
- Increase hours of work
- Decrease hours of work
- Not change hours of work
- None of the given options

Question # 9 of 15 (Start time: 11:25:46 AM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:
Select correct option:
- Independent.
- Complements.
- Substitutes.
- Inferior.

Question # 10 of 15 (Start time: 11:26:20 AM) Total Marks: 1
The point at which AC intersects MC is where:
Select correct option:
- AC is decreasing.
- MC is at its minimum.
- AC is at its minimum.
- AC is at its maximum.

The burden of a tax is shifted toward buyers if:
Select correct option:
- Demand is perfectly elastic.
- Demand is relatively more elastic than supply.

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Demand is relatively more inelastic than supply.

Demand and supply have equal elasticities.

Question # 13 of 15 (Start time: 11:29:32 AM) Total Marks: 1

The demand curve facing a perfectly competitive firm is:

Select correct option:

The same as its average revenue curve but not the same as its marginal revenue curve.

The same as its average revenue curve and its marginal revenue curve.

The same as its marginal revenue curve but not its average revenue curve.

Not the same as either its marginal revenue curve or its average revenue curve.

Question # 14 of 15 (Start time: 11:30:45 AM) Total Marks: 1

A person with a diminishing marginal utility of income:

Select correct option:

Will be risk averse.

Will be risk neutral.

Will be risk loving.

Cannot decide without more information.

Question # 15 of 15 (Start time: 11:31:46 AM) Total Marks: 1

The opportunity cost of an action:

Select correct option:

Will be the same for everyone.

Is the value of the next best alternative.

Measures the undesirable aspects of that action.

Is the average amount of unhappiness experienced by everyone involved

Question # 15 of 15 (Start time: 05:00:52 PM) Total Marks: 1

The shape of production possibilities curve is:

Select correct option:

Concave.

Convex.

Linear.

Positive.

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uestion # 14 of 15 (Start time: 05:00:16 PM) Total Marks: 1
At any given point on an indifference curve, the the slope is equal to:
Select correct option:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

Question # 13 of 15 (Start time: 04:58:48 PM) Total Marks: 1
Which of the following is true about the total cost curve?
Select correct option:

It relates output with total cost.
It is usually upward sloping.
Gets steeper as output rises, due to diminishing marginal product of an input.
All of the given options are true.

Question # 12 of 15 (Start time: 04:57:22 PM) Total Marks: 1
Which of the following is a correct statement about the substitution effect?
Select correct option:

The substitution effect is always negative.
The substitution effect is positive for an inferior good.
The substitution effect measures how demand changes when income changes.
The substitution effect is positive for a Giffen good.

Question # 11 of 15 (Start time: 04:56:39 PM) Total Marks: 1
The numerical measurement of a consumer's preference is called:
Select correct option:

Satisfaction.
Use.
Pleasure.
Utility.

Question # 10 of 15 (Start time: 04:55:36 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

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Question # 9 of 15 (Start time: 04:54:59 PM) Total Marks: 1
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
- 14%.
- 8%.
- 16%.
- 20%.

Question # 8 of 15 (Start time: 04:54:24 PM) Total Marks: 1
If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:
Select correct option:
- More bread will be produced to meet the increased demand.
- There will be a shortage of bread.
- The demand for bread will decrease because suppliers will reduce their supply.
- A surplus of bread will emerge.

Question # 7 of 15 (Start time: 04:53:26 PM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
- Resources are not perfectly shiftable between productions of the two goods.
- Capital goods and consumer goods utilize the same production technology.
- Resources are scarce relative to human wants.
- Opportunity costs are decreasing

Question # 6 of 15 (Start time: 04:52:40 PM) Total Marks: 1
If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:
Select correct option:
- Rs.25.
- Rs.50.
- Rs.75.
- Rs.100.

Question # 5 of 15 (Start time: 04:52:14 PM) Total Marks: 1
Which of the following statements describes the presence of diminishing returns.
Select correct option:
- The marginal product of a factor is positive and rising.
- The marginal product of a factor is positive but falling.

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The marginal product of a factor is falling and negative.
The marginal product of a factor is constant.

Question # 4 of 15 (Start time: 04:51:05 PM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative.

Question # 3 of 15 (Start time: 04:50:31 PM) Total Marks: 1
At the equilibrium price:
Select correct option:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

Question # 2 of 15 (Start time: 04:49:02 PM) Total Marks: 1
A negatively sloped isoquant implies:
Select correct option:
Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products.

uestion # 1 of 15 (Start time: 04:47:35 PM) Total Marks: 1
If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:
Select correct option:
The price the firm paid divided by twelve.
Zero.
The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.

A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).

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► Will make positive profit.
► Any of the given are possible.

estion # 15 of 15 (Start time: 03:37:25 PM) Total Marks: 1
A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:
Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Scedule.

uestion # 13 of 15 (Start time: 03:35:48 PM) Total Marks: 1
At any given point on an indifference curve, the the slope is equal to:
Select correct option:
Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

Question # 14 of 15 (Start time: 03:36:32 PM) Total Marks: 1
In which market structure do firms exist in very large numbers, each firm produces an identical product and there is freedom of entry and exit?
Select correct option:
Monopoly
Oligopoly
Perfect competition
Monopolistic competition

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

uestion # 11 of 15 (Start time: 03:34:48 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:
Microeconomics

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Macroeconomics
Positive economics
Normative economics

A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price

estion # 8 of 15 (Start time: 03:31:27 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

estion # 9 of 15 (Start time: 03:32:37 PM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:

No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.

Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

Question # 8 of 15 (Start time: 03:44:38 PM) Total Marks: 1
Diminishing marginal returns implies:
Select correct option:

Decreasing marginal costs.

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Increasing marginal costs.
Decreasing average variable costs.
Decreasing average fixed costs.

Question # 11 of 15 (Start time: 03:48:19 PM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
Select correct option:

200.
5Q.
5.
5 + (200/Q).

A market is said to be in equilibrium when:
Select correct option:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

Question # 14 of 15 (Start time: 03:50:25 PM) Total Marks: 1
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.

If a firm operates in a perfectly competitive market, then it will most likely:
Select correct option:

Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

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Question # 3 of 15 (Start time: 03:55:00 PM) Total Marks: 1
Which of the following is TRUE about the production function?
Select correct option:

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true.

An indifference curve is:
Select correct option:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

15- Which of the following best describes an inferior good?
Select correct option:

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
A good for which income and quantity demanded are directly related.
A good for which income and quantity demanded are inversely related.

If the cost of computer components falls, then
Select correct option:

The demand curve for computers shifts to the right.
The demand curve for computers shifts to the left.
The supply curve for computers shifts to the right.
The supply curve for computers shifts to the left.

Question # 11 of 15 (Start time: 04:02:18 PM) Total Marks: 1
The law of diminishing returns assumes:
Select correct option:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

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Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

If two goods were perfect complements, their indifference curves would be:
Select correct option:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

If the demand curve for a good is downward sloping, then the good:
Select correct option:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.

Question # 3 of 15 (Start time: 04:10:14 PM) Total Marks: 1
Which of the following is considered to be a variable cost in the long run?
Select correct option:

Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs.

Question # 4 of 15 (Start time: 04:11:44 PM) Total Marks: 1
If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:
Select correct option:

Increase output.
Operate at a loss.
Shut down.
Decrease output.

Question # 5 of 15 (Start time: 04:13:00 PM) Total Marks: 1
If utility remains the same for original and new combination of goods consumed, the

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effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:

Substitution effect.
Real income effect.
Income effect.
Budget effect.

Question # 15 of 15 (Start time: 04:19:34 PM) Total Marks: 1
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:

14%.
8%.
16%.
20%.

A firm maximizes profit by operating at the level of output where:
Select correct option:

Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

Demand is elastic when the elasticity of demand is:
Select correct option:

Greater than 0.
Greater than 1.
Less than 1.
Less than 0.

Marginal Cost is defined as:
Select correct option:

The derivative of Variable Cost with respect to quantity produced.
The derivative of Average Cost with respect to quantity produced.
The derivative of Total Cost with respect to quantity produced.
The derivative of Average Variable Cost with respect to quantity produced.

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difference curves that are convex to the origin reflect:
Select correct option:
An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases then increases.

n economics, the “long run” is a time period in which:
Select correct option:
All inputs are variable.
All inputs are paid for.
All outputs are determined.
All loans are repaid.

Graphically, marginal revenue is defined as:
Select correct option:
The slope of a line from the origin to a point on the total revenue curve.
The slope of a line from the origin to the end of the total revenue curve.
The slope of the total revenue curve at a given point.
The vertical intercept of a line tangent to the total revenue curve at a given point.

Question # 1 of 15 (Start time: 10:26:26 AM) Total Marks: 1
If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:
Select correct option:
Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall.

Question # 2 of 15 (Start time: 10:27:21 AM) Total Marks: 1
Which of the following will happen if there is an increase in the long term economic growth?
Select correct option:
The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

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Question # 3 of 15 (Start time: 10:28:00 AM) Total Marks: 1
The price elasticity of demand measures the responsiveness of quantity demanded to:
Select correct option:
Quantity demanded.
Quantity supplied.
Price.
Output.

Question # 4 of 15 (Start time: 10:28:24 AM) Total Marks: 1
According the law of diminishing returns:
Select correct option:
The marginal product falls as more units of a variable factor are added to a fixed factor.
Marginal utility falls as more units of a product are consumed.
The total product falls as more units of a variable factor are added to a fixed factor.
The marginal product increases as more units of a variable factor are added to a fixed factor.

Question # 5 of 15 (Start time: 10:29:19 AM) Total Marks: 1
What is the reason of leftward shift in the demand curve for product A?
Select correct option:
A decrease in income if A is an inferior good.
An increase in income if A is a normal good.
An increase in the price of a product that is a close substitute for A.
An increase in the price of a product that is complementary to A.

Question # 6 of 15 (Start time: 10:30:27 AM) Total Marks: 1
At the equilibrium price:
Select correct option:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

Question # 7 of 15 (Start time: 10:31:08 AM) Total Marks: 1
Which best expresses the law of demand?
Select correct option:
A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

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Question # 8 of 15 (Start time: 10:31:50 AM) Total Marks: 1

The production possibilities curve:

Select correct option:

Shows all combinations of goods that society most desires.

Indicates that any combination of goods lying outside the curve is attainable.

Shows the maximum level of output that an economy can produce with all the available resources.

Shows only those combinations of two goods that reflect "full production".

Question # 9 of 15 (Start time: 10:32:48 AM) Total Marks: 1

Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

Select correct option:

Increase hours of work

Decrease hours of work

Not change hours of work

None of the given options

Question # 10 of 15 (Start time: 10:33:29 AM) Total Marks: 1

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

Select correct option:

More bread will be produced to meet the increased demand.

There will be a shortage of bread.

The demand for bread will decrease because suppliers will reduce their supply.

A surplus of bread will emerge.

Question # 11 of 15 (Start time: 10:34:01 AM) Total Marks: 1

Which of the following is TRUE about the production function?

Select correct option:

It relates inputs with output.

It generates a curve that is upward sloping.

It shows diminishing marginal product of an input, since it gets flatter as output rises.

All of the given options are true.

uestion # 12 of 15 (Start time: 10:34:30 AM) Total Marks: 1

The total utility curve for a risk neutral person will be:

Select correct option:

Straight line.

Convex.

Concave.

None of the given options.

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Question # 13 of 15 (Start time: 10:35:08 AM) Total Marks: 1
Graphically, marginal revenue is defined as:
Select correct option:
- The slope of a line from the origin to a point on the total revenue curve.
- The slope of a line from the origin to the end of the total revenue curve.
- The slope of the total revenue curve at a given point.
- The vertical intercept of a line tangent to the total revenue curve at a given point.

Question # 14 of 15 (Start time: 10:36:07 AM) Total Marks: 1
In a perfectly competitive market:
Select correct option:
- Firms can freely enter and exit.
- Firms sell a differentiated product.
- Transaction costs are high.
- All of the given options.

Question # 15 of 15 (Start time: 10:36:39 AM) Total Marks: 1
Our economy is characterized by:
Select correct option:
- Unlimited wants and needs.
- Unlimited material resources.
- No energy resources.
- Abundant productive labor.

Question # 1 of 15 (Start time: 10:37:37 AM) Total Marks: 1
When drawing demand and supply curves, economists are assuming that the primary influence on production and purchasing decisions is:
Select correct option:
- Price.
- Cost of production.
- The overall state of the economy.
- Consumer incomes.

Question # 3 of 15 (Start time: 10:39:05 AM) Total Marks: 1
If marginal product is above the average product:
Select correct option:
- The total product will fall
- The average product will rise
- Average variable costs will fall
- Total revenue will fall

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Question # 4 of 15 (Start time: 10:40:14 AM) Total Marks: 1
A rational person does not act unless:
Select correct option:
- The action is ethical.
- The action produces marginal costs that exceeds marginal benefits.
- The action produces marginal benefits that exceeds marginal costs.
- The action makes money for the person.

Question # 5 of 15 (Start time: 10:41:04 AM) Total Marks: 1
The shape of production possibilities curve is:
Select correct option:
- Concave.
- Convex.
- Linear.
- Positive.

Question # 6 of 15 (Start time: 10:41:56 AM) Total Marks: 1
A firm maximizes profit by operating at the level of output where:
Select correct option:
- Average revenue equals average cost.
- Average revenue equals average variable cost.
- Total costs are minimized.
- Marginal revenue equals marginal cost.

Question # 7 of 15 (Start time: 10:42:36 AM) Total Marks: 1
Which of the following shows the condition for consumer's equilibrium?
Select correct option:
- It can be expressed as marginal utility per dollar spent on each good being equalized across all goods.
- It can be expressed as the ratio of (marginal utility per unit of the good)/(price per unit of the good) being equalized across all goods.
- It can be expressed as the ratio of marginal utilities being equated to the ratio of prices for all possible pairs of goods.
- All of the given options.

Question # 9 of 15 (Start time: 10:44:41 AM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
- 200.
- 5Q.
- 5.
- 5 + (200/Q).

Question # 10 of 15 (Start time: 10:45:12 AM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:

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Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

Question # 11 of 15 (Start time: 10:45:48 AM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative.

Question # 12 of 15 (Start time: 10:47:03 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

Question # 13 of 15 (Start time: 10:47:41 AM) Total Marks: 1
If firms in a competitive industry are experiencing losses in the short run, then:
Select correct option:
The firms will try to raise prices.
Some firms will choose to shut down.
The industry will cease to exist.
New firms will enter the industry.

Question # 14 of 15 (Start time: 10:49:05 AM) Total Marks: 1
Which of the following is true about the market mechanism?
Select correct option:
It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.

Question # 15 of 15 (Start time: 10:49:40 AM) Total Marks: 1
If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then

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equilibrium:
Select correct option:

Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall.

law of diminishing marginal utility indicates that the demand curve is:
Select correct option:

Vertical.
U shaped.
Upward sloping.
Downward sloping.

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:
Select correct option:

Positive.
Strictly linear.
Flat.
Negative.

is the rate at which a firm can substitute capital for labour and hold output constant.
Select correct option:

Diminishing marginal returns.
Marginal rate of substitution.
Marginal rate of factor substitution.
Marginal rate of production.

Production possibilities analysis assumes that:
Select correct option:

Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:

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A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

If we observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:

Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.

Which best expresses the law of demand?
Select correct option:

A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

15- Which of the following best describes an inferior good?
Select correct option:

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
A good for which income and quantity demanded are directly related.
A good for which income and quantity demanded are inversely related.

of the following statements describes increasing returns to scale:
Select correct option:

Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3.
None of the given options.

If a decrease in price increases total revenue:
Select correct option:

Demand is elastic.
Demand is inelastic.

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Supply is elastic.
Supply is inelastic.

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded

According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases.

Question # 7 of 15 (Start time: 11:23:26 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

Question # 9 of 15 (Start time: 11:25:46 AM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:
Select correct option:
Independent.
Complements.
Substitutes.
Inferior.

Question # 10 of 15 (Start time: 11:26:20 AM) Total Marks: 1
The point at which AC intersects MC is where:
Select correct option:
AC is decreasing.
MC is at its minimum.
AC is at its minimum.

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AC is at its maximum.

The burden of a tax is shifted toward buyers if:
Select correct option:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.

Question # 13 of 15 (Start time: 11:29:32 AM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.

Question # 14 of 15 (Start time: 11:30:45 AM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Question # 15 of 15 (Start time: 11:31:46 AM) Total Marks: 1
The opportunity cost of an action:
Select correct option:

Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

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According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:
Select correct option:
The household sector after taxes
The business and government sectors
All four sectors only when the economy is at full employment
All four sectors at a specific aggregate production level

Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:
The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors

If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:
One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

The total value of goods exchanged in product markets each year is measured by:
Select correct option:
Gross national product
Net national product
Gross domestic product
Net national product

A firm maximizes profit by operating at the level of output where:
Select correct option:
Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

The total market value of all final goods and services produced within a given period by factors of production located within a country is:
Select correct option:
Gross national product
Gross domestic product
Net n ati on al p rod u ct
Net national income

The most important factor in determining the long-run profit potential in monopolistic competition is:
Select correct option:
Fr ee en try an d exi t
The elasticity of the market demand curve
The elasticity of the firm's demand curve
The reaction of rival firms to a change in price

Unemployment benefits reduce the cost of job search, this may:
Select correct option:
Decrease the unemployment rate
I n creas e th e u n e mp l oy men t rat e
Increase the output in country
Leads to higher inflation

In a perfectly competitive market:
Select correct option:
Firms can freely enter and exit
Firms sell a differentiated product
Transaction costs are high
Al l of th e gi ven op ti o ns

Which of the following is NOT an account in the balance of payments?
Select correct option:
Cap i tal accou n t
Financial account
Current account
Future account

There are _____methods of measuring GDP:
Select correct option:
Four
T h ree
Five
None

GDP is:
Select correct option:

A stock
A f l ow
Both a stock and a flow
Neither a stock nor a flow

The study of economics basically focuses on:
Select correct option:
For whom resources are allocated to increase efficiency.
How society spends the income of individuals.
How scarce resources are allocated to fulfill society's goals.
Wh at s carce res ou r ces are u s ed to p rod u ce goo d s an d s ervi ces .

Which of the following will happen if there is an increase in the long term economic growth?
Select correct option:
T h e p rod u cti on p os si b i li ti es cu rve w i l l s h if t ou tw ard .
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

If more substitutes available in the market, the _____ demand will be in response to a change in price.
Select correct option:
More el as ti c
Less elastic
Unit elastic
Infinite elastic

Those who hold the classical view of the labor market are likely to believe that
Select correct option:
Monetary, but not fiscal policy will have an effect on output and employment
Fiscal but not monetary policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Nei th er mon e tary n or f i s cal p o l i cy w il l h ave an ef f ect on ou tp u t and emp l oymen t.

Q = c + d P represents equation of
Select correct option:
Supply function
De man d f u n cti on
Labor supply function
Market demand function

According to Classical Economists, Economy always remains:
Select correct option:

At full employment level
Below full employment level
Above full employment level
None of the given options

The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:
Income effect
Budget effect
Substitution effect
Real income effect

The gold standard was an example of what kind of exchange-rate system?
Select correct option:
A freely floating exchange rate
A managed floating exchange rate
A fixed exchange rate
A non-convertible exchange rate

What would result from a depreciation of the pound on the foreign exchange market?
Select correct option:
An increase in the price of imported computers
A fall in the purchasing power of US tourists in London
A fall in the price of imported computers
An increase in the purchasing power of UK tourists overseas

The traditional Phillips Curve shows the:
Select correct option:
Inverse relationship between the rate of inflation and the unemployment rate
Inverse relationship between the nominal and the real wage
Direct relationship between unemployment and demand-pull inflation
Tradeoff between the short run and the long run

Suppose the consumption function is C = 1000 + 0.75Y. If Y = 100, then the amount of consumption is:
Select correct option:
1750
1500
1075
1100

Cartels are:
Select correct option:
Organizations of independent firms, producing similar products, that work together to raise prices and restrict output
Organizations of interdependent firms

Oligopolies
All of the above

Multiplier principle states that a change in investment causes a magnified change in:
Select correct option:
Income
Consumption
Saving
Unemployment

Question # 11 of 15 (Start time: 09:45:30 PM) Total Marks: 1
The relationship between consumer spending and income is known as the:
Select correct option:
45-degree line
Consumption function
Investment function
Consumer price index

The classical economists thought that the economy would quickly overcome any short run instability because:
Select correct option:
Price level and quantity were flexible
Prices would get stuck at a low level
The long run aggregate supply would shift to the left
Prices and wages were flexible

When APC is 0.90 and MPC is 0.75 then APS is:
Select correct option:
0.25 And MPS is 0.25
0.90 And MPS is 0.75
0.25 And MPS is 0.10
0.10 And MPS is 0.25

In the classical model, given an initial aggregate equilibrium at full employment, the long run effect of an increase in government spending is;
Select correct option:
An increase in the price level
An upward shift of the aggregate demand curve
A constant level of output
All of the above

If the prices of all goods and services rise during the year:
Select correct option:
Real GDP may fall
Nominal GDP must fall
Nominal GDP may increase

Real GDP must rise

If consumer's income remains constant then demand for product Y will:
Select correct option:
Neces s a ri l y re mai n u n ch an ged
Shift to the right if Y is a complementary good
Shift to the right if Y is a normal good
Shift to the right if Y is an inferior good

The optimal point of consumption is the point where consumer surplus becomes:
Select correct option:
Zero
Maxi mu m
Minimum
Positive

When producers are unable to meet market demand for the product this results as:
Select correct option:
Surplus of goods
Market failure
Monopoly
S h ortage of good

When the cross price elasticity of dement for two goods is less than zero then the goods are:
Select correct option:
Complementary goods
S u b s ti tu te good s
Inferior goods
Geffen goods

If the price elasticity of demand for beans is estimated to be -0.4 then a 20% increases in price will decrease the quantity demanded by:
Select correct option:
14%
8%
16%
20%

What is the reason of leftward shift in the demand curve for product A?
Select correct option:
A decrease in income if A is an inferior good
An i n creas e i n i n come i f A i s a n ormal good
An increase in the price of product that is a close substitute for A
An increase in the price of a product that is complimentary to A

Which of the following destines the opportunity cost?
Select correct option:
It is measured only in rupees
It is the cost to social of producing the goods
It is the difficulty associated with using one good in place of another
I t i s th e cos t of n ext b es t al tern ati ve f orgon e

MGT-101

QUIZ NO.3 FILE

SPRING (2021)

WRITTEN BY ATTIQ'S GROUP

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1. …… is posted in the debit side of debitors account.

Ans. Balance b/f of debtors.

2. Owner's equity =?

Ans. Capital- profits.

3. In case of writing off debtors as bad debt, -------- is debited.

Ans. Bad Debts account.

4. The inventory account falls under which of the following classification of accounts?

Ans. Assets.

5. Bank Reconciliation statement is a:

Ans. Memorandum statements

6. Rent receivable account should be debited due to:

Ans. Opening balance.

7. ---------- is posted in credit side of debtors account.

Ans. Sales return.

8. Is debited for closing the salaries' expense for the period?

Ans. Income statement.

9. ABC & Co purchased for resale purposes on case, which one of the following account head will decrease?

Ans. Cash.

10. In case of increase in prodivision for doubtful debt, ----- is debited.

Ans. Payable account.

11. Which of the following should be credited on sale of completed goods on cash basis manufacturing concern?

Ans. Finished Goods Account.

12. Which of the following is an error of original entry?

Ans. A receipt of RS. 50,000 from a debtor is recorded as RS. 5,000 in his account.

13. Carriage inward/outward is debited under main head.

Ans. Expenses.

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14. Factory overhead cost= power & fuel cost+ ----------

Ans. Other indirect cost.

15. Expenses portion of direct cost is treated as:

Ans. Expense.

16. Under IAS 2, goods available for sale purpose in the ordinary course of business is known as:

Ans. Assets.

17. Prime Cost = direct material cost+ -------.

Ans. Direct labor cost.

18. Direct cost is also known as:

Ans. Cost of sales

19. Office supplies consumed is considered as:

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Ans. Admin expense.

20. All of the following items appear on credit side of trade receivable control account EXCEPT.

Ans. Cheques dishonored

21. Which of the following should be credited when production is completed goods in manufacturing concern?

Ans. Work in process account.

22. A payables ledger control account had a closing balance of RS. 9,000 A cash purchase of RS. 500 had been omitted to record in this control account. What should be the concern balance of payables control account?

Ans. RS. 8,500 credit

23. While preparing a creditors control account, credit side shows the items that will cause:

Ans. Decrease in creditor's balance.

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24. Expenses are also known as:

Ans. Expired portion of cost.

25. Mr. A recorded a cash payment of RS. 300,000 as salaries and cash account were debited. What would be the debit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Ans. Cash account.

26. All of the following items appear on debit side of trade receivable control account EXCEPT.

Ans. Discount allowed.

27. Discount received from a creditor is debited under main head.

Ans. Income

28. Which of the following should be credited on return of raw material to supplier in manufacturing concern?

Knowledge For Us

Ans. Material account/ Voucher payable account.

29. The unexpired portion of direct cost is treated as:

Ans. Expenses

30. Opening indirect material inventory is adjusted with ---- of indirect material, to calculate the cost of sales.

Ans. Sales.

31. Under periodic system of recording inventory, purchase of inventory is debited to ----------.

Ans. Purchase account.

32. All of the following items may appear in trade receivable control account EXCEPT:

Ans. Credit purchases.

33. If work in process closing inventory is provided in trial balance, then that inventory is treated in:

Knowledge For Us

Ans. Balance sheet only.

34. All of the following items may appear in trade control account EXCEPT:

Ans. Cash sales.

35. If the debit side trial balance I heavier than the credit side, suspense account will be written on ----------.

Ans. Both debit and credit side.

36. Income=?

Ans. Profit – expenses.

37. Capital introduced by the owner is a ------.

Ans. Capital receipt.

38. Purchase return account is a/an ---------.

Ans. Contra item.

Knowledge For Us

39. When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (DR. & CR) is wrong, it is known as:

Ans. Error of principle.

40. Which of the following should be debited on purchase of raw material on credit basis in manufacturing concern?

Ans. Material account.

41. All of the following items appear on debit side of trade payable control account EXCEPT:

Ans. Credit purchases.

42. Purchases Rs. 500, carriage inward Rs. 50, Gross sales RS. 700 and gross profit Rs. 100, net purchases=?

Ans. Rs. 500.

43. A payment of Rs. 1,000 to a creditor Mr. A is recorded in the account of another creditor Mr. B what will be its effect on net profit?

Knowledge For Us

Ans. Understated by Rs. 2,000.

44. Which of the following is revenue receipt?

Ans. Sales revenue.

45. Carriage inward should be the part of:

Ans. Indirect cost

46. Sales Rs. 500, return outwards Rs. 50. Gross Profit Rs. 100. Net sales=?

Ans. Rs. 450.

47. Accumulated depreciation of furniture is a/an ----------.

Ans. Contra asset account.

48. Expired portion of direct cost is a part of --------.

Ans. Cost of sales.

49. A receivables ledger control account had a closing balance of Rs. 9,000. A dishonored Cheque of Rs. 500 had been omitted to record in

Knowledge For Us

this control account. What should be the correct balance of receivables control account?

Ans. Rs. 9,500 debit.

50. Mr. X receives a discount of Rs. 50 from supplier. The discount is debited to discount allowed account. What will be its effect on net profit?

Ans. Understated by Rs. 100

51. A minor repair to a photograph machine was paid in cash. Correct entry was made to cash account but no entry was made to other account. What will be the debit effect f journal entry to rectify this error, if there is suspense account in trial balance?

Ans. Photocopy machine repair account.

52. Cotton thread to make fabric in manufacturing concern is:

Ans. Raw material

53. Total factory cost= prime cost+ -------.

Ans. Factory overhead cost.

Knowledge For Us

54. All of the following items may appear in trade payable control account EXCEPT:

Ans. Bad debts.

55. Which of the following is a Revenue expenditure?

Ans. Payment of salaries

56. Under perpetual system of recording inventory, purchase of inventory is recognized as -------.

Ans. Asset.

57. Net realizable value of inventory =

Ans. Selling price – further costs to sell

58. Control accounts are maintained for all of the following EXCEPT:

Ans. Depreciation.

Knowledge For Us

59. Consumed direct supplies are considered as:

Ans. Cost of Sales.

60. An income statement is prepared for a specific period. Which is also known as:

Ans. Reporting period.

61. Expenses =?

Ans. Income – profit

62. Service fee received is a ---------.

Ans. Revenue Expenditure

63. Salaries expense of Rs. 5,000 is recorded as Rs. 500. What will be its effect on net profit?

Ans. Understated by Rs. 4,500

64. Which of the following is an error of commission?

Knowledge For Us

Ans. A payment to a debtor Mr. A is recorded in the account of another Mr.

65. Which of the following should be credited on sale of complete goods on cash basis in manufacturing concern?

Ans. Sales account

66. If some financial information is completely forgotten to record in the books of original entry. Such error is known as:

Ans. Error of Omission.

67. Opening direct material inventory is adjusted with ---- of direct material, to calculate the cost of sales.

Ans.

68. Mr. Y has recorded a stationary expense of Rs. 50 as salaries expense. What will be its effect on net profit?

Ans. No effect.

Knowledge For Us

69. Discount received from a creditor is credited under main head.

Ans. Income.

70. Unconsumed office supplies are considered as:

Ans. Current asset.

71. Mostly, control accounts are maintained for:

(a. Trade receivables b. Trade payables c. Inventory)

Ans. All of the given.

72. Which of the following is INCORRECT about closing stock?

Ans. It reduces the resources of business.

73. Which of the following is an error of principle?

Ans. Purchases of vehicle is recorded in repairs account.

Knowledge For Us

74. Which of the following should be debited for issue of raw material to production department in manufacturing concern?

Ans. Finished goods account.

75. If the credit side of trial balance is heavier than the debit side, suspense account will be written on ----------.

Ans. Debit side.

76. Which of the following should be credited on purchase of raw material on cash basis in manufacturing concern?

Ans. Cash account.

77. Discount allowed to a debtor is credited under main head:

Ans. Expenses.

78. Current year's depreciation of furniture is a/an -------.

Ans. Expense account.

Knowledge For Us

79. Which of the following should be debited on purchase of raw material on cash basis in manufacturing concern?

Ans.

80. Which of the following should be considered as ready for sales in manufacturing concern?

Ans. Finished goods.

81. A creditor's control account is used to record all the transactions related to:

Ans. Credit purchases

82. In a trading concern, salaries of marketing staff is included in ------.

Ans. Operating expense

83. When correct accounting effect (DR/CR) is given in the wrong accounting head but main head remains correct, is known as:

Knowledge For Us

Ans. Error of commission.

84. A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance, such difference can be due to:

Ans. All of the given options

85. Wood used to make a table in manufacturing concern is:

Ans. Raw material

86. Purchase of building costing Rs.500, 000 is recorded in repairs account. What will be its effect on net profit?

Ans. No effect

87. While preparing a Debtors control Account, credit side posted items cause:

Ans. Decrease in debtors' balance.

Knowledge For Us

88. Purchases Rs. 500, Returns inward Rs. 50, Gross sales RS. 700 and gross profit Rs. 100, net purchases=?

Ans. Rs. 500.

89. Which of the following should be debited on return of raw material to supplier in manufacturing concern?

Ans. Voucher payable account

90. Sales return account is a/an -------.

Ans. Contra item.

91. Which of the following is/are the function of financial accounting?

Ans. All of the given.

92. While preparing a Debtors control Account, debit side posted items cause:

Ans. Increase in debtor's balance.

Knowledge For Us

93. Unfinished gods are called :

Ans. Work in process.

94. When the sum of more than one error cancels the accounting effect of each other. It is called :

Ans. Compensating error.

95. Which of the following is capital receipt?

Ans. Long item loan from bank.

96. Which of the following should be credited for issue of raw material to production department in manufacturing concern?

Ans. Material account.

97. Control accounts are usually maintained by:

Ans. Large organizations.

98. All of the following items may appear in trade receivable control account EXCEPT:

Knowledge For Us

Ans. Cash sales.

99. Which of the following should be debited on sale of complete goods on cash basis in manufacturing concern?

Ans. Cash account.

100. Expired portion of direct cost is treated as:

Ans. Expense.

101. Which of the following is a capital expenditure?

Ans. Purchase of building.

102. Mr. A recorded a cash payment of RS. 300,000 as salaries. Both the salaries and cash account were debited. What would be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Ans. Salaries account.

103. Which of the following is an error of Omission?

Knowledge For Us

Ans. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

104. A receivables ledger control account had a closing balance of Rs. 9,000. Cash sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

Ans. Rs. 900 debt.

105. Unconsumed shipping supplies are considered as:

Ans. Current asset.

106. Which of the following is an example of direct materials cost ?

Ans. A piece of wood for the production of chair.

107. Electricity expense is a -------.

Ans. Revenue expenditure.

108. In a manufacturing concern, rent of office building is included in -----.

Knowledge For Us

Ans. Operating expense.

109. Factory overhead is a/an:

Ans. Cost.

110. Purchases Rs. 500, carriage outward Rs. 50, Gross sales RS. 700 and gross profit Rs. 100, net purchases=?

Ans. Rs. 50

111. Income =?

Profit – expenses

112. When the sum of more than one error cancels the accounting effect of each other, it is called?

Compensating error

Knowledge For Us

113. Control accounts are maintained for all of the following EXCEPT;

Depreciation

114. Expired portion of direct cost is a part of _____.

Cost of sales

115. Control accounts are maintained for all of the following EXCEPT;

Depreciation

116. Service fee received is a _____.

Revenue Expenditure

117. Cotton thread to make the fabric in manufacturing concern is

Raw material

Knowledge For Us

118. Control accounts are maintained for all of the following EXCEPT

Depreciation

119. Mostly, control accounts are maintained for

(a. Trade receivables b. Trade payables c. Inventory)

All options

120. Which of the following is an error of principle?

A receipt of Rs. 50,000 from a debtor is recorded as Rs 5,000 in his account

121. A payables ledger control account had a closing balance of Rs. 9,000. A discount received of Rs. 500

Knowledge For Us

had been omitted to record in this control account. What should be the correct balance of payables control account?

Rs. 8,500 credit

122. Expired portion of direct cost is treated as

Cost

123. Not realizable value of inventory =

Selling price – further costs to sell

124. Which of the following should be debited for issue of raw material to production department in manufacturing concern?

Finished goods account

Knowledge For Us

125. Under periodic system of recording inventory purchase of inventory is recognized as _____

Stock

126. Purchase of building costing Rs 500,000 is recorded in repairs account. What will be its effect on net profit?

No effect

127. Which of the following should be debited on sale of completed goods on cash basis in manufacturing concern?

Cash account

128. If some financial information is completely forgotten to record in the books of original entry. Such error is known as

Error of omission

Knowledge For Us

129. Which of the following should be credit on sale of completed goods on credit basis in manufacturing concern?

Sales Account

130. Cost of inventory =?

Selling – Further costs to sell

131. Shipping supplies consumed is considered as?

Selling expense

132. Expired portion of direct cost is treated as

Expense.

Knowledge For Us

133. Discount received from a creditor is credited under main head:

Income

134. Accumulated depreciation of furniture is a/an

Contra asset account

Knowledge For Us

135. If Work in Process closing inventory is provided in trial balance, then that in inventory is treated in:

Balance Sheet only

136. Factory overhead is a/an.

Cost

137. Purchases Rs.500, Carriage outward Rs.50, Gross Sales Rs. 700 and Gross Profit Rs. 100. Net Purchases =?

Rs. 50

138. Carriage inward is debited under main head:

Expenses

139. Capital introduced by the owner is a

Knowledge For Us

Capital Receipt

140. Factory overhead cost = Power & fuel cost +.

Indirect material cost

141. Consumed direct supplies are considered as:

Cost of sales

142. All of the following items may appear in Trade payable control account

EXCEPT:

Bad debts

143. When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:

Error of principle

Knowledge For Us

144. The unexpired portion of direct cost is treated as:

Assets

145. A control account is an individual account that appears in the.

General ledger

146. Mr. X receives a discount of Rs. 50 from a supplier.

The discount is debited

To discount allowed account. What will be its effect on net profit?

Understated by Rs. 100

147. A creditors' control account is used to record all the transactions related to:

Credit purchases

Knowledge For Us

148. While preparing a Debtors Control Account, Credit side posted items cause:

Decrease in debtors' balance

149. Which of the following is a Revenue receipt?

. Sales revenue

150. Direct cost is also known as:

Prime cost

151. A minor repair to a photocopy machine was paid in cash. Correct entry

Was made to cash account but no entry was made to other account. What will be the debit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Photocopy machine repair account

152. A new accountant of ABC Corporation has prepared the trial balance. But

Knowledge For Us

There is difference in total of both sides of trial balance: such Difference Can be due to:

All of the given options

153. Mostly, control accounts are maintained for:

(a. Trade receivables b. Trade payables c. Inventory)

All of the given options

154. When correct accounting effect (Dr/Cr) is given in the wrong accounting Head but the main head remains correct, is known as:

Error of commission

155. If the debit side of trial balance is heavier than the credit side, suspense

Account will be written on

Credit side

Knowledge For Us

156. Purchases Rs.500, Return inward Rs.50, Gross Sales Rs. 700 and Gross Profit Rs. 100. Net Purchases =?

Rs.500

157. All of the following items appear on credit side of Trade receivable

Control account EXCEPT

Cheques dishonored

158. Purchase return account is a/an .

Contra item

159. Which of the following Organization converts raw material into finished? Goods?

Manufacturing concern

160. If the credit side of trial balance is heavier than the debit side, suspense

Knowledge For Us

Account will be written on

Debit side

161. Carriage outward is debited under main head:

Expenses

162. In a manufacturing concern, rent of office building is included in

Operating expense

163. Income =?

Profit – expenses

164. A payables ledger control account had a closing balance of Rs 9,000. A

Credit purchase of Rs. 500 had been omitted to record in this control Account. What should be the correct balance of payables control account?

Rs. 9,500 credit

Knowledge For Us

165. All of the following items may appear in Trade payable control account

EXCEPT:

Cash purchases

166. Which of the following is an error of principle?

Purchases of vehicle is recorded in repairs account

167. When correct accounting entry is recorded in the books of accounts but the amount in both according effect (Dr & Cr) is wrong, it is known as:

Error of original entry

168. Total factory cost = Prime cost + .

Knowledge For Us

Factory overhead cost

169. Unconsumed shipping supplies are considered as:

Current asset

170. Leather to make jackets in manufacturing concern is:

Raw material

171. Which of the following is/are the function of financial accounting?

All of the given options.

172. Work in process closing inventory is a/an:

Asset

173. A payables ledger control account had a closing balance of Rs 9,000. A credit sales of Rs. 500 had been omitted to record in this control account. What

Knowledge For Us

should be the correct balance of payables control account?

Rs. 9,000

174. Note (33 & 42 credit purchases = (payable control account) and
credit sales = (receivables control account).

175. A debtors' control account is used to record all the transactions related

Credit sales

176. Discount allowed to a debtor is Debited under main head:

Expenses

177. A receivables ledger control account had a closing balance of Rs. 9,000. A dishonored cheque of Rs. 500 had been omitted to record in the control account. What should be the correct balance of receivables control account?

Rs. 9,500 debit

Knowledge For Us

178. Unconsumed direct supplies are considered as:

Inventory

179. Unfinished goods are called.

Work in process

180. Salaries expense of Rs. 5,000 is recorded as Rs. 500.

What will be its effect on net profit?

Overstated by Rs. 4,500

181. All of the following items may appear in Trade receivable control account

EXCEPT:

Credit Purchases

Knowledge For Us

182. Expenditure incurred to acquire the patent right for the business is an example of:

Capital expenditure

183. Loss on revaluation of fixed asset should be charged to:

Profit and loss account

184. While preparing a Debtors Control Account, Debit side posted items cause:

Increase in debtors' balance

185. Expenses are also known as:

Expired portion of cost

186. An income statement is prepared for a specific period, which is also known as:

Reporting period

Knowledge For Us

187. Which of the following is a Capital expenditure?

Purchase of a building

188. A purchase of plant and machinery is a

Capital Expenditures

189. Discount allowed to a debtor is credited under main head:

Expenses

190. Which of the following is Revenue expenditure?

Payment of salaries

Knowledge For Us

191. In a trading concern, salaries of marketing staff are included in

.

Operating expense

192. Cotton thread to make fabric in manufacturing concern is:

Raw material

193. Mr. A recorded a cash payment of Rs. 300,000 as salaries. Both the salaries and cash account was debited. What would be the credit affect of journal? entry to rectify this error, if there is suspense account in trial balance?

Cash account

194. A receivables ledger control account had a closing balance of Rs. 9,000.Cash sales of Rs. 500 had been omitted to record in the control account. What should be the correct balance of receivables control account?

Rs. 9,000 debit

Knowledge For Us

195. Factory overhead cost = Power & fuel cost +.

Other indirect cost

196. A new accountant of ABC Corporation has prepared the trial balance. But There is difference in total of both sides of trial balance; such amount of difference shall be named as:

Suspense account

197. In a manufacturing concern, salary of supervisor is included in .

Operating expense

198. Mr. Y has recorded a stationary expense of Rs. 50 as salaries expense. What Will be its effect on net profit?

No effect

199. Control accounts are maintained for all of the following EXCEPT:

Knowledge For Us

Depreciation

200. Service fee received is a .

Revenue Receipt

201. Which of the following is a Capital receipt?

Long term loan from bank

202. Sales Rs. 500, Return inwards Rs. 50, Gross Profit Rs. 100, Net Sales =?

Rs. 450

203. Expenses =?

Income – profit

204. Office supplies consumed is considered as:

Knowledge For Us

Admin expense

205. Bank charges of RS. 1,000 have been deducted by the bank without our Knowledge. What will be its effect on net profit?

No effect

206. Wood used to make a table in manufacturing concern is:

Raw material

207. Sole proprietor can prepare following financial statements as final accounts:

Balance sheet & income statement

208. Which one of the following is INCORRECT about closing stock? It reduces the resources of business Prime cost = Direct material cost +

Direct labor cost

Knowledge For Us

209. Mr. A recorded a cash payment of Rs. 300,000 as salaries. Both the Salaries And cash account was debited. What would be the debit affect of journal entry to rectify this error, if there is suspense account in trial balance?

Suspense account

210. While preparing a Creditors Control Account, Debit side shows the items that Will cause

Decrease in creditors' balance

211. Sales return account is a/an .

Contra item

212. If Work in Process closing inventory is provided as additional information,Other than trial balance, then that inventory treated in:

Profit and loss account only

213. Electricity expense is a .

Knowledge For Us

Revenue Expenditure

214. Current year's depreciation of furniture is a/an .

Expense account

215. Carriage inward should be the part of:

Direct cost

216. Control accounts are usually maintained by:

Large organizations

217. Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be? Its effect on net profit?

No effect

218. Which of the following is an error of original entry?

Knowledge For Us

A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account.

219. A payables ledger control account had a closing balance of Rs. 9,000. Cash Purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

Rs 500 credit

Knowledge For Us

220. Drawings account is a/an

Contra item

221. Expenses =?

Income – profit

222. All of the following items appear on debit side of Trade receivable control account EXCEPT:

Discount allowed

223. Mostly, control accounts are maintained for:

(a. Trade receivables b. Trade payables c. Inventory)

All of the given options

224. Purchases Rs. 500, Returns outward Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

450

Knowledge For Us

225. If cost of sales is Rs. 90,000, income from sales Rs. 200,000 and operating expenses Rs.100,000. What will be net result? Select correct option:

Rs. 5,000 Losses

226. Work in process closing inventory is a/an:

Asset

227. Which of the following is Revenue expenditure?

Sales revenue

228. A payment of Rs. 1,000 to a creditor Mr. A is recorded in the account of another creditor Mr. B. What will be its effect on net profit?

Rs. 1,000 Owner's equity.

229. Which of the following Organization converts raw material into finished goods?

Knowledge For Us

Manufacturing concern

230. Capital introduced by the owner is a _____.

Capital Receipt

231. When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong, it is known as:

Error of commission

232. Which of the following is an error of original entry?

A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

233. Mr. X receives a discount of Rs. 50 from a supplier. The discount is debited to discount allowed account. What will be its effect on net profit?

Knowledge For Us

Understated by Rs.100

234. While preparing a Creditors Control Account, Credit side shows the items that will cause:

Raw material

235. Service fee received is a _____.

Revenue Expenditure

236. Work in process closing inventory is a/an:

Asset.

237. Factory overhead cost = Power & fuel cost + _____.

Indirect material cost

238. A payables ledger control account had a closing balance of Rs.9, 000. A discount received of Rs.500 had been omitted to record in this control account.

Knowledge For Us

What should be the correct balance of payables control account?

Rs. 8,500 credit

239. Unconsumed shipping supplies are considered as:

Current asset

240. Sales return account is a/an _____.

Contra item

241. Unconsumed office supplies are considered as:

Raw martial

242. Unfinished goods are called:

Raw martial

Knowledge For Us

243. If the debit side of trial balance is heavier than the credit side, suspense account will be written on _____.

Credit side

244. Accumulated depreciation of furniture is a/an _____.

Contra asset account

245. Which of the following is a Capital receipt?

Long term loan from bank

Knowledge For Us

Attiq'S Group

246. Discount received from a creditor is Debited under main head:

Assets

247. While preparing a Debtors Control Account, Debit side posted items cause:

Increase in debtors' balance

248. An income statement is prepared for a specific period, which is also known as:

Financial health

249. A minor repair to a photocopy machine was paid in cash. Correct entry was made to cash account but no entry was made to other account. What will be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Cash account

Knowledge For Us

Knowledge For Us

250. When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:

Error of commission

251. Mr. A recorded a cash payment of Rs.300, 000 as salaries. Both the salaries and cash account were debited. What would be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?

Cash account

252. Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be its effect on net profit?

Overstated by Rs. 500,000

253. Control accounts are usually maintained by:

Large organizations

254. All of the following items may appear in Trade receivable control account EXCEPT:

Knowledge For Us

Attiq'S Group

Cash relievable in debit

255. A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance, such amount of difference shall be named as:

Suspense account

256. Bank charges of RS. 1,000 have been deducted by the bank without our knowledge. What will be its effect on net profit?

Understated by Rs. 1,000

257. Which of the following is an error of omission?

Bank charges being deducted by the bank without our knowledge

258. If someone financial information is completely forgotten to record in the books of original entry, such error is known as:

Knowledge For Us

ERROR OF OMISSION

259. In a manufacturing concern, rent of the office building is included in:

OPERATING EXPENSES

260. Expired portion of direct cost is a part of ---------

Cost of sales

261. All of the following items may appear in Trade payable account Expect:

Bad debts

262. Expired portion of direct cost is treated as:

Expense

263. In a manufacturing concern, rent of the office building is included in:

OPERATING EXPENSES

Knowledge For Us

Attiq'S Group

264. Income=

Profit-expenses

265. A payable ledger control account had balance of Rs9000.A credit purchase of Rs500 had been omitted to recorded in the control account what should be the correct balance of payable control account?

Rs.9000credit

266. All of the following items may appear in Trade payable control account Except:

Cash purchases

267. When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong. It is known as

Knowledge For Us

Error of original entry.

268. Total factory cost=prime cost+ factory overhead cost

Mostly, contra accounts are maintained for:

(a. Trade receivables b. Trade payables c. Inventory)

269.

All of the given option

270. If the credit side of the trial balance is heavier than the debit side suspense's account will be written on -------

Both debit and credit side

271. Carriage inward is debited under main head:

EXPENSES

272. Unconsumed shipping supplies are considered as:

Current Assets

Knowledge For Us

Attiq'S Group

273. When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct is known as:

Error of commission

274. Leather to make in manufacturing concern is:

Raw material

275. Which of the following is/are the function of financial accounting?

All of the given options

276. When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head, it is known as:

Error of principle

277. Work in process closing inventory is a/an:

Knowledge For Us

asset

278. A debtor's account is used to record all the transaction related to:

Credit sales

279. Purchase Rs500, carriage outward rs.50 gross sales Rs 700 and gross profit Rs 100 net purchase=?

500 RS

280. Discount allowed to a debtor is debtor under main head:

Expenses

281. A receivable ledger control account had a closing balance of rs9000.A dishonored cheque of Rs 500had been omitted to record in this control account what should be the correct balance of receivable control account?

Knowledge For Us

Attiq'S Group

9500 debt

282. Purchase return account is a /an

Contra items

283. Factory overhead is a/an

cost

284. Unfinished goods are called:

WORK IN Process

285. Salaries expenses of Rs 5000 are recorded as Rs 500 what will be its effect on net profit?

Overstayed by rs.4500

286. All of the following items may appear in trade payable account

Expect:

Knowledge For Us

Bad debts

287. Discount received from a creditor is credited under main head:

Income

288. Capital introduced by the owner is a

Capital Receipt.

289. Factory overhead cost =power & fuel cost +

Indirect material cost

290. Consumed direct supplies are considered as:

Cost of sales

291. The unexpired portion of direct cost is treated as:

Assets

Knowledge For Us

Attiq'S Group

292. A control account is an indivual account that appears in the ------

general ledger.

293. Mr. receives a discount of Rs 50 from a supplier. The discounts are debited to discount allowed account. What will effect on net profit?

Understated by Rs 100

294. A creditor's control account is used to record all the transaction related to:

credit purchase

295. Which of the following Is a revenue receipt?

Sales Revenue

296. Direct cost is also known as

Prime cost

Knowledge For Us

297. Office supplies consumed is considered as:

cost of sales

298. Sales return account is a/an----------

Contra items

299. Which of the following is a capital receipt?

Long term loan from bank

300. Bank charges of Rs1000 have been deducted by the bank without our knowledge. what will its effect on net profit?

Overstated by Rs 1000

301. A new accountant of ABC corporation has prepaid the trial balance. but there is difference I total of both sides of trial balance such difference can be due to:

All of the given option

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302. Mostly, control accounts are maintained for:
(a. Trade receivables b. Trade payables c. Inventory)

All of the given options

303. A purchase of plant and machinery is a ----------

Capital expenditure

304. If the debit side of trial balance is heavier than the credit side, suspense account will be written on------,

Credit side

305. If the credit side of trial balance is heavier than the debit side, suspense account will be written on

Debit side.

306. All of the following items may appear in Trade receivable control account Expect:

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Checkups dishonored

307. Which of the following organization converts raw material into finished goods?

Manufacturing concern

308. Expenditure incurred to acquire the patent right for the business is an example of**:**

Capital expenditure

309. Loss on revaluation of fixed asset should be charged to**:**

Profit and loss account

310. When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong:

Error of original Entry

311. A new accountant of ABC corporation has prepaid the trial balance. but there is difference in total of both sides of trial balance such difference shall be named as:

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Suspense account

312. Discount received from a creditor is Debited under main head:

liabilities

313. Electricity expense is a____

Revenue Expenditure

314. Control accounts are maintained for all the following Except:

Deprecation

315. All of the following items may appear in Trade receivable control account Expect:

Cash sales

316. Discount allowed to a debtor is credited under main head:

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Assets

317. All of the following items may appear in Trade receivable control account Expect:

Credit purchase

318. A control account is an individual account that appears in the ---

---

General ledge

319. Which of the following is an error of commission?

A payment to a debtor Mr. A is recorded in the the account of another Mr.

320. Which of the following should be considered as ready for sales in manufacturing concern?

Finished goods

321. Mr. A recorded a cash payment of Rs.300, 000 as salaries. Both the salaries and cash account Were debited. What would be the credit effect of journal entry to rectify this error, if there is suspense account in trial balance?

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Cash account

322. A receivables ledger control account had a closing balance of Rs.9, 000. A dishonored cheque of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

Rs. 8,500 credit

323. In a trading concern, salaries of marketing staff are included in

_____.

Operating expense

324. Purchase return account is a/an _____.

Expense item

325. Cotton thread to make fabric in manufacturing concern is:

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Raw material

326. Sole proprietor can prepare following financial statements as final accounts:

Balance sheet & income statement

327. A debtors' control account is used to record all the transactions related to:

Credit sales

328. Shipping supplies consumed is considered as:

Selling expense

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Question # 4 of 15 (Start time: 08:39:37 PM) Total Marks: 1
Real GDP is equal to:
Select correct option:

Nominal GDP – Inflation.
Nominal GDP + Inflation.
Nominal GDP / Inflation.
Inflation / Nominal GDP.

Question # 5 of 15 (Start time: 08:40:02 PM) Total Marks: 1
The relationship between consumer spending and income is known as the:
Select correct option:

45-degree line.
Consumption function.
Investment function.
Consumer price index.

Question # 6 of 15 (Start time: 08:41:00 PM) Total Marks: 1
Overestimation of national product in national income calculations is known as:
Select correct option:

Lack of effective demand effect.
Distortion effect.
Double counting effect.
None of the given.

Question # 7 of 15 (Start time: 08:41:25 PM) Total Marks: 1
When we study market equilibrium, the primary influencing variable on production and purchasing decisions is:
Select correct option:

Price.
Cost of production.
The overall state of the economy.
Consumer's income.

Q= a – b P represents equation of

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Select correct option:

Supply function
Demand function
Labor supply function
Market demand function

Question # 9 of 15 (Start time: 08:44:05 PM) Total Marks: 1
When producers are unable to meet market demand for the product, this results as:
Select correct option:

Surplus of goods
Market failure
Monopoly
Shortage of good

Quiz Start Time: 08:37 PM Time Left 89 sec(s)

Question # 10 of 15 (Start time: 08:44:37 PM) Total Marks: 1
If the quantity demanded of mangoes exceeds the quantity supplied of mangoes:
Select correct option:

There is a surplus of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.

Question # 11 of 15 (Start time: 08:45:10 PM) Total Marks: 1
The slope of the consumption function (or line) is the:
Select correct option:

Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.

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Question # 12 of 15 (Start time: 08:45:29 PM) Total Marks: 1
The law of diminishing marginal utility states:
Select correct option:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the given options.

Question # 13 of 15 (Start time: 08:46:00 PM) Total Marks: 1
If the quantity demanded of computers exceeds the quantity supplied of computers:
Select correct option:

Market forces will cause the price to rise.
The market is in equilibrium.
There is a surplus of computers.
Market forces will cause the price to fall.

Question # 14 of 15 (Start time: 08:46:44 PM) Total Marks: 1
An increase in the total output of a country over time is called
Select correct option:

Economic development
Economic growth
Financial growth
None of the given options

Question # 15 of 15 (Start time: 08:47:11 PM) Total Marks: 1
Keeping in view the model of aggregate supply and aggregate demand, in the long run, a decrease in the money supply should cause:
Select correct option:

Both prices and output to rise.
Both prices and output to fall.
Prices to rise and output to remain unchanged.
Prices to fall and output to remain unchanged.

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Quiz Start Time: 08:55 PM Time Left 89 sec(s)

Question # 1 of 15 (Start time: 08:55:11 PM) Total Marks: 1
The resulting measure is unit free for price elasticity of demand, so we always measure it in:
Select correct option:

Percentage terms.
Absolute terms.
Inelastic terms.
Elastic terms.

Question # 2 of 15 (Start time: 08:55:34 PM) Total Marks: 1
Income elasticity of demand for the normal goods is usually:
Select correct option:

Positive.
Negative.
Constant.
One.

Question # 3 of 15 (Start time: 08:56:07 PM) Total Marks: 1
If there would be an increase in interest rate then:
Select correct option:

Savings will decrease.
Consumption will increase.
Consumption will decrease.
Marginal propensity of consume will increase.

Question # 4 of 15 (Start time: 08:56:31 PM) Total Marks: 1
In a free-market economy, the allocation of resources is determined by:
Select correct option:

Votes taken by consumers.
A central planning authority.

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Consumer preferences.
The level of profits of firms.

Question # 5 of 15 (Start time: 08:57:13 PM) Total Marks: 1
In Keynesian economics, equilibrium can occur:
Select correct option:

Only at full employment.
Only at levels less than full employment.
Only at levels greater than full employment.
At any level of aggregate output equal to aggregate expenditures.

Question # 6 of 15 (Start time: 08:57:41 PM) Total Marks: 1
Cartels are:
Select correct option:

Organizations of independent firms, producing similar products, that work together to raise prices and restrict output

Organizations of interdependent firms
Oligopolies
All of the above

Question # 7 of 15 (Start time: 08:58:09 PM) Total Marks: 1
The firm's demand for labor is:
Select correct option:

The marginal revenue product curve
The marginal input cost curve
The marginal cost curve
Undetermined

Question # 8 of 15 (Start time: 08:58:37 PM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:

Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

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Question # 9 of 15 (Start time: 08:58:54 PM) Total Marks: 1
There are _____methods of measuring GDP:
Select correct option:

Four
Three
Five
None

Question # 10 of 15 (Start time: 08:59:17 PM) Total Marks: 1
A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.

Question # 11 of 15 (Start time: 08:59:55 PM) Total Marks: 1
Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:

It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

Question # 12 of 15 (Start time: 09:00:23 PM) Total Marks: 1
If Nominal GDP is divided by the GDP deflator, it is called:
Select correct option:

Real Gross Domestic Product (GDP)
Gross National product (GNP)
Net national Product (NNP)

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None of the given.

Quiz Start Time: 08:55 PM Time Left 89 sec(s)

Question # 13 of 15 (Start time: 09:00:45 PM) Total Marks: 1
Suppose that a farmer grows wheat and sells it to a baker for $1, the baker makes bread and sells it to a store for $2, and the store sells it to the customer for $3. This transaction increases GDP by:
Select correct option:

$1.

$2.

$3.

$6.

Question # 14 of 15 (Start time: 09:01:32 PM) Total Marks: 1
If a firm operates in a perfectly competitive market, then it will most likely:
Select correct option:

Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

Question # 15 of 15 (Start time: 09:01:59 PM) Total Marks: 1
All other things being equal, a decrease in government spending will:
Select correct option:

Shift the aggregate demand curve to the left.
Shift the aggregate demand curve to the right.
Make the aggregate demand curve steeper.
Make the aggregate demand curve flatter.

Question # 1 of 15 (Start time: 09:03:47 PM) Total Marks: 1
The common characteristic of Monopolistic competition and oligopoly is:

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Select correct option:

Free entry and exit from the industry.
Their Strategic behavior.
Advertising.
Their Standardized products.

Question # 2 of 15 (Start time: 09:04:46 PM) Total Marks: 1
Goods A and B are complements while goods A and C are substitutes. If the supply of good X decreases:
Select correct option:

The demand for both B and C will increase.
The demand for B will increase while the demand for C will decrease.
The demand for B will decrease while the demand for C will increase.
The demand for both B and C will decrease.

Question # 3 of 15 (Start time: 09:05:33 PM) Total Marks: 1
The branch of economics that studies the behavior of individual households, firms and industries is known as:
Select correct option:

Normative economics.
Macroeconomics.
Positive economics.
Micro economics.

Quiz Start Time: 09:03 PM
Time Left 88
sec(s)
Question # 4 of 15 (Start time: 09:05:59 PM) Total Marks: 1
What would result from a depreciation of the pound on the foreign exchange market?
Select correct option:

An increase in the price of imported computers.
A fall in the purchasing power of US tourists in London.
A fall in the price of imported computers.
An increase in the purchasing power of UK tourists overseas.

Question # 5 of 15 (Start time: 09:06:35 PM) Total Marks: 1

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A price taker is:
Select correct option:

A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.

Question # 6 of 15 (Start time: 09:06:52 PM) Total Marks: 1
The market structure in which strategic considerations are most important is:
Select correct option:

Monopolistic competition.
Oligopoly.
Pure competition.
Pure monopoly.

Question # 7 of 15 (Start time: 09:07:12 PM) Total Marks: 1
Sum of total factor income is called:
Select correct option:

Government revenues.
Disposable income.
National Income.
None of the given.

Question # 8 of 15 (Start time: 09:07:38 PM) Total Marks: 1
If Aggregate expenditures are more than aggregate production then their will be:
Select correct option:

Inflationary gap in economy.
Deflationary gap in economy.
Dynamic gap in economy.
None of the given.

Question # 9 of 15 (Start time: 09:08:03 PM) Total Marks: 1
An indifference curve is:
Select correct option:

A collection of market baskets that are equally desirable to the consumer.

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A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question # 10 of 15 (Start time: 09:08:32 PM) Total Marks: 1
According the law of diminishing returns:
Select correct option:
The marginal product falls as more units of a variable factor are added to a fixed factor.
Marginal utility falls as more units of a product are consumed.
The total product falls as more units of a variable factor are added to a fixed factor.

Question # 11 of 15 (Start time: 09:08:57 PM) Total Marks: 1
The investment demand curve shows the relationship between the levels of:
Select correct option:

Investment and consumption.
Consumption and interest rate.
Investment and interest rate.
Investment and saving.

Question # 12 of 15 (Start time: 09:10:27 PM) Total Marks: 1
In economics, the “long run” is a time period in which:
Select correct option:

All inputs are variable.
All inputs are paid for.
All outputs are determined.
All loans are repaid.

Question # 13 of 15 (Start time: 09:10:48 PM) Total Marks: 1
If the current market price is above the market clearing level. We would expect:
Select correct option:

A shortage to accumulate.
A surplus to accumulate.
Upward pressure on the current market price.
Lower production during the next time period.

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Question # 14 of 15 (Start time: 09:11:28 PM) Total Marks: 1
All the insurance companies around the globe work under the principle of:
Select correct option:

Law of zero numbers *.not sure*
Law of large numbers.
Law of small numbers.
None of the given options.

Question # 15 of 15 (Start time: 09:11:51 PM) Total Marks: 1
Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.
Select correct option:

Limited resources, market behavior
Scarcity, human behavior
Social behavior, limited resources
Biological behavior, scarcity

Question # 3 of 15 (Start time: 09:17:41 PM) Total Marks: 1
Which of the following would cause the short run aggregate supply curve to shift to the left, but have no effect over the long run aggregate supply?
Select correct option:

The amount of factors of production (such as labor and capital) increase

The amount of factors of production (such as labor and capital) decrease

Prices of inputs (such as wages or oil prices) increase

Question # 5 of 15 (Start time: 09:19:05 PM) Total Marks: 1
The more inelastic the demand, the more of the tax's burden will fall on:
Select correct option:

Consumers.
Producers.
Government.
Middle man.

Question # 6 of 15 (Start time: 09:19:35 PM) Total Marks: 1
Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.60, then the value of multiplier will be equal to:
Select correct option:

2.5
0.40
1.66
5.0

Question # 7 of 15 (Start time: 09:20:44 PM) Total Marks: 1
It is expected that the sign of cross price elasticity of demand between two complementary goods would be:
Select correct option:

Positive.
Negative.
Zero.
Ambiguous.

Question # 8 of 15 (Start time: 09:21:14 PM) Total Marks: 1
When the cross price elasticity of demand fro two goods is less than zero then the goods are:
Select correct option:

Complementary goods.
Substitute goods.
Inferior goods.
Giffen goods.

Question # 9 of 15 (Start time: 09:21:32 PM) Total Marks: 1
An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called a(n) _____ exchange rate.
Select correct option:

Overvalued.
Undervalued.

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Fixed.
Flexible.

Question # 10 of 15 (Start time: 09:21:56 PM) Total Marks: 1
If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:

One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

If Nominal GDP is divided by the GDP deflator, it is called:
Select correct option:

Real Gross Domestic Product (GDP)
Gross National product (GNP)
Net national Product (NNP)
None of the given.

To make the equation of exchange into the quantity theory of money:
Select correct option:

V and Q are assumed to be constant.
The money supply is assumed to be produced by the banking system and not exclusively in currency.
The quantity of money is assumed to determine the amount of Real GDP.
M and P are considered constant.

The branch of economics that studies the behavior of individual households, firms and industries is known as:
Select correct option:

Normative economics.
Macroeconomics.
Positive economics.
Micro economics.

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GDP is:
Select correct option:

A stock
A flow.
Both a stock and a flow.

Neither a stock nor a flow.

When the marginal revenue product of labor is less than the marginal input cost of labor then the profit maximizing firm will:
Select correct option:

Hire more labor.
Hire less labor.
Maintain the same employment.
Decrease output.

Normally the shape of production possibilities curve is:
Select correct option:

Positive
Convex
Linear
Concave

Suppose to hire the next worker, the firm pays Rs. 75. This Rs. 75 is the:
Select correct option:

Marginal input cost.
Marginal cost.
Marginal revenue product.
Marginal revenue.

The average propensity to consume is the ratio of:
Select correct option:

A change in consumption to a change in disposable income.
A change in consumption to total disposable income at a specific income level.
Total consumption to total disposable income at a specific income level.
Total consumption to a change in disposable income.

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The investment demand curve shows the relationship between the levels of:
Select correct option:

Investment and consumption.
Consumption and interest rate.
Investment and interest rate.
Investment and saving.

The slope of budget line –Px/PY is also called:
Select correct option:

Input ratio.
Output price ratio.
Input price ratio.
Output ratio.

Many economists and government analysts have investigated the effect of a minimum wage on labour markets. The general conclusion reached by the investigators is that:
Select correct option:

The overall effect of the minimum wage is an increase in the unemployment level.
Teenagers gain most of the beneficial employment effects of the minimum wage.
All industries are equally affected by the minimum wage laws.
Over a period of time, the minimum wage laws will increase employment in the economy.

Which of the following events shifts the short-run aggregate supply curve to the right?
Select correct option:

A decrease in the money supply
A drop in oil prices
An increase in government spending on military equipment
An increase in price expectations

If the income elasticity of demand for bread is 0.4, a 10% increase in consumer income will lead to a:
Select correct option:

40% increase in the quantity of bread demanded.
40% decrease in the quantity of bread demanded.
4% increase in the quantity of bread demanded.
0.4% increase in the quantity of bread demanded.

The traditional Phillips Curve shows the:
Select correct option:

Inverse relationship between the rate of inflation and the unemployment rate.
Inverse relationship between the nominal and the real wage.
Direct relationship between unemployment and demand-pull inflation.
Tradeoff between the short run and the long run.

If two goods were perfect substitute, their indifference curves would be:
Select correct option:

Straight lines.
L-shaped. >>> *not sured*
Rectangular hyperbolas.
Parabolic.

For a monopolist, changes in demand will lead to changes in:

Select correct option:

Price with no change in output
Output with no change in price
Both price and quantity
Any of the above is possible

Which one of the following is most likely to lead to an increase in aggregate demand?
If there is increase in:

Select correct option:

Government tax revenues

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Household savings

Business capital investment

Demand for imports

The branch of economics that studies the entire economy, such topics as aggregate production, unemployment and inflation is called

Select correct option:

Micro economics

Managerial economics

Macro economics

Financial economics

An exchange rate that has an officially fixed value less than its fundamental value is called a(n) _____ exchange rate.

Select correct option:
Devalued.
Revalued.
Depreciated.
Undervalued.

_____ is an accounting record of a country's transactions with rest of the world.

Select correct option:

Balance of trade.
Trade liberalization.
Balance of payment.
None of the given.

GDP measures:

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Select correct option:

Expenditure on all final goods and services.
Total income of everyone in the economy.
Total value-added by all firms in the economy.
All of the given options

"Capital widening" means:
Select correct option:

More capital and more labour, but with the same amount of capital per unit of labour.
More capital per unit of labour.
Increasing the usage of existing capital.
Importing capital from the developed world.

If there is a price ceiling, there will be:
Select correct option:

Shortages.
Surpluses.
Equilibrium.
None of the given options.

When the price of wheat rises by 10%, the quantity of wheat purchased falls by 4%.
This shows that the demand for wheat is:
Select correct option:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

Which of the following defines the opportunity cost?
Select correct option:

It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

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If the cross price elasticity of demand between two products is +3.5, then:

Select correct option:

One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?

Select correct option:

Cost-pull.
Cost-push.
Demand-pull.
Demand-push.

If a decrease in price increases total revenue:
Select correct option:

Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic.
In which market structure(s) price will exceed marginal revenue?
Select correct option:

Differentiated oligopoly and monopoly only.
Standardized oligopoly and pure competition only.
Monopolistic competition and monopoly only.
Monopolistic competition, oligopoly, and monopoly.

If marginal product is equal to average product:
Select correct option:

The total product will fall
The average product will not change
Average variable costs will fall
Total revenue will fall

Demand is said to be ---------- when the elasticity of demand is less than 1.

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Select correct option:

Increasing
Decreasing
Elastic
Inelastic

The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:

Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.

The primary reason of decline in the value of money is:
Select correct option:

Deflation.
Inflation.
A rise in consumption.
Higher tax rate.

The branch of economics that studies the entire economy, such topics as aggregate production, unemployment and inflation is called:
Select correct option:

Managerial economics.
Macro economics.
Micro economics.
Financial economics.

The traditional Phillips Curve shows the:
Select correct option:

Inverse relationship between the rate of inflation and the unemployment rate.
Inverse relationship between the nominal and the real wage.
Direct relationship between unemployment and demand-pull inflation.
Tradeoff between the short run and the long run.

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Which of the following statements describes the presence of diminishing returns.
Select correct option:

The marginal product of a factor is positive and rising.
The marginal product of a factor is positive but falling.
The marginal product of a factor is falling and negative.
The marginal product of a factor is constant.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

Goods A and B are complements while goods A and C are substitutes. If the supply of good X decreases:
Select correct option:

The demand for both B and C will increase.
The demand for B will increase while the demand for C will decrease.
The demand for B will decrease while the demand for C will increase.
The demand for both B and C will decrease.

To make the equation of exchange into the quantity theory of money:
Select correct option:

V and Q are assumed to be constant.
The money supply is assumed to be produced by the banking system and not exclusively in currency.
The quantity of money is assumed to determine the amount of Real GDP.
M and P are considered constant.

Which of the following markets is most likely to be oligopolistic?
Select correct option:

The market for corn.
The market for aluminum.
The market for colas.
The market for ground coffees.

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According to classical economists, the:
Select correct option:

Aggregate demand curve is downward sloping and the aggregate supply curve is vertical
Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is horizontal

Our economy is characterized by:
Select correct option:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

The slope of budget line –Px/PY is also called:
Select correct option:

Input ratio.
Output price ratio.
Input price ratio.
Output ratio.

In the equation MV = PQ, according to the crude quantity theory of money:
Select correct option:

M has no effect on the price level.
V is the number of times each dollar is spent per year.
Q is the real price level.
P rises as V falls, other things constant.

If the quantity demanded of mangoes exceeds the quantity supplied of mangoes:
Select correct option:

There is a surplus of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.

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The market is in equilibrium.

If a monopolist sets his output such that marginal revenue, marginal cost and average total cost are equal, economic profit must be:
Select correct option:

Negative.
Positive.
Zero.
Indeterminate from the given information.

A market is said to be in equilibrium when:
Select correct option:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

More output could be produced with available resources if:
Select correct option:

Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.

A source of fluctuations in investment spending is:
Select correct option:

Changes in government expectations of future output growth.
Changes in household's expectations about future output growth.
Changes in household's expectations about future risk.
Changes in investor's expectations about future profits.

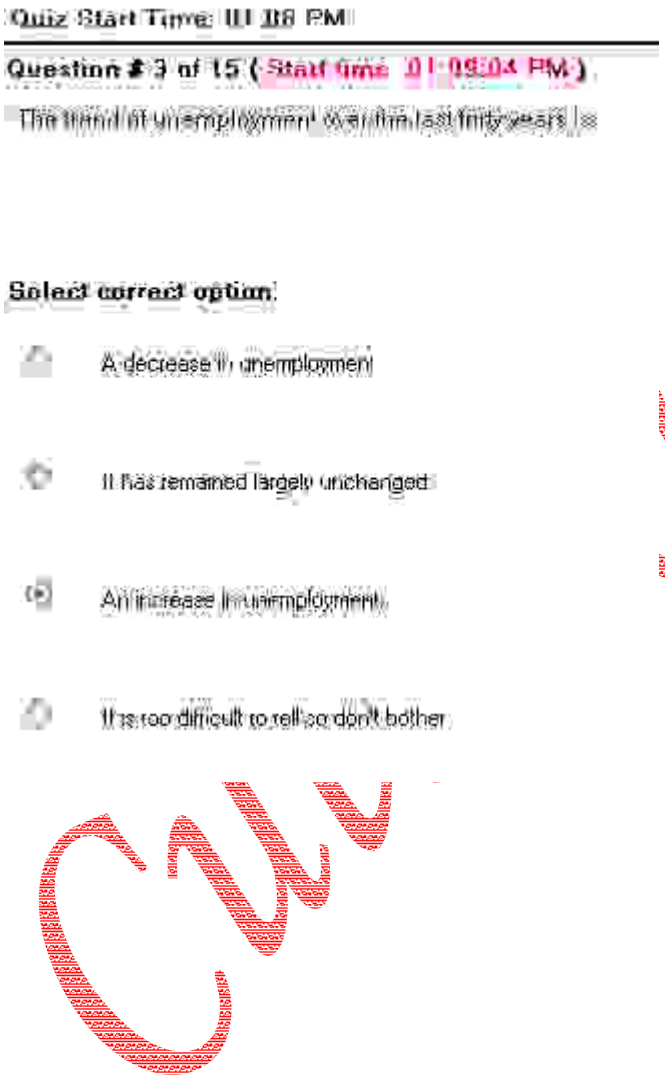
When producers are unable to meet market demand for the product, this results as:
Select correct option:

Surplus of goods
Market failure
Monopoly
Shortage of good

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The optimal point of consumption is that point where consumer surplus becomes:
Select correct option:

Zero.
Maximum.
Minimum.
Positive.



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Quiz Start Time: 01:05 PM

Question # 4 of 15 (Start time: 01:08:42 PM)

Normally the shape of production possibilities curve is:

Select correct option:

- Positive
- Convex
- Linear
- Concave

Quiz Start Time: 01:05 PM

Question # 5 of 15 (Start time: 01:10:38 PM)

Assume that the current market price is below the market-clearing level. We would expect

Select correct option:

- A surplus to accumulate.
- Downward pressure on the current market price.
- Upward pressure on the current market price.
- Lower production during the next time period.

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Quiz Start Time: 01:06 PM

Question # 6 of 15 (Start time: 01:11:31 PM)

Marginal cost is defined as

Select correct option:

The derivative of Variable Cost with respect to quantity produced

The derivative of Average Cost with respect to quantity produced.

The derivative of Total Cost with respect to quantity produced

The derivative of Average Variable Cost with respect to quantity produced

Quiz Start Time: 01:06 PM

Question # 7 of 15 (Start time: 01:13:00 PM)

If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by

Select correct option:

14%

8%

16%

20%

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Quiz Start Time: 01:06 PM

Question # 8 of 15 (Start time: 01:14:32 PM)

If there is an excess demand for loanable funds in the financial markets then:

Select correct option:

- Real interest rate will increase.
- Real interest rate will decrease.
- Output will be stagnant.
- Interest rate will be same.

Quiz Start Time: 01:08 PM

Question # 9 of 15 (Start time: 01:15:22 PM)

The marginal utility function of TU = 60Q - 4Q2 will be:

Select correct option:

- 60-8Q
- 60/160
- 60-4Q
- 60Q2 -4Q

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Quiz Start Time: 11:08 PM

Question # 10 of 15 (Start time: 11:18:22 PM)

A cost of producing one additional unit of good or service is known as

Select correct option:

- Average cost
- Variable cost
- Marginal cost
- Sunk cost

Quiz Start Time: 11:06 PM

Question # 11 of 15 (Start time: 11:18:01 PM)

In which case, total expenditure in an economy is not equal to total income

Select correct option:

- If total saving is larger than total investment
- If net exports are not zero
- If inventory investment is negative
- None of the given options- they are always equal

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Quiz Start Time: 01:08 PM

Question # 12 of 15 (Start time: 01:16:23 PM)

Which of the following might be considered to be a characteristic of a planned economy?

Select correct option:

- All income is completely evenly distributed
- Price is relatively unimportant as a means of allocating resources
- Goods and services produced reflect consumer sovereignty
- There is no incentive for people to work hard

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Quiz Start Time: 01:08 PM

Question # 12 of 15 (Start time: 01:18:23 PM)

Which of the following might be considered to be a characteristic of a planned economy?

Select correct option:

- All income is completely evenly distributed
- Price is relatively unimportant as a means of allocating resources
- Goods and services produced reflect consumer sovereignty
- There is no incentive for people to work hard

Quiz Start Time: 01:08 PM

Question # 13 of 15 (Start time: 01:20:43 PM)

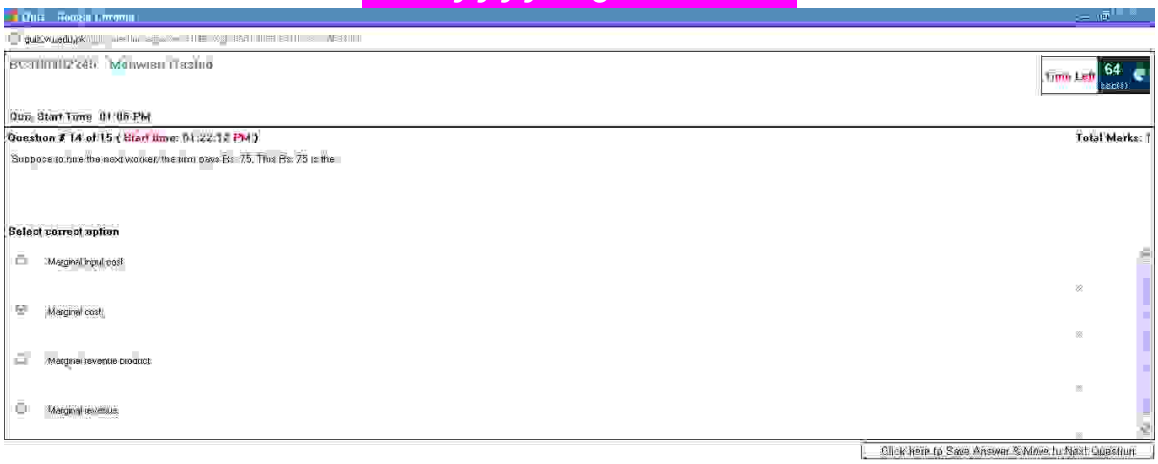
If there would be an increase in interest rate then

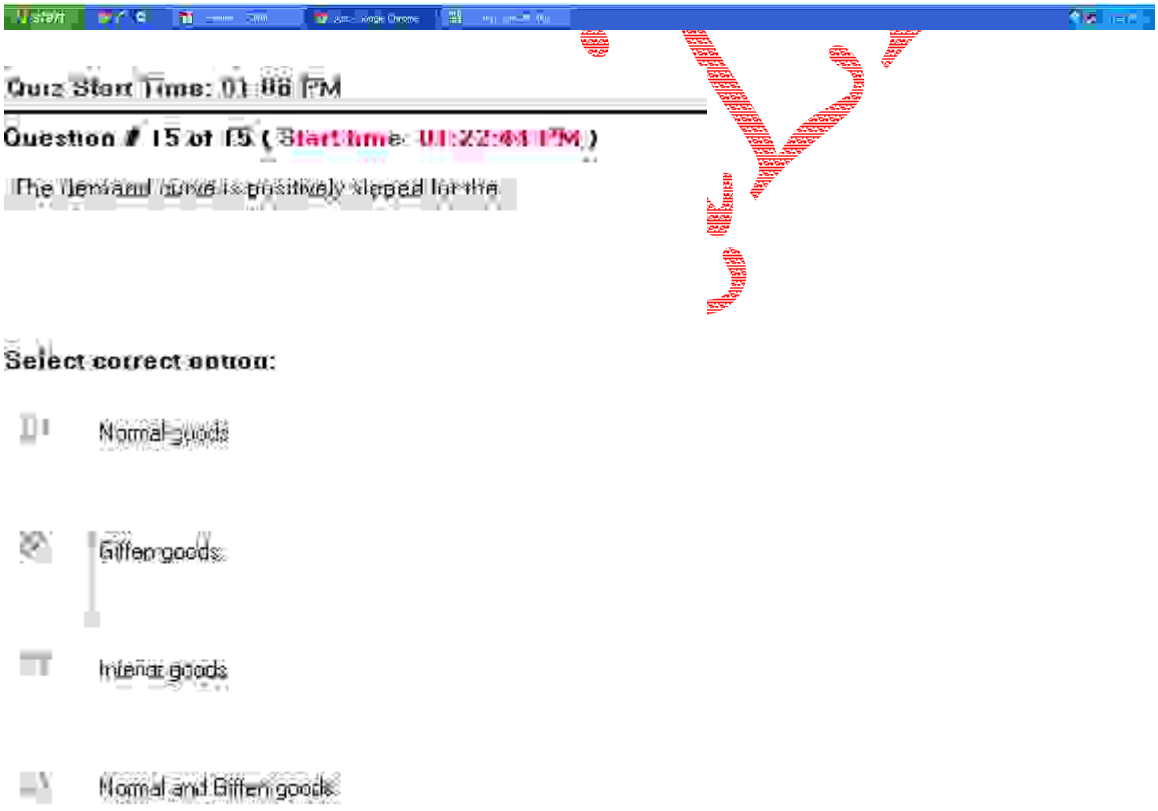
Select correct option:

- Savings will decrease
- Consumption will increase
- Consumption will decrease
- Marginal propensity of consume will increase

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Quiz Start Time: 01:38 PM

Question # 15 of 15 (Start time: 01:22:44 PM)

The demand curve is positively sloped for the

Select correct option:

- Normal goods
- Giffen goods
- Inferior goods
- Normal and Giffen goods

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Quiz Start Time: 01:52 PM

Question # 1 of 15 (Start time: 01:52:48 PM)

If the quantity demanded of mangoes exceeds the quantity supplied of mangoes

Select correct option:

- There is a surplus of mangoes
- Market forces will cause the price to fall
- Market forces will cause the price to rise
- The market is in equilibrium

Quiz Start Time: 01:52 PM

Question # 2 of 15 (Start time: 01:54:18 PM)

The traditional Phillips Curve shows the

Select correct option:

- Inverse relationship between the rate of inflation and the unemployment rate
- Inverse relationship between the nominal and the real wage
- Direct relationship between unemployment and demand-pull inflation
- Tradeoff between the short run and the long run

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Quiz Start Time: 01:52 PM

Question # 3 of 15 (Start time: 01:55:28 PM)

Which of the following do not affect a nation's balance of payment?

Select correct option:

- Foreign income
- The differential between domestic and foreign interest rates
- The real exchange rate
- Labor force

Quiz Start Time: 01:52 PM

Question # 4 of 15 (Start time: 01:56:10 PM)

Unemployment benefits may increase the unemployment rate because unemployment benefits

Select correct option:

- Reduce the cost of job search
- Encourage people to quit their jobs
- Reduce the benefits of additional job searching
- Enable people to quit searching for work

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Quiz Start Time: 01:52 PM

Question # 4 of 15 (Start time: 01:58:18 PM)

Unemployment benefits may increase the unemployment rate because unemployment benefits

Select correct option:

- Reduce the cost of job search
- Encourage people to quit their jobs
- Reduce the benefits of additional job searching
- Enable people to quit searching for work

Quiz Start Time: 01:52 PM

Question # 7 of 15 (Start time: 01:58:25 PM)

If there is an excess demand for loanable funds in the financial markets then

Select correct option:

- Real interest rate will increase
- Real interest rate will decrease
- Output will be stagnant
- Interest rate will be same

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Quiz Start Time: 01:52 PM

Question # 9 of 15 (Start time: 02:01:38 PM)

_____ is an accounting record of a country's transactions with rest of the world.

Select correct option:

- Balance of trade.
- Trade liberalization
- Balance of payment.
- None of the given.

Quiz Start Time: 01:52 PM

Question # 9 of 15 (Start time: 02:01:38 PM)

_____ is an accounting record of a country's transactions with rest of the world.

Select correct option:

- Balance of trade.
- Trade liberalization
- Balance of payment.
- None of the given.

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Quiz Start Time: 11:52 PM

Question # 10 of 15 (Start time: 12:02:55 PM)

The law of diminishing marginal utility indicates that the demand curve is

Select correct option:

- Vertical
- U-shaped
- Upward sloping
- Downward sloping

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Quiz Start Time: 01:52 PM

Question # 11 of 15 (Start time: 02:03:40 PM)

Suppose the consumption function is C = 1000 + 0.75Y. If Y = 100, then the amount of consumption is

Select correct option:

1750

1500

1075

1100

Quiz Start Time: 01:52 PM

Question # 12 of 15 (Start time: 02:04:53 PM)

Assume that the current market price is below the market clearing level. We would expect:

Select correct option:

A surplus to accumulate

Downward pressure on the current market price

Upward pressure on the current market price

Lower production during the next time period

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Quiz Start Time: 01:52 PM

Question # 13 of 15 (Start time: 02:05:35 PM)

The primary reason of decline in the value of money is

Select correct option:

- Deflation
- Inflation
- A rise in consumption
- Higher tax rate

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Quiz Start Time: 01:52 PM

Question # 14 of 15 (Start time: 02:07:01 PM)

The branch of economics that studies the behavior of individual households, firms and industries is known as

Select correct option:

- Normative economics
- Macroeconomics
- Positive economics
- Micro economics

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Quiz Start Time: 01:52 PM

Question # 15 of 15 (Start time: 02:07:58 PM)

Which school of thought holds that decreases in aggregate demand decrease real output but leave the price level largely unaffected?

Select correct option:

- Monetarism
- New Classical theory
- Real Business Cycle theory
- Keynesian

Quiz Start Time: 02:17 PM

Question # 1 of 15 (Start time: 02:17:07 PM)

Naima has just finished school and is waiting to report to his new job at the beginning of the month. Naima is considered to be

Select correct option:

- Structurally unemployed
- Frictionally unemployed
- Cyclically unemployed
- Employed

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Quiz Start Time: 02:17 PM

Question # 2 of 15 (Start time: 02:18:33 PM)

If the demand curve for a good is downward sloping, then the good

Select correct option:

- Must be normal
- Must be inferior
- Must be Giffen
- Can be normal or inferior

Quiz Start Time: 02:17 PM

Question # 3 of 15 (Start time: 02:18:55 PM)

The firm's demand for labor is

Select correct option:

- The marginal revenue product curve
- The marginal input cost curve
- The marginal cost curve
- Undetermined

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Quiz Start Time: 02:17 PM

Question # 4 of 15 (Start time: 02:20:33 PM)

Which of the following events shifts the short-run aggregate supply curve to the right?

Select correct option:

A decrease in the money supply

A drop in oil prices

An increase in government spending on military equipment

An increase in price expectations

Quiz Start Time: 02:17 PM

Question # 4 of 15 (Start time: 02:20:33 PM)

Which of the following events shifts the short-run aggregate supply curve to the right?

Select correct option:

A decrease in the money supply

A drop in oil prices

An increase in government spending on military equipment

An increase in price expectations

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Quiz Start Time: 02:17 PM

Question # 6 of 15 (Start time: 02:22:42 PM)

According to the quantity theory of money, if there is inflation, what must have caused it?

Select correct option:

- Increased velocity
- Lower output prices
- Higher oil prices
- An increase in the money supply

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Quiz Start Time: 02:17 PM

Question # 7 of 15 (Start time: 02:24:15 PM)

Q = c + dP represents equation of

Select correct option:

- Supply
- Demand
- Labor supply
- Budget line

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Quiz Start Time: 02:17 PM

Question # 8 of 15 (Start time: 02:25:43 PM)

A Demand Curve is price inelastic when

Select correct option:

- Changes in demand are proportionately smaller than those in price
- Changes in demand are proportionately greater than those in price
- Changes in demand are equal than those in price
- None of the given options

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Quiz Start Time: 02:17 PM

Question # 10 of 15 (Start time: 02:20:04 PM)

Endogenous growth theory was developed in

Select correct option:

1988

1965

1970

1950

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Quiz Start Time: 02:17 PM

Question # 11 of 15 (Start time: 02:28:58 PM)

Counting a product more than once in National Income measurement is known as:

Select correct option:

- Statistical error
- Counting error
- Double counting
- Mathematical bias

Quiz Start Time: 02:17 PM

Question # 12 of 15 (Start time: 02:30:14 PM)

Is GDP an accurate measure of a country's well being:

Select correct option:

- Yes, it is the best measure of national well being
- Yes, provided we use real GDP and not nominal GDP
- Uncertain, depending on whether GDP is rising or falling
- No, it is not

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Quiz Start Time: 02:17 PM

Question # 13 of 15 (Start time: 02:30:55 PM)

When producers are unable to meet market demand for the product this results as:

Select correct option:

- Surplus of goods
- Market failure
- Monopoly
- Shortage of good

Quiz Start Time: 02:17 PM

Question # 14 of 15 (Start time: 02:31:28 PM)

If the cost of parts of automobiles rises, then

Select correct option:

- The demand curve for automobiles shifts to the right
- The demand curve for automobiles shifts to the left
- The supply curve for automobiles shifts to the right
- The supply curve for automobiles shifts to the left

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Quiz Start Time: 03:27 PM

Question # 3 of 15 (Start time: 03:29:38 PM)

The slope of the saving function (or line) is the:

Select correct option:

- Average propensity to save
- Average propensity to consume
- Marginal propensity to save
- Marginal propensity to consume

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Quiz Start Time: 03:27 PM

Question # 4 of 15 (Start time: 03:30:04 PM)

GDP measures:

Select correct option:

- Expenditure on all final goods and services
- Total income of everyone in the economy
- Total value-added by all firms in the economy
- All of the given options

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Quiz Start Time: 03:27 PM

Question # 5 of 15 (Start time: 03:30:31 PM)

If the current market price is above the market clearing level, we would expect:

Select correct option:

- A shortage to accumulate
- A surplus to accumulate
- Upward pressure on the current market price
- Lower production during the next time period

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Quiz Start Time: 03:27 PM

Question # 6 of 15 (Start time: 03:32:02 PM)

[redacted]

Select correct option

- Positive
- Negative
- Constant
- One

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Quiz Start Time: 03:27 PM

Question # 7 of 15 (Start time: 03:38:28 PM)

The branch of economics that studies the entire economy, such topics as aggregate production, unemployment and inflation is called

Select correct option:

- Micro economics
- Managerial economics
- Macro economics
- Financial economics

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Quiz Start Time: 03:27 PM

Question # 8 of 15 (Start time: 03:34:52 PM)

Which of the following can be thought of as a barrier to entry?

Select correct option:

- Scale economies
- Patent
- Strategic actions by incumbent firms
- All of the given options are true

Cute Killer

Quiz Start Time: 03:27 PM

Question # 9 of 15 (Start time: 03:36:21 PM)

A normative economic statement

Select correct option:

- Is a statement of fact
- Is a hypothesis used to test economic theory
- Is a statement of what ought to be, not what is
- Is a statement of what will occur if certain assumptions are true

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Quiz Start Time: 03:27 PM

Question # 11 of 15 (Start time: 03:37:35 PM)

Profit is maximized when

Select correct option:

- Marginal revenue product is greater than marginal input cost
- Marginal revenue product equals marginal input cost
- Marginal revenue product is less than marginal input cost
- Output is maximized

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Quiz Start Time: 03:27 PM

Question # 10 of 15 (Start time: 03:37:35 PM)

Profit is maximized when

Select correct option:

- Marginal revenue product is greater than marginal input cost
- Marginal revenue product equals marginal input cost
- Marginal revenue product is less than marginal input cost
- Output is maximized

Quiz

Quiz Start Time: 03:27 PM

Question # 12 of 15 (Start time: 03:40:35 PM)

The minimum price that a government sets to support a desired commodity or service in a society is known as

Select correct option:

- Price ceiling
- Price rationing
- Price floor
- Price control

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Quiz Start Time: 03:27 PM

Question # 13 of 15 (Start time: 03:31 PM)

The study of economics basically focuses on:

Select correct option:

For whom resources are allocated to increase efficiency

How society spends the income of individuals

How scarce resources are allocated to fulfill society's goals

What scarce resources are used to produce goods and services

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Quiz Start Time: 03:27 PM

Question # 15 of 15 (Start time: 03:4 3:38 PM)

The price level in long run is determined by

Select correct option:

- Aggregate supply
- Aggregate demand
- The government
- Money supply

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Question No: 49 (Marks: 3)

What is meant by exchange rate? Also give example of exchange rate.

Answer:

EXCHANGE RATE:

Rate at which one currency may be converted into another. The exchange rate is used when simply converting one currency to another (such as for the purposes of travel to another country), or for engaging in speculation or trading in the foreign exchange market. There are a wide variety of factors which influence the exchange rate, such as interest rates, inflation, and the state of politics and the economy in each country.**also called** rate of exchange or foreign exchange rate or currency exchange rate.

EXAMPLE:

An exchange rate of 123 Japanese yen (JPY, ¥) to the United States dollar (USD, $) means that JPY 123 is worth the same as USD 1.

Question No: 50 (Marks: 3)

What is the reason of poverty in developing countries according to Prebisch-Singer hypothesis?

ANSWER:

POVERTY means the state of being poor; lack of the means of providing material needs or comforts.

According to Prebisch-Singer hypothesis following are the reason of poverty in developing countries:

- One of the reson for poverty is increasing population.
- Another reason **Lack of precious natural resources (like oil, gold, gas, iron, copper etc.)** was also cited by some as the reason for LICs' continued poverty.

Question No: 51 (Marks: 5)

According to the values given in the following table, calculate the injections at each level of output.

Output (Y)	Saving (S)	Gross Imports (M)	Gross investment (I)	Gross exports (X)	Govt. Expenditures (G)	Taxes (T)
650	80	80	104	97	116	10
700	90	80	119	97	116	10
750	100	80	130	97	116	10
800	110	80	139	97	116	10
900	120	80	146	97	116	10

(Marks: 1 for each)

ANSWER:

We know:

INJECTION=I+X+G

SO,

the injections at each level of output=

1-317

2-332

3-343

4-352

5-359

Question No: 52 (Marks: 5)

What are the major weaknesses of exogenous growth theory? Which theory was developed in against of exogenous growth theory?

ANSWER:

EXOGENOUS GROWTH THEORY:

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model is

a term used to sum up the contributions of various authors to a model of long-run economic growth
within the framework of neoclassical economics.
Exogenous growth theory suffered from three major weaknesses:
i. It could not explain why the gap between the poor and rich countries had widened (anticatch up),
ii. It could not explain why some countries in East Asia had apparently grown consistently on the back of higher saving rates, and
iii. It modeled technology as exogenous, and beyond the influence of policy.

PART B SOLUTION:

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a
response to criticism of the neo-classical growth model OR exogenous growth theory

Question No: 53 (Marks: 5)

Discuss the components on the assets and liabilities side of the balance sheet of a central bank.

ANSWER:
Following are the components on the assets and liabilities side of the balance sheet of a central bank

ASSET SIDE COMPONENTS:

- Loans to Govt Notes
- Forex reserves
- Loans to private sector

LIABILITY SIDE COMPONENTS:

- Notes, coins & currency in circulation
- Govt & commercial bank deposits
- Liquidity paper issued

Question No: 49 (Marks: 3)

Define balance of payment (BOP). How the BOP can be determined?

ANSWER:

THE BALANCE OF PAYMENTS (BOP):

BOP is an accounting record of a country's transactions with the rest of the world.
The balance of payments (or BOP) measures the payments that flow between any individual country
and all other countries. It is used to summarize all international economic transactions for that country
during a specific time period, usually a year.

PART B SOLUTION:

How the BOP can be determined?

IT CAN BE DETERMINED IN THE FOLLOWING WAY:

The BOP is determined by the country's exports and

imports of goods, services, and financial capital, as well as financial transfers. It reflects all payments
and liabilities to foreigners (debits) and all payments and obligations received from foreigners (credits).
Balance of payments is one of the major indicators of a country's status in international trade, with net
capital outflow.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

PERFECT ANSWER ON THIS LINK IS AVAILABLE SEE THIS(PG 9 AND PG 10)
http://www.ssc.wisc.edu/~ldrozd/my_files/102files/slides_9.pdf

Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **"Economic Deflation"**
Economic Deflation says When a country's national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.
The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.
However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devaluate or "devaluation".
Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.
A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness.

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

hese are the terms used to differentiate things like "wealth versus income" or "debt versus deficit."

That is, a "stock variable" is a variable measurable at one particular time (wealth); whereas, a "flow variable" is a variable measured after a prolonged amount of time retrospecting spending in the past "x" amount of time (income).

a) **Unemployment**
b) **Redundancies (job lay-offs)**
c) **Profits**
d) **A firm's stock market valuation (share price)**
e) **The value of property after a period of inflation**

(Marks: 1 for each)

ANSWER:

DEFINITION IS JST FOR CONCEPT NOT THE ANSWER.

These are the terms used to differentiate things like "wealth versus income" or "debt versus deficit."
That is, a "stock variable" is a variable measurable at one particular time (wealth); whereas, a "flow variable" is a variable measured after a prolonged amount of time retrospecting spending in the past "x" amount of time (income).

REQUIRED ANSWER:

FOLLOWING ARE THE STOCK VARIABLES:

- Unemployment
- A firm's stock market valuation (share price)
- The value of property after a period of inflation
-

FOLLOWING ARE THE FLOW VARIABLES:

- Redundancies (job lay-offs)
- Profits

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.
Ans:

World Bank has suggested following policies for the poor countries to grow,

Governance and administrative reforms:
To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.

Privatization of state-owned enterprises:
Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering form lack of competition, cost awareness and fear of bankruptcy.

Financial liberalization:
It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation

Deregulation involving dismantling of licensing systems and red-tape

Trade liberalization:
including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof

FDI liberalization:
To create a transparent, predictable environment for foreign investors to operate in.

apital account liberalization:
To remove controls on capital flows

(These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.)

Question No: 50 (Marks: 3)

Differentiate between international trade and international finance.

ANSWER:
By **international trade**, we mean the exchange of goods and services between different countries. International trade is the trade between two or more different countries. It is just the opposite of the trade that takes place within a country i.e. national trade.
Whereas **International finance** is concerned with, among other thing, the mobility of financial capital across
countries, and the problems and opportunities this mobility presents individual countries with. It would
not be too inaccurate (in present day context) to say that while international trade deals with the current
account, international finance deals with the capital account of the BOPs. That said, issues like the
choice of exchange rate regime and of modern-day balance of payments crises also fall firmly within the
purview of international finance.

Question No: 51 (Marks: 5)

Discuss the components on the assets and liabilities side of the balance sheet of a central bank.

ANSWER:
Following are the components on the assets and liabilities side of the balance sheet of a central bank

ASSET SIDE COMPONENTS:

- Loans to Govt Notes
- Forex reserves
- Loans to private sector

LIABILITY SIDE COMPONENTS:

- Notes, coins & currency in circulation
- Govt & commercial bank deposits

Liquidity paper issued

Question No: 53 (Marks: 5)

If y = Y / L, where, Y = Total GDP, L = Population, y = Per capita GDP then prove that Growth rate of per capita income = Growth rate of total output - Growth rate of population

ANSWER:

y = Y / L

Where,

• Y = Total GDP

• L = Population

• y = Per capita GDP

Taking log of both sides

• ln y = ln Y – ln L

Taking derivative *w.r.t.* time

• 1/y (dy/dt) = (dY/dt)/Y – (dL/dt)/L

gy = gY – gL

Growth rate of per capita income = Growth rate of total output - Growth rate of population

REFRENCE:

CHP NO 38 PAGE NO 168

Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

ANSWER:

Inflation is a situation in which there is a continuous rise in the general price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past.

Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

Question No: 50 (Marks: 3)

What are the reasons that poor countries remained poor?

Question No: 51 (Marks: 5)

Explain the difference between endogenous growth model and exogenous growth model.

Question No: 52 (Marks: 5)

EXOGENOUS GROWTH THEORY

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model is
a term used to sum up the contributions of various authors to a model of long-run economic growth
within the framework of neoclassical economics

ENDOGENOUS GROWTH THEORY

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a
response to criticism of the neo-classical growth model.
In neoclassical growth models, the long-run rate of growth is exogenously determined by assuming a
savings rate (the Solow model) or a rate of technical progress. This does not explain the origin of growth, which makes the neo-classical model appear very unrealistic. Endogenous growth theorists see
this as an over-simplification

Following table shows different stages of production of cloth. Calculate the value added at each stage of production. What is GDP by this approach?

Stage of production	Money value (Rs)	Value added at each stage (Rs)
Raw cotton	10.50	?
Cotton yarn	25.68	?
Coarse cloth	45.82	?
Finished cloth	55.66	?

ANSWER:

Stage of production	Money value (Rs)	Value added at each stage (Rs)
Raw cotton	10.50	10.50
Cotton yarn	25.68	15.18
Coarse cloth	45.82	20.14
Finished cloth	55.66	9.84

REFERENCE

METHODS OF MEASURING GDP

There are three equivalent ways of measuring GDP:
i. The product or value added method which sums the value added by all the productive entities in the economy;
ii. The expenditure method which sums up the value of all the "final goods" transactions taking place in the economy;
iii. The factor income method which sums up all the incomes earned by all the factors of production in the economy (rent for land, wages for labour, interest for capital, and equity returns for entrepreneurship).

Value added is the difference between the value of goods produced and the cost of materials and
supplies used in producing them. Value added consists of the wages, interest and profit components
added to the output by a firm. Value added is the difference between inputs and outputs e-g if a firm
spends Rs.500 making a good (inputs) and sells its product (output) for Rs.750, then value added is
Rs.250.

Question No: 53 (Marks: 5)

Discuss the equilibrium condition in money market. Explain this equilibrium condition with the help of diagram.

ANSWER= CHP NO 43

Question No: 49 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why? Discuss.

ANSWER:

Why Growth is an Important Macroeconomic Issue:

It is obvious why growth is an important macroeconomic issue. Every government aspires to deliver a
higher growth rate for the country. High growth rates means higher national income which means better
living standards on average, which in democracies, means happier electorates and therefore increased
chances of re-election for another term in office. However, while all countries might wish to achieve
high growth rates, in practice, only a handful have been able to convert the wish into reality.

Question No: 50 (Marks: 3)

What are the different borrowing options available to the government for reducing the fiscal deficit?

By borrowing locally (i.e. issuing bonds), foreign financing (including non-relpayable grants) or printing
money (i.e. borrowing from the central bank). The first of these methods is least inflationary while the last
one is most inflationary.

Question No: 52 (Marks: 5)

Differentiate between fixed exchange rate and floating exchange rate.

ANSWER:

Fixed exchange rate:

.A fixed exchange rate means the amount of currency received is set in advance.
A fixed exchange rate is based upon the government's view of the value of its currency as well as the monetary policy. It has advantages. Stability is one. Another is predictability. Businesses and individuals can plan their activities with the certainty of the value of money. A businessman shipping goods overseas knows the value in advance. A tourist travelling in other countries can budget knowing what his money will buy.

Floating exchange rates:

A floating exchange rate means that the rate is moving and the currency received depends on the time of the exchange
.The floating exchange rate, in its true form, allows the marketplace to set the rate. The forces of supply and demand determine the value of a currency. For example, when the US dollar is considered strong it will take more euros, the currency of most European countries, to buy. When the US dollar is considered weak or in decline the amount of euros needed to buy it will fall.

Question No: 53 (Marks: 5)

Some economists suggest "growth through trade strategy" to tackle the problem of poverty of under developed countries.

a) **What is the basic theme of this strategy?**
b) **Why this strategy is not so much successful?**
c) **What is the proposed solution presented to tackle the drawback of this strategy?**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.

Pakistani travelers traveling to the US.

Pakistani students paying for study in US universities.

profits repatriated to

US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

ANSWER:

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials.Ricardo argued that there is mutual benefit from trade (or exchange) even if one party **(e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)
A.

"Slope of the consumption function is less than 1".What is meant by this statement?

ANSWER:
When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope. The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

Following are the major macroeconomic variables involved in the determination of national income :

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or
price for the commodity being exchanged. The foreign exchange market is no different.
whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.
The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.
CONDITION:
Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.
The **main driving force** for foreign exchange market is the law of supply and

demand.

EXAMPLE:

US $-PAK RS Foregin exchange market

US $ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing
cotton and Japan better at producing, then this situation will always prevail.

Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

ANSWER:

Inflation is a situation in which there is a continuous rise in the general price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past.
Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

(Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

Philips Curve

W.A.Philips gave the idea of Keynes a formalized shape and draws the Philips curve stating inverse
relationship between unemployment and inflation rate.
Philips's views were consistent with the Keynesian views. The cost of reducing inflation is unemployment and the cost of reducing unemployment is inflation

DIAGRAM

For diagram take a look on chp#34 page no 149.

(I DON,T HV MICROSOFT WORD IN MY PC THATS Y GRPAH CAN,T BE DRAW HERE)

Question No: 53 (Marks: 5)

How crowding out of investment demand occur due to expansionary fiscal policy?

ANSWER CAN BE:

In economics, **crowding out** is any reduction in private consumption or investment that occurs because of an increase in government spending. If the increase in government spending is financed by a tax increase, the tax increase would tend to reduce private consumption. If instead the increase in government spending is not accompanied by a tax increase, government borrowing to finance the increased government spending would increase interest rates, leading to a reduction in private investment, although there is no empirical evidence that supports such interest rate effect on investment

1. Comments of current account in balance of payment 3 marks

ANSWER:

THE CURRENT ACCOUNT

The current account balance is essentially the trade balance (exports minus imports), but with net factor
receipts from abroad added.
If the exchange rate is fixed, then changes in reserves must mirror the combined balance on the current
and capital accounts in order to bring the overall BOPs to zero. If the exchange rate is floating, then
changes to reserves can remain zero, as the adjustment burden is borne by the exchange rate which
appreciates (depreciates) in response to a joint surplus (deficit) on the current and capital accounts.

REFRENCE FOR COMPLETE CONCEPT:

PARTS OF BOP

The BOPs can be divided into three parts:
i. Current account,
ii. Capital account and
iii. Changes to reserves

2. The reason of poverty in developing countries according Perbisch-Singer Hypothesis
(3 marks)

ANSWER:

POVERTY means the state of being poor; lack of the means of providing material needs or comforts.

According to Prebisch-Singer hypothesis following are the reason of poverty in developing countries:

- One of the reson for poverty is increasing population.
- Another reason **Lack of precious natural resources (like oil, gold, gas, iron, copper etc.)** was also cited by some as the reason for LICs' continued poverty.

3. Pull demand inflation, cost push inflation (5 marks)

ANSWER:

DEMAND PULL INFLATION:

The inflation resulting from an increase in aggregate demand is called **demand-pull inflation**. Such an inflation may arise from any individual factor that increases aggregate demand, but the main ones that generate *ongoing* increases in aggregate demand are :

Increases in the money supply

Increases in government purchases

Increases in the price level in the rest of the world

COST PUSH INFLATION:

Inflation can result from a decrease in aggregate supply. The two main sources of decrease in aggregate supply are

- An increase in wage rates
- An increase in the prices of raw materials

These sources of a decrease in aggregate supply operate by increasing costs, and the resulting inflation is called **cost-push inflation.**

4. **What are the comparative advantages between countries according Hechshcer-Ohlin? And criticisms against it.**

ANSWER:

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

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of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing
cotton and Japan better at producing, then this situation will always prevail

1.components of current account of BOPS:
ANSWER:

Following are the components:
1.GOODS
2.SERVICES
3.INCOME
4.CURRENT ACCOUNT.
(FOR COMPLETE UNDERSTANDING AND MORE COMPONANTS VISIT THIS LINK)
http://www.investopedia.com/articles/03/061803.asp

:
1**. Difference between capital deepening and capital widening(5 MARKS)**
ANSWER:

Capital deepening

is a term used in economics to describe an economy where capital per worker is increasing. It is an increase in the
capital intensity. Capital deepening is often measured by the capital stock per labour hour.Overall, the
economy will expand, and productivity per worker will increase. However, economic expansion will not
continue indefinitely through capital deepening alone. This is partly due to diminishing returns and wear
& tear

capital widening:

is a term used to describe the situation where capital stock is increasing at the
same rate as the labour force, thus capital per worker remains constant. The economy will expand in
terms of aggregate output, but productivity per worker will remain constant

2 .Difference between GNP and NNP:(5 MARKS)
ANSWER:
Gross National Product (GNP):
Gross national product (GNP) is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country. Thus the income earned by
Pakistani citizens working in the US would be included in Pakistan's GNP but excluded from

Pakistan's
GDP. Conversely, the income earned by a US citizen (individual or corporate) in Pakistan would be
included in Pakistan's GDP but excluded from Pakistan's GNP. Generally, GNP = GDP + net factor
income from abroad. The abbreviation for gross national product, which is the total market value of all
goods and services produced by the citizens of an economy during a given period of time, usually one
year. Gross national product often was once the federal government's official measure of how much
output our economy produces.

GNP = GDP + Net factor incomes from abroad

Net National Product (NNP):

Mathematically, national income is net national product (NNP). It is GNP adjusted for depreciation. In
words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers. The total market value of all final goods and
services produced by citizens of an economy during a given period of time, usually a year, after adjusting for the depreciation of capital. Net national product, abbreviated NNP, has the same relation to
net domestic product (NDP) as gross national product (GNP) has to gross domestic product (GDP). Net
national product also has the same relation to gross national product that net domestic product has to
gross domestic product. Like NDP, NNP is a measure of the net production in the economy.

NNP = GNP – Depreciation allowance

3. Explain Comparative advantage among contries according to Hechshcer-Ohlin. And criricism on it?

ANSWER:

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at

producing
cotton and Japan better at producing, then this situation will always prevail.

Q # 1 Difference between inflation and deflation? Marks 3
ANSWER:
Inflation is a situation in which there is a continuous rise in the general price level. WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past. Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

Q # 2 How the central banks plays its important role in order to control the activities of commercial banks? Marks 3
central bank, **reserve bank**, or **monetary authority** is a banking institution granted the exclusive privilege to lend a government its currency. Like a normal commercial bank, a central bank charges interest on the loans made to borrowers, primarily the government of whichever country the bank exists for, and to other commercial banks, typically as a 'lender of last resort'. However, a central bank is distinguished from a normal commercial bank because it has a monopoly on creating the currency of that nation, which is loaned to the government in the form of legal tender. It is a bank that can lend money to other banks in times of need. Its primary function is to provide the nation's money supply,

Q # 3 Difference between depreciation and appreciation of currency? Marks 5

ANSWER:

Depreciation:

This is a more or less permanent decrease in value or price. "More or less permanent" doesn't include
temporary, short-term drops in price that are common in many markets. It's only those price declines
that reflect a reduction in consumer satisfaction.While all sorts of stuff can depreciate in value, some of
the more common ones are capital, real estate, corporate stock, and money

APPRECIATION

This is a more or less permanent increase in value or price. "More or less permanent" doesn't include
temporary, short-term jumps in price that are common in many markets. Appreciation is only those

price increases that reflect greater consumer satisfaction and thus value. While all sorts of stuff can
appreciate in value, some of the more common ones are real estate, works of art, corporate stock, and
money.

Q # 4 what is meant by laffer curve? Also explain the shape of this curve? Marks 5

ANSWER:

The graphical inverted-U relation between tax rates and total tax collections by government is known as
Laffer curve. This curve is developed by economist Arthur Laffer; the Laffer curve formed a key
theoretical foundation for supply-side economics of President Reagan during the 1980s. It is based on
the notion that government collects zero revenue if the tax rate is 0% and if the tax rate is 100%. At a
100% tax rate no one has the incentive to work, produce, and earn income, so there is no income to tax.
As such, the optimum tax rate, in which government revenue is maximized, lies somewhere between 0%
and 100%. This generates a curve shaped like an inverted U, rising from zero to a peak, and then falling
back to zero. If the economy is operating to the right of the peak, then government revenue can be increased by decreasing the tax rate.

(AGAIN FOR DIAGRAM VISIT PAGE NO 175 OF CHP # 40)

A slope of consumption function is less than 1." What is meant by this statement?

ANSWER:

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope. The slope is less than 1 because not all the income is consumed some part of the income is saved.

Differentiate between Inflation and deflation. Marks3

ANSWER:

Inflation is a situation in which there is a continuous rise in the general price level. WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past. Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad

Question No: 49 (Marks: 3)

Define balance of payment (BOP). How the BOP can be determined?

Answer:

A BOP is a sheet in other words an account sheet which is an accounting record of all monetary transactions between a country and the rest of the world.

These transactions include

→ Payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

The BOP summarizes international transactions for a specific period, usually a year, and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:

Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.

Deficit items:

Uses of funds, such as for imports or to invest in foreign countries, are recorded as a negative or deficit item.

It can be determined if we see the things in both prespective.In other words it is a non-complicated way, lets assume that we have two countries Pakistan and united states and things are viewed from Pakistan point of view.

For this purpose we must now the market for foreign exchange. Foreign exchange in a Pakistani context means US $ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

Money demand Md increases with income levels.

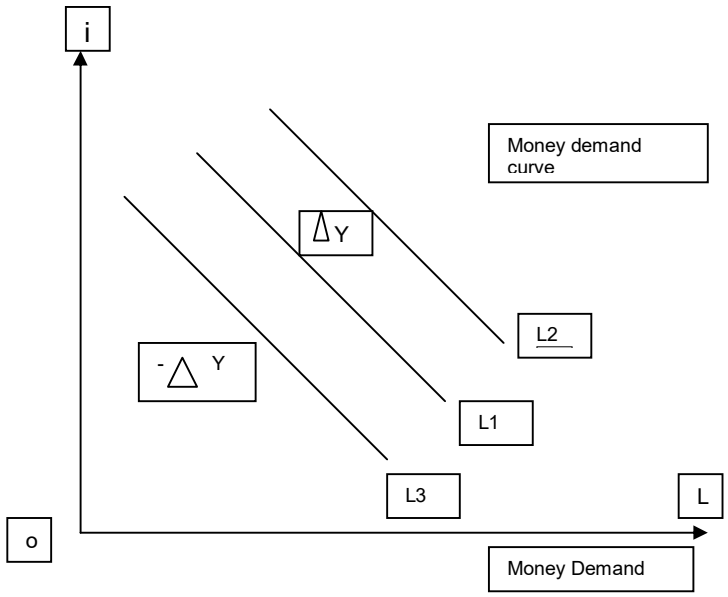
Money demand Md falls with interest rates.

In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.

So this implies to the demand of real money.

Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

As you can see from the diagram where money demand in on the x-axis and income is on the y-axis, and there are various level showns like L1,L2,L3.



Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **"Economic Deflation"**

Economic Deflation says When a country's national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.

The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.

However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devaluate or "devaluation".

Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.

A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness.

Competitiveness is simply defined as the real exchange rate RER, where RER = (Pf/Pd)*NER. Where

NER → Nominal Exchange rate

Pf → is the price level prevailing in the foreign country (US)
Pd→ is the price level prevailing in the home country (Pakistan).

The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative to the US), Pakistani exports will become less attractive in the international market. As a result, our exports will fall, and current account will go into deficit.

To fix this problem, the NER can be devalued so as to make our goods cheaper and competitive and it is to bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription.

Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)
+ → Incoming FDI, FPI or other private capital
- →Outgoing FDI, FPI or other private capital
+ → Borrowing, aid inflows

- →Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

a) **Unemployment→Stock**
b) **Redundancies (job lay-offs)→Flow**
c) **Profits→Flow**
d) **A firm's stock market valuation (share price)→Stock**
e) **The value of property after a period of inflation→Stock**

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.
Ans:

World Bank has suggested following policies for the poor countries to grow,

1. **Governance and administrative reforms:** To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.

2. **Privatization of state-owned enterprises:** Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering form lack of competition, cost awareness and fear of bankruptcy.

3. **Financial liberalization:** It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation

4. **Liberalization of prices, removal of subsidies**

5. **Deregulation involving dismantling of licensing systems and red-tape**

6. **Trade liberalization:** including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof

7. **FDI liberalization:** To create a transparent, predictable environment for foreign investors to operate in.

8. **Capital account liberalization:** To remove controls on capital flows

These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.

Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time.

Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

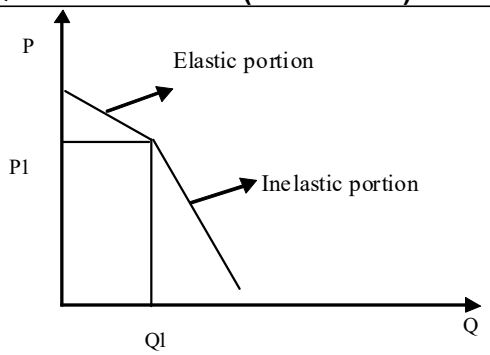
Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital. The official reserves account, which is part of the financial account, is the foreign

currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500
Notes and coins = Rs. 800
Credit to government = Rs. 200
Government and commercial bank deposits = Rs. 300
Credit to private sector = Rs. 700
Liquidity paper = Rs. 300

Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution: (this question solved by kash again)

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800
Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

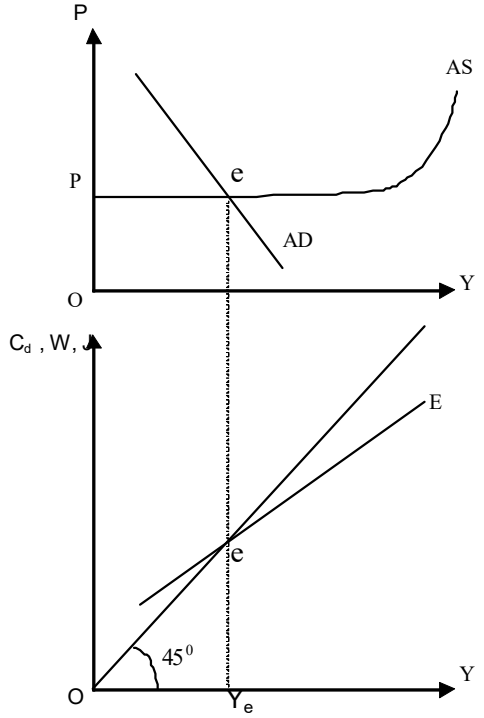
Question No: 55 (Marks: 3)

According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?

Answer No: 55

Keynes introduced demand-pull theory which emphasizes strongly the intervention of government into economy.
According to him economy may be boosted up by increasing expenditure. In the initial stage government can inject money in the form of investment and higher wage rate to the government employees. This will create higher demand which in return result in more investment by firms.

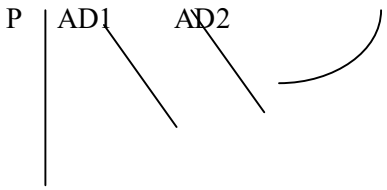
Question No: 56 (Marks: 5)

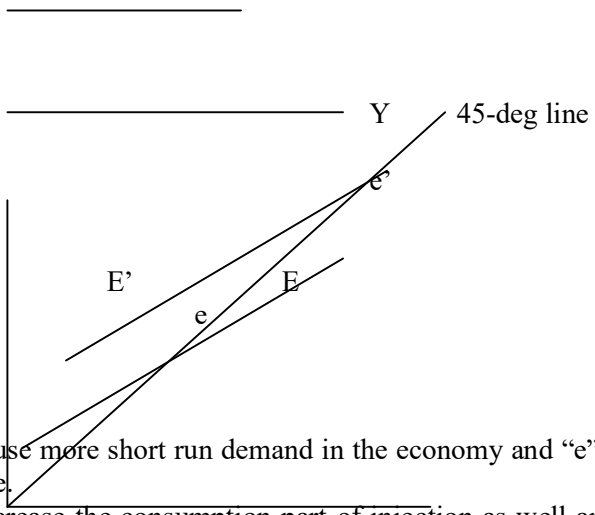


In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

a) If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.

Answer No: 56 (a)





It will cause more short run demand in the economy and "e" will move to the right in P-Y space.
It will increase the consumption part of injection as well and "e" will move upward and right in W.J-Y space.
AD will curve will move to right in P-Y space resulting increasing short run output "Y".

b) Is there any multiplier effect? How it works in this case?

Answer No:56 (b)

Yes, multiplier effect exists there.
Keynes multiplier 1/mps is the variable which determines the injection level to create an hypothetical desired output.

(Marks: 3+2)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Answer No: 57

These are also called IMF's Stabilization Policies. These were concluded from neoclassical economics, known since 1990.
The objective of IMF was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and
external balance (sustainable BOP and external debt position).
The approach was "stabilization" through "demand" management.

There are three tools of this policy as follows!

- Tight Monetary Policy
- Tight Fiscal Policy
- Devaluation

IMF Policies effected LIC's badly. There was a very high criticism on above said policies. The main points of criticism were as follows!

- **Short-term policy conflicts**
- **Devaluation** could raise prices of imports.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector.
- **Stabilization hurts the poor** expenditure cuts almost always fall partly on the social sectors.

Question No: 58 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

Answer No: 58 (a)

MV = PQ
100xV = 3 x 200
V = 600 / 100
V = 6

b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

Answer No: 58 (b)

MV = PQ
M x 4 = 5 x 100
M = 500 / 4
M = 125

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

Answer No: 58 (c)

MV = PQ
200 x 7 = P x 700
P = 1400 / 700
P = 2

d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

Answer No: 58 (d)

MV = PQ
150 x 8 = 3 x Q
Q = 1200 / 3
Q = 400

(Marks: 2.5 each)

Question No: 51 (Marks: 5)

Define foreign exchange markets. Also give some examples of foreign exchange markets.

Foreign exchange markets:
The foreign exchange market is a specific system of a country for a foreign trade and currency exchange. For example, if Pakistan imports a product from USA, Pakistan will buy dollars from rupees, so Pakistan exchanged its currency in foreign market.
Foreign markets depend on imports, exports and currency exchanged process. By these ways two countries exchange their markets.

Question No: 52 (Marks: 10)

What will be the role of government in the foreign exchange market in the following cases?

a. **If the supply curve of dollars shifts to the right due to rise in exports.**

if the supply curve of dollars shifts to the right due to rise in exports, the government role in foreign markets will be very good. Because due to rise in exports government will exchange money and they will gain high price against its currency. The government will increase its exports so it raises the price of its currency in foreign exchange.

b. **If the demand curve for dollars shifts to right due to rise in imports.**

If the demand curves for dollars shifts to right due to rise in imports, the government should decrease the imports rate to save the currency from falling its price. Basically rise in imports decreases the price of currency in foreign exchange markets. So government will slow down the imports and will try to increase its own products to complete the necessary requirement of the country.
(Marks:5+5)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Fiscal policy:
Fiscal policy is basically a government policy for expenses, imports, exports of goods, benefits from unemployment, interest on debts etc.

Expansionary fiscal policy:
When there is an increase in government spending, there will be more interest rate of bank loan which government has borrowed for spending.

Contractionary fiscal policy:
In this policy the aggregate demand rises due to increase in unemployment rate of country. Unemployment rise the government expenditures.
(Marks: 2+4+4)

Question No: 54 (Marks: 10)

A. **If there is a gradual increase in the saving rate over time, would this lead to sustained economic growth? Give your answer with brief explanation.**

Difinetly, it will increase economic growth rate. As we save more and more money or goods from spendings. Our economical position becomes good. If we have much more savings we can inverst it in a good business or production. This savings will produce more goods and and may be more people will be employed in this proccess. So our counrty will develop gradually. By this way we will be able top increase our growth rate economically.

B. If this is true, why do people not increase their rate of saving?

Some times People are afraid because of decrease in saving rate and from low exchange rate. They don't put their money in banks. And they sometimes don't invest. For a good economical grwoth extra time is required which more people don't want to wait. Sometimes the savings rate from banks is too low.

C. If there is a higher participation rate and GDP per capita rises, would output per worker also rise? Give your answer with brief explanation.

Yes, because when the rate of GDP per capita rises, there will be more and more chances for employment and the life of people will become standard. They will increase the salaries and wages of workers. By this way the workers will be motivated and they will produce more output.

(Marks:4+3+3)

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.

Pakistani travelers traveling to the US.

Pakistani students paying for study in US universities.

profits repatriated to

US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials.Ricardo argued that there is mutual benefit from trade (or exchange) even if one party **(e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. **"Slope of the consumption function is less than 1".What is meant by this statement?**

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different.

whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US $-PAK RS Foregin exchange market
US $ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by

people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

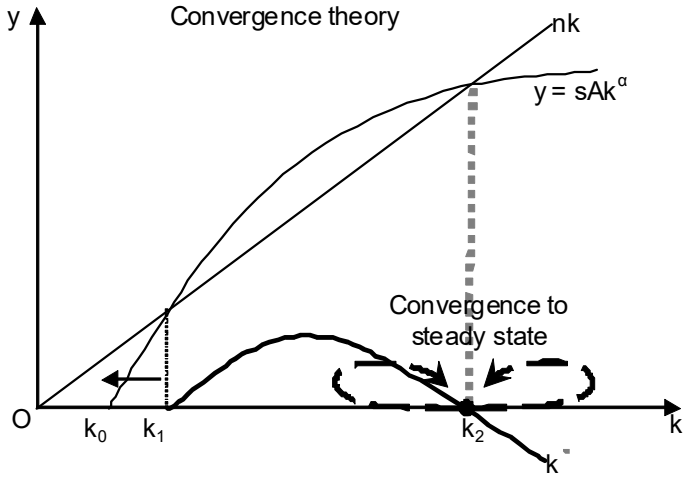
Question No: 52 (Marks: 10)

A. **What conclusions are derived from exogenous growth theory?**

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.



(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contactionary Fiscal Policy	**Expansionary Fiscal Policy**
In conactionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor**: decrease in expenditure always badly effects the poor which can then cause political instability.



Rana Abubakar Khan

If you want to learn computer programming then contact with me

truefriendlion@gmail.com

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ECO401 FINAL TERM PAPER SHARED BY STUDENT

ON FEBRUARY 20, 2018 AT 8:29PM

> My today paper ECO 401. 24 McQ 6 question of 5 marks. And 6 question of 3 marks. Mostly McQ r solving. And long question from 1. lack of growth which is big microeconomics issue.2.keynesian view . 3 actual and potential GDB. 4 fixed cost . 5 collusive and non collusive oligopoly 6. First dgree price discrimination 7. Per capital GDB. 8 calculate average propensity to save.

ECO401 Economics Paper 27-Feb-2017 at 11:00 AM

Complete Subjective, all questions. There was 40 mcqs and 10 subjective questions below.
Q1: What is difference between Inflation and deflation?
Q2: What is slope of marginal revenue curve? Explain with the help of graph.
Q3: What is difference between Real GDP and Nominal GDP?
Q4: Calculate rate of unemployment. Data was given.
Q5: How monopolist maintains its monopoly? Discuss.
Q6: Write flaws of grosss domestic product.
Q7: Write Two approaches of profit-maximization.
Q8: Write about Price Discrimination.
Q9: What is Cost Push Inflation and Demand-pull inflation?
Q10: What is a Saving Function? Write its equation.
- Mcqs were from past papers mostly and some related to definitions.
Prepare this Golden File, its all mcqs was in the paper.



ECO401 FINAL TERM PAPER SHARED BY STUDENT

MANO BILI ON FEBRUARY 28, 2017 AT 4:00PM

1. Characterstics of monopoly market structure.
2. Capital widening.
3. Low investment and uneployement in veiw of great depression.
4. Pure inflation Explain with example.
5. Residential and non residential construction.
6. purchasing power parity.
7. Find marginal revenue data was given.
8. What is meant by marginal disutility of wrork.
9. calculate consumption
10. average demand

ECO401 FINAL TERM PAPER SHARED BY STUDENT

XAIB ON MARCH 4, 2017 AT 4:02AM

ECO 401
MCQ
1. Suppose a firm produces 5 units of output and bears Rs.50 for variable cost and Rs.100 for fixed cost, total cost of firm will be:
2. For price making firm demand curve is

Short Question.

1. How a monopolist can maintain the high price even in the long run?
2. How a monopolist can retain its monopoly?
3. Define variable cost with examples?

ECO401 FINAL TERM PAPER SHARED BY STUDENT

AHMED EHSAN ON MARCH 5, 2017 AT 2:22AM

ECO401 Current Final Papers
Differentiate between Actual GDP and Potential GDP.
(Marks: 3)
Differentiate between international trade and international finance.
(Marks: 3)
Calculate the multiplier by using the marginal propensity to consume for MPC =1, MPC =0.90 and MPC



=0.67. (Calculate for all three)
(Marks: 3)
Differentiate between risk and uncertainty.
(Marks: 3)
Keeping in view the ×Keynesian paradox of thrift ×Explain what is the effect of savings on consumption, output and investment.
(Marks: 5)
Prepare a Balance Sheet from the given data. (6 items were given)
(Marks: 5)
Define and explain the main resources which are needed in any kind of production.
(Marks: 5)
Differentiate between ×Appreciation and Depreciation.
(Marks: 5)
Eco401
differentiate between real gdp and nominal gdp?
differentiate between shape of phillip curve in different cases?
table was given with different situations and we have to find either consumption rise or fall?
table is given and we have to find value added in each case.
numerical question of finding profit where output Q is given
write down conditions for product discrimination??
mcqs were tooo easy...some are conceptual about shape of graphs in different cases
ECO401 ECONOMICS PAPER 27-FEB-2017 AT 11:00 AM

Complete Subjective, all questions. There was 40 mcqs and 10 subjective questions below.
Q1: What is difference between Inflation and deflation?
Q2: What is slope of marginal revenue curve? Explain with the help of graph.
Q3: What is difference between Real GDP and Nominal GDP?
Q4: Calculate rate of unemployment. Data was given.
Q5: How monopolist maintains its monopoly? Discuss.
Q6: Write flaws of grosss domestic product.
Q7: Write Two approaches of profit-maximization.
Q8: Write about Price Discrimination.
Q9: What is Cost Push Inflation and Demand-pull inflation?
Q10: What is a Saving Function? Write its equation.
- Mcqs were from past papers mostly and some related to definitions.
Prepare this Golden File, its all mcqs was in the paper.



ECO401 FINAL TERM PAPER SHARED BY STUDENT

AHMED EHSAN ON MARCH 5, 2017 AT 1:51PM

Eco 401

40 mcq conceptual 5 short 5 long

short

1. Marginal revenue curve + graph

2. Devaluation and revaluation difference

3. find total average cost date was given

4. marginal disunity workers

5. GDP Deflator find

Long

1. perfact competitive market structure characteritics

2. Nominal GDP FIND

3. Gross aggregate spending find

4. Gross income per capital find

5. Present value Pv find

5th March,2017 - 11:00 Am - 1:00pm

ECO401 FINAL TERM PAPER SHARED BY STUDENT

SAM ON AUGUST 20, 2016 AT 3:23PM

Today paper of Eco401

1) Explain second degree price discrimination with the help of an example. (3 Marks)

2) Differentiate between personal income and disposable personal income. 3 Marks

3) Differentiate between underemployment and disguised unemployment. 3 Marks



4) Briefly discuss the concept of capital deepening in the context of economic growth. 3 Marks

5) There are certain conditions for price discrimination to hold. Discuss those conditions. 5 Marks

6) Suppose firm A produces steel from raw iron and sells it for Rs.200,000 to firm B. Firm B buys this steel and then processes it to produce a car body of worth Rs.400,000. Firm C buys this car body, adds the other parts and sells the complete car for Rs.600,000. From this information, calculate the gross domestic product by value added method. 5 Marks

7) Let an economy is characterized by the following equation:

AD = Y = C + I + G + (X-M)

Where, C = 500 + 0.90Y, G = 300, I = 200, M = 150, X = 250

Find out the equilibrium output level. 5 Marks

8) Let an economy is characterized by following information:

Saving = -10 + 0.2Y, Imports = 70, Investment = 100 and Exports = 70

Calculate the equilibrium level of output by using leakages-injections approach. 5 Marks

9) Give any five examples of foreign exchange markets. 5 Marks



ECO401 FINAL TERM PAPER SHARED BY STUDENT

ON AUGUST 22, 2016 AT 10:21PM

ECO 401 FINAL TERM SUBJECTIVES
- WHAT IS THE DIFFERENCE BETWEEN DISCOUNTED RATE AND DISCOUNTing
- FIND THE CONSUMPTION LEVEL OF THE C FUNCTION...inputs and output level (y) was given
- describe the characteristics of monopoly market structure
- prove that GDP per capita income and total population and total output equal growth per capita GDP and growth total population and output (given in the lecture 3

image: http://www.virtualinspire.com/images/smilies/af.gif

- differentiate between cost push inflation and demand-pull inflation with the help of examples
- if multiplier is 1.20 what will be the value of marginal propensity to consume
- a machine is bought...earns 100 million in first year, 200 million in second year and 300 million in third and the scrap output is 100 million...find the present value of machine with 5% discounted rate after 3 years.
- most mcq's were from past papers ...overall it wasnt that hard

ECO401 FINAL TERM PAPER SHARED BY STUDENT

SABIR KHAN ON AUGUST 29, 2016 AT 4:01PM

my today paper question of ECO 401

short question

Qno:1 Discuss the relationship between monopology power and price elasticity of demand . marks = 3

Qno:2 Discuss different method for measurment of gross domestic product ?
marks = 3

Qno:3 difference between underemployment and disguised un employment ?
marks = 3

Qno:4 Define exchange rate with example ? marks = 3

long questions ?



Qno:1 How a monopolist retain its monopology discuss ? marks = 5

Qn: 2 Recall the equation quantity theory of money calculate the missing figure in each of the following cases .

Money supply M = 100 price p = 3 and out put Q = 200
calculate missing value ?

Qno:3 And one is the same question of 5 marks which asim shared before this in this discussion and the question about " a firm have iron steel "

i shared this because i want that it help you a lot in your paper because i study only the question which asim shared and among those questions two already include in my paper if you people study all these questions and the other question which asim shared i think you get all the short and long questions so go a head i wish you best of luck

ECO 401 CURRENT PAPER HELD ON 27/FEB/2016 TIME 10:30-12:30...

Total Marks Of 80.
MCQ'S are Of 40 marks.
5 Question of Marks 3. MCQ's are from past papers.
5 Question of Marks 5.
Briefly Describe Below.
Below Question's having wastage of marks(3).
Q1. Explain the shape of aggregate demand curve with the help of graph?
Q2. How we define imports and exports in macroeconomics?
Q3. Briefly discuss the concept of capital deepening in the context of economic growth?
Q4. Provide any three principle of taxation?
Q5. On what factors, the slop of IS curve depends?
Now Below Question's having wastage of marks(5).
Q1. World bank suggests some structural reform policies for the poor countries to grow. Discuss any 5 of them?
Q2. Define Philips curve. Explain the shape of this curve with the help of graph?
Q3. Why is there unemployment according to Classical's and how it can be eliminated?
Q4. Some economists suggest "growth through trade"strategy to tackle the poverty problem of developing countries. Discuss this strategy has not become successful?
Q5. Advertising is a major way of non-price competition among the oligopolistic firms but economists debate quite a lot whether advertising itself is desirable or not desirable as regard to public interests. keep in view this statement, highlight any 5 disadvantages of advertising?



ECO401 FINAL TERM PAPER SHARED BY STUDENT

CHAUDHARY ON FEBRUARY 29, 2016 AT 7:28PM

Assalamualaikum. Subjective questions in ECO401 paper, which was held today, were as follows...

1. Underemployment vs Disguised employment
2. Deflation vs. Inflation
3. International Trade vs. International Finance
4. On what basis country gain in trade?
5. Differentiate Monetary components of money supply M0, M1, M2
6. Find MPC. Where multiplier=1.18
7. Find opportunity cost of producing 1 unit of Cotton in USA & UK. Values provided were:
    1. Cotton: 40 units in USA, 30 Units in UK
    2. Food: 60 units in USA, 20 units in UK
8. According to classical school of thoughts, what will be the impact of increase in Aggregate Demand. Give a graphical representation?
9. According to Keynes, what will happen if there is an excess supply of labor in market?
10. Find per Capita production function using Cobb Douglas Production Function.

ECO401 FINAL TERM PAPER SHARED BY STUDENT

ON FEBRUARY 29, 2016 AT 10:52PM

11. Eco401 KA aj waly paper main ya ya swl ay han frnds or han curve wala topic b kr lena mre dost ko curve with diagram waly qustion ay thy
    Q.1 On what feature steady state growth rate of real gross domestic product depends?
    Q.2 when does the real wages unemployment occur in an economy?
    Q.3 what will be the value of marginal product of labor perfectly competitive market?
    Q.4 mentions the components of current account in the balance of payment?
    Q.5 Differ
    Q.5 Differentiate between fiscal policy and monetary policy?
    Q.6 Briefly discuses the speculative motive of holding money?
    Q.7 Calculate the reserve requirement ratio (RR) of a bank if money multiplies is .98 ?



ECO401 FINAL TERM PAPER SHARED BY STUDENT

SAMRA TARIQ ON AUGUST 22, 2015 AT 1:48PM

My today's ECO401 paper:

Total Marks: 89

Total Qs: 65

Total MCQs: 58

The subjective questions are as follows:

1. explain the concept of capital deepening in the context of economic growth (3 marks)

2. how do we measure inflation rate? (3 marks)

3. components were given; had to identify withdrawals and injections (5 marks)

4. calculate tax rate; MPC and k were given (5 marks)

5.calculate MPC; tax rate and k were given (5 marks)

6. calculate APS; disposable income and savings were given (5 marks)

7. calculate S, using withdrawals and injections approach, values of C, I, T, G, X, M were given (5 marks)

Hope it will help those who still have to attempt ECO401 paper



ECO401 FINAL TERM PAPER SHARED BY STUDENT

ON AUGUST 22, 2014 AT 11:19PM

TODAY PAPER OF ECO401 AT 10 AM IN UAE OVERSEAS STUDENT

Question no: 47 Identify the factors which could cause a document shift of the LM curve? (3 marks)

Question no: 48 Differentiate between demand pull inflation and cost pull inflation?? (3 marks)

Question no: 49 If marginal propensity to save (MPS) for a hyporhetical economy is 0.75 then calculate the value of multiplier. (Note step wise calculation is required) (3 marks).

Question no:50 Explain Classical views about the unemployment as a cause of great depression?? (3 marks)

Question no :51 yadd ni bhool gea

Question no: 52

	Consumer spend C	Investment spend I	New exports NX
700	500	150	20
750	540	150	20
800	580	150	20
850	620	150	20
900	600	150	20

„„„……Calculate the total aggregiate spending in the economy?? (5 marks)

Question no: 53 Explain the converge theorey in the given graph?? (lesson 39 and page no: 167) (5 marks)

Question no: 54 Identify the things that determine comparative advantage among countries according to Hechshcer-ohlin? What is the critism against their argument? (5 marks)

Question no : 55 Assume that the reserve requirement ratio Crr inute bank UBL is 150% and banks intial deposits is RS2500

(A) By using informal make initial balance sheets of UBL

(B) Calculate the money multiplier (5 marks)



ECO401 FT SPRING 2014

Total marks: 80

MCQs: 46 (from past papers + handouts + conceptual)

4 Questions of 3 marks

1) What are the basic functions of money?
2) Differentiate between underemployment and disguised unemployment
3) The Classical Model failed after the 1930s. What are the reasons of the failures of Classical Model?
4) Why balance of payments (BOP) crisis are very serious for any country?

5 Questions of 5 marks

1) Assume that the reserve requirement ratio (rr) of UBL bank is 15% and bank's initial deposits is Rs. 2500
   (A) By using informal make initial balance sheets of UBL
   (B) Calculate the money multiplier

2) Make balance sheet from the following details
   Loans = 60, Reserves = 50, Deposits = 110.
   If firm A put Rs. 50 in the bank, what will be the new balance sheet?

3) Which of the following are stocks and which are flows?
   a) Unemployment.
   b) Redundancies (job lay-offs).
   c) Profits.
   d) A firm's stock market valuation (share price).
   e) The value of property after a period of inflation.

4) Which of the following are net injections, net withdrawals or neither
   a) The general public deposits more money in banks.
   b) People draw on their savings to finance holiday trips abroad.
   c) People draw on their savings to finance holidays within Pakistan.
   d) The government runs a budget deficit (spends more than it receives in tax revenues) and finances it by borrowing from the general public.
   e) The government runs a budget deficit and finances it by printing more money.

5) Briefly write about the different types of taxes imposed by the government.



ECO401 FINAL TERM PAPER SHARED BY STUDENT

IFTIKHAR MUGHAL ON AUGUST 26, 2014 AT 10:01AM

46 MCQs & Following long questions today:

Define the concept of exchange rate. Also give example of exchange rate.

When does the externality exist? Discuss.

Identify the major macroeconomic variables involved in the determination of national income.

How the central bank plays its role in order to control the activities of commercial banks?

The above figure shows the equilibrium in the labor market where labor demand and labor supply is equal. Suppose the demand for labor decreases, then what will happen to the demand curve and equilibrium condition according to Classicals? How the equilibrium will be restored?

Following are the items of balance sheet of a bank:

Loans = 80

Deposits = 100

Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

Explain the difference between current account and capital account.

Country	Commodity	Amount that can be produced in 1 year
	Cotton	40 units
	Food	60 units
USA		
	Cotton	30 units
	Food	20 units
UK		

From the information given above, calculate:

a) Opportunity cost of producing 1 unit of cotton in USA.



b) Opportunity cost of producing 1 unit of food in USA.

If the value of multiplier is 1.45 then calculate the value of marginal propensity to save (MPS).

Note: Step wise calculation is required.

ECO401- Final Term

Subjective

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Current Paper 20 July 2013

What is meant by non price competition?

Non price competition means competition amongst the firms based on factors other than price, e.g. advertising expenditure, product differentiation etc

What is meant by exchange rate? Also give example of exchange rate

The price of one country's currency expressed in another country's currency. In other words, the rate at which one currency can be exchanged for another.

For example, the higher the exchange rate for one Dollar in terms of one r=Rupee, the lower the relative value of the Rupee

Exchange rate (also known as the foreign-exchange rate, forex rate or FX rate)

Why government needs to revalue its currency?

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Revaluation of Currency is the act of increasing the price (exchange rate) of one nation's currency in terms of other currencies. Government revalues its currency to raise the price of the country's exports and lower the price of foreign imports.

Procedure for revaluation is for the government to buy the nation's currency and/or sell foreign currencies through the foreign exchange market.

Write the key variables for macro economic model

The key variables for a macroeconomic model are:
Y = Income
C = Consumption
S = Savings
I = Investment
T = Taxes
G = Government Expenditures
M = Imports
X = Exports

Circular flow of goods and income for firms and households

Circular flow of income describes the movement of money throughout the economy between producers and consumers. It is a continuous flow of production, income and expenditures. Circular flow of income producers receive the amount what consumers spend. All expenditures from consumers/individuals become the income of the producers, and the expenditures of the producers become the income of the consumers/individuals.

What is the reason of poverty in developing countries according to Prebisch-Singer hypothesis? 3 - Marks

Reason of poverty in developing countries according to Prebisch-Singer hypothesis

- They were stuck in the production of primary products
- Lack of human, social and public capital
- Very fast rising populations
- Lack of natural resources (like oil, gold, gas, iron, copper etc.)

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Discuss the components on the assets and liabilities side of the balance sheet of a central bank

Assets side of SBP's balance sheet,
(1) The country's foreign exchange reserves (foreign currencies, gold and silver reserves; either held domestically or invested abroad)
(2) Credit to government: this would include any SBP lending to government, including in the form of any outstanding (i.e. yet to mature) treasury bonds and bills lying with the SBP
(3) Credit to banks: this would include any advances (another name for loans) extended by SBP to commercial banks.
Liabilities side of SBP's balance sheet,
4) Notes and coins in circulation (i.e. M0). Note that for a currency-issuer (SBP in our case), the currency is a liability, not an asset;
(5) Government or banks' deposits: these would include any positive account6 balances held by commercial banks and/or the government;
(6) Outstanding liquidity paper issued: this would include any bills issued by the central bank for the purpose of mopping up liquidity from the financial system.

PAST SUBJECTIVE

Why Marginal Revenue and price are equal under perfect competition?

In perfect competition a firm that changes the quantity they sell does not affect price, therefore marginal revenue is equal to price.

On what factors steady state growth rate of real GDP depends? (3)

The steady-state growth rate of real GDP depends on n and t, the exogenous rates of growth of population and technology

When does real wage unemployment occur in an economy? (3)

Classical or real-wage unemployment occurs when real wages for a job are set above the market-clearing level. This is often as a result of government intervention, as with the minimum wage, or unions

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MPC = 0.84 and tax rate = 0.27 then find tax-adjusted multiplier

Tax multiplier = 1/ (1- MPC (1 – t))

Tax multiplier = 1/ (1- 0.84 (1 – 0.27))

Tax multiplier = 1/ (0.16 (0.73)

Tax multiplier = 1/ 0.1168

Tax multiplier = 8.57

Difference between Residential Investment and Inventory Investment

Residential investment includes the purchase of new housing both by people who plan to live in it themselves and by landlords who plan to rent it to others.

Inventory investment, the goods that businesses put aside in storage, is at the same time negligible and of great significance.

Fiscal policy under flexible exchange rate

With flexible exchange rates, the output level is determined in the money market where the interest rate is set equal to the world interest rate. Any change in government policy will only affect the exchange rate.

Make balance sheet of central bank

Balance sheet of SBP

Balance sheet of SBP	
Assets	**Liabilities**
Forex reserves	Notes, coins & currency in circulation: M0
Loans/Credit to Govt	Govt & commercial bank deposits
Loans/Credit to private sector	Liquidity paper issued

Discuss the concept of accelerator in your own words

The **accelerator** is a reverse concept of multiplier which formalizes the investment response to output or income changes in an economy. When an economy begins to recover from a slump, investment can rise very rapidly and, in percentage terms, the rise in investment may be several times the rise in income. Since investment is an injection into the circular flow of income, these

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changes in investment will cause multiplied changes in income and thus heighten a boom or deepen a recession.

The formula for the accelerator is $\alpha = I/(\Delta Y)$, or $(\Delta K)/(\Delta Y)$

Define fiscal policy

The Government income and expenditures policy is known as fiscal policy

Differentiate between expansionary and contractionary fiscal policy

Expansionary fiscal policy:

An increase in government spending and decrease in taxes is called expansionary fiscal policy. According to policy higher government spending /decrease tax will increase aggregate demand.

Its simply the increase in government spending and reduce taxes.

Contractionary fiscal policy

A decrease in government spending and increase in taxes is called contractionary fiscal policy.

An active policy tries to stabilize output by using monetary and/or fiscal policy. A passive policy does not.

Its simply the increase in taxes and reduce government spending

Question No: 49 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why? Discuss.

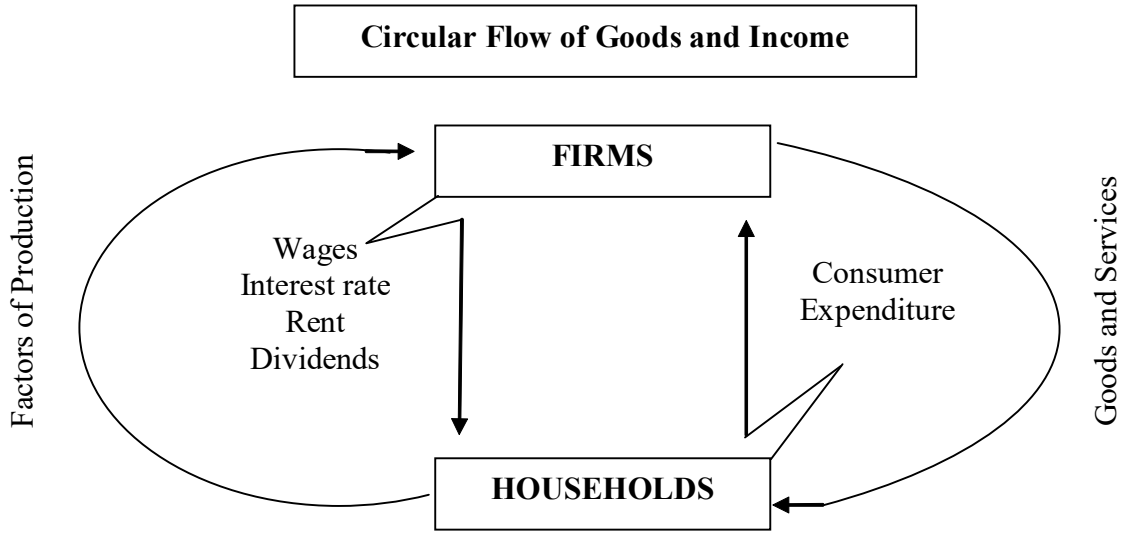
Growth is an important macroeconomics issue because every country wants to achieve higher growth rate. Higher growth rate indicates the better living standards and high national income.

Growth can be attained through trade e.g. a developing country who have specialization in a good and also have comparative advantage. By exporting these goods developing country can increase its national income and also attract foreign investment.

Question No: 52 (Marks: 5)

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Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.



Circular flow of income describes the movement of money throughout the economy between producers and consumers. It is a continuous flow of production, income and expenditures. Circular flow of income producers receive the same amount what consumers spend. All expenditures from consumers/individuals become the income of the producers, and the expenditures of the producers become the income of the consumers/individuals.

Question No: 53 (Marks: 5)

Explain the difference between current account and capital account.

Current Account:

Current account is one of the two components of balance of payments. Current account shows the difference between a nation's total exports of goods, services and transfers, and its total imports.

Capital Account:

The capital account generally provides a direct picture of the net asset position of a country vis-à-vis the rest of the world. The capital account contains foreign direct investment (FDI), portfolio

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investment and other investments, plus changes in the reserve account. The capital account and the current account together comprise a nation's balance of payments

.

Question No: 57 (Marks: 5)

Some economists suggest "growth through resource transfer" and "growth through stabilization and reforms" strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Answer :

Growth through resource transfer strategy states that money funds should be given to poor countries and this money should also be utilized properly. Through this process, private capital flows and foreign direct investment can also be made. When foreign firms came in the local market, they will bring skill and capital with themselves which will promote local market. But the problem with this strategy is that aid flows causes heavy debt burden for the poor countries.

Growth through stabilization and reforms strategy states that there should be privatization and liberalization policies adopted in developing countries. Good governance and administrative reforms should be implemented. International Monetary Fund (IMF) and the World Bank (WB) became involved in macroeconomic stabilization and structural reform.

Question No: 56 (Marks: 5)

Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Gross National Product (GNP)

Gross national product (GNP) is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country

GNP = GDP + Net factor incomes from abroad

Net National Product (NNP)

Mathematically, national income is net national product (NNP). It is GNP adjusted for depreciation.

NNP = GNP – Depreciation allowance

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According to the values given in the following table, calculate the injections at each level of output.

Output (Y)	Saving (S)	Gross Imports (M)	Gross investment (I)	Gross exports (X)	Govt. Expenditures (G)	Taxes (T)
650	80	80	104	97	116	10
700	90	80	119	97	116	10
750	100	80	130	97	116	10
800	110	80	139	97	116	10
900	120	80	146	97	116	10

Withdrawal = Injection

$S + T + M = I + G + X$

Injection = I + G + X

Injection =104+116+97 = 317

Injection =119+116+97 =332

Injection =130+116+97 = 343

Injection =139+116+97 =352

Injection =146+116+97 = 359

Total injection =1403

Question No: 51 (Marks: 5)
Why is taxation necessary? What are the principles of taxation?

Taxation is necessary because government collects taxes are to get the revenue needed to finance public goods and pay administrative expenses.
Without taxes, the government would not be able to deliver services like law and order, public administration, national defense, free or subsidized health and education etc

Equity principle

Equity represents that principle of taxation which emphasizes fairness or just sacrifice, i.e. everyone should pay tax according to his/her ability

Vertical equity principle

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Progressive taxation, in which the tax rate increases as income increases, is an application of the vertical equity principle

Horizontal equity principle

A less controversial principle relates to horizontal equity which says: identically well-off people should be taxed identically, i.e. no discrimination due to race, gender, caste, religion etc.

Interest parity condition

a) What is interest parity condition?

Interest parity shows the relationship between the currency exchange rates of two countries and their local interest rates, and the essential role that it plays in foreign exchange markets.

b) When does this condition hold?

This condition holds if there are no incentives to move the capital from one country to another country as the difference between them

c) What is the equation of this condition?

$iD \approx iF + \Delta Ee$

Domestic interest rate = Foreign interest rate + Expected depreciation

Question No: 55 (Marks: 3)

What are the different components of aggregate demand? Discuss briefly

Aggregate demand (AD) is the total planned or desired spending (expenditure) in the economy during a given period.

Components of AD are: consumption, investment, government spending and net exports (i.e. exports minus imports)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440

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1988	121669	114968

Unemployed person

Unemployed person in 1984 = 113544 -105005 =8539
Unemployed person in 1985 = 115461 -107150 =8311
Unemployed person in 1986 = 117834 -109597 =8237
Unemployed person in 1987 = 119865 -112440 =7425
Unemployed person in 1988 = 121669 -114968 =6701

Unemployment rate

Unemployment rate = (Number of unemployed / labour force) x 100
1984 = 8539/113544 x 100 =7.5%
1985= 8311/115461 x 100 =7.2%
1986=8237/117834 x 100 =6.9%
1987=7425/119865 x 100= 6.1%
1988=6701/121669 x 100 =5.5%

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Question No: 57 (Marks: 5)

Differentiate between final goods and intermediate goods with the help of examples.

Final goods

Final goods are meant for direct use by the end consumer rather than for further processing.

Example:

- Car sold is the final good
- flour used by a household is a final good

Intermediate goods

Intermediate goods are those that are intended for further processing

Example:

- Parts of car are the intermediate good.
- Flour used by a baker is an intermediate good

A. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

3.9 %+4.5%+5.3%+2.6% / 4

=16.3% / 4

= 4.0%

b) Calculate the average growth rate from 1979 and 1986.

1.2 % - 5.5% +1.8% +3.9%+4.5% +5.3%+2.6%+1.9% / 8

=21.2% - 5.5% / 8

=15.7% / 8

=1.96%

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Question No: 53 (Marks: 5)

Why could the world as a whole not experience a problem of a current account balance of payments deficit?

The world as a whole not experience a problem of a current account balance of payments deficit because every import to one country is an export from another, and every outflow of investment income or transfer of money from one country is an inflow to another. Thus when all the current account deficits and current account surpluses of all the countries of the world are added up, they must all cancel each other out.

Question No: 49 (Marks: 3)

Differentiate between real exchange rate and nominal exchange rate.

Nominal exchange rate means the number of units of the domestic currency that can purchase a unit of a given foreign currency.

For example, 100 Pakistani rupees can purchase one US dollar. If 100 Pakistani rupee can buy two US dollar then we can say there nominal appreciation of the currency.

The real exchange rate means how many of a good or service in one country can be traded for one of that good or service in another country.

For example, a real exchange rate might state how many Pakistani fans can be exchanged for one US fan.

Question No: 52 (Marks: 5)

Differentiate between fixed exchange rate and floating exchange rate.

Floating Exchange Rate

A floating is one where currencies are allowed to move freely up and down according to changes in demand and supply. A currency that uses a floating exchange rate is known as a floating currency

Fixed Exchange Rate

Exchange rate under which the government or central bank fixed the official exchange rate to another country's currency. Also known as pegged exchange rate.

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Difference b/w Real and Nominal GDP

Real GDP:

Real Gross Domestic Product measures the value of all the goods and services produced expressed in the prices of some base year.

Nominal GDP:

Nominal GDP measures the value of all the goods and services produced expressed in current prices. Nominal GDP is measured on current prices for goods and services paid by buyers.

Difference b/w demand push inflation and cost push inflation?

Cost push inflation

Cost push inflation is a phenomenon in which the general price levels rise (inflation) due to increases in the cost of wages and raw materials.

Demand pull inflation

Demand pull inflation is that occurs when price levels raise because of an imbalance in the aggregate supply and demand. When the aggregate demand in an economy strongly offsets the aggregate supply, prices increase. Economists will often say that demand-pull inflation

Differentiate b/w actual GDP and potential GDP

Potential GDP

The potential GDP of a country is the ideal or maximum possible GDP for that country if unemployment is at a minimum and operating at maximum possible output

Actual GDP

The actual GDP of a country is the real, or actual, value of all goods and services produced.

GDP gap = (Actual GDP − potential GDP) / Potential GDP
The percentage GDP gap is the actual GDP minus the potential GDP divided by the potential GDP.

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(A) Following are the items of balance sheet of bank A

Loans = 80

Deposits = 100

Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

Solution:

Balance sheet of bank A	
Assets	**Liabilities**
Loans = 80	Deposits =100
Reserves =20	
Total assets = 100	Total liabilities = 100

(B) Following are the items of balance sheet of bank A

Loans = 60

Deposits = 110

Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

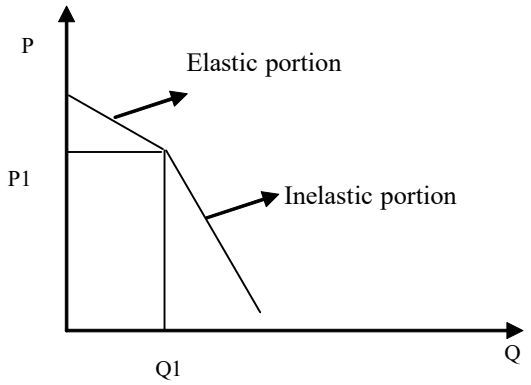
Balance sheet of bank A	
Assets	**Liabilities**
Loans = 60	Deposits =110
Reserves =50	
Total assets = 110	Total liabilities = 110

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After deposit 50 Rs Balance sheet of Bank A

Balance sheet of bank A	
Assets	**Liabilities**
Loans = 60	Deposits =110 +50 =160
Reserves =50 +50	
Total assets = 160	Total liabilities = 160

IF reserve requirement is given then take that % age as reserve



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

The firm is reluctant to raise it prices because demand is relatively elastic above the kinked Rise in prices cause fall in sales because other not rise there price and customer switch to lower price products Price increase only decrease the revenue for the firm

Firm is reluctant to fall its prices because the demand is relatively inelastic below the kinked. Fall in prices bring only modest increase in sale and other fall there prices too so customer not switch and firm reluctant to fall its prices.

(B) What are the major advantages that an oligopoly offers for public interests?

Price stability may bring advantages to consumers and the macro-economy

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Question No: 50 (Marks: 3)

On what basis countries gain from trade?

Countries gains from trade due to the comparative advantage. Countries which have comparative advantage in the production of particular goods exports that good to another country that has comparative disadvantage in that good.

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1".What is meant by this statement?

The slope is merely the MPC. The intercept is positive because some consumption must happen even at a zero level of income (people will borrow and spend on food for e.g.), and the slope is less than 1 because not all the income is consumed

B. What are the major macroeconomic variables involved in the determination of national income?

Major macroeconomic variables involved in the determination of national income are C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

What does the 45 degree line in expenditure-income space represent?

It represents all the points at which the economy is in equilibrium, i.e. the expenditure on domestic goods and services is equal to the supply of domestic goods and services is equal to the incomes distributed to actors used in the production of those goods and services

Functions of Central Bank:

Monetary policy is just one of the functions of the central bank. There are at least three more functions central banks serves:

1-As lender of last resort, it must bail (or help) out commercial banks facing temporary liquidity shortfalls;

2- as supervisor of the financial system, it must ensure its good health by monitoring commercial banks' lending (risk-taking), capital adequacy, and liquidity positions. The central bank is also a monitor of the management and governance of financial institutions and of any other threats to the stability of the financial system;

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3-**As the biggest intervener in the foreign exchange market** (and/or setter of the exchange rate), it is responsible for exchange rate policy and the balance of payments, per se.

Discount rate: the central bank sometimes extends credit to commercial banks on their request to meet their exigent liquidity needs.7 Such borrowing is called borrowing from the discount window and the rate the central bank lends at the discount window is called the discount rate

Question No: 49 (Marks: 3)

Write down the functions of commercial banks.

They take deposits (i.e. borrow money) and make loans (i.e. lend money). The interest rate they pay on deposits is lower than the interest rate they charge on their loans. The difference covers their overhead costs and profits

Question No: 50 (Marks: 3)
How the growth rate of output is determined in the exogenous growth model?

Growth rate of output is determined by the growth rate of population which is exogenously given and Government can not do anything about it.

Question No: 50 (Marks: 3)

Differentiate between international trade and international finance.

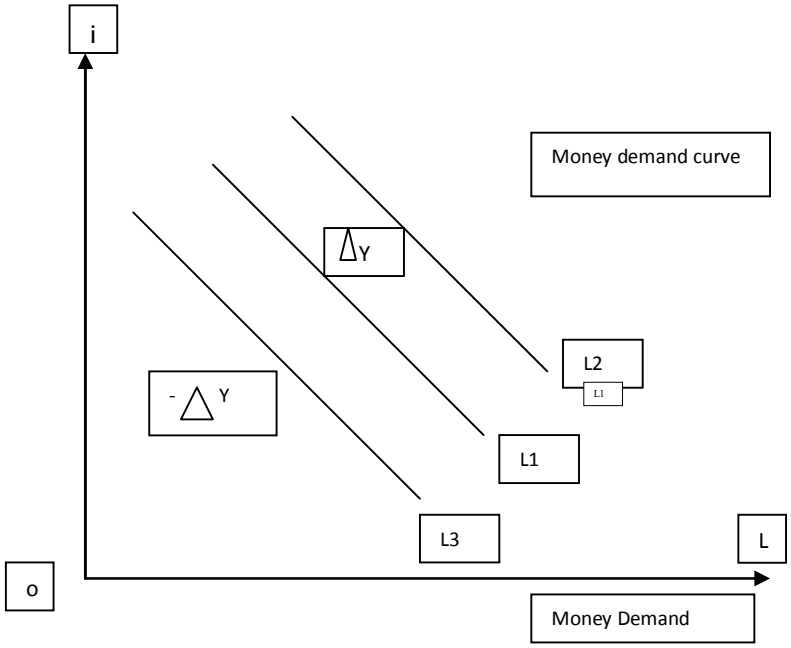
International trade is the exchange of goods and services between different countries and International finance is concerned with, among other thing, the mobility of financial capital across countries, and the problems and opportunities this mobility presents individual countries with.

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Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.



- Increase in income by + ΔY cause money demanded to increase at any level of interest money demand curve shift form L1 to L2
- Reduction in income by - ΔY money demanded curve shift from L1 to L3 quantity demanded of money fall

Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Current account is very much important in order to maintain the long term sustainability of the balance of payment.
Current account deficit = Private sector resource deficit + Government budget deficit

Devaluation can help in reducing current account deficit. Devaluation causes an increase in exports and decrease in imports leading to reduction in current account deficit. Economic deflation is another solution to this problem under fixed exchange rate regime.

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Question No: 49 (Marks: 3) vulmshelp.com

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

- Pakistani imports of US goods.
- Pakistani travelers traveling to the US.
- Pakistani students paying for study in US universities.
- profits send back to US by US firms operating in Pakistan

Differentiate between transaction motive and precautionary motive of holding money.

Transactions demand/Motive: People hold money to buy stuff.
Precautionary demand/Motive: People hold money for emergencies

Demand for Money
Transactions demand. People hold money to buy stuff.
Precautionary demand. People hold money for emergencies
Speculative demand. People hold money to take advantage of a financial opportunity at a later date

Question No: 52 (Marks: 5)

What are the major weaknesses of exogenous growth theory? Which theory was developed in against of exogenous growth theory?

Exogenous growth theory suffered from three major weaknesses:

i. It could not explain why the gap between the poor and rich countries had widened (anticatch up),
ii. It could not explain why some countries in East Asia had apparently grown consistently on the back of higher saving rates, and
iii. It modeled technology as exogenous, and beyond the influence of policy

Endogenous growth theory or **new growth theory** was developed in against of exogenous growth theory

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a response to criticism of the neo-classical growth model

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Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

a) Unemployment **Stock**
b) Redundancies (job lay-offs) **Flow**
c) Profits **Flow**
d) A firm's stock market valuation (share price) **Stock**
e) The value of property after a period of inflation **Stock**

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly

World Bank has given 4 types of liberalization policies as an ingredient.

1. **Liberalization of prices**: Removal of price control and wage controls.
2. **Liberalization of trade**: Removal of tariffs and export taxes.
3. **Liberalization of capital account** means movement of capital from inside and outside the country.
4. **Financial liberalization** i.e. financial sector should be opened both to foreign participation and also banks should be allowed to set their own interest rate rather than government dictating what the interest level should be.

Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

Inflation is a situation in which there is a continuous rise in the general price level.
Deflation is the opposite of inflation and occurs when the general level of prices falls.

Pure inflation is a special case of inflation in which the prices of all the goods and services in the economy are rising at the same rate.

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Question No: 50 (Marks: 3)

What are the reasons that poor countries remained poor?

- Do not have enough human capital and because of lack of education
- Poor countries exports cotton, rice, wheat, raw material which face declining price in international market.
- Term of trade of developing countries was deteriorating. decline terms of trade

OR

- They were stuck in the production of primary products
- Lack of human, social and public capital
- Very fast rising populations
- Lack of natural resources (like oil, gold, gas, iron, copper etc

What is the reason of poverty in developing countries according to Prebisch-Singer hypothesis? 3 - Marks

Reason of poverty in developing countries according to Prebisch-Singer hypothesis

- They were stuck in the production of primary products
- Lack of human, social and public capital
- Very fast rising populations
- Lack of natural resources (like oil, gold, gas, iron, copper etc.)

What are the different method of measuring GDP

There are three equivalent ways of measuring GDP:
i. The product or value added method which sums the value added by all the productive entities in the economy;
ii. The expenditure method which sums up the value of all the "final goods" transactions taking place in the economy;
iii. The factor income method which sums up all the incomes earned by all the factors of production in the economy (rent for land, wages for labour, interest for capital, and equity returns for entrepreneurship).

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Question No: 50 (Marks: 3)

What are the different borrowing options available to the government for reducing the fiscal deficit?

By borrowing locally (i.e. issuing bonds), foreign financing (including non-relpayable grants) or printing money (i.e. borrowing from the central bank). The first of these methods is least inflationary while the last one is most inflationary

Question No: 51 (Marks: 5)

Explain the difference between endogenous growth model and exogenous growth model.

Exogenous

The development of an economy is not only dependent on the internal affairs of a company; rather the external matters also make effect upon it. Under exogenous growth (comprehensive development) it is estimated on the primary basis that which external factors play the role of development of economy in comparison to internal factor

Endogenous

Endogenous growth (limited development) is a kind of policy under which the emphasis is laid down on the internal process and capital investment rather than external factors. Under this policy, an emphasis is laid down on internal factors for the economic growth and development rather than external factors.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

A foreign exchange market exists because economies utilize national currencies. If the world economy used a single currency there would be no need for foreign exchange markets.
Foreign exchange market is a market in which currencies of different countries are traded. For example, Foreign exchange markets are made up of banks, commercial companies, central banks, investment management firms etc. The Foreign exchange market is considered to be the largest financial market in the world.

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BEST OF LUCK



FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 3)

Time: 90 min
Marks: 69

Asslam O Alikum
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Question No: 1 (Marks: 1) - Please choose one

At the equilibrium price:

- ► There will be a shortage.
- ► **There will be neither a shortage nor a surplus.**
- ► There will be a surplus.
- ► There are forces that cause the price to change.

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Question No: 2 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ► Horizontal.
- ► Vertical.
- ► **Negative.**
- ► Positive.

Question No: 3 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

- ► Risk loving.
- ► **Risk neutral.**
- ► Risk averse.

► Insufficient information for a decision.

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Question No: 4 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

Question No: 5 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

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Question No: 6 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

► Supply schedule.
► **Demand schedule.**
► Quantity supplied schedule.
► Quantity demanded schedule.

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Question No: 7 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.
► **Inferior good.**

Question No: 8 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

► Positive issues.

► **Normative issues.**
► Micro issues.
► Macro issues.

Question No: 9 (Marks: 1) - Please choose one

Suppose to hire the next worker, the firm pays $50. This $50 is the:

► Marginal input cost.
► **Marginal cost. douted**
► Marginal revenue product.
► Marginal revenue.

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Question No: 10 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

► The best government is the least government.
► **Flexible wages and prices ensure full employment.**
► Monetary policy is far superior to fiscal policy.
► Business-cycle instability is best corrected through government policies.

Question No: 11 (Marks: 1) - Please choose one

An assumption of classical economics is:

► Investment and saving are seldom equal.
► Self-correction takes a long time.
► **Demand creates its own supply.**
► Prices and wages are flexible.

Question No: 12 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

► **Three.**
► Four.
► Five.
► Six.

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Question No: 13 (Marks: 1) - Please choose one

The trend of unemployment over the last forty years is:

► A decrease in unemployment.
► It has remained largely unchanged.
► **An increase in unemployment.**
► It is too difficult to tell so don't bother.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

► **The capital account.**
► The current account.
► The financial account.
► All three components are equally important.

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Question No: 15 (Marks: 1) - Please choose one

Growth rate of per capita income is equal to:

► Growth rate of total output / Growth rate of population.
► Growth rate of population / Growth rate of total output.
► **Growth rate of total output + Growth rate of population.**
► Growth rate of total output - Growth rate of population.

Question No: 16 (Marks: 1) - Please choose one

The similarity in the Perfect competition and monopolistic competition is that:

► Firms in both types of market structure will act as price takers.
► Firms in both types of market structure will produce a product that is exactly like one produced by other firms in the industry.
► **Firms in both types of market structure will produce a level of output where price equals marginal cost.**
► Firms in both types of market structure will earn zero profit in the long run.

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Question No: 17 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

► **They must intersect with TC cutting TR from below.**
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.
► They must have the same slope.

Question No: 18 (Marks: 1) - Please choose one

Which of the following best describes the total market value of all final goods and services produced within the boundary of a country in a year?

► **Gross domestic product.**
► Net national product.
► Net national income.
► Disposable personal income.

Question No: 19 (Marks: 1) - Please choose one

Which of the following would occur if injections are less than withdrawals at the full-employment level of income?

► A deflationary gap.
► Hysteresis.
► Hyperinflation.
► An inflationary gap.

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Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

► A higher output level than before.
► **The same output level as before.**
► A lower output level than before.
► The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

GNP is a good indicator of:

► **The total payment of factor owners.**
► The amount of consumption and investment.
► The conditions of production and employment.
► The amount of incomes available for spending.

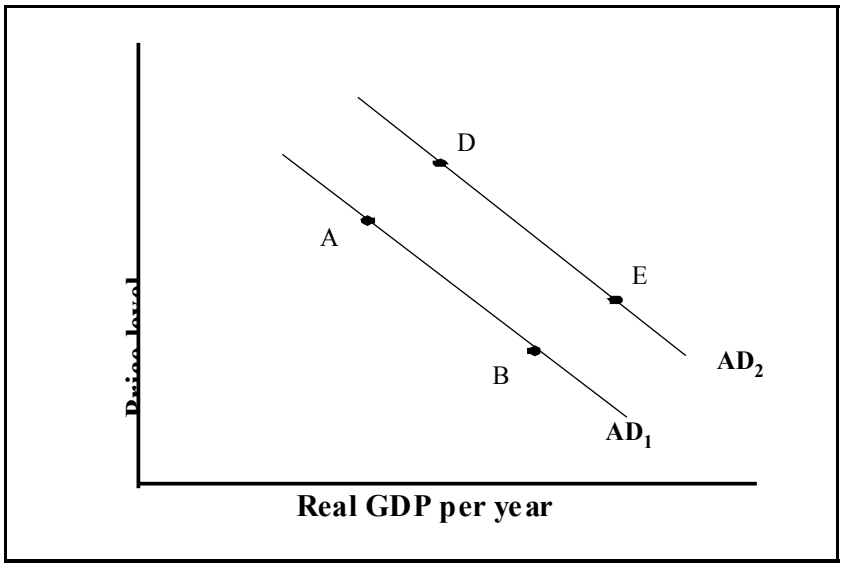
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Question No: 22 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

► **Horizontal wage rate lines and the marginal revenue product of labour.**
► Vertical wage rate lines and the marginal revenue product of labour.
► Vertical wage rate lines and the marginal revenue product of capital.
► Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 23 (Marks: 1) - Please choose one



In the above figure, a movement from point A to point B:

► Is a change in aggregate demand resulting from a lower price level.

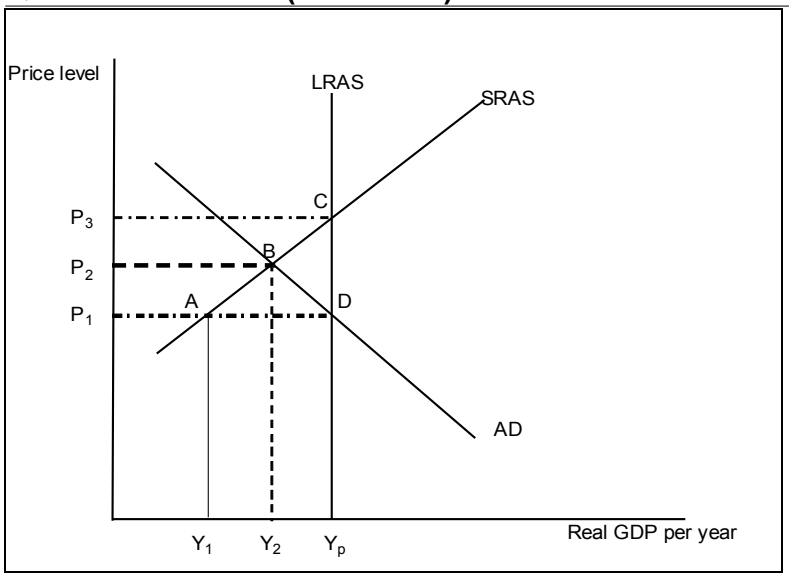
► Is change in aggregate quantity demanded resulting from a lower price level. doubted

► Could be due to an increase in investment demand.

► Occurs because aggregate output supplied has increased.

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Question No: 24 (Marks: 1) - Please choose one



Refer to the above figure, what are the prevailing price level and the output level in the economy?

► Price level = P_1; real GDP = Y_p.

► Price level = P_1; real GDP = Y_1.

► Price level = P_2; real GDP = Y_2. **doubted**

► Price level = P_3; real GDP = Y_p.

Question No: 25 (Marks: 1) - Please choose one

Which of the following is equal to personal savings?

► Gross domestic income − consumption.
► Personal disposable income − consumption.
► Gross domestic product − consumption.
► Personal disposable income − taxes − consumption.

Question No: 26 (Marks: 1) - Please choose one

In the definition of labor force, economists include:

► Only people who are working full-time.
► People who are not working but are actively looking for a job and people who are working.
► People who are working.
► None of the given options.

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Question No: 27 (Marks: 1) - Please choose one

If a country devalues its currency, what will be its results?

► Its imports will be cheaper for its citizens and its exports will be expensive from the point of view of foreigners.
► Both its imports and exports will be cheaper for the citizens and for foreigners.
► Its imports will seem more expensive for the citizens and export will seem cheaper to the foreigners.
► Both imports and exports will seem more expensive.

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Question No: 28 (Marks: 1) - Please choose one

If net exports are positive, this implies that the country has:

► Trade surplus.
► Trade deficit.
► Government budget surplus.
► Government budget deficit.

Question No: 29 (Marks: 1) - Please choose one

We can measure economic growth with the help of:

► The Consumer Price Index.
► The Producer Price Index.
► Gross Domestic Product.
P 161
► Marginal Propensity to Consume.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

► Incentive to profit.

► Foreign aid.
► Domestic savings.
► **Inflation.**

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Question No: 31 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

► Consumption.
► Gross private investment.
► **Government purchases.**

P 172 Government purchases are used to operate the government (administrative salaries, etc.) and to provide public goods (national defense, highways, etc.).

► Public investment.

Question No: 32 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

► Efficiency.
► **Equity.**

P 173 Equity represents that principle of taxation which emphasizes fairness or just sacrifice,

► Progressive tax.
► Regressive tax.

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Question No: 33 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

► Medium of exchange.
► Unit of account.
► Standard of deferred payment.
► **Store of value.**

Question No: 34 (Marks: 1) - Please choose one

Suppose the central bank's primary goal is to stabilize the prices and it aims to keep the inflation rate at 6%. If the inflation rate rose above 6%, central bank should adopt which of the following policy?

► **An expansionary monetary policy.**
► A contractionary monetary policy.
► It should reduce the required reserve ratio.
► It should impose a temporary ceiling on the federal funds rate.

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Question No: 35 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

► Developed countries.
► Progressed countries.
► **Developing countries.**
► High income countries.

Question No: 36 (Marks: 1) - Please choose one

Developing countries have ---------- unemployment than the developed countries.

► **Higher.**
► Lower.
► About the same.
► In some cases higher while in others lower.

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Question No: 37 (Marks: 1) - Please choose one

Why agriculture sector has an important role to play in the development process?

► Because a balanced approach to growth is necessary.
► Because the vast majority of an under developed country is engaged in agriculture.
► **Because agriculture may be a major bottleneck in the process of development.**
► Because of all of the given options.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

► **The demand curve for computers shifts to the right.**
► The demand curve for computers shifts to the left.
► The supply curve for computers shifts to the right.
► The supply curve for computers shifts to the left.

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Question No: 39 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

► Heterogeneous products.
► Large competition.
► **Homogeneous products.**
► Less demand in market.

Question No: 40 (Marks: 1) - Please choose one

If different firms in the oligoplistic structures do not cooperate with each other is known as

► Collusive oligopoly.

► Cartel.
► Price leadership.

► Non-collusive oligopoly.

P 82 If different firms in the oligopolistic structures do not cooperate with each other is known as non collusive oligopoly.

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Question No: 41 (Marks: 1) - Please choose one

Slope and elasticity of demand have

► A direct relation.

► An inverse relationship.

P 27 Slope and elasticity of demand have an inverse relationship.

► No relation between slope and elasticity.
► None of the given options.

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Question No: 42 (Marks: 1) - Please choose one

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

► The marginal utility for the consumption of the fifth unit.
► The marginal utility for the consumption of the sixth unit.
► The total utility for the consumption of the first five units.
► The average utility for the consumption of the first five units.

Question No: 43 (Marks: 1) - Please choose one

Price war is often seen in which of the following markets:

► Perfect competition.
► Monopoly.
► Oligopoly.
► Duopoly.

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Question No: 44 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

► 0.80
► 1.20

► 0.50
► 1.25

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Question No: 45 (Marks: 1) - Please choose one

If domestic interest rate is greater than foreign interest rate + expected depreciation then:

► **One should invest in domastic market. doubted**
► One should invest abroad.
► One should remain indifferent.
► Make half investment in domastic market and half investment in foreign market.

Question No: 46 (Marks: 1) - Please choose one

In endogenous growth model the permanent growth rate depends on the saving rate and:

► Labor participation rate.
► Capital stock.
► Investment.
► **Technological progress.**

P 167

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Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

► Interest rate increases, investment and GDP reduces.
► Interest rate increases, investment increases and GDP reduces.
► **Interest rate reduces, investment and GDP increases. duobted**
► Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

In IS-LM model, a decrease in government spending should move the:

► IS curve leftward.
► IS curve rightward.
► LM curve rightward.
► LM curve leftward.

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Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

Question No: 50 (Marks: 3)

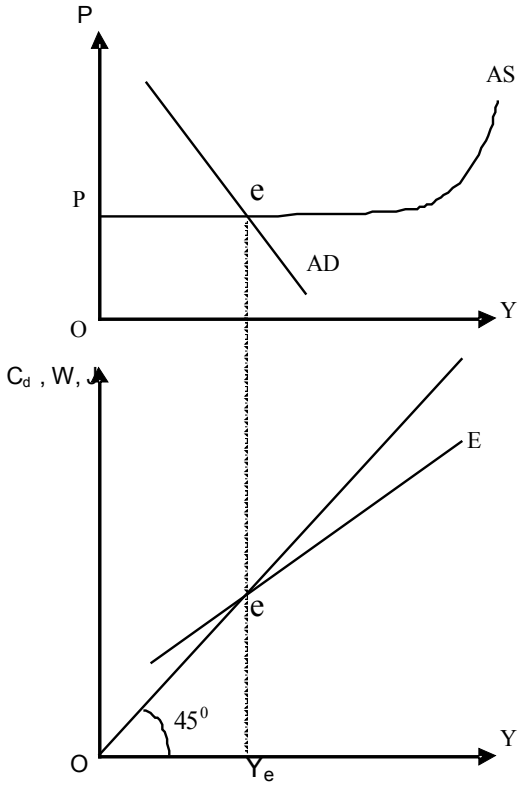
Explain the shape of money supply curve with the help of diagram.

Question No: 51 (Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

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Question No: 52 (Marks: 5)



In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

a) **If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.**
b) **Is there any multiplier effect? How it works in this case?**

(Marks: 3+2)

Question No: 53 (Marks: 5)

How crowding out of investment demand occur due to expansionary fiscal policy?

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ECO401

Final Term Examination – Spring 2006

Time Allowed: 150 Minutes

Question No. 1 **Marks : 1**

Mention few factors which cause the demand for dollars in Pakistani market to rise.

Question No. 2 **Marks : 3**

Aggregate demand (AD) is the sum of consumption, investment, government spending and _____.

Question No. 3 **Marks : 3**

Marginal benefit is the increment to total benefit derived from consuming an additional unit of good or service.

1. T
2. F

Question No. 4 **Marks : 1**

Gross domestic product is a measure of:

1. The total market value of all final goods and services roduced in one
2. The price level of goods and services sold in one year.
3. The total amount of refrigerators, washing machines and other household appliances produced in one year.
4. The total amount of goods and services produced by private companies in one year.

Question No. 5 **Marks : 1**

The best definition of profit is:

1. Total assets minus total liabilities.
2. Total sales minus total taxes.
3. Total revenues minus total costs.
4. Total sales minus total wages.

Question No. 6 **Marks : 1**

What do you understand by "Great Depression"?

Question No. 7 **Marks : 1**

_____ is an increase in the total output of a country over time.

Question No. 8 **Marks : 1**

Which combination of policies would be the most expansionary?

1. An increase in government spending and a decrease in taxes.
2. A decrease in government spending and an increase in taxes.
3. An increase in government spending and a decrease in taxes.
4. A decrease in government spending and an increase in taxes.

Question No. 9 **Marks : 1**

Which of the following would be an example of a price floor?

1. Controls on apartment rent in major cities.
2. Limits on the interest charged by credit card companies.
3. Price controls during World War II.
4. Price supports for agricultural products.

Question No. 10 **Marks : 3**

Explain the term command or planned economy?

Question No. 11 **Marks : 3**

Microeconomics deals with the behavior of the economy as a whole.

1. True
2. False

Question No. 12 **Marks : 10**

In the circular flow model, businesses:

1. Demand both products and resources.
2. Supply both products and resources.
3. Demand products and supply resources.
4. Supply products and demand resources.

Question No. 13 **Marks : 1**

The production possibility curve is:

1. Concave.
2. Convex.
3. Linear.
4. Positive.

Question No. 14 **Marks : 1**

Define M0 and M1. Briefly explain the three broad motives of holding money.

Question No. 15 **Marks : 1**

The BOP can be divided into three parts: current account, _____ and changes to reserves.

Question No. 16 **Marks : 1**

Total utility is the additional utility derived from the consumption of one or more unit of the good.

1. True
2. False

Question No. 17 **Marks : 1**

Deflation refers to:

1. Decreasing relative prices
2. A decreasing price level.
3. A slowing down of the rate of inflation.
4. A federal government policy of running budget surpluses.

Question No. 18 **Marks : 10**

What is the difference between the positive and the normative in economics?

1. A positive question is one for which the answer is yes while normative question is one for which the answer is no.
2. Positive questions concern matters of opinion, while normative questions concern matters of fact.
3. Positive questions concern matters of fact, while normative questions concern matters of

opinion.

4. Economic theory can answer normative questions, but not positive ones.

Question No. 19 **Marks : 1**

Differentiate between the personal income and disposable income.

Question No. 20 **Marks : 1**

A normal good is one whose consumption increases _____ when _____ increases.

Question No. 21 **Marks : 1**

The traditional Phillips Curve shows the:

1. Inverse relationship between the rate of inflation and the unemployment rate.
2. Inverse relationship between the nominal and the real wage.
3. Direct relationship between unemployment and demand-pull inflation.
4. Tradeoff between the short run and the long run.

Question No. 22 **Marks : 1**

Which would be defining characteristics of pure monopoly?

1. The firm does not advertise and it sells a standardized product.
2. No close substitutes for the product exist and there is one seller.
3. The firm can easily enter into or exit from the industry and profits are guaranteed.
4. The firm holds a patent and is technologically progressive.

Question No. 23 **Marks : 1**

The Town of Bedford Falls wants to buy four new police cars. The opportunity cost of buying the police cars is the:

1. Cost of buying the cars now vs. buying them later.
2. Ability to make more arrests and reduce the total annual crime rate.
3. Other desirable goods or services that must be given up to buy the cars.
4. Dollar cost of the new cars.

Question No. 24 **Marks : 1**

Who were the classical economists?

Question No. 25 **Marks : 3**

A leakage or withdrawal is any use of the income received by households that does not return as revenue to domestic firms.

1. True
2. False

Question No. 26 **Marks : 1**

The aggregate supply curve is the relationship between the:

1. Price level and the real domestic output purchased
2. Price level and the real domestic output produced
3. Price level which producers are willing to accept and the price level purchasers are willing to pay.
4. Real domestic output purchased and the real domestic output produced.

Question No. 27 **Marks : 1**

Which of the following is characteristic of a product whose demand is elastic?

1. The price elasticity coefficient is less than 1.
2. Total revenue decreases if price increases
3. Buyers are relatively insensitive to price changes
4. The percentage change in quantity is greater than the percentage change in price.

Question No. 28 **Marks : 1**

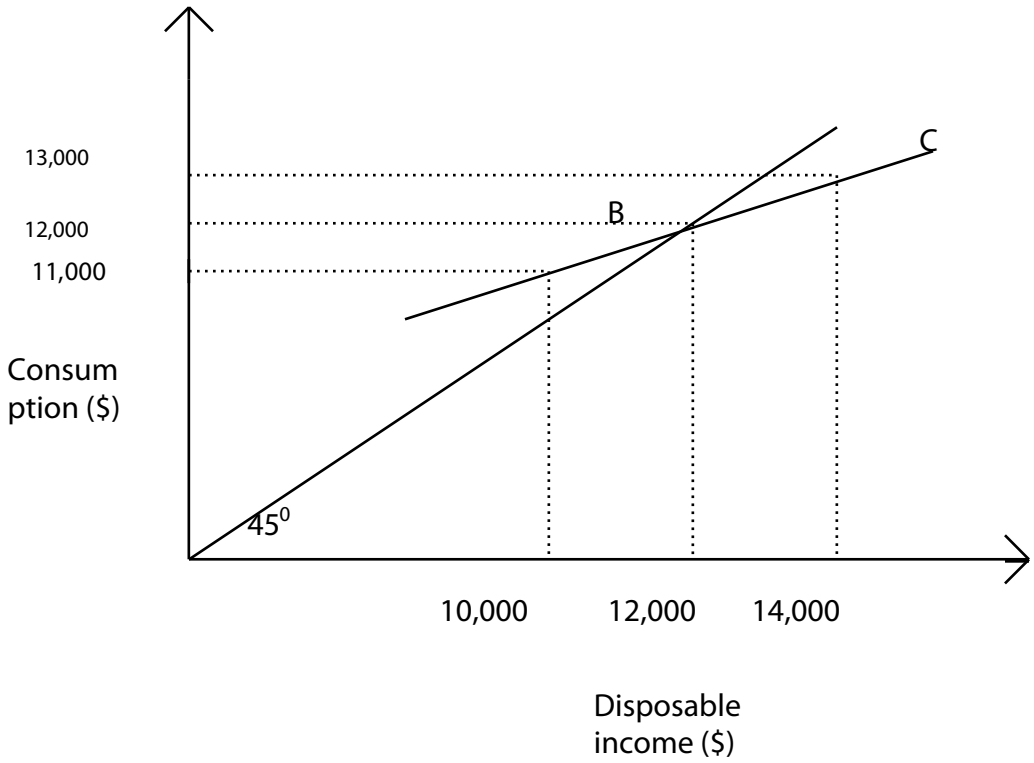
A. Define consumption and consumption function.

B. Suppose a household has the consumption function C presented in figure given below.

i. Find consumption when disposable income is $12,000 and $14,000.

ii. Find consumption when disposable income is $ 10,000. How can a household consume more than its disposable income?

iii. What is true for every point on the 45^0 line?



Question No. 29 **Marks : 1**

_____ refers to the permanent effects of a temporary change.

Question No. 30 **Marks : 1**

A giffen good is one whose benefits are indivisibly spread among the entire community, whether particular individuals desire to consume the good or not.

1. True
2. False

Question No. 31 **Marks :1**

In microeconomics, what is the usual meaning of the word investment?

1. Saving your money and using it to buy stocks and bonds
2. Purchasing new physical capital to aid in the production process
3. Learning new skills in order to add to your stock of human capital
4. When your new chapter of a club is recognized by the national association.

Question No. 32 **Marks : 1**

The sign of the cross elasticity of demand between two products will be negative if:

1. They are substitutes in consumption.
2. They are both normal goods.
3. They are both inferior goods.
4. They are complements in consumption.

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ECO401 Economics

Final Term Examination – Spring 2005
Time Allowed: 150 Minutes

INSTRUCTIONS:

Please read the following instructions carefully before attempting any question:

- All questions are compulsory.
- This exam consists of **5** Multiple Choice Questions (MCQ's) **2** marks each, **6** Short questions carrying **5** marks each and **2** Descriptive questions carrying **10** marks.
- You are required to show all the working of short questions as well as Descriptive questions.
- This examination is closed book, closed notes, closed neighbors.
- Do not ask any questions about the contents of this examination from anyone.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

Total Marks: 60 **Total Questions: 13**

Question No. 1 **Marks : 02**

Which of the following are leakages from the circular flow?

- Consumption and saving.3
- Saving and imports.
- Imports and exports.
- Exports and saving.

Question No. 2 **Marks : 10**

a. **Briefly explain about fiscal policy.**
b. **Explain the terms**
   i. **Budget deficit**
   ii. **Budget surplus**
   iii. **Balanced budget**

Question No. 3 **Marks : 05**

Define perfect competition? Write down any three assumptions of perfect competition.

Question No. 4 **Marks : 10**

Define taxation and explain different types of taxes which the government can impose. Also explain how government can finance budget deficit?

Question No. 5 **Marks : 05**

Define money in terms of M0? What are functions of money?

Question No. 6 **Marks : 02**

If a firm doubles all inputs in the long run than total output is less than double , we have a case of:

- Diminishing returns.
- Constant returns to scale.
- Increasing returns to scale.
- Decreasing returns to scale.

Question No. 7 **Marks : 02**

In economic theory, the short run differs from the long run in that, in the short run:

- All factor inputs are variable.
- All costs are variable.
- At lease one factor input is fixed.
- All costs are fixed.

Question No. 8 **Marks : 05**

Differentiate between exports and imports with examples?

Question No. 9 **Marks : 02**

A budget deficit:

- Will lead to an increase in the National Debt.
- Will facilitate a fall in interest rates.
- Will help to reduce aggregate demand.
- Means that imports are greater than exports.

Question No. 10 **Marks : 05**

Define balance of payment? In how many parts balance of payment is divided?

Question No. 11 **Marks : 05**

Define GDP? What are the ways of measuring GDP?

Question No. 12 **Marks : 02**

A classical aggregate supply curve shows the following relationship between the price level and real output:

- Aggregate supply is positively related to real output.
- Aggregate supply is negatively related to real output.
- Aggregate supply is unrelated to real output.
- Aggregate supply is horizontal.

Question No. 13 **Marks : 05**

Define indifference curve? What is the shape of indifference curve?

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FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ► The economic perspective.
- ► Marginal analysis.
- ► Allocative efficiency.
- ► **Opportunity cost.**

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ► **Inferior good.**
- ► Complementary good.
- ► Normal good.
- ► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ► Shifting the supply curve to the left.
- ► **Shifting the supply curve to the right.**
- ► Upward movement along the supply curve.
- ► Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

- ► All of the given options.

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- Excess supply.
- Equilibrium.
- **Excess demand.**

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- Quantity demanded.
- Quantity supplied.
- **Price.**
- Output.

Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

- -14.
- **14**.
- 83.
- 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- An increasing marginal rate of substitution.
- **A decreasing marginal rate of substitution.**
- A constant marginal rate of substitution.
- A marginal rate of substitution that first decreases, then increases.

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Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ► **Price equals marginal cost.**
- ► Marginal revenue and average total cost.
- ► Price equals marginal revenue.
- ► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

- ► **High costs**.
- ► Low costs.
- ► Equal costs.
- ► None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ► First-degree price discrimination.
- ► Second-degree price discrimination.
- ► **Third-degree price discrimination.**
- ► None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

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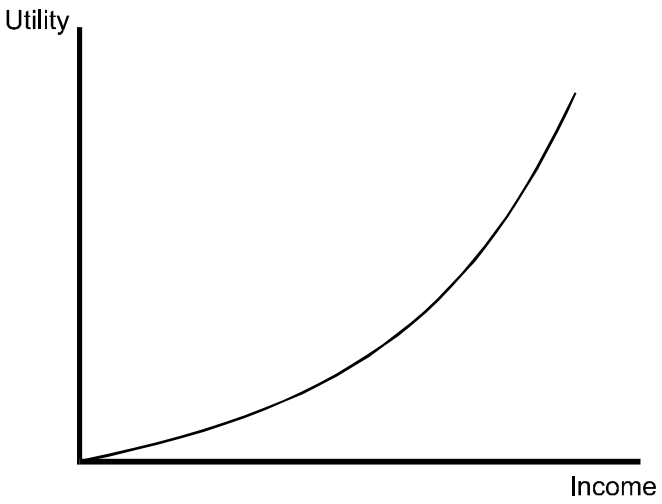
- Collusion.
- Price discrimination.
- Two-part tariff.
- **Bundling**.

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- The good is a necessity.
- The good is a luxury.
- **The good is a Giffen good.**
- None of the given options.

Question No: 13 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- **Increasing as income increases.**
- Constant for all levels of income.
- Diminishes as income increases.
- None of the given options.

Question No: 14 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

In monopoly, which of the following is NOT true?

- ► Products are differentiated.
- ► **There is freedom of entry and exit into the industry in the long run.**
- ► The firm is a price maker.
- ► There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ► Positive issues.
- ► **Normative issues.**
- ► Micro issues.
- ► Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ► An increase in output level and a decrease in price.
- ► A decrease in output level and an increase in price.
- ► **A decrease in output level and no change in price.**
- ► Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ► Duopoly.
- ► **Cartel**.
- ► Market sharing monopoly.
- ► Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

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In the complete classical model, a rightward shift of the labor supply curve will:

- ► Decrease the price level and increase the nominal wage.
- ► Decrease the nominal wage and increase the price level.
- ► Decrease both the price level and the nominal wage.
- ► **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ► An increase in the rate of inflation.
- ► A decrease in government expenditures.
- ► A decrease in investment spending.
- ► **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ► **Keynesian**.
- ► New classical.
- ► Old classical.
- ► New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ► Prior to the late 1700s.
- ► From the late 1700s to the early 1900s.
- ► **From 1930s to 1970s.**
- ► Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

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Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ► Monetarism.
- ► Rational expectations.
- ► **Keynesian economics.**
- ► Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ► Both prices and output to rise.
- ► Prices to fall and output to remain unchanged.
- ► Both prices and output to fall.
- ► **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ► Direct use by the consumers.
- ► **Further processing.**
- ► The term do not exist.
- ► None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ► **Direct use by the consumers.**
- ► Further processing.
- ► The term do not exist.
- ► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following is a flow variable?

- ► The value of the house in which you live.
- ► **The balance in your savings account.**
- ► Your monthly consumption on food items.
- ► The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ► Government debt.
- ► Capital.
- ► **The amount of money held by the public.**
- ► Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

All other things remain the same, Gross Domestic Product (GDP) will rise if:

- ► Imports rises.
- ► Exports falls.
- ► **Durable goods consumption rises**.
- ► Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from $5 trillion to $6 trillion and as a result, consumption expenditure increases from $7 trillion to $7.8 trillion, the Marginal Propensity to Consume is:

- ► 1.0.
- ► **0.8.**
- ► 5/7 = 0.71.
- ► 6/7.8 = 0.77.

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

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- ► Average propensity to save.
- ► Average propensity to consume.
- ► Marginal propensity to save.
- ► **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

- ► 0.2.
- ► 0.4.
- ► 0.6.
- ► **0.8.**

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ► Number of employed / labour force x 100.
- ► **Number of unemployed / labour force.**
- ► (Number of unemployed / labour force) x 100.
- ► None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

- ► **Inverse relationship between the rate of inflation and unemployment rate.**
- ► Inverse relationship between the nominal and real wage.
- ► Direct relationship between unemployment and demand-pull inflation.
- ► Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

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- ► An increase in the overall level of economic activity.
- ► An increase in the overall price level.
- ► A decrease in the overall level of economic activity.
- ► **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

Is Grosss Domestic Product (GDP) an accurate measure of a country's well being?

- ► Yes, it is the best measure of national well being.
- ► **Yes, provided we use real GDP and not nominal GDP.**
- ► Uncertain, depending on whether GDP is rising or falling.
- ► No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

- ► **Is nominal GDP adjusted for changes in the price level**.
- ► Is also called nominal GDP.
- ► Measures GDP minus depreciation of capital.
- ► Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ► A higher output level than before.
- ► The same output level as before.
- ► **A lower output level than before.**
- ► The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A currency appreciation:

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► **Reduces aggregate demand and increases aggregate supply.**
► Reduces both aggregate demand and aggregate supply.
► Increases aggregate demand and reduces aggregate supply.
► Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1 component of money supply consists of:

► Paper currency and coins.
► **Paper currency, coins and check writing deposits.**
► Paper currency, coins, check writing deposits and savings deposits.
► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

► Is income received by individuals during a given year.
► Is the income individuals have available for spending during a given year.
► Equals national income minus indirect taxes.
► **Is the sum of wages plus interest received by individuals during a given year.**

Question No: 41 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

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► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period**.

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

► Real GDP includes only goods; nominal GDP includes goods and services.

► **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices**.

► Real GDP is equal to nominal GDP less the depreciation of the capital stock.

► Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

► GNP = GDP – Net income from abroad.

► **GNP = GDP + Net income from abroad.**

► GNP = NNP – Net income from abroad.

► GNP = NNP + Net income from abroad.

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

► All transactions in an economy during one-year period.

► All goods and services exchanged in an economy during one-year period.

► All final goods and services exchanged in an economy during one-year period.

► **All final goods and services produced in a domestic economy during one-year period**.

Question No: 45 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following shows the Fisher equation of exchange?

- ► MT=PV.
- ► VT=PM.
- ► **MV=PQ**.
- ► MY=VP.

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

- ► Overvalued exchange rate.
- ► Undervalued exchange rate.
- ► Fixed exchange rate.
- ► **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation MV = PQ, according to the crude quantity theory of money:

- ► M has no effect on the price level.
- ► **V is the number of times each dollar is spent per year.**
- ► Q is the real price level.
- ► P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

- ► 45.
- ► Infinity.
- ► **1.**
- ► 0.

Question No: 49 (Marks: 1) - Please choose one

In Keynesian economics, equilibrium can occur:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Only at full employment level.
► Only at levels less than full employment.
► Only at levels greater than full employment.
► **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

► Only the amount demanded of capital decreases.
► Only the amount demanded of labor decreases.
► **Only the amount demanded of capital increases.**
► The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by people due to these advertisements otherwise the firms would do less advertisement.
Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

Question No: 52 (Marks: 10)

A. ---

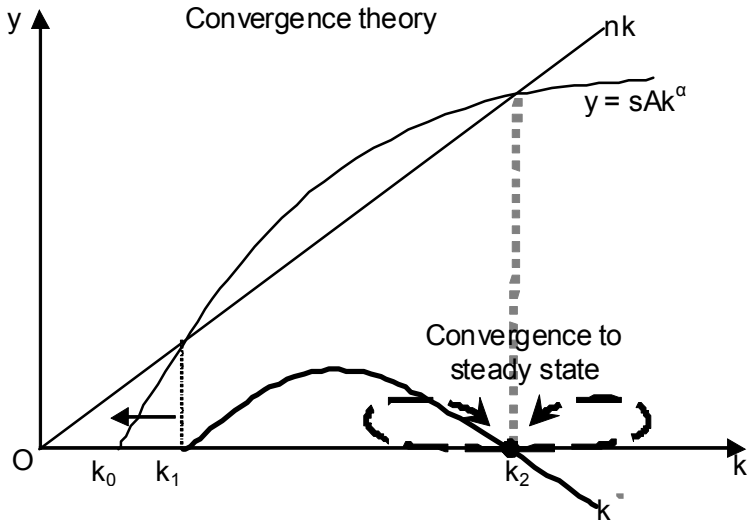
What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

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- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.



(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

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Difference between Contractionary and Expansionary Fiscal Policy:

Contactionary Fiscal Policy	Expansionary Fiscal Policy
In conactionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor**: decrease in expenditure always badly effects the poor which can then cause political instability.

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FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ► **Inferior good**.
- ► Complementary good.
- ► Normal good.
- ► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ► A decrease in total revenue received by the course.
- ► **An increase in total revenue received by the course.**

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► No change in total revenue received by the course.

► An increase in the amount of golf played on the course.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

► 20 percent decrease in the quantity of boots demanded.

► **2 percent increase in the quantity of boots demanded.**

► 0.2 percent increase in the quantity of boots demanded.

► 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► The consumer would not spend any additional income to buy more of that good.

► Consumption of additional units would have positive marginal utility.

► Total utility is minimized.

► **Total utility is also zero**.

Question No: 5 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

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► Risk loving.

► **Risk neutral**.

► Risk averse.

► Insufficient information for a decision.

Question No: 6 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.

► **The marginal rate of substitution**.

► The consumer's marginal utility.

► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

► **Price < Average Total Cost**.

► Price > Average Total Cost.

► Price < Average Variable Cost.

► Price = Marginal Cost.

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Question No: 8 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- **The demand curve is tangent to marginal cost curve.**
- The demand curve is tangent to average cost curve.
- The marginal cost curve is tangent to average cost curve.
- The demand curve is tangent to marginal revenue curve.

Question No: 9 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- Normal good.
- A substitute good.
- A complementary good.
- **Inferior good.**

Question No: 10 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- Positive issues.
- **Normative issues.**
- Micro issues.

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► Macro issues.

Question No: 11 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► **Wage.**

► Interest rate.

► Price of output.

► Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

► The amount of factors of production (such as labor and capital) increases.

► The amount of factors of production (such as labor and capital) decreases.

► **Prices of inputs (such as wages or oil prices) increase.**

► Prices of inputs (such as wages or oil prices) decrease.

Question No: 13 (Marks: 1) - Please choose one

During periods of high unemployment, the preferred policy of Keynesian economics is:

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► A recessionary gap.

► **Expansionary fiscal policy.**

► Contractionary monetary policy.

► Waiting for self-correction to work.

Question No: 14 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

► If there is a decrease in the expected inflation rate.

► If there is an increase in the expected inflation rate.

► If there is a decrease in the natural rate of unemployment.

► If there is a favorable supply shock.

Question No: 15 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

► Foreign income.

► The differential between domestic and foreign interest rates.

► The real exchange rate.

► **All of the given options.**

Question No: 16 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

What does the term "balance of payment deficit" refer to?

- ► **An increase in official international reserves.**
- ► A positive statistical discrepancy.
- ► A negative statistical discrepancy.
- ► A decline in official international reserves.

Question No: 17 (Marks: 1) - Please choose one

Which of the following may cause an increase in national income?

- ► **Rise in exports.**
- ► Rise in imports.
- ► Fall in consumer spending.
- ► Increase in saving.

Question No: 18 (Marks: 1) - Please choose one

The principle which states that a change in investment causes a magnified change in income is termed as the:

- ► Water paradox.
- ► Paradox of thrift.
- ► **Accelerator effect.**

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► Multiplier effect.

Question No: 19 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

► Greater than 0 but less than 1.

► **Greater than 1.**

► Less than 0.

► Equal to 1.

Question No: 20 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

► **They must intersect with TC cutting TR from below.**

► They must intersect with TC cutting TR from above.

► They must be tangent to each other.

► They must have the same slope.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

► **V and Q are assumed to be constant.**

► The money supply is assumed to be produced by the banking system and not exclusively in currency.

► The quantity of money is assumed to determine the amount of Real GDP.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► M and P are considered constant.

Question No: 22 (Marks: 1) - Please choose one

What will be the impact of a decrease in the money supply in an economy?

► Interest rate increases, investment and GDP reduce.

► Interest rate increases, investment increases and GDP reduce.

► Interest rate reduces, investment and GDP increase.

► **Interest rate reduces, investment and GDP reduce.**

Question No: 23 (Marks: 1) - Please choose one

A growing country is one with:

► **Rising GNP at constant prices.**

► Rising GNP at current prices.

► Constant GNP at constant prices.

► None of the given options.

Question No: 24 (Marks: 1) - Please choose one

According to Classical economists, macroeconomic equilibrium will occur in an economy if:

► Savings = Investment

► Government spending = Taxes

► Exports = Imports

► **All of the given conditions hold.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 25 (Marks: 1) - Please choose one

The process of converting a stream of future incomes and expenses into a present value is known as:

- **Discounting.**
- Compounding.
- Hyperbolic discounting.
- None of the given options.

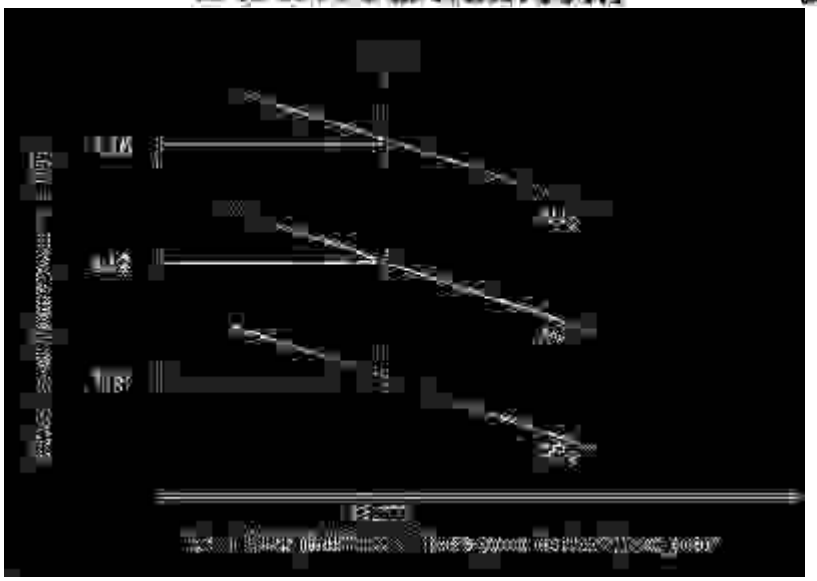
Question No: 26 (Marks: 1) - Please choose one

Which of the following is the best example of a public good?

- A cup of coffee.
- A monthly magazine.
- A haircut.
- **An interstate highway.**

Question No: 27 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.



Refer to the above figure, the potential output in this economy is:

- ► $7,000 billion at a price level of 1.16.
- ► $7,000 billion at a price level of 1.12.
- ► $7,000 billion at a price level of 1.08.
- ► **All of the given options.**

Question No: 28 (Marks: 1) - Please choose one

The Keynesian revolution in macroeconomics was that:

- ► Capitalist economies were self-correcting.
- ► A gold standard was not necessary to control inflation.
- ► Unemployment can be viewed as being voluntary.
- ► **Government has a role in maintaining full employment.**

Question No: 29 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The natural rate of unemployment is likely to fall if:

► Unemployment benefits increase.

► Income tax increases.

► **More training is available for the unemployed.**

► Geographical immobility increases.

Question No: 30 (Marks: 1) - Please choose one

The relationship between inflation and unemployment is usually that:

► **Unemployment changes do not directly lead to changes in inflation, but inflation changes may cause changes in unemployment.**

► As unemployment falls, nothing happens to inflation.

► As unemployment falls, inflation falls.

► As unemployment falls, inflation increases.

Question No: 31 (Marks: 1) - Please choose one

When agents base their decisions on their expectations about inflation, it is known as:

► Quantity theory of money.

► **Money illusion.**

► Demand pull inflation.

► Cost push inflation.

Question No: 32 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Disposable Personal Income $	Consumption $
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is $400, what is the amount of personal saving?

- ► −$40.
- ► −$20.
- ► $0.
- ► **$20.**

Question No: 33 (Marks: 1) - Please choose one

Economic growth occurs when there is an increase in:

- ► Wage rates.
- ► The inflation rate.
- ► **Aggregate demand.**
- ► The productive capacity of an economy.

Question No: 34 (Marks: 1) - Please choose one

Development is impossible without:

- ► Incentive to profit.
- ► Foreign aid.
- ► Domestic savings.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Inflation.**

Question No: 35 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

► **The average propensity to save.**

► The interaction of supply and demand.

► The law of comparative costs.

► The rate of capital accumulation.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

► Improved rate of capital formation.

► **Increase in money supply.**

► Increase in investment in education and training.

► Rapid technical progress.

Question No: 37 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

► Output per worker will grow more rapidly than before.

► The level of output per worker will be higher than before.

► The amount of capital per worker will be the same as before.

► **All of the given options.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 38 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- ► High birth rates only.
- ► Low death rates only.
- ► High birth rate and low death rate.
- ► **Higher standard of living.**

Question No: 39 (Marks: 1) - Please choose one

A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

- ► Value-added tax.
- ► Regressive tax.
- ► **Proportional tax**.
- ► Progressive tax.

Question No: 40 (Marks: 1) - Please choose one

The taxes on alcohol, tobacco, and gasoline are categorized as:

- ► Sales tax.
- ► **Excise tax.**
- ► Corporate income tax.
- ► Personal income tax.

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Question No: 41 (Marks: 1) - Please choose one

Which of the following is part of M1?

I. Savings deposits.

II. Cash in your hand.

III. Checking deposits.

► **I and III.**

► II and III.

► I only.

► II only.

Question No: 42 (Marks: 1) - Please choose one

Which of the following is TRUE about credit cards?

► It is not money.

► It is not money, because they can't be used to purchase goods and services.

► It is considered to be money.

► **It is counted as a part of M2 but not M1.**

Question No: 43 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

► **Small.**

► Heavy.

► Unchanged.

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► Zero.

Question No: 44 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

► Small.

► **Heavy.**

► Unchanged.

► Zero.

Question No: 45 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

► **The balance of trade.**

► The macroeconomic consequences of financial flows associated with international trade.

► International investment opportunities for American multinational corporations.

► The relationships among world currency dealers.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

► **Higher rates of population growth.**

► Greater government control.

► A larger share of income used for investment.

► A smaller proportion of the labor force in agriculture.

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Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE about low income countries?

- ► Their production level is low.
- ► **All of the given are true.**
- ► Their savings are low.
- ► Their investment level is low.

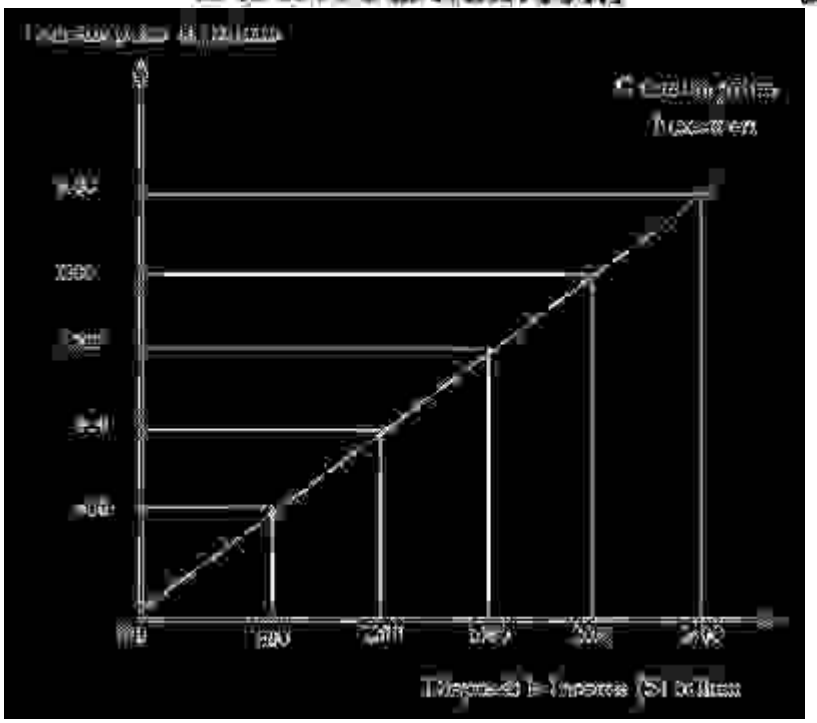
Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ► Higher per capita income.
- ► **Vicious circle of poverty.**
- ► High level of investment.
- ► High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

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Refer to the above figure, the marginal propensity to consume is:

► 0.25.

► **0.50.**

► 0.60.

► 0.67.

Question No: 50 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

► **The demand curve for computers shifts to the right.**

► The demand curve for computers shifts to the left.

► The supply curve for computers shifts to the right.

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► The supply curve for computers shifts to the left.

Question No: 51 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

► Immigration of skilled workers into the nation.

► An increase in the size of the working-age population.

► **A decrease in the size of the working-age population**.

► Increased production of capital goods.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

► **It will cause domestic producers competing with the imports to face huge losses.**

► It will cause the supply curve to shift to the left.

► It will cause the supply curve to shift to the right.

► It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► **The assumption of a diminishing marginal rate of substitution will be violated.**

► The assumption of transitivity will be violated.

► The assumption of completeness will be violated.

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► Consumers will minimize their satisfaction.

Question No: 54 (Marks: 1) - Please choose one

When there are diminishing returns holding at least one factor constant then:

► The marginal product of a factor is positive and rising.

► The marginal product of a factor is positive but falling.

► The marginal product of a factor is falling and negative.

► **The marginal product of a factor is constant.**

Question No: 55 (Marks: 3)

According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?

Answer No: 55

Keynes introduced demand-pull theory which emphasizes strongly the intervention of government into economy.

According to him economy may be boosted up by increasing expenditure. In the initial stage government can inject money in the form of investment and higher wage rate to the government employees. This will create higher demand which in return result in more investment by firms.

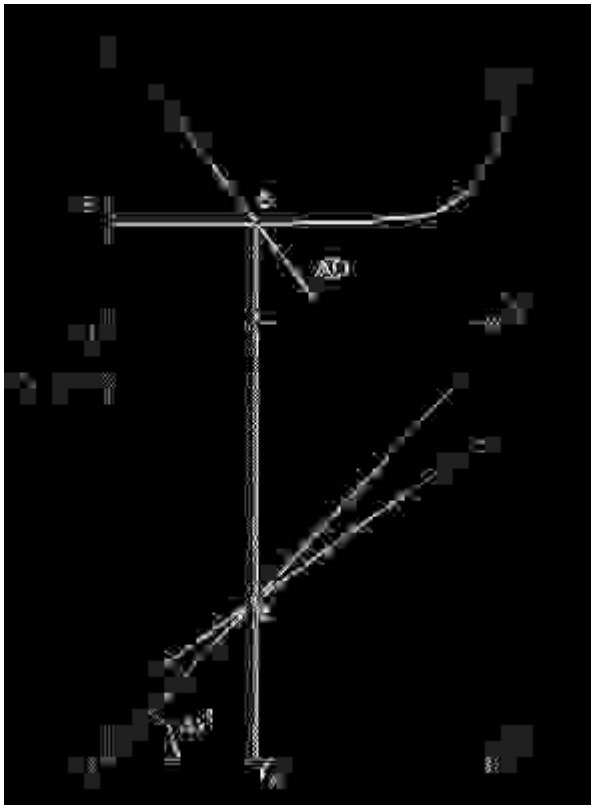
Question No: 56 (Marks: 5)

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

a) If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.

Answer No: 56 (a)



It will cause more short run demand in the economy and “e” will move to the right in P-Y space.

It will increase the consumption part of injection as well and “e” will move upward and right in W.J-Y space.

AD will curve will move to right in P-Y space resulting increasing short run output “Y”.

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b) Is there any multiplier effect? How it works in this case?

Answer No:56 (b)

Yes, multiplier effect exists there.

Keynes multiplier 1/mps is the variable which determines the injection level to create an hypothetical desired output.

(Marks: 3+2)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Answer No: 57

These are also called IMF's Stabilization Policies. These were concluded from neoclassical economics, known since 1990.

The objective of IMF was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and

external balance (sustainable BOP and external debt position).

The approach was "stabilization" through "demand" management.

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There are three tools of this policy as follows!

- Tight Monetary Policy
- Tight Fiscal Policy
- Devaluation

IMF Policies effected LIC's badly. There was a very high criticism on above said policies. The main points of criticism were as follows!

- **Short-term policy conflicts**
- **Devaluation** could raise prices of imports.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector.
- **Stabilization hurts the poor** expenditure cuts almost always fall partly on the social sectors.

Question No: 58 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

Answer No: 58 (a)

MV = PQ

100xV = 3 x 200

V = 600 / 100

V = 6

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b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

Answer No: 58 (b)

MV = PQ

M x 4 = 5 x 100

M = 500 / 4

M = 125

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

Answer No: 58 (c)

MV = PQ

200 x 7 = P x 700

P = 1400 / 700

P = 2

d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

Answer No: 58 (d)

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MV = PQ

150 x 8 = 3 x Q

Q = 1200 / 3

Q = 400

(Marks: 2.5 each)

Question No: 59 (Marks: 10)

International monetary fund (IMF) suggests policies of stabilization "through demand management" to reduce poverty from developing countries. Discuss those policies. Were these policies successful? If not, give reasons.

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ► The economic perspective.
- ► Marginal analysis.
- ► Allocative efficiency.

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► **Opportunity cost.**

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

► **Inferior good.**

► Complementary good.

► Normal good.

► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

► All of the given options.

► Excess supply.

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► Equilibrium.

► **Excess demand.**

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► **Price.**

► Output.

Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.

► **14**.

► 83.

► 97.

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Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ► An increasing marginal rate of substitution.
- ► **A decreasing marginal rate of substitution.**
- ► A constant marginal rate of substitution.
- ► A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ► Price equals marginal cost.
- ► Marginal revenue and average total cost.
- ► Price equals marginal revenue.
- ► **None of the given options.**

The profit maximizing level of output is found by equating its marginal revenue with its marginal cost, which is the same profit maximizing condition that a perfectly competitive firm uses to determine its equilibrium level of output. Indeed, the condition that marginal revenue equal marginal cost is used to determine the profit maximizing level of output of *every firm, regardless of the market structure* in which the firm is operating.

Question No: 9 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

As compared to existing firms, a new firm entering in monopolist market has:

- ► **High costs**.
- ► Low costs.
- ► Equal costs.
- ► None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ► First-degree price discrimination.
- ► Second-degree price discrimination.
- ► **Third-degree price discrimination.**
- ► None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

- ► Collusion.
- ► Price discrimination.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Two-part tariff.

► **Bundling**.

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

► The good is a necessity.

► The good is a luxury.

► **The good is a Giffen good.**

► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

Figure

In figure given above, the marginal utility of income is:

► **Increasing as income increases.**

► Constant for all levels of income.

► Diminishes as income increases.

► None of the given options.

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Question No: 14 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

- ► Products are differentiated.
- ► **There is freedom of entry and exit into the industry in the long run.**
- ► The firm is a price maker.
- ► There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ► Positive issues.
- ► **Normative issues.**
- ► Micro issues.
- ► Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ► An increase in output level and a decrease in price.

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► A decrease in output level and an increase in price.

► **A decrease in output level and no change in price.**

► Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

► Duopoly.

► **Cartel**.

► Market sharing monopoly.

► Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

In the complete classical model, a rightward shift of the labor supply curve will:

► Decrease the price level and increase the nominal wage.

► Decrease the nominal wage and increase the price level.

► Decrease both the price level and the nominal wage.

► **Increase both the price level and the nominal wage.**

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Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ► An increase in the rate of inflation.
- ► A decrease in government expenditures.
- ► A decrease in investment spending.
- ► **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ► **Keynesian**.
- ► New classical.
- ► Old classical.
- ► New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ► Prior to the late 1700s.

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► From the late 1700s to the early 1900s.

► **From 1930s to 1970s.**

► Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

► Monetarism.

► Rational expectations.

► **Keynesian economics.**

► Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

► Both prices and output to rise.

► Prices to fall and output to remain unchanged.

► Both prices and output to fall.

► **Prices to rise and output to remain unchanged.**

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Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ► Direct use by the consumers.
- ► **Further processing.**
- ► The term do not exist.
- ► None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ► **Direct use by the consumers.**
- ► Further processing.
- ► The term do not exist.
- ► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ► The value of the house in which you live.
- ► **The balance in your savings account.**
- ► Your monthly consumption on food items.

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► The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

► Government debt.

► Capital.

► **The amount of money held by the public.**

► Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

All other things remain the same, Gross Domestic Product (GDP) will rise if:

► Imports rises.

► Exports falls.

► **Durable goods consumption rises**.

► Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from $5 trillion to $6 trillion and as a result, consumption expenditure increases from $7 trillion to $7.8 trillion, the Marginal Propensity to Consume is:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► 1.0.

► **0.8.**

► 5/7 = 0.71.

► 6/7.8 = 0.77.

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

► Average propensity to save.

► Average propensity to consume.

► Marginal propensity to save.

► **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

► 0.2.

► 0.4.

► 0.6.

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► 0.8.

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

► Number of employed / labour force x 100.

► **Number of unemployed / labour force.**

► (Number of unemployed / labour force) x 100.

► None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

► **Inverse relationship between the rate of inflation and unemployment rate.**

► Inverse relationship between the nominal and real wage.

► Direct relationship between unemployment and demand-pull inflation.

► Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

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► An increase in the overall level of economic activity.

► An increase in the overall price level.

► A decrease in the overall level of economic activity.

► **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

Is Grosss Domestic Product (GDP) an accurate measure of a country's well being?

► Yes, it is the best measure of national well being.

► **Yes, provided we use real GDP and not nominal GDP.**

► Uncertain, depending on whether GDP is rising or falling.

► No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

► **Is nominal GDP adjusted for changes in the price level**.

► Is also called nominal GDP.

► Measures GDP minus depreciation of capital.

► Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ► A higher output level than before.
- ► The same output level as before.
- ► **A lower output level than before.**
- ► The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A currency appreciation:

- ► **Reduces aggregate demand and increases aggregate supply.**
- ► Reduces both aggregate demand and aggregate supply.
- ► Increases aggregate demand and reduces aggregate supply.
- ► Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ► Paper currency and coins.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Paper currency, coins and check writing deposits.**

► Paper currency, coins, check writing deposits and savings deposits.

► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

► Is income received by individuals during a given year.

► Is the income individuals have available for spending during a given year.

► Equals national income minus indirect taxes.

► **Is the sum of wages plus interest received by individuals during a given year.**

Question No: 41 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

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► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period**.

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

► Real GDP includes only goods; nominal GDP includes goods and services.

► **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices**.

► Real GDP is equal to nominal GDP less the depreciation of the capital stock.

► Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

► GNP = GDP – Net income from abroad.

► **GNP = GDP + Net income from abroad.**

► GNP = NNP – Net income from abroad.

► GNP = NNP + Net income from abroad.

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Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

► All transactions in an economy during one-year period.

► All goods and services exchanged in an economy during one-year period.

► All final goods and services exchanged in an economy during one-year period.

► **All final goods and services produced in a domestic economy during one-year period**.

Question No: 45 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?

► MT=PV.

► VT=PM.

► **MV=PQ**.

► MY=VP.

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

► Overvalued exchange rate.

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► Undervalued exchange rate.

► Fixed exchange rate.

► **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation MV = PQ, according to the crude quantity theory of money:

► M has no effect on the price level.

► **V is the number of times each dollar is spent per year.**

► Q is the real price level.

► P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

► 45.

► Infinity.

► **1.**

► 0.

Question No: 49 (Marks: 1) - Please choose one

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In Keynesian economics, equilibrium can occur:

► Only at full employment level.

► Only at levels less than full employment.

► Only at levels greater than full employment.

► **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

► Only the amount demanded of capital decreases.

► Only the amount demanded of labor decreases.

► **Only the amount demanded of capital increases.**

► The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by

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people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

Question No: 52 (Marks: 10)

A. What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.

- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.

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(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contactionary Fiscal Policy	**Expansionary Fiscal Policy**
In conactionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

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(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.

- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.

- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor**: decrease in expenditure always badly effects the poor which can then cause political instability

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FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► **Consumer preferences.**
- ► The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ► **Increasing opportunity cost for both goods.**
- ► Increasing opportunity cost for good X but not for good Y.
- ► Increasing opportunity cost for good Y but not for good X.
- ► Constant opportunity cost for both goods.

Question No: 3 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

► There is a shortage of the product.

► There is a surplus of the product.

► The product is a normal good.

► The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

► As the price increases, consumers demand less.

► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.

► None of the given options.

► As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

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► The supply curve shifts to the left.

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

solution= Ped= % change in Q demand /% change in Q Price= 10%/12%= 0.5
where e>1 elastic

e<1 inelastic

► Perfectly elastic.

► Unit elastic.

► Elastic.

► Inelastic.

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from $15 to $17 and quantity demanded decreases by 20%. We can conclude:

► Demand is unitary elastic.

► Demand is elastic.

► The elasticity of demand is 2.

► **Total revenue will decrease.**

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Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

► Useless.

► Require.

► Necessary.

► **Satisfaction.**

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► The consumer would not spend any additional income to buy more of that good.

► Consumption of additional units would have positive marginal utility.

► Total utility is minimized.

► Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

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► **An inferior good.**

► A substitute good.

► An independent good.

► A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

► Decreasing marginal costs**.**

► **Increasing marginal costs.**

► Decreasing average variable costs.

► Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.

► Expenditure set.

► Isoquant.

► **Isocost.**

Question No: 13 (Marks: 1) - Please choose one

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When an isocost line is just tangent to an isoquant, we know that:

► Output is being produced at minimum cost.

► Output is not being produced at minimum cost.

► The two products are being produced at the medium input cost to the firm.

► The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

► A fixed cost.

► A variable cost.

► An implicit cost.

► An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

► Has perfect substitutes.

► Has no substitutes at all.

► **Has no close substitutes.**

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► Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

► Positive issues.

► **Normative issues.**

► Micro issues.

► Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

► Cournot model.

► Cobweb model.

► Dominant firm model.

► **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

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► Each firm considers its rival's output to be fixed.

► Each firm considers its rival's price to be fixed.

► Each firm believes rival will match all price changes.

► None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

► **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**

► Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.

► Organizations of independent firms, producing different products, that work together to raise prices and restrict output.

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► Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

► Upward sloping due to the law of demand.

► Upward sloping due to the law of marginal utility.

► **Downward sloping due to the law of diminishing returns.**

► Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

► Has self-correcting mechanisms.

► Can only be graphed with a horizontal curve.

► Never needs correction.

► None of the given options.

Question No: 23 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The long run aggregate supply curve will shift to the right if:

► The price level increases.

► **Factors of production (such as labor and capital) increase.**

► Expenditures (such as consumption and net exports) increase.

► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease**.**

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

► The best government is the least government.

► **Flexible wages and prices ensure full employment.**

► Monetary policy is far superior to fiscal policy.

► Business-cycle instability is best corrected through government policies.

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

► Short-run aggregate market.

► Production possibilities.

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► Imperfect competition.

► Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

► The exchange-rate effect.

► The wealth effect.

► The classical dichotomy / monetary neutrality effects.

► The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

► As firms increase their level of output, the cost of producing an extra unit increases.

► An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.

► Any increase in aggregate demand causes the output of producers to fall because the general price level rises.

► None of the given options.

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Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

► Keynesian economists actively promote the use of fiscal policy while the classical economists do not.

► Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

► Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.

► Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

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► Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

► **Three.**

► Four.

► Five.

► Six.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

► The value of the house in which you live.

► The balance in your savings account.

► **Your monthly consumption on food items.**

► The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

► Government debt.

► **Capital.**

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► The amount of money held by the public.

► Inventory investment.

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

delta consumtion/ delta income =40/50=.8

► 0.2.

► 0.4.

► 0.6.

► **0.8.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

► Real exchange rate.

► The production function.

► Real price level.

► Real interest rate.

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Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

► A deflationary gap.

► Hysteresis.

► Hyperinflation.

► An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

► The number of people employed minus the number of people unemployed.

► The number of people employed plus the number of people unemployed.

► Just the number of people employed.

► The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

► An increase in the overall level of economic activity.

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► An increase in the overall price level.

► A decrease in the overall level of economic activity.

► **A decrease in the overall price level.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

► Expansion; inflation.

► Recession; deflation.

► Expansion; deflation.

► Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

► Shift the Phillips curve to the left.

► Result in a decrease in the inflation rate along the Phillips curve.

► **Shift the Phillips curve to the right**.

► Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

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► If there is a decrease in the expected inflation rate.

► If there is an increase in the expected inflation rate.

► If there is a decrease in the natural rate of unemployment.

► **If there is a favorable supply shock.**

Question No: 41 (Marks: 1) - Please choose one

If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

► Appreciate.

► Depreciate.

► Not effect.

► All of the given are possible.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

► Market on which currencies of various nations are traded for one another.

► Price of one unit of foriegn good in terms of domestic good.

► Price of one unit of foriegn currency in terms of domestic currency.

► All of the given options.

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Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ► Private sector resource deficit.
- ► Government budget deficit.
- ► Private sector resource deficit + Government budget deficit.
- ► None of the given options.

Question No: 44 (Marks: 1) - Please choose one

In the exogenous growth model, if investment exceeds depreciation, the capital stock will ---------- and output will---------- until the steady state is attained.

- ► Increase; increase.
- ► Increase; decrease.
- ► Decrease; decrease.
- ► Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

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► Endogenous growth theory is a monetary theory whereas the Solow theory is a

real theory.

► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns**.**

► In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.

► All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

► Reduce net exports and therefore increase aggregate demand.

► Raise net exports and therefore decrease aggregate demand.

► Reduce net exports and therefore decrease aggregate demand.

► Raise net exports and therefore increase aggregate demand**.**

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

► Paper currency and coins.

► **Paper currency, coins and check writing deposits**.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Paper currency, coins, check writing deposits and savings deposits.

► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

► **State bank**.

► National bank.

► Finance minister.

► World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

► An increase in the price of imported computers.

► A fall in the purchasing power of US tourists in London.

► A fall in the price of imported computers.

► An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

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► Hyperinflation caused by excessive demand.

► Nervous investors selling all their shares, causing the stockmarket to crash.

► Unemployed workers not taking available jobs.

► Women being kept out of jobs traditionally held by men.

Question No: 51 (Marks: 5)

Briefly discuss the concept of comparative advantage with the help of example.

Question No: 52 (Marks: 10)

A. Differentiate between Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS).

B. Suppose a household has the consumption function (C) presented in the figure given below:

a. Find consumption when disposable income is $8,000 and $10,000.

b. Find consumption when disposable income is $ 6,000. How can a household consume more than its disposable income?

c. What is true for every point on the 45^0 line?

(Marks: 4+6)

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Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.

(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

(Marks: 2.5 each)

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FINALTERM EXAMINATION ECO401- Economics (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.

► Unemployment and interest rates.

► The behavior of individual firms and investors.

► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 2 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

► Votes taken by consumers.

► A central planning authority.

► Consumer preferences.

► The level of profits of firms.

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Question No: 3 (Marks: 1) - Please choose one

Ceteris paribus means:

► Equal access to public transportation.

► Other things being equal.

► Other things not being equal.

► All things considered.

Question No: 4 (Marks: 1) - Please choose one

A new technology which reduces costs for firms:

► Shifts the supply curve to the right.

► Shifts the supply curve to the left.

► Reduces the equilibrium quantity.

► Raises the equilibrium price.

Question No: 5 (Marks: 1) - Please choose one

If a 12% price reduction causes quantity demanded to rise by 12% then:

► Demand is inelastic.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Demand is elastic.

► Demand is perfectly elastic.

► Total revenue will remain constant.

Question No: 6 (Marks: 1) - Please choose one

A risk-averse individual has:

► A diminishing marginal utility of income.

► An increasing marginal utility of risk.

► An increasing marginal utility of income.

► A diminishing marginal utility of risk.

Question No: 7 (Marks: 1) - Please choose one

The break-even point occurs when:

► Price < Average Variable Cost.

► Price < Average Total Cost.

► Price = Average Total Cost.

► Price > Average Variable Cost.

Question No: 8 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Discrimination based upon the quantity consumed is referred to as:

- ► Second degree price discrimination.
- ► Third-degree price discrimination.
- ► First-degree price discrimination.
- ► All of the given options.

Question No: 9 (Marks: 1) - Please choose one

Which of the following can be thought of as a barrier to entry?

- ► Scale economies.
- ► Patents.
- ► Strategic actions by incumbent firms.
- ► All of the given options.

verified by **eemaan**

Question No: 10 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

- ► Elasticity of demand is < 1.
- ► Elasticity of demand is > 1.
- ► Demand is upward-sloping.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Demand is perfectly inelastic.

Question No: 11 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

► Products are differentiated.

► There is freedom of entry and exit into the industry in the long run.

► The firm is a price maker.

► There is one main seller.

Question No: 12 (Marks: 1) - Please choose one

Keynesian economics was largely developed to address the economic problems of the:

► Bank panic of 1907.

► Stagflation of 1970s.

► Great Depression of 1930s.

► English industrial revolution of the late 1700s.

Question No: 13 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

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► Prior to the late 1700s.

► From the late 1700s to the early 1900s.

► From 1930s to 1970s.

► Since 1970s.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

► Minimum wages.

► Flexible wages and prices.

► Extended periods of unemployment.

► Inequality between saving and investment.

Question No: 15 (Marks: 1) - Please choose one

The labour force is made up of:

► The number of people employed minus the number of people unemployed.

► The number of people employed plus the number of people unemployed.

► Just the number of people employed.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► The whole population.

Question No: 16 (Marks: 1) - Please choose one

The record of a country's transactions in goods, services and assets with the rest of the world is its:

► Current account.

► Balance of trade.

► Capital account.

► Balance of payments.

Question No: 17 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 18 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following is deducted from Gross National Product to get Net National Product?

- ► Indirect taxes.
- ► Depreciation.
- ► Direct taxes.
- ► Transfer payments.

Question No: 19 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ► The price level rises.
- ► Inventories decrease.
- ► Employment decreases.
- ► Aggregate output increases.

Question No: 20 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ► All four sectors only when the economy is at full employment.
- ► All four sectors at a specific aggregate production level.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► The household sector after taxes.

► The business and government sectors.

Question No: 21 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► The supply of non-cartel members is very price elastic.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is TRUE about the principle of multiplier?

► Any increase in aggregate spending that causes the aggregate demand curve to shift will result in a larger increase in national income.

► In the long run, the aggregate demand curve becomes relatively flat as the economy approaches full employment.

► Any increase in national income will result in a larger increase in aggregate spending.

► For any given increase in income, there will be a less than proportional increase in consumer spending.

Question No: 23 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

► Personal saving and private investment.

► Personal saving and personal consumption.

► Personal consumption and personal income.

► Personal consumption and private investment.

Question No: 24 (Marks: 1) - Please choose one

Which of the following best describes the deflation?

► It is an increase in the overall level of economic activity.

► It is an increase in the overall price level.

► It is a decrease in the overall level of economic activity.

► It is a decrease in the overall price level.

Question No: 25 (Marks: 1) - Please choose one

All of the following are the problems in the calculation of national income EXCEPT:

► Double counting.

► Improper records.

► Differences in the incomes of the individuals.

► Problem of exclusion and inclusion.

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Question No: 26 (Marks: 1) - Please choose one

This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

► Rs. 700 billion.

► Rs. 650 billion.

► Rs. 600 billion.

► Rs. 300 billion.

Question No: 27 (Marks: 1) - Please choose one

Which of the following best describes the "savings"?

► It is that part of income which is not consumed.

► It is that part of income which is not spent.

► It is that part of income which is paid out to others.

► It is that part of income which is hoarded.

Question No: 28 (Marks: 1) - Please choose one

According to Keynesians, macroeconomic equilibrium will occur in an economy if:

► Aggregate demand = Aggregate supply.

► Aggregate expenditures = Aggregate output.

► Withdrawals = Injections.

► All of the given conditions hold.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 29 (Marks: 1) - Please choose one

The demand for factors of production is derived from:

- ► Money market.
- ► Goods market.
- ► Stock market.
- ► Financial market.

Question No: 30 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ► Positive.
- ► Negative.
- ► Ambiguous.
- ► Very strong.

Question No: 31 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

- ► Horizontal wage rate lines and the marginal revenue product of labour.
- ► Vertical wage rate lines and the marginal revenue product of labour.
- ► Vertical wage rate lines and the marginal revenue product of capital.
- ► Horizontal wage rate lines and the marginal revenue product of capital.

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Question No: 32 (Marks: 1) - Please choose one

The rate at which the future incomes are discounted is known as:

► Interest rate.

► Inflation rate.

► Discount rate.

► Reserve requirement rate.

Question No: 33 (Marks: 1) - Please choose one

National defense is a good example of:

► Public good.

► Inferior good.

► Giffen good.

► Private good.

Question No: 34 (Marks: 1) - Please choose one

Suppose net exports decreases by $100 million due to a slump in foreign economies. If the value of multiplier is 2, what will happen to the domestic aggregate demand curve?

► Since less will be produced, the aggregate demand does not shift. The aggregate supply curve shifts to the left by $100 million at each price level.

► It shifts to the left by $50 million at each price level.

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► It shifts to the left by $100 million at each price level.

► It shifts to the left by $200 million at each price level.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is TRUE?

► Accelerator coefficient = Marginal capital / output ratio.

► Accelerator coefficient > Marginal capital / output ratio.

► Accelerator coefficient < Marginal capital / output ratio.

► None of the given options.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the best measure of the economic cost of higher unemployment?

► The loss of potential exports for the economy.

► The loss of tax revenue.

► The increase in social security benefits paid by the government.

► The output of goods and services the unemployed workers could have produced.

Question No: 37 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

► A reduction in the number of new entrants into the labor force.

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► An increase in the growth rate of the capital stock.

► A reduction in the corporate profits tax.

► An increase in the level of unemployment compensation paid to unemployed workers.

Question No: 38 (Marks: 1) - Please choose one

Evidence suggests that all countries with very high _____ also have very high _____.

► Inflation rates; money growth rates.

► Unemployment rates; GDP growth rates.

► GDP growth rates; government budget deficits.

► Government budget deficits; inflation rates.

Question No: 39 (Marks: 1) - Please choose one

In the equation of exchange, if velocity is stable in the long run then:

► $\%\Delta V = 0$.

► $\%\Delta V = 1$.

► $\%\Delta V$ is a positive constant value > 0.

► $\%\Delta V$ = infinity.

Question No: 40 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Disposable Personal Income $	Consumption $
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is $400, what is the amount of personal saving?

- ► −$40.
- ► −$20.
- ► $0.
- ► $20.

Question No: 41 (Marks: 1) - Please choose one

The act of increasing the price of one country's currency in terms of other currencies by the government is known as:

- ► Revaluation.
- ► Devaluation.
- ► Appreciation.
- ► Depreciation.

Question No: 42 (Marks: 1) - Please choose one

If net exports are negative, this implies that the country has a:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ► Trade surplus.
- ► Trade deficit.
- ► Government budget surplus.
- ► Government budget deficit.

Question No: 43 (Marks: 1) - Please choose one

If net exports are positive, this implies that the country has:

- ► Trade surplus.
- ► Trade deficit.
- ► Government budget surplus.
- ► Government budget deficit.

Question No: 44 (Marks: 1) - Please choose one

A change from $1.00 = Rs. 82.00 to $1.00 = Rs. 80.00 represents:

- ► An appreciation of the dollar.
- ► An appreciation of the rupee.
- ► Depreciation of the rupee.
- ► None of the given options.

Question No: 45 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- The average propensity to save.
- The interaction of supply and demand.
- The law of comparative costs.
- The rate of capital accumulation.

Question No: 46 (Marks: 1) - Please choose one

Permanent growth rate depends on the saving rate and technological progress in which of the following models?

- Endogenous growth model.
- Exogenous growth model.
- Rostow's growth model.
- None of the given options.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is a largest component of M1?

- Checking deposits.
- Credit card balances.
- Debit card balances.
- Savings deposits.

Question No: 48 (Marks: 1) - Please choose one

In which of the following conditions, a current account deficit exists?

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► When net exports are positive.

► When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.

► When a country has a trade deficit.

► When an economy buys less from foreigners than it sells to them.

Question No: 49 (Marks: 1) - Please choose one

What is TRUE about economic growth in general?

► Economic growth has a greater impact on people's welfare in high income countries than in low income countries.

► In low income countries, economic growth makes rich people richer and poor people poorer.

► Economic growth makes most people, including most poor people, better off.

► Economic growth worsens income inequality in the short-run but is successful in the long run.

Question No: 50 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

► The demand curve for airline travel shifts left.

► The demand curve for airline travel shifts right.

► The supply curve of airline travel shifts left.

► The supply curve of airline travel shifts right.

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Question No: 51 (Marks: 1) - Please choose one

What will happen if there is an increase in the raw material costs, other things remaining the same?

► The supply curve will shift to the left.

► The supply curve will shift to the right.

► Output will increase regardless of the market price and the supply curve will shift upward.

► Output will decrease and the market price will also decrease.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

► **It will cause domestic producers competing with the imports to face huge** losses.

► It will cause the supply curve to shift to the left.

► It will cause the supply curve to shift to the right.

► It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Suppose there are two goods A and B. What will happen to the budget line if prices of both goods increase by the same percentage?

► It will shift parallel to the left.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► It will shift parallel to the right.

► It will pivot about the x axis.

► It will pivot about the y axis.

Question No: 54 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.

► 5.

► 5 + (200/Q).

► None of the given options.

Question No: 55 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why? Discuss.

Question No: 56 (Marks: 5)

Mention the situations in which imposing a tax is better than not imposing it.

Question No: 57 (Marks: 5)

Consider the following table. Find out the GNP and NNP from this information.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Items	Amount (billion rupees)
Personal consumption expenditures	458
Gross domestic private investment	169
Government expenditure on goods and services	78
Gross domestic public investment	27
Exports surplus	15
Net foreign investment	17
Depreciation cost	28

Question No: 58 (Marks: 10)

Discuss the causes of low per capita income in Pakistan. How can the standard of living of the people of Pakistan be raised? Suggest suitable measures in this context.

Question No: 59 (Marks: 10)

(A) Mention the factors which could cause a downward shift of the LM curve

(B) Discuss the joint equilibrium in goods and money market with the help of graph.

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Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

► **There is a shortage of the product**.

► There is a surplus of the product.

► The product is a normal good.

► The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

► Less than 0.

► Equal to 0.

► Greater than 0.

► **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► **Decrease hours of work.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Not change hours of work.

► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

► Economies of scale; constant returns to scale.

► Constant returns to scale; decreasing returns to scale.

► Decreasing returns to scale; economies of scale.

► Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

An isoquant curve shows:

► All the alternative combinations of two inputs that yield the same maximum total product.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Total costs are the sum of:

► Marginal costs and variable costs.

► Fixed costs and variable costs.

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

► First-degree price discrimination.

► Second-degree price discrimination.

► Third-degree price discrimination.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► A higher price reduces quantity demanded.

► A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1.

► Elasticity of demand is > 1.

► Demand is upward-sloping.

► Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► Wage.

► Interest rate.

► Price of output.

► Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

► Price level and quantity are flexible.

► Prices would get stuck at a low level.

► The long run aggregate supply would shift to the left.

► Prices and wages are flexible.

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Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

► Direct use by the consumers.

► Further processing.

► The term do not exist.

► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

► A change in consumption to a change in disposable income.

► A change in consumption to total disposable income at a specific income level.

► Total consumption to total disposable income at a specific income level.

► Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

► Average propensity to save.

► Average propensity to consume.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Marginal propensity to save.**

► Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

► Structural Unemployment.

► Regional Unemployment.

► **Frictional Unemployment**.

► Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

► **An increase in costs of production**.

► An increase in productive capacity.

► An increase in the level of direct taxation.

► An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

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► An increase in official international reserves.

► A positive statistical discrepancy.

► A negative statistical discrepancy.

► A decline in official international reserves.

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

► Increase Government expenditure and decrease taxes to decrease aggregate demand.

► Increase Government expenditure and decrease taxes to increase aggregate demand.

► Decrease Government expenditure and increase taxes to increase aggregate demand.

► Decrease Government expenditure and increase taxes to decrease aggregate demand.

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.

► Must be giffen.

► Can be normal or inferior.

► Must be normal.

Question No: 20 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

► Both prices and output to rise.

► Prices to fall and output to remain unchanged.

► Both prices and output to fall.

► Prices to rise and output to remain unchanged.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE according to classical economists?

► Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.

► Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 22 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

► Because it is difficult to measure the prices of intermediate goods produced.

► Because these are the only goods and services that are purchased in an economy.

► Because counting all goods and services would lead to double-counting of many activities.

► Because one cannot calculate the quantities of intermediate goods produced.

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Question No: 23 (Marks: 1) - Please choose one

---------- plays an important role in making sure that the economy reaches and stays at equilibrium at the potential output level.

► Real exchange rate.

► The production function.

► Real price level.

► Real interest rate.

Question No: 24 (Marks: 1) - Please choose one

Why a $1 increase in government spending will have a larger impact upon national income than a $1 tax cut?

► Because the government prints the currency it spends.

► Because not all of the tax cut is spent.

► Because when taxes are cut, government spending is also cut.

► Because taxes are an injection into the system.

Question No: 25 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

► State bank of Pakistan.

► National bank of Pakistan.

► Finance minister of Pakistan.

► World bank.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 26 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

► Two countries produce the same goods at the same costs.

► Two countries produce different goods at different costs.

► Two countries are isolated.

► Two countries have the same markets.

Question No: 27 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

► 1000+1500+2500 = Rs. 5000

► 1000+500+2500 = Rs. 4000

► 1000+500+1000 = Rs. 2500

► 1000+1500+1000 =Rs. 3500

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines "subsidies"?

► Payment by Government for purchase of goods and services.

► Payment by business enterprises to factors of production.

► Payment by companies to share holders.

► Payment by Government to business enterprises without buying any goods and services.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 29 (Marks: 1) - Please choose one

National product at market prices incorporate:

► **Prices which buyers actually pay.**

► Payments made to the factor owners.

► Costs incurred in producing goods and services.

► Costs minus subsidies.

Question No: 30 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

► **ΔC to ΔY_d is 0.95.**

► C / Y_d is 0.95.

► ΔY_d to ΔC is 0.95.

► Y_d / C is 0.95.

Question No: 31 (Marks: 1) - Please choose one

When MPC is 0.80 and APC is 0.95 then MPS is:

► **0.20 and APS is 0.05.**

► 0.05 and APS is 0.20.

► 0.20 and APS is 0.20.

► 0.05 and APS is 0.05.

Question No: 32 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following are leakages from the circular flow?

► Consumption and saving.

► Saving and imports.

► Imports and exports.

► Exports and savings.

Question No: 33 (Marks: 1) - Please choose one

The time that a laborer uses for relaxation and all activities other than work or necessary sleep is known as:

► Free time.

► Leisure.

► Time not used for earning.

► All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

► The income effect of higher income dominates the substitution effect of higher wages.

► The substitution effect of higher income dominates the income effect of higher wages.

► The income effect of higher income dominates the price effect of higher wages.

► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The government supports research in basic science because:

► It is a public good.

► External costs are created.

► Internal benefits are created.

► Free markets would do so otherwise.

Question No: 36 (Marks: 1) - Please choose one

In classical theory, excess supply of a product would be associated with:

► Rising interest rates.

► Falling interest rates.

► Rising price for the product.

► Falling price for the product.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

► Domestic and foreign incomes.

► Relative price levels.

► Domestic and foreign trade policies.

► Producers' expectations about future prices.

Question No: 38 (Marks: 1) - Please choose one

A trade surplus occurs when:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► A country's firms open more stores abroad than foreign firms open in the country.

► A country sells more abroad than it purchases from abroad.

► Foreign firms open more stores in a country than the country opens in foreign countries.

► A country purchases more from abroad than other countries purchase from it.

Question No: 39 (Marks: 1) - Please choose one

A change from $1.00 = Rs. 80.00 to $1.00 = Rs. 85.00 represents:

► Depreciation of the dollar.

► An appreciation of the dollar.

► An appreciation of the rupee.

► None of the given options.

Question No: 40 (Marks: 1) - Please choose one

There is an increase in the economy's potential output when there is:

► An increase in government spending.

► A decrease in government spending.

► An increase in the economy's capital stock.

► An increase in the economy's depreciation rate.

Question No: 41 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Be poorer than countries with lower population growth.**

► Grow slower than countries with lower population growth.

► Grow higher than countries with lower population growth.

► Have lower marginal products of capital than countries with lower population growth.

Question No: 42 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

► High birth rates only.

► Low death rates only.

► **High birth rate and low death rate.**

► Higher standard of living.

Question No: 43 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

► Efficiency.

► **Equity.**

► Progressive tax.

► Regressive tax.

Question No: 44 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Laffer curve.**

► Demand curve.

► Supply curve.

► Investment curve.

Question No: 45 (Marks: 1) - Please choose one

The optimum tax rate in which government revenue is maximized lies somewhere between:

► 0% and 1%.

► **0% and 50%.**

► 50% and 100%.

► 0% and 100%.

Question No: 46 (Marks: 1) - Please choose one

Money is defined as an item that:

► **Serves as a medium of exchange for goods and services.**

► Can be converted into silver with relatively little loss in value.

► Can be converted into gold with relatively little loss in value.

► Facilitates a connecting link between credit instruments and debt instruments.

Question No: 47 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

► Quota.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Tariff.**

► Non-tariff barrier.

► Trade embargo.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

► Higher per capita income.

► **Vicious circle of poverty.**

► High level of investment.

► High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

► It can be used if and only if individuals are not risk-loving.

► It can be used if and only if individuals are risk averse.

► It can be used if and only if individuals are risk neutral.

► **It can be used no matter what a person's preference to risk**.

Question No: 50 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

► Positive, negative.

► Negative, normative.

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► Normative, positive.

► Positive, normative.

Question No: 51 (Marks: 1) - Please choose one

What will happen to the demand for product X, if there is an increase in consumer's income?

► It will necessarily remain unchanged.

► It will shift to the right if X is a complementary good.

► It will shift to the right if X is a normal good.

► It will shift to the right if X is an inferior good.

Question No: 52 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

► Output is being produced at minimum cost.

► Output is not being produced at minimum cost.

► The two products are being produced at the medium input cost to the firm.

► The two products are being produced at the highest input cost to the firm.

Question No: 53 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

► Decreasing returns to scale.

► Constant returns to scale.

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► Increasing returns to scale.

► None of the given options.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a firm will never operate?

► At the minimum of its average total cost curve.

► At the minimum of its average variable cost curve.

► On the downward-sloping portion of its average total cost curve.

► On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

A. Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

a) What is interest parity condition?

b) When does this condition hold?

c) What is the equation of this condition?

d) What will happen if the equality of the condition does not hold

ECO401- Economics (Session - 3)

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.

► The economy's production possibilities curve will become steeper.

► The economy will move downward along its production possibilities curve.

► **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

If both supply and demand increase simultaneously, the equilibrium:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Price must rise and the equilibrium quantity must fall.**

► Price must rise and the equilibrium quantity may either rise or fall.

► Quantity must rise and the equilibrium price may either rise or fall.

► Price must fall and the equilibrium quantity may either rise or fall.

Question No: 3 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.

► Prices rise.

► Incomes fall.

► **Incomes increase.**

Question No: 4 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► **Economies of scale.**

► Diseconomies of scale.

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► Decreasing returns to the labor inputs.

► Increasing returns to the labor inputs.

Question No: 5 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

► Average cost.

► Marginal cost.

► Fixed cost.

► Variable cost.

Question No: 6 (Marks: 1) - Please choose one

Graphically, marginal revenue is defined as:

► The slope of a line from the origin to a point on the total revenue curve.

► The slope of a line from the origin to the end of the total revenue curve.

► The slope of the total revenue curve at a given point.

► The vertical intercept of a line tangent to the total revenue curve at a given point.

Question No: 7 (Marks: 1) - Please choose one

The good produced by a monopoly:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Has perfect substitutes.

► Has no substitutes at all.

► **Has no close substitutes.**

► Can be easily duplicated.

Question No: 8 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.

► **The market price.**

► The first-degree price.

► The block price.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.

► A monopoly.

► **Monopolistically competitive.**

► Oligopolistic.

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Question No: 10 (Marks: 1) - Please choose one

Monopolistically competitive firms have monopoly power because they:

► Are great in number.

► Have freedom of entry.

► Are free to advertise.

► **Face downward sloping demand curves.**

Question No: 11 (Marks: 1) - Please choose one

The market structure in which there is interdependence among firms is:

► Monopolistic competition.

► **Oligopoly.**

► Perfect competition.

► Monopoly.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 12 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

► **Hire more labor.**

► Hire less labor.

► Maintain the same employment.

► Decrease output.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

► The amount of factors of production (such as labor and capital) increases.

► The amount of factors of production (such as labor and capital) decreases.

► **Prices of inputs (such as wages or oil prices) increase.**

► Prices of inputs (such as wages or oil prices) decrease.

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Question No: 14 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

► Government debt.

► Capital.

► The amount of money held by the public.

► **Inventory investment.**

Question No: 15 (Marks: 1) - Please choose one

The circular flow principle guarantees that in equilibrium:

► The level of investment spending will be equal to the level of private savings.

► The level of exports will be equal to the level of imports.

► **The level of aggregate demand will be equal to real Gross Domestic Product.**

► The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

► Unemployment benefits reduce the cost of job search.

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► Unemployment benefits encourage people to quit their jobs.

► Unemployment benefits reduce the benefits of additional job searching.

► Unemployment benefits enable people to quit searching for work.

Question No: 17 (Marks: 1) - Please choose one

The labour force is made up of:

► The number of people employed minus the number of people unemployed.

► The number of people employed plus the number of people unemployed.

► Just the number of people employed.

► The whole population.

Question No: 18 (Marks: 1) - Please choose one

The unemployment rate is equal to:

► Number of employed / labour force x 100.

► Number of unemployed / labour force.

► (Number of unemployed / labour force) x 100.

► None of the given options.

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Question No: 19 (Marks: 1) - Please choose one

M1 component of money supply consists of:

► Paper currency and coins.

► **Paper currency, coins and check writing deposits.**

► Paper currency, coins, check writing deposits and savings deposits.

► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 20 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.**

Question No: 21 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

To obtain the Net Domestic Product (NDP), start with Gross Domestic Product and subtract:

► Depreciation.

► Depreciation and indirect business taxes.

► Depreciation, indirect business taxes and corporate profits.

► Depreciation, indirect business taxes, corporate profits and social insurance contributions.

Question No: 22 (Marks: 1) - Please choose one

Fixed exchange rates may be preferred to floating exchange rates because with fixed exchange rates:

► There is greater stability of the exchange rate which encourages trade and investment.

► There is less likely to be a balance of payment deficit.

► There is less need for a country to hold large reserves of foreign currency.

► Interest rates can be used to meet domestic policy objectives such as keeping growth stable.

Question No: 23 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If the simple Keynesian expenditure multiplier is 4, the Marginal Propensity to Consume (MPC) is:

► **0.20.**

► 0.25.

► 0.50.

► 0.75.

Question No: 24 (Marks: 1) - Please choose one

Usually the shape of production possibilities curve is:

► **Concave.**

► Convex.

► Linear.

► Positive.

Question No: 25 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► **Cartel members have substantial cost advantages over non-member producers.**

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► The supply of non-cartel members is very price elastic.

Question No: 26 (Marks: 1) - Please choose one

"Decreases in aggregate demand decrease real output but leave the price level largely unaffected". This is the point of view of which of the following schools of thought?

► Monetarist school of thought.

► New Classical school of thought.

► Real business cycle school of thought.

► Keynesian school of thought.

Question No: 27 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

► Because it is difficult to measure the prices of intermediate goods produced.

► Because these are the only goods and services that are purchased in an economy.

► Because counting all goods and services would lead to double-counting of many activities.

► Because one cannot calculate the quantities of intermediate goods produced.

Question No: 28 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Suppose that your income increases from $80,000 to $100,000 and your consumption increases from $80,000 to $95,000. Your Marginal Propensity to Consume (MPC) is:

► 0.20.

► 0.45.

► **0.75.**

► 0.80.

Question No: 29 (Marks: 1) - Please choose one

Which of the following event will lead towards cost-push inflation and therefore stagflation?

► **An increase in taxes on individuals.**

► A decrease in real interest rates.

► A union settlement that increases wage levels.

► An increase in government purchases.

Question No: 30 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

► Its currency will appreciate.

► Its currency will depreciate.

► There will be no effect on its currency.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **All of the given options can be possible.**

Question No: 31 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

► A higher output level than before.

► **The same output level as before.**

► A lower output level than before.

► The Golden Rule output level.

Question No: 32 (Marks: 1) - Please choose one

Which of the following statements best describes the difference between endogenous growth theory and the Solow growth theory?

► Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.

► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.

► **In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.**

► All of the given options are correct.

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Question No: 33 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

► **State bank of Pakistan.**

► National bank of Pakistan.

► Finance minister of Pakistan.

► World bank.

Question No: 34 (Marks: 1) - Please choose one

What is the effect of double counting in national income calculations?

► Underestimation of national product.

► **Overestimation of national product.**

► Distortions in national product.

► Misleading conclusions about national product.

Question No: 35 (Marks: 1) - Please choose one

Which of the following best defines "subsidies"?

► Payment by Government for purchase of goods and services.

► Payment by business enterprises to factors of production.

► Payment by companies to share holders.

► **Payment by Government to business enterprises without buying any goods and services.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 36 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

► **Horizontal wage rate lines and the marginal revenue product of labour.**

► Vertical wage rate lines and the marginal revenue product of labour.

► Vertical wage rate lines and the marginal revenue product of capital.

► Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 37 (Marks: 1) - Please choose one

A movement along the aggregate demand curve is called a:

► Change in aggregate demand.

► Change in the aggregate quantity of goods and services demanded.

► Determinant of aggregate demand.

► **Revealed expenditure on aggregate demand.**

Question No: 38 (Marks: 1) - Please choose one

In the long run, the price level is determined by:

► Aggregate demand.

► Aggregate supply.

► The government.

► **Money supply.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 39 (Marks: 1) - Please choose one

The simple Keynesian aggregate supply curve is:

► Upward sloping as real GDP increases.

► Horizontal at GDP levels below full employment.

► **Based on the concept that all unemployment is voluntary.**

► Downward sloping as real GDP increases.

Question No: 40 (Marks: 1) - Please choose one

In the equation of exchange, if velocity is stable in the long run then:

► **%ΔV = 0.**

► %ΔV = 1.

► %ΔV is a positive constant value > 0.

► %ΔV = infinity.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is TRUE for the equation MV = PQ?

► M is the money supply.

► V is the velocity.

► Q is the real output level.

► **All of the given options.**

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Question No: 42 (Marks: 1) - Please choose one

The increase in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

► Revaluation.

► Devaluation.

► **Appreciation.**

► Depreciation.

http://groups.google.com/group/vuZs

Question No: 43 (Marks: 1) - Please choose one

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

► Revaluation.

► Devaluation.

► Appreciation.

► **Depreciation.**

Question No: 44 (Marks: 1) - Please choose one

As a definition of economic growth, an increase in real capita income is preferable to an increase in simply real GNP, because:

► Total GNP measures overall progress while per capita GNP measures improvement in productivity.

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► Total GNP measures goods and services produced while per capita GNP shows improvement in efficiency.

► Total GNP figures estimate the value of a country's total output while per capita GNP accounts for population growth and shows the availability per person of goods and services.

► **All of the given options.**

Question No: 45 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

► Output per worker will grow more rapidly than before.

► The level of output per worker will be higher than before.

► The amount of capital per worker will be the same as before.

► **All of the given options.**

Question No: 46 (Marks: 1) - Please choose one

The government has a balanced budget if:

► **Its total revenues are equal to its total expenditures.**

► Its total revenues are less than its total expenditures.

► Its total revenues are greater than its total expenditures.

► The money supply is less than total expenditures.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 47 (Marks: 1) - Please choose one

Tax on wages, rent, interest, and profit, is known as:

► **Direct tax.**

► Indirect tax.

► Progressive tax.

► Regressive tax.

Question No: 48 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

► Quota.

► **Tariff.**

► Non-tariff barrier.

► Trade embargo.

Question No: 49 (Marks: 1) - Please choose one

Which of the following is an example of a tariff?

► A limit on the total number of Honda cars that can be imported from Japan.

► A regulation specifying that each imported Honda car must meet certain emission exhaust guidelines.

► **A tax of $500 on each Honda car imported from Japan.**

► A tax of 10% of the value of each Honda car purchased in Japan.

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Question No: 50 (Marks: 1) - Please choose one

Which of the following is (are) the characteristic(s) of high income countries as compared to low income countries?

I. Lower rates of population growth.

II. Greater income inequality.

III. A large proportion of the labor force in agriculture.

IV. Higher rates of investment.

► I only.

► I and II.

► II and IV.

► I and IV.

Question No: 51 (Marks: 1) - Please choose one

The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?

► It is same in the long run and the short run.

► It is greater in the long run than in the short run.

► It is greater in the short run than in the long run.

► It is too uncertain to be estimated.

Question No: 52 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

What will be the impact of a ban on foreign firms from selling in the domestic market?

► It will cause domestic producers competing with the imports to face huge losses.

► **It will cause the supply curve to shift to the left.**

► It will cause the supply curve to shift to the right.

► It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

What is meant by the term utility?

► Useless.

► Require.

► Necessary.

► **Satisfaction**.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a welfare loss occurs in monopoly?

► Where the price is greater than the marginal cost.

► Where the price is greater than the marginal benefit.

► Where the price is greater than the average revenue.

► **Where the price is greater than the marginal revenue.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 55 (Marks: 3)

Briefly discuss the concept of Pareto Efficiency.

Question No: 56 (Marks: 5)

According to the values given in the following table, calculate the injections at each level of output.

Output (Y)	Saving (S)	Gross Imports (M)	Gross investment (I)	Gross exports (X)	Govt. Expenditures (G)	Taxes (T)
650	80	80	104	97	116	10
700	90	80	119	97	116	10
750	100	80	130	97	116	10
800	110	80	139	97	116	10
900	120	80	146	97	116	10

(Marks: 1 for each)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

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Zaini Lain www.vuaskari.com Zaini Lain

Question No: 58 (Marks: 10)

What is meant by marginal disutility of work? From the information given below, calculate the marginal cost and average cost at each level of output.

Online Economics Course			
Output	**Total Cost**	**Marginal Cost**	**Average Cost**
50	60,000	?	?
100	60,000	?	?
150	60,000	?	?
200	60,000	?	?
250	60,000	?	?
300	60,000	?	?

(Marks: 2+8)

Question No: 59 (Marks: 10)

Show the impact of following policies on IS-LM framework with the help of diagrams.

a) Expansionary monetary policy.

b) Expansionary fiscal policy.

FINALTERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 3)

Ref No: 1148947
Time: 120 min

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Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If the quantity supplied of oranges exceeds the quantity demanded then:

► There is a shortage of oranges.
► Market forces will cause the price to fall.
► Market forces will cause the price to rise.
► The market is in equilibrium.

Question No: 2 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

► An increasing marginal rate of substitution.

► A decreasing marginal rate of substitution.

► A constant marginal rate of substitution.

► A marginal rate of substitution that first decreases, then increases.

Question No: 3 (Marks: 1) - Please choose one

Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
► Continue to buy the same quantities of pizza and jeans.
► Spend more time consuming pizza.

Question No: 4 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

► An increase in the slope of the budget line.
► A decrease in the slope of the budget line.
► An increase in the intercept of the budget line.
► A decrease in the intercept of the budget line.

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Question No: 5 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ► Economies of scale.
- ► Diseconomies of scale.
- ► Decreasing returns to the labor inputs.
- ► Increasing returns to the labor inputs.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ► Marginal costs and variable costs.
- ► Fixed costs and variable costs.
- ► Fixed costs and marginal costs.
- ► Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ► Its entire marginal cost curve.
- ► The upward-sloping portion of its marginal cost curve.
- ► Its marginal cost curve above the minimum point of the average variable cost curve.
- ► Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 8 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ► Will make negative profit (lose money).
- ► Will make zero profit (break-even).
- ► Will make positive profit.
- ► Any of the given are possible.

Question No: 9 (Marks: 1) - Please choose one

The marginal revenue product is:

- ► Upward sloping due to the law of demand.

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► Upward sloping due to the law of marginal utility.
► Downward sloping due to the law of diminishing returns.
► Downward sloping due to the law of supply.

Question No: 10 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

► The price level increases.
► Factors of production (such as labor and capital) increase.
► Expenditures (such as consumption and net exports) increase.
► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 11 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

► Supply creates its own demand.
► Prices and wages are inflexible.
► Self-correction takes a long time.
► Consumption expenditures depend on disposable income.

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

► Direct use by the consumers.
► Further processing.
► The term do not exist.
► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

► Average propensity to save.
► Average propensity to consume.
► Marginal propensity to save.
► Marginal propensity to consume.

Question No: 14 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The investment demand curve shows the relationship between the levels of:

► Investment and consumption.
► Consumption and interest rate.
► Investment and interest rate.
► Investment and saving.

Question No: 15 (Marks: 1) - Please choose one

The circular flow principle guarantees that in equilibrium:

► The level of investment spending will be equal to the level of private savings.
► The level of exports will be equal to the level of imports.
► The level of aggregate demand will be equal to real Gross Domestic Product.
► The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

The real interest rate will increase:

► If there is an excess supply of loanable funds in the financial markets.
► If there is an excess demand for loanable funds in the financial markets.
► If there is an excess supply of loanable funds in the foreign exchange markets.
► If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 17 (Marks: 1) - Please choose one

The trend of unemployment over the last forty years is:

► A decrease in unemployment.
► It has remained largely unchanged.
► An increase in unemployment.
► It is too difficult to tell so don't bother.

Question No: 18 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

► If there is a decrease in the expected inflation rate.
► If there is an increase in the expected inflation rate.
► If there is a decrease in the natural rate of unemployment.
► If there is a favorable supply shock.

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Question No: 19 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ► Private sector resource deficit.
- ► Government budget deficit.
- ► Private sector resource deficit + Government budget deficit.
- ► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ► Steel Mill Privatization.
- ► Unemployment reduction.
- ► Expenditure and tax revenue.
- ► Increase in unemployment.

Question No: 21 (Marks: 1) - Please choose one

In Keynesian economics, an inflationary gap results if:

- ► Aggregate expenditures are less than aggregate production.
- ► Aggregate expenditures are greater than aggregate production.
- ► Aggregate expenditures are equal to aggregate production.
- ► There are no changes in inventories.

Question No: 22 (Marks: 1) - Please choose one

The accelerator is a related concept which formalizes the investment response to:

- ► Consumption.
- ► Interest rate.
- ► Output.
- ► None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

- ► The number of firms in the market.
- ► The extent to which any firm can influence the price of the product.
- ► The size of the firms in the market.
- ► The annual sales made by the largest firms in the market.

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Question No: 24 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.
► The firm's output is a small fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.

Question No: 25 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► Risk loving.
► Risk averse.
► Risk neutral.
► Rational.

Question No: 26 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

► Both prices and output to rise.
► Prices to fall and output to remain unchanged.
► Both prices and output to fall.
► Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

► Its currency will appreciate.
► Its currency will depreciate.
► There will be no effect on its currency.
► All of the given options can be possible.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements best reflects the implication of law of comparative advantage?

► Trade between two countries is always to the advantage of both.
► Trade between two countries can be to the advantage of both even though one may be more productively efficient at producing everything.
► Trade between two countries is to the advantage of both if countries import only those goods that they are incapable of producing themselves.

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► Trade between two countries is beneficial to both if the exporter uses less resource than the importer would use to produce the same quantity of goods.

Question No: 29 (Marks: 1) - Please choose one

Firm A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200. Which figure has to be used for finding the economy's product?

► Rs. 500 of firm A.
► Rs. 700 of firm B.
► Rs. 1200 of firm C.
► Total of all three Rs. 2400.

Question No: 30 (Marks: 1) - Please choose one

The largest contribution in value terms to Pakistan GNP is made by:

► Construction sector.
► Organized industries.
► Unorganized industries.
► Agriculture sector.

Question No: 31 (Marks: 1) - Please choose one

National income figures are:

► Very exact.
► Practically exact.
► Only estimates.
► Wrong.

Question No: 32 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

► ΔC to ΔY_d is 0.95.
► C / Y_d is 0.95.
► ΔY_d to ΔC is 0.95.
► Y_d / C is 0.95.

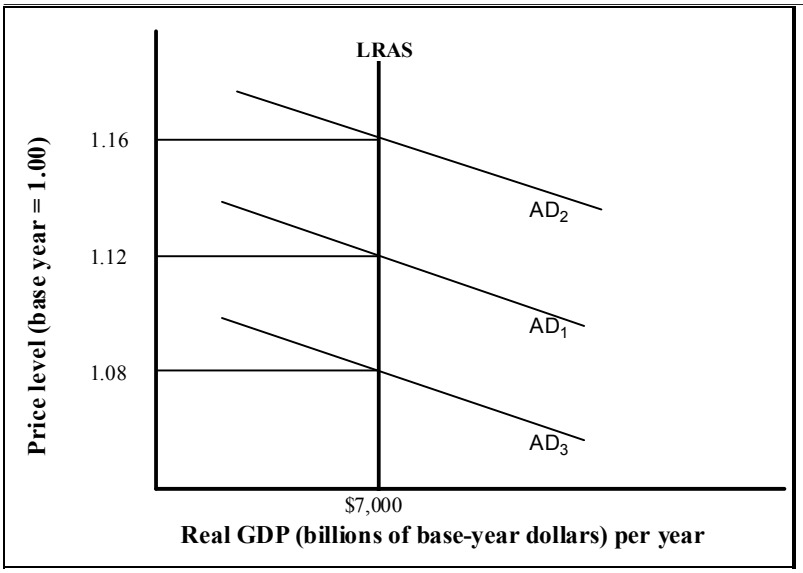
Question No: 33 (Marks: 1) - Please choose one

Which of the following describes the four sources of aggregate demand?

► Consumption, private investment, taxes, and expenditures.
► Consumption, private investment, wage increases, and government expenditures.
► Consumption, private investment, expenditures, and net exports.
► Consumption, private investment, government purchases, and net exports.

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Question No: 34 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

► $7,000 billion at a price level of 1.16.
► $7,000 billion at a price level of 1.12.
► $7,000 billion at a price level of 1.08.
► All of the given options.

Question No: 35 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

I. Wages.
II. Raw materials costs.
III. Government spending.
IV. Government regulations that increase the cost of doing business.

► I, II, III, and IV.
► I and III only.
► I, III, and IV.
► III only.

Question No: 36 (Marks: 1) - Please choose one

The short run in macroeconomic analysis is a period:

► In which wages and some other prices do not respond to changes in economic conditions.
► In which full wage and price flexibility and market adjustment have been achieved.
► Of less than 12 months.
► In which all macroeconomic variables are fixed.

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Question No: 37 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ► 1 − MPS = MPC
- ► 1 + MPS = MPC
- ► 1 / MPS = MPC
- ► 1 × MPS = MPC

Question No: 38 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is $1,200 billion, consumption is:

- ► $600 billion.
- ► $800 billion.
- ► $1,200 billion.
- ► $2,000 billion.

Question No: 39 (Marks: 1) - Please choose one

Unemployment generally ---------- when the "real" GDP grows rapidly.

- ► Remains the same.
- ► Decreases.
- ► Increases.
- ► All of the above are possible.

Question No: 40 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

- ► Consumer tastes for domestic and foreign goods.

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► Prices of goods at home and abroad.
► Costs of transporting goods from country to country.
► All of the given options.

Question No: 41 (Marks: 1) - Please choose one

Free trade is favoured because:

► Countries have less work to do.
► It leads to greater world efficiency i.e. resources are better utilized.
► Wealthier countries gain an advantage over underdeveloped countries.
► All countries gain from tariff imposition.

Question No: 42 (Marks: 1) - Please choose one

Devaluation is done to:

► Encourage exports.
► Discourage exports.
► Encourage imports.
► Encourage inflation.

Question No: 43 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

► It will result in a movement up along the aggregate demand curve.
► It will reduce aggregate supply.
► It will reduce aggregate demand.
► It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 44 (Marks: 1) - Please choose one

Which of the following is part of M1?

I. Savings deposits.
II. Cash in your hand.
III. Checking deposits.

► I and III.
► II and III.
► I only.
► II only.

Question No: 45 (Marks: 1) - Please choose one

Which of the following is (are) primary function (s) of a central bank?

IV. Act as a regulator of banks.
V. Issue government bonds.

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VI. Set monetary policy.

► I only.
► I and III.
► I and II.
► I, II and III.

Question No: 46 (Marks: 1) - Please choose one

What will be the impact of an increase of $1 in government purchases?

► It will shift the expenditure line upward by $1.
► It will shift the IS curve to the right by $1/ (1 - MPC).
► It will not shift the LM curve.
► All of the given options.

Question No: 47 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

► Developed countries.
► Progressed countries.
► Developing countries.
► High income countries.

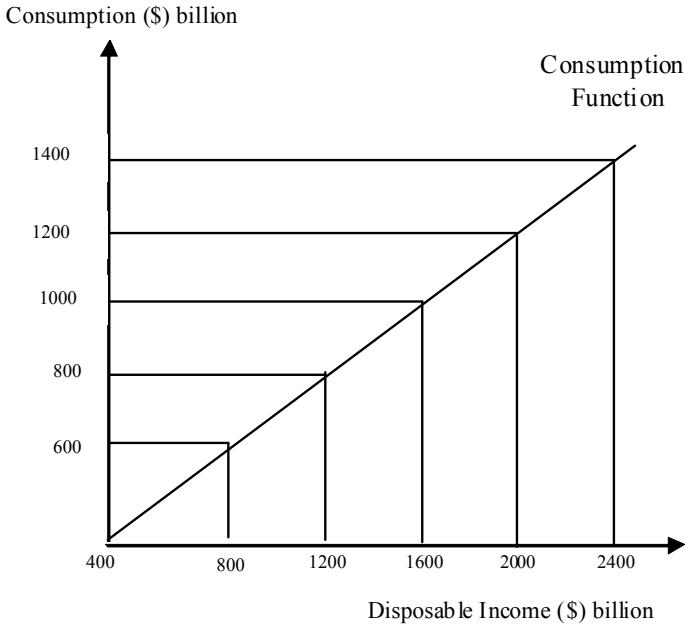
Question No: 48 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

► Higher rates of population growth.
► Greater government control.
► A larger share of income used for investment.
► A smaller proportion of the labor force in agriculture.

Question No: 49 (Marks: 1) - Please choose one

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Refer to the above figure, when disposable personal income is $2,000 billion:

- ► Personal saving is $1,200 billion.
- ► Consumption is $1,600 billion.
- ► Saving is $800 billion.
- ► Consumption is $800 billion.

Question No: 50 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ► One.
- ► Two.
- ► Three.
- ► Four.

Question No: 51 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ► It means that some resources are always unemployed.
- ► It means that an economy can produce more of one thing only by producing less of something else.
- ► It means that opportunity costs are constant.
- ► It means that business can sell more when prices are low.

Question No: 52 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following will happen if the current market price is set below the market clearing level?

► There will be a surplus to accumulate.
► There will be downward pressure on the current market price.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.

Question No: 53 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

► For an inferior good.
► A substitute good.
► For an independent good.
► For a normal good.

Question No: 54 (Marks: 1) - Please choose one

Which of the following is TRUE about the marginal product of labour in any production process?

► It is total output divided by total labour inputs.
► It is total output minus the total capital stock.
► It is the change in total output resulting from a 'small' change on the labour input.
► It is total output produced by labour inputs.

Question No: 55 (Marks: 3)

What are the different components of aggregate demand? Discuss briefly.

Aggregate demand is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and services in the economy that will be purchased at all possible price levels. There are four components of aggregate demand which are most important:

1. **Consumption:** Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time.
2. **Investment:** Investment (I) or gross capital formation is any economic activity that forgoes consumption today with an eye to increase output in future.
3. **Net Exports:** It is net demand from rest of world for country's output.
4. **Government Spending:** These are gross investments and consumption expenditure done by government.

Question No: 56 (Marks: 5)

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Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Difference between GNP and NNP:

- GNP is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country.

$$GNP = GDP + \text{net factor income from abroad}$$

- NNP is same application as NDP (National Domestic Product) which equal to GDP minus depreciation. Here, deprecation is amount which spends on capital goods that measure GNP. In other words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers.

Question No: 57 (Marks: 5)

Some economists suggest "growth through resource transfer" and "growth through stabilization and reforms" strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Growth trough resource transfer:
The businesses core resources transfer strategies are having close effect on customer satisfaction, production performance, and personnel expertise of the non-financial performance of business performances; but, these strategies show minor influences on the variance breadth of costs, sales performance, and development performance of business performances. For the growth of it, larger effect exists on the transfer of expertise, organizational learning, reputation and innovation of core resources. However, this strategy shows minor effect on the transfer of brand, management skills, interpersonal relationship, and management.

Growth through stabilization and reforms:
A stabilization strategy centers on addressing people's basic needs and opportunities at the local level by improving their access to basic services, by expanding economic opportunities and by promoting political/civic empowerment. Livelihood, for the purposes of this strategy, is defined as the combination of factors in a community that have a direct impact on the quality of individuals' lives. Those factors include the elements in a community that affect citizen well-being, prosperity, and future choices, such as income, health, education, security, water, small infrastructure and citizen participation.

Question No: 58 (Marks: 10)

(A) Following are the items of balance sheet of bank A

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Loans = 80
Deposits = 100
Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

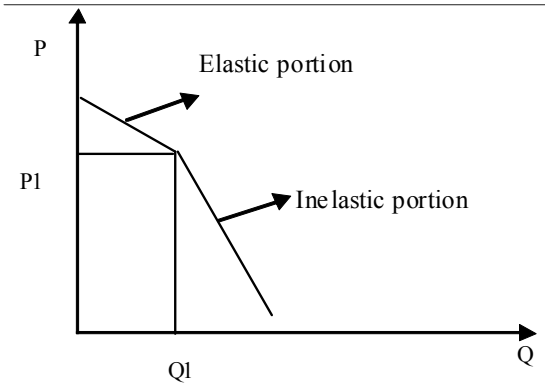
(B) Following are the items of balance sheet of bank A

Loans = 60
Deposits = 110
Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

(Marks: 5+5)

Question No: 59 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

FINALTERM EXAMINATION ECO401- Economics

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

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The concave shape of the production possibilities curve for two goods X and Y illustrates:

► **Increasing opportunity cost for both goods.**
► Increasing opportunity cost for good X but not for good Y.
► Increasing opportunity cost for good Y but not for good X.
► Constant opportunity cost for both goods.

The shape of a production possibility curve commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

► A decrease in equilibrium price and an increase in quantity of meal.
► An increase in equilibrium price and quantity of meal.
► **A decrease in equilibrium price and quantity of meal.**
► An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

► **Changes in demand are proportionately greater than changes in price.**
► Changes in demand are equal to changes in price.
► None of the given options.
► Changes in demand are proportionately smaller than changes in price.

For elastic demand curve, firm does not increase its prices. Because as prices increases, quantity Demanded decreases much larger. Decrease in

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quantity demanded is greater than the increase in prices. So firm will earn less revenue. So TR decreases as price increases.

Question No: 4 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

► Use.
► Pleasure.
► **Utility.**
► Satisfaction.

Utility is a numerical representation of a preference ranking

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

► Nominal income falls as the price of X falls.
► The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
► It is always downward sloping for a normal good.
► **It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.**

The price consumption curve (PCC) traces out the optimal choice of consumption at different prices. The PCC can be used to derive the demand curve, which shows the relationship between price & quantity demanded.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

► **Marginal revenue minus marginal cost.**
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

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marginal profit is the term used to refer to total when marginal cost is subtracted from marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

► Its entire marginal cost curve.
► The upward-sloping portion of its marginal cost curve.
► Its marginal cost curve above the minimum point of the average variable cost curve.
► Its marginal cost curve above the minimum point of the average total cost curve.

A perfectly competitive firm's supply curve is that portion of its marginal cost curve that lies above the minimum of the average variable cost curve.

Question No: 8 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

► The reservation price to each customer.
► Different prices for different blocks of the same good or service.
► Different groups of customers different prices for the same products.
► Each customer the maximum price that he or she is willing to pay.

Second degree price discrimination, allows the supplier to set different prices to the different groups and capture a larger portion of the total market surplus.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

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► Purely competitive.
► A monopoly.
► **Monopolistically competitive.**
► Oligopolistic.

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Question No: 10 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

► Monopolistic competition.
► **Oligopoly.**
► Pure competition.
► Pure monopoly.

Question No: 11 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

► The good is a necessity.
A good for which the "income elasticity of demand" is >0 & <1
► The good is a luxury.
A good for which the "income elasticity of demand" is > 1.

► **The good is a Giffen good.**
► None of the given options.

Goods for which the "quantity demanded" of one good does not depend upon the price of the other. (i.e. Pencils & cars). The "cross elasticity of demand" will be 0.

Question No: 12 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Consumption spending, investment expenditures, government expenditures and net exports are:

► The components of household income.

► The components of aggregate supply.

► **The components of aggregate demand**

► The components of government revenue.

AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

► Monetarism.
► Rational expectations.
► **Keynesian economics.**
► Neoclassical economics.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

► Minimum wages.
► **Flexible wages and prices.**
► Extended periods of unemployment.
► Inequality between saving and investment.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 15 (Marks: 1) - Please choose one

The real interest rate will increase:

► **If there is an excess supply of loanable funds in the financial markets.**
► If there is an excess demand for loanable funds in the financial markets.
► If there is an excess supply of loanable funds in the foreign exchange markets.
► If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

► Changes in government expectations of future output growth.
► Changes in household's expectations about future output growth.
► Changes in household's expectations about future risk.
► **Changes in investor's expectations about future profits.**

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

► An increase in official international reserves.
► A positive statistical discrepancy.
► A negative statistical discrepancy.
► **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

M1 component of money supply consists of:

► Paper currency and coins.
► **Paper currency, coins and check writing deposits.**
► Paper currency, coins, check writing deposits and savings deposits.

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► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

M1 includes currency held by the public, plus travelers' checks, demand deposits, other checkable deposits (including negotiable order of withdrawal (NOW) accounts, Automatic Transfer Service (ATS) accounts, and credit union share draft accounts).

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

► Comparative advantage.
► Comparative disadvantage.
► **Absolute advantage.**
► Absolute disadvantage.

Absolute advantage.: Capability of one producer to produce a given good using fewer resources than any other producer.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

► An increase in the price of imported computers.
► A fall in the purchasing power of US tourists in London.
► **A fall in the price of imported computers.**
► An increase in the purchasing power of UK tourists overseas.

A currency is said to depreciate in value if its exchange rate decreases, such as a decrease in the exchange rate of dollars from 0.5 pounds per dollar to 0.33 pounds per dollar. Currency depreciation makes exports from the country relatively less expensive resulting in more exports and usually fewer imports.

Question No: 21 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

► The dollar can now purchase more yen.
► The US trade balance with the Japanese economy has improved.
► **The yen can now purchase more dollars.**
► The dollar has depreciated relative to the yen.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from US$1=104 yen to US$1=110 yen. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

► The price level rises.
► Inventories decrease.
► Employment decreases.
► **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

In the Keynesian cross model, the aggregate expenditure line has a slope of:

► 1.
► 0.
► Infinity.
► **Less than 1.**

In the Keynesian cross model If we draw a graph with expenditure on the vertical axis, we can see that the Expenditure line should have a slope of (<1),

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Question No: 24 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

► Greater than 0 but less than 1.

► **Greater than 1.**

► Less than 0.

► Equal to 1.

If Ped > 1, then demand responds more than proportionately to a change in price i.e. **demand is elastic**.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

► These are considered as part of monopolistic competition.

► these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.

► **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**

► These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

► Raise price but not restrict output.

► Raise price and restrict output but not attain the monopoly profit.

► **Raise price and restrict output and therefore attain the monopoly profit.**

► Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

► Real GDP includes only goods; nominal GDP includes goods and services.

► Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.

► Real GDP is equal to nominal GDP less the depreciation of the capital stock.

► Real GDP is equal to nominal GDP multiplied by the CPI.

Nominal GDP: The total market value, measured in current prices,
Real GDP: The total market value, measured in constant prices

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

► Real GDP and nominal GDP will both remain constant.

► Real GDP will remain constant and nominal GDP will reduce by half.

► Real GDP will remain constant and nominal GDP will double.

► Real GDP will double and nominal GDP will remain constant.

Question No: 29 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.9, then the value of multiplier will be equal to:

► 2.

► 5.

► 8.

► 10.

NO IDEA... MAY BE WRONGE QUESTION

Question No: 30 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C

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manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- **► 1000+1500+2500 = Rs. 5000**
- ► 1000+500+2500 = Rs. 4000
- ► 1000+500+1000 = Rs. 2500
- ► 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

- ► Payment made to housewife.
- ► Pocket allowance to children.
- ► Maintenance allowance to old parents.
- **► All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- **► Positive.**
- ► Negative.
- ► Ambiguous.
- ► Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

- ► Competitive markets do not achieve equitable outcomes.
- ► Competitive markets do not achieve efficient outcomes.
- ► Government takes steps to intervene in markets.
- **► All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- **► Aggregate demand curve.**
- ► Average price level.

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► Circular flow model.
► GDP curve.

The aggregate demand curve illustrates the relationship between economic goods demanded and the price level, assuming all else is held constant (that is, under aceteris paribus assumption).

Question No: 35 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

► The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.
► The short-run aggregate supply and the long-run aggregate supply curves.
► The aggregate demand and the short-run aggregate supply curves.
► The aggregate demand and the long-run aggregate supply curves.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

V. Wages.
VI. Raw materials costs.
VII. Government spending.
VIII. Government regulations that increase the cost of doing business.

► I, II, III, and IV.
► I and III only.
► I, III, and IV.
► III only.

Question No: 37 (Marks: 1) - Please choose one

In the long run, the output level is determined by:

► Aggregate demand.
► Aggregate supply.
► The government.
► Household income.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Long run aggregate supply (LRAS): LRAS shows total planned output when both prices and average wage rates can change – it is a measure of a country's potential output and the concept is linked strongly to that of the **production possibility frontier**

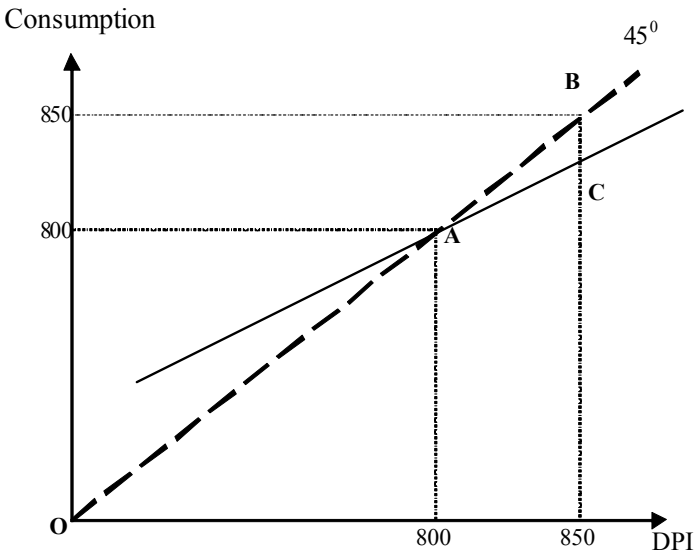
Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE?

► **1 − MPS = MPC**
► 1 + MPS = MPC
► 1 / MPS = MPC
► 1 × MPS = MPC

(MPS) is the fraction of the additional dollar of disposable income that is Saved. Thus, MPC = 1 – MPS.

Question No: 39 (Marks: 1) - Please choose one



The above figure shows disposable personal income on the horizontal axis and consumption per period on the vertical axis. Which of the following is TRUE at every point on the 45-degree line?

► The value of disposable income equals the sum of personal saving and consumption.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ► The value of disposable income equals consumption.
- ► The value of disposable income equals personal saving.
- ► The value of disposable income and consumption equals 1.

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- ► Reduce the real value of income tax free allowances.
- ► Reduce government spending on capital projects.
- ► Raise Value Added Tax (VAT).
- ► **Start public job training programs.**

Question No: 41 (Marks: 1) - Please choose one

In the long run, sustained inflation is due to:

- ► A one-time increase in money growth.
- ► **A continuous increase in the money growth rate.**
- ► A continuous increase in aggregate demand.
- ► The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

The situation when a country imports more than it exports is known as:

- ► **A trade deficit.**
- ► A trade surplus.
- ► An expansion.
- ► A recession.

A negative balance of trade, i.e. imports exceed exports. opposite of trade surplus.

Question No: 43 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ► Consumption.
- ► Gross private investment.
- ► **Government purchases.**
- ► Public investment.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 44 (Marks: 1) - Please choose one

The government has a balanced budget if:

- ► **Its total revenues are equal to its total expenditures.**
- ► Its total revenues are less than its total expenditures.
- ► Its total revenues are greater than its total expenditures.
- ► The money supply is less than total expenditures.

Question No: 45 (Marks: 1) - Please choose one

In general, personal income taxes:

- ► Rise automatically during a recession.
- ► **Rise automatically during an expansion.**
- ► Fall automatically during an expansion.
- ► Remains same in all phases of economic fluctuations.

Question No: 46 (Marks: 1) - Please choose one

A tax on individual's income is known as:

- ► Sales tax.
- ► . Excise tax
- ► Corporate income tax.
- ► **Personal income tax.**

Personal income tax: A tax on individual income. This is the primary source of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE for banks?

- ► **They deal with money only.**
- ► They deal with shares and assets.
- ► They not only deal with money but also create money.
- ► They deal with money but do not create money.

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Question No: 48 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

► Small.

► Heavy.

► Unchanged.

► Zero.

Question No: 49 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

► It will shift the IS curve to the left and decrease both the interest rate and the level of income.

► It will shift the IS curve to the right and increase both the interest rate and the level of income.

► It will shift the IS curve to the right and increase the level of income but decrease the interest rate.

► It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.

Question No: 50 (Marks: 1) - Please choose one

To determine whether an economy's output is growing or shrinking, one must keep track of:

► Changes in nominal GDP.

► Changes in the growth rate of nominal GDP.

► Changes in the general price level.

► Changes in real GDP.

Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.).

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

► The demand curve for airline travel shifts left.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ► The demand curve for airline travel shifts right.
- ► The supply curve of airline travel shifts left.
- ► The supply curve of airline travel shifts right.

The demand curve shifts left. Rail and airline travel are substitutes. If the price of a substitute declines, then the demand curve for the substitute product shifts to the left.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ► A reduction in unemployment.
- ► **An increase in the production of capital goods.**
- ► A reduction in discrimination.
- ► All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ► Consumers know their preferences.
- ► Consumers know their income levels.
- ► Consumers know the prices available.
- ► **Consumers can anticipate price changes.**

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

- ► Negative.
- ► **Positive.**
- ► Zero.
- ► Indeterminate from the given information.

As profit is maximized at the point where MR = MC,
Depending upon the level of AC at the point where MR=MC, the monopolist might be
earn supernormal profits, breaking even or minimizing short run losses.

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Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time.

Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

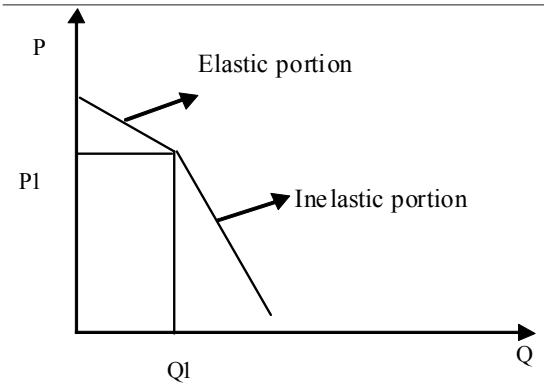
Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital. The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

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Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?
(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

The items of balance sheet of State Bank of Pakistan are given as follows:
Forex reserves = Rs. 500
Notes and coins = Rs. 800
Credit to government = Rs. 200
Government and commercial bank deposits = Rs. 300
Credit to private sector = Rs. 700
Liquidity paper = Rs. 300
Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► **Less ink to be demanded at each price.**
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 2 (Marks: 1) - Please choose one
A market is said to be in equilibrium when:
► Demand equals output.
► There is downward pressure on price.
► **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**
► All buyers are able to find sellers willing to sell to them at the current price.

Ref: A market is said to be in equilibrium when both buyers and sellers are satisfied.

Question No: 3 (Marks: 1) - Please choose one
As more of a good is consumed, then total utility typically:
► **Increases at a decreasing rate.**
► Decreases as long as marginal utility is negative.
► Decreases as long as marginal utility is positive.

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► Is negative as long as marginal utility is decreasing.

Question No: 4 (Marks: 1) - Please choose one
A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 5 (Marks: 1) - Please choose one
A monopolistically competitive firm in the long run equilibrium:

► Will make negative profit.
► **Will make zero profit.**
► Will make positive profit.
► Any of the given are possible.

Ref: A monopolistically competitive firm in the long run will always break even, or earn only normal profit ensured by entry and exit of firms.

Question No: 6 (Marks: 1) - Please choose one
The market structure in which strategic considerations are most important is:

► Monopolistic competition.
► **Oligopoly.**
► Pure competition.
► Pure monopoly.

Question No: 7 (Marks: 1) - Please choose one
The price elasticity of demand for any good must be less than or equal to zero unless:

► The good is a necessity.
► The good is a luxury.
► **The good is a Giffen good.**

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► None of the given options.

Ref: http://www.cengage.co.uk/nicholson/students/mcqs/ch04.htm

Question No: 8 (Marks: 1) - Please choose one

The textbook for your class was not produced in a perfectly competitive industry because:

► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.

► Upper-division microeconomics texts are not all alike.

► It is not costless to enter or exit the textbook industry.

► All of the given options.

Question No: 9 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

► **Products are differentiated.**

► There is freedom of entry and exit into the industry in the long run.

► The firm is a price maker.

► There is one main seller.

Question No: 10 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

► **An increase in output level and a decrease in price.**

► A decrease in output level and an increase in price.

► A decrease in output level and no change in price.

► Neither a change in output level nor a change in price.

Question No: 11 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► **Wage.**

► Interest rate.

► Price of output.

► Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

The aggregate supply curve is the relationship between:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► The price level and the real domestic output purchased.

► **The price level and the real domestic output produced.**

► The price level which producers are willing to accept and the price level purchasers are willing to pay.

► The real domestic output purchased and the real domestic output produced.

Ref:http://economics.uakron.edu/faculty/ghosh/2009/prinmacro/Chapter13_AggregateSupplyandDemand.pdf

Question No: 13 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

► The price level increases.

► **Factors of production (such as labor and capital) increase.**

► Expenditures (such as consumption and net exports) increase.

► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 14 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

► **Supply creates its own demand.**

► Prices and wages are inflexible.

► Self-correction takes a long time.

► Consumption expenditures depend on disposable income.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

► Government debt.

► **Capital.**

► The amount of money held by the public.

► Inventory investment.

Question No: 16 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

► Foreign income.

► The differential between domestic and foreign interest rates.

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► **The real exchange rate.**
► All of the given options.

Question No: 17 (Marks: 1) - Please choose one
Real GDP is equal to:

► **Nominal GDP – Inflation.**
► Nominal GDP + Inflation.
► Nominal GDP/ Inflation.
► Inflation / Nominal GDP.

Question No: 18 (Marks: 1) - Please choose one
If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

► GNP = GDP – Net income from abroad.
► **GNP = GDP + Net income from abroad.**
► GNP = NNP – Net income from abroad.
► GNP = NNP + Net income from abroad.

Question No: 19 (Marks: 1) - Please choose one
In Keynesian economics, if aggregate expenditures are less than aggregate output then:

► The price level rises.
► Inventories decrease.
► Employment decreases.
► **Aggregate output increases.**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is true about supply curve under monopoly?
► It is same as the competitive market supply curve.
► **It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.**
► It is the result of market power and production costs.
► None of the given statements is true.

Question No: 21 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

After the collusion, oligopolists are able to:

► Raise price but not restrict output.
► Raise price and restrict output but not attain the monopoly profit.
► **Raise price and restrict output and therefore attain the monopoly profit.**
► Restrict output but not raise price.

Question No: 22 (Marks: 1) - Please choose one

Which of the following event will lead towards cost-push inflation and therefore stagflation?

► **An increase in taxes on individuals.**
► A decrease in real interest rates.
► A union settlement that increases wage levels.
► An increase in government purchases.

Question No: 23 (Marks: 1) - Please choose one

Double counting in national income refers to:

► Counting a product more than once.
► **Counting a product at the final stage of output process.**
► Counting both as product and as factor payment.
► Counting both as real goods and as money flow.

Ref: http://www.google.com.pk/url?sa=t&source=web&ct=res&cd=1&ved=0CAYQFjAA&url=http%3A%2F%2Fwww.wiziq.com%2Fonline-tests%2F5920-general-economics&rct=j&q=%22Double+counting+in+national+income%22&ei=bk2CS8-jDp-psQa3ooi2BA&usg=AFQjCNGe57Z8lFrowykOmkW_qwWwZuMOOg

Question No: 24 (Marks: 1) - Please choose one

For knowing the spending capacity of the household sector, we have to use the concept of:

► **National income.**
► Personal income.
► Private income.
► Personal disposable income.

Question No: 25 (Marks: 1) - Please choose one

For a study of the long term growth of the economy, we use:

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► **Real GNP.**
► Nominal GNP.
► Personal income.
► Disposable personal income.

Ref: http://books.google.com.pk/books?id=tugDAAAAMBAJ&pg=PT81&lpg=PT81&dq=%22For+a+study+of+the+long+term+growth+of+the+economy,+we+use%22&source=bl&ots=_HLRcpeuvr&sig=2xoGxoF9ij6Xnhpl0etubXCDi0o&hl=en&ei=YE6CS-XQJpfgsAbvxITaBA&sa=X&oi=book_result&ct=result&resnum=1&ved=0CAcQ6AEwAA#v=onepage&q=%22For%20a%20study%20of%20the%20long%20term%20growth%20of%20the%20economy%2C%20we%20use%22&f=false

Question No: 26 (Marks: 1) - Please choose one

Which of the following is an example of a leakage?

► Saving.
► Investment.
► **Exports.**
► Government expenditures.

Question No: 27 (Marks: 1) - Please choose one

Total product of labor per day is shown in the following table and the price of the product is $10/unit. What is the value of the marginal product of labor (VMPL) of the 3rd worker?

Labor	Total Product
1	10
2	25
3	35
4	40
5	41

► 5.
► **10.**
► 50.
► 100.

Question No: 28 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

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► The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.

► The short-run aggregate supply and the long-run aggregate supply curves.

► The aggregate demand and the short-run aggregate supply curves.

► The aggregate demand and the long-run aggregate supply curves.

Ref: http://www.flatworldknowledge.com/pub/1.0/principles-macroeconomics/29991

Question No: 29 (Marks: 1) - Please choose one

What is the interest rate effect that explains why the aggregate demand curve slopes downward?

► It refers to the effect of changes in the price level on quantity of investment demanded which in turn affects interest rates.

► It refers to the effect of interest rates on borrowing which in turn affects consumption spending.

► It refers to the effect of changes in the price level on interest rates which in turn affects the quantity of investment demanded.

► It refers to the shifts in aggregate demand when interest rates change.

Question No: 30 (Marks: 1) - Please choose one

In the classical world, you could always get a job if you:

► Had a good education.

► Worked in an industry that was recession proof.

► Had unemployment in the manufacturing sector.

► Would accept a lower wage.

Question No: 31 (Marks: 1) - Please choose one

The level of output produced when the labor market is in equilibrium is called:

► Target output.

► Product market equilibrium output.

► Full-employment output.

► Natural output.

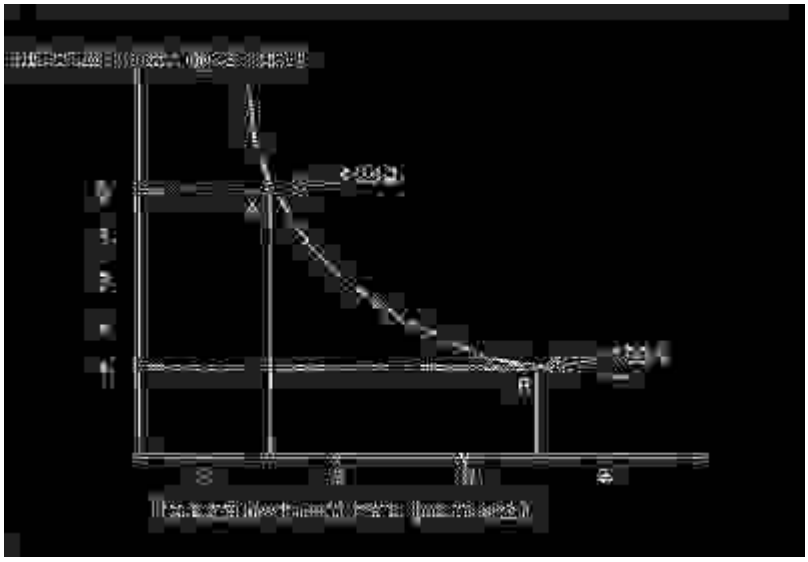
Question No: 32 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following economists came up with a theory regarding the tradeoff between unemployment and inflation?

- **► A.W. Phillips.**
- ► John Maynard Keynes.
- ► Joseph Schumpeter.
- ► Milton Friedman.

Question No: 33 (Marks: 1) - Please choose one



Refer to the above figure, moving from B to A shows a tradeoff of:

Refer to the above figure, moving from B to A shows a tradeoff of:

- ► More unemployment for less inflation.
- **► Less unemployment for more inflation.**
- ► A fixed amount of unemployment for more inflation.
- ► Less unemployment for less inflation.

Question No: 34 (Marks: 1) - Please choose one

Falling inflation means:

- ► That the price level is falling from one period to the next.

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► That the price level is falling at a decreasing rate.
► That the price level is falling at an increasing rate.
► **That the price level is increasing at a decreasing rate.**

Question No: 35 (Marks: 1) - Please choose one

Disposable Personal Income $	Consumption $
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is $300, what is the amount of personal saving?

► −$40.
► −$20.
► **$0.**
► $20.

Question No: 36 (Marks: 1) - Please choose one
The real exchange rate is defined as the:

► **Market exchange rate adjusted for prices.**
► Market exchange rate adjusted for interest rates.
► Market exchange rate.
► Exchange rate determined by the government.

http://groups.google.com/group/vuZs

Question No: 37 (Marks: 1) - Please choose one
The interest rate parity is the basic identity that relates which of the following?

► **Interest rates and exchange rates.**
► Interest rates and inflation rate.
► Exchange rates and inflation rate.
► Discount rate and inflation rate.

Question No: 38 (Marks: 1) - Please choose one
Suppose there is a steady state condition in an economy with no population growth. In which condition, the steady-state level of capital per worker will increase?

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► When the amount of investment per worker decreases.
► When the depreciation rate increases.
► **When the saving rate increases.**
► In all of the given options.

Question No: 39 (Marks: 1) - Please choose one
"Government collects zero revenue if the tax rate is 0% and if the tax rate is 100%." Which of the following best describes this statement?

► Consumption curve.
► Supply curve.
► **Laffer curve.**
► Investment curve.

Question No: 40 (Marks: 1) - Please choose one
A tax on the accounting profits of corporations is known as:

► Sales tax.
► Excise tax.
► **Corporate income tax.**
► Personal income tax.

Question No: 41 (Marks: 1) - Please choose one
Which of the following shows the functions of money?

► **A conductor of economic activity, a medium of exchange, and a store of value.**
► A medium of exchange, a store of value, and a factor of production.
► A store of value, a medium of exchange, and a determinant of investment.
► A store of value, a unit of account, and a medium of exchange.

Question No: 42 (Marks: 1) - Please choose one
Which of the following best describes a bank's reserves?

► The minimum value of assets it must have.
► The amount of gold it is required to have as reserves against loans.
► **The value of federal securities it is required to have as reserves against loans.**

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► Deposits that bank has accepted from customers but have not loaned out.

Question No: 43 (Marks: 1) - Please choose one

The special importance of banks among the financial institutions arises from:

► Their large and heavy transactions.
► Their position as suppliers of money.
► Their power to create money.
► **Their influence on the economy.**

Question No: 44 (Marks: 1) - Please choose one

Which of the following will be TRUE if real income rose and the interest rate fell following an increase in government purchases?

► IS curve must be vertical.
► LM curve must be vertical.
► **Central Bank must have increased the money supply at the same time.**
► Central Bank must have decreased the money supply at the same time.

Question No: 45 (Marks: 1) - Please choose one

If money supply is fixed by the central bank then in interest rate-money supply space, money supply curve will be:

► Horizontal.
► Vertical.
► Negatively sloped.
► **Positively sloped.**

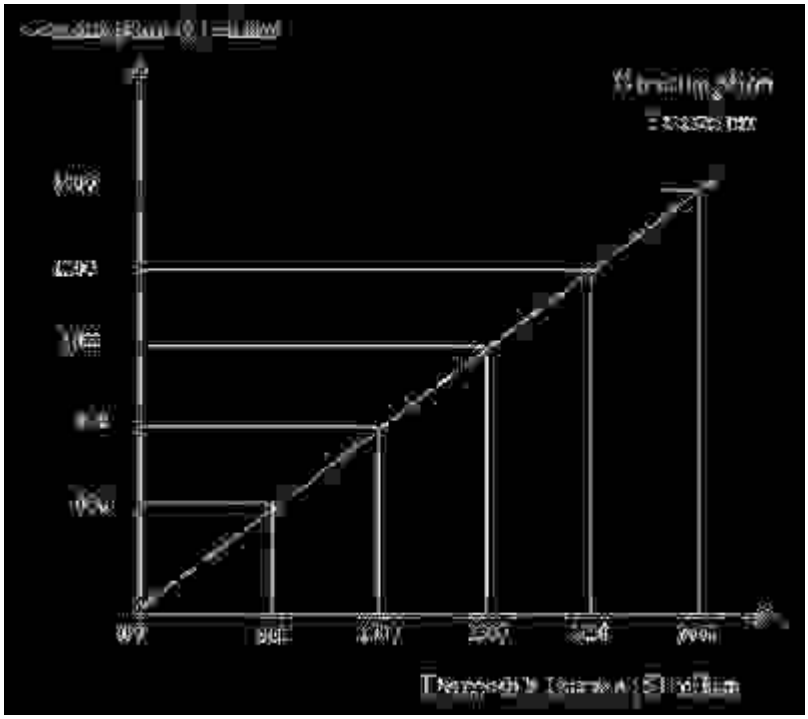
Question No: 46 (Marks: 1) - Please choose one

Why agriculture sector has an important role to play in the development process?

► Because a balanced approach to growth is necessary.
► Because the vast majority of an under developed country is engaged in agriculture.
► **Because agriculture may be a major bottleneck in the process of development.**
► Because of all of the given options.

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Question No: 47 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume is:

► 0.25.

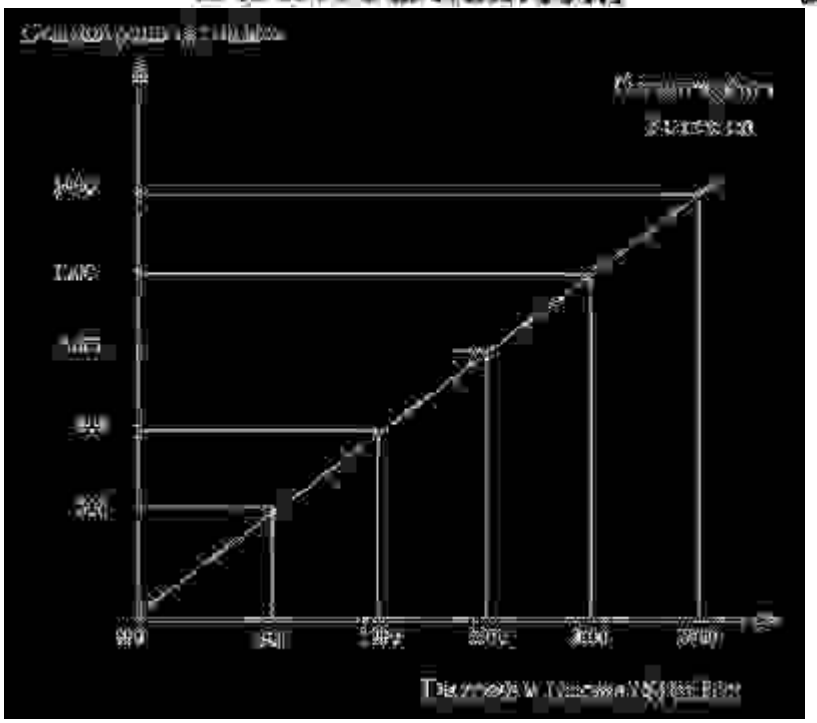
► 0.50.

► 0.60.

► **0.67.**

Question No: 48 (Marks: 1) - Please choose one

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Refer to the above figure, when disposable personal income is $2,000 billion:

- ► Personal saving is $1,200 billion.
- ► Consumption is $1,600 billion.
- ► **Saving is $800 billion.**
- ► Consumption is $800 billion.

Question No: 49 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ► It means that some resources are always unemployed.
- ► **It means that an economy can produce more of one thing only by producing less of something else.**
- ► It means that opportunity costs are constant.
- ► It means that business can sell more when prices are low.

Question No: 50 (Marks: 1) - Please choose one

Which of the following is TRUE for a Giffen good?

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► Its marginal utility is zero.
► **Its demand curve is perfectly elastic.**
► Its substitution effect is positive.
► Its demand curve is positively sloped.

Question No: 51 (Marks: 1) - Please choose one
Which of the following occur when an isocost line is just tangent to an isoquant?
► **Output is being produced at minimum cost.**
► Output is not being produced at minimum cost.
► The two products are being produced at the medium input cost to the firm.
► The two products are being produced at the highest input cost to the firm.
Ref: http://econweb.rutgers.edu/besedes/sample_exam2_intermediate.pdf

Question No: 52 (Marks: 1) - Please choose one
Which of the following is TRUE about L-shaped isoquant?
► It indicates that the firm could switch from one output to another costlessly.
► It indicates that the firm could not switch from one output to another.
► **It indicates that capital and labor cannot be substituted for each other in production.**
► It is impossible.

Question No: 53 (Marks: 1) - Please choose one
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
► 5Q.
► 5.
► 5 + (200/Q).
► **200.**

Question No: 54 (Marks: 1) - Please choose one
The total cost (TC) function is given as: TC = 200 + 5Q. What is the average total cost?
► 5Q.

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► 5.

► **5 + (200/Q).**

► None of the given options.

Question No: 55 (Marks: 3)

Define consumption function. Write down the determinants of consumption.

Consumption and Consumption Function:

Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time. Consumption is the most stable and important component of aggregate demand, accounting for about two-thirds to three-fourths of GDP in most countries.

The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form C = a + bYd = a + b(Y-T), where a is the minimum level of consumption that must take place even if Yd is zero, and b is the marginal propensity to consume.

Determinants of consumption

Thus there are two determinants of consumption (namely income and taxation, which will not cause saving to rise if consumption is caused to fall.

Question No: 56 (Marks: 5)

The paradox of thrift is demonstrated algebraically by equating leakages and injections. Suppose the Saving function is specified as S = -$10 billion +0.2Y, Gross imports equal $70 billion, Investment is $100 billion and Gross exports equal $70 billion. Calculate the equilibrium level of output by using leakages-injections approach.

Question No: 57 (Marks: 5)

Country	Commodity	Amount that can be produced in 1 year
USA	Cotton	40 units
	Food	60 units
UK	Cotton	30 units
	Food	20 units

A. Consider there is no international trade. See the above table and answer which country has absolute advantage in which

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product?

B. Draw the production possibility frontiers for USA and UK.

(Marks: 2+3)

Question No: 58 (Marks: 10)

A. From the information given below, calculate the following:

a) Nominal GDP in year 1

b) Nominal GDP in year 2

c) Growth rate in nominal GDP

	Year 1	Year 2
Apples produced	100	150
Chicken produced	100	140
Cost per apple (Rs.)	2	4
Cost per chicken (Rs.)	4	6

B. Suppose that in the economy of Pakistan, the Real Gross National Product in 1987 was 1483 billion. In 1988, Real Gross National Product was 1510 billion. Calculate the growth rate of real Gross National Product from this information.

(Marks: 6+4)

Question No: 59 (Marks: 10)

(A) Following table shows the income earned by different factors of production.

Serial #	Rewards	Amount (billion rupees)
1	Wages and salaries	150.52
2	Interest on bonds and loans	50.63
3	Rent of properties	100.12
4	Profit	125.84
5	Corporate profit tax	50.26
6	Undistributed corporate profit	30.32
7	Contributions for social security	20.20

Find out the national income from this information.

(B) Although GDP provide us a good estimate about the overall production of the economy, but still it has some flaws. Discuss those flaws.

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ECO401 Subjective Material

Question No: 55 (Marks: 3)
According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?
Answer No: 55
Keynes introduced demand-pull theory which emphasizes strongly the intervention
of government into economy.
According to him economy may be boosted up by increasing expenditure. In the
initial stage government can inject money in the form of investment and higher wage
rate to the government employees. This will create higher demand which in return
result in more investment by firms.
Question No: 56 (Marks: 5)
In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.
a) If government expenditures increase, what will happen to the
27
aggregate expenditure line E, aggregate demand curve AD and output level Y.
Answer No: 56 (a)
It will cause more short run demand in the economy and “e” will move to the right
in P-Y space.
It will increase the consumption part of injection as well and “e” will move upward
and right in W.J-Y space.
AD will curve will move to right in P-Y space resulting increasing short run output
“Y”.
b) Is there any multiplier effect? How it works in this case?
Answer No:56 (b)

Yes, multiplier effect exists there.
Keynes multiplier 1/mps is the variable which determines the injection level to
create an hypothetical desired output.
(Marks: 3+2)
Question No: 57 (Marks: 5)
World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.
Answer No: 57
These are also called IMF's Stabilization Policies. These were concluded from
neoclassical economics, known since 1990.
The objective of IMF was to ensure both through internal balance (supply=demand,
i.e. low inflation, full employment) and
external balance (sustainable BOP and external debt position).
The approach was "stabilization" through "demand" management.
There are three tools of this policy as follows!
• Tight Monetary Policy
• Tight Fiscal Policy
• Devaluation
IMF Policies effected LIC's badly. There was a very high criticism on above said
policies. The main points of criticism were as follows!

• Short-term policy conflicts
• Devaluation could raise prices of imports.
• Demand-reduction policies are anti-growth: increased taxation can stifle the
productive sector.
• Stabilization hurts the poor expenditure cuts almost always fall partly on the
social sectors.
Question No: 58 (Marks: 10)
Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:
a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200.
Calculate the missing figure.

Answer No: 58 (a)
MV = PQ
100xV = 3 x 200
V = 600 / 100
V = 6
b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.
Answer No: 58 (b)
MV = PQ
M x 4 = 5 x 100
M = 500 / 4
M = 125
c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.
Answer No: 58 (c)
MV = PQ
200 x 7 = P x 700
P = 1400 / 700
P = 2
d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 29
3. Calculate the missing value.
Answer No: 58 (d)
MV = PQ
150 x 8 = 3 x Q
Q = 1200 / 3
Q = 400
(Marks: 2.5 each)

Question No: 51 (Marks: 5)
Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?
ANSWER: Private Cost Of Advertising: The private cost of advertising is the
cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by 41
people due to these advertisements otherwise the firms would do less

advertisement.
Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.
Question No: 52 (Marks: 10)
A. What conclusions are derived from exogenous growth theory?
ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:
I The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
I If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.
B. What is meant by convergence theory? Explain the convergence theory in the given graph.
(Marks: 4+6)
Question No: 53 (Marks: 10)
Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?
Answer: Fiscal Policy: Fiscal policy is the government's about the
• expenditure in form of purchases, subsidies and interest payments on debt etc.
• revenue in form of taxes etc.
Difference between Contractionary and Expansionary Fiscal Policy:
Contactionary Fiscal Policy Expansionary Fiscal Policy

In conactionary fiscal policy
government decreases its expenditure.
In expansionary fiscal policy
government increases its expenditure.
Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.
(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

I Tight Fiscal Policy: It works through higher revenues and reduced government expenditure.

I Devaluation: Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.

I Tight Monetary Policy: Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs).

Because they caused the problems of:

• Devaluation: It raises the price of imports and also increased the inflation while the real wage rate could not increase.

• Stabilization hurts poor: decrease in expenditure always badly effects the poor which can then cause political instability

Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.
(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.(Marks: 2.5 each)

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials.Ricardo argued that there is mutual benefit from trade (or exchange) even if one party **(e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart

(e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A.

"Slope of the consumption function is less than 1".What is meant by this statement?

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the
income is saved.

**B. What are the major macroeconomic variables involved in the determination
of national income?
(Marks: 2+3)**

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

**What are the conditions in which foreign exchange market exists? Also give
some examples of foreign exchange markets.**

In a market there are buyers and sellers who negotiate and agree on the price for
the or
price for the commodity being exchanged. The foreign exchange market is no
different.
whatever, here the commodity being traded is foreign exchange and the price is
the foreign exchange rate. Specifically, a foreign currency is being traded for the
Pakistani Ruppee at a particular rate of exchange.
The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.
Foreign exchange market exists when **buyers and sellers** exit and ready to sell
and buy.
The **main driving force** for foreign exchange market is the law of supply and
demand.

Examples are US $-PAK RS Foregin exchange market
US $ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

**What thing determines comparative advantage among countries according to
Hechshcer-Ohlin? What is the criticism against their argument?**

According to Hechshcer-Ohlin suppose we are given two countries one abundant
in labour and one abundant in capital and a labour-intensive good and a capital
intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will
have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.
Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility
of Pakistan developing comparative advantage in cars at some future point in time.
Consequent:
The major criticism leveled against Hechscher-Ohlin type trade theories are that
they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at
producing
cotton and Japan better at producing, then this situation will always prevail.

Question No: 49 (Marks: 3)
Define balance of payment (BOP). How the BOP can be determined?
Answer:
A BOP is a sheet in other words an account sheet which is an accounting record of
all monetary transactions between a country and the rest of the world.
These transactions include
Payments for the country's exports and imports of goods, services,
and financial capital, as well as financial transfers.
The BOP summarizes international transactions for a specific period, usually a year,
and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:
Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.
Deficit items:
Uses of funds, such as for imports or to invest in foreign countries, are recorded as a
negative or deficit item.
It can be determined if we see the things in both prespective.In other words it is a
non-complicated way, lets assume that we have two countries Pakistan and united
states and things are viewed from Pakistan point of view.
For this purpose we must now the market for foreign exchange. Foreign exchange
in a Pakistani context means US $ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)
Explain the shape of money demand curve with the help of diagram.
Answer:
Money demand Md increases with income levels.
Money demand Md falls with interest rates.
In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.
So this implies to the demand of real money.
Whether nominal and real money supply is equal or not depends much on the
assumption regarding prices. If prices are assumed fixed, then the two are equal,
otherwise not.
As you can see from the diagram where money demand in on the x-axis and income is on the y-axis, and there are various level showns like L1,L2,L3.
i
Money demand
curve
Y
L2
- Y
L1

L3
L
o
Money Demand

Question No: 51 (Marks: 5)
How can a current account, which is in deficit, be restored to balance under
fixed exchange rate regimes?
Answer:
There is solution for how can a current account which is in deficit be restored to
balance under fixed exchange rate regimes. The answer is **"Economic Deflation"**
Economic Deflation says When a country's national income rises, it spends more;
part of that spending falls on imported goods; higher imports cause the current
account to worsen.
The reverse is also true for this lower income must reduce import spending and
therefore improve the current account spending.
However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devaluate or
"devaluation".
Devaluation is the phenomena related to exchange rate where exchange rate faces
depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.
A concept of devaluation is to bring the exchange rate in line with its long-run
equilibrium level, i.e. a level consistent with international competitiveness.
Competitiveness is simply defined as the real exchange rate RER, where RER =
(Pf/Pd)*NER. Where
NER
Pf

Pd
Nominal Exchange rate
is the price level prevailing in the foreign country (US)
is the price level prevailing in the home country (Pakistan).
The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative
to
the US), Pakistani exports will become less attractive in the international market. As

a result, our exports will fall, and current account will go into deficit.
To fix this problem, the NER can be devalued so as to make our goods cheaper and
competitive and it is to bring competitiveness back to its original higher level.
However, there are many provisos attached to the devaluation policy prescription.
Devaluation only works if the country's exports and imports are elastic, otherwise
the price effect of the devaluation will dominate the volume effect and the current
account will worsen. Secondly, the country must have excess productive capacity
in order to meet the higher demand for exports that is created as a result of the
devaluation. Thirdly, the country should not have a very high foreign debt whose
burden increases so much as a result of the devaluation that the negative effects
associated therewith overwhelm any positive competitiveness effects.
Capital account (+ or -)
+
-
+
-
Incoming FDI, FPI or other private capital
Outgoing FDI, FPI or other private capital
Borrowing, aid inflows

Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

a) Unemployment Stock

b) Redundancies (job lay-offs) Flow

c) Profits Flow

d) A firm's stock market valuation (share price) Stock

e) The value of property after a period of inflation Stock

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Ans:

World Bank has suggested following policies for the poor countries to grow,

1.

Governance and administrative reforms: To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To

decentralize the control of fiscal policy making. To enrich the legal and regulator framework.

2.

Privatization of state-owned enterprises: Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering form lack of competition, cost awareness and fear of bankruptcy.

3.

Financial liberalization: It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking

competition and government involvement in investment allocation
4.
5.
6.
Liberalization of prices, removal of subsidies
Deregulation involving dismantling of licensing systems and red-tape
Trade liberalization: including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof
7.
FDI liberalization: To create a transparent, predictable environment for foreign investors to operate in.
8.
Capital account liberalization: To remove controls on capital flows
These policies are suggested by world bank and the successful implementation of
these policies depend on the political and economic system of poor countries. In
general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.

ECO401 CURRENT PAPERS SUBJECTIVE

Question No: 49 (Marks: 3)

What is meant by exchange rate? Also give example of exchange rate.

Answer:

EXCHANGE RATE:

Rate at which one currency may be converted into another. The exchange rate is used when simply converting one currency to another (such as for the purposes of travel to another country), or for engaging in speculation or trading in the foreign exchange market. There are a wide variety of factors which influence the exchange rate, such as interest rates, inflation, and the state of politics and the economy in each country.**also called** rate of exchange or foreign exchange rate or currency exchange rate.

EXAMPLE:
An exchange rate of 123 Japanese yen (JPY, ¥) to the United States dollar

(USD, $) means that JPY 123 is worth the same as USD 1.

Question No: 50 (Marks: 3)

What is the reason of poverty in developing countries according to Prebisch-Singer hypothesis?

ANSWER:

POVERTY means the state of being poor; lack of the means of providing material needs or comforts.

According to Prebisch-Singer hypothesis following are the reason of poverty in developing countries:

- One of the reson for poverty is increasing population.
- Another reason **Lack of precious natural resources (like oil, gold, gas, iron, copper etc.)** was also cited by some as the reason for LICs' continued poverty.

Question No: 51 (Marks: 5)

According to the values given in the following table, calculate the injections at each level of output.

Output (Y)	Saving (S)	Gross Imports (M)	Gross investment (I)	Gross exports (X)	Govt. Expenditures (G)	Taxes (T)
650	80	80	104	97	116	10
700	90	80	119	97	116	10
750	100	80	130	97	116	10
800	110	80	139	97	116	10
900	120	80	146	97	116	10

(Marks: 1 for each)

ANSWER:

We know:

INJECTION=I+X+G

SO,

the injections at each level of output=

1-317

2-332

3-343

4-352

5-359

Question No: 52 (Marks: 5)

What are the major weaknesses of exogenous growth theory? Which theory was developed in against of exogenous growth theory?

ANSWER:

EXOGENOUS GROWTH THEORY:

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model is
a term used to sum up the contributions of various authors to a model of long-run economic growth
within the framework of neoclassical economics.

Exogenous growth theory suffered from three major weaknesses:

i. It could not explain why the gap between the poor and rich countries had widened (anticatch
up),

ii. It could not explain why some countries in East Asia had apparently grown consistently
on the back of higher saving rates, and

iii. It modeled technology as exogenous, and beyond the influence of policy.

PART B SOLUTION:

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a
response to criticism of the neo-classical growth model OR exogenous growth theory

Question No: 53 (Marks: 5)

Discuss the components on the assets and liabilities side of the balance sheet of a central bank.

ANSWER:

Following are the components on the assets and liabilities side of the balance sheet of a central bank

ASSET SIDE COMPONENTS:

- Loans to Govt Notes
- Forex reserves
- Loans to private sector

LIABILITY SIDE COMPONENTS:

- Notes, coins & currency in circulation
- Govt & commercial bank deposits
- Liquidity paper issued

Question No: 49 (Marks: 3)

Define balance of payment (BOP). How the BOP can be determined?

ANSWER:

THE BALANCE OF PAYMENTS (BOP):

BOP is an accounting record of a country's transactions with the rest of the world.

The balance of payments (or BOP) measures the payments that flow between any individual country and all other countries. It is used to summarize all international economic transactions for that country during a specific time period, usually a year.

PART B SOLUTION:

How the BOP can be determined?

IT CAN BE DETERMINED IN THE FOLLOWING WAY:

The BOP is determined by the country's exports and imports of goods, services, and financial capital, as well as financial transfers. It reflects all payments and liabilities to foreigners (debits) and all payments and obligations received from foreigners (credits).

Balance of payments is one of the major indicators of a country's status in international trade, with net capital outflow.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

PERFECT ANSWER ON THIS LINK IS AVAILABLE SEE THIS(PG 9 AND PG 10)
http://www.ssc.wisc.edu/~ldrozd/my_files/102files/slides_9.pdf

Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **"Economic Deflation"**
Economic Deflation says When a country's national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.
The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.
However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devaluate or "devaluation".
Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.
A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness.

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?
hese are the terms used to differentiate things like "wealth versus income" or

"debt versus deficit."

That is, a "stock variable" is a variable measurable at one particular time (wealth); whereas, a "flow variable" is a variable measured after a prolonged amount of time retrospecting spending in the past "x" amount of time (income).

a) **Unemployment**
b) **Redundancies (job lay-offs)**
c) **Profits**
d) **A firm's stock market valuation (share price)**
e) **The value of property after a period of inflation**

(Marks: 1 for each)

ANSWER:

DEFINITION IS JST FOR CONCEPT NOT THE ANSWER.

These are the terms used to differentiate things like "wealth versus income" or "debt versus deficit."

That is, a "stock variable" is a variable measurable at one particular time (wealth); whereas, a "flow variable" is a variable measured after a prolonged amount of time retrospecting spending in the past "x" amount of time (income).

REQUIRED ANSWER:

FOLLOWING ARE THE STOCK VARIABLES:

- Unemployment
- A firm's stock market valuation (share price)
- The value of property after a period of inflation
-

FOLLOWING ARE THE FLOW VARIABLES:

- Redundancies (job lay-offs)
- Profits

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Ans:

World Bank has suggested following policies for the poor countries to grow,

Governance and administrative reforms:
To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.

Privatization of state-owned enterprises:
Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering form lack of competition, cost awareness and fear of bankruptcy.

Financial liberalization:
It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation

Deregulation involving dismantling of licensing systems and red-tape

Trade liberalization:
including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof

FDI liberalization:
To create a transparent, predictable environment for foreign investors to operate in.

apital account liberalization:
To remove controls on capital flows

(These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.)

Question No: 50 (Marks: 3)

Differentiate between international trade and international finance.

ANSWER:
By **international trade**, we mean the exchange of goods and services between different countries.

International trade is the trade between two or more different countries. It is just the opposite of the trade that takes place within a country i.e. national trade.

Whereas **International finance** is concerned with, among other thing, the mobility of financial capital across countries, and the problems and opportunities this mobility presents individual countries with. It would not be too inaccurate (in present day context) to say that while international trade deals with the current account, international finance deals with the capital account of the BOPs. That said, issues like the choice of exchange rate regime and of modern-day balance of payments crises also fall firmly within the purview of international finance.

Question No: 51 (Marks: 5)

Discuss the components on the assets and liabilities side of the balance sheet of a central bank.

ANSWER:

Following are the components on the assets and liabilities side of the balance sheet of a central bank

ASSET SIDE COMPONENTS:

- Loans to Govt Notes
- Forex reserves
- Loans to private sector

LIABILITY SIDE COMPONENTS:

- Notes, coins & currency in circulation
- Govt & commercial bank deposits

Liquidity paper issued

Question No: 53 (Marks: 5)

If y = Y / L, where, Y = Total GDP, L = Population, y = Per capita GDP then prove that Growth rate of per capita income = Growth rate of total output - Growth rate of population

ANSWER:
y = Y / L
Where,
• Y = Total GDP
• L = Population
• y = Per capita GDP
Taking log of both sides
• ln y = ln Y – ln L
Taking derivative *w.r.t.* time
• 1/y (dy/dt) = (dY/dt)/Y – (dL/dt)/L
gy = gY – gL

Growth rate of per capita income = Growth rate of total output - Growth rate of population
REFRENCE:
CHP NO 38 PAGE NO 168

Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

ANSWER:
Inflation is a situation in which there is a continuous rise in the general price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past.
Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

Question No: 50 (Marks: 3)

What are the reasons that poor countries remained poor?

Question No: 51 (Marks: 5)

Explain the difference between endogenous growth model and exogenous growth model.

Question No: 52 (Marks: 5)

EXOGENOUS GROWTH THEORY

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model is
a term used to sum up the contributions of various authors to a model of long-run economic growth
within the framework of neoclassical economics

ENDOGENOUS GROWTH THEORY

In economics, **endogenous growth theory** or **new growth theory** was developed in the 1980s as a
response to criticism of the neo-classical growth model.
In neoclassical growth models, the long-run rate of growth is exogenously determined by assuming a
savings rate (the Solow model) or a rate of technical progress. This does not explain the origin of
growth, which makes the neo-classical model appear very unrealistic. Endogenous growth theorists see
this as an over-simplification

Following table shows different stages of production of cloth. Calculate the value added at each stage of production. What is GDP by this approach?

Stage of production	Money value (Rs)	Value added at each stage (Rs)
Raw cotton	10.50	**?**
Cotton yarn	25.68	**?**
Coarse cloth	45.82	**?**
Finished cloth	55.66	**?**

ANSWER:

Stage of production	Money value (Rs)	Value added at each stage (Rs)
Raw cotton	10.50	10.50
Cotton yarn	25.68	15.18

Coarse cloth	45.82	20.14
Finished cloth	55.66	9.84

REFERENCE

METHODS OF MEASURING GDP

There are three equivalent ways of measuring GDP:

i. The product or value added method which sums the value added by all the productive entities in the economy;

ii. The expenditure method which sums up the value of all the "final goods" transactions taking place in the economy;

iii. The factor income method which sums up all the incomes earned by all the factors of production in the economy (rent for land, wages for labour, interest for capital, and equity returns for entrepreneurship).

Value added is the difference between the value of goods produced and the cost of materials and supplies used in producing them. Value added consists of the wages, interest and profit components added to the output by a firm. Value added is the difference between inputs and outputs e-g if a firm spends Rs.500 making a good (inputs) and sells its product (output) for Rs.750, then value added is Rs.250.

Question No: 53 (Marks: 5)

Discuss the equilibrium condition in money market. Explain this equilibrium condition with the help of diagram.

ANSWER= CHP NO 43

Question No: 49 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why?

Discuss.

ANSWER:

Why Growth is an Important Macroeconomic Issue:

It is obvious why growth is an important macroeconomic issue. Every government aspires to deliver a higher growth rate for the country. High growth rates means higher national income which means better living standards on average, which in democracies, means happier electorates and therefore increased chances of re-election for another term in office. However, while all countries might wish to achieve high growth rates, in practice, only a handful have been able to convert the wish into reality.

Question No: 50 (Marks: 3)

What are the different borrowing options available to the government for reducing the fiscal deficit?

By borrowing locally (i.e. issuing bonds), foreign financing (including non-relpayable grants) or printing money (i.e. borrowing from the central bank). The first of these methods is least inflationary while the last one is most inflationary.

Question No: 52 (Marks: 5)

Differentiate between fixed exchange rate and floating exchange rate.

ANSWER:

Fixed exchange rate:

.A fixed exchange rate means the amount of currency received is set in advance.

A fixed exchange rate is based upon the government's view of the value of its currency as well as the monetary policy. It has advantages. Stability is one. Another is predictability. Businesses and individuals can plan their activities with the certainty of the value of money. A businessman shipping goods overseas knows the value in advance. A tourist travelling in other countries can budget knowing what his money will buy.

Floating exchange rates:

A floating exchange rate means that the rate is moving and the currency received depends on the time of the exchange

.The floating exchange rate, in its true form, allows the marketplace to set the rate. The forces of supply and demand determine the value of a currency.

For example, when the US dollar is considered strong it will take more euros, the currency of most European countries, to buy. When the US dollar is considered weak or in decline the amount of euros needed to buy it will fall.

Question No: 53 (Marks: 5)

Some economists suggest "growth through trade strategy" to tackle the problem of poverty of under developed countries.

a) **What is the basic theme of this strategy?**
b) **Why this strategy is not so much successful?**
c) **What is the proposed solution presented to tackle the drawback of this strategy?**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

ANSWER:

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials.Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)
A.

"Slope of the consumption function is less than 1".What is meant by this statement?

ANSWER:
When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope. The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

Following are the major macroeconomic variables involved in the determination of national income :

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or
price for the commodity being exchanged. The foreign exchange market is no different.
whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.
The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.
CONDITION:

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.
The **main driving force** for foreign exchange market is the law of supply and demand.

EXAMPLE:

US $-PAK RS Foregin exchange market
US $ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant
in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing
cotton and Japan better at producing, then this situation will always prevail.

Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

ANSWER:

Inflation is a situation in which there is a continuous rise in the general

price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past.
Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

(Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

Philips Curve

W.A.Philips gave the idea of Keynes a formalized shape and draws the Philips curve stating inverse
relationship between unemployment and inflation rate.
Philips's views were consistent with the Keynesian views. The cost of reducing inflation is
unemployment and the cost of reducing unemployment is inflation

DIAGRAM

For diagram take a look on chp#34 page no 149.

(I DON,T HV MICROSOFT WORD IN MY PC THATS Y GRPAH CAN,T BE DRAW HERE)

Question No: 53 (Marks: 5)

How crowding out of investment demand occur due to expansionary fiscal policy?

ANSWER CAN BE:

In economics, **crowding out** is any reduction in private consumption or investment that occurs because of an increase in government spending. If the increase in government spending is financed by a tax increase, the tax increase would tend to reduce private consumption. If instead the increase in government spending is not accompanied by a tax increase, government borrowing to finance the increased government spending would increase

interest rates, leading to a reduction in private investment, although there is no empirical evidence that supports such interest rate effect on investment

1. Comments of current account in balance of payment 3 marks
ANSWER:
THE CURRENT ACCOUNT
The current account balance is essentially the trade balance (exports minus imports), but with net factor
receipts from abroad added.
If the exchange rate is fixed, then changes in reserves must mirror the combined balance on the current
and capital accounts in order to bring the overall BOPs to zero. If the exchange rate is floating, then
changes to reserves can remain zero, as the adjustment burden is borne by the exchange rate which
appreciates (depreciates) in response to a joint surplus (deficit) on the current and capital accounts.
REFRENCE FOR COMPLETE CONCEPT:
PARTS OF BOP
The BOPs can be divided into three parts:
i. Current account,
ii. Capital account and
iii. Changes to reserves

2. **The reason of poverty in developing countries according Perbisch-Singer Hypothesis**
(3 marks)
ANSWER:

POVERTY means the state of being poor; lack of the means of providing material needs or comforts.

According to Prebisch-Singer hypothesis following are the reason of poverty in developing countries:

- One of the reson for poverty is increasing population.
- Another reason **Lack of precious natural resources (like oil, gold, gas, iron, copper etc.)** was also cited by some as the reason for LICs' continued poverty.

3. Pull demand inflation, cost push inflation (5 marks)

ANSWER:

DEMAND PULL INFLATION:

The inflation resulting from an increase in aggregate demand is called **demand-pull inflation**. Such an inflation may arise from any individual factor that increases aggregate demand, but the main ones that generate *ongoing* increases in aggregate demand are :

Increases in the money supply

Increases in government purchases

Increases in the price level in the rest of the world

COST PUSH INFLATION:

Inflation can result from a decrease in aggregate supply. The two main sources of decrease in aggregate supply are

- An increase in wage rates
- An increase in the prices of raw materials

These sources of a decrease in aggregate supply operate by increasing costs, and the resulting inflation is called **cost-push inflation.**

4. **What are the comparative advantages between countries according Hechshcer-Ohlin? And criticisms against it.**

ANSWER:

According to Hechshcer-Ohlin suppose we are given two countries one abundant
in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.
Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the

possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing
cotton and Japan better at producing, then this situation will always prevail

1.components of current account of BOPS:

ANSWER:

Following are the components:

1.GOODS
2.SERVICES
3.INCOME
4.CURRENT ACCOUNT.

(FOR COMPLETE UNDERSTANDING AND MORE COMPONANTS VISIT THIS LINK)

http://www.investopedia.com/articles/03/061803.asp

:

1**. Difference between capital deepening and capital widening(5 MARKS)**

ANSWER:

Capital deepening

is a term used in economics to describe an economy where capital per worker is increasing. It is an increase in the
capital intensity. Capital deepening is often measured by the capital stock per labour hour.Overall, the
economy will expand, and productivity per worker will increase. However, economic expansion will not
continue indefinitely through capital deepening alone. This is partly due to diminishing returns and wear
& tear

capital widening:

is a term used to describe the situation where capital stock is increasing at the

same rate as the labour force, thus capital per worker remains constant. The economy will expand in
terms of aggregate output, but productivity per worker will remain constant

2 .Difference between GNP and NNP:(5 MARKS)
ANSWER:
Gross National Product (GNP):
Gross national product (GNP) is the value, at current market prices, of all final goods and services
produced during a year by the factors owned by the citizens of a country. Thus the income earned by
Pakistani citizens working in the US would be included in Pakistan's GNP but excluded from Pakistan's
GDP. Conversely, the income earned by a US citizen (individual or corporate) in Pakistan would be
included in Pakistan's GDP but excluded from Pakistan's GNP. Generally, GNP = GDP + net factor
income from abroad. The abbreviation for gross national product, which is the total market value of all
goods and services produced by the citizens of an economy during a given period of time, usually one
year. Gross national product often was once the federal government's official measure of how much
output our economy produces.
GNP = GDP + Net factor incomes from abroad
Net National Product (NNP):
Mathematically, national income is net national product (NNP). It is GNP adjusted for depreciation. In
words, it is the net output of commodities and services flowing during the year from the country's
production system in the hands of ultimate consumers. The total market value of all final goods and
services produced by citizens of an economy during a given period of time, usually a year, after
adjusting for the depreciation of capital. Net national product, abbreviated NNP, has the same relation to
net domestic product (NDP) as gross national product (GNP) has to gross

domestic product (GDP). Net
national product also has the same relation to gross national product that net domestic product has to
gross domestic product. Like NDP, NNP is a measure of the net production in the economy.
NNP = GNP – Depreciation allowance

3. Explain Comparative advantage among contries according to Hechshcer-Ohlin. And criricism on it?
ANSWER:
According to Hechshcer-Ohlin suppose we are given two countries one abundant
in labour and one abundant in capital and a labour-intensive good and a capital intensive
good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.
So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.
Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.
Consequent:
The major criticism leveled against Hechscher-Ohlin type trade theories are that they views
comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing
cotton and Japan better at producing, then this situation will always prevail.

Q # 1 Difference between inflation and deflation? Marks 3
ANSWER:
Inflation is a situation in which there is a continuous rise in the general price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.

Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it

could in the past.
Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad.

Q # 2 How the central banks plays its important role in order to control the activities of commercial banks? Marks 3

central bank, **reserve bank**, or **monetary authority** is a banking institution granted the exclusive privilege to lend a government its currency. Like a normal commercial bank, a central bank charges interest on the loans made to borrowers, primarily the government of whichever country the bank exists for, and to other commercial banks, typically as a 'lender of last resort'. However, a central bank is distinguished from a normal commercial bank because it has a monopoly on creating the currency of that nation, which is loaned to the government in the form of legal tender. It is a bank that can lend money to other banks in times of need. Its primary function is to provide the nation's money supply,

Q # 3 Difference between depreciation and appreciation of currency? Marks 5

ANSWER:

Depreciation:

This is a more or less permanent decrease in value or price. "More or less permanent" doesn't include
temporary, short-term drops in price that are common in many markets. It's only those price declines
that reflect a reduction in consumer satisfaction.While all sorts of stuff can depreciate in value, some of
the more common ones are capital, real estate, corporate stock, and money

APPRECIATION

This is a more or less permanent increase in value or price. "More or less permanent" doesn't include
temporary, short-term jumps in price that are common in many markets. Appreciation is only those
price increases that reflect greater consumer satisfaction and thus value.

While all sorts of stuff can
appreciate in value, some of the more common ones are real estate, works of art, corporate stock, and
money.

Q # 4 what is meant by laffer curve? Also explain the shape of this curve? Marks 5

ANSWER:

The graphical inverted-U relation between tax rates and total tax collections by government is known as
Laffer curve. This curve is developed by economist Arthur Laffer; the Laffer curve formed a key
theoretical foundation for supply-side economics of President Reagan during the 1980s. It is based on
the notion that government collects zero revenue if the tax rate is 0% and if the tax rate is 100%. At a
100% tax rate no one has the incentive to work, produce, and earn income, so there is no income to tax.
As such, the optimum tax rate, in which government revenue is maximized, lies somewhere between 0%
and 100%. This generates a curve shaped like an inverted U, rising from zero to a peak, and then falling
back to zero. If the economy is operating to the right of the peak, then government revenue can be
increased by decreasing the tax rate.

(AGAIN FOR DIAGRAM VISIT PAGE NO 175 OF CHP # 40)

A slope of consumption function is less than 1." What is meant by this statement?

ANSWER:

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope. The slope is less than 1 because not all the income is consumed some part of the income is saved.

Differentiate between Inflation and deflation. Marks3

ANSWER:
Inflation is a situation in which there is a continuous rise in the general price level.
WHEREAS **Deflation** is the
opposite of inflation and occurs when the general level of prices falls.
Inflation is when the money supply increases by more than the real economy does. This means that one unit of currency will buy less than it could in the past.
Deflation is when the money supply contracts, making a unit of currency able to buy more than it could in the past. This is the exact opposite of inflation, but it is also bad

Question No: 49 (Marks: 3)

Define balance of payment (BOP). How the BOP can be determined?

Answer:
A BOP is a sheet in other words an account sheet which is an accounting record of all monetary transactions between a country and the rest of the world.

These transactions include
→ Payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

The BOP summarizes international transactions for a specific period, usually a year, and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:
Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.

Deficit items:
Uses of funds, such as for imports or to invest in foreign countries, are recorded as a negative or deficit item.

It can be determined if we see the things in both prespective.In other words it is a non-complicated way, lets assume that we have two countries Pakistan and united states and things are viewed from Pakistan point of view.

For this purpose we must now the market for foreign exchange. Foreign exchange in a Pakistani context means US $ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

Money demand Md increases with income levels.

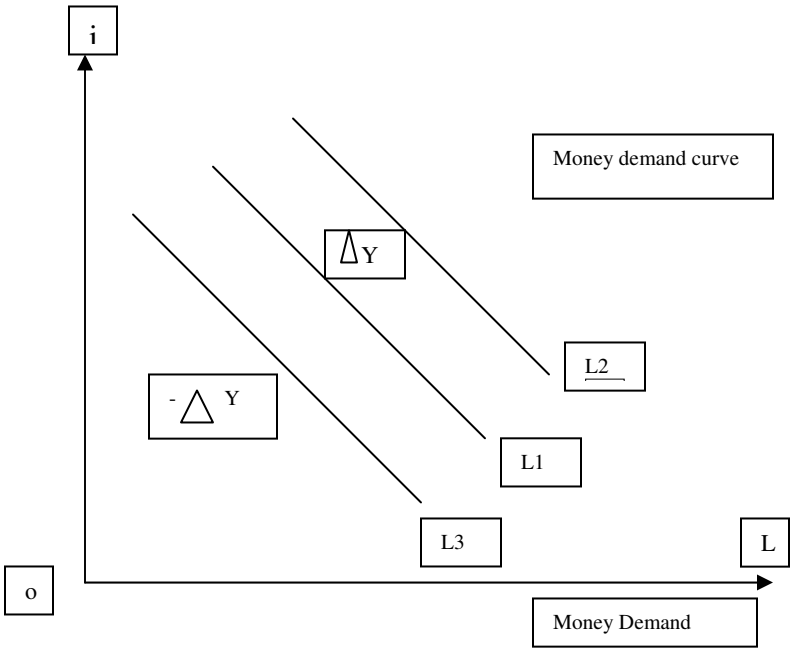
Money demand Md falls with interest rates.

In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.

So this implies to the demand of real money.

Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

As you can see from the diagram where money demand in on the x-axis and income is on the y-axis, and there are various level showns like L1,L2,L3.



Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **"Economic Deflation"**

Economic Deflation says When a country's national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.

The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.

However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devaluate or “devaluation”.

Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.

A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level, i.e. a level consistent with international competitiveness.

Competitiveness is simply defined as the real exchange rate RER, where RER = (Pf/Pd)*NER. Where

NER → Nominal Exchange rate

Pf → is the price level prevailing in the foreign country (US)
Pd→ is the price level prevailing in the home country (Pakistan).

The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative to
the US), Pakistani exports will become less attractive in the international market. As a result, our exports will fall, and current account will go into deficit.

To fix this problem, the NER can be devalued so as to make our goods cheaper and competitive and it is to bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription.

Devaluation only works if the country’s exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the

devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)
+ → Incoming FDI, FPI or other private capital
- →Outgoing FDI, FPI or other private capital
+ → Borrowing, aid inflows
- →Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

a) **Unemployment→Stock**
b) **Redundancies (job lay-offs)→Flow**
c) **Profits→Flow**
d) **A firm's stock market valuation (share price)→Stock**
e) **The value of property after a period of inflation→Stock**

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.
Ans:

World Bank has suggested following policies for the poor countries to grow,

1. **Governance and administrative reforms:** To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.

2. **Privatization of state-owned enterprises:** Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons

SOEs are considered inefficient. SOEs are also suffering form lack of competition, cost awareness and fear of bankruptcy.

3. **Financial liberalization:** It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation

4. **Liberalization of prices, removal of subsidies**

5. **Deregulation involving dismantling of licensing systems and red-tape**

6. **Trade liberalization:** including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof

7. **FDI liberalization:** To create a transparent, predictable environment for foreign investors to operate in.

8. **Capital account liberalization:** To remove controls on capital flows

These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.



ECO -401
FINAL TERM PAPERS
2008, 2009 & 2010

FILE # 2
FINAL FILE



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PAPER # 05

Question No: 1 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

► **Inferior good.**

► Complementary good.

► Normal good.

► None of the given options.

Inferior goods are goods whose quantity demanded goes down as consumer income increases.

Question No: 2 (Marks: 1) - Please choose one

At the equilibrium price:

► There will be a shortage.

► **There will be neither a shortage nor a surplus.**

► There will be a surplus.

► There are forces that cause the price to change.

Question No: 3 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.

► Expenditure set.

► Isoquant.

► **Isocost.**

http://wps.pearsoned.co.uk/ema_uk_he_sloman_economics_6/41/10679/2733917.cw/content/index.html

Question No: 4 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

► Its entire marginal cost curve.

► The upward-sloping portion of its marginal cost curve.

► **Its marginal cost curve above the minimum point of the average variable cost curve.**

► Its marginal cost curve above the minimum point of the average total cost curve.

The supply curve for a competitive firm is

a. its entire MC curve.
b. the upward-sloping portion of its MC curve.
c. its MC curve above the minimum point of the AVC curve.
d. its MC curve above the minimum point of the ATC curve.

Question No: 5 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**

► Price = Average Total Cost.

► Average Total Cost = Marginal Cost.

► Price < Marginal Cost.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.

► **The demand curve is tangent to average cost curve.**

► The marginal cost curve is tangent to average cost curve.

► The demand curve is tangent to marginal revenue curve.

http://books.google.com.pk/books?id=Zqap9Ih7Li0C&pg=PA231&lpg=PA231&dq=long+run+equilibrium+for+a+firm+in+a+monopolistic+competitive+demand+curve+is+tangent+to+average+cost+curve&source=bl&ots=jSonBQLaA-&sig=aChg_zXg8l4gIBPumeyewfdM680&hl=en&sa=X&ei=1ayPUYWUEu-P7Abqx4Ew&ved=0CDEQ6AEwAQ#v=onepage&q=long%20run%20equilibrium%20for%20a%20firm%20in%20a%20monopolistic%20competitive%20demand%20curve%20is%20tangent%20to%20average%20cost%20curve&f=false

In the long run, equilibrium *of a* monopolistically competitive industry, the **...** The typical firm's demand curve *is just* tangent *to its* average *total* cost curve

Question No: 7 (Marks: 1) - Please choose one

Value of Marginal Product of Labor (VMP_L) is equal to:

- ► MPP_L/ P_i.
- ► MPP_L.
- ► P_i.
- ► **MPP_L x P_i.**

The value of marginal product of labour (VMPL) = MPPL x Pi

It is equal to MRPL when P = MC (as in perfect competition), but otherwise VMPL > MRPL

Question No: 8 (Marks: 1) - Please choose one

The marginal revenue product is:

- ► Upward sloping due to the law of demand.
- ► Upward sloping due to the law of marginal utility.
- ► **Downward sloping due to the law of diminishing returns.**
- ► Downward sloping due to the law of supply.

The downward sloping marginal revenue product (MRP) curve is the demand curve, for labour

The demand curve for labour can be derived from the intersection of the wage rate lines (horizontal parallel lines) and the marginal revenue product of labour (a downward sloping concave function) given by MRPL = MPPL x MRi, where subscript "L" stands for labour and subscript "i" stands for the good which the laborer helps produce

Question No: 9 (Marks: 1) - Please choose one

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The classical economists thought that the economy would quickly overcome any short run instability because:

► Price level and quantity are flexible.

► Prices would get stuck at a low level.

► The long run aggregate supply would shift to the left.

► **Prices and wages are flexible.**

Classical economists assumed that economies would operate at full employment because prices and wages are flexible. If unemployment were present, wages and prices would fall until full employment was restored

Wages and prices adjust to keep the full employment level of goods selling and the full employment level of labor working. Furthermore, this adjustment is so rapid that an economy left alone will not experience any significant period of unemployment or falling production. This adjustment process is one of the powerful self-correcting mechanisms in the Classical model.

Question No: 10 (Marks: 1) - Please choose one

An assumption of classical economics is:

► Investment and saving are seldom equal.

► Self-correction takes a long time.

► Demand creates its own supply.

► **Prices and wages are flexible.**

Classical economics, especially as directed toward macroeconomics, relies on three key assumptions--flexible prices, Say's law, and saving-investment equality. Flexible prices ensure that markets adjust to equilibrium and eliminate shortages and surpluses. Say's law states that supply creates its own demand and means that enough income is generated by production to purchase the resulting production. The saving-investment equality ensures that any income leaked from consumption into saving is replaced by an equal amount of investment.

As opposed to Keynesian economics, classical economics assumes flexible prices both in the case of goods and wages

Question No: 11 (Marks: 1) - Please choose one

Gross Domestic Product is:

► A stock variable.

► **A flow variable.**

► Both a stock and a flow variable.

► Neither a stock nor a flow variable.

- **A flow variable is a variable that is measured over a specific period of time.**
- **A stock variable is a variable that is independent of time.**

GDP: The **market value** of **final** goods and services, **newly produced** WITHIN a nation during a **fixed period**.

Question No: 12 (Marks: 1) - Please choose one

The labour force is made up of:

► The number of people employed minus the number of people unemployed.

► **The number of people employed plus the number of people unemployed**

► Just the number of people employed.

► The whole population.

Which of the following is correct?

a. Short-term unemployment is a more serious problem than long-term unemployment.
b. Most spells of unemployment are long term.
c. Most of the currently unemployed have been unemployed a long time.
d. None of the above is correct.

People who are unemployed because of job search are best classified as

a. cyclically unemployed.
b. structurally unemployed.
c. frictionally unemployed.
d.discouraged workers

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Question No: 13 (Marks: 1) - Please choose one

A government wishing to reduce a deficit on the current account of their balance of payments through the use of fiscal policy would be most likely to:

► Raise direct taxation.

► Introduce an import quota.

► **Raise interest rates.**

► Reduce the rate of value added tax on all goods and services.

The current account balance is a measure of a country's transactions with the rest of the world. It includes all current transactions, hence the name. If a country runs a current account deficit it must be borrowing from the rest of the world

A current account deficit occurs when the value of imports (of goods, services and investment incomes) is greater than the value of exports

Policies To Reduce A Current Account Deficit

Devaluation

If there is devaluation in the currency, the price of importing goods increases and therefore the quantity demanded of imports falls

Exports will be become cheaper and there will be an increase in the quantity of exports

Devaluation will improve the balance on the current account, on the condition that the combined elasticity's of demand for imports and exports is greater than one.

Deflation

If a government reduces aggregate demand by raising interest rates or increasing taxes then people will have less money to spend so they reduce consumption of imports.

Deflationary policies will also put pressure on manufacturers to reduce costs and this will lead to more competitive exports and so exports will increase

Supply Side Policies

Increased tariffs of quotas will reduce imports and improve the current account

Question No: 14 (Marks: 1) - Please choose one

If imports = exports, then we have:

► Current account balance.

► Capital account balance.

► Statistical discrepancy.

► **Balanced Budget.**

T-G is referred to as the fiscal balance. If G>T, there is a fiscal or budget deficit; if G<T, there is a fiscal or budget surplus. If G=T, there is a balanced budget

T = Tax Revenue for government

G = Government Spending , expenditure spending in the form of subsidies, unemployment benefits etc

Question No: 15 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

► The number of firms in the market.

► **The extent to which any firm can influence the price of the product.**

► The size of the firms in the market.

► The annual sales made by the largest firms in the market.

Question No: 16 (Marks: 1) - Please choose one

Disposable Income is obtained by subtracting ---------- from personal income.

► Indirect Taxes.

► **Direct Taxes.**

► Both direct and indirect taxes.

► Subsidies.

Disposable income is obtained by subtracting the amount of direct taxes from the personal income of the person.

Question No: 17 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

► Equal to price.

► Equal to average cost.

► **Less than price.**

► More than price.

For any firm facing a downward sloping demand curve, marginal revenue will be less than price.

http://www2.econ.iastate.edu/classes/econ101/vandewetering/chapter13notes.htm

Question No: 18 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

► **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**

► Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

An important difference between the approaches of the classical and Keynesian economists use to achieve a macroeconomic equilibrium is that

Keynesian economists actively promote the use of fiscal policy; the classical economists do not

Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance; classical economists do not

Classical economists believe that monetary policy will certainly affect the level of output; Keynesians believe that money growth affects only prices

Classical economists believe that fiscal policy is an effective tool for achieving economic stability; Keynesians do not

Question No: 19 (Marks: 1) - Please choose one

Suppose an economy is at full employment equilibrium in the classical model. What will be the long run effect of an increase in government spending in this economy?

► Price level will increase.

► The aggregate demand curve will shift upward.

► Output level will remain constant.

► All of the given options.

The optimal role for the government under classical economics was one of laissez-faire. They believed that if the prices of goods, services and factors were allowed to be determined by the free operation of the forces of demand and supply (i.e. the price mechanism) the best possible outcome for resource allocation would obtain In other words the economy would be at the full employment level, and it would not be possible to improve that situation through government intervention.

Long-run

In the long-run, however, the situation will be different. The economy will have tended towards full employment on its own, and so any further increases in demand will simply be inflationary. The shape of the long-run aggregate supply curve will therefore be vertical:

Classical long run supply curve is vertical, any policy specially government policy which increase in AD, Government spending cause shift in AD to upward, any shift in demand shown by prices, classical assume that no to good and services available in the economy was fixed therefor any increase in want and desire to buy the goods would be reflect increase in prices and no increase in output or in quantity produce

Output can be only increase by shift in supply curve. Shift in supply curve is cause by

Availability of resources (Labor, input,etc)

Cost of producing fall

Technology improvement

Question No: 20 (Marks: 1) - Please choose one

This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

- ► Rs. 700 billion.
- ► Rs. 650 billion.
- ► **Rs. 600 billion.**
- ► Rs. 300 billion.

Formula

Net National product at market price = Net national Product at Factor Cost + Net Indirect Taxes (Indirect taxes – Subsidies)

Net National product at market price = 500 + 150 -50

Net National product at market price=600

Net National product at Factor Cost = Net National Product at Market Price – Net Indirect Taxes (Indirect taxes – Subsidies)

GDP at factor and market prices:

Difference between GDP at factor cost and GDP at market price is that in GDP at factor cost mean the final output which is sold to consumer contains only factor price while in GDP at market price also consist of factor price plus indirect taxes. GDP at market price is always higher than the GDP at factor price. Formulas are given as follows.

GDP at market price= GDP at factor cost + Indirect taxes

GDP at factor cost = GDP at market price – Indirect taxes

Question No: 21 (Marks: 1) - Please choose one

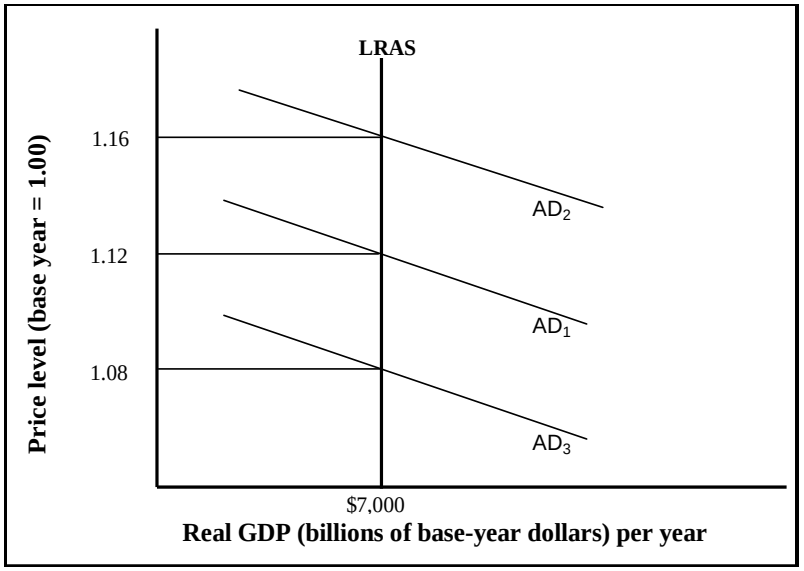
Which of the following is an example of an injection?

- ► Taxes.
- ► Saving.
- ► Imports.
- ► **Investment.**

Withdrawal (S + T + M **) = Injection (**I + G + X)

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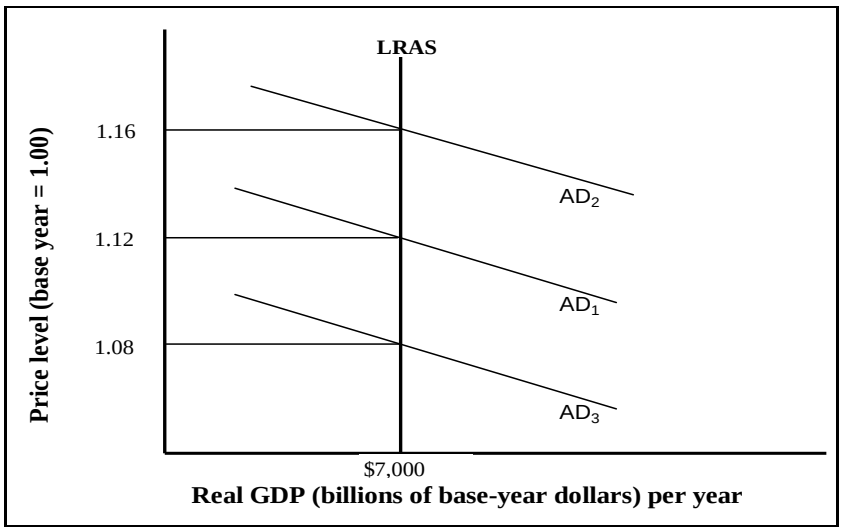
Question No: 22 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ► $7,000 billion at a price level of 1.16.
- ► $7,000 billion at a price level of 1.12.
- ► $7,000 billion at a price level of 1.08.
- ► **All of the given options.**

Question No: 23 (Marks: 1) - Please choose one



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Refer to the above figure, if the real GDP is $7,000 billion and the implicit price deflator is 1.16, what is the value of nominal GDP?

► $6,034 billion.

► **$8,120 billion.**

► $9,120 billion.

► Cannot be determined from the given information.

DP deflator = Nominal GDP / Real GDP

Rearrange

Nominal GDP = GDP Deflator x Real GDP

Nominal GDP = 1.16 x 7000

Nominal GDP =8120

The GDP deflator shows how much a change in the base year's GDP relies upon changes in the price level. Also known as the "GDP implicit price deflator."

Question No: 24 (Marks: 1) - Please choose one

Which of the following is TRUE?

► **Accelerator coefficient = Marginal capital / output ratio.**

► Accelerator coefficient > Marginal capital / output ratio.

► Accelerator coefficient < Marginal capital / output ratio.

► None of the given options.

The size of the accelerator, α, depends on the marginal capital to output ratio: (ΔK)/(ΔY)

The ratio of change in capital investment to the change in consumer spending.

Also called **accelerator**, coefficient of acceleration

Question No: 25 (Marks: 1) - Please choose one

Which of the following predictions can be made using the growth rates associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (Y_P) in the long run?

► **If the money supply grows at a faster rate than growth in Y_P, there will be inflation.**

► If the money supply grows at the same rate as growth in Y_P, the price level will fall and there will be deflation.

► If the money supply grows at the same rate as growth in Y_P, the price level will also increase at the same rate as growth in Y_P,.

► None of the given options.

Higher money growth does not affect output, higher money growth leads to higher inflation.

MV = PY
So, if we double M, we double PY.
Reinterpret:
Y = Real GDP
P = GDP deflation
If the money supply grows at a faster rate than growth in YP, there will be inflation in the economy and it can be associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (YP) in the long run

Question No: 26 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

► All of the given options.

► **Consumer tastes for domestic and foreign goods.**

► Prices of goods at home and abroad.

► Costs of transporting goods from country to country.

Question No: 27 (Marks: 1) - Please choose one

Disposable Personal Income $	Consumption $
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is $100, what is the amount of personal saving?

► **−$40.**

► −$20

► $0.

► $20.

100-140= - 40

Question No: 28 (Marks: 1) - Please choose one

Disposable Personal Income $	Consumption $
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is $400, what is the amount of personal saving?

► −$40.

► −$20.

► $0.

► $20.

400-380 =20

Question No: 29 (Marks: 1) - Please choose one

The price of one unit of foreign good in terms of domestic good is known as:

► Inflation rate.

► Real exchange rate.

► Nominal exchange rate.

► Discount rate.

(NER)Nominal exchange rate: price of a foreign currency unit in terms of the domestic currency units:

The nominal exchange rate ε is defined as the number of units of the domestic currency that can purchase a unit of a given foreign currency.

Nominal exchange rate is simply the price of one currency in terms of the number of units of some other currency.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

► Incentive to profit.

► Foreign aid.

► Domestic savings.

► Inflation.

Foreign aid can play vital role in economic development e.g. if developed country help the poor country with technology then poor country by using technology bring revolution in the country and can make economic development.

Foreign aid means economic and other assistance given by one country to another country. Foreign aid can accelerate Economic Development. It is used for setting up Industry, for capital formation, to increase employment opportunities and due to it Transfer of Technology & Knowledge takes place, Peoples Purchasing Power Increases etc.

Economic development is possible without inflation. However, a small amount of inflation is necessary for economic development. Economists sometime consider it as "greasing the wheals" for economic development. So, economies with small amount of inflation are generally thought to be better off than a society with no or lots of inflation. A small

Positive inflation rate of about 3% is considered healthy for development while 7% is quite acceptable for fast growing emerging economies.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

► Improved rate of capital formation.

► **Increase in money supply**

► Increase in investment in education and training.

► Rapid technical progress.

Economic growth is an increase in the total output of a country over time. It is the long-run expansion of the economy's ability to produce output. When GDP of a country is increasing it means that country is growing economically. Economic growth is made possible by increasing the quantity or quality of the economy's resources (labor, capital, land, and entrepreneurship).

Question No: 32 (Marks: 1) - Please choose one

The money multiplier is the reverse of:

- ► Legal reserves.
- ► Excess reserves.
- ► Checkable deposits.
- ► **The reserve ratio.**

THE MONEY MULTIPLIER

If you look carefully, the money multiplier is nothing but the inverse of the reserve ratio. Thus, we can write MM = 1/rr, where rr is reserve ratio

MONETARY MULTIPLIER (also known as the money multiplier or the deposit-expansion multiplier)--Maximum checking deposit expansion which can result from a given amount of excess reserves is a multiple of that given amount of excess reserves. That multiple is the monetary multiplier. It is equal to 1 / R where R is the required reserve ratio.

The *money multiplier* is the reciprocal of the reserve ratio

The money multiplier indicates the magnified change in money (checkable deposits and currency) that results from an injection of additional reserves into the banking system.

Question No: 33 (Marks: 1) - Please choose one

A primary function of a central bank is to:

- ► Regulate dividend payments by corporations.
- ► Control the bond market.
- ► **Set monetary policy**
- ► Publish statistics on banking and related financial matters.

Monetary policy can be defined as the central bank's Programme, often changing on a daily basis, regarding the direct or indirect control (through interest rates) of monetary conditions in the economy with a view to managing aggregate demand and inflation

Question No: 34 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

► **It will shift the IS curve to the left and decrease both the interest rate and the level of income.**

► It will shift the IS curve to the right and increase both the interest rate and the level of income.

► It will shift the IS curve to the right and increase the level of income but decrease the interest rate.

► It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.

The IS curve will shift to the left. There will be a resulting fall in the rate of interest and a fall in national income.

The LM curve will shift to the left. There will be a resulting rise in the rate of interest and fall in national income

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If there is an increase in taxes, IS curve will shift downward and income and

interest rate will fall.

Question No: 35 (Marks: 1) - Please choose one

IS curve shows the equilibrium in:

► Money Market.

► **Goods Market.**

► Labor Market.

► Financial Market.

The IS curve describes equilibrium in the market for goods and services in terms of r and Y. The IS curve is downward sloping because as the interest rate falls, investment increases, thus increasing output.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is TRUE for investment function and the IS curve slope?

► It is upward because higher interest rates induce more investment.

► It is upward because higher interest rates induce less investment.

► It is downward because higher interest rates induce more investment.

► It is downward because higher interest rates induce less investment.

The IS curve describes equilibrium in the market for goods and services in terms of r and Y. The IS curve is downward sloping because as the interest rate falls, investment increases, thus increasing output.

The LM curve describes equilibrium in the market for money. The LM curve is upward sloping because higher income results in higher demand for money, thus resulting in higher interest rates. The intersection of the IS curve with the LM curve shows the equilibrium interest rate and price level.

http://www.campus-online.uni-stuttgart.de/self-study/vortraege_auftakt/englmann/MANKIW3/QUE/CHAP9.QUE

Question No: 37 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

► The demand curve for airline travel shifts left.

► The demand curve for airline travel shifts right.

► The supply curve of airline travel shifts left.

► The supply curve of airline travel shifts right.

Question No: 38 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

► **Decreasing returns to scale.**

► Constant returns to scale.

► Increasing returns to scale.

► None of the given options.

Question No: 39 (Marks: 1) - Please choose one

What will happen if current output is less than the profit-maximizing output?

► The next unit produced will decrease profit.

► The next unit produced will increase cost more than it increases revenue.

► **The next unit produced will increase revenue more than it increases cost.**

► The next unit produced will increase revenue without increasing cost.

If current output is less than the profit-maximizing output, then the next unit produced

a. will decrease profit.

b. will increase cost more than it increases revenue.

c. will increase revenue more than it increases cost.

d. will increase revenue without increasing cost.

e. may or may not increase profit

Question No: 40 (Marks: 1) - Please choose one

In which of the following situations, a monopoly occurs?

► When each firm produces a product that is slightly different from the other firms.

► **When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**

► When there are many firms producing the same product.

► In all of the given situations.

Question No: 41 (Marks: 1) - Please choose one

Concentration ratio is used to assess:

► **The level of competition in an industry.**

► The degree of control over prices.

► The technological gaps between the firms.

► Marginal cost and marginal benefit analysis.

Concentration ratio is used to assess the level of competition in an industry. It is simply the percentage of total industry output that is produced by the five largest firms in the industry

Question No: 42 (Marks: 1) - Please choose one

If an increase in price increases the total revenue then:

► Demand is elastic

► **Demand is inelastic**.

► Supply is elastic.

► Supply is inelastic.

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Elastic demand means when price of any product increases, its demand also increases more than the increase in price. As price increases total revenue decreases in case of elastic demand.

Inelastic demand of any product means that if price of that product increases there is very small effect on its quantity demanded. As price increases, total revenue also increases in case of inelastic demand.

INELASTIC DEMAND 0< Ɛ < 1

Price rises:

As P increases, Q decreases

Percentage change in P > percentage change in Q

Now TR = P x Q TR will also increase

Price falls:

As P decreases, Q increases

Percentage change in P > percentage change in Q

Now TR = P x Q TR will also decrease

ELASTIC DEMAND Ɛ > 1

Price rises:

As P increases, Q decreases

Percentage change in P < percentage change in Q

Now TR = P x Q TR will also decrease

Price falls:

As P decreases, Q increases

Percentage change in P < percentage change in Q

Now TR = P x Q TR will also increase

Question No: 43 (Marks: 1) - Please choose one

Revaluation of the currency encourages:

► **Imports.**

► Exports.

► Poverty.

► Inflation.

Devaluation makes the home country's exports cheaper to foreigners in term of the foreign currency while making the home country's imports more expensive in term of the home currency. Expenditures are diverted from foreign to home goods as home exports raise and imports falls.

In like manner a Revaluation discourages the home country's exports and encourages its imports diverting expenditures from home goods to foreign goods.

Question No: 44 (Marks: 1) - Please choose one

Growth rate of total output is equal to:

► Growth rate of per capita income - Growth rate of population.

► Growth rate of population / Growth rate of per capita income.

► **Growth rate of population + Growth rate of per capita income.**

► Growth rate of population - Growth rate of per capita income.

Growth rate of per capita income = Growth rate of total output - Growth rate of population

Rearrange

Growth rate of total output= Growth rate of per capita income + Growth rate of population

OR

Growth rate of total output= Growth rate of population + Growth rate of per capita income

Question No: 45 (Marks: 1) - Please choose one

Government can borrow from domestic banking system or general public by selling:

► Shares of any of its institute.

► Stocks.

► **Treasury bills.**

► Debentures.

Here the government spends more than its revenues, and raises debt to finance the excess of expenditures over revenues. The three borrowing options were mentioned earlier:

Borrow from domestic banking system or general public through a sale of treasury bills and bonds. Bills are short-term debt instruments (< 1 year) and bonds are long-term bond instruments (> 2 years).

Borrow from the central bank by ordering the latter to print money and lend it to the government (free or at an interest cost) for onward spending

Borrow from foreign sources either through bonds floated on international capital markets or

bilateral, multilateral or commercial loans

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an equilibrium condition in goods market?

► **Investment = Saving.**

► Money supply = Money demand.

► Aggregate demand = C + I + G + NX.

► Aggregate demand = Aggregate supply.

Goods market is in equilibrium when

AD & Y (AS) are equal

AD = C + I + G + NX

Income Y = C + S + T

When the two are equal

AD = Y or

C + I + G + X – M = C + S + T

(G – T) + (X – M) + I = S

Assuming G = T & X = M

I = S for equilibrium

Question No: 47 (Marks: 1) - Please choose one

If the exchange rate is fixed, expansionary fiscal policy would not have any:

► Investment multiplier effect.

► **Crowding out effects.**

► Government spending effect .

► None of the given options.

Fiscal policy becomes more effective: Given fixed exchange rates, expansionary fiscal policy would not have any crowding out effects if the capital account is open. This is because as soon as interest rates begin to rise due to higher government borrowing (to finance the higher spending), capital flows in through the capital account, which given a fixed exchange rate, expands the foreign exchange reserves and hence the money supply

Question No: 48 (Marks: 1) - Please choose one

The common characteristics of a developing country is:

► High growth rate.

► High literacy rate.

► Skilled labor.

► **High unemployment rate.**

In the advanced countries , the rate of unemployment is low while in the less developing countries rate of unemployment is very high. In the less developing countries disguised unemployment is also found

Common Characteristics of Developing countries

1. **Low Standards of Living, characterized by low incomes, inequality, poor health and inadequate education**
2. **Low Levels of Productivity**
3. **High Rates of Population Growth & Dependency Burdens**
4. **High & Rising Levels of Unemployment & Underemployment**
5. **Substantial Dependence on Agricultural Production & Primary Product Exports**
6. **Prevalence of imperfect markets & limited information.**
7. **Dominance, Dependence and Vulnerability in International Relations.**

PAPER # 06

Question No: 1 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 2 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.

► The percentage change in quantity demanded is same as the percentage change in the price.

► **An increase in price will increase total revenue.**

► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).

► Availability of close substitutes.

► Share of consumer's budget and passage of time.

► **All of the given options.**

The price elasticity of demand is a measure of how much the quantity demanded responds to a change in price.

Determinants of price elasticity of demand include:

Whether the good is a luxury or a necessity. Luxuries tend to have higher price elasticities of demand and necessities tend to have small price elasticities of demand

Availability of close substitutes. Goods with close substitutes tend to have more elastic demand than do goods without close substitutes.

Time horizon. The longer the time horizon over which demand is measured, the greater is the ability of buyers of the good to find substitutes for products whose prices have risen. Therefore, the longer the time horizon, *ceteris paribus*, the larger is the elasticity of demand.

Definition of the market. Narrowly defined markets tend to have more elastic demand, and broadly defined markets tend to have less elastic demand

Question No: 4 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.

► **Indifference curves slope upwards.**

► Indifference curves may cross.

► Indifference curves could take the form of ellipses.

If there are only two goods, if more of good 1 is always preferred to less, and if less of good 2 is always preferred to more, then:
(a) Indifference curves slope downwards.
(b) Indifference curves slope upwards.
(c) Indifference curves may cross.
(d) Indifference curves could take the form of ellipses.
(e) None of the above.

Question No: 5 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

► The consumer's indifference curve must be positively sloped.

► The consumer's indifference curve must be convex with respect to the origin of the graph.

► The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.

► All of the given options.

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Question No: 6 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

► Flatter.

► Steeper.

► Identical.

► None of the given options.

Leisure Lovers Steep indifference curve
Workaholic's flat indifference curve

Question No: 7 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

► **All inputs are variable.**

► All inputs are paid for.

► All outputs are determined.

► All loans are repaid.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.

► Marginal revenue and average total cost.

► Price equals marginal revenue.

► **None of the given options.**

MC =MR

At the profit-maximizing level of output, the marginal cost is equal to Marginal revenue

Question No: 9 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**

► Price = Average Total Cost.

► Average Total Cost = Marginal Cost.

► Price < Marginal Cost.

Profit maximization in the short run

1) For a firm in a perfectly competitive market, price is equal to both average revenue and marginal revenue. **P=MR=AR** (only true in perfectly competitive market)
2) Condition for profit maximization is **MR=MC** (true in any type of market)
3) Combine these two results together: for a profit maximizing firm in a perfectly competitive market, it will choose the output where price is equal to marginal cost. **P=MC**

Question No: 10 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

► Production losses are less than fixed costs.

► Only normal profits are earned.

► **Production losses exceed fixed costs.**

► Fixed costs are zero.

Question No: 11 (Marks: 1) - Please choose one

Loud music from a neighbor's party is:

► **A negative externality whether or not you like it.**

► A positive externality whether or not you like it.

► A positive externality if you like the music and a negative externality if you don't.

► A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

► Monetarism.

► Rational expectations.

► **Keynesian economics.**

► Neoclassical economics.

Question No: 13 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

► **Unemployment benefits reduce the cost of job search.**

► Unemployment benefits encourage people to quit their jobs.

► Unemployment benefits reduce the benefits of additional job searching.

► Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) - Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

► Cyclically unemployed.

► Employed.

► Structurally unemployed.

► **Frictionally unemployed**

The first type of unemployment is **frictional** unemployment, which occurs when people take time to find a job; it is the short-term unemployment associated with the process of matching workers with jobs. This might be due to workers quitting one job to find one that is a better fit for their skills or lifestyle or perhaps students who have just graduated from college and are looking for their first job. Frictional unemployment always exists because there are always some workers in transition. If you are 16 or older, you would be considered frictionally unemployed this summer when you start looking for a summer job.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

► **The capital account.**

► The current account.

► The financial account.

► All three components are equally important.

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Question No: 16 (Marks: 1) - Please choose one

An increase in ''per capita'' national income implies that:

► **Everyone in the nation is enjoying a better standard of living.**

► The population has increased.

► National income has risen faster than the population has risen**.**

► The distribution of income has improved.

Per capita income is calculated as the total national income is divided by the number of people in the nation. To find the per capita income of an area, use the following formula:

Per capita income= National income/Total population

Per capita income represents the standard of living of the people. When it increases its mean the standard of people improving and when it decreases its mean people are facing low standard of living

Per capita income is obtained by dividing the national income by the total number of population. It is

the average annual income per head for all the inhabitants of the country; it is used to represent the

standard of living of the people.

A measure of the amount of money that is being earned per person in a certain area. Income per capita can apply to the average per-person income for a city, region or country and is used as a means of evaluating the living conditions and quality of life in different areas. It can be calculated for a country by dividing the country's national income by its population

Question No: 17 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

► **Interest rate rises and investment falls.**

► Interest rate rises and velocity of circulation also rises.

► Higher interest rates encourage the central bank to increase the money supply.

► Interest rate falls and exports rise.

Crowding out of investment demand: When the government spends and finances that spending through borrowing from banks or the general public (i.e. does not resort to money supply expanding means of financing the fiscal deficit), the demand for loan able funds is driven up, causing interest rates to rise and private sector ability to borrow funds to fall.

Question No: 18 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period**.

Gross National Product (GNP):

Gross national product (GNP) is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country

Real gross national product is best defined as

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period**.

Real gross national product is best defined as the market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

The total market value of all final goods and services produced within a given period by factors of production located within a country is

Gross national product.

Gross domestic product.

Net national product.

Net national income.

A formal definition of GDP Gross Domestic Product

Real GDP is gross domestic product measured

In the prices of a base year.

In current dollars.

At a constant output level but at current prices.

As the difference between the current year's GDP and last year's GDP

'Real' here means after taking account of inflation

Gross national product can serve as a measure of happiness only if

Material goods directly make people happy

Tax policies leave disposable income unaffected

New goods are not produced in the economy

All nonmonetary transactions are excluded from GNP

Question No: 19 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

► **The dollar can now purchase more yen.**

► The US trade balance with the Japanese economy has improved.

► The yen can now purchase more dollars**.**

► The dollar has depreciated relative to the yen.

Further, if US dollar has strengthened it means that in order to buy 1US dollar more Japanese Yen are required.. . If the US dollar has strengthened, more Japanese yen will be required to get 1US dollar.

Depreciation means a decrease in the value of a currency with respect to other currencies.

For example, suppose one unit of Currency A is worth one unit of Currency B. If Currency A depreciates such that it becomes worth half of one unit of Currency B. As in the above case Japanese Yen has depreciated as compare to dollar means more Japanese yen are required to get 1dollar

Question No: 20 (Marks: 1) - Please choose one

The Marginal Propensity to Save (MPS) is:

► **One Minus Marginal Propensity to Consume (MPC).**

► Saving divided by consumption.

► The slope of the consumption function (or line).

► The proportion of disposable income used for consumption.

Marginal propensity to save:

MPS = ΔS / ΔYd

Or

MPS = 1 – MPC

Question No: 21 (Marks: 1) - Please choose one

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.

► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.

► It is the result of market power and production costs.

► **None of the given statements is true.**

A monopolist cannot trace out a short run supply curve because for a given price there is not a unique quantity supplied. A monopoly has no supply curve because it is the only seller.

1. Why is there no market supply curve under conditions of monopoly? **(1 point)**

The monopolist is the single seller so we don't need to aggregate all the individual firms' marginal cost curves to obtain the industry supply curve. The monopolist's output decision

depends not only on its marginal cost, but also on the demand curve (unlike perfect competition). Thus, shifts in demand lead to changes in price, in output or both. There is no one-to-one correspondence between the price and the seller's quantity, unlike in perfect competition.

Question No: 22 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► **The supply of non-cartel members is very price elastic.**

Question No: 23 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

► **V and Q are assumed to be constant.**

► The money supply is assumed to be produced by the banking system and not exclusively in currency.

► The quantity of money is assumed to determine the amount of Real GDP.

► M and P are considered constant.

THE MONETARISTS VIEW: Quantity theory of Money

MV = PQ, where

M is the real money supply, V is the velocity of money (the no. of times money is circulated in the economy in a year), P is the price level and Q is the real output. Assuming a constant V and a stabl (natural rate) output Q*, changes in P could be explained totally by changes in M

Question No: 24 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

► **If labor force is fully employed.**

► If price level is stable.

► If trade balance is zero.

► If federal budget is balanced.

Potential gross domestic product, or potential GDP, is a measurement of what a country's gross domestic product would be if it were operating at full employment and utilizing all of its resources

Question No: 25 (Marks: 1) - Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

► Trade restriction.

► **Quota.**

► Import restriction.

► Legislative restriction.

A specified maximum amount of the good that may be imported in a given period of time is a Quota

Question No: 26 (Marks: 1) -

GNP is a good indicator of:

► The total payment of factor owners**.**

► The amount of consumption and investment.

► **The conditions of production and employment.**

► The amount of incomes available for spending.

GNP is a measure of a country's economic performance, or what its citizens produced (i.e. goods and services) and whether they produced these items within its borders

GNP is the final value of goods and services produced by domestically-owned means of production (using domestic labor and resources)

Gross National Product would be a better indicator of the standard of living because it takes Net Factor Income from Abroad into account.

As GDP is a part of GNP it measures the production as well as employment of a country as goods and services are produced by using domestic labor and resources

GNP = C + I + G + (X - M)

Aggregate final output of residents and businesses in an economy in a one year period called GDP.

Aggregate final output of citizen and businesses in an economy in a one year period Called GNP.

So GDP indicate total payments to factor .

Question No: 27 (Marks: 1) - Please choose one

The demand for factors of production is derived from:

► Money market.

► **Goods market.**

► Stock market.

► Financial market.

The Demand for Factor of Production:

The demand for factors of production (like labor) is a derived demand, because it is "derived" from the goods market. For e.g., the demand of labor increases when the demand for a labor-intensive good rises, and as firms try to produce more of that good by employing more labor

Question No: 28 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

► **The income effect of higher income dominates the substitution effect of higher wages.**

► The substitution effect of higher income dominates the income effect of higher wages.

► The income effect of higher income dominates the price effect of higher wages.

► None of the given options.

The labour supply curve may bend backwards above a certain wage rate as the income effect of higher income dominates the substitution effect of higher wages

Question No: 29 (Marks: 1) - Please choose one

The discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

► Future value.

► **Net present value.**

► Discounted value.

► Disposal value.

The NPV of an asset is the discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost.

Discounting is the process of converting a stream of future incomes and expenses into a present value. The discount rate is the rate at which the future incomes are discounted

Question No: 30 (Marks: 1) - Please choose one

Information products are also known as:

► Inferior products.

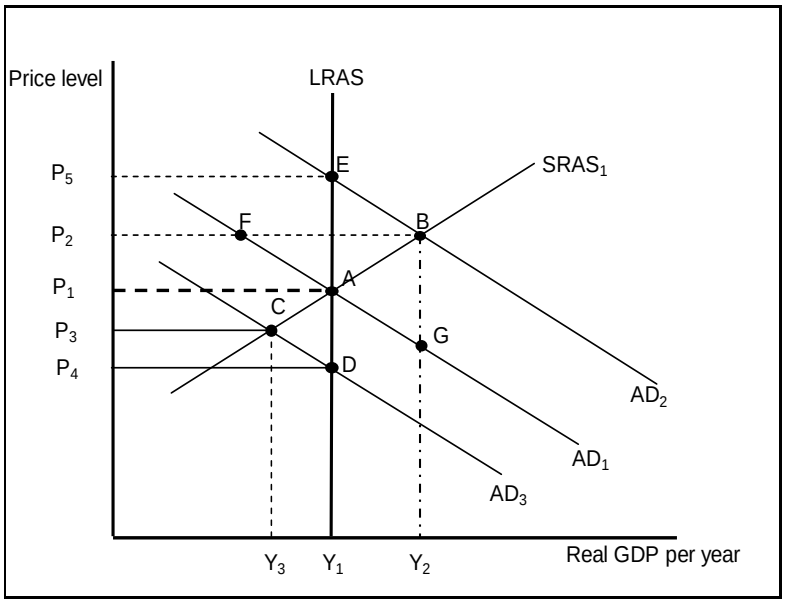
► Superior products.

► **Internet products.**

► Expensive products.

The economics of information products or (internet products) involves studying how economic principles apply to the production, distribution and consumption of these products

Question No: 31 (Marks: 1) - Please choose one



Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

► Real GDP remains at Y_1 but the price level falls to P_3.

► The quantity of real GDP demanded falls resulting in a movement from point A to point F.

► **Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3.**

► The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a cost of rising unemployment?

I. Output foregone.
II. Unemployment compensation that must be paid.
III. Rising inflation that erodes the value of money.

► I, II, and III.

► **I and II.**

► I and III.

► II and III.

COSTS OF UNEMPLOYMENT

If unemployment is voluntary, i.e. people do not work because they feel they are better off being unemployed, the costs are borne essentially by society, not the individual per se. The costs are:

a. Output and hence national income is lower than potential.

b. Government loses tax revenues because of a.

c. Firms lose revenues as they could have employed more workers and produce and sell more.

d. Other workers lose additional wages that they might have otherwise been able to earn with higher national output.

e. There is a general tendency for crime and violence to rise in society as unemployment levels increase.

Unemployment compensation is those payments which are made by government to those people who are unemployed. These benefits depend on the status of the person and this amount covers only the basic needs or may compensate the lost time proportionally to the previous earned salary. Unemployment benefits are usually given to those people who registered themselves as

unemployed and often on conditions ensuring that they seek work and do not currently have a job. Pakistan does not have a solid unemployment benefit system.

Question No: 33 (Marks: 1) - Please choose one

Rising inflation means:

► That the price level is increasing by a given percentage rate.

► That the prices of all goods and services increase from year to year.

► That the price level is rising at an increasing rate.

► That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) - Please choose one

Economic growth occurs by an outward shift of:

► The production possibility frontier.

► The gross domestic barrier.

► The marginal consumption frontier.

► The minimum efficient scale.

Economic growth is the process of increasing the economy's ability to produce goods and services. It is achieved by increasing the quantity or quality of resources. This process can be illustrated as an outward shift of the production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

► Continuous technology progress.

► High rate of population growth.

► Development of urban centers.

► Expansion of railways.

The process of economic growth involves continuous innovations and inventions in technology and its diffusion and application to production. It is suggested that scientific inventions, innovations and applications must be combined to create a high rate of technological progress.

Question No: 36 (Marks: 1) - Please choose one

The government has a balanced budget if:

- **► Its total revenues are equal to its total expenditures.**
- ► Its total revenues are less than its total expenditures.
- ► Its total revenues are greater than its total expenditures.
- ► The money supply is less than total expenditures.

G= government spending , T = taxes

G > T = Deficit

T > G = Surplus

T= G – Balanced

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ► Moral suasion.
- ► Reserve requirements.
- ► The discount rate.
- **► Open market operations.**

The Federal Reserve's three instruments of monetary policy are

1-Open market operations

2-the discount rate

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3-reserve requirements.

Open market operations involve the buying and selling of government securities. Open market operations is the *buying and selling of government bonds* by the Federal Reserve

The discount rate is the interest rate charged by Federal Reserve Banks to depository institutions on short-term loans.

Reserve requirements are the portions of deposits that banks must maintain either in their vaults or on deposit at a Federal Reserve Bank

Question No: 38 (Marks: 1) - Please choose one

When the comparative advantage in production of a good does occur?

► When a country can produce that good using fewer resources than other countries.

► When a country can produce that good at a greater opportunity cost than other countries.

► When a country can produce that good at a lower opportunity cost than other countries.

► When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Comparative Advantage'

A situation in which a country, individual, company or region can produce a good

at a lower opportunity cost than a competitor

http://www.investopedia.com/terms/c/comparativeadvantage.asp#ixzz1jcOD9Ufx

Question No: 39 (Marks: 1) - Please choose one

A quota is defined as:

► A restriction on exports.

► A unit tax imposed on a product.

► A limit on the quantity of a good that can be exported.

► **A limit on the quantity of a good that can be imported.**

A specified maximum amount of the good that may be imported in a given period of time is a Quota

Most nations of the world are:

► Closed economies.

► **Open economies**

► Self sufficient.

► Non trading nations.

An open economy is an economy in which international trade takes place. Most nations around the world have open economies

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

► The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.

► The agricultural sector is by far the largest producer and the most productive sector in low-income countries.

► **Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.**

► The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

No body can deny the importance of agriculture sector at national as well as international level for economic development. Developing or Lower income countries are usually the agrarian economies. Pakistan is also a farming country. 70% of its population is living in rural areas out of which at least 50% people are engaged in farming, livestock and agro-based industries.

But the condition of agriculture sector is not satisfactory in lower income countries including Pakistan. Labor productivity and yield per acre is very low as compared to developed countries due to scarcity of capital, old methods of cultivation, natural calamities, illiteracy, inferior quality seeds, inadequate fertilizers, water logging, salinity and irrigation problems etc. people are now moving from rural to urban areas; this is also affecting agriculture sector.

Question No: 41 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

► Immigration of skilled workers into the nation.

► An increase in the size of the working-age population.

► A decrease in the size of the working-age population.

► Increased production of capital goods.

Question No: 42 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

► 10.

► 20.

► 30.

► 40.

40-30 = 10

Question No: 43 (Marks: 1) - Please choose one

If marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

► Expand output.

► Do nothing without information about your fixed costs.

► Expand output until marginal revenue equals zero.

► Reduce output until marginal revenue equals marginal cost.

Consider what results if marginal revenue is not equal to marginal cost:

If marginal revenue is greater than marginal cost, as is the case for small quantities of output, then the firm can increase profit by increasing production. Extra production adds more to revenue than to cost, so profit increases.

If marginal revenue is less than marginal cost, as is the case for large quantities of output, then the firm can increase profit by decreasing production. Reducing production reduces revenue less than to it reduces cost, so profit increases.

If marginal revenue is equal to marginal cost, then the firm cannot increase profit by producing more or less output. Profit is maximized.

Question No: 44 (Marks: 1) - Please choose one

The average annual income per head for all the inhabitants of the country is known as:

- ► Gross domestic product.
- ► Gross national product.
- ► Net national product.
- ► **Per capita income.**

Income per capita can apply to the average per-person income for a city, region or country and is used as a means of evaluating the living conditions and quality of life in different areas. It can be calculated for a country by dividing the country's national income by its population.

Question No: 45 (Marks: 1) - Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- ► **Real gross domestic product.**
- ► Gross national product.
- ► Net national product.
- ► Per capita income.



Question No: 46 (Marks: 1) - Please choose one

The principle which states that a change in income causes a magnified change in investment is termed as the:

► None of the given.

► Paradox of thrift.

► Multiplier effect.

► **Accelerator effect.**

Acceleration Principle'

An economic concept that draws a connection between output and capital investment. According to the acceleration principle, if demand for consumer goods increases, then the percentage change in the demand for machines and other investment necessary to make these goods will increase even more (and vice versa). In other words, if income increases, there will be a corresponding but magnified change in investment.

The accelerator is a related concept which formalizes the investment response to output or income changes in an economy. The key observation here is that when an economy begins to recover from a slump, investment can rise very rapidly and, in percentage terms, the rise in investment may be several times the rise in income

The working of Acceleration principle is similar to that of multiplier principle

Accelerator usually refers to induced investment – investment induced by a change in income

Accelerator is a related concept which formalizes the investment response to output or income change in economy

Accelerator or investment accelator .

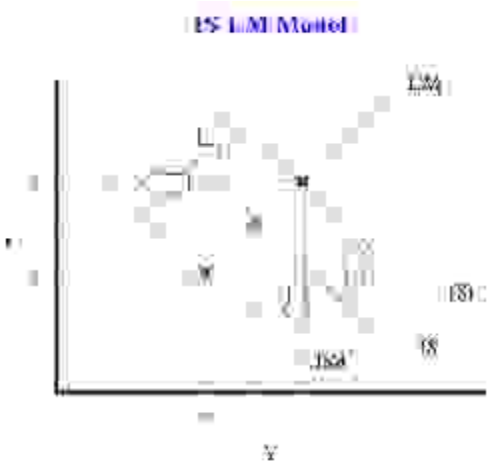
Question No: 47 (Marks: 1) - Please choose one

If central bank increased the money supply, then what will be happen to IS curve?

- ► IS curve will Shifts rightward.
- ► IS curve will Shifts leftward.
- ► **IS curve will remain unaffected.**
- ► IS curve will become vertical

Possible shifts in the IS curve:

Change in Fiscal policy (G):



1. The government can increase government spending (shifting IS right) or decrease government spending (shifting IS left).
2. The government can increase taxes which lowers consumer spending (shifting IS left) or decrease taxes which increases consumer spending (shifting IS right).

Consumers can change their savings rate (C):

If consumers decide to save more (marginal propensity to consume declines) then consumer spending declines and the IS curve shifts left.

If consumers decide to save less (marginal propensity to consume rises) then consumer spending increases and the IS curve shifts right.

Change in exports (NX):

If exports increase (due to currency depreciation) we will see the IS curve shift right.

If exports decrease (due to currency appreciation) we will see the IS curve shift left.

A change in private fixed investment (I)

If consumers/firms feel more confident about the future, they may invest more regardless of the interest rate. This will cause an increase in investment (IS shifts right).

If consumers/firms feel less confident about the future, they may invest less regardless of the interest rate. This will cause a decrease in investment (IS shifts left).

Possible shifts in the LM curve:

A change in money supply (M):

1. If the central bank (or Federal Reserve) decides to increase the money supply (by buying t bills) then the LM curve shifts right.
2. If the central bank (or Federal Reserve) decides to decrease the money supply (by selling t bills) then the LM curve shifts left.

A change in the overall price level (P):

If the price level rises, the LM curve shifts left. This occurs because people need more money to pay the higher prices, but the higher resulting interest rates lower the demand for money.

If the price level declines, the LM curve shifts right. This occurs because people need less money to pay the lower prices, and the lower interest rates increase their demand for holding money.

Question No: 48 (Marks: 1) - Please choose one

The value of world trade has increased ----------over the period of 1930-2000.

► **20 fold**

► 10 fold

► 5 fold

► 14 fold

The value of world trade has increased 20 fold over the 1930-2000 period

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PAPER # 07

Question No: 1 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.

► **Less ink to be demanded at each price.**

► A decrease in the demand for pen.

► A rightward shift in the demand curve for ink.

Question No: 2 (Marks: 1) - Please choose one

A demand curve is price inelastic when:

► **Changes in demand are proportionately smaller than changes in price.**

► Changes in demand are proportionately greater than changes in price.

► Changes in demand are equal to changes in price.

► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

► **Changes in demand are proportionately greater than changes in price.**

► Changes in demand are equal to changes in price.

► None of the given options.

► Changes in demand are proportionately smaller than changes in price.

Question No: 4 (Marks: 1) - Please choose one

A production function:

- ► Relates inputs with output.
- ► Generates a curve that is upward sloping.
- ► Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ► **All of the given options.**

Production function simply relates to input to output

There are two properties of production function

1- it slopes upward it means that as input increases output also increases.
2- It shows diminishing marginal product of an input, since it gets flatter as output rises. It means that as factors of production increases output will decrease after a certain point.

As, land and labor are the factors of production used to produce goods. Law of diminishing marginal returns states that if you increase the quantity of variable factor (labor) with fixed factor (land), marginal product of an additional employee will at some point be less than the marginal product of the previous employee.

Question No: 5 (Marks: 1) - Please choose one

The market structure in which there is interdependence among firms is:

- ► Monopolistic competition.
- ► **Oligopoly.**
- ► Perfect competition.
- ► Monopoly.

It is not possible to identify any single equilibrium in oligopoly. Theory of firm is not clearly discussed & established as the theory of firm in the other three market structures. Reason for that

is the firms are interdependent

Question No: 6 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

► **Law of large numbers.**

► Law of small numbers.

► Law of zero numbers.

► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

Who may start a price war in order to get a larger share of the market?

► Perfect competitor.

► **Oligopolist.**

► Monopolist.

► Economist.

Question No: 8 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

► The price level increases.

► **Factors of production (such as labor and capital) increase.**

► Expenditures (such as consumption and net exports) increase.

► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Resource Quantity:

This determinant is the quantity of the resources--labor, capital, land, and entrepreneurship—that the economy has available for production. If the economy has more resources, then aggregate supply increases and the long-run aggregate supply curve shifts rightward.

The vertical long-run aggregate supply curve captures the independent relation between the price level and aggregate real production. The price level does NOT affect long-run aggregate real production. A higher price level generates the same real production as a lower price level.

The long-run aggregate supply curve shifts right if

a. immigration from abroad increases.

b. the capital stock increases.

c. technology advances.

d. All of the above are correct

Question No: 9 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

► **Three.**

► Four.

► Five.

► Six.

METHODS OF MEASURING GDP

There are three equivalent ways of measuring GDP:

i. The product or value added method which sums the value added by all the productive entities in the economy;

ii. The expenditure method which sums up the value of all the "final goods" transactions taking place in the economy;

iii. The factor income method which sums up all the incomes earned by all the factors of production in the economy (rent for land, wages for labour, interest for capital, and equity returns for entrepreneurship)

Question No: 10 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

► **Interest rate rises and investment falls.**

► Interest rate rises and velocity of circulation also rises.

► Higher interest rates encourage the central bank to increase the money supply.

► Interest rate falls and exports rise.

Question No: 11 (Marks: 1) - Please choose one

Gross National Product (GNP) is:

► **Net National Product (NNP) plus depreciation.**

► National income discounted by the GDP deflator.

► Income from foreign investments.

► Gross Domestic Product (GDP) minus depreciation.

GNP = GDP + Net factor incomes from abroad

OR

NNP = GNP – Depreciation allowance

Rearrange

GNP = NNP + Depreciation allowance

Question No: 12 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

► The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

► The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 13 (Marks: 1) - Please choose one

In the complete Keynesian cross model, the aggregate expenditure line is specified as:

► AE = C + I.

► AE = C + I + X.

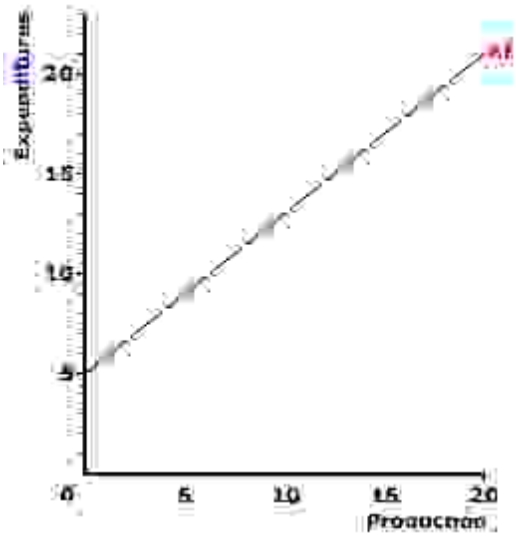
► AE = C + I + G.

► AE = C + I + G + (X - M).

Aggregate Expenditures Line

An equation indicating that aggregate expenditures (AE) are the sum of consumption expenditures (C), investment expenditures (I), government purchases (G), and net exports (X-M), stated as: AE = C + I + G + (X-M). This equation surfaces in the Keynesian economic income-expenditure model in the form of the aggregate expenditures line.

The aggregate expenditure line shows total planned spending at each Income level, holding the price level constant



The positive slope of the aggregate expenditures line is the sum of the marginal propensity to consume (MPC), marginal propensity to invest (MPI), and marginal propensity for government purchases (MPG), less the marginal propensity to import (MPM). This slope is greater than zero but less than one, reflecting induced expenditures by the four macroeconomic sectors (household, business, government, and foreign). The slope of the aggregate expenditures line determines the magnitude of the multiplier process.

Question No: 14 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

► Equal to price.

► Equal to average cost.

► **Less than price.**

► More than price.

For any firm facing a downward sloping demand curve, marginal revenue will be less than price
http://www2.econ.iastate.edu/classes/econ101/vandewetering/chapter13notes.htm

Question No: 15 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► **The supply of non-cartel members is very price elastic.**

Question No: 16 (Marks: 1) - Please choose one

Which of the following best describes the ''Capital widening''?

► More capital per unit of labour.

► **More capital and more labour but with the same amount of capital per unit of labour.**

► Increasing the usage of existing capital.

► Importing capital from the developed world.

Capital widening is a term used to describe the situation where capital stock is increasing at the same rate as the labour force, thus capital per worker remains constant

Question No: 17 (Marks: 1) - Please choose one

Which of the following statements best describes the difference between endogenous growth theory and the Solow growth theory?

► Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.

► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.

► In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.

► All of the given options are correct.

The Exogenous growth model, also known as the Neo-classical growth model or Solow growth model

Solow framework being the workhorse for empirical analysis of growth in industrial and developing countries. In this framework, steady state growth in the levels depends on the exogenous technological progress and population growth; without technological progress, output per capita does not grow. Economic policies do not affect steady state growth, although they can affect the level of output or its growth rate when the economy is in transition from one state to the other.

On one hand, the Solow framework predicts a tendency towards absolute convergence in per capita income if we assume that all countries share the same technology, and savings and population growth rates. On the other hand, in light of the fact that economies differ in various respects such as propensities to save, growth rates of the population, and access to technology, this convergence may apply in conditional terms, that is convergence to different levels of per capita income but to the same steady state growth rates

- The Solow growth model predicts that high population growth, n, means lower steady state income as each worker will have less capital to work with

Neoclassical growth theory predicts:

Absolute convergence for economies with equal rates of saving and population growth and with access to the same technology

Conditional convergence for economies with different rates of savings and/or population growth → steady state level of income differ, but growth rates eventually converge

Endogenous growth theory predicts that a high savings rate leads to a high growth rate → no convergence

All countries not converge to the same steady state because of difference in saving rates and population growth rates.

11. In the Solow growth model, technological change is _____, whereas in endogenous growth theories, technological change is _____.

A) assumed; explained

B) explained; assumed

C) persistent; constant

D) constant; persistent

Question No: 18 (Marks: 1) - Please choose one

Which of the following is NOT to be included in national product?

► Wheat produced and consumed by a farmer.

► House built by the owner himself.

► Old house sold by its owner A to person B.

► Machines made by firm A.

Wheat produced or consumed by a farmer is included GDP of a country.

House built by the owner himself included GDP of a country.

Old house sold by its owner A to person B is not included in GDP as **only newly produced goods are counted in GDP.** Transactions in existing goods, such as old house, second-hand cars, are not included, as these do not involve the production of new goods. Implicit value of new house construction will be considered.

Machines made by firm A is included in the GDP of a country

Question No: 19 (Marks: 1) - Please choose one

The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

- ► The demand curve for chicken to shift to the left.
- ► The demand curve for chicken to shift to the right.
- ► Quantity demanded of chicken to increase.
- **► Quantity demanded of chicken to decrease.**

Question No: 20 (Marks: 1) - Please choose one

The government supports research in basic science because:

- **► It is a public good.**
- ► External costs are created.
- ► Internal benefits are created.
- ► Free markets would do so otherwise.

For economists, a public good is not simply something that is "good for the public"; it is something that benefits many people, including those who do not pay for it

Question No: 21 (Marks: 1) - Please choose one

National defense is a good example of:

► **Public good.**

► Inferior good.

► Giffen good.

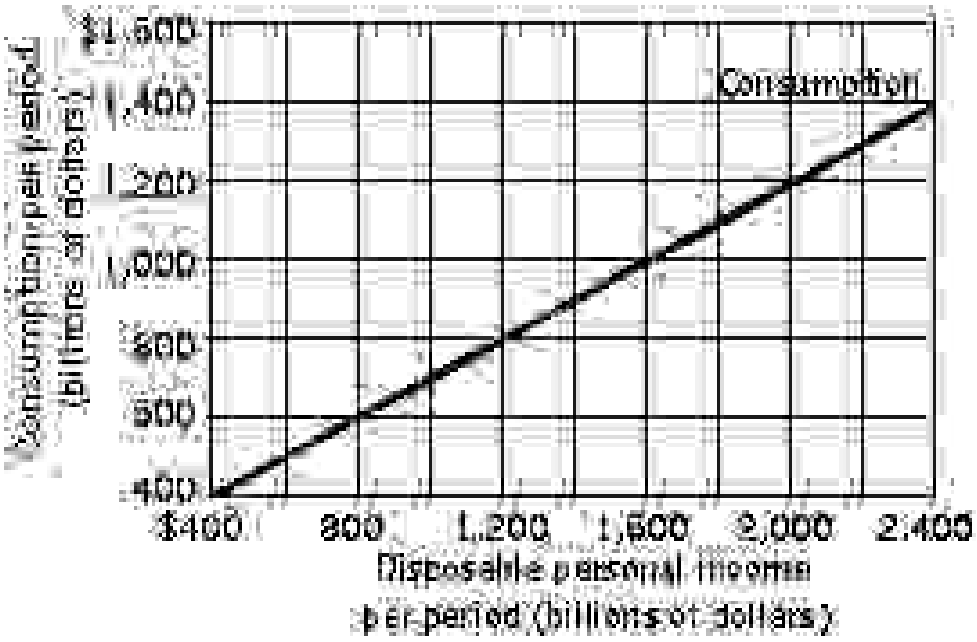
► Private good.

A public good is one whose benefits are indivisibly spread among the entire community, whether or not particular individuals desire to consume the good or not.

There are two characteristics which give rise to public goods: non-rival ness (one person's use or

consumption of the good does not reduce the ability of another to use it; e.g. air) and non-excludability (it is not possible to exclude anyone from the consumption of the good; e.g. national defense).

Question No: 22 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is $1,200 billion, consumption is:

► $600 billion.

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► **$800 billion.**

► $1,200 billion.

► $2,000 billion.

This graph is showing the positive relationship between consumption and disposable income level.

In this graph at level of 800 disposable income, consumption is 600, at 1200 income, consumption is 800, at 1600 income consumption is 1000, at 2000 income level consumption is 1200 and at 2400 income level consumption is 1400. This graph is showing that as income increases consumption also increases.

Question No: 23 (Marks: 1) - Please choose one

In classical theory, excess supply of a product would be associated with:

► **Rising interest rates.**

► Falling interest rates.

► Rising price for the product.

► Falling price for the product.

Question No: 24 (Marks: 1) - Please choose one

The Monetarist key to solve the inflation problem was:

► **Stable money supply.**

► Stable output.

► Stable prices.

► Stable economic growth.

Monetarist key to solving the inflation problem was a stable money supply set to grow at the rate of growth of natural rate output (Q*).

Question No: 25 (Marks: 1) - Please choose one

Which of the following predictions can be made using the growth rates associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (Y_P) in the long run?

► **If the money supply grows at a faster rate than growth in Y_P, there will be inflation.**

► If the money supply grows at the same rate as growth in Y_P, the price level will fall and there will be deflation.

► If the money supply grows at the same rate as growth in Y_P, the price level will also increase at the same rate as growth in Y_P,.

► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

► It will result in a movement up along the aggregate demand curve.

► It will reduce aggregate supply.

► **It will reduce aggregate demand.**

► It will not change aggregate demand or aggregate supply in the domestic economy.

An increase in exports would increase aggregate demand, other things being equal, since net exports are the part of aggregate demand

An increase in imports would decrease aggregated demand other thing being equal by reducing next exports (demand shifts form domestic producers to foreign producers)

An increase in both imports and exports would increase aggregate demand if the increase in exports exceeded the increase in imports, other things being equal, because the combination would increase net exports

Question No: 27 (Marks: 1) - Please choose one

Which of the following will happen by an increase in net exports all other things being equal?

► It will result in a movement downward along the aggregate demand curve.

► **It will increase aggregate demand.**

► It will increase aggregate supply.

► It will not change aggregate demand or aggregate supply in the domestic economy.

An increase in exports would increase aggregate demand, other things being equal, since net exports are the part of aggregate demand

An increase in imports would decrease aggregated demand other thing being equal by reducing next exports (demand shifts form domestic producers to foreign producers)

An increase in both imports and exports would increase aggregate demand if the increase in exports exceeded the increase in imports, other things being equal, because the combination would increase net exports

Question No: 28 (Marks: 1) - Please choose one

A change from $1.00 = Rs. 80.00 to $1.00 = Rs. 85.00 represents:

► Depreciation of the dollar.

► An appreciation of the dollar.

► **An appreciation of the rupee.**

► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

We can measure economic growth with the help of:

► The Consumer Price Index.

► The Producer Price Index.

► **Gross Domestic Product.**

► Marginal Propensity to Consume.

The gross domestic product (GDP) is one the primary indicators used to gauge the health of a country's economy. It represents the total dollar value of all goods and services produced over a specific time period - you can think of it as the size of the economy. Usually, GDP is expressed as a comparison to the

previous quarter or year. For example, if the year-to-year GDP is up 3%, this is thought to mean that the economy has grown by 3% over the last year.

GDP measures the monetary value of final goods and services—that is, those that are bought by the final user—produced in a country in a given period of time (say a quarter or a year).

Question No: 30 (Marks: 1) - Please choose one

A contractionary fiscal policy shifts:

► **The aggregate demand curve to the left.**

► The aggregate demand curve to the right.

► The aggregate supply curve to the right.

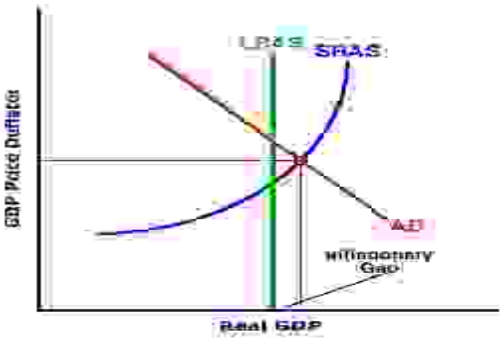
► The aggregate supply curve to the left.

Contractionary Fiscal Policy

A form of fiscal policy in which a decrease in government purchases, an increase in taxes, and/or a decrease in transfer payments are used to correct the inflationary problems of a business-cycle expansion. The goal of contractionary fiscal policy is to close an inflationary gap, restrain the economy, and decrease the inflation rate. Contractionary fiscal policy is often supported by contractionary monetary policy. An alternative is expansionary fiscal policy.

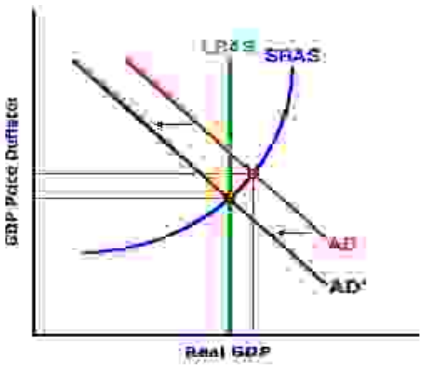
Contractionary fiscal policy is designed to close an inflationary gap by changing aggregate expenditures and shifting the aggregate demand curve. An inflationary gap is closed with a leftward shift of the aggregate demand curve.

Inflationary Gap



Inflationary Gap

Table 1



Question No: 31 (Marks: 1) - Please choose one

Which of the following is a primary function of a central bank?

► To regulate dividend payments by corporations.

► **To act as a regulator of banks.**

► To control the bond market.

► To publish statistics on banking and related financial matters.

Question No: 32 (Marks: 1) - Please choose one

In which condition, the IS curve will shift to the right?

► Consumer confidence in the economy improves.

► Firms become more optimistic about the economy and decide to invest more at each interest rate.

► **The government increases transfer payments**.

► It will shift to the right in all of the given conditions.

SHIFTS IN THE IS CURVE

Shifts in the IS curve are also easy to understand. Any injection into the circular flow: e.g. autonomous changes in C, G or X-M, which are not caused by an interest rate change, but which do cause an increase in AD and Y, will cause the IS curve to shift to the right. Similarly, IS shifts the left when there is a decrease in these injections.

If there is a decrease in government expenditures

a. The IS-curve will shift to the right
b. The IS-curve will shift to the left
c. The IS-curve will become flatter and shift to the right
d. The IS-curve will become steeper and shift to the left
e. The multiplier will become smaller and the IS-curve will shift to the left

A decrease in government expenditures will lead to a decrease in national income at a given interest rate. The IS curve shifts to the left. **The IS curve will also shift to the left with an increase in taxes or**

reduction in government transfer payments. Money supply and money demand have no affect on the IS curve

Question No: 33 (Marks: 1) - Please choose one

Which of the following will be TRUE if real income rose and the interest rate fell following an increase in government purchases?

► IS curve must be vertical.

► LM curve must be vertical.

► **Central Bank must have increased the money supply at the same time.**

► Central Bank must have decreased the money supply at the same time.

An increase in real income (Y) causes a rightward shift in the L curve while a fall in income causes a leftward shift. The amount by which L shifts in response to a given change in income depends on the sensitivity of money demand to income changes, or the income elasticity of money demand (Y∈L). By introducing money supply at this stage, we can develop a notion of **money market equilibrium**.

When there is increase in government spending it means there is crowding out and for private investment resources will decline in this situation interest rate will rise which will discourage the investment. Due to increase in government spending AD will increase which will be the cause of shifting IS curve to right.

If central bank increases supply of money then LM curve will shift right ward in this way output rise and interest rate will fall. Usually whenever there is expansionary fiscal policy on the other hand there is tight monetary policy.

Which of the following would result in a shift of the LM-curve to the right?

a. A decrease in taxes
b. A decrease in money supply
c. An increase in autonomous consumption

d. An increase in money supply

e. An increase in interest rates

Question No: 34 (Marks: 1) - Please choose one

What will happen to LM curve if the central bank increased the supply of real money balances?

► It would become steeper.

► It would become flatter.

► It would shift upward.

► It would shift downward.

THE LM CURVE

LM curve sows the combinations of real output and real interest rate at which money market is in

equilibrium.

If the central bank increases the money supply, then the *LM* curve shifts downward,. Income increases and the interest rate falls. The increase in disposable income causes consumption to rise; the fall in the interest rate causes investment to rise as well.

If the central bank increased the supply of real money balances, then the LM curve would

A. become steeper.

B. become flatter.

C. shift inward.

D. shift outward.

Question No: 35 (Marks: 1) - Please choose one

In growth process of under developed countries, high rate of population growth:

► Is not accompanied by smaller increase in product per capita.

► Is not accompanied by increasing total product.

► **Is an obstacle in economic growth.**

► Is good for economic growth.

Rapidly Growing Population: In the under – developed countries , especially in the over populated countries of Asia, population increases very rapidly. this has very adversely affected their rate of economic growth . In fact rapid population growth is the greatest obstacle to economic growth.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the main reason of poverty in third world countries?

► Generation gap.

► Communication gap.

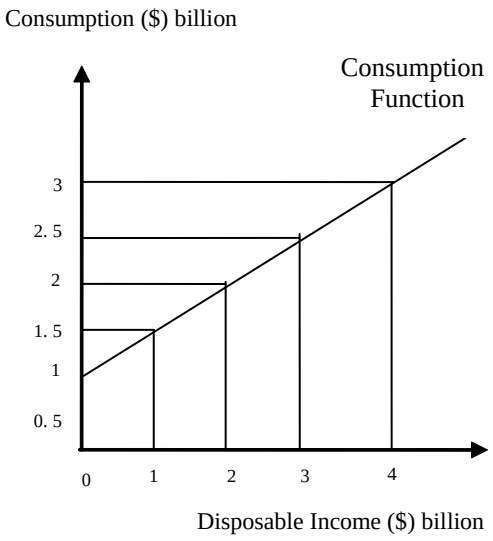
► **Foreign exchange gap.**

► None of the given options.

Poverty trap theories:

Poverty trap theories explained the relative poverty of the Third World in the context of the twin gaps: foreign exchange gap (exports being less than required imports) and an underlying savings gap (domestic savings being less than required investment).

Question No: 37 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume equals:

► 0.

► 0.5.

► 1.0.

► 2.0.

Marginal propensity to consume:

MPC = ΔC / ΔYd

MPC =3- 2.5 / 4 -3

MPC=0.5/1

MPC=0.5

Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE in a planned economy?

► Goods and services produced reflect consumer sovereignty.

► Price is relatively unimportant as a means of allocating resources.

► There is no incentive for people to work hard.

► All income is completely evenly distributed.

Resource planning decisions in a planned economy are made by the state planning process and prices tend to be relatively fixed. They do not change to reflect changes in supply and demand.

Question No: 39 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

► For an inferior good.

► A substitute good.

► For an independent good.

► For a normal good.

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CCwQFjAA&url=http%3A%2F%2Fweb.uvic.ca%2F~okhan%2FPractice%2520Question.pdf&ei=oLHhUab5A8nKhAebmIFY&usg=AFQjCNFStxKLdMDM01LWwb2kMH4PRgC0JQ&sig2=eXPBHKbo87S4RVevuw3J5g&bvm=bv.48705608,d.ZG4

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is
a. an inferior good.
b. a substitute good.
c. an independent good.
d. a normal good.

Question No: 40 (Marks: 1) - Please choose one

Suppose all inputs are increased by 30% and output increases by more than 30% in a production process. This means that the firm experiences:

► Decreasing returns to scale.

► Constant returns to scale.

► **Increasing returns to scale.**

► None of the given options.

Increasing return to scale = Suppose all inputs are increased by 30% and output increases by more than 30%

Decreasing return to scale = Suppose all inputs are increased by 30% and output increases by less than 30%

Constant return to scale = Suppose all inputs are increased by 30% and output increases by same 30%

Question No: 41 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?

► 500

► **30+ (500/Q)**

► $30Q^2+500Q$

► 30

Question No: 42 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 200 + 5Q. What will be the average total cost if four units of commodity are produced?

► 20

► 55

► 50

► **220**

Average Cost or Average total cost (AC or ATC)

AVC + AFC = ATC or AC

ATC = 200+5(4)

ATC =200+20

ATC =220

Question No: 43 (Marks: 1) - Please choose one

Collusion occurs when two or more firms decide to cooperate with each other in the setting of prices and

► Labor demanded.

► Capital demanded.

► **Quantity of good supplied.**

► Quanlity of good supplied.

Collusion occurs when two or more firms decide to cooperate with each other in the setting of prices and/or quantities.

Question No: 44 (Marks: 1) - Please choose one

A public good is non-excludable because:

► **One person's use or consumption does not reduce the ability of another to use it.**

► External costs are generated through its production.

► External benefits are generated through more consumption.

► No one can be effectively excluded from using that good.

PUBLIC GOOD

A public good is one whose benefits are indivisibly spread among the entire community, whether or not particular individuals desire to consume the good or not.

There are two characteristics which give rise to public goods: non-rival ness (one person's use or consumption of the good does not reduce the ability of another to use it; e.g. air) and non-excludability (it is not possible to exclude anyone from the consumption of the good; e.g. national defense).

Question No: 45 (Marks: 1) - Please choose one

According to Keynesian economics, the Inflation is negatively related with:

► Level of income.

► Employment.

► Poverty.

► **Unemployment.**

Keynes sees inflation and unemployment as opposite sides of the same coin

Question No: 46 (Marks: 1) - Please choose one

The principle which states that a change in income causes a magnified change in investment is termed as the:

► None of the given.

► Paradox of thrift.

► Multiplier effect.

► **Accelerator effect.**

Question No: 47 (Marks: 1) - Please choose one

Monetarists characterized the long-term tradeoff between output and:

► Employment level.

► **Inflation.**

► Foreign direct investment.

► Deflation.

Monetarists characterized the long-term tradeoff between output and inflation, i.e. that there was no trade-off and that expansionary demand policies (i.e. expansionary monetary policy) translated fully into higher inflation with no impact on employment whatsoever.

Question No: 48 (Marks: 1) - Please choose one

If central bank increased the money supply, then what will be happen to IS curve?

► IS curve will Shifts rightward.

► IS curve will Shifts leftward.

► **IS curve will remain unaffected.**

► IS curve will become vertical.

PAPER # 08

Question No: 1 (Marks: 1) - Please choose one
In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► **Consumer preferences.**
- ► The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one
The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ► **Increasing opportunity cost for both goods.** **[Correction in file 1]**
- ► Increasing opportunity cost for good X but not for good Y.
- ► Increasing opportunity cost for good Y but not for good X.
- ► Constant opportunity cost for both goods.

Concave shape of production possibility curve indicate that if you want to produce more units of X goods then you will agree to sacrifice more resources in favor of X goods production and your resources will shift from Y goods production towards X goods production.

1-**Increasing opportunity cost** curve which is concave to origin because as we produce more and more of one good, more and more of another good has to be sacrificed than before.
2-**Decreasing opportunity cost** curve which is convex to origin. In this case the economy foregoes decreasing amounts of one good when producing more of the other.
3-**Constant opportunity cost curve** which is straight line. In this case, opportunity cost does not change with production.

1- a straight line production possibilities "curve" that indicates constant opportunity cost
2- "bowed-out" or concave, shape of the production possibility curve illustrates increasing costs

Assumptions PPF
1. The resources available are fixed.
2. The technology remains unchanged.
3. The resources are fully employed.
4. The resources are efficiently employed.
5. The resources are not equally efficient in production of all products. Thus if resources are transferred from production of one good to another, the cost increases. In other words marginal opportunity cost increases

Suppose an economy produces only two goods X and Y. Suppose a worker is employed in production of X because he is best suited for it. The economy decides to reduce production of X and increase that of Y. The worker is transferred to Y. He is not that efficient in production of Y as he was in X. His productivity in Y will be low, and so cost of production high. The implication is clear. If the resources are transferred from one use to another, the less and less efficient resources will be transferred leading to rise in the **marginal opportunity cost** which is technically termed as **marginal rate of transformation** (MRT).

A concave downward sloping curve has an increasing slope. The slope is the same as MRT. So, concavity implies increasing MRT, an assumption on which the PP curve is based.

The opportunity cost for a commodity is the amount of other commodity that has been forgone in order to produce the first.

The marginal opportunity cost of a particular good along the PPC is defined as the amount sacrificed of the other good per unit increase in the production of the good in question. Increasing marginal opportunity cost implies that PPC is concave

http://economicsforyou.wikispaces.com/Introduction+to+Micro-econimics

The marginal rate of transformation (MRT) of X for Y refers to:

A) the amount of X that a nation must give up to produce each additional unit of Y.

B) the amount of X that consumers are willing to give up to consume each additional unit of Y.

C) the amount of Y that consumers are willing to give up to consume each additional unit of X.

D) the amount of Y that a nation must give up to produce each additional unit of X.

Why do increasing opportunity costs of production occur?

A) Factors of production are homogeneous

B) Factors of production are not being used in the same fixed proportion

C) Factors of production are completely adaptable to every use

D) None of the above

The law of increasing opportunity cost implies that

A) producing additional units of one good results in proportionately smaller reductions in output of the other good.

B) producing additional units of one good results in increasing amounts of lost output of the other good.

C) the production possibilities curve will be a straight line.

D) the society will be producing on its production possibilities curve.

8. If resources are not "equally suited" for the production of two goods, the PPF is

a. a straight line.
b. bowed outward.
c. upward sloping.
d. any of the above

6. The PPF between goods X and Y will be a downward-sloping

a. straight line if increasing opportunity costs exist.
b. straight line if decreasing opportunity costs exist.
c. curve that is bowed outward if increasing opportunity costs exist.
d. curve that is bowed outward if constant opportunity costs exist.

Real GDP is

a. GDP in current-year prices.
b. **GDP in base-year prices.**
c. GDP in GDP-prices.
d. GDP adjusted for services.

Question No: 3 (Marks: 1) - Please choose one
If the quantity demanded of a product is greater than the quantity supplied of a product, then:

► **There is a shortage of the product.**
► There is a surplus of the product.
► The product is a normal good.
► The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

► As the price increases, consumers demand less.

► **As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.**

► None of the given options.

► As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

► **The supply curve shifts to the left.**

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.

► Unit elastic.

► Elastic.

► **Inelastic.**

PEoD = (% Change in Quantity Demanded)/(% Change in Price)
PEoD =8% /12% =0.67
PEoD is less than 1 = Inelastic

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from $15 to $17 and quantity demanded decreases by 20%. We can conclude:

► Demand is unitary elastic.

► Demand is elastic.

► The elasticity of demand is 2.

► **Total revenue will decrease.**

PЄd = Percentage change in Quantity Demanded/ Percentage change in Price

PЄd = 20/13.4

PЄd = 1.5%

P > 1 =Elastic

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ELASTIC DEMAND Є > 1

Price rises:

As P increases, Q decreases

Percentage change in P < percentage change in Q

Now TR = P x Q TR will also decrease

%age change in price

2/15 =0.13 x 100 =13.3%

Question No: 8 (Marks: 1) - Please choose one
"Utility" is most closely related to the term:

► Useless.
► Require.
► Necessary.
► **Satisfaction.**

Question No: 9 (Marks: 1) - Please choose one
When the marginal utility of a good is zero, this implies that:

► **The consumer would not spend any additional income to buy more of that good.**
► Consumption of additional units would have positive marginal utility.
► Total utility is minimized.
► Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one
When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

► **An inferior good.**
► A substitute good.
► An independent good.
► A normal good.

Question No: 11 (Marks: 1) - Please choose one
Diminishing marginal returns implies:

► Decreasing marginal costs.
► **Increasing marginal costs.**
► Decreasing average variable costs.
► Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

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A graph showing all the combinations of capital and labour available for a given total cost is the:

- ► Budget constraint.
- ► Expenditure set.
- ► Isoquant.
- ► **Isocost.**

Question No: 13 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ► **Output is being produced at minimum cost.**
- ► Output is not being produced at minimum cost.
- ► The two products are being produced at the medium input cost to the firm.
- ► The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of

- ► **A fixed cost.**
- ► A variable cost.
- ► An implicit cost.
- ► An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ► Has perfect substitutes.
- ► Has no substitutes at all.
- ► **Has no close substitutes.**
- ► Can be easily duplicated

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ► Positive issues.
- ► **Normative issues.**
- ► Micro issues.
- ► Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ► Cournot model.
- ► Cobweb model.
- ► Dominant firm model.
- ► **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

► Each firm considers its rival's output to be fixed.
► Each firm considers its rival's price to be fixed.
► Each firm believes rival will match all price changes.
► **None of the given options.**

According to Baye's *Managerial Economics and Business Strategy*, a sweezy oligolopoly is characterized by four things.
1) There are few firms in the market serving many consumers.
2) The firms produce differentiated products.
3) Each firm believes **rivals will cut their prices in response to a price reduction but will not raise their prices in response to a price increase.**
4) Barriers to entry exist.

oligopoly is that firms believe rivals will decrease prices when they lower their prices, but not increase prices when they raise their prices.

Oligopoly prices are rigid because if one firm lowers prices then competitors will lower their prices and if prices are raised by one firm other firms will not follow suit and will capture market share

The **kinked demand curve model** assumes that firms maintain their current price if any one firm raises its price, but all firms match any price reduction by any single firm.

Question No: 19 (Marks: 1) - Please choose one
Which of the following is NOT conducive to the successful operation of a cartel?
► Market demand for the good is relatively inelastic.
► The cartel supplies all of the world's output of the good.
► Cartel members have substantial cost advantages over non-member producers.
► **The supply of non-cartel members is very price elastic.**

Which of the following is not conducive to the successful operation of a cartel?

a. Market demand for the good is relatively inelastic.

b. The cartel supplies all of the worlds output of the good.

c. Cartel members have substantial cost advantages over nonmembers.

d. The supply of non-cartel members is very price elastic.

e. a, b and c

Question No: 20 (Marks: 1) - Please choose one
Cartels are:

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► **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**

► Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.

► Organizations of independent firms, producing different products, that work together to raise prices and restrict output.

► Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

► Upward sloping due to the law of demand.

► Upward sloping due to the law of marginal utility.

► **Downward sloping due to the law of diminishing returns.**

► Downward sloping due to the law of supply.

The law of diminishing returns:

The law of diminishing returns is the marginal physical product of a variable input declines as more of it is employed with a given quality of other (fixed) inputs.

It is true for Marginal physical product

It is true for marginal revenue product.

Marginal Revenue Productivity assumes that:

a.) Workers are heterogeneous or differentiated

b.) Unions exist

c.) The supply of labor is perfectly elastic

d.) The supply of labor is inelastic

.The assumption is that the labor supply is perfectly elastic. This is due to assumptions that the rate of wage is constant regardless of location or expertise and that there is not a shortage of qualified workers available in the location that they would be needed in.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

► **Has self-correcting mechanisms.**

► Can only be graphed with a horizontal curve.

► Never needs correction.

► None of the given options.

Economists basically ignore the short run because they believe that the economy has self-correcting mechanisms. There is no need to adjustment in any case of disequilibrium in short run economy will automatically adjust.

Question No: 23 (Marks: 1) - Please choose one
The long run aggregate supply curve will shift to the right if:

► The price level increases.
► **Factors of production (such as labor and capital) increase.**
► Expenditures (such as consumption and net exports) increase.
► The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one
A primary implication of Keynesian economics is:

► The best government is the least government.
► Flexible wages and prices ensure full employment.
► Monetary policy is far superior to fiscal policy.
► **Business-cycle instability is best corrected through government policies.**

Keynesian economics points to flexible government policies, especially fiscal policy, as the primary means of stabilizing business cycles and tends to be favored by those on the liberal end of the political spectrum.

As such, *business-cycle instability is best corrected* by *government* intervention

Keynes gave the reasons of great depression and also suggested the policy advice on how Govt can rectify the situation

Question No: 25 (Marks: 1) - Please choose one
The economic analysis most closely related to Say's Law is:

► Short-run aggregate market.
► Production possibilities.
► Imperfect competition.
► **Circular flow.**

Statement and Explanation of Say's Law of Market:

"Say's Law of market states that supply creates its own demand".
Say's Law is explained with the help of simplified circular flow in figure 32.1. Says Law means that supply creates its own demand for goods and services. The income persons receive from output is spent to purchase goods and services produced by others. The very act of supplying certain level of goods and services necessarily equals the level of goods and services demanded. For the economy as a whole, total production therefore equals total income

Assumptions of the Say's Law of Market:

The classical model is based mainly on the following four assumptions:

(i) Pure competition exists. No single buyer or seller of commodity or an input can affect its price.

(ii) Wages and prices are flexible. The wages and prices of goods are free to move to whatever level the supply and demand dictate.

(iii) Self interest. People are motivated by self interest. The businessmen want to maximize their profits and the households want to maximize their economic well being.

(iv) No government interference. There is no necessity on the part of the government to intervene in the business matters.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ► The exchange-rate effect.
- ► The wealth effect.
- ► **The classical dichotomy / monetary neutrality effects.**
- ► The interest-rate effect.

http://quizlet.com/5273872/chapter-33-quizzes-flash-cards/

http://www.bized.co.uk/learn/economics/qbank/income1.htm

Which of the following events shifts the short-run aggregate supply curve to the right?

A decrease in the money supply
A drop in oil prices
An increase in government spending on military equipment

An increase in price expectations

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause
Prices to rise and output to rise.
Prices to fall and output to remain unchanged.
Prices to fall and output to fall.
Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one
The upward-sloping aggregate supply curve indicates that:

► **As firms increase their level of output, the cost of producing an extra unit increases.**
► An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.
► Any increase in aggregate demand causes the output of producers to fall because the general price level rises.
► None of the given options.

Question No: 28 (Marks: 1) - Please choose one
An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

► **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**
► Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one
According to classical economists, the:

► **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**
► Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
► Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.
► Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

The AS curve was vertical therefore lack or excess of demand could not explain the low level of activity in the aggregate market for goods and services. Policy recommendation: focus on ways to move the AS curve to the right (i.e. supply side measures). According to classicals, economy is always at full employment level. Economy would automatically find the new equilibrium in the long run; they did not

Shifts in AD curve would have no effect on ASC or on output level in the classical world. Any shift in AD curve will cause only change in the price level but output will not change. Output can change only if the AS curve would shift. AS curve can be shifted due to the availability of new resources, technology and wage rate.

The position of the vertical long run aggregate supply curve is oftern called potential output full employment output, or the natural rate of output.

The downward sloping aggregate demand curve shows the quantity of goods and services those household, firms the government and customer abroad want to buy at each price level

In the classical model, given an initial aggregate equilibrium at full employment, the long run effect of an increase in government spending is

An increase in the price level
An upward shift of the aggregate demand curve
A constant level of output
All of the above

Question No: 30 (Marks: 1) - Please choose one
How many methods are there to measure Gross Domestic Product?

► **Three.**
► Four.
► Five.
► Six.

Question No: 31 (Marks: 1) - Please choose one
Which of the following is a flow variable?
► The value of the house in which you live.
► The balance in your savings account.
► **Your monthly consumption on food items.**
► The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ► Government debt.
- ► Capital.
- ► The amount of money held by the public.
- ► **Inventory investment.**

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

- ► **0.2.**
- ► 0.4.
- ► 0.6.
- ► 0.8.

Marginal propensity to save:

MPS = ΔS / ΔYd

MPS = Change in saving / change in disposable income

MPS =30,000- 20,000 /100,000-150,000

MPS=10,000 /50,000

MPS=0.2

Change in saving = saving before income increase = 100,000 -80,000 =20,000

Change in saving = saving after income increase = 150,000 -120,000 =30,000

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

- ► Real exchange rate.
- ► The production function.
- ► Real price level.
- ► **Real interest rate.**

The _____ plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level.

Real exchange rate.
The production function.
Real price level.
Real interest rate.

Question No: 35 (Marks: 1) - Please choose one
If injections are less than withdrawals at the full-employment level of income then there arises:

► **A deflationary gap.**
► Hysteresis.
► Hyperinflation.
► An inflationary gap.

If injections < withdrawals then this will mean deflation gap

.... While if injections > withdrawals then this will mean inflation Gap

Question No: 36 (Marks: 1) - Please choose one
The labour force is made up of:

► The number of people employed minus the number of people unemployed.
► **The number of people employed plus the number of people unemployed.**
► Just the number of people employed.
► The whole population.

Question No: 37 (Marks: 1) - Please choose one
Deflation is:

► An increase in the overall level of economic activity.
► An increase in the overall price level.
► A decrease in the overall level of economic activity.
► **A decrease in the overall price level.**

Inflation is a situation in which there is a continuous rise in the general price level. **Deflation** is the opposite of inflation and occurs when the general level of prices falls. The rate of inflation is the percentage annual increase in average price level.**Pure inflation** is a special case of inflation in which the prices of all the goods and services in the economy are rising at the same rate.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

► Expansion; inflation.
► Recession; deflation.
► **Expansion; deflation.** **[CORRECTION IN FILE # 1]**
► Recession; inflation.

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=2&cad=rja&ved=0CC8QFjAB&url=http%3A%2F%2Fwww2.palomar.edu%2Fusers%2Fllee%2F101%2520Quizzes%2520to%2520Web%2520page.pdf&ei=2-jNUYSPLYGX7QaL34GQDA&usg=AFQjCNGp3eKpMHwFZg7N6wb1LktqmAMNIQ&bvm=bv.48572450,d.ZGU

Which of the following scenarios can cause cost-push inflation (and therefore stagflation)?
a. an increase in taxes on individuals
b. a decrease in real interest rates
c. a union settlement that increases wage levels
d. an increase in government purchases

The classical long-run aggregate supply curve is:

a. downward sloping

b. upward sloping

c. horizontal

d. vertical at the level of potential real GDP

Which of the following will shift the demand for money curve to the right?

a. a decrease in real GDP

b. an increase in the GDP Deflator

c. an increase in real interest rates

d. people expecting inflation soon

Question No: 39 (Marks: 1) - Please choose one
A decrease in the natural rate of unemployment will:

► **Shift the Phillips curve to the left.**
► Result in a decrease in the inflation rate along the Phillips curve.
► Shift the Phillips curve to the right
► Result in an increase in the inflation rate along the Phillips curve.

An increase in the natural rate of unemployment by keeping inflation rate constant will shift the Phillips curve to the rightward.

An increase in inflation rate by keeping natural rate of unemployment constant will shift the Philips curve to the right ward.

A decrease in the natural rate of unemployment by keeping inflation rate constant will shift the Phillips curve to the left.

A decrease in inflation rate by keeping natural rate of unemployment constant will shift the Philips curve to the left.

Question No: 40 (Marks: 1) - Please choose one
The Phillips curve will shift to the right:

► If there is a decrease in the expected inflation rate.
► **If there is an increase in the expected inflation rate.**
► If there is a decrease in the natural rate of unemployment.
► If there is a favorable supply shock.

An increase in the natural rate of unemployment by keeping inflation rate constant will shift the Phillips curve to the rightward.

An increase in inflation rate by keeping natural rate of unemployment constant will shift the Philips curve to the right ward.

Increase in the expected inflation rate shifts the Phillips curve up and to the right

A decrease in the natural rate of unemployment by keeping inflation rate constant will shift the Phillips curve to the left.

A decrease in inflation rate by keeping natural rate of unemployment constant will shift the Philips curve to the left.

A higher natural rate of unemployment shifts the Phillips curve to the right

When actual unemployment rate equal natural rate , the actual inflation rate equals the expected inflation.

Phillips curve.

Philips curve shows the tradeoff between inflation and rate of unemployment. If there is an increase in unemployment then there will be decrease in inflation and vice versa.

There are three factors which cause the Philips curve to shift right or left.

- Change in natural rate of unemployment
- Change in expected rate of inflation.
- Supply shocks.

In case of natural rate of unemployment Philips curve has been drawn when the rate of inflation is 3% and rate of unemployment rate is also 3%. If there is an increase in rate of unemployment and it reaches to 6% while rate of inflation remains constant then the Phillips curve will shift towards right. If the rate of unemployment decreases from 3% to 2 % then Philips curve will shift towards left.

In case of change in expected rate of inflation, if expected rate of inflation increases from 3 % to 6 % while rate of unemployment remains fixed at 3 % then Philips curve will shift towards right. If expected rate of inflation decreases from 3 % to 2% then Philips curve will shift towards left.

Adverse (unfavorable) supply shocks results in inflation and tends to increase rate of unemployment. In case of adverse supply shocks Philips curve shifts rightward otherwise left ward.

In the long run, the inflation rate depends primarily on
a. the ability of unions to raise wages.
b. government spending.
c. the money supply growth rate.
d. the monopoly power of firms.

Which of the following would shift the long-run Phillips curve right?
a. expansionary fiscal policy.
b. an increase in the inflation rate.
c. increases in unemployment compensation.
d. None of the above is correct.

A decrease in expected inflation shifts
a. the long-run Phillips curve left.
b. the short-run Phillips curve left.
c. neither the short-run nor long-run Phillips curve left.
d. both the short-run and long-run Phillips curve left

A favorable supply shock will cause inflation to

a. rise and shift the short-run Phillips curve right.

b. rise and shift the short-run Phillips curve left.

c. fall and shift the short-run Phillips curve right.

d. fall and shift the short-run Phillips curve left.

Question No: 41 (Marks: 1) - Please choose one
If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

► Appreciate.

► **Depreciate.**
► Not effect.
► All of the given are possible.

Inflation (deflation) is associated with currency depreciation (appreciation). Suppose the price level increases by 40% in the U.S., while the price levels of its trading partners remain relatively stable. U.S. goods will seem very expensive to foreigners, while U.S. citizens will increase their purchase of relatively cheap foreign goods. The U.S. dollar will depreciate as a result.

If the U.S. inflation rate is lower than that of its trading partners, the U.S. dollar is expected to appreciate. Note that exchange rate adjustments permit nations with relatively high inflation rates to maintain trade relations with countries that have low inflation rates.

Question No: 42 (Marks: 1) - Please choose one
The nominal exchange rate is defined as the:

► Market on which currencies of various nations are traded for one another.
► Price of one unit of foriegn good in terms of domestic good.
► **Price of one unit of foriegn currency in terms of domestic currency.**
► All of the given options.

Question No: 43 (Marks: 1) - Please choose one
Current account deficit is equal to:

► Private sector resource deficit.
► Government budget deficit.
► **Private sector resource deficit + Government budget deficit.**
► None of the given options.

Current account deficit = Private sector resource deficit + Government budget deficit

Question No: 44 (Marks: 1) - Please choose one
In the exogenous growth model, if investment exceeds depreciation, the capital stock will ---------- and output will---------- until the steady state is attained.

► **Increase; increase.**
► Increase; decrease.
► Decrease; decrease.
► Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one
Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

► Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.

► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.

► In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.

► All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one
A currency appreciation should:

► Reduce net exports and therefore increase aggregate demand.
► Raise net exports and therefore decrease aggregate demand.
► Reduce net exports and therefore decrease aggregate demand.
► Raise net exports and therefore increase aggregate demand.

Currency depreciation should raise net exports and therefore increase aggregate demand
A currency appreciation reduce net export and therefore decrease aggregate demand

Question No: 47 (Marks: 1) - Please choose one
M1 component of money supply consists of:

► Paper currency and coins.
► Paper currency, coins and check writing deposits.
► Paper currency, coins, check writing deposits and savings deposits.
► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Money Supply and Its Various Definitions:

There is a process by which money is created – the money supply process, and there are ideas about why people hold money – money demand theories

Money or paper currency serves at least three functions: it is a medium of exchange, a store of value and

a unit of account

a. **M0:** also called base money, high powered money or the monetary base. M0 is the value of all the currency notes and coins that are in circulation in the economy. Note that any currency or coins lying with the central bank (which in Pakistan's context, would be the State Bank of Pakistan) does not count as M0, as it is not in circulation.

b. **M1:** is M0 + all current (or checking) deposits held with commercial banks. Checking deposits are accounts from which the holders can withdraw money at any time.

c. **M2:** is M1 + all time deposits.

Question No: 48 (Marks: 1) - Please choose one
Commercial banks in Pakistan are supervised by:

► **State bank.**
► National bank.
► Finance minister.
► World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?
► **An increase in the price of imported computers.**
► A fall in the purchasing power of US tourists in London.
► A fall in the price of imported computers.
► An increase in the purchasing power of UK tourists overseas.

Depreciation means a decrease in the value of a currency with respect to other currencies. For example if pound has depreciated as compare to dollar means more pounds are required to get 1dollar thus British's imports will be expensive and its exports will be cheaper and volume of exports will increase.

I f prices in both countries remain the same; depreciation will make foreign goods relatively more expensive to you, leading to a fall in imports

Question No: 50 (Marks: 1) - Please choose one
An example of hysteresis having a negative effect on a country's economy would be:

► Hyperinflation caused by excessive demand.
► Nervous investors selling all their shares, causing the stockmarket to crash.
► **Unemployed workers not taking available jobs.**
► Women being kept out of jobs traditionally held by men.

Hysteresis effects

Hysteresis means refers to the damage that unemployment does to the skills and employability of people out of work. The longer someone remains out of a paid job, the less attractive they are to an employer.

PAPER # 09

Question No: 1 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

► **There is a shortage of the product.**

► There is a surplus of the product.

► The product is a normal good.

► The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

► **Less than 0.**

► Equal to 0.

► Greater than 0.

► Between 0 and 1.

When the cross price elasticity of demand for two *goods* is less than zero then the goods are

Complements

Substitute

Unrelated

None of the given

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Cross-price elasticity equals to zero for
a) Complementary goods
b) Substitute goods
c) Unrelated goods
d) None of the above

Complementary goods have:
a) The same elasticities of demand
b) A positive cross-price elasticity of demand
c) A negative cross-price elasticity of demand
d) None of the above

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► **Decrease hours of work.**

► Not change hours of work.

► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale**.

► Constant returns to scale; decreasing returns to scale.

► Decreasing returns to scale; economies of scale.

► Economies of scale; decreasing returns to scale.